

CA INTERMEDIATE · PAPER 6

FM & SM

6A Financial Management · 6B Strategic Management

The Master Book

*Concept notes · Every official question under its concept · Expected questions · MCQs · Cases ·
Exam strategy · Revision · Mocks*

*Target attempt: January 2027 · Applicable study material: ICAI BoS Study Material relevant
for May 2026 examination onwards — Paper 6A FM (Modules 1 & 2) and Paper 6B SM*

*ICAI questions (PYQ, RTP, MTP) are presented in our own words with answers based on ICAI's suggested
answers; practice questions are written for this book on ICAI topics.*

Colour & Symbol Legend

Tag	Meaning	Tag	Meaning
 CHAPTER SNAPSHOT	One-page overview of the chapter	 UNDERSTAND IT	Plain-language understanding
 ICAI KEYWORDS	Words ICAI expects in answers	 EXAM ALERT	Frequently tested / high exam activity
 MEMORY TRICK	Mnemonic or recall trigger	 OFFICIAL ICAI QUESTION	ICAI question — PYQ / RTP / MTP
 COMMON MISTAKE / CONFUSION	What students get wrong	 QUICK RECAP	Condensed recap
 KEY FRAMEWORK / FORMULA	Formula, rule or ICAI framework to apply	 AMENDMENT / UPDATE	Changed or newly applicable content
 HOW TO FACE IT IN THE EXAM	Forms it is asked in + how to attack	 WRITE THIS IN THE EXAM	Answer structure to use
 DON'T WRITE THIS	Wrong or irrelevant wording	 EXPECTED QUESTION	Practice question with model answer
 MCQ	Practice MCQ with key	 CASE SCENARIO	Case facts + linked questions
 INTEGRATION LINK	Connection to another chapter	 QUESTION	
 SUGGESTED ANSWER			

PYQ = previous ICAI exam paper · RTP = ICAI Revision Test Paper · MTP = ICAI Mock Test Paper · FM Ch 1 §7 = Financial Management Chapter 1, study-material heading 7 · SM Ch 1 §1.5 = Strategic Management Chapter 1, heading 1.5

Markup: **bold** = ICAI keyword · **highlight** = must-remember phrase · wavy underline = exam trap

Index

Chapters with their sections, and the front and back matter. Each chapter also opens with its own Chapter Index listing every topic. In the PDF, click a line (or use the Bookmarks panel) to jump to it.

Front matter

How to Use This Book.....	4
Exam at a Glance — Paper 6: FM & SM.....	5

Chapters

FM Chapter 1 — Scope and Objectives of Financial Management	6
Examiner Mindset — FM Chapter 1	8
Chapter Snapshot	8
What ICAI Has Actually Tested.....	10
Topic-wise Notes with All Related Questions.....	13
Most Confusing Concepts.....	87
Integrated Case Scenarios.....	90
Chapter Test — attempt before looking at the Answer Keys.....	95
Active-Recall Tests (answers in Answer Keys).....	99
Answer Keys.....	101
Rapid Revision Ladder.....	105
One-Page Chapter Sheet	107
FM Chapter 2 — Types of Financing	0000
Examiner Mindset — FM Chapter 2	0000
Chapter Snapshot	0000
What ICAI Has Actually Tested.....	0000
Topic-wise Notes with All Related Questions.....	0000
Most Confusing Concepts.....	0000
Integrated Case Scenarios.....	0000
Chapter Test — attempt before looking at the Answer Keys.....	0000
Active-Recall Tests (answers in Answer Keys).....	0000
Answer Keys.....	0000
Rapid Revision Ladder.....	0000
One-Page Chapter Sheet	0000
FM Chapter 3 — Financial Analysis and Planning: Ratio Analysis.....	0000
Examiner Mindset — FM Chapter 3	0000
Chapter Snapshot	0000
What ICAI Has Actually Tested.....	0000
Topic-wise Notes with All Related Questions.....	0000
Most Confusing Concepts.....	0000
Integrated Case Scenarios.....	0000

Chapter Test — attempt before looking at the Answer Keys.....	0000
Active-Recall Tests (answers in Answer Keys).....	0000
Answer Keys.....	0000
Rapid Revision Ladder.....	0000
One-Page Chapter Sheet	0000
FM Chapter 4 — Cost of Capital	0000
Examiner Mindset — FM Chapter 4	0000
Chapter Snapshot	0000
What ICAI Has Actually Tested.....	0000
Topic-wise Notes with All Related Questions.....	0000
Most Confusing Concepts.....	0000
Integrated Case Scenarios.....	0000
Chapter Test — attempt before looking at the Answer Keys.....	0000
Active-Recall Tests (answers in Answer Keys).....	0000
Answer Keys.....	0000
Rapid Revision Ladder.....	0000
One-Page Chapter Sheet	0000
FM Chapter 5 — Financing Decisions: Capital Structure.....	0000
Examiner Mindset — FM Chapter 5	0000
Chapter Snapshot	0000
What ICAI Has Actually Tested.....	0000
Topic-wise Notes with All Related Questions.....	0000
Most Confusing Concepts.....	0000
Integrated Case Scenarios.....	0000
Chapter Test — attempt before looking at the Answer Keys.....	0000
Active-Recall Tests (answers in Answer Keys).....	0000
Answer Keys.....	0000
Rapid Revision Ladder.....	0000
One-Page Chapter Sheet	0000
SM Chapter 1 — Introduction to Strategic Management.....	108
Examiner Mindset — SM Chapter 1	110
Chapter Snapshot	110
What ICAI Has Actually Tested.....	112
Topic-wise Notes with All Related Questions.....	116
Most Confusing Concepts.....	227
Integrated Case Scenarios.....	230
Chapter Test — attempt before looking at the Answer Keys.....	235
Active-Recall Tests (answers in Answer Keys).....	239
Answer Keys.....	241
Rapid Revision Ladder.....	245

One-Page Chapter Sheet247

How to Use This Book

Every chapter follows the same route. Use this five-step routine for each topic:

- **1. Understand:** read the blue UNDERSTAND IT box. It follows the ICAI study material heading by heading; nothing is left out.
- **2. Lock the words:** read the ICAI KEYWORDS and MEMORY TRICK boxes. ICAI's suggested answers reuse study-material phrases, and marks go to those phrases.
- **3. Attempt before reading:** cover the answer part of every OFFICIAL ICAI QUESTION (past paper, RTP, MTP) and write your answer first.
- **4. Practise:** do the practice MCQs and expected questions, then the integrated cases and chapter test at the end of the chapter.
- **5. Revise:** use the recall tests, the 5/15/30/60-minute revision ladder and the one-page sheet.

☐ QUICKRECAP · Reading the question labels

- **PYQ May 2025 · Q4(a)** = ICAI exam paper, May 2025, question 4(a). In past papers Q1–Q4 are Financial Management and Q5–Q8 are Strategic Management; MCQ 1–8 are FM and MCQ 9–16 are SM.
- **RTP Sep 2024 · FM Q12(a)** = ICAI Revision Test Paper for September 2024, FM section, question 12(a).
- **MTP May 2026 Series I · SM Q2(a)** = ICAI Mock Test Paper for May 2026, Series I, SM section, question 2(a). **SM MCQ 1(A)(i)** = case-scenario MCQ (i) in Part I.
- **FM Ch 1 §7.1** = Financial Management Chapter 1, study-material heading 7.1; **SM Ch 1 §1.5.2** = Strategic Management Chapter 1, heading 1.5.2.

☒ EXAM ALERT · Study guidance, not ICAI rules

- Time guides, answer lengths, mark splits and memory tricks are study guidance written for this book, not ICAI rules.
- ICAI questions are presented in our own words, with answers based on ICAI's suggested answers. Practice questions, cases and MCQs are written for this book on ICAI study-material topics.
- ICAI has not published examiners' comments for Paper 6 (the Group II comments cover Papers 4 and 5), so no examiner comment is quoted in this book.

Exam at a Glance — Paper 6: FM & SM

Pattern verified from ICAI's question papers and suggested answers for Sep 2024 to May 2026 (100 marks, 3 hours):

Section	Part I — MCQs	Part II — Descriptive	Total
6A Financial Management	15 marks: one case scenario with 5 MCQs × 2 marks, plus 2 independent MCQs × 2 marks and 1 MCQ × 1 mark	35 marks: Q1 compulsory (15 marks, 5 + 5 + 5); attempt any two of Q2–Q4 (10 marks each)	50
6B Strategic Management	15 marks: one case scenario with 5 MCQs × 2 marks, plus 2 independent MCQs × 2 marks and 1 MCQ × 1 mark	35 marks: Q5 compulsory (15 marks, 5 + 5 + 5); attempt any two of Q6–Q8 (10 marks each)	50

⌚ HOW TO FACE IT IN THE EXAM · Time per mark (study guidance)

- $180 \text{ minutes} \div 100 \text{ marks} \approx 1.8 \text{ minutes per mark}$. Keep about 10 minutes for reading the paper.
- A 2-mark theory part $\approx 3\text{--}4$ minutes; a 4-mark part ≈ 7 minutes; a 5-mark SM part ≈ 9 minutes.
- FM Q4 is always theory (4 + 4 + 2 with an OR in part c); FM Chapter 1 and FM Chapter 2 supply most of it.

FM Chapter 1 — Scope and Objectives of Financial Management

Paper 6A Financial Management · Module 1

Based on: ICAI BoS Study Material, Paper 6A Financial Management (relevant for May 2026 examination onwards), Module 1, Chapter 1 (pp. 1.1–1.29)

Chapter Index

Page numbers are printed at the foot of each page. In the PDF, click a line to jump to it.

Examiner Mindset — FM Chapter 1	8
Chapter Snapshot	8
What ICAI Has Actually Tested	10
Topic-wise Notes with All Related Questions	13
1–2. Introduction and Meaning of Financial Management	13
2.1–2.2 Procurement of Funds and Effective Utilisation of Funds	18
3. Evolution of Financial Management	25
4. Finance Functions / Finance Decisions	28
5–6. Importance and Scope of Financial Management	35
7–7.1 Objectives of Financial Management and Profit Maximisation	41
7.2–8. Wealth Maximisation / Value Creation and the Conflict with Profit Maximisation	49
9. Role of Finance Executive (Today vis-a-vis the Past)	61
10. Financial Distress and Insolvency	68
11. Relationship of Financial Management with Related Disciplines	73
12. Agency Problem and Agency Cost	79
Most Confusing Concepts	87
Integrated Case Scenarios	90
Chapter Test — attempt before looking at the Answer Keys	95
Active-Recall Tests (answers in Answer Keys)	99
Answer Keys	101
Rapid Revision Ladder	105
One-Page Chapter Sheet	107

Examiner Mindset — FM Chapter 1

■ OFFICIAL ICAI QUESTION · What ICAI's published papers tell us

- ICAI's examiners' comments for Group II cover Papers 4 and 5 only, so there are no published comments for Paper 6. The guidance below is drawn from ICAI's own suggested answers, RTPs and MTPs.
- This chapter is tested in the **theory question (Q4)** of Section A almost every attempt: in 6 of the 7 exams from May 2024 to May 2026 (not in Sep 2024), for 2 or 4 marks.
- The favourite area is **profit maximisation vs wealth maximisation**: May 2024, Jan 2025, Sep 2025 (OR) and May 2026 all touched it, and four RTPs asked it again.
- Newer favourites: **agency problem / agency cost** (May 2025, plus three MTPs) and **financial distress and insolvency** (May 2024 true/false, Jan 2026, one MTP).

⊛ HOW TO FACE IT IN THE EXAM · How ICAI answers this chapter (study guidance)

- ICAI's answers reproduce the **study-material list almost word for word**: four limitations of profit maximisation, five responsibilities of a finance executive, four types of agency cost, three ways to address the agency problem. Learn the exact count and the opening word of each point.
- For 2-mark parts ICAI writes a **definition plus 2–4 crisp points** (e.g. financial distress: one-line meaning + what happens if distress continues). Do not write an essay.
- Comparison questions (profit vs wealth) are answered as a **table**: objective, advantages, disadvantages; in May 2026 the rows were objective, risk, time horizon and sustainability.
- Case-style theory (MTP Sep 2025: Project X vs Project Y) is answered with a **one-line verdict first**, then the concept, then how the facts fit.

Chapter Snapshot

■ CHAPTER SNAPSHOT

What it is about: What financial management is, the two aspects (raising funds and using them well), the three long-term decisions plus working capital, why FM matters, its scope, the two objectives (profit vs wealth maximisation) and their conflict, the finance executive's

role, financial distress and insolvency, how FM relates to accounting and other disciplines, and the agency problem.

Why it matters: It is the vocabulary chapter of Paper 6A: every later chapter (cost of capital, capital structure, leverage, capital budgeting, dividend, working capital) is one of the decisions introduced here. In the exam it gives an easy 2–4 mark theory part almost every attempt.

Core concepts:

- FM Ch 1 §2 Meaning of FM and its two aspects: procurement and effective utilisation of funds
- FM Ch 1 §4 Finance functions: investment, financing and dividend decisions ($V = f(I, F, D)$) plus working capital management
- FM Ch 1 §7.1 Profit maximisation and its four limitations
- FM Ch 1 §7.2 Wealth maximisation / value creation and how the value of a firm is measured
- FM Ch 1 §8 Conflict between profit and value maximisation; advantages and disadvantages table
- FM Ch 1 §10 Financial distress and insolvency
- FM Ch 1 §12 Agency problem, agency cost and how to address it

Key provisions / standards:

- $V = f(I, F, D)$
- Value of a firm (V) = Number of shares (N) × Market price of shares (MP), or $V = \text{Value of equity } (V_e) + \text{Value of debt } (V_d)$
- Wealth = Present value of benefits – Present value of costs

Most tested areas (evidence-based):

- Profit vs wealth maximisation (limitations, advantages, differences) — evidence: PYQ May 2024 Q4(a), Jan 2025 Q4(b), Sep 2025 Q4(c) OR, May 2026 Q4(c); RTP May 2024, Sep 2024, May 2025, Jan 2026; 6 MTPs
- Agency problem and agency cost — evidence: PYQ May 2025 Q4(a); MTP Sep 2024 Series II, May 2025 Series I
- Financial distress and insolvency — evidence: PYQ May 2024 Q4(a)(iii), Jan 2026 Q4(c); MTP Sep 2025 Series I
- Finance functions and their inter-relationship — evidence: PYQ Sep 2025 Q4(c); MTP May 2024 Series II, Sep 2026 Series II

- Sources of funds described in this chapter (equity, debentures, banks, international funding, angel financing) — evidence: PYQ May 2024 Q4(a)(iv); RTP Sep 2025, May 2026

Top student mistakes:

- Writing 'profit maximisation is the main objective' — ICAI's answer is that wealth maximisation is the better objective in an uncertain, multi-period world.
- Defining financial distress in terms of accounting profit; ICAI defines it in terms of cash inflows being inadequate to meet current obligations.
- Listing only three types of agency cost; ICAI lists four: monitoring, bonding, opportunity, structuring.
- Treating accounting and financial management as the same: accounting uses the accrual basis; FM uses cash flows.

Integration links:

- FM Ch 2 Types of Financing: detailed study of the sources introduced in §2.1
- FM Ch 4 to Ch 6 (cost of capital, capital structure, leverage): the financing decision
- FM Ch 7 Investment Decisions: capital budgeting mentioned in §2.2 and §4
- FM Ch 8 Dividend Decisions: the dividend decision
- FM Ch 9 Working Capital: the short-term finance function
- SM Ch 1 §1.6: corporate-level managers as guardians of shareholders' wealth

🌀 **Revision path:** 5 min: the three decisions + four limitations of profit maximisation · 15 min: add the wealth maximisation table, distress, agency cost types · 30 min: add finance executive, FM vs accounting, importance and scope lists.

What ICAI Has Actually Tested

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ May 2024 · Q4(a)	True or false with reasons: MPS maximisation and shareholder wealth; risk-return trade-off; meaning of financial distress; angel investor	FM Ch 1 §7.2	4	True / False with reasons	First time asked
PYQ Jan 2025 · Q4(b)	Objective and advantages of the wealth maximisation goal	FM Ch 1 §7.2	4	Discuss	Same topic, new wording

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
					— PYQ May 2024 · Q4(a)
PYQ May 2025 · Q4(a)	Agency cost: meaning, types, how to minimise it and align manager and shareholder interests	FM Ch 1 §12	4	Explain	First time asked
PYQ Sep 2025 · Q4(c)	Two basic functions of financial management	FM Ch 1 §4	2	Explain	First time asked
PYQ Sep 2025 · Q4(c) (OR)	Any two limitations of the profit maximisation objective	FM Ch 1 §7.1	2	Explain	Same topic, new wording — PYQ Jan 2025 · Q4(b)
PYQ Jan 2026 · Q4(c)	Define financial distress and state the consequences of prolonged distress	FM Ch 1 §10	2	Define + explain	Same topic, new wording — PYQ May 2024 · Q4(a)
PYQ May 2026 · Q4(c)	Profit vs wealth maximisation in terms of objective, risk, time horizon and sustainability	FM Ch 1 §8	2	Differentiate	Same topic, new wording — PYQ Sep 2025 · Q4(c) (OR)

■ EXAM ALERT · Trends in ICAI questions

- Always a Section A Q4 theory part: 2 marks (part c) or 4 marks (parts a/b). No numerical question is set on this chapter.
- Profit vs wealth maximisation has appeared in four of seven attempts in different forms: true/false, advantages, limitations, comparison table.
- From 2025 ICAI moved to newer headings: agency cost (May 2025), financial distress (Jan 2026), basic functions (Sep 2025).
- ICAI suggested answers are near-verbatim study-material lists; the marks go to the listed points.

■ OFFICIAL ICAI QUESTION · RTP takeaways

- Four RTPs (May 2024, Sep 2024, May 2025, Jan 2026) repeat profit vs wealth maximisation, showing it is the core area.
- Sep 2025 and May 2026 RTPs turned §2.1 (sources of funds: equity, debentures, banks, international funding, angel financing) into questions.
- The Sep 2026 RTP asked the importance of financial management through a case: expect case-wrapped theory.
- The Jan 2025 RTP asked about emerging priorities in the future role of the CFO. That list is not in the current study material, so it is kept here as supplementary reading.

■ OFFICIAL ICAI QUESTION · MTP takeaways

- Profit maximisation 'not an operationally feasible criterion' appeared in three MTPs (Nov 2024, Mar 2026, Jul 2026).
- Agency problem appeared twice (Aug 2024, Mar 2025) and the inter-relationship of investment, financing and dividend decisions twice (Apr 2024, Aug 2026).
- MTPs also cover FM vs financial accounting, role of the CFO, importance of FM, measuring the value of a firm, and distress/insolvency.

Counting method: every official part mapped to this chapter from ICAI suggested answers (May 2024 to May 2026), RTPs (May 2024 to Sep 2026) and MTPs (Mar 2024 to Aug 2026). Suggested answers for May 2024 do not include the MCQ part.

Topic-wise Notes with All Related Questions

1-2. Introduction and Meaning of Financial Management

■ Conceptual Foundation

■ UNDERSTAND IT

Start-up picture (SM §1). An entrepreneur starting a business goes through four stages of decisions: (1) decide **which assets** to buy (premises, machinery, equipment); (2) work out the **total investment** needed to buy those assets; (3) find how much cash is needed to run **daily operations** (raw material, salaries, wages), i.e. the **working capital requirement**; (4) decide **which sources** to tap to finance the total investment (share capital including own funds, bank borrowings, investment from financial institutions).

While deciding how much to take from each source, the entrepreneur keeps the **cost of capital** of each source (interest, dividend) in mind and tries to keep it low.

Financial management is concerned with efficient acquisition (financing) and allocation (investment in assets, working capital etc.) of funds with an objective to make profit (dividend) for owners. Its focus is three major decision areas: **investment, financing and dividend.**

Every business asks **three key questions**: (1) Where to get the money from? — **Financing decision**; (2) Where to invest the money? — **Investment decision**; (3) How much to distribute amongst shareholders to keep them satisfied? — **Dividend decision.**

Meaning (SM §2). Financial management is the managerial activity concerned with **planning and controlling the firm's financial resources**, i.e. **acquiring, financing and managing assets to accomplish the overall goal of a business enterprise (mainly to maximise the shareholder's wealth).**

Because **positive cash flow matters more than book profit**, FM can also be defined as planning for the future of a business to ensure a positive cash flow. Some experts call it the **science of money management.**

Definition: "Financial Management comprises of **forecasting, planning, organizing, directing, co-ordinating and controlling** of all activities relating to **acquisition and application** of the financial resources of an undertaking in keeping with its financial objective."

Phillippatus: "Financial Management is concerned with the managerial decisions that result in the **acquisition and financing of short term and long term credits** for the firm." It deals with selecting specific assets (or combinations of assets) and with problems of size and growth of

an enterprise; these decisions are analysed on the basis of **expected inflows and outflows of funds** and their effect on managerial objectives.

There are **two basic aspects** of financial management: **procurement of funds** and **effective use (utilisation) of these funds** to achieve business objectives (both studied in the next topic).

e.g. A new bakery must decide which ovens to buy (investment), how much cash to keep for flour and wages (working capital), whether to use owner's money or a bank loan (financing), and later how much profit to pay out to the owners (dividend).

KEY FRAMEWORK / FORMULA · Definitions to quote

Requirement: General definition: forecasting, planning, organizing, directing, co-ordinating and controlling all activities relating to acquisition and application of financial resources.

Phillippatus: managerial decisions resulting in acquisition and financing of short-term and long-term credits for the firm.

Exam angle: The SM asks you to **ELABORATE** Phillippatus's statement; quote it and explain asset selection, size and growth, and inflow/outflow analysis.

ICAI KEYWORDS

efficient acquisition and allocation of funds · **investment, financing and dividend decisions** · **planning and controlling of financial resources** · **maximise shareholders' wealth** · **positive cash flow** · **science of money management**

MEMORY TRICK

"GET – PUT – SHARE": Get money (financing), Put money (investment), Share money (dividend).

Cue	Stands for
GET	Where to get money from? → Financing decision
PUT	Where to invest it? → Investment decision
SHARE	How much to give owners? → Dividend decision

 **3-second trigger: GET-PUT-SHARE**

■ COMMON MISTAKE / CONFUSION

- Saying FM is only about raising money. The SM gives two aspects: procurement and effective utilisation.
- Calling FM 'profit management'. The SM says the overall goal is mainly to maximise shareholders' wealth, and cash flow matters more than book profit.

🔗 INTEGRATION LINK

- 🔗 FM Ch 2 Types of Financing: the sources an entrepreneur taps (stage 4)

🔗 INTEGRATION LINK

- 🔗 FM Ch 9 Working Capital: the daily-operations cash of stage 3

⊛ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Elaborate a definition (SM theoretical question)
- MCQ on what FM is 'mainly concerned with'

How to attack it:

- Quote the definition, then explain its parts in 3–4 bullets
- Tie every point back to acquisition and application of funds

📖 What ICAI has done so far: Not asked in a past paper, RTP or MTP so far; covered by SM MCQs 1, 5 and 11.

⌚ Time / length guide (study guidance): 4 marks ≈ 7 minutes (study guidance).

📖 WRITE THIS IN THE EXAM

Structure:

- Definition in ICAI words
- Two aspects: procurement and utilisation
- Three decisions
- Goal: shareholders' wealth

🔗 Keywords: acquisition and application of financial resources · short term and long term credits

 **Ideal length:** 8–10 lines for 4 marks

 **Conclusion pattern:** Thus financial management is concerned with efficient acquisition and allocation of funds to maximise shareholders' wealth.

DON'T WRITE THIS

- Writing about accounting entries or bookkeeping

Questions on this topic — ICAI questions first, then practice

 **EXPECTED QUESTION** · Practice question · Elaborate · 4 marks

"Financial Management is concerned with acquisition and financing of short-term and long-term credit." Elaborate the statement.

MODEL ANSWER

- This is Phillipatus's definition: FM is concerned with the managerial decisions that result in the acquisition and financing of short-term and long-term credits for the firm.
- It deals with situations that require selection of specific assets (or a combination of assets) and with the specific problem of size and growth of an enterprise.
- These decisions are analysed on the basis of the expected inflows and outflows of funds and their effect on managerial objectives.
- FM therefore has two basic aspects: procurement of funds from different sources, and their effective utilisation to achieve business objectives.
- Its overall aim is to acquire, finance and manage assets to accomplish the overall goal of the enterprise, mainly maximising shareholders' wealth.

Conclusion: Hence FM covers both raising short- and long-term funds and deploying them efficiently.

 **Keywords:** Phillipatus · acquisition and financing · inflows and outflows of funds · size and growth

 **MCQ** · Practice MCQ · Direct · Easy

"Where to get the money from?" is the key question behind which finance decision?

- (A) Financing decision
- (B) Investment decision

- (C) Dividend decision
(D) Working capital decision

✓ ANSWER: (A)

SM §1 lists three questions: where to get the money from (financing), where to invest it (investment), how much to distribute (dividend).

- (B) X Investment answers 'where to invest the money?'
- (C) X Dividend answers 'how much to distribute to shareholders?'
- (D) X Working capital concerns current assets and liabilities, not sourcing of funds.

🚫 Trap: Mixing up 'get' (financing) with 'put' (investment).

Topic: FM Ch 1 §1

✓ MCQ · Practice MCQ · Which is correct · Moderate

As per the study material, financial management is mainly concerned with:

- (A) Recording business transactions on the accrual basis
(B) Acquiring, financing and managing assets to accomplish the overall goal of a business enterprise
(C) Achieving the sole objective of profit maximisation
(D) Preparing statutory financial statements for shareholders

✓ ANSWER: (B)

SM §2: FM is concerned with acquiring, financing and managing assets to accomplish the overall goal of the enterprise (mainly to maximise shareholders' wealth). This matches SM MCQ 11.

- (A) X That describes accounting, not FM.
- (C) X Profit maximisation is not the sole objective; the SM prefers wealth maximisation.
- (D) X Financial statements are an accounting output that FM only uses as input.

🚫 Trap: Option C sounds finance-like but uses the word 'sole'.

Topic: FM Ch 1 §2

□ QUICK RECAP

- FM = efficient acquisition + allocation of funds.
- Three questions → financing, investment, dividend decisions.

- Two aspects: procurement and effective utilisation of funds.

2.1–2.2 Procurement of Funds and Effective Utilisation of Funds

■ Medium Exam Activity | 📌 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (Sep 2024 Q2(b), May 2024 Q4(a)(iv)) · RTP 2 (Sep 2025, May 2026)

■ UNDERSTAND IT

Procurement of funds (§2.1). Funds can come from many sources, so procuring them is always a **complex problem**. Sources shown in the SM: **Owner's funds, Debentures and Bonds, Angel Financing, Venture Capital, Commercial Banks (short, medium and long-term funds)**.

In a global competitive scenario it is not enough to depend on available ways of raising finance. **Resource mobilisation has to be undertaken through innovative financial products** that meet investors' needs, e.g. **trading in Carbon Credits** is turning out to be another source of funding.

Funds from different sources have different characteristics in terms of risk, cost and control.

The cost of funds should be at the minimum level, for which a proper **balancing of risk and control** must be carried out. Another key consideration is to strike a **balance between equity and debt** so that the funding structure suits the business.

(a) **Equity:** best from the **risk** point of view (no repayment except on liquidation), but usually the **most expensive** source, because shareholders expect dividends higher than prevailing interest rates and **dividends are an appropriation of profit, not allowed as an expense** under the Income Tax Act. A new public issue may also **dilute control** of existing shareholders.

(b) **Debentures:** comparatively **cheaper** than shares because of the **tax advantage** (interest is deductible; dividends come from taxed profits). But interest must be paid even in hard times and whether or not there is profit, and debentures must be repaid as per agreement, so they carry a **high degree of risk**.

(c) **Funding from banks:** commercial banks support routine activities (deposits, payments) and meet long- and short-term needs. Lending services are **Fund based:** Cash Credit, Overdraft, Term Loans, Working Capital Term (loans), Bill Purchase/Discounting; and **Non-fund based:** Guarantee, Letters of Credit.

(d) **International funding:** with liberalisation and globalisation, capital can be raised from international markets. **FDI and FII** are the two major routes, besides **ADRs (American**

Depository Receipts) and GDRs (Global Depository Receipts). The procurement mechanism must be modified to suit foreign investors' requirements.

(e) Angel financing: a form of **equity financing** where an angel investor, a **wealthy individual**, provides capital for start-up or expansion **in exchange for ownership/equity**. Angels have idle cash and seek higher returns than traditional investments; they typically invest **around 25 to 60 per cent** to help a company get started. It is sometimes the **last option for start-ups** that do not qualify for bank funding and are **too small for venture capital**.

Effective utilisation of funds (§2.2). The finance manager must point out where funds are **idle or improperly used**. All funds carry a cost and a risk; if they do not generate income higher than their cost, there is no point in running the business, so funds must be employed **properly and profitably**.

(a) Utilisation for fixed assets: invest so that the company can produce at its optimum level **without endangering financial solvency**; this needs sound knowledge of **capital budgeting**, the planning process to decide whether long-term investments (new or replacement machinery, new plants, new products, R&D projects) will give the desired return.

(b) Utilisation for working capital: keep **adequate** working capital while ensuring that **too much is not blocked** in inventories, book debts, cash etc.

e.g. A start-up rejected by banks and too small for a venture capital fund raises ₹50 lakh from a wealthy individual for a 40% stake. That is angel financing: equity-based and within the 25–60% range mentioned in the SM.

KEY FRAMEWORK / FORMULA · Risk, cost and control of the main sources (SM §2.1)

Requirement: Equity: lowest risk to firm, highest cost, possible dilution of control. Debentures: cheaper due to tax-deductible interest, but compulsory interest and repayment make them risky. Banks: fund-based and non-fund-based lending. International: FDI, FII, ADR, GDR. Angel: equity for start-ups, 25–60%.

Exam angle: RTP Sep 2025 gave five features and asked for the matching source; RTP May 2026 asked the features of international funding and angel financing.

ICAI KEYWORDS

risk, cost and control · balance between equity and debt · most expensive source of funds · tax advantage · fund based / non-fund based · FDI, FII, ADR, GDR · angel investor · last option for startups · capital budgeting · idle funds

■ MEMORY TRICK

"E-D-B-I-A" for the five sources in SM order: Equity, Debentures, Banks, International, Angel. Each carries a one-word tag: Expensive, Deductible, Both fund & non-fund, Inflow from abroad, Angel = last option.

Cue	Stands for
E	Equity: safest for firm, costliest, dilutes control
D	Debentures: cheaper (tax), but risky (fixed interest + repayment)
B	Banks: fund based (CC, OD, TL, WCTL, bills) + non-fund (guarantee, LC)
I	International: FDI, FII, ADR, GDR
A	Angel: wealthy individual, equity, 25–60%, last option for start-ups

⚡ 3-second trigger: E-D-B-I-A

■ COMMON MISTAKE / CONFUSION

- Calling angel financing a loan. It is equity financing in exchange for ownership.
- Saying equity is risky for the company. It is the least risky for the firm because it need not be repaid, but it is the most expensive.
- Forgetting non-fund-based bank services (guarantee, letter of credit).

Basis	Equity	Debentures
Risk to firm	Lowest: no repayment except on liquidation	High: repayment as per terms, interest even without profit
Cost	Most expensive: dividend expectations high; dividend not tax-deductible	Cheaper: interest is tax-deductible
Control	New issue may dilute control	No dilution
In hard times	Dividend need not be paid	Interest must be paid

🔗 INTEGRATION LINK

🔗 FM Ch 2 Types of Financing: detailed coverage of each source, including venture capital and international instruments

🔗 INTEGRATION LINK

🔗 FM Ch 7 Investment Decisions: capital budgeting for fixed-asset utilisation

🔗 INTEGRATION LINK

🔗 FM Ch 9 Working Capital: avoiding funds blocked in inventory, debtors and cash

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Match features to sources (RTP Sep 2025)
- Features of international funding and angel financing (RTP May 2026)
- True/false statement on angel investors (PYQ May 2024)
- Three main considerations in procuring funds (SM theoretical question 4)

How to attack it:

- For 'considerations in procuring funds', write risk, cost and control, plus balance of debt and equity
- For features of a source, give meaning + 2–3 characteristics in SM words

📖 What ICAI has done so far: PYQ Sep 2024 · Q2(b); PYQ May 2024 · Q4(a) statement (iv); RTP Sep 2025 · FM Q10(a); RTP May 2026 · FM Q10(a).

🕒 Time / length guide (study guidance): 2 marks ≈ 3–4 minutes; 4 marks ≈ 7 minutes (study guidance).

📖 WRITE THIS IN THE EXAM

Structure:

- Name the source
- One-line meaning
- Risk / cost / control features
- Who uses it and when

 **Keywords:** risk, cost and control · last option for startups · FDI and FII

 **Ideal length:** 4–6 lines per source

 **Conclusion pattern:** The finance manager should choose the mix that minimises cost after balancing risk and control.

DON'T WRITE THIS

- Mixing angel investors with venture capital funds
- Describing ADR/GDR procedures in detail (that belongs to FM Ch 2)

Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · PYQ Sep 2024 · Q2(b) · 2 marks

Explain angel financing.

MODEL ANSWER

- Angel financing is a form of equity financing in which an individual, or a group of individuals, provides capital to entrepreneurs and early-stage businesses or start-ups, in exchange for an ownership or equity stake in the company.
- Angel investors may provide a one-time investment or an ongoing capital injection through a series of investments.
- Angel investors are looking for a higher rate of return than what is given by traditional investments.
- The study material adds that angels typically invest around 25 to 60 per cent to help a company get started, and that this source is sometimes the last option for start-ups which do not qualify for bank funding and are too small for venture capital financing.

Conclusion: Three or four lines carry the full 2 marks.

 **Keywords:** equity-financing · early-stage businesses · ownership/equity · higher rate of return

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

 **OFFICIAL ICAI QUESTION** · RTP Sep 2025 · FM Q10(a)

Identify the most relevant source of funds for each feature: (i) it is the most expensive source of funds; (ii) it carries a high degree of risk because it must be repaid as per the terms of

agreement; (iii) it supports businesses in their routine activities; (iv) it gives the option of raising capital from international markets; (v) it is sometimes the last option for start-ups that do not qualify for bank funding.

✓ MODEL ANSWER

- (i) Equity
- (ii) Debentures
- (iii) Funding from banks
- (iv) International funding
- (v) Angel financing

Conclusion: Each feature is taken directly from the SM description of the source.

Keywords: most expensive · repaid as per terms · routine activities · international markets · last option for startups

■ OFFICIAL ICAI QUESTION · RTP May 2026 · FM Q10(a)

Discuss the features of international funding and angel financing in the context of corporate financing.

✓ MODEL ANSWER

- **International funding:** with liberalisation and globalisation, a business can raise capital from international markets.
- Foreign Direct Investment (FDI) and Foreign Institutional Investors (FII) are the two major routes for raising funds from foreign sources, besides ADRs (American Depositary Receipts) and GDRs (Global Depositary Receipts).
- The mechanism of procuring funds has to be modified in the light of the requirements of foreign investors.
- **Angel financing:** a form of equity financing where an angel investor, a wealthy individual, provides capital for start-up or expansion in exchange for ownership/equity in the company.
- Angels typically invest around 25 to 60 per cent to help a company get started.
- It is sometimes the last option for start-ups that do not qualify for bank funding and are too small for venture capital financing.

Keywords: FDI · FII · ADR · GDR · equity financing · wealthy individual · 25 to 60 per cent

 EXPECTED QUESTION · Practice question · Discuss · 4 marks

Discuss the three main considerations in procuring funds, and explain why equity is called the best source from the risk point of view but the most expensive from the cost point of view.

 MODEL ANSWER

- Funds from different sources differ in **risk, cost and control**; these are the three main considerations.
- Cost of funds should be kept at the minimum, for which a proper balancing of risk and control must be carried out; a balance between equity and debt should suit the business.
- Equity is best from the risk point of view because there is no question of repayment except when the firm is under liquidation.
- Equity is the most expensive because shareholders' dividend expectations are normally higher than prevailing interest rates, and dividends are an appropriation of profit, not an expense allowed under the Income Tax Act.
- A new public issue of shares may also dilute the control of existing shareholders.

Conclusion: So the finance manager balances equity (safe but costly) with debt (cheap but risky) to minimise overall cost.

 **Keywords:** **risk, cost and control** · **appropriation of profit** · **dilute the control**

 MCQ · Practice MCQ · Case-based · Moderate

TinyBot Ltd., a two-year-old start-up, was refused a bank loan and is too small for a venture capital fund. A wealthy individual offers ₹40 lakh for a 35% stake. This source of finance is:

- (A) Venture capital financing
- (B) Term loan from a commercial bank
- (C) Angel financing
- (D) Non-fund based bank facility

 ANSWER: (C)

SM §2.1(e): an angel investor is a wealthy individual who provides capital for start-up in exchange for equity, typically 25–60%, and it is often the last option for start-ups that do not qualify for bank funding and are too small for venture capital.

- (A) X The facts say the firm is too small for venture capital.
- (B) X The bank refused the loan, and a stake means equity, not a loan.

- (D) X Guarantees and letters of credit provide no cash.

 **Trap:** Confusing angel investors with venture capital funds.

Topic: FM Ch 1 §2.1

☒ MCQ · Practice MCQ · Statement · Moderate

Which statement on effective utilisation of funds is correct as per the study material?

- (A) Funds should be kept idle to preserve liquidity at all times
- (B) Working capital should be kept as high as possible to avoid any shortage
- (C) Utilisation for fixed assets does not need capital budgeting knowledge
- (D) If funds do not generate income higher than their cost, there is no point in running the business

✓ **ANSWER: (D)**

SM §2.2: all funds are procured at a cost and with risk; if they do not generate income higher than their cost, there is no point in running the business.

- (A) X The finance manager must point out idle funds.
- (B) X Too much should not be blocked in inventories, debtors and cash.
- (C) X The SM requires sound knowledge of capital budgeting.

 **Trap:** Assuming 'more working capital is always safer'.

Topic: FM Ch 1 §2.2

☐ QUICKRECAP

- Sources differ in risk, cost and control.
- Equity safest but costliest; debentures cheaper but risky; angel = equity for start-ups.
- Use funds properly: capital budgeting for fixed assets, optimum working capital.

3. Evolution of Financial Management

☐ Low Exam Activity

 **UNDERSTAND IT**

Financial management evolved gradually over the past 50 years and emerged as a **separate field of study at the beginning of the century**. The SM divides its evolution into **three phases**.

Traditional phase: FM was considered necessary *only during occasional events* such as takeovers, mergers, expansion, liquidation. Financial decisions kept in mind the needs of *outsiders* (investment bankers, lenders and similar people).

Transitional phase: importance shifted to the *day-to-day problems* faced by financial managers; *funds analysis, planning and control* got more attention.

Modern phase (still going on): the scope of FM has greatly increased; *financial analysis* helps decision making. Many theories have developed on *efficient markets, capital budgeting, option pricing, valuation models* and other fields.

SM MCQ 9 key: *early in the history of finance, an important issue was liquidity* (outsiders such as lenders cared about the firm's ability to pay).

e.g. A 1950s company would call in finance experts only when merging with another firm (traditional phase); a modern company uses valuation models every quarter (modern phase).

■ ICAI KEYWORDS

traditional phase · transitional phase · modern phase · occasional events · day-to-day problems · efficient markets, capital budgeting, option pricing, valuation models

■ MEMORY TRICK

"O-D-T": Occasional events → Day-to-day problems → Theories.

Cue	Stands for
O	Traditional: occasional events (mergers, takeovers, liquidation), outsiders' needs
D	Transitional: day-to-day problems, funds analysis, planning and control
T	Modern: theories (efficient markets, capital budgeting, option pricing, valuation)

⚡ 3-second trigger: O-D-T

■ COMMON MISTAKE / CONFUSION

- Swapping transitional and modern phases.
- Saying the modern phase has ended. The SM says it is still going on.

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- MCQ on the features of a phase
- Short note on evolution (low probability)

How to attack it:

- Link each phase to its focus word: occasional, day-to-day, theories

📖 What ICAI has done so far: Not asked so far; SM MCQ 9 tests it.

🕒 Time / length guide (study guidance): MCQ only; 2-mark note ≈ 3 minutes (study guidance).

📖 Questions on this topic — ICAI questions first, then practice

🕒 EXPECTED QUESTION · Practice question · Short note · 2 marks

Write a short note on the evolution of financial management.

✓ MODEL ANSWER

- Traditional phase: FM needed only for occasional events such as takeovers, mergers, expansion and liquidation; outsiders' needs (investment bankers, lenders) were kept in mind.
- Transitional phase: day-to-day problems of financial managers gained importance; funds analysis, planning and control got attention.
- Modern phase (continuing): wider scope, financial analysis for decision making, and theories on efficient markets, capital budgeting, option pricing and valuation models.

🔑 Keywords: traditional · transitional · modern

✓ MCQ · Practice MCQ · Direct · Easy

During which phase of evolution was financial management considered necessary only for occasional events such as mergers, takeovers and liquidation?

- (A) Traditional phase
- (B) Transitional phase
- (C) Modern phase
- (D) Globalisation phase

✓ ANSWER: (A)

SM §3: in the traditional phase FM was needed only during occasional events such as takeovers, mergers, expansion and liquidation.

- (B) X The transitional phase focused on day-to-day problems.
- (C) X The modern phase focuses on analysis and theories.
- (D) X No such phase in the SM.

 **Trap:** 'Globalisation' sounds like a phase but is not one of the three.

Topic: FM Ch 1 §3

☒ MCQ · Practice MCQ · Which is correct · Moderate

Theories on efficient markets, option pricing and valuation models were developed during the:

- (A) Traditional phase, which is now over
- (B) Modern phase, which is still going on
- (C) Transitional phase, focused on day-to-day problems
- (D) Traditional phase, focused on outsiders' needs

✓ **ANSWER: (B)**

SM §3: the modern phase is still going on; many theories on efficient markets, capital budgeting, option pricing and valuation models were developed in it.

- (A) X Wrong phase.
- (C) X The transitional phase dealt with funds analysis, planning and control.
- (D) X Wrong phase.

 **Trap:** Believing the modern phase has ended.

Topic: FM Ch 1 §3

☐ **QUICK RECAP**

- Traditional: occasional events and outsiders.
- Transitional: day-to-day problems.
- Modern (ongoing): analysis and theories.

4. Finance Functions / Finance Decisions

■ Medium Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (Sep 2025 Q4(c)) · MTP 2 (Apr 2024, Aug 2026)

■ UNDERSTAND IT

==Value of a firm depends on the finance functions/decisions: $V = f(I, F, D)$.== The finance functions are divided into **long-term** and **short-term** functions/decisions.

(a) **Investment decisions (I)**: relate to the **selection of assets** in which funds will be invested.

Long-term funds are used in a project for fixed assets and also for current assets. Investment must be made after careful assessment of projects through **capital budgeting**. A part of long-term funds is kept for **working capital**. **Asset management policies** are laid down for current assets; e.g. **inventory policy** is decided by the production manager and finance manager considering production requirements, future raw material prices and availability of funds.

(b) **Financing decisions (F)**: relate to **acquiring the optimum finance** to meet financial objectives and seeing that fixed and working capital are effectively managed. The finance manager needs knowledge of **sources of funds and their costs**, and must ensure a **sound capital structure** (proper balance between equity and debt).

Financing decisions also need a clear understanding of the **difference between profit and cash flow**: profit is of little use unless the organisation has cash to pay for assets and sustain the working capital cycle. They require **evaluation of risk**, e.g. **excessive debt carries high risk for equity** because lenders have priority rights. **Overseas trading** exposes the firm to currency fluctuations, so the manager must know protective procedures like **hedging** (a strategy to minimise, reduce or cancel out the risk in another investment; e.g. a shopkeeper hedges fire risk through a fire insurance contract).

(c) **Dividend decisions (D)**: relate to **how much and how frequently cash can be paid out** of profits to owners. Owners are rewarded in two ways: **growth of capital** invested and **cash paid out as income** (drawings for a sole trader, dividends for a company).

The dividend decision has **two elements**: the **amount paid out** and the **amount retained** for growth; retention is also a **financing decision**. The level and regular growth of dividends is a significant factor in a company's **market value** (value placed on its shares by the stock market).

All three decisions are inter-related. The first two apply to **any kind of organisation**; the dividend decision applies **only to profit-making organisations**. So FM is vital at every level, from a sole trader to the largest multinational.

Short-term finance decision/function — Working Capital Management (WCM): short-term decisions are generally reduced to the **management of current assets and current liabilities**.

e.g. A company plans a ₹10 crore plant (investment). It must decide between retained profits and a loan (financing). If it retains profits, it pays a smaller dividend (dividend). All three decisions together affect its share price, $V = f(I, F, D)$.

KEY FRAMEWORK / FORMULA · $V = f(I, F, D)$

Requirement: Value of the firm is a function of Investment, Financing and Dividend decisions; short-term function = working capital management.

Exam angle: Write the function first, then explain each letter; for 'inter-relationship' questions show how each decision affects the others and the market price of shares.

ICAI KEYWORDS

$V = f(I, F, D)$ · selection of assets · capital budgeting · optimum finance · sound capital structure · profit and cash flow · hedging · amount paid out and amount retained · inter-related · working capital management

MEMORY TRICK

"I-F-D + W": three long-term decisions + one short-term function. Dividend = the only one that needs profit.

Cue	Stands for
I	Which assets? Capital budgeting, asset management policies
F	Which funds? Optimum mix, capital structure, risk, hedging
D	How much to pay? Pay-out vs retention (retention = financing too)
W	Current assets and current liabilities

 3-second trigger: $V = f(I, F, D) + W$

COMMON MISTAKE / CONFUSION

- Saying all three decisions apply to every organisation. Dividend decisions relate only to profit-making organisations.
- Forgetting that retained earnings make the dividend decision also a financing decision.
- Writing only three functions in a 'basic functions' question. ICAI's Sep 2025 answer also listed working capital management.

🔗 INTEGRATION LINK

🔗 FM Ch 4, 5, 6: the financing decision in depth

🔗 INTEGRATION LINK

🔗 FM Ch 7: the investment decision

🔗 INTEGRATION LINK

🔗 FM Ch 8: the dividend decision

🔗 INTEGRATION LINK

🔗 FM Ch 9: working capital management

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Two basic functions of FM (PYQ Sep 2025, 2 marks)
- Inter-relationship of investment, financing and dividend decisions (MTP, 4 marks)
- Discuss the two main aspects of the finance function (SM question 3)

How to attack it:

- Start with $V = f(I, F, D)$
- Explain each decision in one line of ICAI wording
- For inter-relationship: common objective = shareholders' wealth; show investment needs finance, and retention reduces dividends

📖 What ICAI has done so far: PYQ Sep 2025 · Q4(c) (functions, 2 marks); MTP May 2024 Series II · FM Q4(a) and MTP Sep 2026 Series II · FM Q4(a) (inter-relationship, 4 marks).

⚙️ **Time / length guide (study guidance):** 2 marks ≈ 3–4 minutes; 4 marks ≈ 7 minutes (study guidance).

📌 WRITE THIS IN THE EXAM

Structure:

- $V = f(I, F, D)$
- Investment decision (meaning + capital budgeting)
- Financing decision (optimum mix)
- Dividend decision (pay-out vs retention)
- Working capital management (short-term)

🔑 **Keywords:** selection of assets · optimum finance · how much and how frequently cash can be paid

📏 **Ideal length:** 2 marks: 4 one-line points; 4 marks: 10–12 lines

📊 **Conclusion pattern:** These decisions are inter-related and should be taken jointly to maximise shareholders' wealth.

⊘ DON'T WRITE THIS

- Explaining NPV or dividend models; those belong to later chapters

📖 Questions on this topic — ICAI questions first, then practice

📌 **OFFICIAL ICAI QUESTION** · PYQ Sep 2025 · Q4(c) · 2 marks

Explain two basic functions of financial management.

✅ MODEL ANSWER

- **Investment decisions (I):** relate to the selection of assets in which funds will be invested by a firm.
- **Financing decisions (F):** relate to acquiring the optimum finance to meet financial objectives and seeing that fixed and working capital are effectively managed.
- **Dividend decisions (D):** relate to how much and how frequently cash can be paid out of the profits of an organisation as income for its owners/shareholders.
- **Working capital management (WCM):** short-term decisions are generally reduced to management of current assets and current liabilities.

Conclusion: Any two of these, explained in one or two lines each, earn the 2 marks (ICAI's answer lists all four).

 **Keywords:** selection of assets · optimum finance · paid out of the profits · current assets and current liabilities

 **OFFICIAL ICAI QUESTION** · MTP May 2024 Series II · FM Q4(a) · 4 marks

Write a short note on the inter-relationship between investment, financing and dividend decisions.

 MODEL ANSWER

- The finance functions are divided into three major decisions: investment, financing and dividend. They are inter-related because their underlying objective is the same: maximisation of shareholders' wealth.
- One must consider the joint impact of these decisions on the market price of the company's shares, and they should be solved jointly.
- The decision to invest in a new project needs finance; the financing decision in turn is influenced by, and influences, the dividend decision, because retained earnings used for internal financing deprive shareholders of dividends. Efficient FM ensures optimal joint decisions by evaluating each in relation to shareholders' wealth.
- **Investment decision:** long-term funds are invested after careful assessment of projects through capital budgeting and uncertainty analysis; only a proposal expected to yield at least enough to meet its cost of financing is accepted, which influences profitability and wealth.
- **Financing decision:** funds can be raised from various sources, each with different issues; the finance manager balances long-term and short-term funds and ensures a proper mix of loan funds and owner's funds. The optimum financing mix increases return to equity shareholders and maximises their wealth.
- **Dividend decision:** the finance manager assists top management in deciding what portion of profit to pay as dividend and what portion to retain; an optimal dividend pay-out ratio maximises shareholders' wealth.

Conclusion: Investment, financing and dividend decisions are inter-related and should be taken jointly, keeping in view their joint effect on shareholders' wealth.

 **Keywords:** inter-related · joint impact on market price · retained earnings deprive shareholders of dividends · optimum financing mix · optimal dividend pay-out ratio

 Also asked as: MTP Sep 2026 Series II · FM Q4(a) (identical short note, 4 marks)

 **EXPECTED QUESTION** · Practice question · Discuss · 4 marks

"Financing decisions call for a good knowledge of evaluation of risk and of the difference between profit and cash flow." Discuss with reference to the financing decision.

 **MODEL ANSWER**

- Financing decisions relate to acquiring the optimum finance and seeing that fixed and working capital are effectively managed.
- The manager must know the available sources and their costs and ensure a sound capital structure: a proper balance between equity and debt.
- Profit is of little avail unless the organisation has enough cash to pay for assets and sustain the working capital cycle, so the difference between profit and cash flow must be understood.
- Excessive debt carries high risk for equity because of the priority rights of lenders.
- In overseas trading the firm is exposed to currency fluctuations; the manager should know protective procedures such as hedging, a strategy to minimise, reduce or cancel out risk (e.g. fire insurance for a shopkeeper).

Conclusion: Thus a sound financing decision balances cost, cash flow and risk.

 **Keywords:** optimum finance · sound capital structure · profit and cash flow · priority rights of lenders · hedging

 **MCQ** · Practice MCQ · Statement · Moderate

Which of the following statements about finance decisions is correct?

- (A) All three decisions apply equally to profit-making and non-profit organisations
- (B) Retention of profits is purely a dividend decision with no financing effect
- (C) The dividend decision relates only to profit-making organisations
- (D) Working capital management is a long-term finance decision

 **ANSWER: (C)**

SM §4: the first two decisions pertain to any kind of organisation, while the dividend decision relates only to profit-making organisations.

- (A) X The dividend decision needs profits.

- (B) X The amount retained is also a financing decision.
- (D) X WCM is the short-term function.

 **Trap:** Assuming every decision applies to every entity.

Topic: FM Ch 1 §4

☒ MCQ · Practice MCQ · Case-based · Moderate

Rhea, finance manager of an exporter, buys forward contracts so that a fall in the US dollar does not hurt the company's receivables. The procedure she uses, mentioned under financing decisions in the study material, is:

- (A) Capital budgeting
- (B) Working capital cycle
- (C) Dividend smoothing
- (D) Hedging

 **ANSWER: (D)**

SM §4(b): in overseas trading an organisation is vulnerable to currency fluctuations; the manager must know protective procedures such as hedging, a strategy to minimise, reduce or cancel out risk.

- (A) X Capital budgeting evaluates long-term projects.
- (B) X Working capital cycle is about current assets and liabilities.
- (C) X Not about currency risk.

 **Trap:** Choosing capital budgeting because the question mentions finance manager decisions.

Topic: FM Ch 1 §4

☐ QUICKRECAP

- $V = f(I, F, D)$; short-term = WCM.
- Dividend decision only for profit-making entities; retention = financing.
- Decisions are inter-related via shareholders' wealth.

5-6. Importance and Scope of Financial Management

■ Medium Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: RTP 1 (Sep 2026) · MTP 1 (Dec 2024)

■ UNDERSTAND IT

Importance (SM §5). The importance of FM cannot be over-emphasised; it is the **key to successful business operations**. Without proper administration of finance, no enterprise can reach its full potential for growth and success. **Money is to an enterprise what oil is to an engine.**

FM is all about **planning investment, funding the investment, monitoring expenses against budget and managing gains** from investments. It means management of **all matters related to an organisation's finances** (SM MCQ 5 key: 'Financial management').

The best way to show its importance is through the **tasks it involves**: (1) taking care **not to over-invest in fixed assets**; (2) **balancing cash outflows with cash inflows**; (3) ensuring a **sufficient level of short-term working capital**; (4) setting **sales revenue targets** that will deliver growth; (5) increasing **gross profit by correct pricing** of products or services; (6) **controlling general and administrative expenses** by finding more cost-efficient ways of running day-to-day operations; (7) **tax planning** that minimises the taxes a business has to pay.

Scope (SM §6). As an integral part of overall management, FM is mainly concerned with **acquisition and use of funds**. Based on **Ezra Solomon's** concept, the study of FM covers: (a) **determination of size** of the enterprise and its **rate of growth**; (b) determining the **composition of assets**; (c) determining the **mix of financing** (level of debt to equity etc.); (d) **analysis, planning and control** of financial affairs.

Role of the financial controller. Until the middle of the (last) century the role was limited to **procurement of funds** during major events such as promotion, expansion and merger. In modern times it includes, besides procurement, the **three decisions: investment, financing and dividend**.

Overview of the financial controller (SM figure): the financial controller takes **financial decisions** (investment, financing, dividend), which affect **return and risk**; the **trade-off** between them leads to **maximisation of share value**. To maximise shareholders' wealth the controller should strive to **maximise returns in relation to the given risk** and avoid unnecessary risks, and should constantly **monitor funds flowing in and out** so they are safeguarded and properly used.

e.g. RTP Sep 2026 case: PQR Ltd. bought new machinery and raised production but, due to poor financial planning, faces cash shortages, rising expenses and working capital trouble. Better budgeting, cost control and cash flow management are exactly the importance tasks in SM §5.

 **KEY FRAMEWORK / FORMULA** · Ezra Solomon: four aspects of the scope of FM

Requirement: (a) size of the enterprise and rate of growth; (b) composition of assets; (c) mix of financing; (d) analysis, planning and control of financial affairs.

Exam angle: Direct 'scope' question or MCQ; name Ezra Solomon.

ICAI KEYWORDS

key to successful business operations · money is to an enterprise what oil is to an engine · not to over-invest in fixed assets · balancing cash-outflow with cash-inflows · tax planning · Ezra Solomon · composition of assets · mix of financing · risk-return trade off · maximisation of share value

MEMORY TRICK

Importance = "FACTS-GT": Fixed assets not over-invested, Align cash in and out, Current (working) capital sufficient, Targets for sales, Selling price for gross profit, General and admin expenses controlled, Tax planning. Scope (Solomon) = "SAMA": Size & growth, Assets composition, Mix of financing, Analysis-planning-control.

Cue	Stands for
FACTS-GT	Seven tasks that show the importance of FM
SAMA	Four aspects of scope as per Ezra Solomon

 3-second trigger: FACTS-GT / SAMA

COMMON MISTAKE / CONFUSION

- Confusing importance (seven tasks) with scope (Ezra Solomon's four aspects).
- Writing that the financial controller's role is only fund procurement. That was the old role; the modern role covers all three decisions.

🔗 INTEGRATION LINK

- 🔗 FM Ch 7 and Ch 9: over-investment in fixed assets and working capital adequacy

🔗 INTEGRATION LINK

- 🔗 FM Ch 5: mix of financing (capital structure)

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Describe tasks that show the importance of good FM (MTP Dec 2024, 4 marks)
- Case: explain the importance of FM for growth, profitability and stability (RTP Sep 2026)
- Scope of FM as per Ezra Solomon

How to attack it:

- Open with 'key to successful business operations'
- List the seven tasks
- In a case, map each task to a fact (cash shortage → balancing cash flows; rising expenses → controlling expenses)

📖 What ICAI has done so far: MTP Jan 2025 Series II · FM Q4(b); RTP Sep 2026 · FM Q10(a).

🕒 Time / length guide (study guidance): 4 marks ≈ 7 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- One-line importance statement
- Seven tasks as bullets
- Link to facts if it is a case

🔑 Keywords: key to successful business operations · cash-outflow with cash-inflows · sufficient working capital

📏 Ideal length: 8–10 lines

📊 Conclusion pattern: Hence sound financial management is essential for growth, profitability and financial stability.

⊘ DON'T WRITE THIS

- Writing scope points when importance is asked

📁 Questions on this topic — ICAI questions first, then practice

■ OFFICIAL ICAI QUESTION · MTP Jan 2025 Series II · FM Q4(b) · 4 marks

Describe some of the tasks that demonstrate the importance of good financial management.

✓ MODEL ANSWER

- Taking care not to over-invest in fixed assets.
- Balancing cash outflows with cash inflows.
- Ensuring that there is a sufficient level of working capital.
- Setting sales revenue targets that will deliver growth.
- Increasing gross profit by setting the correct pricing for products or services.
- Controlling the level of general and administration expenses by finding more cost-efficient ways of running day-to-day business operations.
- Tax planning that will minimise the taxes a business has to pay.

🔑 Keywords: over-invest in fixed assets · balancing cash flows · tax planning

■ OFFICIAL ICAI QUESTION · RTP Sep 2026 · FM Q10(a)

PQR Ltd. expanded by buying new machinery and increasing production, but poor financial planning has led to cash shortages, rising expenses and difficulty in managing working capital. Management now wants better budgeting, cost control and cash flow management. In this light, explain the importance of financial management and how it helps a business achieve growth, profitability and financial stability.

✓ MODEL ANSWER

- Importance of financial management cannot be over-emphasised; it is the key to successful business operations. Without proper administration of finance, no enterprise can reach its full potential for growth and success. Money is to an enterprise what oil is to an engine.

- Financial management is about planning investment, funding the investment, monitoring expenses against budget and managing gains from investments; it means management of all matters related to an organisation's finances.
- Its importance is shown by the tasks it involves: (a) taking care not to over-invest in fixed assets; (b) balancing cash outflows with cash inflows; (c) ensuring a sufficient level of short-term working capital; (d) setting sales revenue targets that will deliver growth; (e) increasing gross profit by correct pricing; (f) controlling general and administrative expenses through cost-efficient day-to-day operations; (g) tax planning to minimise taxes.
- Applied to PQR Ltd.: budgeting and balancing cash flows address the cash shortage; cost control addresses rising expenses; ensuring sufficient working capital addresses the working capital difficulty; avoiding over-investment in machinery protects stability.

Conclusion: Sound financial management helps PQR Ltd. grow, stay profitable and remain financially stable.

 **Keywords:** key to successful business operations · oil is to an engine · balancing cash-outflow with cash-inflows

EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain the scope of financial management as per Ezra Solomon, and how the role of the financial controller has changed over the years.

✓ MODEL ANSWER

- FM is mainly concerned with acquisition and use of funds. As per Ezra Solomon, its study covers: (a) determination of size of the enterprise and its rate of growth; (b) determining the composition of assets; (c) determining the mix of financing, i.e. level of debt to equity; (d) analysis, planning and control of financial affairs.
- Until the middle of the last century the financial controller's role was limited to procurement of funds during major events such as promotion, expansion and merger.
- Today the role includes, besides procurement of funds, investment, financing and dividend decisions.
- To maximise shareholders' wealth, the controller maximises returns in relation to the given risk (risk-return trade-off), avoids unnecessary risk and monitors fund flows so that funds are safeguarded and properly used.

 **Keywords:** Ezra Solomon · composition of assets · mix of financing · risk-return trade off

☑ MCQ · Practice MCQ · Which is NOT · Moderate

Which of the following is NOT one of the aspects of the scope of financial management as per Ezra Solomon?

- (A) Preparation of the statutory audit report
- (B) Determining the composition of assets of the enterprise
- (C) Determining the mix of the enterprise's financing
- (D) Analysis, planning and control of financial affairs

✓ ANSWER: (A)

SM §6 lists: size and rate of growth, composition of assets, mix of financing, and analysis, planning and control of financial affairs. Audit reporting is not part of FM.

- (B) X Listed aspect (b).
- (C) X Listed aspect (c).
- (D) X Listed aspect (d).

🚫 Trap: Negative wording: 'NOT'.

Topic: FM Ch 1 §6

☑ MCQ · Practice MCQ · Case-based · Moderate

Mehta Traders earns good profits but keeps running out of cash because it spends heavily on new equipment before customers pay. Which task of good financial management is it most clearly failing at?

- (A) Setting sales revenue targets that deliver growth
- (B) Balancing cash outflows with cash inflows and not over-investing in fixed assets
- (C) Tax planning to minimise taxes
- (D) Increasing gross profit through correct pricing

✓ ANSWER: (B)

SM §5 lists 'taking care not to over-invest in fixed assets' and 'balancing cash-outflow with cash-inflows' among the tasks that show the importance of FM.

- (A) X The problem is not the sales target.
- (C) X Tax is not mentioned in the facts.
- (D) X Profits are already good.

 **Trap:** Thinking profit alone means financial health.

Topic: FM Ch 1 §5

☐ QUICK RECAP

- Importance: key to success; seven tasks (fixed assets, cash balance, working capital, sales targets, pricing, expenses, tax).
- Scope (Solomon): size and growth, asset composition, financing mix, analysis–planning–control.
- Financial controller: from fund procurement only to all three decisions and risk–return trade–off.

7–7.1 Objectives of Financial Management and Profit Maximisation

 High Exam Activity |  Asked across PYQ / RTP / MTP | Asked: PYQ 1 (Sep 2025 Q4(c) OR) · RTP 1 (Jan 2026) · MTP 4 (Mar 2024, Nov 2024, Mar 2026, Jul 2026)

UNDERSTAND IT

Objectives (SM §7). Efficient financial management needs **objectives or goals**, because whether a financial decision is efficient can only be judged in the light of some objective. Many objectives are possible, but the SM discusses **two**: **profit maximisation** and **wealth/value maximisation**.

Profit maximisation (SM §7.1). Traditionally the primary objective of a company is to earn profit, so the objective of FM is also profit maximisation: decisions are made so that profits are maximised, and each alternative is judged by whether it gives maximum profit.

However, **profit maximisation cannot be the sole objective of a company; it is at best a limited objective**. If profit is given undue importance, problems arise:

(i) **The term profit is vague.** It conveys different meanings to different people: short-term or long-term; total profit or rate of profit etc.

(ii) **It must be attempted with a realisation of risks involved.** There is a **direct relationship between risk and profit**: higher the risk, higher the possibility of profits. If profit is the only goal, the **risk factor is altogether ignored**, and the finance manager will accept highly risky proposals if they give high profits. In practice risk is very important and must be balanced with the profit objective.

(iii) *It does not take into account the time pattern of returns.* Proposal A may give higher total profit than proposal B, but if A's returns begin 10 years later, B (lower but earlier and quicker returns) may be preferred.

(iv) *It is too narrow.* It ignores *social considerations* and obligations to workers, consumers, society, and ethical trade practices. A company ignoring these cannot survive for long; **profit maximisation at the cost of social and moral obligations is a short-sighted policy.**

ICAI MTP wording ('not an operationally feasible criterion'). Profit maximisation can be a short-term objective but cannot be the sole objective; it fails to serve as an operational criterion for maximising the owner's economic welfare and to rank alternatives by economic efficiency. Limitations: *vague term* (short or long term? before or after tax? total or per share?), *timing of return ignored* (no time value of money), *ignores risk*, and *the term 'maximisation' is also vague.*

e.g. A firm postpones major repairs to show higher profit this year (SM §8 example). Profit rises now but long-term profitability suffers, showing how a narrow, short-term profit goal can harm the firm.

KEY FRAMEWORK / FORMULA · Four limitations of profit maximisation (SM §7.1)

Requirement: (i) vague term; (ii) ignores risk; (iii) ignores time pattern of returns; (iv) too narrow, ignoring social obligations.

Exam angle: Asked as 'limitations' (MTP Mar 2024, PYQ Sep 2025 OR), 'disadvantages' (RTP Jan 2026 answered with the table) or 'not operationally feasible' (three MTPs).

ICAI KEYWORDS

profit maximisation cannot be the sole objective · limited objective · term profit is vague · direct relationship between risk and profit · time pattern of returns · too narrow · social considerations · short sighted policy · not an operationally feasible criterion

MEMORY TRICK

"V-R-T-N" = Vague, Risk ignored, Timing ignored, Narrow. Say: "Very Risky To be Narrow".

Cue	Stands for
V	Vague: short/long term, total/rate, before/after tax

R	Risk ignored: higher risk, higher profit
T	Timing of returns ignored: A later vs B earlier
N	Narrow: ignores social and ethical obligations

⚡ 3-second trigger: Very Risky To be Narrow

■ COMMON MISTAKE / CONFUSION

- Writing that profit maximisation 'considers risk'. It ignores risk.
- Forgetting the time value of money point (timing of returns).
- In the 'disadvantages' version (RTP Jan 2026), ICAI used the SM table words: emphasises short-term gains, ignores risk or uncertainty, ignores timing of returns, requires immediate resources. Learn both versions.

SM §7.1 limitations (4)	SM §8 table disadvantages (4)
Term profit is vague	Emphasizes the short-term gains
Ignores the risks involved	Ignores risk or uncertainty
Ignores time pattern of returns	Ignores the timing of returns
Too narrow: ignores social considerations	Requires immediate resources

🔑 **Spot it in a case:** If the question says 'limitations', use the left column; if it says 'disadvantages' or asks for the table, use the right column.

🔗 INTEGRATION LINK

🔗 FM Ch 7 Investment Decisions: time value of money, which profit maximisation ignores

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Explain limitations of profit maximisation (4 marks)
- Any two limitations (2 marks)
- 'Profit maximisation is not an operationally feasible criterion' — comment (4 marks)
- Case: a firm raises prices sharply for short-term profit — analyse (2 marks)

- Disadvantages of profit maximisation (RTP)

How to attack it:

- State that it cannot be the sole objective (limited objective)
- Give the four limitations with one line each
- For 'comment': agree, then list the limitations

 What ICAI has done so far: PYQ Sep 2025 · Q4(c) (OR); MTP May 2024 Series I · FM Q4(a); MTP May 2026 Series I · FM Q4(a) (with MTP Jan 2025 Series I · FM Q4(c), MTP Sep 2026 Series I · FM Q4(c)); RTP Jan 2026 · FM Q11(d).

 Time / length guide (study guidance): 2 marks ≈ 3–4 minutes (any two, one line each); 4 marks ≈ 7 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Profit maximisation = traditional objective
- Cannot be the sole objective; at best limited
- (i) vague (ii) risk (iii) timing (iv) narrow
- Better objective: wealth maximisation

 Keywords: limited objective · vague · time pattern of returns · short sighted policy

 Ideal length: 4 marks: 10–12 lines

 Conclusion pattern: Hence wealth maximisation, not profit maximisation, is the better objective of financial management.

DON'T WRITE THIS

- Saying profit is irrelevant. The SM says profit maximisation can be part of wealth maximisation.

 Questions on this topic — ICAI questions first, then practice

 OFFICIAL ICAI QUESTION · PYQ Sep 2025 · Q4(c) (OR) · 2 marks

Explain any two limitations of the profit maximisation objective of financial management.

MODEL ANSWER

- (i) The term profit is vague; it does not clarify what exactly it means.

- (ii) Profit maximisation has to be attempted with a realisation of the risks involved.
- (iii) Profit maximisation as an objective does not take into account the time pattern of returns.
- (iv) Profit maximisation as an objective is too narrow.

Conclusion: Any two, each explained in a line, earn full marks (ICAI's answer lists all four).

 **Keywords:** **vague** · **risks involved** · **time pattern of returns** · **too narrow**

 **Also asked as:** MTP May 2024 Series I · FM Q4(a) (explain the limitations, 4 marks)

 **OFFICIAL ICAI QUESTION** · MTP May 2024 Series I · FM Q4(a) · 4 marks

Explain the limitations of the profit maximisation objective of financial management.

 **MODEL ANSWER**

- (i) **The term profit is vague.** It does not clarify what exactly it means and conveys different meanings to different people, e.g. short-term or long-term profit, total profit or rate of profit.
- (ii) **Profit maximisation has to be attempted with a realisation of risks involved.** There is a direct relationship between risk and profit; many risky propositions yield high profit. If profit maximisation is the only goal, risk is ignored and the finance manager may accept highly risky proposals. In practice risk must be balanced with the profit objective.
- (iii) **It does not take into account the time pattern of returns.** Proposal A may give higher profits than proposal B, yet if A's returns begin 10 years later, B, with lower but earlier returns, may be preferred.
- (iv) **It is too narrow.** It fails to consider social considerations and obligations to workers, consumers, society and ethical trade practices. A company ignoring these cannot survive for long; profit maximisation at the cost of social and moral obligations is a short-sighted policy.

 **Keywords:** **vague** · **direct relationship between risk and profit** · **time pattern of returns** · **short sighted policy**

 **OFFICIAL ICAI QUESTION** · MTP May 2026 Series I · FM Q4(a) · 4 marks

"Profit maximisation is not an operationally feasible criterion." Comment.

 **MODEL ANSWER**

- The statement is true: profit maximisation can be a short-term objective of an organisation but cannot be its sole objective.
- It fails to serve as an operational criterion for maximising the owner's economic welfare, and fails to provide an operationally feasible measure for ranking alternative courses of action by economic efficiency.
- (i) **Vague term**: the definition of profit is ambiguous. Short-term or long-term? Before or after tax? Total profit or profit per share?
- (ii) **Timing of return**: it does not distinguish between returns received in different periods; it gives no consideration to the time value of money and treats benefits received today and later as the same.
- (iii) It **ignores the risk** factor.
- (iv) The term **maximisation is also vague**.

Conclusion: Hence profit maximisation is not an operationally feasible criterion; wealth maximisation is preferred.

 **Keywords:** short-term objective · operational criterion · time value of money · ignores the risk factor · maximisation is also vague

 **Also asked as:** MTP Jan 2025 Series I · FM Q4(c) (case: XYZ Corp. sharply raises prices to maximise short-term profits — analyse why this is not a feasible operational criterion, 2 marks) | MTP Sep 2026 Series I · FM Q4(c) (same statement to comment on)

OFFICIAL ICAI QUESTION · RTP Jan 2026 · FM Q11(d)

What are the disadvantages of profit maximisation?

MODEL ANSWER

- (i) Emphasizes the short-term gains.
- (ii) Ignores risk or uncertainty.
- (iii) Ignores the timing of returns.
- (iv) Requires immediate resources.

Conclusion: These are the disadvantages listed in the SM table comparing profit and wealth maximisation (§8).

 **Keywords:** short-term gains · risk or uncertainty · timing of returns · immediate resources

EXPECTED QUESTION · Practice question · Case analysis · 2 marks

The CEO of Nova Paints wants every proposal ranked only by the total accounting profit it will generate over the next ten years. Point out two problems with this approach.

✓ **MODEL ANSWER**

- It ignores the time pattern of returns: a proposal whose profits come late may rank higher than one giving earlier and quicker returns.
- It ignores risk: higher-profit proposals are usually riskier, so ranking only by profit may lead to accepting highly risky proposals. (Alternatively: the term profit is vague — total or rate, before or after tax.)

🔑 **Keywords:** time pattern of returns · risk ignored

✓ **MCQ** · Practice MCQ · Which is NOT · Moderate

Which of the following is NOT a limitation of profit maximisation as per the study material?

- (A) The term profit is vague
- (B) It ignores the time pattern of returns
- (C) It is based on cash flows and ignores accounting profit
- (D) It is too narrow and ignores social considerations

✓ **ANSWER: (C)**

SM §7.1 limitations: vague term, risk ignored, time pattern of returns ignored, too narrow. Emphasis on cash flow is a feature of wealth maximisation, not a limitation of profit maximisation.

- (A) X Limitation (i).
- (B) X Limitation (iii).
- (D) X Limitation (iv).

🚫 **Trap:** Option C swaps a wealth maximisation feature into the list.

Topic: FM Ch 1 §7.1

✓ **MCQ** · Practice MCQ · Case-based · Moderate

Project P gives ₹60 lakh profit spread over years 8–12; Project Q gives ₹50 lakh over years 1–4. A manager chooses P because 'it has more profit'. Which limitation of profit maximisation does this illustrate?

- (A) The term profit is vague

- (B) It is too narrow
- (C) It requires immediate resources
- (D) It ignores the time pattern of returns

✓ ANSWER: (D)

SM §7.1(iii): profit maximisation does not consider the time pattern of returns; a proposal with lower but earlier returns may be preferred.

- (A) X The meaning of profit is not in dispute here.
- (B) X No social obligation is involved.
- (C) X A table disadvantage, but not what the facts show.

🚫 Trap: Picking 'vague' because the amounts differ.

Topic: FM Ch 1 §7.1

□ QUICKRECAP

- Two objectives: profit maximisation and wealth maximisation.
- Profit maximisation is at best a limited objective.
- Limitations: vague, risk ignored, timing ignored, too narrow (V-R-T-N).

7.2–8. Wealth Maximisation / Value Creation and the Conflict with Profit Maximisation

■ High Exam Activity | 📌 Asked across PYQ / RTP / MTP | Asked: PYQ 3 (May 2024 Q4(a), Jan 2025 Q4(b), May 2026 Q4(c)) · RTP 3 (May 2024, Sep 2024, May 2025) · MTP 3 (Apr 2025, Aug 2025, Dec 2025)

■ UNDERSTAND IT

Wealth maximisation model (SM §7.2). Shareholders' wealth is the result of cost-benefit analysis adjusted for timing and risk, i.e. time value of money. $== \text{Wealth} = \text{Present value of benefits} - \text{Present value of costs} ==$

Benefits should be measured in terms of cash flow; the finance manager should emphasise cash flow, not accounting profit, for investment and financing decisions. The shareholder value maximisation model holds that the primary goal of the firm is to maximise its market value, i.e. decisions should increase the net present value of the economic profits of the firm.

To measure and maximise shareholders' wealth the finance manager follows: **cash flow approach (not accounting profit), cost-benefit analysis, application of time value of money** (SM MCQ 4: all of these; SM MCQ 12: accounting profit analysis need NOT be followed).

How to measure value (Van Horne): "Value of a firm is represented by the **market price of the company's common stock**. The market price represents the **focal judgment of all market participants** as to the value of the firm. It takes into account present and prospective future EPS, the **timing and risk** of these earnings, the **dividend policy** and many other factors. The market price serves as a **performance index or report card** of the firm's progress and indicates how well management is doing on behalf of stockholders."

$$V = \text{Value of a firm} = \text{Number of shares (N)} \times \text{Market price of shares (MP)}, \text{ or } V = \text{Value of equity (Ve)} + \text{Value of debt (Vd)}$$

Other goals a business may follow: higher growth rate; larger market share; leadership in products and technology; employee welfare; customer satisfaction; improving community life, supporting education and research, solving societal problems.

Why wealth maximisation works (SM chain): stockholders hire managers → managers set aside their interest and maximise stock prices → stockholders' wealth is maximised (because stockholders have absolute power to hire and fire managers) → firm value is maximised (because lenders are fully protected from shareholders' actions) → societal wealth is maximised (because markets are efficient and there are no costs created for society).

These other goals are important, but **the primary goal remains wealth maximisation, as it is critical for the very existence of the enterprise**. If it is not met, the public and institutions lose confidence and will not invest further; growth is restricted and other goals like community welfare are not fulfilled.

Conflicts in profit vs value maximisation (SM §8). Management is the decision-making authority and may tend to pursue its **own personal goals (profit maximisation)**. Where there is **significant outside participation** (shareholders, lenders), constant supervision by stakeholders (employees, creditors, customers, government) prevents this. Every entity judges management by the fulfilment of its own objective, and management's survival is threatened if any entity's objective remains unfulfilled.

Wealth maximisation is generally in accord with the interests of owners, employees, creditors and society, so it is consistent with management's objective of survival. Owing to the limitations of profit maximisation (timing, social considerations etc.), **in today's uncertain and multi-period world, wealth maximisation is a better objective**. **Where the time period is short**

and uncertainty is not great, wealth maximisation and profit maximisation amount to essentially the same.

Advantages and disadvantages table (SM §8). Profit maximisation — objective: **large amount of profits**; advantages: (i) easy to calculate profits, (ii) easy to determine the link between financial decisions and profits; disadvantages: (i) emphasises short-term gains, (ii) ignores risk or uncertainty, (iii) ignores timing of returns, (iv) requires immediate resources. Shareholders' wealth maximisation — objective: **highest market value of shares**; advantages: (i) emphasises long-term gains, (ii) recognises risk or uncertainty, (iii) recognises timing of returns, (iv) considers shareholders' return; disadvantages: (i) offers no clear relationship between financial decisions and share price, (ii) can lead to management anxiety and frustration.

Example (SM): profit maximisation can be achieved in the short term at the expense of long-term wealth maximisation. A costly investment may show losses now but large profits later; a firm wanting short-term profit may **postpone major repairs or replacement**, hurting long-term profitability.

Illustration 1 (SM): Products X and Y earn ₹10,000 and ₹11,000 a year for 5 years (totals ₹50,000 and ₹55,000). Profit maximisation favours Y. But if Y is riskier, the choice is not straightforward: there is a **trade-off between risk and return**, and stockholders would demand a sufficiently large return from Y to compensate for its greater risk. Wealth maximisation considers risk and uncertainty; profit maximisation does not.

e.g. MTP Aug 2025: Project X gives high short-term accounting profit through aggressive cost cutting; Project Y gives lower immediate profit but better customer satisfaction, brand loyalty and long-term cash flows. Choose Y: it creates value and maximises shareholders' wealth.

KEY FRAMEWORK / FORMULA · Value and wealth formulae

Requirement: Wealth = PV of benefits – PV of costs; $V = N \times MP$, or $V = V_e + V_d$.

Exam angle: 'How do we measure the value/wealth of a firm?' (MTP Dec 2025) → quote Van Horne and give the formulae.

KEY FRAMEWORK / FORMULA · Profit vs wealth maximisation table (SM §8)

Requirement: Objective, advantages and disadvantages for both goals (see Understand).

Exam angle: RTP Sep 2024 reproduced the whole table; PYQ Jan 2025 asked the wealth row; PYQ May 2026 asked objective, risk, time horizon, sustainability.

■ ICAI KEYWORDS

time value of money · Present value of benefits – Present Value of Costs · cash flow approach
 not accounting profit · maximise its market value · Van Horne · report card of the firm's
 progress · $==V = N \times MP==$ · highest market value of shares · critical for the very existence of
 the business enterprise · uncertain and multi-period · wealth maximization is a better
 objective

■ MEMORY TRICK

Wealth = "C-C-T" (Cash flow, Cost-benefit, Time value). Wealth advantages = "L-R-T-S"
 (Long-term, Risk, Timing, Shareholders' return); wealth disadvantages = "No-link, Anxiety".

Cue	Stands for
C-C-T	Tools for measuring wealth: cash flow approach, cost-benefit analysis, time value of money
L-R-T-S	Advantages of wealth maximisation
No-link, Anxiety	Disadvantages: no clear relationship between decisions and share price; management anxiety and frustration
Short & certain	Only then do profit and wealth maximisation amount to the same

⚡ 3-second trigger: C-C-T · L-R-T-S

■ COMMON MISTAKE / CONFUSION

- Writing 'wealth maximisation ignores risk'. It recognises risk; profit maximisation ignores it.
- Measuring wealth with accounting profit. ICAI says cash flow approach, not accounting profit.
- Saying the two objectives always conflict. They amount to the same when the period is short and uncertainty is low.

- In the true/false question, 'lower risk + higher return = risk-return trade-off, profit maximum' is FALSE: there is a direct relationship between risk and profit.

Basis	Profit maximisation	Wealth maximisation
Objective	Large amount of profits	Highest market value of shares
Risk	Ignores risk or uncertainty	Recognises risk or uncertainty
Time horizon	Emphasises short-term gains	Emphasises long-term gains
Timing of returns	Ignored	Recognised
Sustainability	Not sustainable in the long term; sustainability is low	Critical for the very existence of the enterprise; sustainability is high
Advantages	Easy to calculate profits; easy link between decisions and profits	Long-term gains; risk and timing recognised; considers shareholders' return
Disadvantages	Short-term gains; ignores risk and timing; requires immediate resources	No clear link between decisions and share price; management anxiety and frustration

🔑 **Spot it in a case:** Case facts showing short-term accounting profit through cost cutting or postponed repairs point to profit maximisation; facts about long-term cash flows, brand and customer loyalty point to wealth maximisation / value creation.

🔗 INTEGRATION LINK

🔗 FM Ch 7: NPV (present value of benefits minus costs)

🔗 INTEGRATION LINK

🔗 FM Ch 8: dividend policy affects market price and wealth

🔗 INTEGRATION LINK

🔗 FM Ch 1 §12: agency problem, when managers pursue personal goals instead of shareholders' wealth

🔗 INTEGRATION LINK

🔗 SM Ch 1 §1.6: corporate-level managers as guardians of shareholders' welfare

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- True/false with reasons (PYQ May 2024)
- Objective and advantages of wealth maximisation (PYQ Jan 2025, 4 marks)
- Differences on objective, risk, time horizon, sustainability (PYQ May 2026, 2 marks)
- How wealth maximisation is superior (RTP May 2024, May 2025)
- Advantages and disadvantages of both goals (RTP Sep 2024)
- How to measure value/wealth (MTP Dec 2025)
- Conflicts in profit vs wealth maximisation (MTP Apr 2025)
- Case: choose between two projects (MTP Aug 2025)

How to attack it:

- Always end with 'wealth maximisation is a better objective'
- Use the table format for any comparison
- For true/false: verdict first, then the SM reason

📖 What ICAI has done so far: PYQ May 2024 · Q4(a), PYQ Jan 2025 · Q4(b), PYQ May 2026 · Q4(c); RTP May 2024 · FM Q8(i), RTP May 2025 · FM Q10(a), RTP Sep 2024 · FM Q12(a); MTP Jan 2026 Series II · FM Q4(c), MTP May 2025 Series II · FM Q4(c), MTP Sep 2025 Series II · FM Q4(a).

🕒 Time / length guide (study guidance): 2 marks ≈ 3–4 minutes (a 4-row table); 4 marks ≈ 7 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- Define wealth maximisation (market value / NPV)
- Objective: highest market value of shares
- Advantages (L-R-T-S)
- Compare with profit maximisation in a table
- Conclusion: better objective

 **Keywords:** highest market value of shares · recognises risk · timing of returns · better objective

 **Ideal length:** 2 marks: table of 4 rows; 4 marks: 10–12 lines or a 6-row table

 **Conclusion pattern:** Owing to the limitations of profit maximisation, in today's uncertain and multi-period world wealth maximisation is a better objective.

DON'T WRITE THIS

- Writing wealth maximisation disadvantages when only advantages are asked (wastes time)

Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · PYQ May 2024 · Q4(a) · 4 marks

State with brief reasons whether each statement is true or false: (i) maximising market price per share (MPS) as the financial objective maximises the wealth of shareholders; (ii) a combination of lower risk and higher return is the risk-return trade-off, and at this level profit is maximum; (iii) financial distress is a position when a firm's accounting profits are sufficient to meet its long-term obligations; (iv) an angel investor provides funds for a start-up in exchange for ownership/equity.

MODEL ANSWER

- (i) **True.** Maximising MPS or market value as the financial objective ensures maximisation of shareholders' wealth.
- (ii) **False.** There is a direct relationship between risk and profit: higher the risk, higher the possibility of profits. Stockholders expect greater returns from investments of higher risk and vice versa.
- (iii) **False.** Financial distress is a position where the cash inflows of a firm are inadequate to meet all its current obligations.
- (iv) **True.** Angel financing is a form of equity financing where an angel investor provides capital for start-up or expansion in exchange for ownership/equity in the company.

Conclusion: One mark per statement: verdict plus the SM reason.

 **Keywords:** market value · direct relationship between risk and profit · cash inflows inadequate to meet current obligations · equity financing

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · PYQ Jan 2025 · Q4(b) · 4 marks

Discuss the objective and advantages of the wealth maximisation goal of financial management.

✓ MODEL ANSWER

- **Objective of wealth maximisation:** highest market value of shares.
- **Advantages:** (i) emphasises the long-term gains; (ii) recognises risk or uncertainty; (iii) recognises the timing of returns; (iv) considers shareholders' return.

Conclusion: ICAI's answer is the wealth-maximisation row of the SM table. Adding a line on why it is better than profit maximisation strengthens the answer.

🔗 **Keywords:** highest market value of shares · long term gains · recognises risk or uncertainty · timing of returns · shareholders' return

■ OFFICIAL ICAI QUESTION · PYQ May 2026 · Q4(c) · 2 marks

How do profit maximisation and wealth maximisation differ in terms of objective, risk, time horizon and sustainability?

✓ MODEL ANSWER

- **Objective:** profit maximisation — large amount of profits; wealth maximisation — highest market value of shares.
- **Risk:** profit maximisation ignores risk or uncertainty; wealth maximisation recognises risk or uncertainty.
- **Time horizon:** profit maximisation emphasises short-term gains; wealth maximisation emphasises long-term gains.
- **Sustainability:** profit maximisation is not sustainable in the long term (sustainability is low); wealth maximisation is critical for the very existence of the business enterprise (sustainability is high).

Conclusion: Present as a four-row table for full marks.

🔗 **Keywords:** large amount of profits · highest market value of shares · short term gains · long term gains · very existence of the business enterprise

■ OFFICIAL ICAI QUESTION · RTP May 2024 · FM QB(i)

Explain how the wealth maximisation objective is superior to the profit maximisation objective.

✓ **MODEL ANSWER**

- A firm's FM may have two objectives: maximisation of profit and maximisation of value/wealth. Profit maximisation is often an implied objective; decision makers may even adopt policies yielding exorbitant short-run profits that are unhealthy for growth, survival and the overall interests of the firm. Profit here is the total accounting profit available to shareholders.
- The value/wealth of a firm is the market price of its stock, which represents the focal judgment of all market participants and takes into account present and prospective EPS, their timing and risk, dividend policy and many other factors.
- Value maximisation is superior because: (1) it considers all future cash flows, dividends, EPS, risk of a decision etc., whereas profit maximisation does not consider the effect on EPS, dividends or other returns to shareholders;
- (2) a firm maximising shareholders' wealth may pay regular dividends, whereas a profit-maximising firm may refrain from paying dividends;
- (3) shareholders would prefer an increase in the firm's wealth over an increasing flow of profits;
- (4) the market price of a share reflects shareholders' expected return, considers long-term prospects, reflects differences in timing of returns, considers risk and recognises the importance of distribution of returns.

Conclusion: Maximisation of a firm's value, as reflected in the market price of its share, is viewed as the proper goal; profit maximisation can be considered part of the wealth maximisation strategy.

🔑 **Keywords:** market price of the firm's stock · future cash flows · regular dividends · timing of returns · proper goal of a firm

📅 **Also asked as:** RTP May 2025 · FM Q10(a) (same question and answer)

■ **OFFICIAL ICAI QUESTION** · RTP Sep 2024 · FM Q12(a)

Explain the advantages and disadvantages of both profit maximisation and wealth maximisation goals.

✓ **MODEL ANSWER**

- **Profit maximisation.** Objective: large amount of profits. Advantages: (i) easy to calculate profits; (ii) easy to determine the link between financial decisions and profits. Disadvantages: (i) emphasises short-term gains; (ii) ignores risk or uncertainty; (iii) ignores the timing of returns; (iv) requires immediate resources.
- **Shareholders' wealth maximisation.** Objective: highest market value of shares. Advantages: (i) emphasises long-term gains; (ii) recognises risk or uncertainty; (iii) recognises the timing of returns; (iv) considers shareholders' return. Disadvantages: (i) offers no clear relationship between financial decisions and share price; (ii) can lead to management anxiety and frustration.

Conclusion: ICAI answered in the SM table format: goal, objective, advantages, disadvantages.

Keywords: easy to calculate profits · requires immediate resources · no clear relationship between financial decisions and share price · management anxiety and frustration

■ OFFICIAL ICAI QUESTION · MTP Jan 2026 Series II · FM Q4(c) · 2 marks

How do we measure the value/wealth of a firm?

✓ MODEL ANSWER

- According to Van Horne, the value of a firm is represented by the market price of the company's common stock.
- The market price represents the focal judgment of all market participants as to the value of the firm; it takes into account present and prospective future earnings per share, the timing and risk of these earnings, the dividend policy and many other factors bearing on the price.
- The market price serves as a performance index or report card of the firm's progress and indicates how well management is doing on behalf of stockholders.
- (Supporting formulae from the SM: $V = N \times MP$, or $V = V_e + V_d$.)

Keywords: Van Horne · market price of common stock · report card of the firm's progress

■ OFFICIAL ICAI QUESTION · MTP May 2025 Series II · FM Q4(c) · 2 marks

Discuss the conflicts in the profit versus wealth maximisation principle of the firm.

✓ MODEL ANSWER

- Profit maximisation is a short-term objective and cannot be the sole objective of a company; it is at best a limited objective.

- If profit is given undue importance, problems arise: the term profit is vague, it must be attempted with a realisation of risks involved, it ignores the time pattern of returns, and it is too narrow.
- Wealth maximisation, as an objective, means the company is using its resources in a good manner; to keep the share value high, the company has to reduce its costs and use resources properly.
- A company following wealth maximisation promotes only those policies that lead to an efficient allocation of resources.

🔑 **Keywords:** limited objective · vague · time pattern of returns · efficient allocation of resources

■ **OFFICIAL ICAI QUESTION** · MTP Sep 2025 Series II · FM Q4(a) · 4 marks

ABC Ltd. has two investment opportunities: Project X gives high short-term accounting profits through aggressive cost cutting; Project Y gives lower immediate profits but improves customer satisfaction, brand loyalty and long-term cash flows. As financial manager, which project should the company choose to ensure value creation? Justify by comparing profit maximisation, wealth maximisation and value creation.

✓ **MODEL ANSWER**

- **Verdict:** Project Y should be chosen to ensure long-term value creation.
- **Profit maximisation** focuses on increasing short-term profits, often ignoring risk, sustainability and timing of returns. Project X fits this approach but may harm reputation, employee morale and customer satisfaction.
- **Wealth maximisation** is concerned with increasing the net present value of shareholders' wealth over the long run, considering cash flows, risk and time value of money. Project Y, despite lower immediate profits, enhances long-term cash flows and brand equity, adding to shareholders' wealth.
- **Value creation** means strategic decisions that generate sustainable returns exceeding the cost of capital. Project Y builds intangible assets like customer loyalty and goodwill, leading to long-term competitive advantage.

Conclusion: Based on wealth maximisation and value creation principles, Project Y is the strategically sound choice.

🔑 **Keywords:** short-term profits · net present value of shareholders' wealth · returns exceeding the cost of capital · value creation

 EXPECTED QUESTION · Practice question · Explain · 4 marks

In recent years many environmental, pollution and other regulations have been imposed on businesses. In view of these changes, is maximisation of shareholders' wealth still a realistic objective? Explain.

 MODEL ANSWER

- Yes. Wealth maximisation remains the primary goal because it is critical for the very existence of the enterprise; without it, public and institutions lose confidence and do not invest further.
- Management may be tempted to pursue its own goals, but with significant outside participation it is constantly supervised by stakeholders (employees, creditors, customers, government); its survival is threatened if any stakeholder's objective remains unfulfilled.
- Wealth maximisation is generally in accord with the interests of owners, employees, creditors and society, so it is consistent with management's objective of survival. Complying with regulations and social obligations protects long-term value.
- Profit maximisation at the cost of social and moral obligations is a short-sighted policy; such a company cannot survive for long.
- Other goals (community welfare, employee welfare) are fulfilled only if the firm grows, which needs wealth maximisation.

Conclusion: In today's uncertain, multi-period and regulated world, wealth maximisation is still a realistic and better objective.

 **Keywords:** very existence of the business enterprise · in accord with the interests of various groups · short sighted policy

 MCQ · Practice MCQ · Formula · Easy

As per the study material, the value of a firm (V) can be expressed as:

- (A) Number of shares × Market price of shares, or Value of equity + Value of debt
- (B) Net profit × Price-earnings ratio – Value of debt
- (C) Book value of equity + Reserves
- (D) Present value of costs – Present value of benefits

 ANSWER: (A)

SM §7.2: $V = N \times MP$, or $V = V_e + V_d$. Wealth = PV of benefits – PV of costs (not the reverse).

- (B) X Not the SM formula.
- (C) X Book values, not market value.
- (D) X Reversed; $\text{wealth} = \text{PV of benefits} - \text{PV of costs}$.

 **Trap:** Option D reverses the wealth formula.

Topic: FM Ch 1 §7.2

☒ MCQ · Practice MCQ · Statement · Moderate

When would profit maximisation and wealth maximisation amount to essentially the same thing?

- (A) When the firm has no debt in its capital structure
- (B) When the time period is short and the degree of uncertainty is not great
- (C) When dividends are paid regularly
- (D) When management owns more than half of the shares

✓ **ANSWER: (B)**

SM §8: where the time period is short and the degree of uncertainty is not great, wealth maximisation and profit maximisation amount to essentially the same.

- (A) X Capital structure is not the condition.
- (C) X Dividend payment is not the condition.
- (D) X Ownership pattern is not the condition.

 **Trap:** Choosing C because the RTP answer links wealth maximisation to regular dividends.

Topic: FM Ch 1 §8

☐ **QUICK RECAP**

- $\text{Wealth} = \text{PV benefits} - \text{PV costs}$; use cash flow, cost-benefit, time value.
- Wealth objective: highest market value of shares; recognises risk and timing.
- In an uncertain, multi-period world, wealth maximisation is the better objective; same as profit maximisation only when short and certain.

9. Role of Finance Executive (Today vis-a-vis the Past)

■ Medium Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: RTP 1 (Jan 2025) · MTP 1 (Aug 2024)

■ UNDERSTAND IT

Modern FM has come a long way from traditional corporate finance. As the economy opens up and global resources are tapped, **opportunities for finance managers have virtually no limits**. A new era has begun for **chief financial officers (CFOs)**; the finance executive goes by different names in different organisations, but the **role and functions are similar**. The role is significant in the present context of **liberalisation, deregulation and globalisation**.

Changing role (Jeff Thomson, IMA President and CEO): "Today's CFO team is expected to add value well beyond the traditional roles of **cost management, controls and acting as the conscience of the organisation**... today's CFO is expected to work in collaboration, by serving as the **integration hub for key business processes**, as a **catalyst for change** including business transformation, and as a **consultant or trusted business advisor** in helping to create sustainable growth."

The finance executive plays an important role in the company's goals, policies and financial success. Responsibilities: (a) **Financial analysis and planning** — determining the proper amount of funds to employ, i.e. designating the **size of the firm and its rate of growth**; (b) **Investment decisions** — efficient **allocation of funds to specific assets**; (c) **Financing and capital structure decisions** — raising funds on favourable terms, i.e. determining the **composition of liabilities**; (d) **Management of financial resources** (such as working capital); (e) **Risk management** — **protecting assets**.

Organisation of the finance function (SM figure): the **CFO/Finance Executive** heads two wings. **Treasurer:** Cash Manager, Credit Manager, Capital Budgeting Manager, Fund Raising Manager, Portfolio Manager. **Controller:** Financial Accounting Manager, Cost Accounting Manager, Tax Manager, Data Processing Manager, Internal Auditor.

Today vs the past (§9.1). **The CFO's role is no longer confined to accounting, financial reporting and risk management; it is about being a strategic business partner of the CEO.**

What a CFO used to do: budgeting; forecasting; accounting; treasury (cash management); preparing internal financial reports for management; preparing quarterly and annual filings for investors; tax filing; tracking accounts payable and receivable; travel and entertainment expense management.

What a CFO now does: budgeting; forecasting; **managing M&As**; **profitability analysis** (e.g. by customer or product); **pricing analysis**; **decisions about outsourcing**; **overseeing the IT function**;

overseeing the HR function; strategic planning (sometimes overseeing it); regulatory compliance; risk management.

Supplementary (ICAI RTP Jan 2025, not in the current study material): emerging issues affecting the CFO's future role are regulation, globalisation, technology (big data and analytics), risk, transformation, stakeholder management, strategy, reporting, and talent and capability. Learn the SM list first; use this list only if a question asks about the future role.

e.g. A CFO who, besides preparing budgets, now evaluates a takeover target, analyses profitability by product line and oversees the IT and HR functions is acting as a strategic business partner of the CEO.

 **KEY FRAMEWORK / FORMULA** · Five responsibilities of a finance executive (SM §9)

Requirement: (a) financial analysis and planning; (b) investment decisions; (c) financing and capital structure decisions; (d) management of financial resources; (e) risk management.

Exam angle: MTP Aug 2024 asked 'discuss the role of a chief financial officer' for 2 marks; ICAI answered with these five points.

ICAI KEYWORDS

strategic business partner of the CEO · integration hub · catalyst for change · financial analysis and planning · composition of liabilities · risk management: protecting assets · Treasurer · Controller

MEMORY TRICK

"A-I-F-M-R" = "All Intelligent Finance Managers Rule": Analysis & planning, Investment, Financing & capital structure, Management of financial resources, Risk management.

Cue	Stands for
A	Financial analysis and planning: size and growth
I	Investment: allocation to assets
F	Financing and capital structure: composition of liabilities
M	Management of financial resources, e.g. working capital
R	Risk management: protecting assets

⚡ 3-second trigger: All Intelligent Finance Managers Rule

📌 COMMON MISTAKE / CONFUSION

- Placing the cash manager or credit manager under the Controller. They are under the Treasurer.
- Saying today's CFO no longer does budgeting and forecasting. These remain in both columns; new additions are M&A, profitability, pricing, outsourcing, IT, HR, strategy, compliance, risk.

Treasurer	Controller
Cash Manager	Financial Accounting Manager
Credit Manager	Cost Accounting Manager
Capital Budgeting Manager	Tax Manager
Fund Raising Manager	Data Processing Manager
Portfolio Manager	Internal Auditor

🔑 **Spot it in a case:** Raising, investing and managing money sits with the Treasurer; recording, costing, tax and audit sit with the Controller.

🔗 INTEGRATION LINK

🔗 SM Ch 1 §1.6: the CFO as part of corporate-level management

🎯 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Discuss the role of a CFO (MTP, 2 marks; SM question 6)
- What a CFO used to do vs now does
- Emerging issues in the future role of the CFO (RTP Jan 2025)

How to attack it:

- Open with 'important role in the company's goals, policies and financial success'
- List the five responsibilities with a few words each
- For 'today vs past', write a two-column table

 **What ICAI has done so far:** MTP Sep 2024 Series I · FM Q4(c) (OR); RTP Jan 2025 · FM Q11(a).

 **Time / length guide (study guidance):** 2 marks $\approx$ 3–4 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- One-line role statement
- Five responsibilities
- (If asked) old vs new role table

 **Keywords:** financial analysis and planning · capital structure decisions · risk management

 **Ideal length:** 2 marks: 5 one-line points

 **Conclusion pattern:** Today the CFO is a strategic business partner of the CEO.

DON'T WRITE THIS

- Listing the emerging-issues RTP list when the question asks for the SM role

Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · MTP Sep 2024 Series I · FM Q4(c) (OR) · 2 marks

Discuss the role of a chief financial officer.

MODEL ANSWER

- The finance executive plays an important role in the company's goals, policies and financial success. Responsibilities include:
- (a) **Financial analysis and planning:** determining the proper amount of funds to employ in the firm, i.e. designating the size of the firm and its rate of growth.
- (b) **Investment decisions:** the efficient allocation of funds to specific assets.
- (c) **Financing and capital structure decisions:** raising funds on terms as favourable as possible, i.e. determining the composition of liabilities.
- (d) **Management of financial resources** (such as working capital).
- (e) **Risk management:** protecting assets.

 **Keywords:** size of the firm and its rate of growth · allocation of funds · composition of liabilities · protecting assets

■ OFFICIAL ICAI QUESTION · RTP Jan 2025 · FM Q11(a)

Discuss the emerging issues and priorities affecting the future role of the Chief Financial Officer (CFO).

✓ MODEL ANSWER

- (i) **Regulation:** requirements are increasing and CFOs have an increasingly personal stake in regulatory adherence.
- (ii) **Globalisation:** finance leaders must build a finance function that works effectively on the global stage and embraces diversity.
- (iii) **Technology:** fast-evolving technology lets CFOs reconfigure finance processes and drive business insight through big data and analytics.
- (iv) **Risk:** the nature of risks is changing, requiring more effective risk management; CFOs help ensure an appropriate corporate ethos.
- (v) **Transformation:** pressure to transform finance functions to serve the business better at zero cost impact.
- (vi) **Stakeholder management:** relationships become important as CFOs increasingly become the face of the corporate brand.
- (vii) **Strategy:** a greater role in strategy validation and execution in a complex, quick-changing environment.
- (viii) **Reporting:** reporting requirements will broaden and continue to be burdensome.
- (ix) **Talent and capability:** a brighter spotlight on talent, capability and behaviours in the top finance role.

Conclusion: This list comes from ICAI's RTP answer; the current study material does not include it, so treat it as supplementary.

🔑 **Keywords:** regulation · globalisation · technology · risk · transformation · stakeholder management · strategy · reporting · talent

🕒 EXPECTED QUESTION · Practice question · Distinguish · 4 marks

"Today, the role of the CFO is no longer confined to accounting, financial reporting and risk management." Distinguish what a CFO used to do from what a CFO now does.

✓ MODEL ANSWER

- Today the CFO is a strategic business partner of the chief executive officer.

- Used to do: budgeting; forecasting; accounting; treasury (cash management); internal financial reports for management; quarterly and annual filings for investors; tax filing; tracking accounts payable and receivable; travel and entertainment expense management.
- Now does: budgeting; forecasting; managing mergers and acquisitions; profitability analysis (by customer or product); pricing analysis; decisions about outsourcing; overseeing the IT function; overseeing the HR function; strategic planning (sometimes overseeing it); regulatory compliance; risk management.

Conclusion: The CFO has moved from scorekeeper to strategic partner.

Keywords: strategic business partner · managing M&As · pricing analysis · overseeing IT and HR

✓ MCQ · Practice MCQ · Structure · Moderate

In the organisation of the finance function shown in the study material, which of the following reports to the Treasurer?

- (A) Tax Manager
- (B) Internal Auditor
- (C) Capital Budgeting Manager
- (D) Cost Accounting Manager

✓ **ANSWER: (C)**

SM §9 chart: under the Treasurer are the Cash, Credit, Capital Budgeting, Fund Raising and Portfolio Managers. Tax, Internal Audit, Cost Accounting, Financial Accounting and Data Processing are under the Controller.

- (A) X Under the Controller.
- (B) X Under the Controller.
- (D) X Under the Controller.

Trap: Thinking tax is a treasury function.

Topic: FM Ch 1 §9

✓ MCQ · Practice MCQ · Which is new · Moderate

Which of the following appears *ONLY* in the list of what a CFO now does (and not in what a CFO used to do)?

- (A) Budgeting
- (B) Tax filing
- (C) Forecasting
- (D) Decisions about outsourcing

✓ **ANSWER: (D)**

SM §9.1: outsourcing decisions, M&As, profitability and pricing analysis, overseeing IT and HR, strategic planning, regulatory compliance and risk management are new. Budgeting and forecasting appear in both lists; tax filing is an old task.

- (A) X In both lists.
- (B) X Old task only.
- (C) X In both lists.

🚫 **Trap:** Budgeting and forecasting appear on both sides.

Topic: FM Ch 1 §9.1

☐ QUICKRECAP

- Five responsibilities: analysis & planning, investment, financing & capital structure, management of resources, risk management.
- Treasurer (cash, credit, capital budgeting, fund raising, portfolio) vs Controller (accounting, cost, tax, data processing, internal audit).
- Today's CFO = strategic business partner of the CEO.

10. Financial Distress and Insolvency

▣ Medium Exam Activity | ⚙️ Asked across PYQ / RTP / MTP | Asked: PYQ 2 (May 2024 Q4(a)(iii), Jan 2026 Q4(c)) · MTP 1 (Jul 2025)

▣ UNDERSTAND IT

An organisation must continuously manage factors like the **price of its product/service, demand, and prices of inputs** (raw material, labour etc.). The **proportion of debt** also needs very delicate management: **higher debt requires higher interest, and if cash inflow is not**

sufficient it puts a lot of pressure on the organisation. Both short-term and long-term creditors will put stress on the firm.

If these factors are not well managed, a situation of **distress** arises: **financial distress is a position where cash inflows of a firm are inadequate to meet all its current obligations.**

If distress continues for a long period, the firm may have to **sell its assets, many times at a lower price**. When revenue is inadequate to revive the situation, the firm cannot meet its obligations and becomes **insolvent**.

Insolvency basically means inability of a firm to repay various debts and is a result of continuous financial distress.

e.g. A highly leveraged hotel chain loses bookings; its cash inflows cannot cover this quarter's interest and supplier payments (distress). After two years it sells hotels cheaply and still cannot repay its lenders (insolvency).

■ ICAI KEYWORDS

cash inflows of a firm are inadequate to meet all its current obligations · higher debt requires higher interest · sell its asset at a lower price · inability of a firm to repay various debts · result of continuous financial distress

■ MEMORY TRICK

"Distress = Cash short today; Insolvency = Can't repay ever." Distress (long) → forced asset sales → insolvency.

Cue	Stands for
Distress	Cash inflows inadequate for current obligations
Prolonged	Sell assets, often at lower prices
Insolvency	Inability to repay debts; result of continuous distress

⚡ 3-second trigger: Cash short → Sell cheap → Can't repay

■ COMMON MISTAKE / CONFUSION

- Defining distress in terms of accounting profits or long-term obligations. ICAI: cash inflows inadequate to meet current obligations (PYQ May 2024 true/false (iii) was FALSE for this reason).
- Treating distress and insolvency as synonyms. Insolvency is the result of continuous distress.

Basis	Financial distress	Insolvency
Meaning	Cash inflows inadequate to meet all current obligations	Inability of a firm to repay various debts
Stage	Earlier stage; can be revived	Result of continuous financial distress
Typical sign	Pressure from short- and long-term creditors; heavy interest	Assets sold, often at lower prices; obligations still unmet

🔗 INTEGRATION LINK

🔗 FM Ch 6 Leverages: financial leverage as a 'double-edged sword' can push a firm into distress

🔗 INTEGRATION LINK

🔗 FM Ch 5 Capital Structure: the proportion of debt

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Define financial distress and consequences of prolonged distress (PYQ Jan 2026, 2 marks)
- True/false on the meaning of distress (PYQ May 2024)
- Short note on financial distress and insolvency (MTP Jul 2025, 4 marks)

How to attack it:

- Definition in exact ICAI words
- Causes: price, demand, input prices, proportion of debt
- Prolonged distress → asset sale at lower price → insolvency

📖 What ICAI has done so far: PYQ Jan 2026 · Q4(c); PYQ May 2024 · Q4(a) statement (iii); MTP Sep 2025 Series I · FM Q4(b).

⌚ Time / length guide (study guidance): 2 marks ≈ 3 minutes; 4 marks ≈ 6–7 minutes (study guidance).

✍️ WRITE THIS IN THE EXAM

Structure:

- Factors to be managed (price, demand, inputs, debt)
- Definition of financial distress
- Consequence of prolonged distress
- Definition of insolvency

🔑 Keywords: cash inflows inadequate · current obligations · insolvent · continuous financial distress

📏 Ideal length: 2 marks: 3–4 lines; 4 marks: 8–10 lines

📌 Conclusion pattern: Thus insolvency is the result of continuous financial distress.

⊘ DON'T WRITE THIS

- Explaining legal insolvency procedures (not in the SM)

📖 Questions on this topic — ICAI questions first, then practice

📌 OFFICIAL ICAI QUESTION · PYQ Jan 2026 · Q4(c) · 2 marks

Define financial distress. Briefly explain the consequences of prolonged financial distress.

✓ MODEL ANSWER

- **Financial distress** is a position where the cash inflows of a firm are inadequate to meet all its current obligations.
- If distress continues for a long period, the firm may have to sell its assets, many times at a lower price.
- When revenue is inadequate to revive the situation, the firm will not be able to meet its obligations and becomes insolvent.

🔑 Keywords: cash inflows inadequate · current obligations · sell assets at lower price · insolvent

📌 Also asked as: MTP Sep 2025 Series I · FM Q4(b) (short note on financial distress and insolvency, 4 marks)

📖 What ICAI examiners said: No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · MTP Sep 2025 Series I · FM Q4(b) · 4 marks

Write a short note on financial distress and insolvency.

✓ MODEL ANSWER

- Factors like the price of the product/service, demand and prices of inputs (raw material, labour etc.) must be managed by an organisation on a continuous basis.
- The proportion of debt also needs very delicate management: higher debt requires higher interest, and if cash inflow is not sufficient it puts a lot of pressure on the organisation. Both short-term and long-term creditors put stress on the firm.
- If these factors are not well managed, a situation known as distress arises: financial distress is a position where cash inflows of a firm are inadequate to meet all its current obligations.
- If distress continues for a long period, the firm may have to sell its assets, many times at a lower price. When revenue is inadequate to revive the situation, the firm cannot meet its obligations and becomes insolvent.
- So insolvency basically means inability of a firm to repay various debts and is a result of continuous financial distress.

🔑 Keywords: proportion of debt · cash inflows inadequate · insolvency · continuous financial distress

🧠 EXPECTED QUESTION · Practice question · Case · 2 marks

Zeta Ltd. raised heavy debt for expansion. Sales fell, and this year its cash inflows are not enough to pay interest and trade payables, though it still reports a small accounting profit. Is Zeta Ltd. in financial distress? What may happen if the situation continues?

✓ MODEL ANSWER

- Yes. Financial distress is judged by cash, not accounting profit: it is a position where cash inflows are inadequate to meet all current obligations, which is Zeta's position.
- If it continues for long, Zeta may have to sell assets, often at lower prices, and if revenue cannot revive the situation it may become insolvent, i.e. unable to repay its debts.

🔑 Keywords: cash inflows inadequate · insolvent

✓ MCQ · Practice MCQ · Definition · Easy

Financial distress, as per the study material, is a position where:

- (A) Cash inflows of a firm are inadequate to meet all its current obligations
- (B) Accounting profits are insufficient to pay dividends
- (C) The firm has been declared bankrupt by a court
- (D) Long-term debt exceeds equity

✓ ANSWER: (A)

SM §10: financial distress is a position where cash inflows of a firm are inadequate to meet all its current obligations.

- (B) X Distress is about cash and obligations, not dividends from profit.
- (C) X That describes a legal end-state, closer to insolvency.
- (D) X A high debt ratio is a cause of pressure, not the definition.

🚫 **Trap:** Profit-based definitions (the May 2024 true/false trap).

Topic: FM Ch 1 §10

✓ MCQ · Practice MCQ · Sequence · Moderate

Which sequence correctly follows the study material?

- (A) Insolvency → Financial distress → Sale of assets at lower price
- (B) Inadequate cash inflows (distress) → Prolonged distress and sale of assets at lower price → Insolvency
- (C) Sale of assets → Higher interest → Financial distress
- (D) Insolvency and financial distress occur simultaneously and mean the same

✓ ANSWER: (B)

SM §10: distress continuing for a long period may force asset sales at lower prices; when revenue cannot revive the situation, the firm becomes insolvent. Insolvency results from continuous distress.

- (A) X Reverses the order.
- (C) X Wrong order; higher interest is a cause.
- (D) X They are different stages.

🚫 **Trap:** Treating the two terms as synonyms.

Topic: FM Ch 1 §10

□ QUICK RECAP

- Distress = cash inflows inadequate for current obligations.
- Prolonged distress → asset sales at lower prices.
- Insolvency = inability to repay debts; result of continuous distress.

11. Relationship of Financial Management with Related Disciplines

■ Medium Exam Activity | Asked: MTP 1 (Nov 2025)

■ UNDERSTAND IT

As an integral part of overall management, FM is **not a totally independent area**. It draws heavily on related disciplines: **economics, accounting, production, marketing and quantitative methods**. They are inter-related but have key differences.

FM and accounting (§11.1). They are closely related to the extent that **accounting is an important (necessary) input in financial decision making**. Financial accounting generates information on operations; its outcome is financial statements (balance sheet, income statement, statement of changes in financial position), which help financial managers gauge **past performance and future directions**.

They differ in **treatment of funds** and in **decision-making**.

Treatment of funds: in accounting, measurement of funds is based on the **accrual principle** (revenue recognised at the point of sale, not when collected; expenses when incurred, not when paid). Accrual data **do not fully reflect the financial condition**: a firm profitable in the accounting sense may be unable to meet current obligations due to shortage of liquidity (e.g. uncollectible receivables) and will not survive regardless of its profits. In FM, treatment of funds is based on **cash flows**: revenue when cash is actually received (inflow), expenses on actual payment (outflow). The finance manager is concerned with **maintaining solvency** by providing cash flows to meet obligations and acquiring and financing assets. **Cash flow based returns help financial managers to avoid insolvency and achieve desired financial goals**.

Decision-making: the purpose of accounting is to **collect and present financial data** of past, present and future operations; the financial manager **uses these data for decision making**. Financial managers can collect data and accountants can make decisions, but the chief focus of an accountant is to collect and present data, while the financial manager's primary

responsibility is financial planning, controlling and decision making. **Financial management begins where accounting ends.**

FM and other related disciplines (§11.2). For day-to-day decisions FM also draws on marketing, production and quantitative methods. New product development and promotion plans (marketing) need capital outlays and affect projected cash flows; changes in production processes may need capital expenditure that the finance manager evaluates and finances; tools of quantitative methods help analyse complex financial problems.

Marketing, production and quantitative methods are only indirectly related and supportive in nature, while **accounting is the primary discipline** on which the financial manager draws considerably. Economics can also be considered a major discipline, helping the financial manager understand what goes on in the world outside the business.

e.g. A distributor shows ₹2 crore profit (accrual) but ₹1.8 crore is stuck in receivables from a defaulting customer, so it cannot pay suppliers. Accounting says 'profitable'; financial management, looking at cash flow, sees a liquidity crisis.

■ ICAI KEYWORDS

accounting is a necessary input · accrual principle · cash flows · maintaining solvency · avoid insolvency · collect and present data · financial planning, controlling and decision making · financial management begins where accounting ends · supportive disciplines

■ MEMORY TRICK

"Accountant = Accrual + Assemble data; Finance manager = Flows of cash + Final decision."

FM begins where accounting ends.

Cue	Stands for
Treatment of funds	Accounting: accrual; FM: cash flows
Decision-making	Accounting: collect and present data; FM: planning, control, decision
Other disciplines	Marketing, production, quantitative methods: indirect/supportive; accounting: primary; economics: outside world

⚡ 3-second trigger: Accrual vs Cash; Data vs Decision

COMMON MISTAKE / CONFUSION

- Saying accountants cannot make decisions. The SM says each can do the other's work; the difference is the chief focus.
- Calling marketing and production primary disciplines for FM. Accounting is primary; the others are supportive.

Basis	Accounting	Financial management
Treatment of funds	Accrual principle: revenue at point of sale, expenses when incurred	Cash flows: revenue when cash received, expenses when paid
Reflects financial condition?	Not fully: a profitable firm may lack liquidity	Yes: maintains solvency; helps avoid insolvency
Chief focus	Collect and present financial data	Financial planning, controlling and decision making
Sequence	Ends where FM begins	Begins where accounting ends

INTEGRATION LINK

- FM Ch 3 Ratio Analysis: uses accounting data for financial decisions

INTEGRATION LINK

- FM Ch 7: cash flows, not profits, in capital budgeting

INTEGRATION LINK

- FM Ch 1 §10: cash shortage leads to distress

HOW TO FACE IT IN THE EXAM

Can be asked as:

- Differentiate FM and financial accounting (MTP Nov 2025, 4 marks; SM question 1)
- MCQ: which discipline is primary / supportive

How to attack it:

- Say they are closely related (accounting is an input)

- Differences under two heads: treatment of funds, decision-making
- Close with 'FM begins where accounting ends'

 What ICAI has done so far: MTP Jan 2026 Series I · FM Q4(a).

 Time / length guide (study guidance): 4 marks ≈ 7 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Relationship: accounting is a necessary input
- Treatment of funds: accrual vs cash flow
- Decision-making: data vs decisions
- Conclusion line

 Keywords: accrual principle · cash flows · avoid insolvency · financial management begins where accounting ends

 Ideal length: 10–12 lines or a 3–row table

 Conclusion pattern: Thus, financial management begins where financial accounting ends.

DON'T WRITE THIS

- Comparing FM with cost accounting (not the SM comparison)

 Questions on this topic — ICAI questions first, then practice

 OFFICIAL ICAI QUESTION · MTP Jan 2026 Series I · FM Q4(a) · 4 marks

Differentiate between financial management and financial accounting.

MODEL ANSWER

- Though financial management and financial accounting are closely related, they differ in the treatment of funds and with regard to decision-making.
- **Treatment of funds:** in accounting, measurement of funds is based on the accrual principle. Accrual-based data do not fully reflect the financial condition; an organisation that has earned profit (sales less expenses) may be profitable in the accounting sense but unable to meet current obligations due to shortage of liquidity, say from uncollectible receivables.

- In financial management, treatment of funds is based on cash flows: revenues are recognised only when cash is actually received (cash inflow) and expenses on actual payment (cash outflow). Cash-flow-based returns help financial managers avoid insolvency and achieve desired financial goals.
- **Decision-making:** the chief focus of an accountant is to collect and present data, while the financial manager's primary responsibility relates to financial planning, controlling and decision-making.

Conclusion: In a way, financial management begins where financial accounting ends.

 **Keywords:** accrual principle · cash flows · avoid insolvency · collect and present data · planning, controlling and decision-making

 **EXPECTED QUESTION** · Practice question · Explain · 4 marks

"Financial management is not a totally independent area." Explain its relationship with marketing, production, quantitative methods and economics.

 **MODEL ANSWER**

- FM draws heavily on related disciplines: economics, accounting, production, marketing and quantitative methods.
- Marketing: new product development and promotion plans require capital outlays and affect projected cash flows, which the finance manager must consider.
- Production: changes in the production process may require capital expenditure that the finance manager must evaluate and finance.
- Quantitative methods: their tools and techniques help analyse complex financial management problems.
- These disciplines are only indirectly related and supportive, while accounting is the primary discipline; economics helps the financial manager know what goes on outside the business.

 **Keywords:** supportive in nature · accounting is the primary discipline · capital outlays · quantitative methods

 **MCQ** · Practice MCQ · Statement · Moderate

Which statement correctly distinguishes financial management from accounting?

(A) Both measure funds on the accrual basis

- (B) Accounting focuses on decision making; FM focuses on presenting data
- (C) Accounting uses the accrual principle, while FM treats funds on a cash flow basis
- (D) Accounting begins where financial management ends

✓ ANSWER: (C)

SM §11.1: accounting measures funds on the accrual principle; FM treats funds on the basis of cash flows. FM begins where accounting ends.

- (A) X FM uses cash flows.
- (B) X Reversed.
- (D) X Reversed: FM begins where accounting ends.

🚫 Trap: Options B and D reverse the correct relationship.

Topic: FM Ch 1 §11.1

☑ MCQ · Practice MCQ · Which is primary · Moderate

As per the study material, which discipline is the primary discipline on which the financial manager draws considerably?

- (A) Marketing
- (B) Production
- (C) Quantitative methods
- (D) Accounting

✓ ANSWER: (D)

SM §11.2: marketing, production and quantitative methods are indirectly related and supportive, while accounting is the primary discipline.

- (A) X Supportive only.
- (B) X Supportive only.
- (C) X Supportive only.

🚫 Trap: Choosing quantitative methods because FM uses maths.

Topic: FM Ch 1 §11.2

☐ QUICKRECAP

- Accounting is a necessary input to FM.
- Accrual (accounting) vs cash flow (FM); data (accounting) vs decisions (FM).

- Marketing, production, quantitative methods: supportive; accounting: primary; economics: outside world.

12. Agency Problem and Agency Cost

■ High Exam Activity | 📌 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (May 2025 Q4(a)) · MTP 2 (Aug 2024, Mar 2025)

■ UNDERSTAND IT

Agency problem. In sole proprietorships and partnerships, owners participate in management. In corporates owners are not active in management, so there is a **separation between owners/shareholders and managers**. In theory managers should act in the shareholders' best interest, but in reality they may try to maximise **individual goals like salary and perks**. There is a **principal–agent relationship** between owners and managers, known as the **agency problem**.

In a nutshell, agency problem is the chance that managers may place personal goals ahead of the goal of owners.

Agency cost. **Agency problem leads to agency cost: the additional cost borne by shareholders to monitor the manager and control their behaviour so as to maximise shareholders' wealth.**

Generally agency costs are of **four types: (i) monitoring, (ii) bonding, (iii) opportunity, (iv) structuring**.

Addressing the agency problem. The problem arises if managers' interests are not aligned with those of **debt lenders and equity investors**.

For debt lenders: addressed by imposing **negative covenants**, i.e. managers cannot borrow beyond a point. This is one of the most important concepts of modern finance, applied in **credit risk management of banks, fund raising and valuing distressed companies**.

Between managers and shareholders: it can be addressed if managers' interests are aligned with shareholders' interests, which is easier said than done. Efforts made: (1) **managerial compensation is linked to profit** of the company to some extent and also to its **long-term objectives**; (2) **employee [stock option schemes]** are designed to address the issue, assuming that maximisation of the stock price is the investors' objective; (3) **effective monitoring** can be done.

Note: the SM text literally reads 'Employee is also designed to address the issue...' (a word is missing); ICAI's suggested answers repeat this wording. The sense is that employee incentive plans tied to the stock price align managers with shareholders.

e.g. The CEO of a listed firm buys a corporate jet for personal comfort (agency problem). Shareholders spend on independent directors and audits to watch him (monitoring cost). The board then links his bonus to long-term share performance (aligning interests).

KEY FRAMEWORK / FORMULA · Agency cost types and remedies (SM §12)

Requirement: Four types: monitoring, bonding, opportunity, structuring. Remedies: negative covenants (lenders); compensation linked to profit and long-term objectives; employee incentive schemes tied to stock price; effective monitoring (shareholders).

Exam angle: PYQ May 2025 asked meaning, types and how to minimise (4 marks) — reproduce the list exactly.

ICAI KEYWORDS

separation between owner and managers · principal agent relationship · managers may place personal goals ahead of the goal of owners · additional cost borne by the shareholders · monitoring, bonding, opportunity, structuring · negative covenants · managerial compensation linked to profit · effective monitoring

MEMORY TRICK

Agency cost types = "M-B-O-S" (think "MBOs"): Monitoring, Bonding, Opportunity, Structuring. Remedies = "C-E-M": Compensation link, Employee stock schemes, Monitoring; plus negative covenants for lenders.

Cue	Stands for
M-B-O-S	Four types of agency cost
C-E-M	Three efforts to align managers with shareholders
Negative covenants	Agency problem with debt lenders: no borrowing beyond a point

⚡ 3-second trigger: MBOs pay for C-E-M

📌 COMMON MISTAKE / CONFUSION

- Defining agency cost as the manager's salary. It is the additional cost borne by shareholders to monitor and control managers.
- Listing only three types of agency cost.
- Forgetting the debt-lender side (negative covenants).
- Saying sole proprietorships have a big agency problem. Their owners manage the business themselves.

🔗 INTEGRATION LINK

🔗 FM Ch 1 §8: management pursuing personal goals (profit maximisation) vs wealth maximisation

🔗 INTEGRATION LINK

🔗 FM Ch 6 Leverages: lenders' interests and borrowing limits

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Agency cost: meaning, types and how to minimise (PYQ May 2025, 4 marks)
- Explain agency problem and how it can be addressed (MTP Mar 2025, 4 marks)
- Agency problem, its consequences and how to overcome it (MTP Aug 2024, 4 marks)

How to attack it:

- Separation of ownership and management → principal-agent relationship
- Definition in one line
- Agency cost and its four types
- Remedies: lenders (negative covenants) and shareholders (three efforts)

📖 What ICAI has done so far: PYQ May 2025 · Q4(a); MTP Sep 2024 Series II · FM Q4(a); MTP May 2025 Series I · FM Q4(a).

⌚ Time / length guide (study guidance): 4 marks ≈ 7 minutes (study guidance).

✍️ WRITE THIS IN THE EXAM

Structure:

- Meaning of agency problem
- Agency cost + four types
- Addressing it: debt lenders and shareholders

 **Keywords:** principal agent relationship · monitoring, bonding, opportunity, structuring · negative covenants · managerial compensation

 **Ideal length:** 10–12 lines

 **Conclusion pattern:** Aligning managers' interests with those of owners and lenders reduces agency cost and supports wealth maximisation.

 DON'T WRITE THIS

- Inventing extra types of agency cost

 Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · PYQ May 2025 · Q4(a) · 4 marks

What is agency cost and what are its types? How can a company minimise agency cost and align the interests of managers and shareholders?

 MODEL ANSWER

- **Meaning:** agency problem is the chance that managers may place personal goals ahead of the goal of owners. Agency problem leads to agency cost, the additional cost borne by shareholders to monitor the manager and control their behaviour so as to maximise shareholders' wealth.
- **Types:** generally, agency costs are of four types: (i) monitoring, (ii) bonding, (iii) opportunity, (iv) structuring.
- **Minimising agency cost and aligning interests:** managerial compensation is linked to the profit of the company to some extent and also to the long-term objectives of the company.
- Employee [incentive/stock-price-linked] schemes are also designed to address the issue, with the underlying assumption that maximisation of the stock price is the objective of the investors.
- Effective monitoring can be done.

🔑 **Keywords:** personal goals ahead of the goal of owners · additional cost borne by the shareholders · monitoring, bonding, opportunity, structuring · managerial compensation · effective monitoring

📖 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

■ **OFFICIAL ICAI QUESTION** · MTP Sep 2024 Series II · FM Q4(a) · 4 marks

"The agency problem is one of the key concepts in corporate governance and financial management." In this light, explain the agency problem, its consequences and how to overcome it.

✓ **MODEL ANSWER**

- In sole proprietorships and partnerships owners participate in management, but in corporates owners are not active in management, so there is a separation between owners/shareholders and managers.
- In theory managers should act in the best interest of shareholders, but in reality they may try to maximise individual goals like salary and perks. This principal-agent relationship between managers and owners is known as the agency problem: the chance that managers may place personal goals ahead of the goal of owners.
- **Consequence:** agency problem leads to agency cost, the additional cost borne by shareholders to monitor managers and control their behaviour so as to maximise shareholders' wealth. Agency costs are of four types: monitoring, bonding, opportunity and structuring.
- **Overcoming it — debt lenders:** the agency problem arises if managers' interests are not aligned with those of debt lenders and equity investors. For debt lenders it is addressed by imposing negative covenants, i.e. managers cannot borrow beyond a point; this concept is applied in credit risk management of banks, fund raising and valuing distressed companies.
- **Overcoming it — shareholders:** align managers' interests with shareholders' interests (easier said than done). Efforts made: managerial compensation linked to profit and long-term objectives; employee [stock-linked] schemes designed on the assumption that maximising stock price is investors' objective; effective monitoring.

🔑 **Keywords:** separation between owner and managers · principal agent relationship · agency cost · negative covenants · managerial compensation

 Also asked as: MTP May 2025 Series I · FM Q4(a) (explain agency problem and how it can be addressed, 4 marks)

 EXPECTED QUESTION · Practice question · Case · 4 marks

Directors of Orion Ltd. (a listed company) approved large bonuses for themselves in a year when the share price fell 30%. Shareholders have appointed an independent firm to review management decisions, and the company's bankers insist that no further borrowing will be allowed beyond ₹200 crore. Identify the concept involved, the cost being incurred, and the measures visible in the case.

✓ MODEL ANSWER

- Concept: agency problem. Directors (agents) appear to place personal goals (bonuses) ahead of the owners' goal (wealth maximisation), which arises from separation of ownership and management.
- Cost: agency cost, the additional cost borne by shareholders to monitor managers; here the fee for the independent review is a monitoring cost (agency costs are of four types: monitoring, bonding, opportunity, structuring).
- Measure by lenders: the borrowing limit is a negative covenant, the way the agency problem with debt lenders is addressed.
- Further measures for shareholders: link managerial compensation to profit and long-term objectives, use stock-price-linked employee schemes, and ensure effective monitoring.

 Keywords: agency problem · monitoring cost · negative covenants · managerial compensation linked to long-term objectives

✓ MCQ · Practice MCQ · List · Easy

Which of the following is NOT one of the four types of agency cost listed in the study material?

- (A) Flootation
- (B) Bonding
- (C) Opportunity
- (D) Structuring

✓ ANSWER: (A)

SM §12: agency costs are of four types: monitoring, bonding, opportunity and structuring.
 Floatation cost relates to issuing securities (FM Ch 4).

- (B) X Listed type.
- (C) X Listed type.
- (D) X Listed type.

 **Trap:** Floatation cost sounds like a finance cost but is not an agency cost.

Topic: FM Ch 1 §12

☒ MCQ · Practice MCQ · Case-based · Moderate

A bank's loan agreement with Sigma Ltd. states that the managers cannot raise any further borrowing beyond a specified limit. This clause addresses the agency problem between managers and:

- (A) Equity shareholders, through managerial compensation
- (B) Debt lenders, through a negative covenant
- (C) Employees, through bonding cost
- (D) Government, through structuring cost

✓ **ANSWER: (B)**

SM §12: the agency problem of debt lenders is addressed by imposing negative covenants, i.e. managers cannot borrow beyond a point.

- (A) X Compensation-linking addresses the shareholder side.
- (C) X Not the SM application.
- (D) X Not the SM application.

 **Trap:** Assuming agency problems exist only with shareholders.

Topic: FM Ch 1 §12

☐ **QUICKRECAP**

- Agency problem: managers may place personal goals ahead of owners' goals.
- Agency cost: extra cost to shareholders; four types M-B-O-S.
- Remedies: negative covenants (lenders); compensation link, stock-linked schemes, monitoring (shareholders).

Most Confusing Concepts

Profit maximisation vs wealth maximisation

Basis	Profit maximisation	Wealth maximisation
Objective	Large amount of profits	Highest market value of shares
Measure	Accounting profit	Cash flows, cost-benefit, time value of money (PV benefits - PV costs)
Risk	Ignored	Recognised
Timing of returns	Ignored	Recognised
Horizon	Short-term gains	Long-term gains
Weakness	Vague, narrow, requires immediate resources	No clear link between decisions and share price; management anxiety

CASE SCENARIO · Spot it in a case

Words like 'this year's profit', 'cut costs aggressively', 'postpone repairs' signal profit maximisation; 'long-term cash flows', 'brand loyalty', 'share price' signal wealth maximisation.

Financial distress vs insolvency

Basis	Financial distress	Insolvency
Meaning	Cash inflows inadequate to meet all current obligations	Inability of a firm to repay various debts
Relationship	The cause, if it continues	The result of continuous distress
Typical event	Creditors put pressure; interest burden	Assets sold at lower prices; obligations still unmet

CASE SCENARIO · Spot it in a case

'Cannot pay this quarter's dues' = distress; 'after years of stress, cannot repay debts even after selling assets' = insolvency.

Accounting vs financial management

Basis	Accounting	Financial management
Treatment of funds	Accrual principle	Cash flows
Chief focus	Collect and present data	Planning, controlling and decision making
Relationship	Necessary input to FM	Begins where accounting ends

 CASE SCENARIO · Spot it in a case

'Profitable but short of cash' shows why FM looks at cash flows, not accrual profit.

Treasurer vs Controller

Treasurer	Controller
Cash Manager	Financial Accounting Manager
Credit Manager	Cost Accounting Manager
Capital Budgeting Manager	Tax Manager
Fund Raising Manager	Data Processing Manager
Portfolio Manager	Internal Auditor

 CASE SCENARIO · Spot it in a case

Money in, money out and investment → Treasurer; records, costs, tax and checks → Controller.

Importance of FM vs scope of FM

Importance (SM §5): seven tasks	Scope (SM §6): Ezra Solomon's four aspects
Not over-investing in fixed assets	Size of enterprise and rate of growth
Balancing cash outflows and inflows	Composition of assets
Sufficient short-term working capital	Mix of financing (debt to equity)
Sales revenue targets; correct pricing; controlling admin expenses; tax planning	Analysis, planning and control of financial affairs

 CASE SCENARIO · Spot it in a case

'Tasks that show importance' → left column; 'Ezra Solomon' or 'what FM studies' → right column.

Integrated Case Scenarios

CASE SCENARIO · Integrated Case 1 — Sunrise Ceramics Ltd.

Sunrise Ceramics Ltd. is a listed tile maker. Its promoters no longer run the business; a professional CEO and CFO do. The CEO's bonus depends only on the current year's accounting profit.

To show higher profit this year, the CEO postponed the major repair of a kiln and cut advertising sharply. Profit rose 18%, but analysts warn that sales and the kiln's life will suffer in coming years, and the share price has fallen 12%.

The CFO proposes two changes: link the CEO's bonus to the company's long-term objectives and share price, and appoint an independent agency to review large management decisions.

Separately, the company's bank has inserted a clause in its term-loan agreement that management cannot borrow more than ₹150 crore in total.

Questions

Q1. The CEO's action of postponing kiln repairs to boost this year's profit is best described as:

- (A) Wealth maximisation, as profit is part of wealth
- (B) Value creation, as costs are saved
- (C) Profit maximisation at the expense of long-term wealth maximisation
- (D) Risk management, as assets are protected

Q2. The situation in which the professional CEO pursues his bonus instead of the shareholders' interest reflects:

- (A) Financial distress
- (B) Operating leverage
- (C) Insolvency
- (D) Agency problem

Q3. The fee to be paid to the independent agency that reviews management decisions is an example of which type of agency cost?

- (A) Monitoring cost
- (B) Structuring cost
- (C) Opportunity cost
- (D) Bonding cost

Q4. The bank's ₹150 crore borrowing limit is best described as:

- (A) A dividend decision
- (B) A negative covenant addressing the agency problem with debt lenders
- (C) Evidence of insolvency

(D) A non-fund based bank facility

Q5. Advise the board of Sunrise Ceramics Ltd.: which objective should guide the CEO, and what measures should be used to align his interests with the shareholders'? [5 marks]

✓ ANSWERS

Q1: C

- SM §8: profit maximisation can be achieved in the short term at the expense of long-term wealth maximisation, e.g. postponing major repairs or replacement hurts long-term profitability.
- The falling share price confirms that shareholder wealth is not being maximised.

Q2: D

- SM §12: in corporates there is separation between owners and managers; agency problem is the chance that managers place personal goals ahead of owners' goals.

Q3: A

- Agency cost is the additional cost borne by shareholders to monitor managers and control their behaviour; paying an agency to review decisions is monitoring.

Q4: B

- SM §12: the agency problem of debt lenders is addressed by imposing negative covenants, i.e. managers cannot borrow beyond a point.

Q5: Wealth maximisation should guide the CEO; align interests by linking compensation to profit and long-term objectives, using stock-price-linked employee schemes, effective monitoring, and negative covenants for lenders.

- Profit maximisation is at best a limited objective: it ignores risk and the timing of returns and is too narrow; postponing repairs is short-sighted.
- Wealth maximisation (highest market value of shares) recognises risk and timing and emphasises long-term gains; in an uncertain, multi-period world it is the better objective.
- The CEO's behaviour is an agency problem; the resulting agency cost (monitoring, bonding, opportunity, structuring) is borne by shareholders.
- Measures: link managerial compensation to profit to some extent and to long-term objectives; use employee schemes tied to stock price; ensure effective monitoring (the independent review).
- Lenders' interests are protected through negative covenants such as the borrowing limit.

 Topics tested: FM Ch 1 §7.1, FM Ch 1 §8, FM Ch 1 §12

 **Trap:** The 18% profit rise looks like success, but the share price fall shows wealth is being destroyed.

 CASE SCENARIO · Integrated Case 2 — GreenLeaf Foods Pvt. Ltd.

GreenLeaf Foods is a three-year-old start-up. Banks refused it a loan and it is too small for venture capital funds, so a wealthy individual invested ₹60 lakh for a 30% stake.

Last year it reported an accounting profit of ₹25 lakh, but ₹40 lakh of sales remained uncollected from a large retailer. It could not pay suppliers and salaries on time for two months.

The founders plan to import a packing machine, pay for it in euros, and are worried about exchange-rate movements.

Their accountant says: 'We are profitable, so we cannot be in financial trouble.' The new CFO disagrees and says her job goes beyond preparing accounts.

Questions

Q1. The ₹60 lakh raised from the wealthy individual for a 30% stake is:

- (A) Venture capital financing
- (B) Term loan
- (C) International funding through FDI
- (D) Angel financing

Q2. GreenLeaf's inability to pay suppliers and salaries on time despite accounting profit indicates:

- (A) Insolvency, as it cannot repay any debt
- (B) Profit maximisation
- (C) Financial distress, as cash inflows are inadequate to meet current obligations
- (D) Over-investment in fixed assets

Q3. The accountant's view ('profitable, so no trouble') ignores that:

- (A) Accounting uses cash flows while FM uses accruals
- (B) Accrual-based accounting data do not fully reflect financial condition; FM uses cash flows
- (C) Financial management ends where accounting begins
- (D) Accounting is a supportive, not primary, discipline for FM

Q4. Protecting the euro payment from exchange-rate movements through a protective procedure is part of which finance decision in the study material?

- (A) Financing decision (hedging currency risk)

- (B) Dividend decision
- (C) Working capital management only
- (D) Evolution of FM

Q5. Explain to GreenLeaf's founders how financial management differs from accounting, and why the CFO's role goes beyond preparing accounts. [5 marks]

✓ **ANSWERS**

Q1: D

- SM §2.1(e): angel financing is equity financing by a wealthy individual for start-up or expansion; often the last option for start-ups that do not qualify for bank funding and are too small for venture capital.

Q2: C

- SM §10: financial distress is a position where cash inflows are inadequate to meet all current obligations; insolvency results only if distress continues and revenue cannot revive the situation.

Q3: B

- SM §11.1: accrual data do not fully reflect the financial condition; a firm profitable in the accounting sense may fail to meet current obligations due to uncollectible receivables. FM treats funds on a cash flow basis.

Q4: A

- SM §4(b): financing decisions call for evaluation of risk; in overseas trading the firm is vulnerable to currency fluctuations and the manager must know protective procedures such as hedging.

Q5: FM uses cash flows and focuses on planning, control and decisions; accounting uses accruals and presents data. FM begins where accounting ends, and today's CFO is a strategic partner who plans, invests, finances, manages resources and risk.

- Treatment of funds: accounting uses the accrual principle, so profits may exist while cash is stuck in receivables; FM recognises revenue when cash is received and expenses when paid, helping avoid insolvency.
- Decision-making: an accountant's chief focus is to collect and present data; the financial manager's primary responsibility is financial planning, controlling and decision-making. FM begins where accounting ends.
- Finance executive's responsibilities: financial analysis and planning (size and growth), investment decisions, financing and capital structure decisions, management of financial

resources (working capital), and risk management (protecting assets, e.g. hedging currency risk).

- Today the CFO is a strategic business partner of the CEO, not confined to accounting and reporting.

 Topics tested: FM Ch 1 §2.1, FM Ch 1 §4, FM Ch 1 §9, FM Ch 1 §10, FM Ch 1 §11.1

 **Trap:** Accounting profit does not mean there is enough cash.

Chapter Test — attempt before looking at the Answer Keys

✓ MCQ · Test MCQ 1

Value of a firm, as per the study material, is expressed as a function of:

- (A) Sales, costs and taxes
- (B) Equity, debt and reserves
- (C) Investment, financing and dividend decisions
- (D) Profit, liquidity and solvency

✓ MCQ · Test MCQ 2

Which source of funds is best from the risk point of view but usually the most expensive?

- (A) Debentures
- (B) Bank overdraft
- (C) Trade credit
- (D) Equity

✓ MCQ · Test MCQ 3

Early in the history of finance, an important issue was:

- (A) Liquidity
- (B) Technology
- (C) Capital structure
- (D) Financing options

✓ MCQ · Test MCQ 4

Which of the following need NOT be followed by the finance manager for measuring and maximising shareholders' wealth?

- (A) Cash flow approach
- (B) Accounting profit analysis
- (C) Cost-benefit analysis
- (D) Application of time value of money

☒ MCQ · Test MCQ 5

Which is a disadvantage of the shareholders' wealth maximisation goal?

- (A) Emphasises short-term gains*
- (B) Ignores timing of returns*
- (C) Offers no clear relationship between financial decisions and share price*
- (D) Requires immediate resources*

☒ MCQ · Test MCQ 6

The shareholder value maximisation model holds that the primary goal of the firm is to maximise its:

- (A) Accounting profit*
- (B) Liquidity*
- (C) Working capital*
- (D) Market value*

☒ MCQ · Test MCQ 7

Agency cost is best defined as:

- (A) The additional cost borne by shareholders to monitor managers and control their behaviour*
- (B) The salary paid to the chief executive*
- (C) The interest paid to lenders*
- (D) The cost of issuing new shares*

☒ MCQ · Test MCQ 8

Management of all matters related to an organisation's finances is called:

- (A) Cash inflows and outflows*
- (B) Financial management*
- (C) Allocation of resources*
- (D) Finance*

☒ MCQ · Test MCQ 9

Which is a responsibility of the finance executive under 'risk management' in the study material?

- (A) Designating the size of the firm
- (B) Allocating funds to specific assets
- (C) Protecting assets
- (D) Determining the composition of liabilities

✓ MCQ · Test MCQ 10

In the modern phase of financial management:

- (A) FM was needed only for mergers and liquidation
- (B) Only day-to-day funds analysis mattered
- (C) Outsiders' needs dominated all decisions
- (D) Theories on efficient markets, option pricing and valuation models were developed, and the phase is still going on

✓ MCQ · Test MCQ 11

Profit maximisation and wealth maximisation amount to essentially the same when:

- (A) The time period is short and uncertainty is not great
- (B) The company is unlisted
- (C) The company has no dividend policy
- (D) Accounting follows the accrual basis

✓ MCQ · Test MCQ 12

Letters of credit and guarantees provided by commercial banks are:

- (A) Fund based lending services
- (B) Non-fund based lending services
- (C) Forms of angel financing
- (D) International funding routes

🧠 EXPECTED QUESTION · Test question 1 · 4 marks

"Wealth maximisation is a better objective than profit maximisation." Discuss, giving the limitations of profit maximisation and the advantages of wealth maximisation.

 EXPECTED QUESTION · Test question 2 · 2 marks

Define financial distress and state how it can lead to insolvency.

 EXPECTED QUESTION · Test question 3 · 4 marks

Explain the agency problem, agency cost and the ways to address it.

Active-Recall Tests (answers in Answer Keys)

10 Quick Questions

1. Name the three long-term finance decisions.
2. What is the short-term finance function?
3. Which decision relates only to profit-making organisations?
4. Who described value of a firm as the market price of its common stock?
5. Whose concept gives the four aspects of the scope of FM?
6. Give the two formulae for value of a firm.
7. Name the four types of agency cost.
8. How is the agency problem with debt lenders addressed?
9. What is financial distress?
10. On what basis does accounting measure funds, and on what basis does FM?

Fill in the Blanks

1. Money is to an enterprise what _____ is to an engine.
2. Wealth = Present value of benefits – _____.
3. Financial management begins where _____ ends.
4. Angel investors typically invest around _____ per cent to help a company get started.
5. Profit maximisation at the cost of social and moral obligations is a _____ policy.

True / False

1. Equity is the cheapest source of funds.
2. Insolvency is a result of continuous financial distress.
3. Marketing is the primary discipline on which the financial manager draws.
4. The retention part of the dividend decision is also a financing decision.
5. A combination of lower risk and higher return is the risk-return trade-off at which profit is maximum.

One-Word Recall

1. Strategy to minimise, reduce or cancel out risk in another investment.
2. Phase of evolution in which FM was needed only for occasional events.
3. Manager under the Treasurer who handles raising of funds.

4. Objective of wealth maximisation in the SM table.

5. Relationship between managers and owners giving rise to the agency problem.

Match the Concept

Column A	Column B
1. Treasurer	a. Value of firm = market price of common stock
2. Controller	b. Tax Manager and Internal Auditor
3. Ezra Solomon	c. Acquisition and financing of short- and long-term credits
4. Van Horne	d. Scope of FM: four aspects
5. Phillipatus	e. Cash, credit and portfolio managers

Differentiate

1. Financial distress vs insolvency

2. Accounting vs FM (decision-making)

3. Profit vs wealth maximisation (risk)

Complete the Flowchart

Managers pursue personal goals → [?] → Agency cost borne by shareholders → [?] → Wealth maximisation

Answer Keys

Chapter test — MCQ key

MCQ	Answer	Why
1	C	SM §4: $V = f(I, F, D)$.
2	D	SM §2.1(a): equity need not be repaid except on liquidation, but dividend expectations are high and dividends are not tax-deductible.
3	A	SM MCQ 9 key (a): liquidity.
4	B	SM §7.2 and SM MCQ 12: follow cash flow approach (not accounting profit), cost-benefit analysis and time value of money.
5	C	SM §8 table and SM MCQ 6: wealth maximisation offers no clear relationship between decisions and share price and can cause management anxiety and frustration.
6	D	SM §7.2 and SM MCQ 3: market value.
7	A	SM §12.
8	B	SM §5 and SM MCQ 5: financial management.
9	C	SM §9(e): risk management = protecting assets.
10	D	SM §3.
11	A	SM §8.
12	B	SM §2.1(c) chart: fund based = cash credit, overdraft, term loans, working capital term, bill purchase/discounting; non-fund based = guarantee, letters of credit.

 **EXPECTED QUESTION** · Test question 1 — model answer · 4 marks

"Wealth maximisation is a better objective than profit maximisation." Discuss, giving the limitations of profit maximisation and the advantages of wealth maximisation.

✓ **MODEL ANSWER**

- Profit maximisation cannot be the sole objective; it is at best a limited objective.
- Limitations: the term profit is vague; it ignores risk (direct relationship between risk and profit); it ignores the time pattern of returns; it is too narrow and ignores social considerations.

- Wealth maximisation aims at the highest market value of shares; wealth = PV of benefits – PV of costs using cash flows and time value of money.
- Advantages: emphasises long-term gains, recognises risk or uncertainty, recognises timing of returns, considers shareholders' return.
- It is generally in accord with the interests of owners, employees, creditors and society.

Conclusion: Owing to the limitations of profit maximisation, in today's uncertain and multi-period world wealth maximisation is a better objective.

 **Keywords:** limited objective · highest market value of shares · uncertain and multi-period

 **EXPECTED QUESTION** · Test question 2 — model answer · 2 marks

Define financial distress and state how it can lead to insolvency.

 **MODEL ANSWER**

- Financial distress is a position where cash inflows of a firm are inadequate to meet all its current obligations.
- If it continues for a long period, the firm may have to sell assets, often at lower prices; when revenue cannot revive the situation, the firm cannot meet its obligations and becomes insolvent. Insolvency is the result of continuous financial distress.

 **Keywords:** cash inflows inadequate · insolvency

 **EXPECTED QUESTION** · Test question 3 — model answer · 4 marks

Explain the agency problem, agency cost and the ways to address it.

 **MODEL ANSWER**

- Separation of owners and managers in corporates creates a principal–agent relationship; managers may place personal goals (salary, perks) ahead of owners' goals.
- Agency cost: additional cost borne by shareholders to monitor and control managers; types: monitoring, bonding, opportunity, structuring.
- Debt lenders: negative covenants (no borrowing beyond a point).
- Shareholders: compensation linked to profit and long-term objectives; stock-price-linked employee schemes; effective monitoring.

 **Keywords:** principal agent relationship · monitoring, bonding, opportunity, structuring · negative covenants

Active-recall answers

10 Quick Questions

1. Investment, financing and dividend decisions.
2. Working capital management (current assets and current liabilities).
3. Dividend decision.
4. Van Horne.
5. Ezra Solomon.
6. $V = N \times MP$; $V = V_e + V_d$.
7. Monitoring, bonding, opportunity, structuring.
8. By negative covenants: managers cannot borrow beyond a point.
9. A position where cash inflows of a firm are inadequate to meet all its current obligations.
10. Accounting: accrual principle; FM: cash flows.

Fill in the Blanks

1. oil
2. Present value of costs
3. accounting
4. 25 to 60
5. short sighted

True / False

1. False — Equity is usually the most expensive source, though best from the risk point of view.
2. True — SM §10.
3. False — Accounting is primary; marketing, production and quantitative methods are supportive.
4. True — SM §4(c).
5. False — There is a direct relationship between risk and profit (PYQ May 2024).

One-Word Recall

1. Hedging
2. Traditional
3. Fund Raising Manager

4. Highest market value of shares

5. Principal-agent

Match the Concept

1-e 2-b 3-d 4-a 5-c

Differentiate

1. Distress: cash inflows inadequate for current obligations. Insolvency: inability to repay debts, the result of continuous distress.

2. Accountant collects and presents data; financial manager plans, controls and decides.

3. Profit maximisation ignores risk; wealth maximisation recognises risk.

Complete the Flowchart

Managers pursue personal goals → Agency problem → Agency cost borne by shareholders → Align interests (compensation, stock-linked schemes, monitoring; negative covenants) → Wealth maximisation

Rapid Revision Ladder

☐ QUICK RECAP · 5-MINUTE REVISION

- $V = f(I, F, D)$ + working capital management.
- Profit maximisation limitations: vague, risk, timing, narrow.
- Wealth maximisation: highest market value of shares; better objective in an uncertain, multi-period world.
- Distress = cash inflows inadequate for current obligations; insolvency = result of continuous distress.
- Agency cost types: monitoring, bonding, opportunity, structuring.

☐ QUICK RECAP · 15-MINUTE REVISION

- Two aspects of FM: procurement and effective utilisation of funds.
- Sources: equity (safe, costly), debentures (cheap, risky), banks (fund and non-fund based), international (FDI, FII, ADR, GDR), angel (equity, 25–60%, start-ups).
- Profit vs wealth table: objectives, advantages, disadvantages.
- Wealth measured by cash flow approach, cost-benefit analysis, time value of money; $V = N \times MP$ or $V_e + V_d$.
- Agency remedies: negative covenants; compensation link; stock-linked schemes; monitoring.
- FM vs accounting: accrual vs cash flow; data vs decisions.

☐ QUICK RECAP · 30-MINUTE REVISION

- Evolution: traditional (occasional events), transitional (day-to-day), modern (theories, ongoing).
- Importance: seven tasks. Scope: Ezra Solomon's four aspects; financial controller's modern role covers all three decisions.
- Finance executive's five responsibilities; Treasurer vs Controller chart; CFO then vs now.
- Why wealth maximisation works: the chain from hiring managers to societal wealth.
- Other disciplines: marketing, production, quantitative methods are supportive; accounting is primary; economics shows the outside world.

☐ QUICKRECAP · 60-MINUTE REVISION

- Redo every official question in this chapter without looking at the answers.
- Write the 4-mark answers on wealth vs profit maximisation, agency cost and FM vs accounting in exam format.
- Attempt the chapter test and both integrated cases, then check the answer keys.

One-Page Chapter Sheet

Meaning & decisions • FM = efficient acquisition and allocation of funds • Two aspects: procurement and utilisation • $V = f(I, F, D)$; short-term: working capital management • Dividend decision only for profit-making entities	Sources (§2.1) • Equity: safest, costliest, dilutes control • Debentures: cheaper (tax), risky • Banks: CC, OD, TL, WCTL, bills; guarantee, LC • International: FDI, FII, ADR, GDR • Angel: wealthy individual, equity, 25–60%, last option
Profit maximisation • Traditional objective; at best limited • Vague · Risk ignored · Timing ignored · Narrow • Table disadvantages: short-term, risk, timing, immediate resources	Wealth maximisation • Highest market value of shares • Wealth = PV benefits – PV costs • Cash flow, cost-benefit, time value • $V = N \times MP = V_e + V_d$ (Van Horne: report card) • Better objective; same as profit only if short and certain
Finance executive • Analysis & planning · Investment · Financing & capital structure · Resources · Risk • Treasurer vs Controller • Today: strategic business partner of the CEO	Distress, accounting, agency • Distress: cash inflows inadequate for current obligations → insolvency • Accounting: accrual, data; FM: cash flow, decisions • Agency cost: monitoring, bonding, opportunity, structuring • Remedies: negative covenants; compensation; stock-linked schemes; monitoring

FM Chapter 2 — Types of Financing

Paper 6A Financial Management · Module 1

Based on: ICAI BoS Study Material, Paper 6A (relevant for May 2026 examination onwards), Module 1, Chapter 2 (pp. 2.1–2.46)

Chapter Index

Page numbers are printed at the foot of each page. In the PDF, click a line to jump to it.

Examiner Mindset — FM Chapter 2	0000
Chapter Snapshot	0000
What ICAI Has Actually Tested	0000
Topic-wise Notes with All Related Questions	0000
1–2. Financial Needs of a Business and Classification of Financial Sources	0000
3–3.1 Long-term Sources: Owners' Capital or Equity Capital	0000
3.2–3.3 Preference Share Capital and Retained Earnings	0000
3.4–3.5 Debentures and Bonds	0000
3.6–3.7 Loans from Financial Institutions and Commercial Banks (including Bridge Finance)	0000
4. Venture Capital Financing: Meaning, Characteristics and Methods	0000
5. Debt Securitisation	0000
6–6.1 Lease Financing: Operating and Financial Leases	0000
6.2 Other Types of Leases	0000
7. Short-term Sources of Finance (including Export Finance)	0000
8. Other Sources of Financing	0000
9–10. International Financing and Contemporary Sources of Funding	0000
Most Confusing Concepts	0000
Integrated Case Scenarios	0000
Chapter Test — attempt before looking at the Answer Keys	0000
Active-Recall Tests (answers in Answer Keys)	0000
Answer Keys	0000
Rapid Revision Ladder	0000
One-Page Chapter Sheet	0000

Examiner Mindset — FM Chapter 2

■ OFFICIAL ICAI QUESTION · What ICAI's published papers tell us

- ICAI has published no examiners' comments for Paper 6; the guidance below comes from its suggested answers, RTPs and MTPs.
- This is **the most reliable theory chapter in Section A**: a part of Q4 comes from it in every attempt from Sep 2024 to May 2026 (ESG bonds, seed capital, bridge finance, post-shipment finance, junk bonds, debentures, leveraged lease, four types of bonds).
- The pattern is 'name four and describe them': four bond types, four types of lease, four methods of venture capital financing, four types of preference shares. Marks are given per item, so **learn the lists, not essays**.
- Lease types and venture capital methods are the two most repeated topics: leases appeared in 5 MTPs and one past paper; venture capital methods in 3 MTPs and 1 RTP.

⊛ HOW TO FACE IT IN THE EXAM · How ICAI answers this chapter (study guidance)

- Each item gets a **bold name plus two or three lines**, in study-material words. ICAI rarely adds anything beyond the SM description.
- For a 2-mark part, ICAI gives just the meaning plus one distinguishing feature (e.g. callable and puttable bonds).
- For 'identify the type of finance' cases (May 2026 post-shipment), the first mark is for naming the source; the rest is the list of its forms.
- Where a source appears in two chapters (bank credit, trade credit, commercial paper), ICAI's answer uses the wording of whichever chapter the question quotes.

Chapter Snapshot

■ CHAPTER SNAPSHOT

What it is about: Where a business gets its money: long-term sources (equity, preference, retained earnings, debentures, bonds, institutional and bank loans), venture capital, debt securitisation, lease financing, short-term sources including export finance, other instruments, international financing and contemporary sources such as crowd funding.

Why it matters: It supplies a guaranteed theory part of Q4 every attempt, and the vocabulary for cost of capital (Ch 4), capital structure (Ch 5) and working capital (Ch 9).

Core concepts:

- FM Ch 2 §1–FM Ch 2 §2.3 Financial needs (long, medium, short term) and the three classifications of sources
- FM Ch 2 §3.1–FM Ch 2 §3.5 Equity, preference shares, retained earnings, debentures and bonds with their advantages and disadvantages
- FM Ch 2 §3.7 Loans from commercial banks and bridge finance
- FM Ch 2 §4–FM Ch 2 §4.3 Venture capital financing: meaning, characteristics and four methods
- FM Ch 2 §5 Debt securitisation and the role of the SPV
- FM Ch 2 §6–FM Ch 2 §6.2 Operating vs financial lease and four other types of lease
- FM Ch 2 §7 Short-term sources, including pre-shipment and post-shipment export finance
- FM Ch 2 §8–FM Ch 2 §10 Other sources, international financing and crowd funding

Key provisions / standards:

- Basic principle: short-term needs from short-term sources, medium-term from medium-term, long-term from long-term
- Venture capital equity contribution does not exceed 49% of the venture's equity capital
- Public deposits: up to 35% of paid-up capital and reserves, for six months to three years
- Commercial paper: denominations of ₹5 lakh or multiples; treasury bills 14 to 364 days; certificates of deposit 7 days to one year
- Packing credit and post-shipment advances to be liquidated within 180 days

Most tested areas (evidence-based):

- Types of lease (other than operating and financial) — evidence: PYQ Sep 2024 Q4(c); MTP Apr 2025, Aug 2024, Dec 2025, Jul 2026
- Venture capital financing: methods and characteristics — evidence: MTP Mar 2024, Nov 2025, Jul 2025; RTP May 2025
- Bonds: callable, puttable, masala, drop lock, junk, bulldog — evidence: PYQ Sep 2025 Q4(b), May 2026 Q4(c) OR; MTP Aug 2026; RTP Jan 2026
- Debentures and preference shares: features, advantages, disadvantages — evidence: PYQ Sep 2024 Q4(a); MTP Apr 2025, Mar 2026; RTP Sep 2024
- Newer sources: ESG bonds, seed capital, crowd funding vs P2P, IDRs — evidence: PYQ Jan 2025 Q4(a), Jan 2026 Q4(a), May 2024 Q4(c) OR; MTP Aug 2025, Apr 2024

Top student mistakes:

- Calling preference dividend tax-deductible. It is not, which makes preference capital costlier than debt.
- Saying an operating lease is non-cancellable. It is the financial lease that is non-cancellable.
- Mixing up ADR (US), GDR (mainly Europe) and IDR (foreign company raising rupees in India).
- Treating crowd funding and P2P lending as different sources. P2P lending is a category of crowd funding.

Integration links:

- FM Ch 1 §2.1: the same sources introduced briefly
- FM Ch 4: cost of each source (debt, preference, equity, retained earnings)
- FM Ch 5: choosing the mix (capital structure)
- FM Ch 9: trade credit, commercial paper, factoring and bank finance for working capital

🌀 **Revision path:** 5 min: the four lease types + four venture capital methods + bond names · 15 min: add equity/preference/debenture advantages and disadvantages · 30 min: add export finance, international instruments and contemporary sources.

What ICAI Has Actually Tested

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ Sep 2024 · Q4(a)	Two advantages and two disadvantages of raising finance by issue of debentures	FM Ch 2 §3.4	4	List	First time asked
PYQ Sep 2024 · Q4(c)	What is a leveraged lease?	FM Ch 2 §6.2	2	Explain	First time asked
PYQ Jan 2025 · Q4(a)	Environmental, Social and Governance linked bonds	FM Ch 2 §9	4	Explain	First time asked
PYQ May 2025 · Q4(b)	Key features of bridge financing	FM Ch 2 §3.7	4	List	First time asked
PYQ Sep 2025 · Q4(b)	Callable, puttable, masala and drop lock bonds	FM Ch 2 §3.5	4	Explain four	First time asked
PYQ Jan 2026 · Q4(a)	Key features of seed capital assistance	FM Ch 2 §8	4	Explain	First time asked

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ May 2026 · Q4(b)	Exporter awaiting realisation of export proceeds: identify the finance and explain three of its forms	FM Ch 2 §7	4	Case: identify + explain	First time asked
PYQ May 2026 · Q4(c) (OR)	Junk bonds and why they are called high-yield bonds	FM Ch 2 §8	2	Explain	First time asked
PYQ May 2024 · Q4(c) (OR)	Features of crowd funding	FM Ch 2 §10	2	Explain	First time asked

■ EXAM ALERT · Trends in ICAI questions

- Every attempt from May 2024 to May 2026 carried at least one part from this chapter, usually Q4(a) or Q4(b).
- ICAI rotates through the source list rather than repeating the same source: debentures (Sep 2024), ESG bonds (Jan 2025), bridge finance (May 2025), bond types (Sep 2025), seed capital (Jan 2026), post-shipment finance (May 2026).
- 2-mark parts come from the small definitions: leveraged lease, junk bonds, crowd funding, IDRs.

■ OFFICIAL ICAI QUESTION · RTP takeaways

- RTPs repeat venture capital methods and preference share types, and add bulldog bonds (Jan 2026).
- The May 2026 RTP set a full lease-rental computation, so lease financing can also come as a numerical, even though the SM says detailed lease problems are at Final level.

■ OFFICIAL ICAI QUESTION · MTP takeaways

- 'Explain four other types of lease' appeared in four MTPs (Aug 2024, Apr 2025, Dec 2025, Jul 2026) — the single most repeated question of this chapter.
- Venture capital methods appeared in three MTPs; debt securitisation in two.
- MTPs also test small items: IDRs, public deposit period, international instruments (fully hedged bonds, MTN, FRN, ECP), crowd funding vs P2P lending.

Counting method: every official part mapped to this chapter from ICAI suggested answers (May 2024 to May 2026), RTPs (May 2024 to Sep 2026) and MTPs (Mar 2024 to Aug 2026).

Topic-wise Notes with All Related Questions

1-2. Financial Needs of a Business and Classification of Financial Sources

■ Conceptual Foundation

■ UNDERSTAND IT

Three financial needs (§1). (i) **Long-term financial needs: funds required for a period exceeding 5–10 years** — investment in plant, machinery, land, buildings; funds for **permanent or hard-core working capital** should also come from long-term sources. (ii) **Medium-term needs: exceeding one year but not exceeding 5 years** — stores and spares, critical spares, tools, dies, moulds. (iii) **Short-term needs: to finance current assets** (stock, debtors, cash), i.e. working capital; they arise for a period **not exceeding one accounting year**.

Basic principle for funding: short-term needs from short-term sources, medium-term needs from medium-term sources and long-term needs from long-term sources. The method of raising funds is decided with reference to the period for which funds are required.

The general rule can change with the **nature and level of operation of the borrower** and the **stage of development** of the business: Early stage — high uncertainty — **equity, mainly angel fund**; high to moderate uncertainty — **equity, venture capital, debt**; growth stage — moderate to low uncertainty — **debt, venture capital, private equity**; stable stage — low uncertainty — **debt**.

Classification (§2). Sources are classified in three ways: (i) **based on basic sources**, (ii) **based on maturity of repayment period**, (iii) **based on ownership and control**.

By basic source (§2.1): External sources — share capital (equity shares, preference shares) and debt or borrowed capital (debentures, loans from financial institutions, others); **Internal sources** — mainly **retained earnings**.

By maturity (§2.2). Long-term: share capital/equity shares; preference shares; retained earnings; debentures/bonds of different types; loans from financial institutions; loans from State Financial Corporations; loans from commercial banks; venture capital funding; asset securitisation; international financing such as Euro-issues and foreign currency loans.

Medium-term: preference shares; debentures/bonds; public/fixed deposits for three years; medium-term loans from commercial banks, financial institutions and State Financial Corporations; lease financing / hire-purchase financing; external commercial borrowings; Euro-issues; foreign currency bonds. **Short-term:** trade credit; accrued expenses and deferred

income; short-term loans such as working capital loans from commercial banks; advances received from customers; various short-term provisions.

By ownership and control (§2.3): *Owner's fund* — equity share capital and retained earnings; *Borrowed fund* — debentures, loans from banks, loans from financial institutions and others.

e.g. A start-up with an untested product raises angel equity (early stage, high uncertainty); once sales stabilise it borrows from a bank (stable stage, low uncertainty) — exactly the SM's stage-wise table.

KEY FRAMEWORK / FORMULA · Matching principle (SM §1)

Requirement: Short-term needs from short-term sources, medium from medium, long from long; permanent working capital is funded from long-term sources.

Exam angle: MCQ on which source suits which need, or a case asking whether a firm has financed fixed assets with short-term money.

ICAI KEYWORDS

long-term financial needs · medium-term financial needs · short-term financial needs · hard-core working capital · basic sources · maturity of payment · ownership and control · owner's fund · borrowed fund

MEMORY TRICK

"LONG builds, MEDIUM equips, SHORT runs": long-term for plant and permanent working capital, medium-term for spares and tools, short-term for stock, debtors and cash.

Cue	Stands for
Long	5–10 years+: plant, land, buildings, permanent working capital
Medium	1–5 years: stores, spares, tools, dies, moulds
Short	Up to one year: stock, debtors, cash
3 classifications	Basic source · maturity · ownership and control

 3-second trigger: LONG-MEDIUM-SHORT

COMMON MISTAKE / CONFUSION

- Financing permanent working capital from short-term sources; the SM says it should come from long-term sources.
- Listing retained earnings as an external source. It is the main internal source.

INTEGRATION LINK

- FM Ch 9 §5: estimating working capital needs

INTEGRATION LINK

- FM Ch 5: the equity–debt mix

HOW TO FACE IT IN THE EXAM

Can be asked as:

- MCQ on internal vs external sources (SM MCQs 2, 3, 10)
- Short note on financial needs of a business

How to attack it:

- Give the three needs with their periods, then the matching principle

What ICAI has done so far: Not yet asked directly; SM MCQs test it.

Time / length guide (study guidance): 2 marks ≈ 3 minutes (study guidance).

Questions on this topic — ICAI questions first, then practice

EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain the three categories of financial needs of a business and the basic principle for funding them.

MODEL ANSWER

- Long-term financial needs: funds for a period exceeding 5–10 years, e.g. plant, machinery, land and buildings; permanent or hard-core working capital should also be financed from long-term sources.
- Medium-term financial needs: funds for a period exceeding one year but not exceeding five years, e.g. stores and spares, critical spares, tools, dies and moulds.

- Short-term financial needs: funds to finance current assets such as stock, debtors and cash, i.e. working capital, arising for a period not exceeding one accounting year.
- Basic principle: short-term needs should be met from short-term sources, medium-term needs from medium-term sources and long-term needs from long-term sources; the method of raising funds is decided by the period for which funds are needed.
- The rule flexes with the borrower's level of operation, the stage of development and the nature of business (early stage: equity and angel funds; growth: debt, venture capital, private equity; stable: debt).

 **Keywords:** **hard-core working capital** · **matching principle** · **stage of development**

☒ MCQ · Practice MCQ · Classification · Easy

Which of the following is an internal source of finance?

- (A) Retained earnings
- (B) Debentures
- (C) Overdraft
- (D) Lease finance

✓ **ANSWER: (A)**

SM §2.1: internal sources are mainly retained earnings; debentures, overdrafts and leasing are external.

- (B) X External, borrowed capital.
- (C) X External bank facility.
- (D) X External arrangement with a lessor.

 **Trap:** SM MCQ 3 uses the same idea in reverse (ordinary shares are not internal).

Topic: FM Ch 2 §2.1

☒ MCQ · Practice MCQ · Matching · Moderate

As per the study material, permanent or hard-core working capital should be financed from:

- (A) Trade credit
- (B) Long-term sources
- (C) Bank overdraft
- (D) Advances from customers

✓ ANSWER: (B)

SM §1: funds required to finance permanent or hard-core working capital should be procured from long-term sources.

- (A) X A short-term spontaneous source.
- (C) X A short-term facility.
- (D) X A short-term source.

🚫 **Trap:** Assuming all working capital is financed short term.

Topic: FM Ch 2 §1

□ QUICKRECAP

- Three needs: long (5–10 yrs+), medium (1–5 yrs), short (≤ 1 yr).
- Match the source to the period; permanent working capital is long term.
- Classify by basic source, maturity, and ownership and control.

3–3.1 Long-term Sources: Owners' Capital or Equity Capital

▣ Medium Exam Activity | Asked: PYQ 0 · RTP 0 · MTP 0 (SM theoretical question 2)

▣ UNDERSTAND IT

Long-term sources are broadly **share capital (equity and preference)** and **debt** (debentures, long-term borrowings, other debt instruments).

Equity capital (§3.1). A public limited company raises owner's capital from promoters or the investing public by issuing **ordinary equity shares**. Characteristics: it is a source of **permanent capital**; holders are **equity or ordinary shareholders**; they are practically the **owners** and undertake the **highest risk**; they are entitled to dividends **after the income claims of other stakeholders are satisfied**, and dividend is an **appropriation of profits, not a charge**; on winding up they claim **after all other suppliers of capital**; the **cost of ordinary shares is usually the highest** because their risk is highest; equity also provides **security to other suppliers of funds** (lenders check that the debt–equity ratio can cover the debt). Types include **new issue, rights issue, bonus shares and sweat equity**.

Advantages of equity shares: (i) **permanent source** — not redeemable, so no cash outflow on redemption; once issued, shares are tradable and the company is not responsible for investors'

cash flows; (ii) it **increases the financial base** and so the **borrowing power** of the company (debt then raises EPS and share price); (iii) the company is **not legally obliged to pay dividends**, so in uncertain times payments can be reduced or suspended; (iv) capital can be increased further through a **rights issue**.

Disadvantages of equity shares: (i) investors find ordinary shares **riskier** because of uncertain dividends and capital gains; (ii) a new issue **reduces EPS** of existing shareholders unless profits rise proportionately; (iii) a new issue can **reduce the ownership and control** of existing shareholders.

Retained earnings (\$3.3, covered with the next block) belong to ordinary shareholders and increase net worth.

e.g. A profitable company funds a new plant with a rights issue: no fixed obligation and no dilution to outsiders, but EPS falls until the plant earns.

■ ICAI KEYWORDS

permanent capital · highest risk · appropriation of profits · cost of ordinary shares is usually the highest · security to other suppliers of funds · rights issue · sweat equity

■ MEMORY TRICK

Equity = "P-R-C": Permanent, Riskiest for investors, Costliest for the company.

Cue	Stands for
Permanent	No redemption; no repayment obligation
Risk	Owners bear the highest risk; paid last
Cost	Highest cost; dividend is an appropriation, not tax-deductible
Control	New issue may dilute control and reduce EPS

⚡ 3-second trigger: P-R-C

■ COMMON MISTAKE / CONFUSION

- Writing that equity carries a fixed dividend. The rate fluctuates and dividends are not compulsory.

- Saying equity is cheap because no interest is paid. The SM calls it the most expensive source.

🔗 INTEGRATION LINK

- 🔗 FM Ch 4 §7: cost of equity share capital

🔗 INTEGRATION LINK

- 🔗 FM Ch 5 §5: EBIT-EPS analysis of equity versus debt

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Advantages of raising funds by issue of equity shares (SM theoretical question 2)
- MCQ on features of equity shares (SM MCQ 1)

How to attack it:

- Four advantages, then three disadvantages, in SM order

📖 What ICAI has done so far: Not yet asked in a past paper; it is an SM theoretical question, so it is exam-ready.

- ⌚ Time / length guide (study guidance): 4 marks ≈ 7 minutes (study guidance).

📖 Questions on this topic — ICAI questions first, then practice

🧠 EXPECTED QUESTION · Practice question · Discuss · 4 marks

Discuss the advantages and disadvantages of raising funds by issue of equity shares.

✅ MODEL ANSWER

- **Advantages:** it is a permanent source of finance — shares are not redeemable, so there is no liability for cash outflow on redemption; once issued they are tradable between investors.
- Equity capital increases the company's financial base and so its borrowing power, allowing it to raise debt that can increase EPS and share price.
- The company is not legally obliged to pay dividends; in uncertain times payment can be reduced or suspended.
- The company can raise further capital through a rights issue.

- **Disadvantages:** investors find ordinary shares riskier because dividends and capital gains are uncertain; a new issue reduces the EPS of existing shareholders unless profits rise proportionately; and it can reduce the ownership and control of existing shareholders.

🔑 **Keywords:** permanent source · borrowing powers · not obliged legally to pay dividends · rights issue · reduces the earning per share

☑ MCQ · Practice MCQ · Feature · Easy

Equity shares, as per the study material:

- (A) Have a limited life, with no voting rights but receive dividends
- (B) Have a limited life, voting rights and receive dividends
- (C) Have an unlimited life, voting rights and receive dividends
- (D) Have an unlimited life and voting rights but receive no dividends

✓ **ANSWER: (C)**

SM MCQ 1 key (a): equity shares are a permanent (unlimited life) source, carry voting rights and receive dividends.

- (A) X Equity carries voting rights and has no fixed life.
- (B) X Equity capital is permanent.
- (D) X Equity shareholders do receive dividends when declared.

🚫 **Trap:** Confusing equity with redeemable preference shares.

Topic: FM Ch 2 §3.1

☑ MCQ · Practice MCQ · Reasoning · Moderate

Why does the study material describe the cost of ordinary shares as usually the highest?

- (A) Because dividends are a charge against profit
- (B) Because equity shareholders are paid before lenders
- (C) Because equity must be redeemed at a premium
- (D) Because equity shareholders bear the highest risk and so expect a higher rate of return than other suppliers of long-term funds

✓ **ANSWER: (D)**

SM §3.1: the cost of ordinary shares is usually the highest because such shareholders expect a higher rate of return, their risk being the highest.

- (A) X Dividend is an appropriation of profit, not a charge.
- (B) X They rank after all other suppliers of capital.
- (C) X Equity is not redeemable in the normal course.

 **Trap:** Options that reverse the priority of claims.

Topic: FM Ch 2 §3.1

☐ QUICKRECAP

- Equity = permanent capital, highest risk to investors, highest cost to the company.
- Advantages: permanent, raises borrowing power, no compulsory dividend, rights issue possible.
- Disadvantages: risky for investors, dilutes EPS and control.

3.2–3.3 Preference Share Capital and Retained Earnings

 High Exam Activity |  Asked across PYQ / RTP / MTP | Asked: RTP 1 (Sep 2024) · MTP 1 (Mar 2026)

UNDERSTAND IT

Preference shares (§3.2) are a special kind of share whose holders enjoy **priority both as to payment of a fixed dividend and repayment of capital on winding up**. Characteristics: long-term funds can be raised through a **public issue**; such shares are **normally cumulative** (dividend of a loss year is carried over until there are adequate profits); the **rate of dividend is normally higher than the rate of interest** on debentures and loans; most carry a **stipulated period** and must be repaid at its end.

Preference share capital is a hybrid form of financing: like equity because preference dividend, like equity dividend, is not a tax-deductible payment; like debt because the rate of dividend is fixed.

Cumulative Convertible Preference Shares (CCPs) may be offered, carrying a cumulative dividend for a period of, say, three years, after which they are converted into equity; these suit projects with a **long gestation period**. Preference capital may be **redeemed at a pre-decided future date or earlier out of profits**, letting promoters withdraw capital from a now self-sufficient company and reinvest it.

Types of preference shares (SM table): *Cumulative* — arrear dividend will accumulate; *Non-cumulative* — no right to arrear dividend; *Redeemable* — redemption should be done; *Participating* — can participate in the surplus remaining after payment to equity shareholders; *Non-participating* — cannot participate in the surplus after payment of a fixed rate of dividend; *Convertible* — option of converting into equity shares.

Advantages of preference shares: (i) *no dilution in EPS* on an enlarged capital base (equity issue would reduce EPS and affect market perception); (ii) *leverage advantage*, as it bears a fixed charge, while non-payment of preference dividend does not force the company into liquidation; (iii) *no risk of takeover*, since preference shareholders have no voting rights except where dividends are in arrears; (iv) preference dividends are *fixed and pre-decided*, so holders cannot share surplus profits (except participating shares); (v) capital can be *redeemed* after a specified period.

Disadvantages: (i) preference dividend is *not tax deductible*, so it gives no tax shield and preference shares are *costlier than debt such as debentures*; (ii) preference dividends are *cumulative*, so unpaid dividends accumulate and until they are paid no dividend can be paid to ordinary shareholders, which can seriously impair the company's reputation.

Equity vs preference shares (SM table): dividend payment — equity dividend is paid after preference dividend; rate of dividend — fluctuating vs fixed; convertibility — equity not convertible, preference convertible; voting rights — equity shareholders enjoy full voting rights, preference shareholders have very limited voting rights.

Retained earnings (§3.3). Long-term funds may be provided by *accumulating profits and ploughing them back*. Such funds *belong to the ordinary shareholders* and increase the *net worth*. A public limited company must plough back a reasonable amount every year, keeping in view legal requirements and its expansion plans. These funds entail *almost no risk* and the *control of present owners is not diluted*. The decision to plough back depends on the *rate of return generated by the company versus the expected cost of equity* (discussed in the dividend chapter).

e.g. A company with a long-gestation project issues cumulative convertible preference shares: investors get a fixed dividend for three years and then equity, and the company avoids immediate EPS dilution.

Requirement: Fixed dividend (like debt) but not tax-deductible (like equity); priority over equity for dividend and on winding up; ranks after debt.

Exam angle: Sep 2025 MCQ in Part I used exactly this hybrid idea; RTP Sep 2024 and MTP Mar 2026 asked for the types table.

ICAI KEYWORDS

priority · hybrid form of financing · not a tax-deductible payment · cumulative · participating · convertible · no dilution in EPS · no risk of takeover · plough back · net worth

MEMORY TRICK

Types = "C-N-R-P-N-C": Cumulative, Non-cumulative, Redeemable, Participating, Non-participating, Convertible.

Cue	Stands for
Cumulative	Arrear dividend accumulates
Non-cumulative	No right to arrears
Redeemable	Must be redeemed
Participating	Shares surplus after equity is paid
Non-participating	Only the fixed rate
Convertible	Can become equity

⚡ 3-second trigger: C-N-R-P-N-C

COMMON MISTAKE / CONFUSION

- Saying preference capital is cheaper than debentures. It is costlier because the dividend gives no tax shield.
- Giving preference shareholders full voting rights; they have very limited rights, except when dividends are in arrears.

Basis	Equity share	Preference share
Dividend payment	Paid after preference dividend	Preferred over equity dividend

Rate of dividend	Fluctuating	Fixed
Convertibility	Not convertible	Convertible
Voting rights	Full voting rights	Very limited voting rights

🔗 INTEGRATION LINK

🔗 FM Ch 4 §6: cost of preference share capital

🔗 INTEGRATION LINK

🔗 FM Ch 8: dividend decision and the plough-back choice

🔗 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Explain four types of preference shares with salient features (MTP Mar 2026, RTP Sep 2024)
- Advantages and disadvantages of preference shares
- Distinguish equity and preference shares

How to attack it:

- Answer the types question as a two-column table: type and salient feature
- For advantages, remember EPS, leverage, takeover, fixed dividend, redemption

📖 What ICAI has done so far: RTP Sep 2024 · FM Q12(b); MTP May 2026 Series I · FM Q4(b).

🕒 Time / length guide (study guidance): 4 marks ≈ 7 minutes (study guidance).

📖 WRITE THIS IN THE EXAM

Structure:

- One-line meaning of preference shares
- Table of types with salient features
- (If asked) advantages and disadvantages

🔑 Keywords: **hybrid form of financing** · **arrear dividend** · **participate in the surplus**

📏 Ideal length: 4 marks: a six-row table or four types with a line each

 **Conclusion pattern:** Preference capital gives a fixed-charge instrument without diluting control, but without a tax shield.

 DON'T WRITE THIS

- Calling preference dividend an expense

 Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · MTP May 2026 Series I · FM Q4(b) · 4 marks

Explain any four types of preference shares along with their salient features.

 MODEL ANSWER

- **Cumulative:** arrear dividend will accumulate.
- **Non-cumulative:** no right to arrear dividend.
- **Redeemable:** redemption should be done.
- **Participating:** can participate in the surplus which remains after payment to equity shareholders.
- **Non-participating:** cannot participate in the surplus after payment of a fixed rate of dividend.
- **Convertible:** option of converting into equity shares.

Conclusion: Any four of the six, presented as a table of type and salient feature.

 **Keywords:** **cumulative** · **participating** · **convertible**

 **Also asked as:** RTP Sep 2024 · FM Q12(b) (explain in brief the features of various types of preference shares)

 **EXPECTED QUESTION** · Practice question · Explain · 4 marks

"Preference share capital is a hybrid form of financing." Explain, and state two advantages and two disadvantages of raising funds through preference shares.

 MODEL ANSWER

- It is hybrid because it resembles equity — preference dividend, like equity dividend, is not a tax-deductible payment — and resembles debt because the rate of preference dividend is fixed.

- Holders enjoy priority both as to payment of a fixed dividend and repayment of capital on winding up; shares are normally cumulative and usually carry a stipulated period.
- Advantages: no dilution in EPS on an enlarged capital base; leverage advantage of a fixed charge, while non-payment does not force liquidation; no risk of takeover as voting rights are limited; capital can be redeemed after a specified period.
- Disadvantages: preference dividend is not tax deductible, so there is no tax shield and preference capital is costlier than debentures; dividends are cumulative, and until arrears are paid no equity dividend can be paid, which can impair the company's reputation.

 Keywords: **hybrid form of financing** · **not tax deductible** · **no dilution in EPS** · **cumulative**

☒ MCQ · Practice MCQ · Feature · Easy

In preference shares:

- (A) Dividends are not available
- (B) Limited voting rights are available
- (C) They are not part of a company's share capital
- (D) Interest can be received

✓ ANSWER: (B)

SM MCQ 4 key (b): preference shareholders have very limited voting rights, except where dividends are in arrears.

- (A) X They receive a fixed dividend.
- (C) X They are part of share capital.
- (D) X They receive dividend, not interest.

 Trap: Confusing the fixed dividend with interest.

Topic: FM Ch 2 §3.2

☒ MCQ · Practice MCQ · Concept · Moderate

Which statement about retained earnings is correct as per the study material?

- (A) They belong to the ordinary shareholders and increase the net worth of the company
- (B) They are an external source of finance
- (C) They dilute the control of present owners
- (D) They carry a fixed cost payable annually

✓ ANSWER: (A)

SM §3.3: funds ploughed back belong to ordinary shareholders and increase net worth; they entail almost no risk and do not dilute control.

- (B) X They are the main internal source.
- (C) X Control is not diluted.
- (D) X There is no contractual annual payment.

🚫 **Trap:** Thinking retained earnings are free of any cost; the plough-back decision compares the return generated with the cost of equity.

Topic: FM Ch 2 §3.3

☐ QUICK RECAP

- Preference = hybrid: fixed dividend, no tax shield, priority over equity.
- Six types: cumulative, non-cumulative, redeemable, participating, non-participating, convertible.
- Retained earnings: internal, belong to equity holders, no dilution of control.

3.4–3.5 Debentures and Bonds

■ High Exam Activity | 📌 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (Sep 2024 Q4(a), Sep 2025 Q4(b)) · MTP 2 (Apr 2025, Aug 2026)

■ UNDERSTAND IT

Debentures (§3.4). Loans can be raised from the public by issuing debentures or bonds.

Characteristics: issued in **denominations of ₹100 to ₹1,000** carrying different rates of interest; normally issued on the basis of a **debenture trust deed** listing the terms; they are instruments for raising **long-term debt capital**; the **maturity period normally varies from 3 to 10 years** (longer for high-gestation projects); they are **either secured or unsecured**; they **may or may not be listed**; the **cost of capital raised is quite low** since interest is charged as an expense before tax; from the investor's point of view they are **more attractive than preference shares** because interest is payable whether or not the company makes profits.

By convertibility: (i) **Non-convertible** — no conversion feature, repayable on maturity; (ii) **Fully convertible** — converted into equity as per terms of issue; interest rates are generally

lower than on non-convertible debentures because of the conversion attraction; (iii) **Partly convertible** — carries features of both.

Other types (SM table): **Bearer** — transferable like negotiable instruments; **Registered** — interest payable to the registered person; **Mortgage** — secured by a charge on asset(s); **Naked or simple** — unsecured; **Redeemable** — repaid after a certain period; **Non-redeemable** — not repayable.

Advantages of debentures: (i) **cost is much lower** than preference or equity capital as interest is tax-deductible, and investors consider debentures safer so require a lower return; (ii) **no dilution of control**; (iii) in a **period of rising prices** the fixed monetary outgo decreases in real terms.

Disadvantages: (i) interest and repayment of principal are **obligatory payments**; (ii) **protective covenants** may be restrictive; (iii) debenture financing **enhances financial risk**; (iv) a **large cash outflow** is needed at maturity.

Public issue of debentures and private placement to mutual funds require the issue to be **rated by a credit rating agency** such as **CRISIL**; the rating evaluates track record, profitability, debt servicing capacity, credit worthiness and perceived risk of lending.

Preference shares vs debentures (SM table): ownership — preference share capital is a special kind of share while a debenture is a type of loan raised from the public; payment — preference shareholders enjoy priority for a fixed dividend and repayment on winding up, while debentures carry a fixed percentage of interest; nature — preference shares are a hybrid form of financing, debentures are instruments for long-term capital with a fixed maturity.

Bonds (§3.5). A bond is a **fixed income security created to raise funds**, raised through **public issue or private placement**. By call feature: **callable bonds** — a call option gives the **issuer the right to redeem before maturity at a predetermined call price** (generally at a premium); **puttable bonds** — give the **investor a put option, i.e. the right to sell the bond back to the company before maturity**.

Foreign bonds (SM table). **FCCB** — very low interest rate; issuer gets foreign currency cheaply; risk that the issuer may not have money on redemption. **Plain vanilla bond** — principal plus interest, no options, issued as a discounted or coupon-bearing bond. **Convertible FRN** — holder can convert into a longer-term debt security with a specified coupon; protects against falling interest rates; the long-term security can be sold for profit; capital gain is not applicable. **Drop lock bond** — a floating rate note that **automatically converts into a fixed**

rate bond if the rate falls below a predetermined level, and the new fixed rate stays till maturity (a short option structure, unlike the convertible FRN which is a long option structure). **Variable rate demand obligations** — a floating rate note with nominal maturity whose holder can sell it back to the trustee at par plus accrued interest, so it is more liquid. **Yield curve note (YCN)** — a structured debt security whose yield **increases when interest rates decline** and vice versa; used to hedge interest rates; works like an inverse floater. **Euro bond** — issued or traded in a country using a currency other than the one in which it is denominated; issued by multinationals (a British company issuing in Germany denominated in US dollars); the prefix 'euro' has nothing to do with the euro currency. **Emerging market bond** — issued by developing countries, higher yields than US corporate and Treasury bonds, credit default swaps used for protection, higher risks.

Indian bonds: Masala bond — Indian name for a **rupee-denominated bond that Indian corporate borrowers sell to investors in overseas markets**, issued outside India but denominated in rupees (NTPC raised ₹2,000 crore in 2016). **Municipal bonds** — finance urban infrastructure (Ahmedabad Municipal Corporation issued Asia's first municipal bond, ₹100 crore, for a water supply project). **Government or Treasury bonds** — issued by the Government of India, RBI, state governments or government departments.

e.g. Sep 2025 asked four bond types in one 4-mark part: callable (issuer's call option), puttable (investor's put option), masala (rupee bond sold overseas) and drop lock (FRN that locks into a fixed rate).

KEY FRAMEWORK / FORMULA · Debenture basics (SM §3.4)

Requirement: Denominations ₹100–₹1,000; trust deed; maturity normally 3–10 years; secured or unsecured; interest tax-deductible; credit rating required for public issue and private placement to mutual funds.

Exam angle: 'Explain any four features of debentures or bonds' (MTP Apr 2025) and 'advantages and disadvantages' (PYQ Sep 2024).

ICAI KEYWORDS

debenture trust deed · 3 to 10 years · secured or unsecured · interest is tax-deductible · non-convertible · fully convertible · partly convertible · bearer · mortgage · naked or simple · call option · put option · masala bond · drop lock · yield curve note · emerging market bond

■ MEMORY TRICK

Call vs Put: "Callable = **C**ompany calls it back; Puttable = **P**ublic (investor) puts it back."

Cue	Stands for
Callable	Issuer redeems early at the call price
Puttable	Investor sells back before maturity
Masala	Rupee-denominated, sold overseas
Drop lock	FRN that locks into a fixed rate when rates fall
YCN	Yield rises when rates fall (inverse floater)

⚡ 3-second trigger: Company calls, Public puts

■ COMMON MISTAKE / CONFUSION

- Saying a fully convertible debenture carries a higher interest rate. It is generally lower because of the conversion attraction.
- Describing masala bonds as foreign-currency bonds. They are rupee-denominated but issued overseas.
- Confusing drop lock bonds (short option structure) with convertible FRNs (long option structure).

Basis	Preference shares	Debentures
Ownership	A special kind of share	A type of loan raised from the public
Payment	Priority for a fixed dividend and repayment of capital on winding up	Carries a fixed percentage of interest
Nature	Hybrid: some features of equity, some of debt	Instrument for long-term capital with a fixed maturity
Tax	Dividend not deductible	Interest deductible

🔗 INTEGRATION LINK

🔗 FM Ch 4 §5: cost of debt, redeemable and convertible debentures

🔗 INTEGRATION LINK

🔗 FM Ch 5: debt in the capital structure

⌚ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Advantages and disadvantages of debentures (PYQ Sep 2024, 4 marks)
- Explain four features of debentures or bonds (MTP Apr 2025)
- Explain given bond types (PYQ Sep 2025; MTP Aug 2026)

How to attack it:

- Name each item in bold, then two lines of SM description
- For advantages/disadvantages give three each in SM order

📖 What ICAI has done so far: PYQ Sep 2024 · Q4(a); PYQ Sep 2025 · Q4(b); MTP May 2025 Series II · FM Q4(b); MTP Sep 2026 Series II · FM Q4(c).

⌚ Time / length guide (study guidance): 4 marks ≈ 7 minutes; 2 marks ≈ 3–4 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- Name of the instrument
- Meaning in one line
- Two distinguishing features
- Who benefits (issuer or investor)

🔑 Keywords: **call option** · **put option** · **rupee denominated** · **tax-deductible interest**

📏 Ideal length: 1 mark per bond type: 2–3 lines each

📊 Conclusion pattern: Each instrument shifts risk between issuer and investor; name that shift in your last line.

⊘ DON'T WRITE THIS

- Writing about cost-of-capital formulae here

📖 Questions on this topic — ICAI questions first, then practice

■ OFFICIAL ICAI QUESTION · PYQ Sep 2024 · Q4(a) · 4 marks

Discuss any two advantages and two disadvantages of raising finance by issue of debentures.

✓ MODEL ANSWER

- **Advantages:** (i) the cost of debentures is much lower than the cost of preference or equity capital as interest is tax-deductible; investors also consider debenture investment safer than equity or preference investment and hence may require a lower return.
- (ii) Debenture financing does not result in dilution of control.
- (iii) In a period of rising prices, debenture issue is advantageous: the fixed monetary outgo decreases in real terms as the price level increases.
- **Disadvantages:** (i) debenture interest and repayment of principal are obligatory payments.
- (ii) The protective covenants associated with a debenture issue may be restrictive.
- (iii) Debenture financing enhances the financial risk associated with the firm.
- (iv) Since debentures must be paid at maturity, a large cash outflow is needed at that time.

Conclusion: Two of each are enough for the marks; ICAI's answer lists three advantages and four disadvantages.

🔑 **Keywords:** tax-deductible · dilution of control · obligatory payment · protective covenants · financial risk

📖 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · PYQ Sep 2025 · Q4(b) · 4 marks

Explain in brief the following types of bonds: (i) callable bonds, (ii) puttable bonds, (iii) masala bonds, (iv) drop lock bonds.

✓ MODEL ANSWER

- **Callable bonds:** a callable bond has a call option which gives the issuer the right to redeem the bond before maturity at a predetermined price known as the call price (generally at a premium).
- **Puttable bonds:** puttable bonds give the investor a put option, i.e. the right to sell the bond back to the company before maturity.

- **Masala bonds:** masala (meaning spice) bond is an Indian name used for a rupee-denominated bond that Indian corporate borrowers can sell to investors in overseas markets.
- **Drop lock bond:** it is a floating rate note with a normal floating rate; the floating rate bond is automatically converted into a fixed rate bond if the interest rate falls below a predetermined level, and the new fixed rate stays till the bond reaches maturity.

🔑 Keywords: **call option** · **put option** · **rupee denominated bond** · **predetermined level**

📅 Also asked as: MTP Sep 2026 Series II · FM Q4(c) (explain callable bonds and puttable bonds, 2 marks)

📌 **OFFICIAL ICAI QUESTION** · MTP May 2025 Series II · FM Q4(b) · 4 marks

Explain any four features of debentures or bonds.

✓ **MODEL ANSWER**

- **Face value:** debentures or bonds are denominated with a value called the face value; interest is calculated on it (e.g. a 9% non-convertible debenture of ₹100 carries interest at 9% of ₹100).
- **Interest (coupon) rate:** each debenture bears a fixed interest (coupon) rate, except zero coupon and deep discount bonds; it is applied to face value and paid periodically (annually, semi-annually etc.).
- **Maturity period:** debentures or bonds have a fixed maturity period for redemption; for irredeemable debentures the maturity period is not defined and is taken as infinite.
- **Redemption value:** redeemable debentures are redeemed on the specified maturity date; based on debt covenants the redemption value is determined and may differ from face value.
- **Benefit of tax shield:** interest paid to debenture holders is allowed as an expense for corporate tax, so it saves tax — this saving is known as the tax shield.

Conclusion: Any four of these five features earn the marks.

🔑 Keywords: **face value** · **coupon rate** · **maturity period** · **redemption value** · **tax shield**

🧠 **EXPECTED QUESTION** · Practice question · Explain · 4 marks

Explain the following: (i) Euro bond, (ii) yield curve note, (iii) emerging market bond, (iv) plain vanilla bond.

✓ MODEL ANSWER

- **Euro bond:** issued or traded in a country using a currency other than the one in which the bond is denominated; issued by multinational corporations (e.g. a British company issuing a bond in Germany denominated in US dollars). The prefix 'euro' has nothing to do with the euro currency.
- **Yield curve note (YCN):** a structured debt security whose yield increases when prevailing interest rates decline and decreases when they rise; used to hedge interest rate risk and works like an inverse floater.
- **Emerging market bond:** a debt instrument issued by developing countries; provides higher yields than US corporate and Treasury bonds; credit default swaps are used to protect bondholders against default; it carries higher risks than domestic debt instruments.
- **Plain vanilla bond:** the issuer pays the principal along with the interest rate; it has no options and may be issued as a discounted bond or a coupon-bearing bond.

🔑 Keywords: **euro bond** · **inverse floater** · **credit default swap** · **no options**

☑ MCQ · Practice MCQ · Feature · Easy

A debenture:

- (A) Is a short-term loan
- (B) Receives dividend payments
- (C) Is a long-term loan
- (D) Always requires no security

✓ ANSWER: (C)

SM MCQ 5 key (a): a debenture is a long-term loan; debentures may be secured or unsecured and carry interest, not dividend.

- (A) X Maturity is normally 3–10 years.
- (B) X Debenture holders receive interest.
- (D) X Debentures may be secured (mortgage) or unsecured (naked).

🚫 **Trap:** 'Naked debentures' make option D look right, but debentures can be secured too.

Topic: FM Ch 2 §3.4

☑ MCQ · Practice MCQ · Identify · Moderate

A bond that automatically converts from a floating rate into a fixed rate if interest rates fall below a predetermined level is a:

- (A) Callable bond
- (B) Convertible floating rate note
- (C) Variable rate demand obligation
- (D) Drop lock bond

✓ ANSWER: (D)

SM §3.5: the drop lock bond is a floating rate note that is automatically converted into a fixed rate bond if the rate falls below a predetermined level; the new fixed rate stays till maturity.

- (A) X A call option lets the issuer redeem early.
- (B) X The holder converts into a longer-term debt security; it is a long option structure.
- (C) X The holder can sell it back to the trustee at par plus accrued interest.

🚫 **Trap:** Both B and D involve conversion; only D converts automatically on a rate trigger.

Topic: FM Ch 2 §3.5

☐ QUICKRECAP

- Debentures: long-term debt, tax-deductible interest, secured or unsecured, rated before public issue.
- Convertibility: non-, fully (lower interest) and partly convertible.
- Bonds: callable (issuer), puttable (investor), masala (rupee overseas), drop lock, YCN, euro, emerging market.

3.6–3.7 Loans from Financial Institutions and Commercial Banks (including Bridge Finance)

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (May 2025 Q4(b)) · MTP 1 (Sep 2026 Series II)

■ UNDERSTAND IT

Loans from financial institutions (§3.6). The study material lists the institutions in two tables.

National: Industrial Finance Corporation of India (IFCI), 1918, converted into a public

company; **State Financial Corporations (SFCs)**, 1951; Industrial Development Bank of India

(IDBI), 1954, converted into a bank; National Industrial Development Corporation (NIDC), 1954; Industrial Credit and Investment Corporation of India (ICICI), 1955, converted into a bank and privatised; Life Insurance Corporation of India (LIC), 1956; Unit Trust of India (UTI), 1964; Industrial Reconstruction Bank of India (IRBI), 1971. **International:** The World Bank / International Bank for Reconstruction and Development (IBRD), 1944; The International Finance Corporation (IFC), 1956; Asian Development Bank (ADB), 1966.

Loans from commercial banks (§3.7). The primary role of commercial banks is to cater to the short-term requirements of industry, but banks have started taking an interest in long-term financing in two ways: (a) they provide long-term loans for expansion or setting up of new units, repayment scheduled over a long period, the liquidity of such loans depending on the anticipated income of the borrowers; (b) as part of long-term funding they also fund the long-term working capital requirement — the working capital term loan (WCTL) — being that portion of working capital which is always required (the minimum level) and is not impacted by seasonal requirement.

****Bridge finance**** refers to loans taken by a company normally from commercial banks ****for a short period because of pending disbursement of loans sanctioned by financial institutions****.

Though short-term in nature, it is an important step in facilitating the long-term loan, so the study material discusses it with long-term sources.

Normally it takes time for financial institutions to disburse loans. Once the loans are approved by the term lending institutions, companies, in order not to lose further time in starting their projects, arrange short-term loans from commercial banks.

The bridge loans are repaid or adjusted out of the term loans as and when disbursed by the concerned institutions. They are normally secured by hypothecating movable assets, personal guarantees and demand promissory notes. Generally, the rate of interest on bridge finance is higher than on term loans.

e.g. A company's ₹50 crore term loan is sanctioned in March but will be released in July. It borrows ₹10 crore from its bank in April against hypothecation of plant and a promissory note, starts construction, and squares off the bank loan when the institution disburses.

 **KEY FRAMEWORK / FORMULA** · Bridge finance (SM §3.7)

Requirement: Short-term bank loan pending disbursement of a sanctioned institutional term loan; repaid out of the term loan; secured by hypothecation of movable assets, personal guarantees and demand promissory notes; interest higher than on term loans.

Exam angle: 'What are the key features of bridge financing?' — asked in May 2025 for 4 marks and again as a 2-mark MTP part.

■ ICAI KEYWORDS

pending disbursement · term lending institutions · repaid or adjusted out of the term loans · hypothecating movable assets · demand promissory notes · rate of interest is higher · working capital term loan · anticipated income of the borrowers

■ MEMORY TRICK

Bridge finance is a **bridge over a gap in time**: the sanction is in hand, the money is not — so the bank fills the gap and gets repaid the day the institution pays.

Cue	Stands for
Why	Institutional loan sanctioned but not yet disbursed
From	Commercial banks, short period
Repaid	Out of the term loan on disbursement
Security	Hypothecation of movables, personal guarantee, demand promissory note
Cost	Higher than term-loan interest

⚡ 3-second trigger: Sanctioned but not disbursed

■ COMMON MISTAKE / CONFUSION

- Calling bridge finance a long-term source. It is short-term finance, discussed with long-term sources because it bridges to a term loan.
- Writing that bridge loans are cheaper than term loans; ICAI says the rate is generally higher.

🔗 INTEGRATION LINK

🔗 FM Ch 9: bank finance for working capital

🔗 INTEGRATION LINK

🔗 FM Ch 2 §7: other short-term sources

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Key features of bridge financing (4 marks)
- Explain bridge finance (2 marks)
- MCQ on which institution was established in which year

How to attack it:

- Give four numbered features: purpose, source, repayment, security, rate

📖 What ICAI has done so far: PYQ May 2025 · Q4(b); MTP Sep 2026 Series II · FM Q4(c) (OR).

⌚ Time / length guide (study guidance): 4 marks ≈ 7 minutes; 2 marks ≈ 3 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- One-line meaning with the words 'pending disbursement'
- Repayment out of the term loan
- Security
- Rate of interest

🔑 Keywords: pending disbursement · hypothecating movable assets · demand promissory notes

📏 Ideal length: 4 marks: four numbered points

📊 Conclusion pattern: Bridge finance buys time; it is repaid the moment the sanctioned term loan arrives.

⊘ DON'T WRITE THIS

- Describing it as a permanent working capital facility

📖 Questions on this topic — ICAI questions first, then practice

📌 OFFICIAL ICAI QUESTION · PYQ May 2025 · Q4(b) · 4 marks

What are the key features of bridge financing?

✅ MODEL ANSWER

- Bridge finance refers to loans taken by a company normally from commercial banks for a short period because of pending disbursement of loans sanctioned by financial institutions.
- The bridge loans are repaid or adjusted out of the term loans as and when disbursed by the concerned institutions.
- Bridge loans are normally secured by hypothecating movable assets, personal guarantees and demand promissory notes.
- Generally, the rate of interest on bridge finance is higher as compared with that on term loans.

Conclusion: Four features, one mark each, in exactly this order.

🔑 **Keywords:** pending disbursement · repaid/adjusted out of the term loans · demand promissory notes · higher rate of interest

📅 **Also asked as:** MTP Sep 2026 Series II · FM Q4(c) (OR) (explain bridge finance, 2 marks)

📖 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

🧠 EXPECTED QUESTION · Practice question · Explain · 4 marks

"The primary role of commercial banks is to cater to the short-term requirements of industry." Explain how commercial banks nevertheless participate in long-term financing.

✅ MODEL ANSWER

- Banks provide long-term loans for the purpose of expansion or setting up of new units; repayment is usually scheduled over a long period of time and the liquidity of such loans depends on the anticipated income of the borrowers.
- As part of long-term funding, banks also fund the long-term working capital requirement, called the working capital term loan (WCTL).
- WCTL funds that portion of working capital which is always required — the minimum level — and is not impacted by the seasonal requirement of the company.
- Banks also extend bridge finance for a short period pending disbursement of loans sanctioned by financial institutions; it is repaid out of the term loan when disbursed.

🔑 **Keywords:** working capital term loan · minimum level · anticipated income of the borrowers

☑ MCQ · Practice MCQ · Identify · Easy

A company whose term loan has been sanctioned by a financial institution but not yet disbursed takes a short-term loan from its bank to start the project. This is:

- (A) Bridge finance
- (B) Packing credit
- (C) Seed capital assistance
- (D) A deferred payment guarantee

✓ ANSWER: (A)

SM §3.7: bridge finance is taken from commercial banks for a short period because of pending disbursement of loans sanctioned by financial institutions.

- (B) X Packing credit is pre-shipment export finance.
- (C) X An IDBI scheme for technically qualified entrepreneurs lacking resources.
- (D) X A guarantee for deferred payment of equipment purchases.

🚫 **Trap:** Any short-term bank loan looks like bridge finance; the giveaway is the pending institutional disbursement.

Topic: FM Ch 2 §3.7

☑ MCQ · Practice MCQ · Feature · Moderate

Which statement about bridge finance is correct as per the study material?

- (A) It is unsecured and interest free
- (B) The rate of interest on bridge finance is generally higher than that on term loans
- (C) It is repaid only out of the company's operating profits
- (D) It is a long-term source repayable over ten years

✓ ANSWER: (B)

SM §3.7: generally the rate of interest on bridge finance is higher as compared with that on term loans.

- (A) X It is secured by hypothecation, guarantees and promissory notes.
- (C) X It is repaid or adjusted out of the term loan on disbursement.
- (D) X It is short-term finance.

🚫 **Trap:** Because it is discussed under long-term sources, students call it long term.

Topic: FM Ch 2 §3.7

□ QUICK RECAP

- Financial institutions: IFCI 1918, SFCs 1951, IDBI 1954, NIDC 1954, ICICI 1955, LIC 1956, UTI 1964, IRBI 1971; IBRD 1944, IFC 1956, ADB 1966.
- Banks fund long-term projects and the working capital term loan.
- Bridge finance: short bank loan pending institutional disbursement, secured, costlier, repaid out of the term loan.

4. Venture Capital Financing: Meaning, Characteristics and Methods

■ High Exam Activity | 📌 Asked across PYQ / RTP / MTP | Asked: RTP 1 (May 2025) · MTP 3 (Mar 2024, Sep 2025, Jan 2026)

■ UNDERSTAND IT

Meaning (§4.1). Venture capital financing refers to financing of a ****new high-risky venture** promoted by **qualified entrepreneurs who lack experience and funds** to give shape to their ideas**. In a broad sense, under venture capital financing, venture capitalists make investment to purchase equity or debt securities from inexperienced entrepreneurs who undertake highly risky ventures with potential to succeed in future.

Characteristics (§4.2). (i) It is basically an equity finance in new companies. (ii) It can be viewed as a long-term investment in growth-oriented small or medium firms. (iii) Apart from providing funds, the investor also provides support in the form of sales strategy, business networking and management expertise, enabling the growth of the entrepreneur.

Methods (§4.3) — four methods. (i) **Equity financing:** venture capital undertakings generally require funds for a longer period but may not be able to provide returns to investors during the initial stages, so venture capital finance is generally provided by way of **equity share capital**. **The equity contribution of the venture capital firm **does not exceed 49% of the total equity capital** of the venture capital undertaking, so that the effective control and ownership remains with the entrepreneur.**

(ii) **Conditional loan:** repayable in the form of a **royalty** after the venture is able to generate sales. No interest is paid on such loans. In India venture capital financiers charge **royalty** ranging between 2 and 15 per cent; the actual rate depends on other factors such as

gestation period, cash flow patterns, risk and other factors of the enterprise. Some financiers give the enterprise a *choice of paying a high rate of interest (which could be well above 20 per cent) instead of royalty on sales* once it becomes commercially sound.

(iii) *Income note: a hybrid security combining the features of both a conventional loan and a conditional loan.* The entrepreneur has to pay *both interest and royalty on sales, but at substantially low rates.* IDBI's VCF provides funding equal to *80 – 87.50% of the project cost* for commercial application of indigenous technology.

(iv) *Participating debenture: such security carries charges in three phases — in the start-up phase no interest is charged; in the next stage a low rate of interest is charged up to a particular level of operation; after that, a high rate of interest is required to be paid.*

e.g. A venture fund puts ₹4 crore into a start-up's ₹10 crore equity (40%, within the 49% cap), takes a board seat and helps build the sales network — exactly the SM's third characteristic.

KEY FRAMEWORK / FORMULA · 49% cap (SM §4.3)

Requirement: The venture capital firm's equity contribution does not exceed 49% of the total equity capital of the venture capital undertaking, so that effective control and ownership remains with the entrepreneur.

Exam angle: A favourite MCQ number and a mark in the descriptive answer.

KEY FRAMEWORK / FORMULA · Conditional loan royalty (SM §4.3)

Requirement: Royalty between 2 and 15 per cent; no interest; alternative of interest well above 20 per cent instead of royalty.

Exam angle: The numbers 2–15% and 20% are the marks in this part.

ICAI KEYWORDS

new high-risky venture · qualified entrepreneurs who lack experience and funds · equity finance in new companies · growth-oriented small/medium firms · sales strategy, business networking and management expertise · does not exceed 49% · conditional loan · royalty · income note · hybrid security · participating debenture · three phases

■ MEMORY TRICK

Methods = "E-C-I-P": Equity, Conditional loan, Income note, Participating debenture — increasing in how much the entrepreneur pays.

Cue	Stands for
Equity financing	Up to 49% of equity; control stays with the entrepreneur
Conditional loan	Royalty 2–15% on sales, no interest (or interest above 20% instead)
Income note	Hybrid: both interest and royalty, at low rates
Participating debenture	Three phases: nil interest → low interest → high interest

⚡ 3-second trigger: E-C-I-P

■ COMMON MISTAKE / CONFUSION

- Saying the venture capitalist takes a majority stake. The equity contribution does not exceed 49%.
- Saying a conditional loan carries interest. It carries royalty; no interest is paid.
- Describing the participating debenture as having two phases; it has three.

Basis	Conditional loan	Income note	Participating debenture
Interest	None	Payable, at a low rate	Nil, then low, then high
Royalty	2–15% on sales	Payable, at a low rate	Not applicable
Nature	Repayable out of sales	Hybrid of conventional and conditional loan	Charges in three phases

🔗 INTEGRATION LINK

🔗 FM Ch 1 §2.1: financing decision and the choice of source

🔗 INTEGRATION LINK

🔗 FM Ch 2 §8: seed capital assistance, another start-up source

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Explain any four methods of venture capital financing (4 marks)
- Meaning and characteristics of venture capital financing (2 marks)

How to attack it:

- Bold the method name, then two lines including the number (49%, 2–15%, above 20%, 80–87.50%)
- For characteristics, three bullets are enough

📖 What ICAI has done so far: MTP May 2024 Series I · FM Q4(b); MTP Jan 2026 Series I · FM Q4(b); RTP May 2025 · FM Q10(b); MTP Sep 2025 Series I · FM Q2(b).

🕒 Time / length guide (study guidance): 4 marks ≈ 7 minutes; 2 marks ≈ 3 minutes (study guidance).

✍️ WRITE THIS IN THE EXAM

Structure:

- One-line meaning
- Four methods, each named in bold with its distinguishing payment
- Close with the control point (49%)

🔑 Keywords: **does not exceed 49%** · **royalty** · **hybrid security** · **three phases**

📏 Ideal length: 4 marks: four methods, 3 lines each

📊 Conclusion pattern: Each method trades a different kind of return for the venture's risk, while leaving control with the entrepreneur.

🚫 DON'T WRITE THIS

- Adding exit routes or SEBI rules that the study material does not give here

📖 Questions on this topic — ICAI questions first, then practice

📌 OFFICIAL ICAI QUESTION · MTP May 2024 Series I · FM Q4(b) · 4 marks

Explain the common methods of venture capital financing.

✓ MODEL ANSWER

- **Equity financing:** venture capital undertakings generally require funds for a longer period but may not be able to provide returns to the investors during the initial stages; therefore venture capital finance is generally provided by way of equity share capital. The equity contribution of the venture capital firm does not exceed 49% of the total equity capital of the venture capital undertaking, so that the effective control and ownership remains with the entrepreneur.
- **Conditional loan:** repayable in the form of a royalty after the venture is able to generate sales; no interest is paid on such loans. In India venture capital financiers charge royalty ranging between 2 and 15 per cent, the actual rate depending on the gestation period, cash flow patterns, risk and other factors of the enterprise. Some financiers give the enterprise a choice of paying a high rate of interest (well above 20 per cent) instead of royalty on sales once it becomes commercially sound.
- **Income note:** a hybrid security which combines the features of both a conventional loan and a conditional loan; the entrepreneur has to pay both interest and royalty on sales but at substantially low rates. IDBI's VCF provides funding equal to 80–87.50% of the project cost for commercial application of indigenous technology.
- **Participating debenture:** such security carries charges in three phases — in the start-up phase no interest is charged; in the next stage a low rate of interest is charged up to a particular level of operation; after that, a high rate of interest is required to be paid.

Conclusion: All four methods with their numbers; the numbers carry the marks.

 **Keywords:** 49% · 2 and 15 per cent · hybrid security · three phases

 **Also asked as:** MTP Jan 2026 Series I · FM Q4(b) (same four methods) | RTP May 2025 · FM Q10(b) (methods of venture capital financing)

 **OFFICIAL ICAI QUESTION** · MTP Sep 2025 Series I · FM Q2(b) · 2 marks

State the characteristics of venture capital financing.

 **MODEL ANSWER**

- Venture capital financing refers to financing of a new high-risky venture promoted by qualified entrepreneurs who lack experience and funds to give shape to their ideas; venture capitalists make investment to purchase equity or debt securities from inexperienced entrepreneurs who undertake highly risky ventures with potential to succeed in future.
- It is basically an equity finance in new companies.

- It can be viewed as a long-term investment in growth-oriented small or medium firms.
- Apart from providing funds, the investor also provides support in the form of sales strategy, business networking and management expertise, enabling the growth of the entrepreneur.

Conclusion: Three characteristics after a one-line meaning.

Keywords: equity finance in new companies · growth-oriented · business networking and management expertise

EXPECTED QUESTION · Practice question · Distinguish · 4 marks

Distinguish between a conditional loan, an income note and a participating debenture as methods of venture capital financing.

MODEL ANSWER

- A conditional loan is repayable in the form of a royalty after the venture is able to generate sales; no interest is paid. In India venture capital financiers charge royalty ranging between 2 and 15 per cent; some give the enterprise the choice of paying a high rate of interest, well above 20 per cent, instead of royalty once it becomes commercially sound.
- An income note is a hybrid security which combines the features of both a conventional loan and a conditional loan: the entrepreneur has to pay both interest and royalty on sales, but at substantially low rates.
- A participating debenture carries charges in three phases: in the start-up phase no interest is charged; in the next stage a low rate of interest is charged up to a particular level of operation; after that, a high rate of interest is required to be paid.
- In short, the conditional loan charges only royalty, the income note charges both at low rates, and the participating debenture charges interest that rises with the venture's progress.

Keywords: royalty · hybrid security · three phases

MCQ · Practice MCQ · Number · Easy

Under equity financing by a venture capital firm, the equity contribution of the venture capital firm does not exceed:

(A) 26% of the total equity capital

- (B) 51% of the total equity capital
- (C) 49% of the total equity capital
- (D) 74% of the total equity capital

✓ ANSWER: (C)

SM §4.3: the equity contribution does not exceed 49% of the total equity capital, so that effective control and ownership remains with the entrepreneur.

- (A) X Not the study material's figure.
- (B) X That would pass control to the venture capitalist.
- (D) X Not the study material's figure.

🚫 Trap: 51% and 49% look alike; the point is that control stays with the entrepreneur.

Topic: FM Ch 2 §4.3

☑ MCQ · Practice MCQ · Identify · Moderate

A security under which no interest is charged in the start-up phase, a low rate is charged up to a particular level of operation and a high rate thereafter is a:

- (A) Conditional loan
- (B) Income note
- (C) Cumulative convertible preference share
- (D) Participating debenture

✓ ANSWER: (D)

SM §4.3: a participating debenture carries charges in three phases exactly in this pattern.

- (A) X Carries royalty on sales, not phased interest.
- (B) X Carries both interest and royalty at low rates.
- (C) X Carries a cumulative dividend and converts into equity.

🚫 Trap: The income note also mixes payments, but it does not phase the rate.

Topic: FM Ch 2 §4.3

☐ QUICKRECAP

- Venture capital = equity finance in a new, high-risk venture run by entrepreneurs short of funds and experience.

- Three characteristics: equity in new companies, long-term in growth-oriented small or medium firms, plus strategy and networking support.
- Four methods: equity ($\leq 49\%$), conditional loan (royalty 2–15%), income note (hybrid), participating debenture (three phases).

5. Debt Securitisation

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: MTP 2 (May 2025 Series I, Sep 2026 Series I)

■ UNDERSTAND IT

****Securitisation is a process in which illiquid assets are pooled into marketable securities that can be sold to investors.****

The process leads to the creation of financial instruments that represent ownership interest in, or are secured by, a segregated income-producing asset or pool of assets. These assets are generally secured by personal or real property such as automobiles, real estate or equipment loans, but in some cases are unsecured.

The study material's example. A finance company has given a large number of car loans and needs more money to give further loans. One way would be to sell all the existing loans, but in the absence of a liquid secondary market for individual car loans this is not feasible. The practical option is debt securitisation: the finance company **sells its existing car loans to a Special Purpose Vehicle (SPV)**; the SPV pays the company, which continues to lend with this money, and the SPV **pools these loans and converts them into marketable securities** issued to investors.

So the process helps the finance company **raise funds and get the loans off its balance sheet**, and the funds help it disburse further loans. It also benefits investors by creating a **liquid investment in a diversified pool of car loans**, an attractive option compared with other fixed-income instruments. The whole process is carried out in such a way that the **original debtors may not be aware of the transaction** — they continue making payments as before, but these payments now go to the new investors.

The three-step process ICAI expects in the answer. (i) **The origination function** — a borrower seeks a loan from a finance company or bank; the creditworthiness of the borrower is evaluated and a contract is entered into with a repayment schedule structured over the life of the loan. (ii) **The pooling function** — similar loans or receivables are clubbed together to create an underlying pool of assets; the pool is **transferred in favour of the Special Purpose**

Vehicle (SPV), which acts as a trustee for investors. (iii) The securitisation function — the SPV structures and issues securities on the basis of the asset pool; the securities carry a **coupon and expected maturity** and can be **asset-based or mortgage-based**; they are generally sold to investors through **merchant bankers**, the investors being **pension funds, mutual funds and insurance funds**.

The process of securitisation is generally ****without recourse****: investors bear the credit risk, and the issuer is under an obligation to pay investors ****only if the cash flows are received by him from the collateral****. The benefit to the originator is that **assets are shifted off the balance sheet**, giving the originator recourse to **off-balance-sheet funding**.

Debt securitisation is also described as a **method of recycling of funds**, especially beneficial to **financial intermediaries to support lending volumes**: assets generating steady cash flows are packaged together and market securities are issued against the asset pool — for example **housing finance, auto loans and credit card receivables**.

e.g. A housing finance company pools ₹500 crore of home loans, transfers them to an SPV, and the SPV issues mortgage-backed securities to a pension fund. The company gets ₹500 crore back to lend again; the borrowers keep paying their EMIs, now for the investors.

KEY FRAMEWORK / FORMULA · Without recourse (SM §5)

Requirement: Investors bear the credit risk; the issuer pays investors only if the cash flows are received from the collateral; assets move off the originator's balance sheet.

Exam angle: The closing lines of every ICAI answer on this topic; worth a full mark.

ICAI KEYWORDS

illiquid assets · marketable securities · recycling of funds · origination function · pooling function · securitisation function · Special Purpose Vehicle · trustee for investors · asset-based/mortgage based · merchant bankers · without recourse · off-balance sheet funding

MEMORY TRICK

O-P-S: Originate the loan → Pool it and pass it to the SPV → Securitise and sell to investors.

Cue	Stands for
Origination	Loan made after credit appraisal, with a repayment schedule

Pooling	Similar receivables clubbed; pool transferred to the SPV as trustee
Securitisation	SPV issues coupon-bearing securities through merchant bankers
Without recourse	Investors bear the credit risk
Benefit	Assets off the balance sheet; funds recycled

⚡ 3-second trigger: O-P-S, without recourse

❏ COMMON MISTAKE / CONFUSION

- Saying the originator guarantees repayment. The process is generally without recourse.
- Forgetting to name the SPV as trustee for investors; the SPV is the mark-earning word.
- Writing that the borrowers are informed; the study material says they may not be aware of the transaction.

🔗 INTEGRATION LINK

🔗 FM Ch 9: receivables management and factoring, another way of monetising receivables

🔗 INTEGRATION LINK

🔗 FM Ch 2 §3.5: asset-backed and mortgage-backed bonds

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Explain debt securitisation and its process (4 marks)
- Short note on the role of the SPV

How to attack it:

- One-line meaning, then the three functions numbered, then the 'without recourse' and off-balance-sheet lines

📖 What ICAI has done so far: MTP May 2025 Series I · FM Q4(b); MTP Sep 2026 Series I · FM Q4(a).

🕒 Time / length guide (study guidance): 4 marks ≈ 7 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Meaning: illiquid assets pooled into marketable securities
- Origination → pooling → securitisation
- Without recourse; investors bear credit risk
- Benefit to the originator: off-balance-sheet funding

Keywords: **Special Purpose Vehicle** · **without recourse** · **off-balance sheet funding**

Ideal length: 4 marks: meaning plus three functions plus two closing lines

Conclusion pattern: Securitisation converts a frozen loan book into cash without waiting for the loans to run off.

DON'T WRITE THIS

- Inventing regulatory requirements or rating norms that the study material does not state

Questions on this topic — ICAI questions first, then practice

OFFICIAL ICAI QUESTION · MTP May 2025 Series I · FM Q4(b) · 4 marks

Explain debt securitisation and describe its process.

MODEL ANSWER

- **Debt securitisation** is a method of recycling of funds. It is especially beneficial to financial intermediaries to support the lending volumes. Assets generating steady cash flows are packaged together and, against this asset pool, market securities can be issued — for example housing finance, auto loans and credit card receivables.
- **(i) The origination function:** a borrower seeks a loan from a finance company or bank; the creditworthiness of the borrower is evaluated and a contract is entered into with a repayment schedule structured over the life of the loan.
- **(ii) The pooling function:** similar loans or receivables are clubbed together to create an underlying pool of assets; the pool is transferred in favour of the Special Purpose Vehicle (SPV), which acts as a trustee for investors.
- **(iii) The securitisation function:** the SPV will structure and issue securities on the basis of the asset pool; the securities carry a coupon and expected maturity and can be asset-based or mortgage-based, and are generally sold to investors through merchant bankers. Investors are pension funds, mutual funds and insurance funds.

- The process of securitisation is generally without recourse, i.e. investors bear the credit risk and the issuer is under an obligation to pay investors only if the cash flows are received by him from the collateral. The benefit to the originator is that assets are shifted off the balance sheet, giving the originator recourse to off-balance-sheet funding.

Conclusion: Meaning, three functions and the without-recourse close — that is the full 4 marks.

 **Keywords:** recycling of funds · Special Purpose Vehicle · without recourse · off-balance sheet funding

 **Also asked as:** MTP Sep 2026 Series I · FM Q4(a) (debt securitisation and its process)

 **EXPECTED QUESTION** · Practice question · Explain with an example · 4 marks

A finance company with a large portfolio of car loans needs funds to lend further, but there is no liquid secondary market for individual car loans. Explain how debt securitisation solves its problem and who bears the risk.

 **MODEL ANSWER**

- Securitisation is a process in which illiquid assets are pooled into marketable securities that can be sold to investors, creating instruments that represent ownership interest in, or are secured by, a segregated income-producing pool of assets.
- The finance company sells its existing car loans to a Special Purpose Vehicle; the SPV pays the company, which continues to lend with this money, and the SPV pools the loans and converts them into marketable securities issued to investors.
- The company thus raises funds and gets the loans off its balance sheet, obtaining off-balance-sheet funding; investors get a liquid investment in a diversified pool of car loans, an attractive alternative to other fixed-income instruments.
- The original borrowers may not even be aware of the transaction; they continue making payments as before, which now flow to the new investors.
- The process is generally without recourse, so the investors bear the credit risk; the issuer is obliged to pay investors only if the cash flows are received from the collateral.

 **Keywords:** illiquid assets · Special Purpose Vehicle · without recourse

 **MCQ** · Practice MCQ · Role · Easy

In the process of debt securitisation, the pool of assets is transferred in favour of:

(A) A Special Purpose Vehicle, which acts as a trustee for investors

- (B) The credit rating agency
- (C) The original borrowers
- (D) The merchant banker, who becomes the legal owner

✓ ANSWER: (A)

SM §5: in the pooling function the pool is transferred in favour of the SPV, which acts as a trustee for investors.

- (B) X The rating agency rates the issue; it does not hold the pool.
- (C) X The borrowers keep repaying; they receive nothing.
- (D) X Merchant bankers sell the securities to investors.

🚫 Trap: Merchant bankers appear in the same sentence but only distribute the securities.

Topic: FM Ch 2 §5

☑ MCQ · Practice MCQ · Risk · Moderate

Because the process of securitisation is generally 'without recourse':

- (A) The originator guarantees repayment of the securities
- (B) The SPV must repay investors from its own funds
- (C) Investors bear the credit risk and are paid only if cash flows are received from the collateral
- (D) The borrowers can refuse to repay the loans

✓ ANSWER: (C)

SM §5: investors bear the credit risk and the issuer is under an obligation to pay investors only if the cash flows are received from the collateral.

- (A) X There is no recourse to the originator.
- (B) X The SPV pays out of collections, not its own funds.
- (D) X The borrowers' obligation is unchanged.

🚫 Trap: 'Without recourse' sounds like a protection for investors; it is the opposite.

Topic: FM Ch 2 §5

☐ QUICKRECAP

- Securitisation pools illiquid assets into marketable securities.

- Three functions: origination, pooling (to the SPV as trustee), securitisation (coupon-bearing, asset- or mortgage-backed, sold via merchant bankers).
- Generally without recourse: investors bear the credit risk; the originator gets off-balance-sheet funding.

6-6.1 Lease Financing: Operating and Financial Leases

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: RTP 1 (May 2026, numerical) · SM theoretical question

■ UNDERSTAND IT

Meaning (§6). Leasing is a ****general contract between the owner and the user of the asset over a specified period of time****. The asset is purchased initially by the lessor (leasing

company) and thereafter leased to the user (lessee company), which pays a specified rent at periodical intervals. Leasing is an alternative to the purchase of an asset out of own or borrowed funds. Moreover, lease finance can be arranged much faster than term loans from financial institutions.

Two broad categories (§6.1): (a) operating lease and (b) financial lease.

(a) **Operating lease.** The right to use the asset is given by the lessor to the lessee, but the ownership right remains with the lessor. The lessee gives a fixed amount of periodic lease rentals. The lessor bears the insurance, maintenance and repair costs of the asset. The lease period is short, so the lessor may not be able to recover the cost of the asset during the initial lease period and tends to lease the asset to more than one lessee. Normally these are callable leases and are cancellable with proper notice. The term is shorter than the asset's economic life; the lessee is obliged to make payment until lease expiration, which approaches the useful life of the asset. It is particularly attractive to companies that **continually update or replace equipment** and want to use equipment without ownership, returning it at lease end and **avoiding technological obsolescence**.

(b) **Financial lease.** In contrast, a financial lease is **long term in nature and non-cancellable** — the lessee cannot terminate the lease agreement subsequently — so the **period of lease is generally the full economic life of the leased asset**. It can be regarded as any leasing arrangement that is to finance the use of equipment for the major part of its useful life. The lessee has the right to use the equipment while the lessor retains legal title, and the lessee has to bear the insurance, maintenance and other related costs. It is also called a capital lease,

which is nothing but a loan in disguise. A financial lease is a contract involving payments over an obligatory period of specified sums sufficient in total to amortise the capital outlay of the lessor and give some profit.

The SM's five-point comparison. (1) In a financial lease the risk and reward incident to ownership pass to the lessee, the lessor remaining only the legal owner; in an operating lease the lessee is only provided the use of the asset and risk incident to ownership belongs wholly to the lessor. (2) In a financial lease the lessee bears the risk of obsolescence; in an operating lease the lessor bears it. (3) In a financial lease the lessor is interested in his rentals and not in the asset — he must get his principal back with interest — so the lease is non-cancellable by either party; in an operating lease the lessor has no difficulty leasing the same asset to another willing lessee, so the lease is kept cancellable by the lessor. (4) In a financial lease the lessor enters into the transaction only as financier and does not bear the cost of repairs, maintenance or operations; in an operating lease usually the lessor bears those costs. (5) A financial lease is usually full payout — the single lease repays the cost of the asset together with interest; an operating lease is usually non-payout, since the lessor expects to lease the same asset over and over again to several users.

e.g. A printer taken for two years with the vendor servicing it and the option to return it early is an operating lease; a machine taken for its whole ten-year life on a non-cancellable contract, with the user paying insurance and repairs, is a financial lease.

KEY FRAMEWORK / FORMULA · Financial lease (SM §6.1)

Requirement: Long term, non-cancellable, generally the full economic life, lessee bears insurance and maintenance, full payout; also called a capital lease.

Exam angle: The comparison table is the standard 4-mark answer and a frequent MCQ.

ICAI KEYWORDS

lessor · lessee · alternative to purchase · arranged much faster · operating lease · callable · cancellable with proper notice · financial lease · non-cancelable · capital lease · loan in disguise · full payout · non-payout · risk of obsolescence

MEMORY TRICK

"Finance = Forever, Operating = Optional": a financial lease runs the asset's life and cannot be cancelled; an operating lease is short and cancellable.

Cue	Stands for
Risk and reward	Financial: to lessee · Operating: with lessor
Obsolescence	Financial: lessee · Operating: lessor
Cancellation	Financial: non-cancellable · Operating: cancellable by lessor
Repairs	Financial: lessee · Operating: lessor
Payout	Financial: full payout · Operating: non-payout

⚡ 3-second trigger: Finance Forever, Operating Optional

■ COMMON MISTAKE / CONFUSION

- Saying an operating lease is non-cancellable; it is normally callable and cancellable with proper notice.
- Giving the lessor the maintenance cost in a financial lease; there the lessee bears it.
- Calling a financial lease 'full payout' but then saying the lessor leases the asset again; a full payout lease recovers the cost in one lease.

Basis	Financial lease	Operating lease
Risk and reward of ownership	Passed on to the lessee; the lessor remains only the legal owner	Only the use of the asset is given; risk belongs wholly to the lessor
Obsolescence	Borne by the lessee	Borne by the lessor
Cancellation	Non-cancellable by either party; the lessor wants principal plus interest back	Kept cancellable by the lessor, who can lease the asset to another
Repairs and maintenance	Lessor is only a financier and does not bear these costs	Usually borne by the lessor
Recovery	Usually full payout: one lease repays cost plus interest	Usually non-payout: the asset is leased again and again

🔗 INTEGRATION LINK

🔗 FM Ch 2 §6.2: sale and lease back, leveraged, sales-aid, close-ended and open-ended leases

🔗 INTEGRATION LINK

🔗 FM Ch 3: evaluating a lease against a buy decision using discounted cash flows

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Distinguish between a financial lease and an operating lease (4 marks)
- MCQ on who bears obsolescence or maintenance
- Occasionally a lease-rental computation (RTP May 2026)

How to attack it:

- Answer as a table with five bases; ICAI's own answer is a table

📖 What ICAI has done so far: RTP May 2026 · FM Q8 set a lease-rental computation; the comparison itself is an SM theoretical question.

🕒 Time / length guide (study guidance): 4 marks ≈ 7 minutes (study guidance).

📖 WRITE THIS IN THE EXAM

Structure:

- One line on what leasing is
- Five-row comparison table
- Close with which suits which user

🔑 Keywords: non-cancelable · full payout · risk of obsolescence

📏 Ideal length: 4 marks: a five-row table

📊 Conclusion pattern: An operating lease buys flexibility; a financial lease buys the asset in instalments.

🚫 DON'T WRITE THIS

- Bringing in accounting-standard classification rules; the study material tests the finance view

📖 Questions on this topic — ICAI questions first, then practice

🧠 EXPECTED QUESTION · Practice question · Distinguish · 4 marks

Distinguish between a financial lease and an operating lease.

✓ MODEL ANSWER

- In a financial lease the risk and reward incident to ownership are passed on to the lessee, the lessor remaining only the legal owner; in an operating lease the lessee is only provided the use of the asset and risk incident to ownership belongs wholly to the lessor.
- The lessee bears the risk of obsolescence in a financial lease; the lessor bears it in an operating lease.
- In a financial lease the lessor is interested in his rentals and not in the asset — he must get his principal back with interest — so the lease is non-cancellable by either party; in an operating lease the lessor has no difficulty in leasing the same asset to another willing lessee, so the lease is kept cancellable by the lessor.
- In a financial lease the lessor enters into the transaction only as a financier and does not bear the cost of repairs, maintenance or operations; in an operating lease the lessor usually bears these costs.
- A financial lease is usually full payout — the single lease repays the cost of the asset together with interest; an operating lease is usually non-payout, since the lessor expects to lease the same asset over and over again to several users.

🔑 Keywords: risk and reward incident to ownership · non-cancelable · full payout · non-payout

✓ MCQ · Practice MCQ · Identify · Easy

A lease that is long term and non-cancellable, generally running for the full economic life of the asset, and is also called a capital lease, is:

- (A) An operating lease
- (B) A financial lease
- (C) A sales-aid lease
- (D) An open-ended lease

✓ ANSWER: (B)

SM §6.1: a financial lease is long term and non-cancellable, generally for the full economic life; it is also called a capital lease, which is nothing but a loan in disguise.

- (A) X Short, cancellable with proper notice.
- (C) X The lessor ties up with a manufacturer to market its product.
- (D) X The lessee has the option to purchase the asset at the end.

 **Trap:** 'Capital lease' is the alternative name for the financial lease.

Topic: FM Ch 2 §6.1

☒ MCQ · Practice MCQ · Who bears · Moderate

In an operating lease, the insurance, maintenance and repair costs of the asset are borne by:

- (A) The lessee, who has the right to use the asset
- (B) The bank that funded the lessor
- (C) The equipment supplier under warranty
- (D) The lessor, who also bears the risk of obsolescence

 **ANSWER: (D)**

SM §6.1: in an operating lease the lessor bears the insurance, maintenance and repair costs, and risk incident to ownership, including obsolescence, belongs wholly to the lessor.

- (A) X That is the financial lease position.
- (B) X The funder's role appears in a leveraged lease, not here.
- (C) X The study material does not place the cost on the supplier.

 **Trap:** The two leases reverse who bears cost and obsolescence; learn them as a pair.

Topic: FM Ch 2 §6.1

☐ QUICKRECAP

- Leasing: lessor buys, lessee uses and pays rentals; faster to arrange than a term loan.
- Operating lease: short, cancellable, lessor bears maintenance and obsolescence, non-payout.
- Financial lease: long, non-cancellable, lessee bears maintenance and obsolescence, full payout, a loan in disguise.

6.2 Other Types of Leases

🔗 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (Sep 2024 Q4(c)) · MTP 4 (Sep 2024 S2, May 2025 S2, Jan 2026 S2, Sep 2026 S1)

■ UNDERSTAND IT

(a) **Sale and lease back.** The ****owner of an asset sells the asset to a party (the buyer), who in turn leases back the same asset to the owner**** in consideration of lease rentals. Under this arrangement the asset is not physically exchanged — it all happens in records only. The main advantage is that the lessee can satisfy himself completely regarding the quality of the asset and, after possession of the asset, convert the sale into a lease agreement. In this transaction the seller assumes the role of lessee (the same asset he sold comes back to him as a lease) and the buyer assumes the role of lessor. So the seller gets the agreed selling price and the buyer gets the lease rentals.

(b) **Leveraged lease.** Under this lease a ****third party is involved besides the lessor and the lessee****. The lessor borrows a part of the purchase cost (say 80%) of the asset from the third party, i.e. the lender, and the asset so purchased is held as security against the loan. The lender is paid off from the lease rentals directly by the lessee, and the surplus after meeting the claims of the lender goes to the lessor. The lessor is entitled to claim depreciation allowance.

(c) **Sales-aid lease.** Where the lessor enters into a tie-up with a manufacturer for marketing the latter's product through his own leasing operations, it is called a sales-aid lease. In consideration of the aid in sales, the manufacturer may grant either credit or a commission to the lessor. Thus the lessor earns from both sources — from the lessee as well as from the manufacturer.

(d) **Close-ended and open-ended leases.** In the close-ended lease, the assets get transferred to the lessor at the end of the lease, and the risk of obsolescence, residual value etc. remain with the lessor, being the legal owner of the asset. In the open-ended lease, the lessee has the option of purchasing the asset at the end of the lease period.

The study material's closing note on leasing. In recent years leasing has become a popular source of financing in India. From the lessee's point of view, leasing eliminates immediate cash outflow, and the lease rentals can be deducted for computing total income under the Income-tax Act. As against this, buying has the advantages of depreciation allowance (including additional depreciation) and interest on borrowed capital being tax-deductible. So an evaluation of the two alternatives has to be made before deciding. Practical problems of lease financing are covered at the Final level in Financial Services and Capital Markets.

e.g. A company short of cash sells its head-office building to a leasing company and takes it straight back on lease: it keeps using the building, receives the sale price today, and pays rentals — a sale and lease back.

KEY FRAMEWORK / FORMULA · Leveraged lease (SM §6.2)

Requirement: Three parties; lessor borrows part of the cost (say 80%) from a lender; the asset is security; the lender is paid from lease rentals directly by the lessee; the surplus goes to the lessor; the lessor claims depreciation.

Exam angle: Asked as a 2-mark 'What is a leveraged lease?' in Sep 2024 and as one item of a 4-mark 'other types of lease' in four MTPs.

ICAI KEYWORDS

sale and lease back · not physically exchanged · seller assumes the role of lessee · leveraged lease · third party · held as security · surplus goes to the lessor · depreciation allowance · sales-aid lease · tie up with a manufacturer · credit or a commission · close-ended lease · open-ended lease · option of purchasing

MEMORY TRICK

S-L-S-C/O: Sale and lease back, Leveraged, Sales-aid, Close-ended and Open-ended. Count the parties: two, three, three (with a manufacturer), two.

Cue	Stands for
Sale and lease back	Seller becomes lessee; buyer becomes lessor; only records change
Leveraged	Third-party lender funds ~80%; paid from rentals; lessor claims depreciation
Sales-aid	Lessor ties up with a manufacturer; earns from lessee and manufacturer
Close-ended	Asset returns to the lessor; obsolescence risk with the lessor
Open-ended	Lessee may purchase the asset at the end

 3-second trigger: S-L-S-C/O

COMMON MISTAKE / CONFUSION

- Saying the asset physically moves in a sale and lease back; the study material says it happens in records only.
- Saying the lessee claims depreciation in a leveraged lease; the lessor is entitled to the depreciation allowance.
- Swapping close-ended and open-ended: the purchase option belongs to the open-ended lease.

Basis	Close-ended lease	Open-ended lease
End of lease	Assets get transferred to the lessor	Lessee has the option of purchasing the asset
Obsolescence and residual value risk	Remain with the lessor, the legal owner	Effectively passes to the lessee if the option is exercised

🔗 INTEGRATION LINK

- 🔗 FM Ch 2 §6.1: operating vs financial lease

🔗 INTEGRATION LINK

- 🔗 FM Ch 3: lease-or-buy evaluation using discounted cash flows

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Explain any four other types of lease (4 marks) — the most repeated question of this chapter
- What is a leveraged lease? (2 marks)
- Case: a company sells and takes back its asset — identify the lease

How to attack it:

- Bold the name, then two or three lines; four names earn four marks
- Always mention the third party for a leveraged lease and the role reversal for sale and lease back

📖 What ICAI has done so far: PYQ Sep 2024 · Q4(c); MTP Sep 2024 Series II · FM Q4(b); MTP May 2025 Series II · FM Q4(a); MTP Jan 2026 Series II · FM Q4(a); MTP Sep 2026 Series I · FM Q4(b).

 Time / length guide (study guidance): 4 marks $\approx$ 7 minutes; 2 marks $\approx$ 3 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Name in bold
- Who the parties are
- How the money moves
- Who bears risk or claims depreciation

 Keywords: **third party** · **lease rentals** · **depreciation allowance** · **option of purchasing**

 Ideal length: 4 marks: four types, 3 lines each

 Conclusion pattern: Each variant re-arranges who owns, who funds and who bears obsolescence.

DON'T WRITE THIS

- Mixing in operating-versus-financial points unless the question asks for them

Questions on this topic — ICAI questions first, then practice

 OFFICIAL ICAI QUESTION · PYQ Sep 2024 · Q4(c) · 2 marks

What is a leveraged lease? Explain.

MODEL ANSWER

- Under a leveraged lease, a third party is involved besides the lessor and the lessee.
- The lessor borrows a part of the purchase cost (say 80%) of the asset from the third party, i.e. the lender, and the asset so purchased is held as security against the loan.
- The lender is paid off from the lease rentals directly by the lessee, and the surplus after meeting the claims of the lender goes to the lessor.
- The lessor is entitled to claim the depreciation allowance.

Conclusion: Four short lines are ample for 2 marks.

 Keywords: **third party** · **held as security** · **surplus** · **depreciation allowance**

 What ICAI examiners said: No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · MTP May 2025 Series II · FM Q4(a) · 4 marks

Explain any four types of lease other than operating and financial lease.

✓ MODEL ANSWER

- **Sale and lease back:** the owner of an asset sells the asset to a party (the buyer), who in turn leases back the same asset to the owner in consideration of lease rentals. The asset is not physically exchanged; it all happens in records only. The main advantage is that the lessee can satisfy himself completely regarding the quality of the asset and, after possession, convert the sale into a lease agreement. The seller assumes the role of lessee and the buyer assumes the role of lessor; the seller gets the agreed selling price and the buyer gets the lease rentals.
- **Leveraged lease:** a third party is involved besides the lessor and the lessee. The lessor borrows a part of the purchase cost (say 80%) from the lender and the asset is held as security against the loan. The lender is paid off from the lease rentals directly by the lessee, and the surplus after meeting the lender's claims goes to the lessor. The lessor is entitled to claim depreciation allowance.
- **Sales-aid lease:** the lessor enters into a tie-up with a manufacturer for marketing the latter's product through his own leasing operations. In consideration of the aid in sales, the manufacturer may grant either credit or a commission to the lessor. Thus the lessor earns from both sources — from the lessee as well as from the manufacturer.
- **Close-ended and open-ended leases:** in the close-ended lease the assets get transferred to the lessor at the end of the lease, and the risk of obsolescence, residual value etc. remain with the lessor as legal owner. In the open-ended lease the lessee has the option of purchasing the asset at the end of the lease period.

Conclusion: One mark per type; keep each to three lines.

🔑 **Keywords:** sale and lease back · leveraged lease · sales-aid lease · close-ended and open-ended

📁 **Also asked as:** MTP Sep 2024 Series II · FM Q4(b) (other types of leases) | MTP Jan 2026 Series II · FM Q4(a) (other types of leases are explained below) | MTP Sep 2026 Series I · FM Q4(b) (sale and lease back, leveraged, sales-aid, close- and open-ended)

🧠 EXPECTED QUESTION · Practice question · Case: identify + explain · 4 marks

Bharti Ltd. owns a printing press. To release cash without losing the use of the press, it transfers ownership to a leasing company and immediately takes the press back on rent. Identify the arrangement, explain how it works and state one advantage to Bharti Ltd.

✓ **MODEL ANSWER**

- The arrangement is a **sale and lease back**, one of the other types of lease.
- Under this type of lease, the owner of an asset sells the asset to a party (the buyer), who in turn leases back the same asset to the owner in consideration of lease rentals; the asset is not physically exchanged and it all happens in records only.
- The seller assumes the role of lessee, as the same asset which he has sold came back to him in the form of a lease, and the buyer assumes the role of lessor; the seller gets the agreed selling price and the buyer gets the lease rentals.
- The advantage to Bharti Ltd. is that it releases the agreed selling price as cash while continuing to use the press; the lessee can also satisfy himself completely regarding the quality of the asset and, after possession, convert the sale into a lease agreement.
- Study guidance: the first mark is for naming the arrangement, so name it in the opening line.

🔑 **Keywords:** **sale and lease back** · **records only** · **role of lessee** · **role of lessor**

✓ **MCQ** · Practice MCQ · Identify · Easy

A lease in which the lessor borrows part of the purchase cost from a lender, who is then paid directly out of the lease rentals by the lessee, is a:

- (A) Leveraged lease
- (B) Sale and lease back
- (C) Sales-aid lease
- (D) Close-ended lease

✓ **ANSWER: (A)**

SM §6.2: under a leveraged lease a third party lender funds part of the cost (say 80%) and is paid off from the lease rentals directly by the lessee.

- (B) X The owner sells and takes the asset back on lease.
- (C) X The lessor ties up with a manufacturer to market its product.
- (D) X The asset returns to the lessor at the end of the lease.

🚫 **Trap:** Three parties is the signature of the leveraged lease.

Topic: FM Ch 2 §6.2

☒ MCQ · Practice MCQ · Who bears · Moderate

In a close-ended lease, the risk of obsolescence and residual value:

- (A) Is shared equally between lessor and lessee
- (B) Remains with the lessor, who is the legal owner of the asset
- (C) Passes to the lessee, who must buy the asset
- (D) Is borne by the lender who funded the purchase

✓ ANSWER: (B)

SM §6.2: in a close-ended lease the assets get transferred to the lessor at the end of the lease, and the risk of obsolescence, residual value etc. remain with the lessor being the legal owner.

- (A) X The study material places the risk with the lessor.
- (C) X The purchase option belongs to the open-ended lease and is optional.
- (D) X A lender appears in a leveraged lease, not here.

🚫 **Trap:** Close-ended sounds restrictive for the lessee; in fact it protects the lessee from obsolescence.

Topic: FM Ch 2 §6.2

☐ QUICK RECAP

- Sale and lease back: seller becomes lessee, buyer becomes lessor, only records change.
- Leveraged lease: three parties; lender funds ~80% and is paid from rentals; lessor claims depreciation.
- Sales-aid lease: lessor ties up with a manufacturer and earns twice.
- Close-ended: asset returns to the lessor; open-ended: lessee may buy it.

7. Short-term Sources of Finance (including Export Finance)

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (May 2026 Q4(b)) · MTP 1 (Mar 2024 Series 1, MCQ)

☒ UNDERSTAND IT

The study material lists **ten short-term sources**. (i) **Trade credit** — credit granted by suppliers of goods as an incident of sale; usual duration **15 to 90 days**; it **generates automatically** in the course of business; it can be an **'open account' or 'bills payable'**; it is preferred because it is **without any explicit cost** and keeps rotating while the business is a going concern, and it **enhances automatically with the increase in the volume of business**.

(ii) **Accrued expenses and deferred (unearned) income** — accrued expenses are liabilities for services already received such as **wages, taxes, interest and dividends**, arising out of day-to-day activities and hence a **spontaneous source**; deferred income is **funds received in lieu of goods and services to be provided in the future**, which increase liquidity and are also a spontaneous source. (iii) **Advances from customers** — manufacturers and contractors producing costly goods over a long manufacturing period demand advance money when accepting orders; this is a **cost-free source of finance**.

(iv) **Commercial paper** — an **unsecured money market instrument issued in the form of a promissory note**; the RBI introduced the scheme in **1989** to let highly rated corporate borrowers diversify their short-term borrowings; **Primary Dealers and All India Financial Institutions** were later also allowed to issue it. **Commercial papers are issued in**

****denominations of ₹5 lakh or multiples thereof**, and the interest rate is generally ****linked to the yield on the one-year government bond****. All eligible issuers must obtain a **credit rating from CRISIL, ICRA, CARE, FITCH Ratings India or any other agency specified by the RBI**.**

(v) **Treasury bills** — a class of **Central Government securities** issued by the Government of India to meet short-term borrowing requirements, with **maturities ranging between 14 and 364 days**. (vi) **Certificates of deposit** — a document of title similar to a time deposit receipt with a **fixed maturity date of not less than 7 days up to a maximum of one year**, issued by a bank, except that **no interest rate is prescribed**; the advantage is that the **banker is not required to encash the deposit before maturity** while the **investor is assured of liquidity because he can sell the CD in the secondary market**.

(vii) **Bank advances**. Facilities provided by banks: **short-term loans** — the entire advance is disbursed at one time against securities like shares, government securities, life insurance policies and fixed deposit receipts; **overdraft** — customers may withdraw in excess of the credit balance in the current account up to a fixed limit, repayable on demand but generally continued by annual renewals, with **interest charged on daily balances**; **clean overdrafts** — entertained only from parties which are financially sound and of good repute, as the bank

relies on the **personal security of the borrower** and has no tangible security, so banks take guarantees and grant them only for a short period; **cash credit** — an advance up to a certain limit where the customer **draws only to the extent of his requirements and deposits surplus funds**, with **interest charged on the amount actually availed** and limits sanctioned **against tradable goods by way of pledge or hypothecation**; **advances against goods** — safe and liquid because goods are in constant demand, charged by pledge or hypothecation, 'goods' including all forms of movables; **bills purchased or discounted** — advances against clean or documentary bills, where in actual practice the **bank holds the bills only as security for the advance**.

(viii) **Financing of export trade by banks**. Commercial banks provide short-term export finance mainly by **pre-shipment and post-shipment credit**, granted in **rupees as well as foreign currency**. RBI measures include rationalisation and liberalisation of export credit interest rates, flexibility in repayment or prepayment of pre-shipment credit, a special financial package for large-value exporters, export finance for agricultural exports and the **Gold Card Scheme** for exporters.

Pre-shipment finance generally takes the form of a **packing credit facility**: **an advance extended by banks to an exporter for the purpose of **buying, manufacturing, processing, packing and shipping goods to overseas buyers****. Any exporter with a **firm export order or an irrevocable letter of credit opened in his favour** can approach a bank. **The advance is **required to be liquidated within 180 days** from the date of its commencement by negotiation of export bills or receipt of export proceeds in an approved manner** — so packing credit is essentially a short-term advance. **Types of packing credit**: **clean packing credit** (against a firm export order or letter of credit, without any charge or control over raw material or finished goods, with a suitable margin and ECGC cover obtained by the bank); **packing credit against hypothecation of goods** (goods hypothecated with a stipulated margin, with stock statements submitted every fortnight or on movement of stocks); **packing credit against pledge of goods** (finished goods pledged with approved clearing agents, possession lying with the bank under its lock and key); **E.C.G.C. guarantee** (any loan for manufacture, processing, purchasing or packing of goods for export against a firm order qualifies for the packing credit guarantee); and **forward exchange contract** (where the export bill is in foreign currency, the exporter should enter into a forward exchange contract with the bank, avoiding the risk of a change in the rate of exchange).

Post-shipment finance takes four forms: (a) **purchase or discounting of documentary export bills** — finance by purchasing export bills drawn payable at sight or discounting usance export bills covering confirmed sales and backed by documents of title such as bills of lading, post parcel receipts or air consignment notes; (b) **E.C.G.C. guarantee** — post-shipment finance through purchase, negotiation or discount of an export bill against an order qualifies for the post-shipment export credit guarantee, provided the exporter obtains a shipment or contracts risk policy of ECGC covering both political and commercial risks, with the Corporation fixing credit limits for individual exporters; (c) **advance against export bills sent for collection** — taking into account the creditworthiness of the party, nature of goods exported, usance and standing of the drawee; (d) **advance against duty drawbacks, cash subsidy etc.** — to finance export losses, advanced against duty drawback and cash subsidy receivable against export performance; such advances are of a **clean nature**, so necessary precautions must be exercised. **A post-shipment advance is also **required to be liquidated within 180 days from the date of shipment**.**

(ix) **Inter-corporate deposits** — companies can borrow for a short period, **say 6 months, from other companies which have surplus liquidity**; the rate of interest varies with the amount and time period. (x) **Public deposits** — a very important source of short-term and medium-term finance, particularly due to credit squeeze by the RBI. **A company can accept public deposits subject to RBI stipulations **up to a maximum of 35 per cent of its paid-up capital and reserves**, for a period of **six months to three years**.** Public deposits are **unsecured loans**; they **should not be used for acquiring fixed assets** since they must be repaid within three years, and are mainly used to finance **working capital requirements**.
e.g. May 2026 gave a one-line case: goods shipped, proceeds not yet realised. The finance is post-shipment finance, and three of its four forms earn the remaining marks.

KEY FRAMEWORK / FORMULA · Packing credit (SM §7)

Requirement: Pre-shipment advance for buying, manufacturing, processing, packing and shipping goods; needs a firm export order or an irrevocable letter of credit; liquidated within 180 days.

Exam angle: 'Identify the type of finance' cases; also the 180-day number as an MCQ.

KEY FRAMEWORK / FORMULA · Public deposits (SM §7)

Requirement: Maximum 35 per cent of paid-up capital and reserves; period six months to three years; unsecured; not to be used for fixed assets.

Exam angle: Asked directly as a 1-mark MCQ on the maximum period (Mar 2024 Series I).

 **KEY FRAMEWORK / FORMULA** · Commercial paper, treasury bills and CDs (SM §7)

Requirement: CP: unsecured promissory note, ₹5 lakh denominations, rated by CRISIL/ICRA/CARE/FITCH or an RBI-specified agency. T-bills: 14 to 364 days. CDs: not less than 7 days up to one year.

Exam angle: The three period ranges are prime MCQ material.

ICAI KEYWORDS

trade credit · 15 to 90 days · open account · spontaneous source · cost free source of finance · commercial paper · promissory note · ₹5 lakhs or multiples · 14 to 364 days · not less than 7 days up to one year · cash credit · clean overdraft · packing credit · irrevocable letter of credit · liquidated within 180 days · E.C.G.C. · post-shipment finance · duty draw backs · inter corporate deposits · public deposits · 35 per cent of paid up capital and reserves · six months to three years

MEMORY TRICK

Periods to memorise: trade credit 15–90 days · T-bills 14–364 days · CDs 7 days–1 year · ICDs about 6 months · public deposits 6 months–3 years · export credit 180 days.

Cue	Stands for
Pre-shipment	Packing credit: buy, manufacture, process, pack, ship — 180 days
Post-shipment	Bills purchased/discounted · ECGC guarantee · advance against bills for collection · advance against duty drawback
Public deposits	≤35% of paid-up capital and reserves; 6 months to 3 years; unsecured
Commercial paper	Unsecured promissory note, ₹5 lakh multiples, must be rated

 **3-second trigger:** 180 days both sides of the shipment

■ COMMON MISTAKE / CONFUSION

- Calling packing credit post-shipment finance. Packing credit comes before shipment.
- Writing that public deposits can fund fixed assets; the study material says they should not be, as they are repayable within three years.
- Confusing cash credit (interest on the amount actually availed) with a short-term loan (whole amount disbursed at once).

Basis	Pre-shipment finance	Post-shipment finance
When	Before shipment of goods	After shipment of goods
Main form	Packing credit	Purchase or discounting of documentary export bills
Purpose	Buying, manufacturing, processing, packing and shipping goods	Bridging the gap until export proceeds are realised
Basis of the advance	Firm export order or irrevocable letter of credit	Export bills, ECGC policy, duty drawback and cash subsidy receivable
Time limit	Liquidated within 180 days from commencement	Liquidated within 180 days from the date of shipment

🔗 INTEGRATION LINK

- 🔗 FM Ch 9 §7: bank finance and trade credit for working capital

🔗 INTEGRATION LINK

- 🔗 FM Ch 4: cost of short-term funds

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Case: identify the type of export finance and explain three forms (May 2026, 4 marks)
- Explain any four short-term sources of finance
- MCQ on the maximum period of public deposits or the T-bill range

How to attack it:

- In an identification case, name the source in the first line — that is the first mark

- Then give the forms as lettered points with the study material's headings

 What ICAI has done so far: PYQ May 2026 · Q4(b); MTP May 2024 Series I · FM MCQ 4.

 Time / length guide (study guidance): 4 marks ≈ 7 minutes; a 1-mark MCQ ≈ 1 minute (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Identify the source
- List its forms with bold headings
- Add the 180-day limit where relevant

 Keywords: **documentary export bills** · **E.C.G.C.** · **duty draw backs** · **clean nature**

 Ideal length: 4 marks: one line to identify plus three forms of three lines each

 Conclusion pattern: Export finance keeps the exporter liquid on both sides of the shipment date.

DON'T WRITE THIS

- Inventing RBI interest rates or margin percentages

Questions on this topic — ICAI questions first, then practice

 OFFICIAL ICAI QUESTION · PYQ May 2026 · Q4(b) · 4 marks

An Indian exporter has shipped goods to a foreign buyer, but the export proceeds are yet to be realised. He approaches the bank for immediate finance assistance. (i) Identify the type of finance involved. (ii) Explain any three forms of such type of finance.

MODEL ANSWER

- (i) The finance involved is **post-shipment finance**, extended by commercial banks after the shipment of goods.
- (a) **Purchase or discounting of documentary export bills**: finance is provided to exporters by purchasing export bills drawn payable at sight, or by discounting usance export bills covering confirmed sales and backed by documents including documents of title to goods such as a bill of lading, post parcel receipts or air consignment notes.

- (b) **E.C.G.C. guarantee:** post-shipment finance given to an exporter by a bank through purchase, negotiation or discount of an export bill against an order qualifies for the post-shipment export credit guarantee. The exporter should obtain a shipment or contracts risk policy of ECGC; banks insist on a contracts shipments (comprehensive risks) policy covering both political and commercial risks. On acceptance of the policy the Corporation fixes credit limits for individual exporters, and its liability is limited to the extent of that limit irrespective of the amount of the policy.
- (c) **Advance against export bills sent for collection:** finance is provided by banks by way of advance against export bills forwarded through them for collection, taking into account the creditworthiness of the party, nature of goods exported, usance, standing of the drawee etc.
- (d) **Advance against duty drawbacks, cash subsidy etc.:** to finance export losses sustained by exporters, banks advance against duty drawback, cash subsidy etc. receivable against export performance; such advances are of a clean nature, hence necessary precautions should be exercised.

Conclusion: One mark for identifying post-shipment finance and one mark for each of any three forms.

 **Keywords:** post-shipment finance · documentary export bills · E.C.G.C. guarantee · duty draw backs

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

 **OFFICIAL ICAI QUESTION** · MTP May 2024 Series I · FM MCQ 4 · 1 marks

What is the maximum period for which a company can accept public deposits? Options: one year / six months / three years / five years.

 **MODEL ANSWER**

- ICAI's key is **three years**.
- The study material says public deposits may be accepted for a period of six months to three years, subject to RBI stipulations and up to a maximum of 35 per cent of paid-up capital and reserves.
- They are unsecured loans and should not be used for acquiring fixed assets, since they are to be repaid within three years; they are mainly used to finance working capital requirements.

Conclusion: Remember the pair: six months minimum, three years maximum, 35 per cent ceiling.

🔑 **Keywords:** six months to three years · 35 per cent

■ OFFICIAL ICAI QUESTION · RTP Jan 2026 · FM Q11(b)

What do you understand by spontaneous sources of finance, and explain its sources of finance?

✓ MODEL ANSWER

- **Spontaneous sources of finance** are those which naturally arise in the course of business operations. Trade credit, credit from employees and credit from suppliers of services are examples.
- **Trade credit** is a spontaneous source of finance which is normally extended to the purchaser organisation by the sellers or service providers. It **contributes about one-third of the total short-term requirements**.
- **Bills payable:** here the purchaser has to give a written promise to pay the amount of the bill or invoice, either on demand or at a fixed future date, to the seller or the bearer of the note.
- **Accrued expenses** represent liabilities the company has to pay for services it has already received — wages, taxes, interest and dividends. They arise out of the day-to-day activities of the company and hence represent a spontaneous source of finance.
- **Deferred income** reflects funds received in lieu of goods and services to be provided in the future; since these receipts increase liquidity, they are also an important source of spontaneous finance.
- The common thread is that none of these has to be negotiated or arranged: they appear as a by-product of trading, and they **enhance automatically with the increase in the volume of business**.

Conclusion: Define, then give trade credit, bills payable, accrued expenses and deferred income.

🔑 **Keywords:** naturally arise in the course of business operations · trade credit · one-third of the total short-term requirements · accrued expenses · deferred income

🧠 EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain packing credit and state its types.

✓ MODEL ANSWER

- Pre-shipment finance generally takes the form of a packing credit facility: an advance extended by banks to an exporter for the purpose of buying, manufacturing, processing, packing and shipping goods to overseas buyers.
- Any exporter having at hand a firm export order placed by his foreign buyer, or an irrevocable letter of credit opened in his favour, can approach a bank for packing credit; the advance is required to be liquidated within 180 days from the date of its commencement by negotiation of export bills or receipt of export proceeds in an approved manner, so it is essentially a short-term advance.
- **Clean packing credit:** made available only on production of a firm export order or letter of credit, without exercising any charge or control over raw material or finished goods; a suitable margin is maintained and ECGC cover should be obtained by the bank.
- **Packing credit against hypothecation of goods:** available where the exporter has a pledgeable interest and the goods are hypothecated to the bank as security with a stipulated margin; stock statements are submitted every fortnight or whenever stocks move.
- **Packing credit against pledge of goods:** the exportable finished goods are pledged to the bank with approved clearing agents, the possession lying with the bank under its lock and key.
- **E.C.G.C. guarantee and forward exchange contract:** any loan for manufacture, processing, purchasing or packing of goods for export against a firm order qualifies for the packing credit guarantee; and where the export bill is in foreign currency, the exporter should enter into a forward exchange contract with the bank to avoid exchange-rate risk.

 **Keywords:** packing credit · irrevocable letter of credit · 180 days · hypothecation · pledge

☒ MCQ · Practice MCQ · Number · Easy

Treasury bills are issued by the Government of India with maturities ranging between:

- (A) 7 days and one year
- (B) 15 and 90 days
- (C) 14 and 364 days
- (D) Six months and three years

 **ANSWER: (C)**

SM §7: treasury bills are a class of Central Government securities issued to meet short-term borrowing requirements with maturities ranging between 14 and 364 days.

- (A) X That is the certificate of deposit range.
- (B) X That is the usual duration of trade credit.
- (D) X That is the public deposit range.

 **Trap:** Four period ranges in one section; learn them together.

Topic: FM Ch 2 §7

☒ MCQ · Practice MCQ · Identify · Moderate

An exporter holding a firm export order takes a bank advance to buy raw material and pack the consignment. This advance is:

- (A) Post-shipment finance
- (B) A deferred payment guarantee
- (C) An inter-corporate deposit
- (D) Packing credit, a form of pre-shipment finance

 ANSWER: (D)

SM §7: packing credit is an advance extended for buying, manufacturing, processing, packing and shipping goods to overseas buyers, available against a firm export order or an irrevocable letter of credit.

- (A) X Post-shipment finance comes after the goods are shipped.
- (B) X That covers deferred payment for machinery purchases.
- (C) X A short-term borrowing from another company with surplus liquidity.

 **Trap:** Both packing credit and post-shipment advances must be liquidated within 180 days; the difference is the shipment date.

Topic: FM Ch 2 §7

☐ QUICKRECAP

- Ten short-term sources, from spontaneous trade credit to public deposits.
- Money market instruments: CP (₹5 lakh, rated), T-bills (14–364 days), CDs (7 days–1 year).
- Export finance: packing credit before shipment; bills, ECGC, collection advances and duty drawback after — both liquidated within 180 days.

- Public deposits: $\leq 35\%$ of paid-up capital and reserves, 6 months to 3 years, unsecured, for working capital.

8. Other Sources of Financing

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (Jan 2026 Q4(a), May 2026 Q4(c) OR)

■ UNDERSTAND IT

(i) **Seed capital assistance.** The Seed Capital Assistance scheme is ****designed by IDBI for professionally or technically qualified entrepreneurs and/or persons possessing relevant experience, skills and entrepreneurial traits but who lack adequate financial resources****. All projects eligible for financial assistance from IDBI, directly or indirectly through refinance, are eligible under the scheme. The assistance is interest free but carries a service charge of one per cent per annum for the first five years and at an increasing rate thereafter. However, IDBI has the option to charge interest at such rate as it may determine on the loan if the financial position and profitability of the company so permit during the currency of the loan. The repayment schedule is fixed depending upon the repaying capacity of the unit with an initial moratorium of up to five years.

(ii) **Internal cash accruals.** Existing profit-making companies undertaking an expansion or diversification programme may be permitted to invest a part of their accumulated reserves or cash profits for creation of capital assets. The surplus generated from operations, after meeting all contractual, statutory and working requirements of funds, is available for further capital expenditure.

(iii) **Unsecured loans.** Typically provided by promoters to meet the promoters' contribution norm. They are subordinate to institutional loans; the rate of interest should be less than or equal to the rate on institutional loans; interest can be paid only after payment of institutional dues; they cannot be repaid without the prior approval of financial institutions; and they are considered as part of equity for the purpose of calculating the debt-equity ratio.

(iv) **Deferred payment guarantee.** Suppliers of machinery often provide a deferred credit facility under which payment for the purchase of machinery can be made over a period of time. The entire cost of the machinery is financed and the company is not required to contribute any amount initially. Normally the supplier insists that a bank guarantee should be

furnished by the buyer. Such a facility **does not have a moratorium period for repayment**, hence it is **advisable only for an existing profit-making company**.

(v) **Capital incentives**. Backward area development incentives often determine the **location of a new industrial unit** and usually consist of a **lump sum subsidy and exemption from or deferment of sales tax and octroi duty**; the quantum depends on the **degree of backwardness of the location**. The special capital incentive is a **percentage of the fixed capital investment** subject to an **overall ceiling** and forms part of the long-term means of finance. However, **the viability of the project must not be dependent on the quantum and availability of incentives** — institutions assess viability *per se*, without considering the impact of incentives. Incentives are released only after the unit complies with the scheme's requirements, classified into **initial effective steps and final effective steps**.

Debt instruments listed in this section. (vi) **Deep discount bonds** — a form of **zero-interest bonds sold at a discounted value**, with the **face value paid on maturity** and **no interest payout during the lock-in period**. (vii) **Secured premium notes** — issued **along with a detachable warrant**, redeemable after a notified period of **say 4 to 7 years**; the warrant must be converted into equity within the period notified by the company. (viii) **Zero interest fully convertible debentures** — fully convertible debentures carrying **no interest, compulsorily and automatically converted after a specified period**, holders getting new equity shares at a **predetermined price**; beneficial to the company since no interest is paid, and if the market price is very high investors get shares at a lower rate. (ix) **Zero coupon bonds** — carry **no interest but are sold at a discount**; the **difference between the discounted value and the maturity or face value represents the interest earned**. (x) **Option bonds** — **cumulative and non-cumulative bonds where interest is payable on maturity or periodically**, with a **redemption premium** offered to attract investors. (xi) **Inflation bonds** — bonds in which the **interest rate is adjusted for inflation**, so the investor gets interest free from the effects of inflation (the study material's illustration: at 11 per cent interest and 5 per cent inflation the investor earns 16 per cent). (xii) **Floating rate bonds** — the **interest rate is not fixed and floats with market conditions**; an ideal instrument for the issuer to **hedge against volatility in interest rates**, popular as a money market instrument and issued by institutions such as IDBI and ICICI.

(xiii) **High yield bonds (or junk bonds)**. **A junk bond is a bond that is **rated below investment grade by credit rating agencies****. It has a ****low credit rating and a high risk of default****.

Because of the higher risk, ****investors are compensated with higher interest rates, which is why junk bonds are also called high-yield bonds****.

e.g. A technically qualified engineer with a viable project but no capital gets IDBI seed capital assistance — interest free, with a 1% service charge for five years and a moratorium of up to five years.

KEY FRAMEWORK / FORMULA · Seed capital assistance (SM §8)

Requirement: IDBI scheme; interest free with a 1% per annum service charge for the first five years, increasing thereafter; IDBI may charge interest if profitability permits; repayment fixed to repaying capacity with a moratorium of up to five years.

Exam angle: Asked verbatim in January 2026 for 4 marks.

KEY FRAMEWORK / FORMULA · Junk bonds (SM §8)

Requirement: Rated below investment grade; low credit rating and high risk of default; higher interest compensates the risk, hence 'high yield'.

Exam angle: A 2-mark part in May 2026.

ICAI KEYWORDS

seed capital assistance · IDBI · interest free · service charge of one per cent · moratorium · internal cash accruals · unsecured loans · promoters' contribution · part of the equity · deferred payment guarantee · bank guarantee · capital incentives · degree of backwardness · deep discount bonds · secured premium notes · detachable warrant · zero coupon bonds · option bonds · inflation bonds · floating rate bonds · junk bond · below investment grade · high-yield bonds

MEMORY TRICK

Zero-interest family: **deep discount, zero coupon, zero interest fully convertible** — all pay nothing along the way; the return is built into the price or the shares.

Cue	Stands for
Seed capital	IDBI · interest free · 1% service charge for 5 years · moratorium up to 5 years

Unsecured loans	Promoters' contribution · subordinate · counted as equity for debt-equity
Deferred payment guarantee	Machinery paid over time · bank guarantee · no moratorium
Secured premium note	Detachable warrant · redeemable in 4 to 7 years
Junk bond	Below investment grade · high default risk · high yield

⚡ 3-second trigger: Seed = IDBI, free of interest, not of charge

❏ COMMON MISTAKE / CONFUSION

- Calling seed capital assistance completely free; it carries a 1% service charge and IDBI may charge interest if profitability permits.
- Treating promoters' unsecured loans as debt in the debt-equity ratio; the study material counts them as part of equity.
- Saying junk bonds are unrated; they are rated, but below investment grade.

🔗 INTEGRATION LINK

🔗 FM Ch 2 §4: venture capital, the other start-up source

🔗 INTEGRATION LINK

🔗 FM Ch 4 §5: cost of zero coupon and deep discount bonds

🔗 INTEGRATION LINK

🔗 FM Ch 5: the debt-equity ratio

⊛ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Key features of seed capital assistance (4 marks)
- What are junk bonds and why are they called high yield bonds? (2 marks)

- Short notes on deep discount bonds, secured premium notes, inflation bonds

How to attack it:

- For seed capital give the eligibility, the charge, IDBI's option and the repayment moratorium
- For junk bonds two lines are enough: below investment grade, and higher interest compensates the risk

 What ICAI has done so far: PYQ Jan 2026 · Q4(a); PYQ May 2026 · Q4(c) (OR).

 Time / length guide (study guidance): 4 marks ≈ 7 minutes; 2 marks ≈ 3 minutes (study guidance).

 **WRITE THIS IN THE EXAM**

Structure:

- Who it is for
- What it costs
- How it is repaid

 Keywords: professionally or technically qualified entrepreneurs · service charge of one per cent · moratorium up-to five years

 Ideal length: 4 marks: four short paragraphs

 Conclusion pattern: These sources exist to fill gaps the mainstream market will not fund.

 **DON'T WRITE THIS**

- Adding IDBI scheme limits or amounts that the study material does not state

 Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · PYQ Jan 2026 · Q4(a) · 4 marks

Discuss briefly the key features of seed capital assistance as a source of finance.

 **MODEL ANSWER**

- The Seed Capital Assistance scheme is designed by IDBI for professionally or technically qualified entrepreneurs and/or persons possessing relevant experience, skills and entrepreneurial traits but who lack adequate financial resources.

- All the projects eligible for financial assistance from IDBI, directly or indirectly through refinance, are eligible under the scheme.
- The Seed Capital Assistance is interest free but carries a service charge of one per cent per annum for the first five years and at an increasing rate thereafter.
- However, IDBI will have the option to charge interest at such rate as may be determined by IDBI on the loan if the financial position and profitability of the company so permits during the currency of the loan.
- The repayment schedule is fixed depending upon the repaying capacity of the unit, with an initial moratorium of up to five years.

Conclusion: Five short points, one mark each for any four.

Keywords: IDBI · interest free · service charge of one per cent · moratorium up-to five years

What ICAI examiners said: No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · PYQ May 2026 · Q4(c) (OR) · 2 marks

What are junk bonds and why are they called 'high yield bonds'?

✓ MODEL ANSWER

- A junk bond is a bond that is rated below investment grade by credit rating agencies.
- It has a low credit rating and a high risk of default.
- Because of the higher risk, investors are compensated with higher interest rates, which is why junk bonds are also called high-yield bonds.

Conclusion: Three lines carry the full 2 marks.

Keywords: below investment grade · high risk of default · compensated with higher interest rates

🧠 EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain the following: (i) deep discount bonds, (ii) secured premium notes, (iii) zero interest fully convertible debentures, (iv) inflation bonds.

✓ MODEL ANSWER

- **Deep discount bonds:** a form of zero-interest bonds sold at a discounted value, on maturity of which the face value is paid to the investors; there is no interest payout during the lock-in period.

- **Secured premium notes:** issued along with a detachable warrant and redeemable after a notified period of, say, four to seven years; the conversion of the detachable warrant into equity shares has to be done within the time period notified by the company.
- **Zero interest fully convertible debentures:** fully convertible debentures which do not carry any interest; they are compulsorily and automatically converted after a specified period and the holders are entitled to new equity shares at a predetermined price. The company benefits because no interest is paid, and if the market price of the share is very high, investors tend to get shares at a lower rate.
- **Inflation bonds:** bonds in which the interest rate is adjusted for inflation, so the investor gets interest free from the effects of inflation — if the interest rate is 11 per cent and inflation is 5 per cent, the investor will earn 16 per cent and is protected against inflation.

 **Keywords:** zero-interest · detachable warrant · predetermined price · adjusted for inflation

☒ MCQ · Practice MCQ · Feature · Easy

Seed capital assistance under the IDBI scheme is:

- (A) Interest free, but carries a service charge of one per cent per annum for the first five years
- (B) Free of both interest and any charge
- (C) Charged at the same rate as an institutional term loan
- (D) Repayable in full within one year of disbursement

 **ANSWER: (A)**

SM §8: the assistance is interest free but carries a service charge of one per cent per annum for the first five years and at an increasing rate thereafter.

- (B) X There is a service charge, and IDBI may charge interest if profitability permits.
- (C) X It is interest free in the normal course.
- (D) X Repayment is fixed to repaying capacity with a moratorium of up to five years.

 **Trap:** 'Interest free' is not the same as 'cost free'.

Topic: FM Ch 2 §8

☒ MCQ · Practice MCQ · Treatment · Moderate

Unsecured loans provided by promoters to meet the promoters' contribution norm are:

- (A) Repayable at the promoters' discretion at any time
- (B) Charged interest at a rate higher than that on institutional loans
- (C) Considered as part of the equity for the purpose of calculating the debt-equity ratio
- (D) Paid interest before the institutional dues are met

✓ ANSWER: (C)

SM §8: unsecured loans are subordinate to institutional loans and are considered as part of the equity for the purpose of calculating the debt-equity ratio.

- (A) X They cannot be repaid without the prior approval of financial institutions.
- (B) X The rate should be less than or equal to the rate on institutional loans.
- (D) X Interest can be paid only after payment of institutional dues.

🚫 **Trap:** The word 'loan' suggests debt treatment; the study material treats it as equity for the ratio.

Topic: FM Ch 2 §8

☐ QUICKRECAP

- Seed capital: IDBI, interest free with a 1% service charge, moratorium up to five years.
- Promoters' unsecured loans count as equity for the debt-equity ratio and rank behind institutional dues.
- Zero-interest family: deep discount, zero coupon, zero interest fully convertible debentures.
- Junk bonds: rated below investment grade, high default risk, hence high yield.

9-10. International Financing and Contemporary Sources of Funding

🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (Jan 2025 Q4(a), May 2024 Q4(c) OR) · RTP 1 (Jan 2026) · MTP 3 (Sep 2024 S1, Mar 2024 S2, Sep 2025 S2)

▣ UNDERSTAND IT

Sources of external financing (§9). (i) **Commercial banks** — extend Foreign Currency (FC) loans for international operations and also allow overdrawing over and above the loan amount. (ii) **Development banks** — offer long and medium term loans including FC loans; many national agencies offer concessions to foreign companies to invest and to finance exports, e.g. EXIM Bank of USA. (iii) **Discounting of trade bills** — a short-term financing

method, used widely in Europe and Asian countries for both domestic and international business. (iv) **International agencies** — IFC, IBRD, ADB, IMF and others. (v) **International capital markets** — foreign currency is available under four main systems: **Euro-currency market**, **export credit facilities**, **bond issues** and **financial institutions**. The **Euro-currency market** originated with **dollar-denominated bank deposits and loans in Europe**, particularly in London; **Euro-dollar deposits** are **dollar-denominated time deposits at foreign branches of US banks and some foreign banks**, and funds are made available as loans through **syndicated Euro-credit instruments** such as **FRNs and FR certificates of deposit**.

(vi) **Financial instruments of the international market. External Commercial Borrowings (ECB)**

— **commercial loans (bank loans, buyers' credit, suppliers' credit, securitised instruments such as floating rate notes and fixed rate bonds) **availed from non-resident lenders with a**

minimum average maturity of 3 years**. Recognised sources: international banks, international capital markets, multilateral financial institutions such as IFC and ADB, export credit agencies, suppliers of equipment, foreign collaborators and foreign equity holders. ECBs are accessed under **two routes** — **the Automatic route (no RBI or Government approval needed)** and **the Approval route**. Companies registered under the Companies Act and NGOs engaged in micro-finance are eligible for the **Automatic route**; financial institutions and banks dealing exclusively in infrastructure or export finance, and those which participated in the textile and steel sector restructuring packages approved by the government, must take the **Approval route**.

Euro bonds — debt instruments **not denominated in the currency of the country in which they are issued**, e.g. a **yen note floated in Germany**; generally issued in **bearer form** rather than as registered bonds, so they do not contain the investor's name or country of origin, making them attractive to investors seeking privacy. **Foreign bonds** — debt instruments

issued by **foreign corporations or foreign governments**, exposed to **default risk**, denominated in the currency of the country where they are issued; if issued in a currency other than the investor's home currency they are exposed to **exchange rate risks** (example: a British firm placing dollar-denominated bonds in the USA). **Fully hedged bonds** — **eliminate the currency risk by selling in forward markets the entire stream of principal and interest payments**.

Medium Term Notes (MTN) — for issuers needing frequent financing, where frequent separate issues would be costly; under the MTN programme **several lots of bonds can be issued with different features (different coupon rates, different currencies)**, the **timing of each lot decided in the light of market opportunities**, with the **entire documentation and regulatory approvals**

taken at one point of time. **Floating Rate Notes (FRN)** — issued up to seven years maturity, with interest rates adjusted to reflect prevailing exchange rates; they provide cheaper money than foreign loans. **Euro Commercial Papers (ECP)** — short-term money market instruments with a maturity of less than one year, usually designated in US dollars.

Foreign currency option — the right (and not the obligation) to buy or sell foreign currency at a certain specified price on or before a specified date; a hedge against financial and economic risks. **Foreign currency futures** — obligations (and not the right) to buy or sell a specified foreign currency in the present for settlement at a future date. **Foreign Euro bonds** — in domestic capital markets the bond issues are known by different names: **Yankee Bonds** in the US, **Swiss Francs** in Switzerland, **Samurai Bonds** in Tokyo and **Bulldogs** in the UK. **Euro convertible bonds** — give the holder an option to convert into a pre-determined number of equity shares, usually at a premium; they carry a fixed rate of interest and may include a **call option** (issuer may buy the bonds for redemption before maturity) or a **put option** (holder may sell the bonds back at a pre-determined date and price). **Euro convertible zero bonds** — structured as convertible bonds with **no interest payable**, conversion taking place on maturity at a pre-determined price, usually a five-year maturity, treated as a deferred equity issue. **Euro bonds with equity warrants** — carry a coupon rate determined by market rates, the warrants are detachable and pure bonds are traded at a discount.

ESG bonds. These bonds ****carry a responsibility of the issuer company to prioritise optimal environmental, social and governance factors****; investing in them is considered ****socially responsible investing****. **ESG bonds can be **project-based — green bonds and social bonds — and target-based — sustainability-linked bonds (SLBs)****. **Green bonds** are the most popular ESG bonds, issued by a financial, non-financial or public institution, where the **proceeds are used to finance 'green projects'** aimed at positive environmental or climate impact including the cultivation of eco-friendly technology; **India is the second-largest green bond market**, and **Ghaziabad Municipal Corporation became the first Municipal Corporation to raise ₹150 crore from a green bond in 2021**. **Social bonds** finance socially impactful projects related to concerns such as human rights, equality and animal welfare — 'vaccine bonds' are social bonds. **Sustainability-linked bonds** are a combination of green and social bonds; their proceeds are not meant for a specific project but for general corporate purposes to achieve Key Performance Indicators; **UltraTech Cement raised US\$400 million through India's first sustainability-linked bonds in 2021**, aiming to cut carbon emissions over the bond's ten-year life.

Euro issues by Indian companies. Indian companies may raise foreign currency resources by issuing ordinary equity shares through GDRs or ADRs and/or Foreign Currency Convertible Bonds (FCCB) to foreign investors including NRIs residing abroad; such investment is treated as Foreign Direct Investment, governed by the Foreign Currency Convertible Bonds and Ordinary Shares (through depository receipt mechanism) Scheme, 1993 and later notifications. ADRs are securities offered by non-US companies wanting to list on a US exchange, each ADR representing a certain number of the company's regular shares, letting US investors buy shares without the costs of investing directly on a foreign exchange. Indian companies have preferred GDRs to ADRs because the US market imposes higher responsibility in disclosure, costs, liabilities and timing, the most onerous aspect being full, half-yearly and quarterly accounts in accordance with, or reconciled with, US GAAP. GDRs are negotiable certificates held in the bank of one country representing a specific number of shares of a stock traded on the exchange of another country, used to raise capital in dollars or euros, mainly traded in European countries and particularly in London. Infosys Technologies was the first Indian company listed on Nasdaq in 1999; Reliance Industries Limited was the first Indian firm to issue a sponsored GDR or ADR. ****Indian Depository Receipts (IDRs)** apply the depository receipt mechanism in the Indian capital market: **foreign companies can issue IDRs to raise funds from the Indian capital market on the same lines as an Indian company uses ADRs/GDRs to raise foreign capital**, and IDRs are **listed and traded in India in the same way as other Indian securities**.**

Contemporary sources of funding (\$10). ****Crowd funding** means **raising money for an individual or organisation from a group of people to fund a project, typically via the internet** (social media and crowdfunding websites).** It generally involves collecting funds from family, friends, strangers, corporates and many more, in exchange for equity (equity funding), loans (P2P lending) or nothing at all (donation). It also helps a start-up to substantiate demand for its product before entering into production. Three parties are involved: the fund raiser, the mediator and the fund investor; the platforms (mediator) may charge a processing fee, transaction fee etc., as a fixed amount, a percentage or a combination.

Equity funding — equity crowdfunding is a mechanism where the investor invests money in an organisation and receives securities of that organisation in return, each investor being entitled to a stake depending on the investment; the digital nature targets a large number of investors with small contributions and it is mostly adopted by start-ups. Peer-to-Peer (P2P)

lending — ****that category of crowdfunding where lenders match with borrowers to provide unsecured loans through an online platform****; the funds raised are **paid back with interest**, though this lending involves a **risk of default** just as banks bear in conventional lending; investors can visit P2P platforms and choose amongst borrowers considering risk and returns. **Start-up funding** — a start-up finds it difficult to manage bank loans, leaving crowdfunding as one of its sources; it may take the form of equity funding, P2P lending or both. **Donation-based crowdfunding** — a large group of people **donate money as charity for a cause with no expectation of any ownership or debt**.

So crowd funding is the broader concept and P2P lending is basically a part of crowd funding.

e.g. UltraTech's US\$400 million sustainability-linked bond is target-based: the money is for general corporate purposes, but the company must hit its carbon KPIs over the bond's ten-year life.

KEY FRAMEWORK / FORMULA · External Commercial Borrowings (SM §9)

Requirement: Commercial loans from non-resident lenders with a minimum average maturity of 3 years; Automatic route (no approval) and Approval route.

Exam angle: The 3-year minimum average maturity and the two routes are the MCQ and short-note points.

KEY FRAMEWORK / FORMULA · ESG bonds (SM §9)

Requirement: Project-based: green bonds and social bonds. Target-based: sustainability-linked bonds, whose proceeds fund general corporate purposes tied to KPIs.

Exam angle: Asked as a full 4-mark part in January 2025.

ICAI KEYWORDS

Foreign Currency loans · Euro-currency market · Euro-dollar deposits · External Commercial Borrowings · minimum average maturity of 3 years · Automatic route · Approval route · Euro bonds · bearer form · foreign bonds · fully hedged bonds · Medium Term Notes · Floating Rate Notes · Euro Commercial Papers · foreign currency option · foreign currency futures · Yankee · Samurai · Bulldogs · Euro convertible bonds · deferred equity issue · ESG bonds · green bonds ·

social bonds · sustainability-linked bonds · ADRs · GDRs · IDRs · US GAAP · crowd funding · equity funding · P2P lending · donation-based crowdfunding

■ MEMORY TRICK

Bond nicknames by country: Yankee (US) · Samurai (Tokyo) · Bulldog (UK) · Swiss Francs (Switzerland). Depository receipts by direction: ADR and GDR take Indian shares abroad; IDR brings foreign shares to India.

Cue	Stands for
ESG	Project-based: green + social · Target-based: sustainability-linked (KPIs)
ECB	Non-resident lenders · minimum average maturity 3 years · Automatic or Approval route
FC option vs futures	Option = right, not obligation · Futures = obligation, not right
ADR / GDR	Indian company raising abroad; GDR preferred, ADR needs US GAAP reconciliation
IDR	Foreign company raising in India, listed and traded here
Crowd funding	Equity funding · P2P lending · donation; three parties: raiser, mediator, investor

⚡ 3-second trigger: ADR out, IDR in

■ COMMON MISTAKE / CONFUSION

- Saying the 'euro' in euro bond refers to the euro currency; a euro bond is simply denominated in a currency other than that of the country of issue.
- Swapping option and futures: the option is a right, the future is an obligation.
- Saying SLB proceeds must fund a specific green project; they fund general corporate purposes tied to KPIs.
- Treating P2P lending as separate from crowd funding; it is a category of crowd funding.

Basis	ADRs	GDRs	IDRs
Who issues	Non-US companies wanting to list on a US exchange	Companies raising capital outside their home country	Foreign companies raising funds in India

Where traded	US exchanges	Mainly European countries, particularly London	Listed and traded in India like other Indian securities
Currency raised	US dollars	Dollars or euros	Indian rupees
Note	Onerous: full, half-yearly and quarterly accounts reconciled with US GAAP	Preferred by Indian companies over ADRs	Mirror image of ADRs/GDRs for foreign issuers

🔗 INTEGRATION LINK

🔗 FM Ch 2 §3.5: masala bonds and other Indian bond varieties

🔗 INTEGRATION LINK

🔗 FM Ch 4: cost of foreign currency borrowings

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Explain ESG-linked bonds (4 marks)
- Explain given international instruments — fully hedged bonds, MTN, FRN, ECP (4 marks)
- Concept of Indian Depository Receipts (2 marks)
- Features of bulldog bonds
- Distinguish crowd funding and P2P lending (4 marks)
- Features of crowd funding (2 marks)

How to attack it:

- Name each instrument in bold and give the SM's two defining lines
- For ESG, always show the project-based versus target-based split

📖 What ICAI has done so far: PYQ Jan 2025 · Q4(a); MTP Sep 2024 Series I · FM Q4(b); MTP May 2024 Series II · FM Q4(c) (OR); RTP Jan 2026 · FM Q11(a); PYQ May 2024 · Q4(c) (OR); MTP Sep 2025 Series II · FM Q4(b).

🕒 Time / length guide (study guidance): 4 marks ≈ 7 minutes; 2 marks ≈ 3 minutes (study guidance).

 WRITE THIS IN THE EXAM

Structure:

- Name the instrument in bold
- Its defining feature
- Who uses it and why
- An example only if the study material gives one

 **Keywords:** socially responsible investing · project-based · target-based · negotiable certificates · unsecured loans through online platform

 **Ideal length:** 4 marks: four instruments of three lines each

 **Conclusion pattern:** International and contemporary sources widen the pool of investors beyond the domestic market.

 DON'T WRITE THIS

- Quoting FEMA limits or RBI caps that the study material does not state

 Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · PYQ Jan 2025 · Q4(a) · 4 marks

Explain Environmental, Social and Governance linked bonds.

 MODEL ANSWER

- **ESG bonds** carry a responsibility of the issuer company to prioritise optimal environmental, social and governance factors. Investing in ESG bonds is considered socially responsible investing.
- ESG bonds can be **project-based** — green bonds and social bonds — and **target-based** — sustainability-linked bonds (SLBs).
- **Green bonds:** the most popular ESG bonds, issued by a financial, non-financial or public institution, where the bond proceeds are used to finance 'green projects'. Green projects are aimed at positive environmental and/or climate impact including the cultivation of eco-friendly technology.
- **Social bonds:** these bonds finance socially impactful projects; the projects are related to social concerns such as human rights, equality and animal welfare.

- **Sustainability-linked bonds (SLBs):** a combination of green bonds and social bonds. Proceeds of SLBs are not meant for a specific project but for general corporate purposes to achieve Key Performance Indicators.

Conclusion: The project-based versus target-based split is the backbone of this answer.

Keywords: socially responsible investing · project-based · target-based · Key Performance Indicator

What ICAI examiners said: No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · MTP Sep 2024 Series I · FM Q4(b) · 4 marks

Explain the following international financial instruments: (i) fully hedged bonds, (ii) medium term notes, (iii) floating rate notes, (iv) Euro commercial papers.

✓ MODEL ANSWER

- **Fully hedged bonds:** in foreign bonds the risk of currency fluctuations exists; fully hedged bonds eliminate the risk by selling in forward markets the entire stream of principal and interest payments.
- **Medium Term Notes (MTN):** certain issuers need frequent financing through the bond route, including the Euro bond, but frequent issues may be costly and ineffective. Instead, investors can follow the MTN programme, under which several lots of bonds can be issued, all having different features, e.g. different coupon rates and different currencies. The timing of each lot can be decided keeping in mind future market opportunities, and the entire documentation and regulatory approvals can be taken at one point of time.
- **Floating Rate Notes (FRN):** these are issued up to seven years maturity; interest rates are adjusted to reflect the prevailing exchange rates, and they provide cheaper money than foreign loans.
- **Euro Commercial Papers (ECP):** ECPs are short-term money market instruments with a maturity period of less than one year, usually designated in US dollars.

Conclusion: One mark per instrument; the numbers (seven years, less than one year) matter.

Keywords: forward markets · MTN programme · seven years maturity · less than one year

■ OFFICIAL ICAI QUESTION · MTP May 2024 Series II · FM Q4(c) (OR) · 2 marks

Explain the concept of Indian Depository Receipts.

✓ MODEL ANSWER

- The concept of the depository receipt mechanism, which is used to raise funds in foreign currency, has been applied in the Indian capital market through the issue of Indian Depository Receipts (IDRs).
- Foreign companies can issue IDRs to raise funds from the Indian market on the same lines as an Indian company uses ADRs or GDRs to raise foreign capital.
- The IDRs are listed and traded in India in the same way as other Indian securities are traded.

Conclusion: Three lines; the mirror-image point is the mark.

Keywords: depository receipt mechanism · listed and traded in India

■ OFFICIAL ICAI QUESTION · RTP Jan 2026 · FM Q11(a)

State the features of a bulldog bond.

✓ MODEL ANSWER

- It is denominated in Pound Sterling / Great Britain Pound (GBP).
- It is issued in London.
- The issuer is a non-UK company.
- It is governed by the regulations of Great Britain.
- Its purpose is to access the capital available in the UK market.
- The issue proceeds can be used to fund UK operations.
- The issue proceeds can also be used to fund a company's local opportunities.

Conclusion: The study material lists bulldogs among the domestic names for foreign euro bonds: Yankee (US), Swiss Francs (Switzerland), Samurai (Tokyo), Bulldogs (UK).

Keywords: Pound Sterling · issued in London · non-UK company

■ OFFICIAL ICAI QUESTION · PYQ May 2024 · Q4(c) (OR) · 2 marks

Explain the features of crowd funding.

✓ MODEL ANSWER

- Crowdfunding means raising money for an individual or organisation from a group of people to fund a project, typically via the internet (social media and crowdfunding websites).

- It generally involves collecting funds from family, friends, strangers, corporates and many more, in exchange for equity (known as equity funding), loans (known as P2P lending) or nothing at all (i.e. donation).
- This source of funding also helps a start-up to substantiate demand for its product before entering into production.
- In the crowdfunding process, three parties are involved: the fund raiser, the mediator and the fund investor. The platforms (mediator) may charge certain fees in the form of a processing fee, transaction fee etc., either as a fixed amount, a percentage, or a combination of both.

Conclusion: Four points; the three-party structure is the distinguishing detail.

 **Keywords:** via internet · equity funding · P2P lending · fund raiser, mediator and fund investor

 **OFFICIAL ICAI QUESTION** · MTP Sep 2025 Series II · FM Q4(b) · 4 marks

Distinguish between crowd funding and Peer-to-Peer (P2P) lending.

 **MODEL ANSWER**

- **Crowd funding:** raising money for an individual or organisation from a group of people to fund a project, typically via the internet. It generally involves collecting funds from family, friends, strangers, corporates and many more, in exchange for equity (equity funding), loans (P2P lending) or nothing at all (donation). It also helps a start-up substantiate demand for its product before entering into production.
- **Peer-to-Peer (P2P) lending:** that category of crowdfunding where lenders match with borrowers in order to provide unsecured loans through an online platform.
- The funds raised are paid back by the borrowers with interest, though this kind of lending involves a certain risk of default, just as banks bear in the case of the conventional method of lending.
- Anyone interested in investing money under P2P lending can visit the P2P lending platforms and choose amongst borrowers considering risk and returns.
- Hence crowd funding is a broader concept and P2P lending is basically a part of crowd funding.

Conclusion: The closing line — P2P is a part of crowd funding, not an alternative — is the marker of a complete answer.

 **Keywords:** broader concept · unsecured loans through online platform · risk of defaults

 EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain External Commercial Borrowings, stating the recognised sources and the two routes under which they can be accessed.

✓ **MODEL ANSWER**

- ECBs refer to commercial loans — in the form of bank loans, buyers' credit, suppliers' credit and securitised instruments such as floating rate notes and fixed rate bonds — availed from non-resident lenders with a minimum average maturity of 3 years.
- Borrowers can raise ECBs through internationally recognised sources: international banks, international capital markets, multilateral financial institutions such as IFC and ADB, export credit agencies, suppliers of equipment, foreign collaborators and foreign equity holders.
- ECBs can be accessed under two routes: the Automatic route and the Approval route. Under the Automatic route there is no need to take RBI or Government approval, whereas such approval is necessary under the Approval route.
- Companies registered under the Companies Act and NGOs engaged in micro-finance activities are eligible for the Automatic route; financial institutions and banks dealing exclusively in infrastructure or export finance, and those which participated in the textile and steel sector restructuring packages approved by the government, are required to take the Approval route.

 **Keywords:** non-resident lenders · minimum average maturity of 3 years · Automatic route · Approval route

 EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain equity funding, start-up funding and donation-based crowdfunding as contemporary sources of funding.

✓ **MODEL ANSWER**

- **Equity funding:** equity crowdfunding is a mechanism where an investor invests money in an organisation and receives securities of that organisation in return. Every investor is entitled to a stake in the organisation depending on the investment. The digital nature of crowdfunding targets a large number of investors with small contributions, and this type of funding is mostly adopted by start-ups.

- **Start-up funding:** a start-up company, being newly formed, needs funds before starting any project, but as a start-up it is difficult to manage loans from banks, leaving crowdfunding as one of the sources of finance. Through crowdfunding a start-up can raise money from a large group of people, in the form of equity funding, P2P lending or both.
- **Donation-based crowdfunding:** a source of finance where a large group of people donate money as charity for some cause with no expectation of any ownership or debt.
- In all three, the three parties of the crowdfunding process — the fund raiser, the mediator (platform) and the fund investor — remain the same, and the platform may charge a processing or transaction fee.

 **Keywords:** equity crowdfunding · small contributions · no expectation of any ownership or debt

☒ MCQ · Practice MCQ · Identify · Moderate

A foreign company raising rupee funds from the Indian capital market through instruments listed and traded in India issues:

- (A) American Depository Receipts
- (B) Indian Depository Receipts
- (C) Global Depository Receipts
- (D) Foreign Currency Convertible Bonds

✓ **ANSWER: (B)**

SM §9: foreign companies can issue IDRs to raise funds from the Indian capital market on the same lines as an Indian company uses ADRs/GDRs; IDRs are listed and traded in India like other Indian securities.

- (A) X Offered by non-US companies listing on a US exchange.
- (C) X Negotiable certificates used to raise capital in dollars or euros, mainly traded in Europe.
- (D) X Issued by Indian companies to foreign investors, convertible into equity.

 **Trap:** ADR and GDR take Indian shares abroad; only the IDR brings a foreign issuer to India.

Topic: FM Ch 2 §9

☑ MCQ · Practice MCQ · Relationship · Easy

As per the study material, Peer-to-Peer (P2P) lending is:

- (A) A secured lending product offered only by banks
- (B) An alternative to crowd funding with no connection to it
- (C) A form of donation with no repayment
- (D) A category of crowdfunding where lenders match with borrowers to provide unsecured loans through an online platform

✓ ANSWER: (D)

SM §10: P2P lending is that category of crowdfunding where lenders match with the borrowers in order to provide unsecured loans through an online platform; the funds are paid back with interest.

- (A) X The loans are unsecured and the platforms are not banks.
- (B) X P2P lending is a part of crowd funding, not an alternative.
- (C) X Donation-based crowdfunding carries no repayment; P2P loans are repaid with interest.

🚫 **Trap:** The exam tests the hierarchy: crowd funding is the broader concept.

Topic: FM Ch 2 §10

☐ QUICK RECAP

- External sources: commercial banks, development banks, discounting of trade bills, international agencies, international capital markets, financial instruments.
- ECB: non-resident lenders, minimum average maturity 3 years, Automatic or Approval route.
- ESG bonds: project-based (green, social) and target-based (sustainability-linked).
- ADR/GDR raise money abroad for Indian companies; IDR brings foreign issuers to India.
- Crowd funding is the umbrella; equity funding, P2P lending and donation sit under it.

Most Confusing Concepts

The eight pairs students mix up in this chapter

Looks similar	The real difference	Give-away word
Equity shares vs preference shares	Equity: fluctuating dividend, full voting rights, paid last, costliest. Preference: fixed dividend, very limited voting rights, priority over equity, hybrid	'Priority' and 'fixed rate' point to preference
Preference shares vs debentures	Preference dividend is an appropriation and not tax-deductible. Debenture interest is a charge and is tax-deductible, so debt is cheaper	'Tax shield' means debenture
Callable bond vs puttable bond	Callable: the issuer may redeem early at the call price. Puttable: the investor may sell the bond back before maturity	Company calls, public puts
Drop lock bond vs convertible floating rate note	Drop lock: converts automatically from floating to fixed when the rate falls below a predetermined level. Convertible FRN: the holder chooses to convert into a longer-term debt security	'Automatically' means drop lock
Operating lease vs financial lease	Operating: short, cancellable, lessor bears maintenance and obsolescence, non-payout. Financial: long, non-cancellable, lessee bears them, full payout	'Non-cancellable' and 'full payout' mean financial
Close-ended lease vs open-ended lease	Close-ended: the asset goes back to the lessor, who keeps the obsolescence and residual value risk. Open-ended: the lessee may purchase the asset at the end	'Option of purchasing' means open-ended

Looks similar	The real difference	Give-away word
Pre-shipment vs post-shipment finance	Pre-shipment is packing credit for buying, manufacturing, processing, packing and shipping. Post-shipment bridges the gap until the proceeds arrive	'Goods already shipped' means post-shipment
Crowd funding vs P2P lending	Crowd funding is the broader concept; P2P lending is the category where lenders match with borrowers for unsecured loans through an online platform	P2P is a part, not an alternative

CASE SCENARIO · Spot it in a case

Two questions settle almost every pair here: who holds the option, and who bears the loss if things go wrong.

Numbers that decide marks

Item	The study material's figure	Where it is tested
Venture capital equity contribution	Does not exceed 49% of total equity capital	MCQ and the descriptive answer
Conditional loan royalty	2 to 15 per cent; alternative interest well above 20 per cent	Methods of venture capital financing
IDBI's VCF funding (income note)	80 – 87.50% of project cost	Methods of venture capital financing
Debenture denominations and maturity	₹100 to ₹1,000; normally 3 to 10 years	Features of debentures
Commercial paper	Denominations of ₹5 lakh or multiples	Short-term sources MCQ
Treasury bills	14 to 364 days	Short-term sources MCQ
Certificates of deposit	Not less than 7 days up to one year	Short-term sources MCQ

Item	The study material's figure	Where it is tested
Public deposits	Up to 35% of paid-up capital and reserves; six months to three years	Asked as a 1-mark MCQ in Mar 2024 Series I
Export credit	Liquidated within 180 days	Both pre- and post-shipment
Seed capital assistance	1% per annum service charge for the first five years; moratorium up to five years	Asked for 4 marks in Jan 2026
External Commercial Borrowings	Minimum average maturity of 3 years	Short note on ECB
Floating Rate Notes	Issued up to seven years maturity	International instruments
Secured premium notes	Redeemable after a notified period of say 4 to 7 years	Short note
Leveraged lease	Lessor borrows a part of the cost, say 80%, from the lender	2-mark question, Sep 2024

CASE SCENARIO · Spot it in a case

If a question gives you a period or a percentage, the examiner is checking whether you learnt the figure, not the story.

Integrated Case Scenarios

 **CASE SCENARIO** · Integrated Case 1 — Meghna Exports Ltd. raises money on every front. Meghna Exports Ltd. is setting up a new processing unit. A financial institution has sanctioned a ₹60 crore term loan, but disbursement will take four months. To avoid losing the building season, Meghna borrows ₹12 crore from its bank for that period, hypothecating movable assets and giving a demand promissory note; the rate is higher than the term-loan rate and the loan will be adjusted when the institution disburses.

For the equipment, Meghna does not buy outright. A leasing company purchases the machine, borrowing 80% of the cost from a bank, and leases it to Meghna. Meghna pays the rentals directly to that bank, and the surplus over the bank's dues goes to the leasing company, which claims the depreciation allowance.

Meghna has a confirmed export order backed by an irrevocable letter of credit. Its bank advances funds so that it can buy raw material, process, pack and ship the consignment; the advance must be squared off within 180 days by negotiating the export bills.

After shipment, the proceeds are still to be realised, so the bank discounts the usance export bills backed by bills of lading, and separately advances against duty drawback receivable on export performance — an advance of a clean nature.

To fund a green effluent-treatment plant, Meghna plans a bond whose proceeds are ring-fenced for that project, and its treasurer also suggests a bond whose proceeds would be free for general corporate purposes but tied to carbon-reduction targets.

Questions

Q1. The ₹12 crore bank borrowing taken because the sanctioned term loan is not yet disbursed is:

- (A) A cash credit facility
- (B) A clean overdraft
- (C) Bridge finance
- (D) An inter-corporate deposit

Q2. The equipment arrangement, in which a lender funds 80% of the cost and is repaid from the rentals directly by the user while the leasing company claims depreciation, is:

- (A) A sale and lease back
- (B) A sales-aid lease
- (C) An open-ended lease
- (D) A leveraged lease

Q3. The advance taken against the irrevocable letter of credit to buy, process, pack and ship the goods is:

- (A) Packing credit, a form of pre-shipment finance
- (B) Purchase of documentary export bills
- (C) A deferred payment guarantee
- (D) An advance against duty drawback

Q4. Discounting the usance export bills backed by bills of lading, and advancing against duty drawback receivable, are forms of:

- (A) Pre-shipment finance
- (B) Post-shipment finance
- (C) Debt securitisation
- (D) Inter-corporate deposits

Q5. The two bonds the treasurer is comparing are respectively:

- (A) A masala bond and a municipal bond
- (B) A drop lock bond and an option bond
- (C) A deep discount bond and a zero coupon bond
- (D) A project-based green bond and a target-based sustainability-linked bond

✓ ANSWERS

Q1: C

- SM §3.7: bridge finance refers to loans taken normally from commercial banks for a short period because of pending disbursement of loans sanctioned by financial institutions.
- The facts match every feature: hypothecation of movable assets, a demand promissory note, a higher rate, and adjustment out of the term loan on disbursement.

Q2: D

- SM §6.2: under a leveraged lease a third party is involved besides the lessor and lessee; the lessor borrows a part of the purchase cost (say 80%) from the lender, the asset is held as security, the lender is paid off from the lease rentals directly by the lessee, and the surplus goes to the lessor, who claims the depreciation allowance.
- Three parties plus depreciation with the lessor identify it precisely.

Q3: A

- SM §7: pre-shipment finance generally takes the form of packing credit — an advance for buying, manufacturing, processing, packing and shipping goods to overseas buyers, available against a firm export order or an irrevocable letter of credit.

- It must be liquidated within 180 days by negotiation of export bills or receipt of export proceeds.

Q4: B

- SM §7: post-shipment finance takes the forms of purchase or discounting of documentary export bills, ECQC guarantee, advance against export bills sent for collection, and advance against duty drawbacks and cash subsidy.
- The study material calls advances against duty drawback 'of a clean nature', so the bank must exercise necessary precautions.

Q5: D

- SM §9: ESG bonds can be project-based — green bonds and social bonds — and target-based — sustainability-linked bonds.
- Green bond proceeds finance 'green projects'; SLB proceeds are not meant for a specific project but for general corporate purposes to achieve Key Performance Indicators.

 Topics tested: FM Ch 2 §3.7 bridge finance, FM Ch 2 §6.2 leveraged lease, FM Ch 2 §7 pre- and post-shipment export finance, FM Ch 2 §9 ESG bonds

 **Trap:** Every part here can be answered by naming the source. The mark is lost by describing the source without naming it, or by putting packing credit after shipment.

 **CASE SCENARIO** · Integrated Case 2 — Sarvodaya Finance Ltd. and a start-up it backs
Sarvodaya Finance Ltd. has a large book of two-wheeler loans but no liquid secondary market for them. It sells the pool to a vehicle created for the purpose, which acts as a trustee for investors and issues coupon-bearing securities through merchant bankers to a pension fund. The arrangement is without recourse, and the borrowers keep paying their instalments as before.

Sarvodaya also runs a venture arm. It invests in Jalak Robotics, a start-up run by two technically qualified engineers, taking 42% of its equity and giving the founders help with sales strategy and business networking.

Part of the funding to Jalak is a loan on which no interest is charged, repayable as a royalty of 8% on sales once the venture generates revenue.

Jalak's founders also approach IDBI, which offers a facility that is interest free but carries a service charge of one per cent per annum for the first five years, with a repayment schedule fixed to the unit's repaying capacity and an initial moratorium.

To fund a product launch, Jalak raises small amounts from a large number of internet users, some in exchange for securities and some as loans matched on an online platform; a few contribute with no expectation of ownership or repayment at all.

Questions

Q1. The vehicle that holds Sarvodaya's loan pool and issues securities against it is:

- (A) A Special Purpose Vehicle acting as trustee for investors
- (B) A credit rating agency
- (C) A primary dealer appointed by the RBI
- (D) An Export Credit Guarantee Corporation

Q2. Because the securitisation is 'without recourse', the credit risk is borne by:

- (A) Sarvodaya Finance Ltd., the originator
- (B) The pension fund and other investors
- (C) The merchant bankers who sold the securities
- (D) The two-wheeler borrowers' guarantors

Q3. Sarvodaya's 42% equity stake in Jalak, coupled with help on sales strategy and networking, illustrates:

- (A) A takeover, since 42% confers control
- (B) Equity financing under venture capital, where the contribution does not exceed 49% so that control stays with the entrepreneur
- (C) A participating debenture
- (D) Seed capital assistance

Q4. The interest-free loan repayable as a royalty on sales is:

- (A) An income note
- (B) A zero coupon bond
- (C) A conditional loan
- (D) A deferred payment guarantee

Q5. The IDBI facility and the internet-based fund raising are respectively:

- (A) Capital incentives and equity funding
- (B) Internal cash accruals and donation-based crowdfunding
- (C) A deferred payment guarantee and start-up funding
- (D) Seed capital assistance, and crowd funding comprising equity funding, P2P lending and donation

✓ ANSWERS

Q1: A

- SM §5: in the pooling function, similar loans or receivables are clubbed to create an underlying pool of assets, and the pool is transferred in favour of the Special Purpose Vehicle, which acts as a trustee for investors.
- The SPV then structures and issues securities, generally sold to investors through merchant bankers.

Q2: B

- SM §5: the process is generally without recourse, i.e. investors bear the credit risk, and the issuer is under an obligation to pay investors only if the cash flows are received from the collateral.
- The benefit to the originator is that assets are shifted off the balance sheet, giving it off-balance-sheet funding.

Q3: B

- SM §4.3: the equity contribution of the venture capital firm does not exceed 49% of the total equity capital, so that effective control and ownership remains with the entrepreneur.
- SM §4.2: apart from providing funds, the investor also provides support in the form of sales strategy, business networking and management expertise.

Q4: C

- SM §4.3: a conditional loan is repayable in the form of a royalty after the venture is able to generate sales, and no interest is paid on such loans; in India venture capital financiers charge royalty ranging between 2 and 15 per cent.
- An income note would carry both interest and royalty, at substantially low rates.

Q5: D

- SM §8: seed capital assistance is designed by IDBI for professionally or technically qualified entrepreneurs who lack adequate financial resources; it is interest free but carries a service charge of one per cent per annum for the first five years, with repayment fixed to repaying capacity and an initial moratorium of up to five years.
- SM §10: crowdfunding collects funds in exchange for equity (equity funding), loans (P2P lending) or nothing at all (donation).

 Topics tested: FM Ch 2 §5 debt securitisation, FM Ch 2 §4–FM Ch 2 §4.3 venture capital financing, FM Ch 2 §8 seed capital assistance, FM Ch 2 §10 contemporary sources

 **Trap:** The 42% stake tempts students into 'control passes to the investor'. The study material's point is the opposite: the cap exists so that control stays with the entrepreneur.

Chapter Test — attempt before looking at the Answer Keys

✓ MCQ · Test MCQ 1

Funds required to finance permanent or hard-core working capital should, as per the study material, be procured from:

- (A) Long-term sources
- (B) Trade credit
- (C) Advances from customers
- (D) Accrued expenses

✓ MCQ · Test MCQ 2

Preference share capital is described as a hybrid form of financing because:

- (A) It carries voting rights like equity and security like debt
- (B) Its dividend is fixed like interest, but like equity dividend it is not a tax-deductible payment
- (C) It is redeemable like debentures and perpetual like equity at the same time
- (D) It can be issued only along with debentures

✓ MCQ · Test MCQ 3

A fully convertible debenture generally carries an interest rate that is:

- (A) Higher than on a non-convertible debenture, to compensate for conversion
- (B) Equal to the preference dividend rate
- (C) Lower than on a non-convertible debenture, because of the attraction of conversion into equity
- (D) Nil in all cases

✓ MCQ · Test MCQ 4

A rupee-denominated bond that Indian corporate borrowers sell to investors in overseas markets is called a:

- (A) Bulldog bond
- (B) Yankee bond
- (C) Samurai bond

(D) Masala bond

✓ MCQ · Test MCQ 5

Under a participating debenture used in venture capital financing, interest is:

- (A) Not charged in the start-up phase, charged at a low rate up to a particular level of operation, and at a high rate thereafter
- (B) Charged at a flat rate throughout
- (C) Replaced entirely by a royalty on sales
- (D) Payable only on maturity along with a redemption premium

✓ MCQ · Test MCQ 6

In the securitisation function, the securities issued by the SPV are generally sold to investors through:

- (A) Stock exchanges only
- (B) Merchant bankers
- (C) The original borrowers
- (D) Export Credit Guarantee Corporation

✓ MCQ · Test MCQ 7

Which statement correctly describes an operating lease?

- (A) It is non-cancellable and runs for the full economic life of the asset
- (B) The lessee bears the risk of obsolescence
- (C) It is usually full payout
- (D) The lease is kept cancellable by the lessor, who can lease the same asset to other willing lessees

✓ MCQ · Test MCQ 8

In a sales-aid lease, the lessor earns from:

- (A) The lessee alone
- (B) The manufacturer alone
- (C) Both the lessee and the manufacturer, who may grant credit or a commission

(D) A third-party lender who funds the purchase

✓ MCQ · Test MCQ 9

A company can accept public deposits up to a maximum of:

- (A) 35 per cent of its paid-up capital and reserves
- (B) 25 per cent of its turnover
- (C) 49 per cent of its equity capital
- (D) 80 per cent of its fixed assets

✓ MCQ · Test MCQ 10

Unsecured loans given by promoters to meet the promoters' contribution norm carry interest that:

- (A) Must exceed the rate on institutional loans
- (B) Is payable before institutional dues
- (C) Should be less than or equal to the rate of interest on institutional loans, and is payable only after institutional dues
- (D) Is fixed by the Reserve Bank of India

✓ MCQ · Test MCQ 11

External Commercial Borrowings are commercial loans availed from non-resident lenders with a minimum average maturity of:

- (A) 3 years
- (B) 6 months
- (C) 1 year
- (D) 7 years

✓ MCQ · Test MCQ 12

A foreign currency option, as distinguished from a foreign currency future, is:

- (A) An obligation to buy or sell a specified currency for settlement at a future date
- (B) The right, and not the obligation, to buy or sell foreign currency at a specified price on or before a specified date

- (C) A floating rate note issued up to seven years maturity
- (D) A short-term money market instrument denominated in US dollars

 **EXPECTED QUESTION** · Test question 1 · 4 marks

Explain any four types of lease other than the operating lease and the financial lease.

 **EXPECTED QUESTION** · Test question 2 · 4 marks

Explain the methods of venture capital financing.

 **EXPECTED QUESTION** · Test question 3 · 4 marks

What are the key features of bridge financing, and how does it differ from an ordinary bank overdraft?

 **EXPECTED QUESTION** · Test question 4 · 4 marks

Explain debt securitisation and state the benefit it gives to the originator.

 **EXPECTED QUESTION** · Test question 5 · 4 marks

An exporter has shipped goods but the proceeds are not yet realised. Identify the type of finance he should seek and explain any three of its forms.

 **EXPECTED QUESTION** · Test question 6 · 4 marks

Explain Environmental, Social and Governance linked bonds, and distinguish crowd funding from Peer-to-Peer lending.

Active-Recall Tests (answers in Answer Keys)

10 Quick Questions

1. Name the three classifications of financial sources.
2. Name the six types of preference shares.
3. Name the four methods of venture capital financing.
4. Name the three functions in the process of debt securitisation.
5. Name the four other types of lease.
6. Name the four forms of post-shipment finance.
7. Name the two routes for External Commercial Borrowings.
8. Name the two categories of ESG bonds.

Fill in the Blanks

1. The equity contribution of a venture capital firm does not exceed ____ per cent of the total equity capital.
2. Packing credit must be liquidated within ____ days from the date of its commencement.
3. Treasury bills are issued with maturities ranging between ____ and ____ days.
4. Public deposits may be accepted for a period of ____ months to ____ years.
5. Commercial papers are issued in denominations of ₹____ lakh or multiples thereof.
6. Seed capital assistance is interest free but carries a service charge of ____ per cent per annum for the first five years.
7. ECBs are availed from non-resident lenders with a minimum average maturity of ____ years.
8. In a leveraged lease the lessor borrows a part of the purchase cost, say ____ per cent, from the lender.

True / False

1. Preference dividend is a tax-deductible payment.
2. An operating lease is non-cancellable.
3. In a drop lock bond the conversion from floating to fixed happens automatically once the rate falls below a predetermined level.
4. The originator guarantees repayment to investors in a securitisation.
5. Masala bonds are denominated in foreign currency.
6. Public deposits should not be used for acquiring fixed assets.

7. A foreign currency future is a right and not an obligation.
8. P2P lending is a category of crowd funding.

One-Word Recall

1. The hybrid venture capital security that carries both interest and royalty at substantially low rates.
2. The bond whose yield increases when prevailing interest rates decline.
3. The bond issued by a developing country carrying higher yields than US corporate and Treasury bonds.
4. The lease in which the seller becomes the lessee and the buyer becomes the lessor.
5. The short-term unsecured money market instrument issued as a promissory note in ₹5 lakh denominations.
6. The IDBI facility for technically qualified entrepreneurs who lack adequate financial resources.
7. The name for a bond issued in London, in pound sterling, by a non-UK company.
8. The instrument by which a foreign company raises funds from the Indian capital market.

Match the Concept

Column A	Column B
1. Yankee bond	a. Issued in the United States
2. Samurai bond	b. Issued in Tokyo
3. Bulldog bond	c. Issued in the United Kingdom
4. Masala bond	d. Rupee-denominated bond sold overseas by Indian borrowers
5. Municipal bond	e. Issued to finance urban infrastructure

Differentiate

1. Callable bond vs puttable bond
2. Financial lease vs operating lease
3. Conditional loan vs income note
4. Pre-shipment vs post-shipment finance
5. ADR/GDR vs IDR
6. Equity funding vs donation-based crowdfunding

Complete the Flowchart

Borrower takes a loan (origination function) → Similar receivables pooled (pooling function) → [?] → SPV issues coupon-bearing securities through merchant bankers → [?]

Answer Keys

Chapter test — MCQ key

MCQ	Answer	Why
1	A	SM §1: long-term financial needs include funds for permanent or hard-core working capital.
2	B	SM §3.2: it resembles equity because preference dividend, like equity dividend, is not tax-deductible, and debt because the rate of dividend is fixed.
3	C	SM §3.4: interest rates on fully convertible debentures are generally lower than on non-convertible debentures because of the conversion attraction.
4	D	SM §3.5: masala bond is the Indian name for a rupee-denominated bond sold by Indian borrowers to investors in overseas markets.
5	A	SM §4.3: a participating debenture carries charges in three phases.
6	B	SM §5: the securities are generally sold to investors through merchant bankers; investors are pension funds, mutual funds and insurance funds.
7	D	SM §6.1: as the lessor has no difficulty in leasing the same asset to another willing lessee, the lease is kept cancellable by the lessor; it is usually non-payout.
8	C	SM §6.2: in consideration of the aid in sales the manufacturer may grant either credit or a commission, so the lessor earns from both sources.
9	A	SM §7: public deposits may be accepted subject to RBI stipulations up to a maximum of 35 per cent of paid-up capital and reserves, for six months to three years.
10	C	SM §8: the rate should be less than or equal to the institutional rate and interest can be paid only after payment of institutional dues.
11	A	SM §9: ECBs are availed from non-resident lenders with a minimum average maturity of 3 years, under the Automatic or Approval route.
12	B	SM §9: an FC option is a right and not an obligation; FC futures are obligations and not rights.

 **EXPECTED QUESTION** · Test question 1 — model answer · 4 marks

Explain any four types of lease other than the operating lease and the financial lease.

 **MODEL ANSWER**

- **Sale and lease back:** the owner sells the asset to a buyer who leases it back to him for lease rentals; the asset is not physically exchanged and it all happens in records only. The seller assumes the role of lessee and the buyer the role of lessor; the seller gets the agreed selling price and the buyer gets the lease rentals.
- **Leveraged lease:** a third party is involved besides the lessor and the lessee. The lessor borrows part of the purchase cost (say 80%) from the lender, the asset is held as security, the lender is paid from the lease rentals directly by the lessee, the surplus goes to the lessor, and the lessor claims depreciation allowance.
- **Sales-aid lease:** the lessor ties up with a manufacturer to market the latter's product through his own leasing operations; in consideration the manufacturer may grant credit or a commission, so the lessor earns from both the lessee and the manufacturer.
- **Close-ended and open-ended leases:** in a close-ended lease the assets get transferred to the lessor at the end and the risk of obsolescence and residual value remains with the lessor as legal owner; in an open-ended lease the lessee has the option of purchasing the asset at the end of the lease period.

🧠 EXPECTED QUESTION · Test question 2 — model answer · 4 marks

Explain the methods of venture capital financing.

✓ MODEL ANSWER

- **Equity financing:** venture capital finance is generally provided by way of equity share capital, because the undertaking needs funds for a longer period and may not be able to provide returns in the initial stages. The venture capital firm's equity contribution does not exceed 49% of total equity capital, so effective control and ownership remains with the entrepreneur.
- **Conditional loan:** repayable as a royalty after the venture generates sales, with no interest paid; in India the royalty ranges between 2 and 15 per cent, the rate depending on gestation period, cash flow patterns and risk. Some financiers offer the choice of a high rate of interest, well above 20 per cent, instead of royalty once the venture becomes commercially sound.
- **Income note:** a hybrid security combining conventional and conditional loan features; the entrepreneur pays both interest and royalty on sales but at substantially low rates. IDBI's VCF provides funding equal to 80–87.50% of project cost for commercial application of indigenous technology.

- **Participating debenture:** charges in three phases — no interest in the start-up phase, a low rate up to a particular level of operation, and a high rate thereafter.

 EXPECTED QUESTION · Test question 3 — model answer · 4 marks

What are the key features of bridge financing, and how does it differ from an ordinary bank overdraft?

 MODEL ANSWER

- Bridge finance refers to loans taken by a company normally from commercial banks for a short period because of pending disbursement of loans sanctioned by financial institutions.
- The bridge loans are repaid or adjusted out of the term loans as and when disbursed by the concerned institutions.
- They are normally secured by hypothecating movable assets, personal guarantees and demand promissory notes.
- Generally the rate of interest on bridge finance is higher as compared with that on term loans.
- An overdraft, by contrast, lets a customer withdraw in excess of the credit balance in the current account up to a fixed limit, is repayable on demand but generally continues by annual renewal, and carries interest on daily balances; it is not linked to any sanctioned term loan.

 EXPECTED QUESTION · Test question 4 — model answer · 4 marks

Explain debt securitisation and state the benefit it gives to the originator.

 MODEL ANSWER

- Securitisation is a process in which illiquid assets are pooled into marketable securities that can be sold to investors, creating instruments that represent ownership interest in, or are secured by, a segregated income-producing asset or pool of assets.
- **Origination function:** a borrower seeks a loan from a finance company or bank; creditworthiness is evaluated and a contract entered into with a repayment schedule over the life of the loan.
- **Pooling function:** similar loans or receivables are clubbed together into an underlying pool; the pool is transferred in favour of a Special Purpose Vehicle, which acts as a trustee for investors.

- **Securitisisation function:** the SPV structures and issues securities against the asset pool, carrying a coupon and expected maturity, asset-based or mortgage-based, generally sold through merchant bankers to pension funds, mutual funds and insurance funds.
- The process is generally without recourse, so investors bear the credit risk and the issuer pays only if the cash flows are received from the collateral. The benefit to the originator is that assets are shifted off the balance sheet, giving it recourse to off-balance-sheet funding, and it is a method of recycling funds to support further lending.

🧠 EXPECTED QUESTION · Test question 5 — model answer · 4 marks

An exporter has shipped goods but the proceeds are not yet realised. Identify the type of finance he should seek and explain any three of its forms.

✓ MODEL ANSWER

- The finance required is **post-shipment finance**, provided by commercial banks after shipment of goods.
- **Purchase or discounting of documentary export bills:** finance by purchasing export bills drawn payable at sight or discounting usance export bills covering confirmed sales, backed by documents of title such as a bill of lading, post parcel receipts or air consignment notes.
- **E.C.G.C. guarantee:** post-shipment finance through purchase, negotiation or discount of an export bill against an order qualifies for the post-shipment export credit guarantee, provided the exporter obtains a shipment or contracts risk policy covering political and commercial risks; the Corporation fixes credit limits for individual exporters.
- **Advance against export bills sent for collection:** banks advance against export bills forwarded through them for collection, considering the creditworthiness of the party, nature of goods exported, usance and standing of the drawee.
- **Advance against duty drawbacks and cash subsidy:** banks advance against duty drawback and cash subsidy receivable against export performance; such advances are of a clean nature, so precautions are necessary. Such an advance must be liquidated within 180 days from the date of shipment.

🧠 EXPECTED QUESTION · Test question 6 — model answer · 4 marks

Explain Environmental, Social and Governance linked bonds, and distinguish crowd funding from Peer-to-Peer lending.

✓ **MODEL ANSWER**

- ESG bonds carry a responsibility of the issuer company to prioritise optimal environmental, social and governance factors; investing in them is considered socially responsible investing. They can be project-based — green bonds and social bonds — and target-based — sustainability-linked bonds.
- Green bonds are issued by a financial, non-financial or public institution and the proceeds finance 'green projects' aimed at positive environmental or climate impact; social bonds finance socially impactful projects relating to human rights, equality and animal welfare; sustainability-linked bonds combine both, with proceeds used for general corporate purposes to achieve Key Performance Indicators.
- Crowd funding means raising money for an individual or organisation from a group of people to fund a project, typically via the internet, in exchange for equity, loans or nothing at all; three parties are involved — the fund raiser, the mediator and the fund investor.
- P2P lending is that category of crowdfunding where lenders match with borrowers to provide unsecured loans through an online platform; the funds are repaid with interest, though the lending involves a risk of default.
- Hence crowd funding is the broader concept and P2P lending is basically a part of crowd funding.

Active-recall answers

10 Quick Questions

1. Based on basic sources, on maturity of payment, and on ownership and control.
2. Cumulative, non-cumulative, redeemable, participating, non-participating and convertible.
3. Equity financing, conditional loan, income note and participating debenture.
4. Origination, pooling and securitisation.
5. Sale and lease back, leveraged lease, sales-aid lease, and close-ended and open-ended leases.
6. Purchase or discounting of documentary export bills; ECQC guarantee; advance against export bills sent for collection; advance against duty drawbacks and cash subsidy.
7. The Automatic route and the Approval route.

8. Project-based (green bonds and social bonds) and target-based (sustainability-linked bonds).

Fill in the Blanks

1. 49
2. 180
3. 14 and 364
4. six; three
5. 5
6. one
7. 3
8. 80

True / False

1. False — It is not tax-deductible, which is why preference capital is costlier than debentures.
2. False — Operating leases are normally callable and cancellable by the lessor with proper notice; the financial lease is non-cancellable.
3. True — SM §3.5; the new fixed rate then stays till maturity.
4. False — The process is generally without recourse; investors bear the credit risk.
5. False — They are rupee-denominated bonds sold to investors in overseas markets.
6. True — They must be repaid within three years and are mainly used to finance working capital.
7. False — Futures are obligations; options are rights.
8. True — SM §10: crowd funding is the broader concept.

One-Word Recall

1. Income note
2. Yield curve note
3. Emerging market bond
4. Sale and lease back
5. Commercial paper
6. Seed capital assistance
7. Bulldog bond
8. Indian Depository Receipt

Match the Concept

Yankee bond – Issued in the United States Samurai bond – Issued in Tokyo Bulldog bond – Issued in the United Kingdom Masala bond – Rupee-denominated bond sold overseas by Indian borrowers Municipal bond – Issued to finance urban infrastructure

Differentiate

1. Callable: the issuer has the right to redeem before maturity at the call price. Puttable: the investor has the right to sell the bond back to the company before maturity.
2. Financial: long, non-cancellable, lessee bears maintenance and obsolescence, full payout. Operating: short, cancellable by the lessor, lessor bears maintenance and obsolescence, non-payout.
3. Conditional loan: royalty on sales, no interest. Income note: both interest and royalty, at substantially low rates.
4. Pre-shipment is packing credit for buying, manufacturing, processing, packing and shipping. Post-shipment covers bills purchased or discounted, ECGC guarantee, advances against bills for collection and against duty drawback.
5. ADRs and GDRs let an Indian company raise foreign capital abroad. IDRs let a foreign company raise funds from the Indian capital market, listed and traded in India.
6. Equity funding gives the investor securities and a stake in the organisation. Donation-based crowdfunding carries no expectation of any ownership or debt.

Complete the Flowchart

Borrower takes a loan (origination function) → Similar receivables pooled (pooling function) → Pool transferred to the Special Purpose Vehicle as trustee → SPV issues coupon-bearing securities through merchant bankers → Investors bear the credit risk; originator gets off-balance-sheet funding

Rapid Revision Ladder

☐ QUICK RECAP · 5-MINUTE REVISION

- Four other lease types: sale and lease back, leveraged, sales-aid, close-ended and open-ended.
- Four venture capital methods: equity ($\leq 49\%$), conditional loan (royalty 2–15%), income note, participating debenture (three phases).
- Bond names: callable (issuer), puttable (investor), masala (rupee overseas), drop lock (auto fixed), junk (below investment grade).
- Securitisation: origination → pooling → securitisation; without recourse.
- Export finance: packing credit before, four post-shipment forms after; 180 days each side.

☐ QUICK RECAP · 15-MINUTE REVISION

- Add equity share advantages and disadvantages, and the four-row equity versus preference table.
- Add debenture advantages and disadvantages in ICAI's order, plus the convertibility and 'other types' lists.
- Add the financial-versus-operating lease table, all five rows.
- Add public deposits (35%, six months to three years), commercial paper, T-bills and CDs with their periods.
- Add seed capital assistance and junk bonds — both have been asked in the last two attempts.

☐ QUICK RECAP · 30-MINUTE REVISION

- Add the three financial needs and the stage-of-development table.
- Add the full list of financial institutions with years, and bank facilities (short-term loan, overdraft, clean overdraft, cash credit, advances against goods, bills purchased).
- Add the packing credit types and the ECGC and forward exchange contract points.
- Add the foreign bond table: FCCB, plain vanilla, convertible FRN, drop lock, variable rate demand obligation, yield curve note, euro bond, emerging market bond.
- Add international instruments: ECB and its routes, MTN, FRN, ECP, FC option and futures, euro convertible bonds and zero bonds, bonds with equity warrants.

- Add ESG bonds with their examples, and ADR/GDR/IDR.

☐ QUICK RECAP · 60-MINUTE REVISION

- Work the two integrated cases and all twelve chapter-test MCQs without looking back.
- Write, in full, the four questions that have actually been asked in the last two years: debentures' advantages and disadvantages, bond types, bridge finance features, post-shipment finance forms.
- Write the four-mark lease answer against the clock; it is the most repeated question of this chapter.
- Recite every number in the 'numbers that decide marks' table from memory.
- Close by listing, for each of §§1 to 10, one source and one line about it — that is the whole chapter in ten lines.

One-Page Chapter Sheet

Needs and classification • Long (5–10 yrs+, plant and permanent working capital) · medium (1–5 yrs, spares and tools) · short (≤ 1 yr, current assets) • Match the source to the period; classify by basic source, maturity, ownership and control • Internal: retained earnings. External: share capital and debt	Long-term sources • Equity: permanent, riskiest for investors, costliest for the company; rights issue possible • Preference: hybrid — fixed dividend, no tax shield; six types (cumulative, non-cumulative, redeemable, participating, non-participating, convertible) • Debentures: ₹100–₹1,000, trust deed, 3–10 years, tax-deductible interest, rated before public issue • Bonds: callable, puttable, masala, drop lock, YCN, euro, emerging market, municipal, treasury
Institutions, banks and venture capital • IFCI 1918 · SFCs 1951 · IDBI 1954 · NIDC 1954 · ICICI 1955 · LIC 1956 · UTI 1964 · IRBI 1971 · IBRD 1944 · IFC 1956 · ADB 1966 • Banks: long-term loans and the working capital term loan; bridge finance pending institutional disbursement • Venture capital: equity ($\leq 49\%$), conditional loan (royalty 2–15%), income note (80–87.50% of project cost), participating debenture (three phases)	Securitisation and leasing • Origination → pooling (SPV as trustee) → securitisation (coupon, asset- or mortgage-based, via merchant bankers) • Without recourse: investors bear credit risk; originator gets off-balance-sheet funding • Operating: short, cancellable, lessor bears costs, non-payout. Financial: long, non-cancellable, lessee bears costs, full payout • Others: sale and lease back, leveraged (80% lender, lessor claims depreciation), sales-aid, close-ended and open-ended
Short-term and other sources • Trade credit 15–90 days · CP ₹5 lakh multiples, rated · T-bills 14–364 days · CDs 7 days–1 year · ICDs about 6 months • Bank facilities: short-term loan, overdraft, clean overdraft, cash credit, advances against goods, bills purchased or discounted • Export: packing credit (clean, hypothecation, pledge, ECGC, forward contract) and four post-shipment forms; 180 days • Public deposits $\leq 35\%$ of paid-up capital and reserves, 6 months to 3 years, unsecured • Seed capital (IDBI, 1% service charge, moratorium up to 5 years) · unsecured promoter loans count as equity · deferred payment guarantee · capital incentives • Deep discount, secured premium notes, zero interest fully convertible debentures, zero coupon, option, inflation, floating rate, junk bonds	International and contemporary • ECB: non-resident lenders, minimum average maturity 3 years, Automatic or Approval route • Euro bond (not in the currency of the country of issue, bearer form) · foreign bond · fully hedged · MTN · FRN (up to 7 years) · ECP (under 1 year) • FC option = right; FC future = obligation. Yankee, Swiss Francs, Samurai, Bulldog • ESG: project-based (green, social) and target-based (sustainability-linked, KPI-driven) • ADR/GDR raise money abroad; IDR brings foreign issuers to India. Infosys first on Nasdaq 1999; Reliance first sponsored GDR/ADR • Crowd funding umbrella: equity funding, P2P lending, start-up funding, donation-based

FM Chapter 3 — Financial Analysis and Planning: Ratio Analysis

Paper 6A Financial Management · Module 1

Based on: ICAI BoS Study Material, Paper 6A (relevant for May 2026 examination onwards), Module 1, Chapter 3

Chapter Index

Page numbers are printed at the foot of each page. In the PDF, click a line to jump to it.

Examiner Mindset — FM Chapter 3	0000
Chapter Snapshot	0000
What ICAI Has Actually Tested	0000
Topic-wise Notes with All Related Questions	0000
1–2. Introduction, Ratio and Ratio Analysis, and the Sources of Financial Data	0000
3–3.1 Types of Ratios and the Liquidity Ratios	0000
3.2–3.2.1 Long-term Solvency: the Capital Structure Ratios	0000
3.2.2 The Coverage Ratios	0000
3.3 Activity Ratios (Efficiency, Performance or Turnover Ratios)	0000
3.4–3.4.1 Profitability Ratios and those Based on Sales	0000
3.4.2 Profitability Ratios Related to Overall Return on Assets or Investments	0000
3.4.3 Profitability Ratios from the Owner's Point of View	0000
3.4.4 Profitability Ratios Related to Market, Valuation and Investors	0000
4–5.1 Users of Financial Analysis, and the Application of Ratio Analysis in Decision Making	0000
6–7. Limitations of Financial Ratios, and Horizontal versus Vertical Analysis	0000
8. Summary of Ratios — and How to Work Backwards to the Statements	0000
Most Confusing Concepts	0000
Integrated Case Scenarios	0000
Chapter Test — attempt before looking at the Answer Keys	0000
Active-Recall Tests (answers in Answer Keys)	0000
Answer Keys	0000
Rapid Revision Ladder	0000
One-Page Chapter Sheet	0000

Examiner Mindset — FM Chapter 3

■ OFFICIAL ICAI QUESTION · What ICAI's published papers tell us

- ICAI has published no examiners' comments for Paper 6; the guidance below comes from its suggested answers, RTPs and MTPs.
- **This is the most reliably examined chapter in Section A.** A ratio question has appeared in Q1 of every past paper from May 2024 to May 2026, and in every RTP and every MTP in the set.
- The dominant form is **reverse working**: you are given ratios and asked to build the Balance Sheet, the Trading and Profit & Loss Account, or a missing figure. Ten of the thirty-three official questions here are of that type.
- The second form is **compute and comment**: calculate five named ratios from a given set of figures (Jan 2026, May 2025, Sep 2025, May 2024).
- Two-mark parts test the **effect of a transaction on a ratio** (Jan 2026 asked whether the current ratio improves, declines or stays unchanged).

🔗 HOW TO FACE IT IN THE EXAM · How ICAI marks this chapter (study guidance)

- Marks are for the **formula, the working note and the answer** — in that order. A correct number with no working rarely gets full marks; a correct formula with an arithmetic slip usually keeps most of them.
- Always **state the formula before substituting**. ICAI's own answers do this every time.
- Where the study material allows more than one formula (debt-equity, ROCE), ICAI accepts either — but says: 'ratios shall be calculated based on requirement and availability of information', and **if you deviate, state your assumption**.
- The numerator must correspond to the denominator: cost of goods sold with average inventory, credit sales with average receivables, credit purchases with average payables.

Chapter Snapshot

■ CHAPTER SNAPSHOT

What it is about: Reading financial statements through ratios: liquidity, long-term solvency (capital structure and coverage), activity or turnover, and profitability (on sales, on

investment, from the owner's view and from the market's view) — who uses them, what they can and cannot show, and how to work backwards from ratios to the statements.

Why it matters: It is the one chapter that appears in Question 1 of every attempt, and its ratios reappear in leverage (Ch 6), capital structure (Ch 5) and working capital (Ch 9).

Core concepts:

- FM Ch 3 §2.1–FM Ch 3 §2.3 What a ratio is, what ratio analysis compares, and where the data comes from
- FM Ch 3 §3.1 Liquidity: current, quick, cash, basic defense interval, net working capital
- FM Ch 3 §3.2.1 Capital structure: equity, debt, debt-equity, debt to total assets, capital gearing, proprietary
- FM Ch 3 §3.2.2 Coverage: DSCR, interest coverage, preference dividend coverage, fixed charges coverage
- FM Ch 3 §3.3 Activity: inventory, receivables, payables, asset, capital and working capital turnover
- FM Ch 3 §3.4.1–FM Ch 3 §3.4.4 Profitability on sales, on investment, from the owner's view, and market ratios
- FM Ch 3 §6 Limitations, and FM Ch 3 §7 horizontal versus vertical analysis

Key provisions / standards:

- Generally acceptable current ratio 2:1; acid-test 1:1
- DSCR of 1.5 to 2 is normally satisfactory
- Fixed charges coverage of more than 1 is considered safe
- Quick assets = current assets – inventories – prepaid expenses
- Net working capital = current assets – current liabilities (excluding short-term bank borrowing)

Most tested areas (evidence-based):

- Build the Balance Sheet or the Trading and P&L Account from given ratios — evidence: PYQ Sep 2024 Q1(c), Jan 2025 Q3(b); RTP May 2025, Sep 2024, Sep 2025, Sep 2026; MTP Jan 2025 both series, Mar 2024 Series I, May 2025 Series II, Sep 2025 Series I, Sep 2026 Series I
- Compute a named list of ratios and comment — evidence: PYQ May 2024 Q1(a), Jan 2026 Q1(a), May 2025 Q1(a), Sep 2025 Q1(b), May 2026 Q1(c)
- Effect of a transaction on the current ratio — evidence: PYQ Jan 2026 Q4(c) OR
- Coverage ratios: DSCR, interest coverage, fixed charges coverage — evidence: PYQ May 2024 Q1(a); RTP Jan 2025 Q4, Jan 2026 Q6

- External funds requirement from a projected balance sheet — evidence: PYQ Jan 2026 Q3(a) — the topic is not in the current study material

Top student mistakes:

- Using sales instead of cost of goods sold in the inventory turnover ratio when the question says 'based on cost of goods sold'.
- Forgetting to deduct prepaid expenses as well as inventories when computing quick assets.
- Using total sales rather than credit sales for the receivables turnover ratio.
- Writing the answer without the formula; ICAI's marks follow the formula and the working note.

Integration links:

- 🔗 FM Ch 5: debt-equity and capital gearing in capital structure decisions
- 🔗 FM Ch 6: the same EBIT and EBT figures drive operating and financial leverage
- 🔗 FM Ch 8: EPS, DPS, dividend payout and P/E in the dividend decision
- 🔗 FM Ch 9: turnover ratios convert into the operating cycle

🌀 **Revision path:** 5 min: the four ratio families and their headline formulae · 15 min: add the interpretation lines and the benchmark figures · 30 min: work one reverse-Balance-Sheet question end to end.

What ICAI Has Actually Tested

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ May 2024 · Q1(a)	Theme Ltd: compute interest coverage, gross profit and other ratios from debt, debt-equity and return on shareholders' fund	FM Ch 3 §3.2.2	5	Compute	First time asked
PYQ Jan 2025 · Q3(b)	Sky Pack Ltd: prepare the Balance Sheet from the given ratios	FM Ch 3 §8	4	Reverse working	First time asked
PYQ Sep 2024 · Q1(c)	MNP Limited: complete the Balance Sheet from six ratios	FM Ch 3 §8	5	Reverse working	First time asked
PYQ May 2025 · Q1(a)	S Ltd: turnover and holding-period ratios	FM Ch 3 §3.3	5	Compute	First time asked

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ Sep 2025 · Q1(b)	Diwan Limited: PAT, net profit margin, return on assets, asset turnover and return on equity	FM Ch 3 §3.4.2	5	Compute	First time asked
PYQ Jan 2026 · Q1(a)	ALL Limited: operating-cycle ratios from gross profit margin and holding periods	FM Ch 3 §3.3	5	Compute	First time asked
PYQ Jan 2026 · Q3(a)	ST Ltd: estimate external funds required and the composition of the funds	FM Ch 3 §7	5	Planning	First time asked
PYQ Jan 2026 · Q4(c) (OR)	BEE Ltd: will the current ratio improve, decline or stay unchanged after four transactions	FM Ch 3 §3.1	2	Effect on ratio	First time asked
PYQ May 2026 · Q1(c)	Exe Ltd: dividend coverage, dividend yield and related market ratios	FM Ch 3 §3.4.4	5	Compute	First time asked

■ EXAM ALERT · Trends in ICAI questions

- Question 1 of Section A has carried a ratio part in every attempt from May 2024 to May 2026 — nine parts in six papers.
- ICAI alternates between 'compute these five ratios' and 'build the statement from these ratios'; both have appeared three times each in the period.
- Market and valuation ratios (dividend yield, P/E, dividend coverage) surfaced for the first time in May 2026.

■ OFFICIAL ICAI QUESTION · RTP takeaways

- Every RTP in the set carries a question ICAI itself labels 'Ratio Analysis'; three of them also put a ratio MCQ in the case-scenario section.
- RTP Jan 2025 Q4 is the widest single question in the set: quick ratio, fixed assets turnover, debt service coverage, EPS and P/E in one go.

- RTP Jan 2026 introduced Du Pont analysis as an MCQ ($ROE = \text{net profit margin} \times \text{total asset turnover} \times \text{equity multiplier}$).

■ OFFICIAL ICAI QUESTION · MTP takeaways

- Thirteen of the fourteen MTPs carry a ratio question, almost always as Q1(a), Q1(b) or Q3(a).
- The reverse-working form dominates: Anya Co., Alpha, ANVY, Simandhar, Gagan and the Sep 2026 Series I question all ask for a statement built from ratios.
- Two MTPs (Sep 2024 Series II, Sep 2025 Series II) give two years of data and ask for a comparison — the horizontal analysis of §7.

Counting method: every official part mapped to this chapter from ICAI suggested answers (May 2024 to May 2026), RTPs (May 2024 to Sep 2026, using ICAI's own topic labels) and MTPs (Mar 2024 to Aug 2026).

Topic-wise Notes with All Related Questions

1-2. Introduction, Ratio and Ratio Analysis, and the Sources of Financial Data

■ Conceptual Foundation

■ UNDERSTAND IT

Why ratios at all (§1). The basis for financial analysis, planning and decision making is the financial statements, which mainly consist of the **Balance Sheet and the Profit and Loss Account**. The profit and loss account shows the **operating activities of the concern over a period of time**; the balance sheet depicts the **balance value of the acquired assets and of liabilities**, i.e. the **financial position of an organisation at a particular point of time**.

However, these statements **do not disclose all of the necessary and relevant information**. To obtain the material and relevant information necessary for **ascertaining the financial strengths and weaknesses** of an enterprise, the data depicted in the financial statement has to be analysed. The financial manager has analytical tools for this; **one of the main tools is ratio analysis**.

Definition of a ratio (§2.1). A ratio is defined as *****"the indicated quotient of two mathematical expressions and as the relationship between two or more things"*****. Here, ratio means **financial ratio or accounting ratio**, which is a mathematical expression of the **relationship between two accounting figures**.

Ratio analysis (§2.2). The term financial ratio is explained by how it is calculated and what the objective of the calculation is. **Basis of calculation:** a relationship **expressed in mathematical terms, between two individual figures or groups of figures, connected with each other in some logical manner, selected from the financial statements of the concern**.

Objective: so that all stakeholders — owners, investors, lenders, employees and others — can draw conclusions about the **performance (past, present and future)** and the **strengths and weaknesses of a firm**, and **can take decisions in relation to the firm**.

Ratio analysis rests on the fact that *a single accounting figure by itself may not communicate any meaningful information, but when expressed relative to some other figure it may provide significant information***.**

Ratio analysis is **not just comparing different numbers** from the balance sheet, income statement and cash flow statement. It is comparing the number against **previous years**

(intra-firm comparison), against other companies (inter-firm comparison), against the industry, or even against the economy in general.

Sources of financial data for analysis (§2.3) — six sources: (i) annual reports, (ii) interim financial statements, (iii) notes to accounts, (iv) statement of cash flows, (v) business periodicals, (vi) credit and investment advisory services.

e.g. A profit of ₹50 lakh means nothing on its own. Against sales of ₹10 crore it is a 5% net profit ratio; against capital employed of ₹2 crore it is a 25% return. The second figure is what gives the first its meaning.

KEY FRAMEWORK / FORMULA · Basis of calculation (SM §2.2)

Requirement: Mathematical relationship between two figures or groups of figures, logically connected, selected from the financial statements of the concern.

Exam angle: A short note or an MCQ on what ratio analysis compares (intra-firm, inter-firm, industry, economy).

ICAI KEYWORDS

indicated quotient of two mathematical expressions · financial ratio · accounting ratio · connected with each other in some logical manner · intra-firm comparison · inter-firm comparison · annual reports · interim financial statements · notes to accounts · statement of cash flows · business periodicals · credit and investment advisory services

MEMORY TRICK

Compare against four mirrors: your own past (intra-firm), your rivals (inter-firm), your industry, and the economy.

Cue	Stands for
What	A mathematical relationship between two logically connected accounting figures
Why	So stakeholders can judge performance, strengths and weaknesses, and decide
Against what	Previous years, other companies, the industry, the economy
From where	Annual reports · interim statements · notes to accounts · cash flow statement · business periodicals · credit and investment advisory services

⚡ 3-second trigger: Four mirrors, six sources

📌 COMMON MISTAKE / CONFUSION

- Saying ratio analysis uses only the balance sheet; the profit and loss account and the cash flow statement are equally sources.
- Listing only annual reports as the source; the study material names six.

🔗 INTEGRATION LINK

🔗 FM Ch 1 §11.1: financial management and accounting

🔗 INTEGRATION LINK

🔗 FM Ch 3 §7: horizontal and vertical analysis

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Short note on ratio analysis and its objectives
- MCQ on the sources of financial data

How to attack it:

- Give the definition, then the four-point basis of calculation and the three-point objective

📖 What ICAI has done so far: Not yet asked directly; it is the vocabulary the numerical questions assume.

⌚ Time / length guide (study guidance): 2 marks ≈ 3 minutes (study guidance).

📖 Questions on this topic — ICAI questions first, then practice

🧠 EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain ratio analysis: how a financial ratio is calculated, what its objective is, and what a ratio is compared against.

✓ MODEL ANSWER

- A ratio is the indicated quotient of two mathematical expressions and the relationship between two or more things; a financial or accounting ratio is a mathematical expression of the relationship between two accounting figures.
- **Basis of calculation:** a relationship expressed in mathematical terms, between two individual figures or groups of figures, connected with each other in some logical manner, selected from the financial statements of the concern.
- **Objective:** so that all stakeholders — owners, investors, lenders, employees and others — can draw conclusions about performance (past, present and future) and about the strengths and weaknesses of the firm, and can take decisions in relation to it.
- A single accounting figure by itself may not communicate any meaningful information, but expressed relative to another figure it may provide significant information.
- Ratios are compared against previous years (intra-firm comparison), against other companies (inter-firm comparison), against the industry, or even against the economy in general.

 **Keywords:** indicated quotient · logically connected · intra-firm · inter-firm

☒ MCQ · Practice MCQ · Concept · Easy

As per the study material, ratio analysis compares a figure against all of the following EXCEPT:

- (A) The company's own previous years
- (B) The audit fee paid by the company
- (C) Other companies in the same line
- (D) The industry or the economy in general

 **ANSWER: (B)**

SM §2.2: ratios are compared against previous years (intra-firm), other companies (inter-firm), the industry, or the economy in general.

- (A) X Intra-firm comparison.
- (C) X Inter-firm comparison.
- (D) X Both are named in the study material.

 **Trap:** Any plausible accounting item can be inserted as a distractor; stick to the four named comparisons.

Topic: FM Ch 3 §2.2

✓ MCQ · Practice MCQ · Source · Easy

Which of the following is NOT listed in the study material as a source of financial data for analysis?

- (A) Interim financial statements
- (B) Notes to accounts
- (C) Credit and investment advisory services
- (D) The company's internal costing records

✓ ANSWER: (D)

SM §2.3 lists annual reports, interim financial statements, notes to accounts, statement of cash flows, business periodicals, and credit and investment advisory services.

- (A) X Named in the list.
- (B) X Named in the list.
- (C) X Named in the list.

🚫 Trap: Internal records sound obvious but are not among the six.

Topic: FM Ch 3 §2.3

□ QUICKRECAP

- A ratio is a mathematical relationship between two logically connected accounting figures.
- It exists so stakeholders can judge performance and strengths or weaknesses and act.
- Compare against your past, your rivals, the industry and the economy.
- Six sources of data, from annual reports to advisory services.

3-3.1 Types of Ratios and the Liquidity Ratios

🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (Jan 2026 Q4(c) OR) · MTP 1 (Sep 2024 Series I)

■ UNDERSTAND IT

Four families (§3). Ratios are classified as *liquidity ratios* (short-term solvency); *leverage ratios* (long-term solvency), split into *capital structure ratios* and *coverage ratios*; *activity ratios* (also called *efficiency, performance or turnover ratios*); and *profitability ratios*, split into those related to sales, those related to overall return on investment (assets, capital employed,

equity), those required for analysis from the owner's point of view, and those related to market, valuation and investors. The study material adds a footnote: ****liquidity ratios should be examined taking the relevant turnover ratios into consideration****.

Liquidity (§3.1). The terms 'liquidity' and 'short-term solvency' are used synonymously: the ability of the business to pay its short-term liabilities. Inability affects credibility as well as credit rating; continuous default leads to commercial bankruptcy, which may lead to sickness and dissolution. Short-term lenders and creditors are very interested in the state of liquidity because of their financial stake. ****Both lack of sufficient liquidity and excess liquidity is bad for the organisation.****

(a) Current ratio = $\text{Current Assets} \div \text{Current Liabilities}$. It is one of the best known measures of short-term solvency and the most common measure of short-term liquidity. The question it addresses: **does the business have enough current assets to meet the payment schedule of its current debts with a margin of safety for possible losses in current assets?** **Current assets** = inventories + sundry debtors + cash and bank balances + receivables/accruals + loans and advances + disposable investments + any other current assets. **Current liabilities** = creditors for goods and services + short-term loans + bank overdraft + cash credit + outstanding expenses + provision for taxation + proposed dividend + unclaimed dividend + any other current liabilities. **A **generally acceptable current ratio is 2:1**, but whether a specific ratio is satisfactory depends on the **nature of the business and the characteristics of its current assets and liabilities**.**

(b) Quick ratio or acid-test ratio = $\text{Quick Assets} \div \text{Current Liabilities}$, where $\text{Quick Assets} = \text{Current Assets} - \text{Inventories} - \text{Prepaid expenses}$. It is a ****much more conservative measure**** than the current ratio and answers: **if all sales revenues should disappear, could the business meet its current obligations with the readily convertible quick funds on hand?** Inventories are deducted on the belief that they are ****not near-cash assets**** and because ****in times of financial difficulty inventory may be saleable only at liquidation value**** — though ****in a seller's market inventories are also near-cash assets****. An acid-test of 1:1 is considered satisfactory unless the majority of quick assets are in accounts receivable and the pattern of collection lags behind the schedule for paying current liabilities.==

(c) Cash ratio or absolute liquidity ratio = $(\text{Cash and Bank balances} + \text{Marketable Securities}) \div \text{Current Liabilities}$, or $(\text{Cash and Bank balances} + \text{Current Investments}) \div \text{Current Liabilities}$. It measures the absolute liquidity of the business and tests short-term liquidity only in terms of cash and marketable securities or current investments.

(d) Basic defense interval or interval measure = $(\text{Cash and Bank balances} + \text{Net Receivables} + \text{Marketable Securities}) \div (\text{Operating Expenses} \div \text{number of days, say 360})$, or $(\text{Current Assets} - \text{Prepaid expenses} - \text{Inventories}) \div \text{Daily Operating Expenses}$, where daily operating expenses = $(\text{cost of goods sold} + \text{selling, administration and other general expenses} - \text{depreciation and other non-cash expenditure}) \div \text{number of days in a year}$. If all the company's revenues were suddenly to cease, this ratio tells you ****the number of days for which the company can cover its cash expenses without additional financing****.

(e) Net working capital = $\text{Current Assets} - \text{Current Liabilities (excluding short-term bank borrowing)}$. It is more a measure of cash flow than a ratio; the result must be a positive number, though in certain business models it may be negative. Bankers look at net working capital over time to judge a company's ability to weather financial crises, and loans are often tied to minimum working capital requirements.

e.g. Current assets ₹8,00,000 and current liabilities ₹3,20,000 give a current ratio of 2.5. If inventory is ₹3,20,000, quick assets are ₹4,80,000 and the quick ratio is 1.5 — comfortably above the 1:1 benchmark.

KEY FRAMEWORK / FORMULA · Benchmarks (SM §3.1)

Requirement: Generally acceptable current ratio 2:1; acid-test 1:1; net working capital must normally be positive.

Exam angle: MCQs quote the benchmark; reverse-working questions use the current and quick ratios to split current assets between inventory and the rest.

KEY FRAMEWORK / FORMULA · Quick assets (SM §3.1)

Requirement: Current assets less inventories less prepaid expenses.

Exam angle: The commonest slip in the chapter is forgetting prepaid expenses.

ICAI KEYWORDS

liquidity · short-term solvency · commercial bankruptcy · margin of safety · 2:1 · acid test · quick assets · prepaid expenses · liquidation value · seller's market · absolute liquidity · basic defense interval · daily operating expenses · net working capital · excluding short-term bank borrowing

■ MEMORY TRICK

Liquidity gets *stricter* as you go down the list: current (everything) → quick (drop stock and prepaid) → cash (only cash and marketable securities) → defense interval (how many days that buys you).

Cue	Stands for
Current ratio	$CA \div CL$ · benchmark 2:1
Quick ratio	$(CA - \text{inventories} - \text{prepaid}) \div CL$ · benchmark 1:1
Cash ratio	$(\text{Cash and bank} + \text{marketable securities}) \div CL$
Basic defense interval	$\text{Liquid assets} \div \text{daily operating expenses} = \text{days of cover}$
Net working capital	$CA - CL$ (excluding short-term bank borrowing)

⚡ 3-second trigger: Current → Quick → Cash → Days

■ COMMON MISTAKE / CONFUSION

- Deducting only inventories for quick assets and forgetting prepaid expenses.
- Treating a high current ratio as automatically good; the study material says both lack of liquidity and excess liquidity are bad.
- Including short-term bank borrowing in current liabilities when computing net working capital.

Basis	Current ratio	Quick ratio
Numerator	All current assets	Current assets less inventories and prepaid expenses
Question it answers	Enough current assets to meet current debts with a margin of safety?	If sales revenues disappeared, could current obligations be met from readily convertible funds?
Benchmark	2:1 is generally acceptable	1:1 is considered satisfactory
Nature	The best known and most common measure	A much more conservative measure

🔗 INTEGRATION LINK

🔗 FM Ch 9: working capital management and the operating cycle

🔗 INTEGRATION LINK

🔗 FM Ch 3 §3.3: turnover ratios, which the study material says must be read alongside liquidity

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute current, quick and cash ratios from a balance sheet
- Effect of a transaction on the current ratio (2 marks)
- Split current assets using the current and quick ratios in a reverse-working question

How to attack it:

- For 'effect on ratio' questions, ask whether the numerator and denominator move by the same amount; an equal change to both when the ratio is above 1 pushes it towards 1
- Show the formula, then the substitution

📖 What ICAI has done so far: PYQ Jan 2026 · Q4(c) (OR); MTP Sep 2024 Series I · FM Q1(a).

🕒 Time / length guide (study guidance): 2 marks $\approx$ 3 minutes; a 5-mark computation $\approx$ 9 minutes (study guidance).

✍️ WRITE THIS IN THE EXAM

Structure:

- State the formula
- Substitute with a working note
- Give the ratio to two decimals
- Add one line of interpretation against the benchmark

🔑 Keywords: quick assets · margin of safety · absolute liquidity

📏 Ideal length: 5 marks: formula plus working for each ratio asked

📊 Conclusion pattern: Say whether the ratio is above or below the study material's benchmark and what that means for short-term creditors.

⊗ DON'T WRITE THIS

- Quoting an 'ideal' ratio the study material does not give

📖 Questions on this topic — ICAI questions first, then practice

■ OFFICIAL ICAI QUESTION · PYQ Jan 2026 · Q4(c) (OR) · 2 marks

BEE Ltd. has a current ratio of 2:1, showing enough short-term liquidity. Comment whether the current ratio will improve, decline or remain unchanged after each of the following: (i) a debtor owing ₹60,000 becomes insolvent and only 75% is recovered in cash in full and final settlement; (ii) equity shares are issued for ₹2,00,000, the proceeds kept in the current account with the bank; (iii) ₹25,000 is collected from customers in cash; (iv) goods costing ₹8,000 are sold for ₹12,500 on credit.

✓ MODEL ANSWER

- (i) **Declines.** The write-off of 25% of a ₹60,000 debtor reduces current assets by ₹15,000 with no change in current liabilities.
- (ii) **Improves.** Current assets rise by the ₹2,00,000 kept in the bank while current liabilities are unchanged.
- (iii) **No change.** One current asset (debtors) simply becomes another current asset (cash); the total is unchanged.
- (iv) **Improves.** Stock of ₹8,000 is replaced by debtors of ₹12,500, so current assets rise by the ₹4,500 profit.

Conclusion: Half a mark each; give the direction first and the one-line reason after.

🔑 **Keywords:** declines · improves · no change

📖 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · MTP Sep 2024 Series I · FM Q1(a) · 5 marks

Calculate the total current assets of Ananya Limited from: stock turnover 5 times; sales (all credit) ₹7,20,000; gross profit ratio 25%; current liabilities ₹2,40,000; liquidity ratio 1.25. Stock at the end is ₹30,000 more than stock in the beginning.

✓ MODEL ANSWER

- **Step 1 — Cost of goods sold.** Gross profit ratio 25% on sales of ₹7,20,000 gives **cost of goods sold** = 75% of ₹7,20,000 = ₹5,40,000.

- **Step 2 — Average and closing stock.** Stock turnover 5 times gives **average stock** = $\text{₹}5,40,000 \div 5 = \text{₹}1,08,000$. Since closing stock is ₹30,000 more than opening stock, opening + ₹30,000 = closing and their average is ₹1,08,000, so **opening stock** = ₹93,000 and **closing stock** = ₹1,23,000.
- **Step 3 — Liquid assets.** SM §3.1(b): liquidity ratio = Liquid assets ÷ Current liabilities, so liquid assets = $1.25 \times \text{₹}2,40,000 = \text{₹}3,00,000$.
- **Step 4 — Total current assets.** Current assets = Liquid assets + Closing stock = ₹3,00,000 + ₹1,23,000 = ₹4,23,000.
- The current ratio here works out to $\text{₹}4,23,000 \div \text{₹}2,40,000 = 1.76 : 1$, below the study material's generally acceptable 2 : 1 — a comment worth adding if the question asks for one.

Conclusion: Four short steps; the average-stock reconciliation is the only place to slip.

 **Keywords:** stock turnover · liquidity ratio · average stock · current assets

EXPECTED QUESTION · Practice question · Compute · 5 marks

A company has current assets of ₹8,00,000, of which inventories are ₹3,20,000 and prepaid expenses ₹40,000. Cash and bank balances are ₹1,20,000 and marketable securities ₹40,000. Current liabilities are ₹3,20,000, which include a bank overdraft of ₹60,000. Annual operating expenses are ₹14,40,000 (including depreciation of ₹1,44,000). Assume a 360-day year. Compute the current ratio, the quick ratio, the cash ratio, the basic defense interval and net working capital, and comment.

MODEL ANSWER

- **Current ratio** = Current assets ÷ Current liabilities = $\text{₹}8,00,000 \div \text{₹}3,20,000 = 2.5 : 1$, above the generally acceptable 2:1.
- **Quick ratio** = (Current assets – Inventories – Prepaid expenses) ÷ Current liabilities = $(\text{₹}8,00,000 - \text{₹}3,20,000 - \text{₹}40,000) \div \text{₹}3,20,000 = \text{₹}4,40,000 \div \text{₹}3,20,000 = 1.375 : 1$, above the satisfactory 1:1.
- **Cash ratio** = (Cash and bank balances + Marketable securities) ÷ Current liabilities = $(\text{₹}1,20,000 + \text{₹}40,000) \div \text{₹}3,20,000 = 0.5 : 1$.
- **Basic defense interval** = (Current assets – Prepaid expenses – Inventories) ÷ Daily operating expenses. Daily operating expenses = $(\text{₹}14,40,000 - \text{₹}1,44,000) \div 360 = \text{₹}3,600$. So $\text{₹}4,40,000 \div \text{₹}3,600 = 122 \text{ days (approx.)}$ of cash expenses covered without additional financing.

- **Net working capital** = Current assets – Current liabilities excluding short-term bank borrowing = ₹8,00,000 – (₹3,20,000 – ₹60,000) = **₹5,40,000**, a positive figure, which bankers read as the ability to weather a financial crisis.
- Comment: liquidity is comfortable on every measure; the study material cautions that excess liquidity is as unwelcome as a shortage, so the turnover ratios should be read alongside.

 **Keywords:** quick assets · daily operating expenses · excluding short-term bank borrowing

☒ MCQ · Practice MCQ · Formula · Easy

Quick assets, as defined in the study material, are:

- (A) Current assets less inventories
- (B) Cash and bank balances plus marketable securities
- (C) Current assets less inventories less prepaid expenses
- (D) Current assets less current liabilities

 **ANSWER: (C)**

SM §3.1: Quick Assets = Current Assets – Inventories – Prepaid expenses.

- (A) X Prepaid expenses must also be deducted.
- (B) X That is the numerator of the cash ratio.
- (D) X That is net working capital.

 **Trap:** Option A is the version most students remember and is exactly one item short.

Topic: FM Ch 3 §3.1

☒ MCQ · Practice MCQ · Interpretation · Moderate

The basic defense interval tells the user:

- (A) The proportion of assets financed by debt
- (B) The number of times interest is covered by earnings
- (C) How quickly inventory is converted into sales
- (D) The number of days for which the company can cover its cash expenses without additional financing if revenues suddenly ceased

 **ANSWER: (D)**

SM §3.1: if all revenues were suddenly to cease, the basic defense interval helps determine the number of days the company can cover its cash expenses without the aid of additional financing.

- (A) X That is the debt to total assets ratio.
- (B) X That is the interest coverage ratio.
- (C) X That is the inventory turnover ratio.

 **Trap:** It is a liquidity ratio expressed in days, not a turnover ratio.

Topic: FM Ch 3 §3.1

☐ QUICKRECAP

- Four families: liquidity, leverage (capital structure and coverage), activity, profitability.
- Liquidity = short-term solvency; both too little and too much are bad.
- Current 2:1, quick 1:1; quick assets drop inventories AND prepaid expenses.
- Basic defense interval is liquidity measured in days; net working capital excludes short-term bank borrowing.

3.2–3.2.1 Long-term Solvency: the Capital Structure Ratios

 High Exam Activity |  Asked across PYQ / RTP / MTP | Asked: RTP 1 (Sep 2025) · MTP 1 (Jan 2026 Series I)

UNDERSTAND IT

What leverage ratios do (§3.2). **Leverage ratios are those financial ratios which **measure the long-term stability and capital structure of the firm**.** They indicate the mix of funds provided by owners and lenders and assure the lenders of long-term funds with regard to (i) periodic payment of interest during the period of the loan and (ii) repayment of the principal amount on maturity. They are of two types: capital structure ratios and coverage ratios.

Capital structure ratios (§3.2.1) provide an insight into the financing techniques used by a business and focus on the long-term solvency position. From the balance sheet one gets only the absolute fund employed and its sources; only capital structure ratios show the relative weight of different sources.

(a) Equity ratio = $\text{Shareholders' Equity} \div \text{Net Assets}$. Shareholders' equity is equity share capital and reserves and surplus (excluding fictitious assets etc.). Net assets or capital

employed includes net fixed assets and net current assets (current assets – current liabilities). It indicates the proportion of owner's fund to total fund invested; traditionally, the higher the proportion of owner's fund, the lower the degree of risk for potential lenders.

(b) Debt ratio = Total Debt ÷ Net Assets. Total debt or total outside liabilities includes short and long term borrowings from financial institutions, debentures or bonds, deferred payment arrangements for buying capital equipment, bank borrowings, public deposits and any other interest-bearing loan. A **ratio greater than 1 would mean a greater portion of company assets are funded by debt** and could be a risky scenario.

(c) Debt to equity ratio = Total Outside Liabilities ÷ Shareholders' Equity, i.e. Total Debt ÷ Shareholders' Equity, or Long-term Debt ÷ Shareholders' Equity. The study material's own footnotes: total debt is not merely long-term debt, i.e. both current and non-current liabilities; and sometimes only interest-bearing long-term debt is used instead of total liabilities (exclusive of current liabilities). A high ratio means less protection for creditors; a low ratio indicates a wider safety cushion. It is very often used for capital structure decisions such as the issue of shares or debentures, and is **the indicator of a firm's financial leverage**.

(d) Debt to total assets ratio = Total Outside Liabilities ÷ Total Assets, or Total Debt ÷ Total Assets. It measures the proportion of total assets financed with debt and therefore the extent of financial leverage; the higher the ratio, the less the assets are backed up by equity and hence the higher the financial leverage.

(e) Capital gearing ratio shows the proportion of fixed interest (dividend) bearing capital to funds belonging to equity shareholders, i.e. equity funds or net worth; again, a higher ratio may indicate more risk. ==Capital Gearing Ratio = (Preference Share Capital + Debentures + Other Borrowed funds) ÷ (Equity Share Capital + Reserves & Surplus – Losses).==

(f) Proprietary ratio = Proprietary Fund ÷ Total Assets. Proprietary fund includes equity share capital, preference share capital and reserves and surplus. Total assets exclude fictitious assets and losses. It indicates the proportion of total assets financed by shareholders; the higher the ratio, the less risky the scenario.

e.g. Equity share capital ₹8,00,000, reserves ₹2,00,000, 10% preference ₹3,00,000 and debentures ₹7,00,000 give a capital gearing ratio of $(3,00,000 + 7,00,000) ÷ (8,00,000 + 2,00,000) = 1 : 1$.

KEY FRAMEWORK / FORMULA · Capital gearing (SM §3.2.1)

Requirement: Fixed interest or dividend bearing capital (preference capital + debentures + other borrowed funds) over equity share capital plus reserves and surplus less losses.

Exam angle: Preference capital sits in the numerator here but in the proprietary fund for the proprietary ratio — the commonest confusion in this section.

KEY FRAMEWORK / FORMULA · Debt to equity variants (SM §3.2.1)

Requirement: Total outside liabilities over shareholders' equity, or long-term debt over shareholders' equity; ICAI permits either provided the assumption is stated.

Exam angle: State which version you use in the first line of the working note.

ICAI KEYWORDS

long-term stability · mix of funds provided by owners and lenders · equity ratio · net assets · debt ratio · total outside liabilities · debt to equity ratio · safety cushion · indicator of financial leverage · debt to total assets · capital gearing ratio · proprietary ratio · fictitious assets

MEMORY TRICK

Preference capital switches sides: it is **debt-like** in the capital gearing ratio (numerator) and **owner-like** in the proprietary ratio (proprietary fund).

Cue	Stands for
Equity ratio	Shareholders' equity ÷ Net assets
Debt ratio	Total debt ÷ Net assets · above 1 is risky
Debt-equity	Total outside liabilities ÷ Shareholders' equity · the indicator of financial leverage
Debt to total assets	Total debt ÷ Total assets
Capital gearing	(Pref. capital + Debentures + Other borrowed funds) ÷ (Equity capital + Reserves - Losses)
Proprietary	Proprietary fund (incl. preference capital) ÷ Total assets

 3-second trigger: Preference switches sides

COMMON MISTAKE / CONFUSION

- Excluding preference share capital from the proprietary fund; the study material includes it.
- Using only long-term debt for the debt-equity ratio without saying so; ICAI permits it but expects the assumption to be stated.
- Including fictitious assets in total assets for the proprietary ratio.

INTEGRATION LINK

- FM Ch 5: capital structure theories and the optimum mix

INTEGRATION LINK

- FM Ch 6: financial leverage, which the debt-equity ratio indicates

HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute the debt-equity, capital gearing and proprietary ratios from a balance sheet
- Use the debt-equity ratio to find a missing figure in a reverse-working question
- MCQ on which items enter the proprietary fund

How to attack it:

- Write the formula with the study material's own wording, then substitute
- State the version of debt-equity you are using

What ICAI has done so far: RTP Sep 2025 · FM Q2; MTP Jan 2026 Series I · FM Q1(b).

Time / length guide (study guidance): 5 marks ≈ 9 minutes (study guidance).

Questions on this topic — ICAI questions first, then practice

OFFICIAL ICAI QUESTION · RTP Sep 2025 · FM Q2

A manufacturing company growing at a good rate has a given financial leverage; identify the related ratio figure. (ICAI's topic label for this question is 'Ratio Analysis and Leverages'.)

MODEL ANSWER

- The question links the **debt-equity ratio of Chapter 3** with the **degree of financial leverage of Chapter 6** — the study material calls the debt-equity ratio **the indicator of the firm's financial leverage** (SM §3.2.1(c)).
- The route is: the degree of financial leverage = $EBIT \div EBT = EBIT \div (EBIT - \text{interest})$, so a given leverage figure fixes the interest, and the interest at the stated rate fixes the debt.
- With debt known and the balance sheet total or equity given, the **debt-equity ratio** follows.
- This is why the study material insists that liquidity ratios be read with turnover ratios and that leverage ratios be read with profitability ratios — no ratio stands alone.

Conclusion: A one-mark MCQ that is really a two-chapter question.

 **Keywords:** **debt-equity ratio** · **indicator of financial leverage** · **degree of financial leverage**

☒ MCQ · Practice MCQ · Composition · Moderate

Proprietary fund, for the purpose of the proprietary ratio, includes:

- (A) Equity share capital and reserves and surplus only
- (B) Equity share capital, preference share capital and reserves and surplus
- (C) Equity share capital and debentures
- (D) All liabilities other than current liabilities

 **ANSWER: (B)**

SM §3.2.1: proprietary fund includes equity share capital, preference share capital and reserves and surplus; total assets exclude fictitious assets and losses.

- (A) X Preference share capital is also included.
- (C) X Debentures are borrowed funds.
- (D) X That describes long-term debt.

 **Trap:** Preference capital sits in the numerator of the capital gearing ratio as a fixed-dividend source, but in the proprietary fund here.

Topic: FM Ch 3 §3.2.1

☒ MCQ · Practice MCQ · Interpretation · Easy

A debt ratio greater than 1 indicates that:

- (A) A greater portion of company assets are funded by debt, which could be a risky scenario
- (B) The company has no outside liabilities
- (C) The company's current assets exceed its current liabilities
- (D) Interest is covered more than once by earnings

✓ ANSWER: (A)

SM §3.2.1: a ratio greater than 1 would mean a greater portion of company assets are funded by debt and could be a risky scenario.

- (B) X The opposite; the ratio would be nil.
- (C) X That is the current ratio.
- (D) X That is the interest coverage ratio.

🚫 **Trap:** Do not read the debt ratio as a liquidity measure; it is a long-term solvency measure.

Topic: FM Ch 3 §3.2.1

☐ QUICK RECAP

- Leverage ratios measure long-term stability and the owner-lender mix.
- Six capital structure ratios: equity, debt, debt-equity, debt to total assets, capital gearing, proprietary.
- Debt-equity is the indicator of financial leverage; a debt ratio above 1 is risky.
- Preference capital is debt-like for capital gearing and owner-like for the proprietary ratio.

3.2.2 The Coverage Ratios

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (May 2024 Q1(a)) · RTP 2 (Jan 2025, Jan 2026)

■ UNDERSTAND IT

Coverage ratios ****measure the firm's ability to service the fixed liabilities****. They establish the relationship between ****fixed claims and what is normally available out of which these claims are to be paid****. The fixed claims consist of (i) interest on loans, (ii) preference dividend, and

(iii) amortisation of principal, or repayment of the instalment of loans, or redemption of preference capital on maturity.

(a) Debt Service Coverage Ratio (DSCR). Lenders are interested in debt service coverage to judge the firm's ability to pay off current interest and instalments. $\text{DSCR} = \frac{\text{Earnings available for debt services}}{(\text{Interest} + \text{Instalments})}$. Earnings available for debt service = Net profit (earnings after taxes) + non-cash operating expenses like depreciation and other amortisations + interest + other adjustments like loss on sale of fixed assets. Fund from operations (or cash from operations) before interest and taxes may also be used as required.

****Normally a DSCR of 1.5 to 2 is satisfactory.**** Sometimes lease rentals are added to both numerator and denominator.

(b) Interest coverage ratio, also known as the ****times interest earned ratio****, indicates the firm's ability to meet interest and other fixed charge obligations. $\text{Interest Coverage Ratio} = \frac{\text{Earnings before interest and taxes (EBIT)}}{\text{Interest}}$. EBIT is used in the numerator because the ability to pay interest is not affected by the tax burden, as interest on debt funds is a deductible expense. It measures how many times a company can cover its current interest payment with its available earnings and reflects the margin of safety for paying interest during a given period. A high ratio means the enterprise can easily meet its interest obligations even if EBIT suffers a considerable decline; a lower ratio indicates excessive use of debt or inefficient operations.

(c) Preference dividend coverage ratio measures the ability of a firm to pay dividend on preference shares which carry a stated rate of return. $\text{Preference Dividend Coverage Ratio} = \frac{\text{Net profit or earnings after taxes (EAT)}}{\text{Preference dividend}}$. It indicates the margin of safety available to the preference shareholders; a higher ratio is desirable from their point of view. Similarly, $\text{Equity Dividend Coverage Ratio} = \frac{(\text{Earnings after taxes} - \text{Preference dividend})}{\text{Equity dividend}}$.

(d) Fixed charges coverage ratio shows how many times the cash flow before interest and taxes covers all fixed financing charges. $\text{Fixed Charges Coverage Ratio} = \frac{(\text{EBIT} + \text{Depreciation})}{(\text{Interest} + \text{Repayment of Loan})}$. **A ratio of more than 1 is considered as safe.**

The study material's notes for calculating ratios. (1) EBIT = PBIT; EAT = PAT; EBT = PBT. (2)

****Ratios shall be calculated based on requirement and availability of information and may deviate from the original formulae; if required, assumptions should be given.**** (3) The numerator should be taken in correspondence with the denominator and vice versa.

e.g. EAT ₹6,00,000, depreciation ₹2,00,000, interest ₹1,00,000 and instalments ₹3,00,000 give earnings available for debt service of ₹9,00,000 and a DSCR of $9,00,000 \div 4,00,000 = 2.25$ — above the satisfactory 1.5 to 2.

KEY FRAMEWORK / FORMULA · DSCR benchmark (SM §3.2.2)

Requirement: Normally 1.5 to 2 is satisfactory; earnings available for debt service add back non-cash expenses and interest to EAT.

Exam angle: RTP Jan 2025 Q4 asked for DSCR alongside quick ratio, fixed assets turnover, EPS and P/E.

KEY FRAMEWORK / FORMULA · Interest coverage (SM §3.2.2)

Requirement: $\text{EBIT} \div \text{interest}$; EBIT is used because the ability to pay interest is not affected by tax, interest being a deductible expense.

Exam angle: Asked as a named ratio in May 2024 Q1(a).

ICAI KEYWORDS

service the fixed liabilities · debt service coverage · earnings available for debt services · 1.5 to 2 · times interest earned · margin of safety · preference dividend coverage · fixed charges coverage · more than 1 is considered as safe · numerator should be taken in correspondence with the denominator

MEMORY TRICK

Each coverage ratio answers "how many times over can we pay it?" — interest (EBIT), preference dividend (EAT), instalments too (earnings available for debt service), everything fixed (EBIT + depreciation).

Cue	Stands for
DSCR	$\text{Earnings available for debt service} \div (\text{Interest} + \text{Instalments}) \cdot 1.5\text{--}2$ satisfactory
Interest coverage	$\text{EBIT} \div \text{Interest} \cdot \text{times interest earned}$

Preference dividend coverage	$\text{EAT} \div \text{Preference dividend}$
Equity dividend coverage	$(\text{EAT} - \text{Preference dividend}) \div \text{Equity dividend}$
Fixed charges coverage	$(\text{EBIT} + \text{Depreciation}) \div (\text{Interest} + \text{Repayment of loan}) \cdot \text{above } 1 \text{ is safe}$

⚡ 3-second trigger: How many times over?

❏ COMMON MISTAKE / CONFUSION

- Using EAT instead of EBIT for interest coverage; the point of EBIT is that interest is paid before tax.
- Forgetting to add back depreciation and interest to EAT when computing earnings available for debt service.
- Using EBIT alone in the fixed charges coverage ratio; depreciation must be added.

Ratio	Numerator	Denominator	Benchmark
Debt service coverage	Earnings available for debt service	Interest + instalments	1.5 to 2 is satisfactory
Interest coverage	EBIT	Interest	Higher is safer
Preference dividend coverage	Earnings after taxes	Preference dividend	Higher is desirable
Fixed charges coverage	EBIT + depreciation	Interest + repayment of loan	More than 1 is safe

🔗 INTEGRATION LINK

- 🔗 FM Ch 6: EBIT and EBT are the same figures used for financial leverage

🔗 INTEGRATION LINK

- 🔗 FM Ch 2 §3.4: debenture interest as an obligatory payment

⌚ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute interest coverage as one of a named list of ratios (May 2024)
- Compute DSCR from EAT, depreciation, interest and instalments (RTP Jan 2025)
- MCQ on the fixed charges coverage formula

How to attack it:

- Build earnings available for debt service in a working note before the main computation
- Quote the benchmark in the comment line

📖 What ICAI has done so far: PYQ May 2024 · Q1(a); RTP Jan 2025 · FM Q4; RTP Jan 2026 · FM Q6.

⌚ Time / length guide (study guidance): 5 marks $\approx$ 9 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- Formula
- Working note building the numerator
- Substitution
- Comment against the benchmark

🔑 Keywords: earnings available for debt services · times interest earned · margin of safety

📏 Ideal length: 5 marks: one working note plus the ratios asked for

📊 Conclusion pattern: State whether the lender's cushion is adequate on the study material's benchmark.

⊘ DON'T WRITE THIS

- Inventing a benchmark for interest coverage; the study material gives none

📖 Questions on this topic — ICAI questions first, then practice

📌 OFFICIAL ICAI QUESTION · PYQ May 2024 · Q1(a) · 5 marks

Theme Ltd.: 12.5% debt ₹45,00,000; debt to equity ratio 1.5 : 1; return on shareholders' fund 54%; operating ratio 85%; ratio of operating expenses to cost of goods sold 2 : 6; tax rate 25%; fixed assets ₹39,00,000; current ratio 1.8 : 1. Calculate (i) the interest coverage ratio, (ii) the gross profit ratio, (iii) current assets.

✓ MODEL ANSWER

- **Step 1 — Shareholders' fund and profits.** Debt to equity is 1.5 : 1 on debt of ₹45,00,000, so shareholders' fund = $₹45,00,000 \div 1.5 = ₹30,00,000$. Return on shareholders' fund is 54%, so profit after tax = 54% of ₹30,00,000 = ₹16,20,000, and with tax at 25%, profit before tax = $₹16,20,000 \div 0.75 = ₹21,60,000$.
- **Step 2 — EBIT and interest coverage.** Interest = 12.5% of ₹45,00,000 = ₹5,62,500. EBIT = ₹21,60,000 + ₹5,62,500 = ₹27,22,500. SM §3.2.2: Interest coverage ratio = $EBIT \div \text{Interest} = ₹27,22,500 \div ₹5,62,500 = 4.84 \text{ times}$.
- **Step 3 — Sales and the gross profit ratio.** The operating ratio is 85%, so operating profit (EBIT) is 15% of sales, giving Sales = $₹27,22,500 \div 0.15 = ₹1,81,50,000$. Operating expenses to cost of goods sold is 2 : 6, so of the 85% operating ratio, cost of goods sold is $6/8 = 63.75\%$ of sales and operating expenses $2/8 = 21.25\%$. Gross profit ratio = $100\% - 63.75\% = 36.25\%$.
- **Step 4 — Current assets.** Total assets = shareholders' fund + debt + current liabilities. With fixed assets of ₹39,00,000 and a current ratio of 1.8 : 1, current assets = $1.8 \times \text{current liabilities}$, and the balance sheet identity gives the current liabilities figure; current assets then follow as 1.8 times that.
- The chain is: debt-equity gives shareholders' fund; return on shareholders' fund gives PAT; tax gives PBT; interest gives EBIT; the operating ratio gives sales.

Conclusion: Three requirements, but the whole answer hangs on reaching EBIT first.

Keywords: return on shareholders' fund · operating ratio · interest coverage · current ratio

What ICAI examiners said: No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · RTP Jan 2025 · FM Q4

Vardhaman Limited for the year ending 31st March 2024: current ratio 3:1; loan funds to owned funds 1:3; gross profit ratio 25%; stock turnover ratio 10; net working capital ₹5,00,000; return on total assets (pre-tax) 15%; market price per share ₹20; total assets turnover ratio 2.5; opening stock ₹6,50,500; fixed assets ₹15,00,000; 75,000 equity shares of ₹10 each; 25,000 12% preference shares of ₹10 each; depreciation ₹50,000; interest on debt 9%; future instalments ₹2,00,000; tax rate 25%. Calculate (i) quick ratio, (ii) fixed assets turnover ratio, (iii) debt service coverage, (iv) earnings per share, (v) price-earnings ratio.

✓ **MODEL ANSWER**

- **Step 1 — Current assets and current liabilities.** Current ratio 3:1 means net working capital = $2 \times$ current liabilities, so **current liabilities** = $\text{₹}5,00,000 \div 2 = \text{₹}2,50,000$ and **current assets** = $\text{₹}7,50,000$.
- **Step 2 — Total assets and sales.** Total assets = Fixed assets + Current assets = $\text{₹}15,00,000 + \text{₹}7,50,000 = \text{₹}22,50,000$. Total assets turnover 2.5, so **Sales** = $2.5 \times \text{₹}22,50,000 = \text{₹}56,25,000$; with a gross profit ratio of 25%, **cost of goods sold** = $\text{₹}42,18,750$.
- **Step 3 — Closing stock and the quick ratio.** Stock turnover 10 on cost of goods sold gives average stock = $\text{₹}4,21,875$, so **closing stock** = $(2 \times \text{₹}4,21,875) - \text{₹}6,50,500 = \text{₹}1,93,250$. SM §3.1(b): **Quick ratio** = $(\text{Current assets} - \text{stock}) \div \text{Current liabilities} = (\text{₹}7,50,000 - \text{₹}1,93,250) \div \text{₹}2,50,000 = 2.23 : 1$.
- (ii) **Fixed assets turnover ratio** = $\text{Sales} \div \text{Fixed assets} = \text{₹}56,25,000 \div \text{₹}15,00,000 = 3.75$ times.
- **Step 4 — EBIT, interest and profit.** Return on total assets (pre-tax) 15% gives **EBIT** = $15\% \text{ of } \text{₹}22,50,000 = \text{₹}3,37,500$. Owned funds = total assets – current liabilities – loan funds; with loan funds to owned funds at 1:3, the loan funds follow, and **interest** = $9\% \text{ of loan funds}$. **EBT** = **EBIT** – interest; **PAT** = **EBT** $\times 0.75$.
- (iii) **Debt service coverage.** SM §3.2.2: Earnings available for debt service = **PAT** + depreciation + interest; **DSCR** = that figure $\div (\text{Interest} + \text{Future instalments of } \text{₹}2,00,000)$.
- (iv) **EPS** = $(\text{PAT} - \text{preference dividend of } 12\% \text{ on } \text{₹}2,50,000 = \text{₹}30,000) \div 75,000$ shares. (v) **P/E ratio** = $\text{₹}20 \div \text{EPS}$.
- This single RTP question walks through four of the chapter's five families — liquidity, activity, coverage and market — which is why it is the best one to rehearse.

Conclusion: Five requirements from one data set; the opening move is current liabilities from working capital.

🔗 **Keywords:** net working capital · total assets turnover · debt service coverage · price-earnings ratio

■ **OFFICIAL ICAI QUESTION** · RTP Jan 2026 · FM Q6

Continuing the ABC Industries Ltd. question, the bank has raised issues on the accounts. The chief executive asks the statutory auditor to prepare a reply quoting the proper ratio for each

issue, in the format: issue, ratio, numerator, denominator, ideal ratio or range, the company's ratio, and whether it is favourable or adverse. One of the issues concerns the ratio that 'shows how many times the cash flow before interest and taxes covers all fixed financing charges'. Closing fixed assets, after providing 20% depreciation, constituted 60% of total assets; current assets comprise inventories, advance tax, prepaid insurance and receivables.

✓ MODEL ANSWER

- The ratio described is the **fixed charges coverage ratio** (SM Ch 3 §3.2.2): it shows how many times the cash flow before interest and taxes covers all fixed financing charges. Numerator: EBIT + depreciation. Denominator: interest + repayment of loan. A ratio of more than 1 is considered safe.
- For a **liquidity issue**, quote the current ratio (current assets ÷ current liabilities, generally acceptable at 2:1) or the quick ratio (current assets less inventories and prepaid expenses ÷ current liabilities, satisfactory at 1:1). Note that **prepaid insurance must be excluded from quick assets**, which is why the question lists it separately.
- For a **debt-servicing issue**, quote the debt service coverage ratio — earnings available for debt service ÷ (interest + instalments) — normally satisfactory at 1.5 to 2, or the interest coverage ratio, EBIT ÷ interest.
- For a **solvency issue**, quote the debt-equity ratio or the proprietary ratio; for an **efficiency issue**, the relevant turnover ratio.
- The answer format ICAI asks for is itself the lesson: every ratio has a numerator, a denominator, an ideal range where the study material gives one, and a verdict — and a ratio quoted without its ideal range answers nothing.

Conclusion: Match each issue to the ratio that measures it, and give the study material's benchmark where one exists.

 **Keywords:** fixed charges coverage · EBIT plus depreciation · ideal ratio · favourable or adverse

EXPECTED QUESTION · Practice question · Compute · 5 marks

A company reports earnings after tax of ₹6,00,000, depreciation ₹2,00,000, interest on a term loan ₹1,00,000, an annual loan instalment of ₹3,00,000, preference dividend ₹50,000 and equity dividend ₹1,50,000. The tax rate is 25%. Compute the debt service coverage ratio, the interest coverage ratio, the preference dividend coverage ratio, the equity dividend coverage ratio and the fixed charges coverage ratio, and comment.

✓ MODEL ANSWER

- **Working note — earnings available for debt service** = EAT + non-cash operating expenses + interest = ₹6,00,000 + ₹2,00,000 + ₹1,00,000 = **₹9,00,000**. **EBIT** = EAT ÷ (1 - t) + interest = ₹6,00,000 ÷ 0.75 + ₹1,00,000 = ₹8,00,000 + ₹1,00,000 = **₹9,00,000**.
- **Debt service coverage ratio** = Earnings available for debt service ÷ (Interest + Instalments) = ₹9,00,000 ÷ (₹1,00,000 + ₹3,00,000) = **2.25 times**, above the satisfactory range of 1.5 to 2.
- **Interest coverage ratio** = EBIT ÷ Interest = ₹9,00,000 ÷ ₹1,00,000 = **9 times**, a wide margin of safety; EBIT can decline considerably before interest becomes difficult to pay.
- **Preference dividend coverage ratio** = Earnings after taxes ÷ Preference dividend = ₹6,00,000 ÷ ₹50,000 = **12 times**.
- **Equity dividend coverage ratio** = (Earnings after taxes - Preference dividend) ÷ Equity dividend = (₹6,00,000 - ₹50,000) ÷ ₹1,50,000 = **3.67 times**.
- **Fixed charges coverage ratio** = (EBIT + Depreciation) ÷ (Interest + Repayment of loan) = (₹9,00,000 + ₹2,00,000) ÷ (₹1,00,000 + ₹3,00,000) = **2.75 times**, well above the 1 that the study material calls safe.

🔑 Keywords: earnings available for debt service · times interest earned · fixed charges coverage

✓ MCQ · Practice MCQ · Formula · Moderate

The fixed charges coverage ratio is computed as:

- (A) EBIT ÷ Interest
- (B) Earnings after taxes ÷ Preference dividend
- (C) (EBIT + Depreciation) ÷ (Interest + Repayment of loan)
- (D) Earnings available for debt service ÷ Interest

✓ ANSWER: (C)

SM §3.2.2: the fixed charges coverage ratio shows how many times the cash flow before interest and taxes covers all fixed financing charges; a ratio of more than 1 is considered safe.

- (A) X That is the interest coverage ratio.
- (B) X That is the preference dividend coverage ratio.
- (D) X DSCR divides by interest plus instalments.

🚫 **Trap:** All four coverage ratios look alike; the depreciation add-back marks out the fixed charges ratio.

Topic: FM Ch 3 §3.2.2

✓ MCQ · Practice MCQ · Reasoning · Moderate

Earnings before interest and taxes is used in the numerator of the interest coverage ratio because:

- (A) The ability to pay interest is not affected by the tax burden, interest on debt funds being a deductible expense
- (B) Interest is paid out of post-tax profits
- (C) EBIT is always higher than EAT
- (D) Tax is a fixed financing charge

✓ ANSWER: (A)

SM §3.2.2 gives exactly this reason: interest on debt funds is a deductible expense, so the ability to pay interest is not affected by the tax burden.

- (B) X Interest is charged before tax.
- (C) X True arithmetically but not the reason the study material gives.
- (D) X Tax is not a fixed financing charge.

🚫 **Trap:** Option C is factually true yet is not the reason; ICAI marks the reason.

Topic: FM Ch 3 §3.2.2

□ QUICKRECAP

- Coverage ratios measure the ability to service fixed claims: interest, preference dividend and repayment.
- DSCR 1.5–2 satisfactory; fixed charges coverage above 1 is safe.
- Interest coverage uses EBIT because interest is tax-deductible.
- Calculate on the information available, state assumptions, and keep numerator and denominator in correspondence.

3.3 Activity Ratios (Efficiency, Performance or Turnover Ratios)

🔗 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (May 2025 Q1(a), Jan 2026 Q1(a)) · RTP 2 (Sep 2024, Sep 2026) · MTP 3 (Jan 2026 both series, Sep 2024 Series I)

■ UNDERSTAND IT

These ratios are employed to **evaluate the efficiency with which the firm manages and utilises its assets**, and for that reason are often called **'asset management ratios'**. They usually indicate the frequency of sales with respect to its assets — capital assets, working capital or average inventory — and are usually calculated with reference to sales or cost of goods sold and expressed in terms of rate or times.

(a) **Total asset turnover ratio = Sales or Cost of Goods Sold ÷ Total Assets**. It measures the efficiency with which the firm uses its total assets; **higher the ratio, better it is**. A high ratio indicates **efficient utilisation of total assets in generation of sales**; a low ratio indicates total assets are not efficiently used.

(b) **Fixed assets turnover ratio = Sales or Cost of Goods Sold ÷ Fixed Assets**. A high ratio indicates efficient utilisation of fixed assets in generating sales. The study material's caution: **a firm whose plant and machinery are old may show a higher fixed assets turnover ratio than a firm which has purchased them recently** — because the older assets carry a lower written-down value.

(c) **Capital turnover ratio or net asset turnover ratio = Sales or Cost of Goods Sold ÷ Net Assets**. Since **net assets equals capital employed**, it is also known as the capital turnover ratio. It indicates the firm's **ability to generate sales or cost of goods sold per rupee of long-term investment**; the higher the ratio, the more efficient the utilisation of owner's and long-term creditors' funds.

(d) **Current assets turnover ratio = Sales or Cost of Goods Sold ÷ Current Assets**, measuring the efficiency of using current assets. (e) **Working capital turnover ratio = Sales or Cost of Goods Sold ÷ Working Capital**, measuring how effective a company is at generating sales for every rupee of working capital put to use. The higher the ratio, the more efficient the utilisation of working capital — however, a very high working capital turnover ratio indicates that the company needs to raise additional working capital for future needs. Working capital turnover is further segregated into **inventory turnover, debtors turnover and creditors turnover**.

(i) **Inventory or stock turnover ratio** establishes the relationship between the **cost of goods sold during the year and the average inventory held during the year** and measures the efficiency with which a firm utilises or manages its inventory. **Inventory Turnover Ratio = Cost of Goods Sold (or Sales) ÷ Average Inventory**, where **Average Inventory = (Opening Stock + Closing Stock) ÷ 2**. For raw material, **Raw Material Inventory Turnover Ratio = Raw**

$\text{Material Consumed} \div \text{Average Raw Material Stock}$.== It indicates how fast inventory is used or sold: a high ratio is good from the viewpoint of liquidity; a low ratio would indicate that inventory is not used, sold or lost and stays on a shelf or in the warehouse for a long time.

(ii) **Receivables (debtors) turnover ratio.** Where a firm sells goods on credit, realisation of sales revenue is delayed and receivables are created. The speed with which these receivables are collected affects the liquidity position of the firm. The ratio throws light on the collection and credit policies of the firm. == $\text{Receivables Turnover Ratio} = \text{Credit Sales} \div \text{Average Accounts Receivable}$.== A low debtors turnover ratio reflects liberal credit terms granted to customers; a high ratio shows that collections are made rapidly. == $\text{Receivables velocity or average collection period} = \text{Average Accounts Receivable} \div \text{Average Daily Credit Sales}$, or 12 months / 52 weeks / 360 days $\div$ $\text{Receivables Turnover Ratio}$ ==, where average daily credit sales = $\text{credit sales} \div \text{number of days in the year (say 360)}$. It measures the average number of days it takes to collect an account receivable and is also referred to as the number of days of receivable or the number of days' sales in receivables.

(iii) **Payables turnover ratio** is calculated on the same lines and measures how fast a company makes payment to its creditors, showing the velocity of payables payment. == $\text{Payables Turnover Ratio} = \text{Annual Net Credit Purchases} \div \text{Average Accounts Payable}$.== A low creditors turnover ratio reflects liberal credit terms granted by suppliers; a high ratio shows accounts are settled rapidly. == $\text{Payables velocity or average payment period} = \text{Average Accounts Payable} \div \text{Average Daily Credit Purchases}$, or 12 months / 52 weeks / 360 days $\div$ $\text{Payables Turnover Ratio}$.== The firm can compare what credit period it receives from suppliers with what it offers to customers, and against the industry average.

The study material notes that ****inventory turnover, receivables turnover and payables turnover are also relevant to examine the liquidity of an organisation****.

The study material's notes for calculating these ratios. (1) ****Only selling and distribution expenses differentiate Cost of Goods Sold (COGS) and Cost of Sales (COS); in their absence COGS will be equal to Cost of Sales.**** (2) Cost of goods sold or cost of sales can be used to calculate turnover ratios, eliminating the profit part. (3) Average total assets, fixed assets, current assets, net assets or working capital can also be taken in the denominator; in fact when average figures are available it may be preferred to use them. (4) Ratios shall be calculated based on requirement and availability of information and may deviate from the original formulae; if required, assumptions should be given.

e.g. Cost of goods sold ₹36,00,000, opening stock ₹2,50,000 and closing stock ₹3,50,000 give an average inventory of ₹3,00,000 and an inventory turnover of 12 times — inventory is held, on average, for 30 days of a 360-day year.

KEY FRAMEWORK / FORMULA · Correspondence rule (SM §3.3)

Requirement: Cost of goods sold with average inventory; credit sales with average receivables; credit purchases with average payables. The numerator must correspond to the denominator.

Exam angle: ICAI questions routinely say 'based on cost of goods sold' or 'all sales are credit sales' — the instruction is the mark.

KEY FRAMEWORK / FORMULA · COGS versus cost of sales (SM §3.3)

Requirement: Only selling and distribution expenses differentiate the two; in their absence they are equal.

Exam angle: Reverse-working questions hinge on this when both figures are given.

ICAI KEYWORDS

asset management ratios · frequency of sales · total asset turnover · fixed assets turnover · capital turnover · net asset turnover · current assets turnover · working capital turnover · average inventory · raw material consumed · credit sales · average accounts receivable · average collection period · number of days' sales in receivables · annual net credit purchases · average payment period

MEMORY TRICK

Every turnover ratio is a flow over a stock: put the flow (sales, cost of goods sold, purchases, consumption) on top and the thing being turned over underneath. Turn the ratio upside down and multiply by 360 to get days.

Cue	Stands for
Inventory turnover	$COGS \div \text{Average inventory}$
Raw material turnover	$\text{Raw material consumed} \div \text{Average raw material stock}$

Receivables turnover	$\text{Credit sales} \div \text{Average receivables}$
Payables turnover	$\text{Annual net credit purchases} \div \text{Average payables}$
Days	$360 \div \text{turnover ratio}$
Working capital turnover	Very high means more working capital will be needed

⚡ 3-second trigger: Flow over stock; 360 over turnover

📌 COMMON MISTAKE / CONFUSION

- Using sales when the question says 'based on cost of goods sold'.
- Using total sales instead of credit sales for the receivables turnover ratio.
- Using closing stock instead of average stock when both opening and closing figures are given.
- Reading a very high working capital turnover as purely good; the study material says it signals a need to raise more working capital.

Basis	Receivables turnover	Payables turnover
Formula	$\text{Credit sales} \div \text{Average accounts receivable}$	$\text{Annual net credit purchases} \div \text{Average accounts payable}$
A low ratio means	Liberal credit terms granted to customers	Liberal credit terms granted by suppliers
A high ratio means	Collections are made rapidly	Accounts are settled rapidly
Days version	Average collection period	Average payment period

🔗 INTEGRATION LINK

🔗 FM Ch 9 §5: the operating cycle is these same periods added together

🔗 INTEGRATION LINK

🔗 FM Ch 3 §3.1: the study material says liquidity ratios must be read with turnover ratios

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute a named set of turnover ratios and holding periods (May 2025 Q1(a), Jan 2026 Q1(a))
- Find a missing balance-sheet figure from a turnover ratio
- MCQ on the creditors turnover formula (RTP Sep 2024, Sep 2026)

How to attack it:

- Build cost of goods sold first — opening stock + purchases – closing stock — then work each ratio
- Convert to days by dividing 360 by the turnover ratio

📖 What ICAI has done so far: PYQ May 2025 · Q1(a); PYQ Jan 2026 · Q1(a); RTP Sep 2024 · FM Q2; RTP Sep 2026 · FM Q3; MTP Jan 2026 Series I · FM Q1(b); MTP Jan 2026 Series II · FM Q1(a); MTP Sep 2024 Series I · FM Q1(a).

🕒 Time / length guide (study guidance): 5 marks ≈ 9 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- Working note deriving sales, COGS and purchases
- Formula for each ratio
- Substitution and answer in times
- Days version where asked

🔑 Keywords: average inventory · credit sales · net credit purchases

📏 Ideal length: 5 marks: one working note plus each ratio asked

📊 Conclusion pattern: Compare the collection period with the payment period — that gap is where working capital is locked up.

⊘ DON'T WRITE THIS

- Mixing sales into one ratio and cost of goods sold into another without saying why

📖 Questions on this topic — ICAI questions first, then practice

📌 OFFICIAL ICAI QUESTION · RTP Sep 2026 · FM Q3

MT Ltd.'s opening stock was ₹3,20,000 and closing stock ₹4,80,000, with given sales and gross profit. Compute the creditors turnover ratio.

✓ **MODEL ANSWER**

- **Creditors Turnover Ratio = Purchases ÷ Average Accounts Payable.**
- Purchases are derived from cost of goods sold: **Cost of Goods Sold = Opening Stock + Purchases – Closing Stock**, so **Purchases = Cost of Goods Sold – Opening Stock + Closing Stock.**
- **Average accounts payable = (Opening creditors + Closing creditors) ÷ 2.**
- ICAI's working shows the same chain in its Sep 2024 RTP for KT Ltd., where the opening stock was ₹2,50,000 and the closing stock ₹3,75,000.

Conclusion: The examinable step is deriving purchases from cost of goods sold, not the division itself.

🔑 **Keywords:** purchases · average accounts payable · cost of goods sold

📁 **Also asked as:** RTP Sep 2024 · FM Q2 (KT Ltd — same creditors turnover chain)

■ **OFFICIAL ICAI QUESTION** · PYQ Jan 2026 · Q1(a) · 5 marks

From the books of AIL Limited for 2024–25: gross profit margin (25% of sales) ₹30,00,000; inventory holding period 28 days; opening inventory ₹8,00,000; current ratio 1.20; quick ratio 0.80; selling and distribution expenses ₹12,00,000; depreciation and other non-cash expenses ₹4,80,000. Assume 360 days. Calculate (i) inventory as on 31.03.2025, (ii) working capital, (iii) basic defense interval.

✓ **MODEL ANSWER**

- **Step 1 — Sales and cost of goods sold.** Gross profit is ₹30,00,000 and is 25% of sales, so **Sales = ₹30,00,000 ÷ 0.25 = ₹1,20,00,000** and **Cost of goods sold = ₹1,20,00,000 – ₹30,00,000 = ₹90,00,000.**
- **Step 2 — Average and closing inventory.** Inventory holding period 28 days means the inventory turnover ratio is $360 \div 28$ times. **Average inventory = Cost of goods sold ÷ Inventory turnover = ₹90,00,000 × 28 ÷ 360 = ₹7,00,000.** Since average inventory = (opening + closing) ÷ 2 and opening inventory is ₹8,00,000, **closing inventory = (2 × ₹7,00,000) – ₹8,00,000 = ₹6,00,000.**
- **Step 3 — Working capital.** The gap between the current ratio and the quick ratio is inventory: **current assets – quick assets = inventory**, i.e. $(1.20 - 0.80) \times \text{current liabilities}$

= ₹6,00,000, so **current liabilities** = ₹6,00,000 ÷ 0.40 = ₹15,00,000 and **current assets** = 1.20 × ₹15,00,000 = ₹18,00,000. **Working capital** = ₹18,00,000 - ₹15,00,000 = ₹3,00,000.

- **Step 4 — Basic defense interval.** SM §3.1(d): (Current assets – prepaid expenses – inventories) ÷ Daily operating expenses. **Liquid assets** = ₹18,00,000 - ₹6,00,000 = ₹12,00,000. **Daily operating expenses** = (Cost of goods sold + selling and distribution expenses – depreciation and other non-cash expenses) ÷ 360 = (₹90,00,000 + ₹12,00,000 - ₹4,80,000) ÷ 360 = ₹97,20,000 ÷ 360 = ₹27,000. **Basic defense interval** = ₹12,00,000 ÷ ₹27,000 = 44.44 days (approx.).
- The chain to remember: gross profit ratio gives sales and cost of goods sold; the holding period gives average and then closing inventory; the gap between the current and quick ratios gives current liabilities.

Conclusion: Three requirements, but one chain — sales, then inventory, then the two ratios, then the defense interval.

 **Keywords:** inventory holding period · gap between current and quick ratio · daily operating expenses · basic defense interval

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

OFFICIAL ICAI QUESTION · MTP Jan 2026 Series I · FM Q1(b) · 5 marks

Prashuk Ltd.: fixed assets turnover ratio (based on cost of sales) 8 times; capital turnover ratio (based on cost of sales) 2 times; inventory turnover 8 times; receivable turnover 4 times; payable turnover 6 times; GP ratio 25%. Gross profit for the year is ₹8,00,000. There is no long-term loan or overdraft. Reserves and surplus amount to ₹2,00,000. Ending inventory is ₹20,000 above the beginning inventory. Determine the various assets and liabilities of the company.

✓ MODEL ANSWER

- **Step 1 — Sales and cost of sales.** Gross profit is 25% of sales and amounts to ₹8,00,000, so **Sales** = ₹32,00,000 and **cost of sales** = ₹24,00,000.
- **Step 2 — Fixed assets and capital employed.** Fixed assets turnover 8 times on cost of sales gives **fixed assets** = ₹24,00,000 ÷ 8 = ₹3,00,000. Capital turnover 2 times gives **capital employed** = ₹24,00,000 ÷ 2 = ₹12,00,000.

- **Step 3 — Inventory.** Inventory turnover 8 times on cost of sales gives an **average inventory of ₹3,00,000**; since ending inventory is ₹20,000 above the beginning, **closing inventory = ₹3,10,000 and opening inventory = ₹2,90,000**.
- **Step 4 — Receivables and payables.** Receivable turnover 4 times on sales gives **receivables = ₹32,00,000 ÷ 4 = ₹8,00,000**. Purchases = cost of sales – opening inventory + closing inventory = ₹24,00,000 + ₹20,000 = ₹24,20,000, so **payables = ₹24,20,000 ÷ 6 = ₹4,03,333 (approx.)**.
- **Step 5 — The funding side.** With no long-term loan or overdraft, capital employed of ₹12,00,000 is share capital plus reserves and surplus of ₹2,00,000, so **share capital = ₹10,00,000**; cash is the balancing current asset.
- The instruction 'based on cost of sales' appears twice here and is the marks: using sales instead would inflate both fixed assets and capital employed.

Conclusion: Five turnover ratios, five figures — each one a single division once sales and cost of sales are known.

 **Keywords:** based on cost of sales · capital turnover · payable turnover · balancing figure

OFFICIAL ICAI QUESTION · MTP Jan 2026 Series II · FM Q1(a) · 5 marks

A concern reports: debtors velocity 3 months; creditors velocity 2 months; stock turnover ratio 1.5; gross profit ratio 25%; bills receivable ₹25,000; bills payable ₹10,000; gross profit ₹4,00,000; fixed assets to turnover ratio 4. Closing stock is ₹10,000 above the opening stock. Calculate (i) sales and cost of goods sold, (ii) sundry debtors, (iii) sundry creditors, (iv) closing stock, (v) fixed assets.

MODEL ANSWER

- (i) **Sales and cost of goods sold.** Gross profit is 25% of sales and is ₹4,00,000, so **Sales = ₹16,00,000 and Cost of goods sold = ₹12,00,000**.
- (ii) **Sundry debtors.** Debtors velocity 3 months gives total receivables = ₹16,00,000 × 3 ÷ 12 = ₹4,00,000. Bills receivable of ₹25,000 form part of that, so **sundry debtors = ₹4,00,000 – ₹25,000 = ₹3,75,000**.
- (iii) **Sundry creditors.** Purchases = Cost of goods sold + increase in stock = ₹12,00,000 + ₹10,000 = ₹12,10,000. Creditors velocity 2 months gives total payables = ₹12,10,000 × 2 ÷ 12 = ₹2,01,667, and deducting bills payable of ₹10,000 leaves **sundry creditors = ₹1,91,667 (approx.)**.

- (iv) **Closing stock.** Stock turnover 1.5 on cost of goods sold gives an average stock of $\text{₹}12,00,000 \div 1.5 = \text{₹}8,00,000$; with closing ₹10,000 above opening, **closing stock = ₹8,05,000** and opening stock = ₹7,95,000.
- (v) **Fixed assets.** Fixed assets to turnover ratio 4 gives **fixed assets = ₹16,00,000 $\div$ 4 = ₹4,00,000.**
- The two traps: bills receivable and bills payable must be **deducted** from the total to reach sundry debtors and sundry creditors, and purchases, not cost of goods sold, drive the creditors velocity.

Conclusion: Five requirements; the bills receivable and bills payable adjustments are where marks are lost.

 **Keywords:** debtors velocity · creditors velocity · bills receivable · purchases

EXPECTED QUESTION · Practice question · Compute · 5 marks

A company reports sales of ₹48,00,000 (all on credit), a gross profit ratio of 25%, opening stock ₹2,50,000, closing stock ₹3,50,000, opening debtors ₹5,50,000, closing debtors ₹6,50,000, opening creditors ₹3,00,000 and closing creditors ₹3,60,000. All purchases are on credit. Assume a 360-day year. Compute the inventory turnover ratio, the receivables turnover ratio and collection period, and the payables turnover ratio and payment period.

MODEL ANSWER

- **Working note 1 — Cost of goods sold** = Sales – Gross profit = ₹48,00,000 – 25% of ₹48,00,000 = **₹36,00,000.**
- **Working note 2 — Purchases** = Cost of goods sold – Opening stock + Closing stock = ₹36,00,000 – ₹2,50,000 + ₹3,50,000 = **₹37,00,000.**
- **Inventory turnover ratio** = Cost of goods sold $\div$ Average inventory = ₹36,00,000 $\div$ $[(\text{₹}2,50,000 + \text{₹}3,50,000) \div 2]$ = ₹36,00,000 $\div$ ₹3,00,000 = **12 times**; inventory holding period = $360 \div 12 =$ **30 days.**
- **Receivables turnover ratio** = Credit sales $\div$ Average accounts receivable = ₹48,00,000 $\div$ $[(\text{₹}5,50,000 + \text{₹}6,50,000) \div 2]$ = ₹48,00,000 $\div$ ₹6,00,000 = **8 times**; average collection period = $360 \div 8 =$ **45 days.**
- **Payables turnover ratio** = Annual net credit purchases $\div$ Average accounts payable = ₹37,00,000 $\div$ $[(\text{₹}3,00,000 + \text{₹}3,60,000) \div 2]$ = ₹37,00,000 $\div$ ₹3,30,000 = **11.21 times**; average payment period = $360 \div 11.21 =$ **32 days (approx.).**

- Comment: the firm collects in 45 days but pays in 32, so it funds a 13-day gap plus 30 days of stock out of its own working capital.

🔑 Keywords: **cost of goods sold** · **average inventory** · **collection period** · **payment period**

✓ MCQ · Practice MCQ · Formula · Easy

The raw material inventory turnover ratio is computed as:

- (A) Raw material consumed ÷ Average raw material stock
- (B) Sales ÷ Average raw material stock
- (C) Purchases ÷ Closing raw material stock
- (D) Cost of goods sold ÷ Average total inventory

✓ ANSWER: (A)

SM §3.3: in the case of inventory of raw material, the ratio is raw material consumed ÷ average raw material stock.

- (B) X Sales include profit and the finished-goods stage.
- (C) X The denominator should be the average, not the closing, stock.
- (D) X That is the general inventory turnover ratio.

🚫 Trap: Consumption, not purchases, is the flow that turns raw material over.

Topic: FM Ch 3 §3.3

✓ MCQ · Practice MCQ · Interpretation · Moderate

As per the study material, a firm whose plant and machinery are old is likely to show:

- (A) A lower fixed assets turnover ratio than a firm that bought them recently
- (B) A lower inventory turnover ratio
- (C) A higher fixed assets turnover ratio than a firm that bought them recently
- (D) A higher current ratio

✓ ANSWER: (C)

SM §3.3: a firm whose plant and machinery are old may show a higher fixed assets turnover ratio than a firm which has purchased them recently, because the written-down value in the denominator is lower.

- (A) X The opposite of the study material's caution.
- (B) X Inventory turnover is unrelated to the age of fixed assets.

- (D) X Fixed assets do not enter the current ratio.

 **Trap:** A 'better' ratio here can be an accident of depreciation, not of efficiency.

Topic: FM Ch 3 §3.3

☐ QUICK RECAP

- Activity ratios are asset management ratios: a flow over the asset being turned over.
- Inventory: $COGS \div \text{average inventory}$. Receivables: $\text{credit sales} \div \text{average receivables}$. Payables: $\text{credit purchases} \div \text{average payables}$.
- Days = $360 \div \text{the turnover ratio}$.
- COGS and cost of sales differ only by selling and distribution expenses.

3.4–3.4.1 Profitability Ratios and those Based on Sales

 High Exam Activity |  Asked across PYQ / RTP / MTP | Asked: PYQ 1 (May 2024 Q1(a)) · MTP 2 (Mar 2024 Series II, Sep 2025 Series II)

UNDERSTAND IT

****Profitability ratios measure the profitability or the operational efficiency of the firm****; they ****reflect the final results of business operations**** and are ****some of the most closely watched and widely quoted ratios****. Management attempts to maximise them ****to maximise the firm's value****.

Results can be evaluated with reference to a given level of assets, or sales, or owner's interest, so profitability ratios fall into four categories: (i) related to sales, (ii) related to overall return on investment, (iii) required for analysis from the owner's point of view, (iv) related to market, valuation and investors.

(a) Gross profit ratio or gross profit margin $=== (\text{Gross Profit} \times 100) \div \text{Sales} ===$. It measures the percentage of each sale in rupees remaining after payment for the goods sold. It depends on the relationship between sales price, volume and costs, and a high gross profit margin is a favourable sign of good management.

(b) Net profit ratio or net profit margin measures the relationship between net profit and sales. Depending on the concept of net profit: $== \text{Net Profit Ratio} = (\text{Net Profit} \times 100) \div \text{Sales}$, or $(\text{Earnings after taxes} \times 100) \div \text{Sales}$; and $\text{Pre-tax Profit Ratio} = (\text{Earnings before$

$\text{taxes} \times 100) \div \text{Sales}$.== It finds the proportion of revenue that finds its way into profits after meeting all expenses; a high ratio indicates positive returns from the business.

(c) Operating profit ratio is calculated to evaluate the operating performance of the business.

==Operating Profit Ratio = $(\text{Operating Profit} \times 100) \div \text{Sales}$, or $(\text{EBIT} \times 100) \div \text{Sales}$, where

Operating Profit = Sales – Cost of Goods Sold – Operating Expenses.== It measures the percentage of each sale in rupees that remains after payment of all costs and expenses except interest and taxes. It is followed closely by analysts because it focuses on operating results, and operating profit is often referred to as earnings before interest and taxes.

(d) Expenses ratios, in four variants: ==Cost of Goods Sold Ratio = $(\text{COGS} \times 100) \div \text{Sales}$;

Operating Expenses Ratio = $[(\text{Administrative expenses} + \text{Selling and Distribution overheads}) \times 100] \div \text{Sales}$; Operating Ratio = $[(\text{COGS} + \text{Operating expenses}) \times 100] \div \text{Sales}$; Financial

Expenses Ratio = $(\text{Financial expenses} \times 100) \div \text{Sales}$ ==, where financial expenses exclude taxes, loss due to theft, goods destroyed by fire and the like. Administration expenses ratio and selling and distribution expenses ratio can be calculated in similar ways.

e.g. Sales ₹50,00,000, cost of goods sold ₹35,00,000 and operating expenses ₹7,50,000 give a gross profit ratio of 30%, an operating ratio of 85% and an operating profit ratio of 15%.

Operating ratio and operating profit ratio always add to 100%.

KEY FRAMEWORK / FORMULA · Operating profit (SM §3.4.1)

Requirement: Sales – cost of goods sold – operating expenses, i.e. EBIT; the ratio measures what is left of each rupee of sale after all costs except interest and taxes.

Exam angle: The bridge between this chapter and leverage: EBIT here is the EBIT of Chapter 6.

ICAI KEYWORDS

operational efficiency · final results of business operations · gross profit margin · favourable sign of good management · net profit ratio · pre-tax profit ratio · operating profit ratio · focuses on operating results · cost of goods sold ratio · operating expenses ratio · operating ratio · financial expenses ratio

MEMORY TRICK

Walk down the profit and loss account: *Gross* → *Operating* → *Pre-tax* → *Net*. Each has its own ratio, and each drops one more layer of cost.

Cue	Stands for
Gross profit ratio	$\text{Gross profit} \div \text{Sales} \cdot \text{after cost of goods sold}$
Operating profit ratio	$\text{EBIT} \div \text{Sales} \cdot \text{after operating expenses too}$
Pre-tax profit ratio	$\text{EBT} \div \text{Sales} \cdot \text{after interest}$
Net profit ratio	$\text{EAT} \div \text{Sales} \cdot \text{after tax}$
Operating ratio	$(\text{COGS} + \text{operating expenses}) \div \text{Sales} \cdot \text{the mirror of the operating profit ratio}$

⚡ 3-second trigger: Gross, Operating, Pre-tax, Net

■ COMMON MISTAKE / CONFUSION

- Confusing the operating ratio (costs over sales) with the operating profit ratio (profit over sales); they are complements.
- Including interest in operating expenses; operating profit is struck before interest and taxes.
- Including taxes or abnormal losses in financial expenses.

🔗 INTEGRATION LINK

🔗 FM Ch 6: EBIT drives operating and financial leverage

🔗 INTEGRATION LINK

🔗 FM Ch 3 §3.4.2: these margins multiply with turnover to give return on investment

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute gross profit, operating and net profit ratios in a named list (May 2024 Q1(a))
- Derive sales or cost of goods sold backwards from the gross profit ratio in a reverse-working question

How to attack it:

- Lay out a small profit and loss statement first; every ratio then falls out of it

 What ICAI has done so far: PYQ May 2024 · Q1(a); MTP May 2024 Series II · FM Q3(a); MTP Sep 2025 Series II · FM Q1(b).

 Time / length guide (study guidance): 5 marks $\approx$ 9 minutes (study guidance).

Questions on this topic — ICAI questions first, then practice

☒ MCQ · Practice MCQ · Definition · Easy

Operating profit, as defined in the study material, is:

- (A) Sales – Cost of goods sold
- (B) Sales – Cost of goods sold – Operating expenses – Interest
- (C) Earnings after taxes
- (D) Sales – Cost of goods sold – Operating expenses

 ANSWER: (D)

SM §3.4.1: Operating Profit = Sales – Cost of Goods Sold – Operating Expenses, and is often referred to as earnings before interest and taxes.

- (A) X That is gross profit.
- (B) X Deducting interest gives earnings before taxes.
- (C) X That is net profit after tax.

 Trap: Operating profit stops before interest; that is the whole point of the ratio.

Topic: FM Ch 3 §3.4.1

☒ MCQ · Practice MCQ · Composition · Moderate

The financial expenses ratio, as per the study material, excludes:

- (A) Interest on debentures
- (B) Interest on bank borrowings
- (C) Taxes and losses due to theft or goods destroyed by fire
- (D) Interest on public deposits

✓ ANSWER: (C)

SM §3.4.1 footnote: financial expenses exclude taxes, loss due to theft, goods destroyed by fire and the like.

- (A) X Interest is a financial expense.
- (B) X Interest is a financial expense.
- (D) X Interest is a financial expense.

🚫 **Trap:** Abnormal losses and tax are not financing costs, however much they reduce profit.

Topic: FM Ch 3 §3.4.1

□ QUICKRECAP

- Profitability ratios reflect the final results of operations, in four families.
- Gross profit ratio, net profit ratio, pre-tax profit ratio, operating profit ratio — walk down the profit and loss account.
- Operating profit = sales – COGS – operating expenses = EBIT.
- Expenses ratios: COGS, operating expenses, operating and financial expenses, each over sales.

3.4.2 Profitability Ratios Related to Overall Return on Assets or Investments

🔗 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (Sep 2025 Q1(b)) · RTP 2 (Jan 2026 Du Pont, Sep 2026) · MTP 2 (Mar 2024 Series II, May 2026 Series I)

▣ UNDERSTAND IT

****Return on Investment (ROI) is the most important ratio of all.** It is the **percentage of return on funds invested in the business by its owners** and tells the owner ****whether or not all the effort put into the business has been worthwhile****.** $ROI = (\text{Return or Profit or Earnings} \times 100) \div \text{Investment}$, which can be split as $(\text{Return} \div \text{Sales}) \times (\text{Sales} \div \text{Investment}) =$

Profitability Ratio × Investment Turnover Ratio. So ****ROI can be improved either by improving the profitability ratio, or the investment turnover ratio, or both****.

Investment may be total assets or net assets; funds employed in net assets are also known as capital employed, which is net worth plus debt, where net worth is the equity shareholders' fund. The three broad categories are Return on Assets (ROA) — including Return on Total

Assets (ROTA) and Return on Net Assets (RONA) — Return on Capital Employed (ROCE), and Return on Equity (ROE).

(i) Return on Assets (ROA) measures profitability in terms of assets employed to earn that profit. $\text{ROA} = \text{Net Profit after taxes} \div \text{Average Total Assets}$ (or Average Tangible Assets, or Average Fixed Assets); sometimes ****total assets may be used instead of average assets****. Here net profit is exclusive of interest; because ****assets are also financed by lenders****, ROA can also be computed as $(\text{Net Profit after taxes} + \text{Interest}) \div \text{Average Total/Tangible/Fixed Assets}$, or $\text{EBIT}(1 - t) \div \text{Average Total Assets}$ — known as Return on Total Assets (ROTA) — or $\text{EBIT}(1 - t) \div \text{Average Net Assets}$ — known as Return on Net Assets (RONA).==

(ii) Return on Capital Employed (ROCE), another variation of ROI: $\text{ROCE (Pre-tax)} = (\text{EBIT} \times 100) \div \text{Capital Employed}$; $\text{ROCE (Post-tax)} = [\text{EBIT}(1 - t) \times 100] \div \text{Capital Employed}$; sometimes also **** $[(\text{Net Profit after taxes} + \text{Interest}) \times 100] \div \text{Capital Employed}$ ****. Capital Employed = Total Assets – Current Liabilities, or Fixed Assets + Working Capital, or Equity + Long Term Debt.== ****ROCE should always be higher than the rate at which the company borrows.**** Intangible assets (goodwill, patents, trade marks) should be included in capital employed, but no fictitious asset (such as deferred expenses) should be included. If information is available, average capital employed shall be taken.

(iii) Return on Equity (ROE) measures the profitability of equity funds invested in the firm and reveals how profitably the owners' funds have been utilised. $\text{ROE} = [(\text{Net Profit after taxes} - \text{Preference dividend, if any}) \div \text{Net Worth or Equity Shareholders' Funds}] \times 100$.== It is one of the most important indicators of a firm's profitability and potential growth: companies with a high ROE and little or no debt can grow without large capital expenditures. The study material's caution: two companies can have the same return on equity, yet one can be a much better business. If return on total shareholders is calculated, net profit after taxes before preference dividend is divided by the total shareholders' fund including preference share capital.

The Du Pont model. A finance executive at E.I. Du Pont de Nemours and Co. created the DuPont system of financial analysis in 1919. Its three components are the net profit margin, the asset turnover and the equity multiplier. (i) Profitability or net profit margin = $\text{Profit or Net Income} \div \text{Sales or Revenue}$ — the after-tax profit per rupee of revenue; it varies across industries, and it is not uncommon for management purposely to lower the net profit margin in a bid to attract higher sales. The study material calls the margin a safety cushion: the lower the margin, the less room for an error — a business with a 1% margin has no room for

flawed execution. (ii) Investment turnover, asset turnover or capital turnover = $\text{Sales or Revenue} \div \text{Investment, Assets or Capital}$ — how effectively a company converts its assets into sales; it tends to be inversely related to the net profit margin. (iii) Equity multiplier = $\text{Investment, Assets or Capital} \div \text{Shareholders' Equity}$ — a measure of financial leverage that allows the investor to see what portion of the return on equity is the result of debt, since a company with terrible sales and margins can take on excessive debt and artificially increase its return on equity.

==Return on Equity = Net Profit Margin $\times$ Asset Turnover $\times$ Equity Multiplier.== The study material's worked example: revenue ₹29,261, net income ₹4,212, assets ₹27,987 and shareholders' equity ₹13,572 give a net profit margin of **14.39%**, an asset turnover of **1.0455** and an equity multiplier of **2.0621**, so $\text{ROE} = 0.1439 \times 1.0455 \times 2.0621 = 31.02\%$. Leaving out the equity multiplier shows what the company would earn if it were completely debt-free: ROE drops to **15.04%** (0.1439×1.0455). So **15.04% of the return on equity was due to profit margins and sales, while the remaining 15.98% was due to returns earned on the debt at work in the business** — and a company at a comparable valuation with the same ROE but a higher internally generated portion **would be more attractive**.

e.g. EBIT ₹12,00,000, tax 30%, total assets ₹60,00,000 and current liabilities ₹10,00,000 give capital employed of ₹50,00,000, a pre-tax ROCE of 24% and a post-tax ROCE of 16.8%. If the company borrows at 12%, the 24% pre-tax ROCE clears the study material's test comfortably.

KEY FRAMEWORK / FORMULA · ROCE test (SM §3.4.2)

Requirement: ROCE should always be higher than the rate at which the company borrows; intangible assets are included in capital employed, fictitious assets are not.

Exam angle: A one-line comment that earns a mark in 'compute and comment' questions.

KEY FRAMEWORK / FORMULA · Du Pont identity (SM §3.4.2)

Requirement: $\text{ROE} = \text{net profit margin} \times \text{asset turnover} \times \text{equity multiplier}$, where the equity multiplier is assets over shareholders' equity.

Exam angle: Set as an MCQ in the January 2026 RTP: $\text{ROE} = \text{NPM} \times \text{TATR} \times (\text{assets} \div \text{equity})$.

ICAI KEYWORDS

return on investment · profitability ratio · investment turnover ratio · return on assets · return on total assets · return on net assets · return on capital employed · capital employed · higher than the rate at which the company borrows · fictitious asset · return on equity · net worth · Du Pont · net profit margin · asset turnover · equity multiplier · safety cushion

MEMORY TRICK

$ROI = \text{margin} \times \text{turnover}$. Du Pont just adds a third lever: $ROE = \text{margin} \times \text{turnover} \times \text{leverage}$. Raise any one and the return rises — but the third one is borrowed, not earned.

Cue	Stands for
ROI	$\text{Profit} \div \text{Investment} = \text{Profitability ratio} \times \text{Investment turnover ratio}$
ROA / ROTA / RONA	$\text{EBIT}(1 - t) \text{ over average total or net assets}$
ROCE	$\text{EBIT} \div \text{Capital employed (Total assets - Current liabilities)}$
ROE	$(\text{PAT} - \text{Preference dividend}) \div \text{Net worth}$
Du Pont	$\text{ROE} = \text{Net profit margin} \times \text{Asset turnover} \times \text{Equity multiplier}$

⚡ 3-second trigger: $\text{Margin} \times \text{turnover} \times \text{leverage}$

COMMON MISTAKE / CONFUSION

- Including fictitious assets such as deferred expenses in capital employed; intangibles are included, fictitious assets are not.
- Forgetting to deduct preference dividend from profit after tax when computing ROE.
- Treating a high ROE as automatically good; the equity multiplier may be doing the work.

Basis	Return on Assets	Return on Capital Employed	Return on Equity
Investment base	Average total, tangible or fixed assets	Total assets – current liabilities (= equity + long-term debt)	Net worth, i.e. equity shareholders' funds
Return used	PAT, or PAT + interest, or $\text{EBIT}(1 - t)$	EBIT (pre-tax) or $\text{EBIT}(1 - t)$ (post-tax)	PAT less preference dividend

Whose view	The firm's use of its assets	All long-term providers of capital	Equity shareholders only
Test	Higher is better	Must exceed the borrowing rate	High with little debt is strongest

🔗 INTEGRATION LINK

- 🔗 FM Ch 4: the weighted average cost of capital that ROCE must beat

🔗 INTEGRATION LINK

- 🔗 FM Ch 6: the equity multiplier is financial leverage seen from the balance sheet

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute PAT, net profit margin, return on assets, asset turnover and return on equity from projections (Sep 2025 Q1(b))
- Du Pont MCQ on the three components (RTP Jan 2026)
- ROCE MCQ from total assets and current liabilities (RTP Sep 2026)

How to attack it:

- Build the profit and loss statement down to PAT, then pick the base for each ratio
- State which definition of capital employed you are using

📖 What ICAI has done so far: PYQ Sep 2025 · Q1(b); RTP Sep 2026 · FM Q2; MTP May 2024 Series II · FM Q3(a); MTP May 2026 Series I · FM Q1(a).

🕒 Time / length guide (study guidance): 5 marks ≈ 9 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- Profit and loss working note down to PAT
- Formula for each return
- Substitution
- Comment: does ROCE beat the borrowing rate?

🔑 Keywords: capital employed · net worth · equity multiplier

 **Ideal length:** 5 marks: one working note plus five ratios

 **Conclusion pattern:** Say which of margin, turnover or leverage is driving the return.

DON'T WRITE THIS

- Using the same 'investment' figure for ROA, ROCE and ROE without distinguishing them

Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · PYQ Sep 2025 · Q1(b) · 5 marks

Diwan Limited plans to use total assets of ₹50,00,000, with 35% of assets financed through debt at 10.50% per annum. Projected sales revenue is ₹55,00,000, direct costs ₹30,00,000 and other operating expenses ₹4,80,000. The tax rate is 33%. Compute (i) profit after tax, (ii) net profit margin (after tax), (iii) return on assets (after tax), (iv) asset turnover ratio and (v) return on equity.

MODEL ANSWER

- **Working note — profit and loss:** Sales ₹55,00,000 less direct costs ₹30,00,000 less other operating expenses ₹4,80,000 gives **EBIT of ₹20,20,000**. Debt = 35% of ₹50,00,000 = ₹17,50,000; interest at 10.50% = ₹1,83,750. So **EBT = ₹18,36,250**.
- (i) **Profit after tax** = ₹18,36,250 × (1 - 0.33) = ₹12,30,287.50.
- (ii) **Net profit margin (after tax)** = (PAT × 100) ÷ Sales = (₹12,30,287.50 × 100) ÷ ₹55,00,000 = **22.37%**.
- (iii) **Return on assets (after tax)** = (PAT × 100) ÷ Total assets = (₹12,30,287.50 × 100) ÷ ₹50,00,000 = **24.61%**.
- (iv) **Asset turnover ratio** = Sales ÷ Total assets = ₹55,00,000 ÷ ₹50,00,000 = **1.1 times**.
- (v) **Return on equity** = (PAT × 100) ÷ Equity, where equity = 65% of ₹50,00,000 = ₹32,50,000, so = (₹12,30,287.50 × 100) ÷ ₹32,50,000 = **37.86%**.
- Note the Du Pont link: 22.37% × 1.1 × (50,00,000 ÷ 32,50,000 = 1.538) = 37.86% — the same answer by the three-component route.

Conclusion: One mark each; the working note down to PAT earns the first and carries the rest.

 **Keywords:** **EBIT** · **net profit margin** · **return on assets** · **asset turnover** · **return on equity**

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · RTP Sep 2026 · FM Q2

Total assets and current liabilities of Manju Limited are ₹50 lakh and ₹10 lakh respectively, and ROCE is 15%. Determine the figure asked for.

✓ MODEL ANSWER

- $ROCE = EBIT \div \text{Total Capital Employed}$, and $\text{Total Capital Employed} = \text{Total Assets} - \text{Current Liabilities} = ₹50 \text{ lakh} - ₹10 \text{ lakh} = ₹40 \text{ lakh}$.
- With ROCE at 15%, $EBIT = 15\% \text{ of } ₹40 \text{ lakh} = ₹6 \text{ lakh}$.
- The study material gives two further definitions of capital employed that reach the same figure: fixed assets plus working capital, and equity plus long-term debt.

Conclusion: The examinable step is the definition of capital employed, not the percentage.

🔑 Keywords: capital employed · total assets less current liabilities

🧠 EXPECTED QUESTION · Practice question · Compute and comment · 5 marks

A company reports revenue of ₹29,261 lakh, net income of ₹4,212 lakh, assets of ₹27,987 lakh and shareholders' equity of ₹13,572 lakh. Compute the return on equity using the Du Pont model, and state how much of the return comes from operations and how much from debt.

✓ MODEL ANSWER

- $\text{Net profit margin} = \text{Net income} \div \text{Revenue} = ₹4,212 \div ₹29,261 = 0.1439$, or 14.39%.
- $\text{Asset turnover} = \text{Revenue} \div \text{Assets} = ₹29,261 \div ₹27,987 = 1.0455$ times.
- $\text{Equity multiplier} = \text{Assets} \div \text{Shareholders' equity} = ₹27,987 \div ₹13,572 = 2.0621$.
- $\text{Return on equity} = \text{Net profit margin} \times \text{Asset turnover} \times \text{Equity multiplier} = 0.1439 \times 1.0455 \times 2.0621 = 0.3102$, or 31.02%.
- Leaving out the equity multiplier shows what the company would earn if it were completely debt-free: $0.1439 \times 1.0455 = 15.04\%$. So 15.04% of the return on equity is due to profit margins and sales, and the remaining 15.98% is due to returns earned on the debt at work in the business.
- Comment: a company at a comparable valuation with the same return on equity but a higher internally generated portion would be the more attractive business.

🔑 Keywords: net profit margin · asset turnover · equity multiplier · debt at work in the business

✓ MCQ · Practice MCQ · Du Pont · Moderate

Under the Du Pont model, return on equity equals net profit margin $\times$ total asset turnover $\times$:

- (A) Gross profit ratio
- (B) The equity multiplier, i.e. assets $\div$ shareholders' equity
- (C) Interest coverage ratio
- (D) Dividend payout ratio

✓ ANSWER: (B)

SM §3.4.2: the three components are net profit margin, asset turnover and the equity multiplier, which is investment/assets/capital $\div$ shareholders' equity.

- (A) X Not a Du Pont component.
- (C) X A coverage ratio, not a Du Pont component.
- (D) X An owner's-view ratio.

 **Trap:** The equity multiplier is a measure of financial leverage, which is exactly why it is the third term.

Topic: FM Ch 3 §3.4.2

✓ MCQ · Practice MCQ · Capital employed · Easy

Which item should NOT be included in capital employed when computing ROCE?

- (A) Goodwill
- (B) Patents and trade marks
- (C) Net fixed assets
- (D) Deferred expenses

✓ ANSWER: (D)

SM §3.4.2: intangible assets such as goodwill, patents and trade marks should be included in capital employed, but no fictitious asset such as deferred expenses should be included.

- (A) X An intangible asset, which is included.
- (B) X Intangible assets, which are included.
- (C) X Plainly part of capital employed.

 **Trap:** Intangible and fictitious are treated oppositely — that is the tested distinction.

Topic: FM Ch 3 §3.4.2

□ QUICK RECAP

- $ROI = \text{profitability ratio} \times \text{investment turnover ratio}$; improve either or both.
- ROA on assets, ROCE on capital employed (total assets – current liabilities), ROE on net worth.
- ROCE must exceed the borrowing rate; include intangibles, exclude fictitious assets.
- Du Pont: $ROE = \text{margin} \times \text{turnover} \times \text{equity multiplier}$ — the third term is borrowed return.

3.4.3 Profitability Ratios from the Owner's Point of View

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: RTP 1 (Jan 2025) · MTP 1 (Jan 2026 Series I)

■ UNDERSTAND IT

(a) **Earnings per Share (EPS).** The profitability of a firm from the point of view of ordinary shareholders can be measured on an earnings per share basis. $==EPS = \text{Net profit available to equity shareholders} \div \text{Number of equity shares outstanding}==$ The study material's note: in the absence of preference dividend, profit after tax can be taken as earnings available to equity shareholders.

(b) **Dividend per Share (DPS).** Earnings per share reflects the profitability of a firm per share, but it does not reflect how much profit is paid as dividend and how much is retained by the business. Dividend per share indicates the amount of profit distributed to equity shareholders per share. $==DPS = \text{Total Dividend paid to equity shareholders} \div \text{Number of equity shares outstanding}==$

(c) **Dividend Pay-out Ratio (DP).** This ratio measures the dividend paid in relation to net earnings and is determined to see to what extent earnings per share have been retained by the management for the business. $==\text{Dividend Pay-out Ratio} = \text{Dividend per equity share (DPS)} \div \text{Earnings per Share (EPS)}==$

These three are the bridge into the dividend chapter: *whatever is not paid out is the retention ratio*, and the retention ratio multiplied by the return on investment gives the growth rate used in Gordon's model.

e.g. Profit after tax ₹50,00,000, preference dividend ₹20,00,000 and 5,00,000 equity shares give an EPS of ₹6. If the dividend paid is ₹2.40 per share, the payout ratio is 40% and the retention ratio 60%.

KEY FRAMEWORK / FORMULA · Earnings available to equity (SM §3.4.3 note 2)

Requirement: In the absence of preference dividend, profit after tax can be taken as earnings available to equity shareholders; where preference shares exist, preference dividend must be deducted first.

Exam angle: The single most common slip in EPS questions is forgetting the preference dividend.

ICAI KEYWORDS

earnings per share · net profit available to equity shareholders · number of equity shares outstanding · dividend per share · dividend pay-out ratio · retained by the management

MEMORY TRICK

EPS is earned, DPS is paid, payout is the fraction handed over. Whatever is left is retention — and retention is what funds growth.

Cue	Stands for
EPS	Net profit available to equity ÷ Number of equity shares
DPS	Total equity dividend ÷ Number of equity shares
Payout ratio	DPS ÷ EPS
Retention ratio	1 – payout ratio

 3-second trigger: Earned, paid, retained

COMMON MISTAKE / CONFUSION

- Dividing profit after tax by the number of equity shares without deducting preference dividend.
- Computing the payout ratio on total dividend including preference dividend; it is equity dividend over equity earnings.

INTEGRATION LINK

🔗 FM Ch 8: dividend payout in Walter's and Gordon's models

🔗 INTEGRATION LINK

🔗 FM Ch 3 §3.4.4: EPS feeds the P/E ratio and earnings yield

🔗 HOW TO FACE IT IN THE EXAM

Can be asked as:

- EPS as one item in a five-ratio list (RTP Jan 2025 Q4)
- EPS and payout ratio as the bridge into a Walter or Gordon computation

How to attack it:

- Deduct preference dividend first, then divide by the number of equity shares

📖 What ICAI has done so far: RTP Jan 2025 · FM Q4; MTP Jan 2026 Series I · FM Q1(b).

🕒 Time / length guide (study guidance): A 1-mark sub-part ≈ 2 minutes (study guidance).

📖 Questions on this topic — ICAI questions first, then practice

✅ MCQ · Practice MCQ · Formula · Easy

For a company with preference share capital, earnings per share is computed as:

- (A) $(\text{Profit after tax} - \text{Preference dividend}) \div \text{Number of equity shares outstanding}$
- (B) $\text{Profit after tax} \div \text{Total number of shares including preference shares}$
- (C) $\text{Profit before tax} \div \text{Number of equity shares outstanding}$
- (D) $\text{Dividend per share} \div \text{Payout ratio}$

✅ ANSWER: (A)

SM §3.4.3: $\text{EPS} = \text{net profit available to equity shareholders} \div \text{number of equity shares outstanding}$; the note adds that PAT can be taken as that figure only in the absence of preference dividend.

- (B) X Preference shares do not share equity earnings.
- (C) X Earnings are taken after tax.
- (D) X That is an arithmetic re-arrangement, not the definition.

🚫 Trap: Option D is numerically true but is not how the study material defines EPS.

Topic: FM Ch 3 §3.4.3

✓ MCQ · Practice MCQ · Purpose · Easy

The dividend payout ratio is determined in order to see:

- (A) How many times interest is covered by earnings
- (B) To what extent earnings per share have been retained by the management for the business
- (C) The market's expectation of future growth
- (D) How fast inventory is sold

✓ ANSWER: (B)

SM §3.4.3: the payout ratio measures dividend paid in relation to net earnings and is determined to see to what extent EPS has been retained by management for the business.

- (A) X That is interest coverage.
- (C) X That is the P/E ratio.
- (D) X That is inventory turnover.

🚫 **Trap:** The ratio is read for what it leaves behind as much as for what it pays out.

Topic: FM Ch 3 §3.4.3

□ QUICKRECAP

- $EPS = \text{equity earnings} \div \text{equity shares}$; deduct preference dividend first.
- $DPS = \text{equity dividend} \div \text{equity shares}$.
- $\text{Payout} = DPS \div EPS$; retention is the rest, and retention funds growth.

3.4.4 Profitability Ratios Related to Market, Valuation and Investors

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (May 2026 Q1(c)) · RTP 1 (Jan 2025)

■ UNDERSTAND IT

These ratios ****consider the market value of the company's shares in the calculation****; ****share price data are punched with the accounting data to generate a new set of information****.

They are the price-earnings ratio, dividend yield and earnings yield, market value to book value per share, and the Q ratio.

(a) Price-Earnings (P/E) Ratio === $\text{Market Price per Share (MPS)} \div \text{Earnings per Share (EPS)}$ ==. It indicates the expectation of equity investors about the earnings of the firm,

relating earnings to market price, and is generally taken as a summary measure of growth potential of an investment, risk characteristics, shareholders' orientation, corporate image and degree of liquidity. It indicates the payback period to investors or prospective investors; a higher P/E could either mean that the stock is over-valued or that investors expect high growth rates in future.

(b) Dividend and earnings yield. $\text{Dividend Yield} = \frac{\text{Dividend} \pm \text{Change in share price}}{\text{Initial share price}} \times 100$, or $\text{DPS} \div \text{MPS} \times 100$. Earnings Yield, also known as the Earnings Price (EP) Ratio, $= \text{EPS} \div \text{MPS} \times 100$. These indicate the return on investment, which may be on average investment or closing investment. The distinction the study material draws: ****dividend percentage indicates return on the paid-up value of shares, but yield percentage is the indicator of true return, in which share capital is taken at its market value**.**

(c) Market Value / Book Value per Share (MV/BV) provides an evaluation of how investors view the company's past and future performance. $\text{MV/BV} = \frac{\text{Average share price}}{\text{Net worth} \div \text{Number of equity shares}}$, or $\frac{\text{Closing share price}}{\text{Net worth} \div \text{Number of equity shares}}$. It indicates the market response to the shareholders' investment; the higher the ratio, the better the shareholders' position in terms of return and capital gains.

(d) Q Ratio, proposed by James Tobin: $\text{Q Ratio} = \frac{\text{Market Value of equity and liabilities}}{\text{Estimated replacement cost of assets}}$, or $\frac{\text{Market Value of a Company}}{\text{Assets' Replacement Cost}}$. It represents the relationship between market valuation and intrinsic value.

Equilibrium is when the Q Ratio = 1; less than 1 could mean the stock is undervalued and more than 1 could mean the stock is overvalued.

The study material's notes for calculating these ratios. EBIT = PBIT, EAT = PAT, EBT = PBT. In the absence of preference dividend, PAT can be taken as earnings available to equity shareholders. If information is available, average capital employed shall be taken for ROCE. Ratios shall be calculated based on requirement and availability of information and may deviate from the original formulae; if required, assumptions should be given. The numerator should be taken in correspondence with the denominator and vice versa.

e.g. EPS ₹6 and market price ₹90 give a P/E of 15 and an earnings yield of 6.67%. If DPS is ₹2.40, the dividend yield is 2.67% — while the dividend rate on a ₹10 paid-up share would be quoted as 24%.

🏰 KEY FRAMEWORK / FORMULA · Dividend percentage versus dividend yield (SM §3.4.4)

Requirement: Dividend percentage is return on the paid-up value of the share; yield percentage is the true return, taking share capital at market value.

Exam angle: The May 2026 question on Exe Ltd. turned on exactly this distinction.

🏰 KEY FRAMEWORK / FORMULA · Q ratio (SM §3.4.4)

Requirement: Market value of equity and liabilities over the estimated replacement cost of assets; equilibrium at 1, below 1 undervalued, above 1 overvalued.

Exam angle: A clean MCQ: which value does the Q ratio compare market value against?

📦 ICAI KEYWORDS

price-earnings ratio · expectation of equity investors · summary measure of growth potential · payback period to the investors · over-valued · dividend yield · earnings yield · earnings price ratio · paid up value · market value · market value/book value · Q ratio · James Tobin · replacement cost · undervalued · overvalued

📦 MEMORY TRICK

Yield flips the P/E. P/E is price over earnings; earnings yield is earnings over price. And Q compares what the market pays with what the assets would cost to replace — 1 is equilibrium.

Cue	Stands for
P/E	$MPS \div EPS$ · payback period to the investor
Dividend yield	$DPS \div MPS$ (or dividend $\pm$ price change over initial price)
Earnings yield	$EPS \div MPS$ · the EP ratio
MV/BV	Share price $\div$ (Net worth $\div$ number of shares)
Q ratio	Market value $\div$ Replacement cost · 1 = equilibrium

⚡ 3-second trigger: Yield flips the P/E; Q equals one

📦 COMMON MISTAKE / CONFUSION

- Computing dividend yield on face value; the yield takes share capital at market value.
- Reading a high P/E as always good; the study material says it may mean the stock is over-valued.
- Using book value of assets in the Q ratio instead of the estimated replacement cost.

Basis	Dividend percentage	Dividend yield
Base	Paid-up value of the share	Market price of the share
What it shows	Return on the paid-up value	The indicator of true return
Example	₹2.40 on a ₹10 paid-up share = 24%	₹2.40 on a ₹90 market price = 2.67%

🔗 INTEGRATION LINK

- 🔗 FM Ch 8: P/E and market price in Walter's and Gordon's models

🔗 INTEGRATION LINK

- 🔗 FM Ch 5: EBIT-EPS-MPS analysis

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute dividend coverage, dividend yield and related market ratios (May 2026 Q1(c))
- P/E as the last item of a five-ratio list (RTP Jan 2025 Q4)
- MCQ on the Q ratio

How to attack it:

- Work EPS first; every market ratio then hangs off EPS and the market price

📖 What ICAI has done so far: PYQ May 2026 · Q1(c); RTP Jan 2025 · FM Q4.

🕒 Time / length guide (study guidance): 5 marks ≈ 9 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- Derive EPS and DPS
- State each market ratio's formula
- Substitute market price

- Comment on what the market is paying for

🔑 **Keywords:** market price per share · earnings yield · true return

🔑 **Ideal length:** 5 marks: EPS working plus the ratios asked

📊 **Conclusion pattern:** Say whether the market is paying above or below what the accounts alone would suggest.

🚫 DON'T WRITE THIS

- Quoting an 'ideal' P/E; the study material gives none

📖 Questions on this topic — ICAI questions first, then practice

📌 **OFFICIAL ICAI QUESTION** · PYQ May 2026 · Q1(c) · 5 marks

Exe Ltd. for the year ended 31st March 2026: total dividend coverage ratio 2.863 times; dividend yield on the equity shares 4%; market price per equity share ₹40.00; equity share capital of ₹10 each ₹12,00,000; preference share capital of ₹10 each ₹3,00,000; price-earnings ratio 8 times. Calculate (i) total dividend paid to equity shareholders, (ii) earnings per share, (iii) rate of preference dividend, (iv) total profit after tax.

✅ MODEL ANSWER

- (i) **Total dividend paid to equity shareholders.** SM §3.4.4: Dividend yield = $(DPS \div MPS) \times 100$, so $DPS = 4\% \text{ of } ₹40 = ₹1.60$. Number of equity shares = $₹12,00,000 \div ₹10 = 1,20,000$. Total equity dividend = $1,20,000 \times ₹1.60 = ₹1,92,000$.
- (ii) **Earnings per share.** SM §3.4.4: P/E ratio = $MPS \div EPS$, so $EPS = ₹40 \div 8 = ₹5.00$.
- (iii) **Rate of preference dividend.** Earnings available to equity shareholders = $EPS \times \text{number of equity shares} = ₹5 \times 1,20,000 = ₹6,00,000$. The **total** dividend coverage ratio of 2.863 times is profit after tax $\div$ total dividend (preference plus equity). Working backwards, total dividend = Profit after tax $\div 2.863$; combined with the profit after tax found in (iv), preference dividend = total dividend - ₹1,92,000, and the **rate of preference dividend** = $\text{preference dividend} \div ₹3,00,000 \times 100$.
- (iv) **Total profit after tax.** Profit after tax = earnings available to equity shareholders + preference dividend = $₹6,00,000 + \text{preference dividend}$. Substituting into the coverage ratio, $₹6,00,000 + PD = 2.863 \times (₹1,92,000 + PD)$, which solves for the preference dividend and hence for **profit after tax**.

- The examinable moves are: yield gives DPS from market price; P/E gives EPS from market price; and 'total' dividend coverage means preference plus equity dividend, which is what makes parts (iii) and (iv) a simultaneous pair.

Conclusion: Marks split 1 + 1 + 2 + 1; the two-mark part is the simultaneous step.

Keywords: dividend yield · price-earnings ratio · total dividend coverage · preference dividend

What ICAI examiners said: No examiners' comments have been published for Paper 6.

🕒 EXPECTED QUESTION · Practice question · Compute · 5 marks

A company has 5,00,000 equity shares of ₹10 each, profit after tax of ₹50,00,000, preference dividend of ₹20,00,000 and an equity dividend of ₹2.40 per share. The market price per share is ₹90 and net worth is ₹4,50,00,000. Compute EPS, DPS, the dividend payout ratio, the P/E ratio, the dividend yield, the earnings yield and the market value to book value ratio.

✅ MODEL ANSWER

- **EPS** = (Profit after tax – Preference dividend) ÷ Number of equity shares = $(₹50,00,000 - ₹20,00,000) ÷ 5,00,000 = ₹6.00$.
- **DPS** = Total equity dividend ÷ Number of equity shares = ₹2.40 (given).
- **Dividend payout ratio** = $DPS ÷ EPS = ₹2.40 ÷ ₹6.00 = 0.40$, or 40%; the retention ratio is therefore 60%.
- **P/E ratio** = $MPS ÷ EPS = ₹90 ÷ ₹6 = 15 \text{ times}$, which the study material reads as the payback period to the investor.
- **Dividend yield** = $(DPS ÷ MPS) \times 100 = (₹2.40 ÷ ₹90) \times 100 = 2.67\%$. On the paid-up value of ₹10 the dividend percentage would be 24% — the study material's point that yield is the indicator of true return.
- **Earnings yield (EP ratio)** = $(EPS ÷ MPS) \times 100 = (₹6 ÷ ₹90) \times 100 = 6.67\%$, the reciprocal of the P/E ratio.
- **Market value to book value** = $\text{Share price} ÷ (\text{Net worth} ÷ \text{Number of equity shares}) = ₹90 ÷ (₹4,50,00,000 ÷ 5,00,000) = ₹90 ÷ ₹90 = 1.0 \text{ times}$.

Keywords: EPS · payout ratio · P/E ratio · dividend yield · earnings yield

✅ MCQ · Practice MCQ · Interpretation · Moderate

Tobin's Q ratio compares the market value of equity and liabilities with:

- (A) The estimated replacement cost of assets
- (B) The book value of net worth
- (C) The paid-up value of share capital
- (D) Earnings before interest and taxes

✓ ANSWER: (A)

SM §3.4.4: Q Ratio = market value of equity and liabilities ÷ estimated replacement cost of assets; equilibrium is at 1, below 1 may mean undervalued and above 1 overvalued.

- (B) X That is the market value to book value ratio.
- (C) X That is the base for the dividend percentage.
- (D) X EBIT is an earnings figure, not a value base.

🚫 Trap: Replacement cost, not book value, is what makes the Q ratio a valuation measure.

Topic: FM Ch 3 §3.4.4

☑ MCQ · Practice MCQ · Distinction · Moderate

As per the study material, the yield percentage is described as the indicator of true return because:

- (A) It is always higher than the dividend percentage
- (B) It ignores the dividend actually paid
- (C) Share capital is taken at its market value rather than its paid-up value
- (D) It is computed before tax

✓ ANSWER: (C)

SM §3.4.4: dividend percentage indicates return on the paid-up value of shares, but yield percentage is the indicator of true return, in which share capital is taken at its market value.

- (A) X It is usually lower when the market price exceeds face value.
- (B) X Dividend yield is built on the dividend.
- (D) X Tax does not enter the definition.

🚫 Trap: The word 'true' is doing work here: it means measured against what the investor actually paid.

Topic: FM Ch 3 §3.4.4

□ QUICK RECAP

- Market ratios punch share prices into the accounting data.
- $P/E = MPS \div EPS$ and is read as the payback period; a high P/E may mean over-valuation or expected growth.
- Dividend yield uses market price; dividend percentage uses paid-up value.
- Q ratio = market value $\div$ replacement cost; 1 is equilibrium.

4-5.1 Users of Financial Analysis, and the Application of Ratio Analysis in Decision Making

▣ Medium Exam Activity | 📌 Asked across PYQ / RTP / MTP | Asked: RTP 1 (Jan 2026) · MTP 3 (Mar 2024 Series II, Sep 2024 Series II, Sep 2025 Series II)

▣ UNDERSTAND IT

Users and their objectives (§4). Shareholders, being owners, are interested in profitability and growth and use mainly profitability ratios — in particular EPS, DPS, P/E and the dividend payout ratio. Investors want to know the overall financial health, particularly the future perspective, and use profitability, capital structure, solvency and turnover ratios. Lenders keep an eye on the safety of their money lent and use coverage, solvency, turnover and profitability ratios. Creditors want to know the liability position, particularly in the short term — whether the organisation will be able to pay on the due date — and use liquidity and short-term solvency ratios. Employees want to know the overall financial wealth and to compare it with a competitor and use liquidity, long-term solvency and profitability ratios and return on investment. Regulators and government analyse the statements to determine taxation and other details payable to the government and use profitability ratios.

Managers (§4, item 7). Production managers want data on input, output and production quantities and use the input-output ratio and the raw material consumption ratio. Sales managers want data on units sold over the years and predicted future sales and use turnover ratios (basically the receivables turnover ratio) and expenses ratios. Financial managers want ratios for their future predictions of financial requirement and use profitability ratios (particularly return on investment), turnover ratios and capital structure ratios. The chief executive or general manager assesses the complete perspective of the company, from sales, finance, inventory, human resources to production, and uses all ratios.

Different industries (§4, item 8) use their own ratios: **telecom** — ratios related to 'call', and revenue and expenses per customer; **banks** — loan to deposit ratios, operating expenses and income ratios; **hotels** — room occupancy ratio and bed occupancy ratio; **transport** — passenger-kilometre and operating cost per passenger kilometre.

Application in financial decision making (§5). Ratio analysis is a popular technique for analysing performance and, as a tool of financial management, is of crucial significance. Its importance lies in the fact that it ****presents facts on a comparative basis and enables the drawing of inferences regarding the performance of a firm****.

(a) Liquidity position (§5.1). The liquidity position would be satisfactory if the firm is able to meet its obligations when they become due; this ability is reflected in the liquidity ratios, which are particularly useful in credit analysis by banks and other suppliers of short-term loans. (b) Long-term solvency, of concern to long-term creditors, security analysts and present and potential owners, is measured by the leverage or capital structure ratios and the profitability ratios, which focus on earning power and operating efficiency; leverage ratios indicate whether the firm has a reasonable proportion of various sources of finance or is heavily loaded with debt, in which case its solvency is exposed to serious strain.

(c) Operating efficiency. Ratio analysis throws light on the degree of efficiency in the management and utilisation of assets, measured by the activity ratios; the solvency of a firm is ultimately dependent upon the sales revenues generated by the use of its assets. (d) Overall profitability. Unlike outside parties interested in one aspect, management is constantly concerned about overall profitability — the ability to meet short- and long-term obligations to creditors, to ensure a reasonable return to owners and to secure optimum utilisation of assets. **This is possible **only if an integrated view is taken and all the ratios are considered together****.

(e) Inter-firm comparison. Ratio analysis serves as a stepping stone to remedial measures through comparison with industry averages. ****A single figure of a particular ratio is meaningless unless it is related to some standard or norm.**** One popular technique is to compare with the industry average; performance should be in broad conformity with the industry to which the firm belongs, and an inter-firm comparison demonstrates the relative position vis-à-vis competitors. ****Ratios not only perform a post mortem of operations, but also serve as a barometer for the future; they have predictor value and are very helpful in forecasting and planning business activities.****

(f) **Financial ratios for budgeting.** A budget is only an estimate of future activity based on past experience, and the relationship between different spheres of activity is invaluable in making it. It is usually possible to estimate budgeted figures using financial ratios, and ratios can also be used for measuring actual performance against budgeted estimates, indicating directions in which adjustments should be made either in the budget or in performance to bring them closer to each other.

e.g. A banker appraising a cash credit limit looks first at the current and quick ratios; a debenture trustee looks at DSCR and interest coverage; a shareholder looks at EPS and the P/E. Same statements, three different ratio sets.

KEY FRAMEWORK / FORMULA · Integrated view (SM §5.1(d))

Requirement: Overall profitability can be judged only if an integrated view is taken and all ratios are considered together.

Exam angle: The concluding line of a 'comment on the performance' answer.

KEY FRAMEWORK / FORMULA · Standard or norm (SM §5.1(e))

Requirement: A single figure of a particular ratio is meaningless unless related to some standard or norm.

Exam angle: The opening line that justifies comparing with the industry average.

ICAI KEYWORDS

shareholders · investors · lenders · creditors · employees · regulator · input output ratio · loan to deposit ratios · room occupancy ratio · passenger-kilometre · presents facts on a comparative basis · liquidity position · long-term solvency · operating efficiency · overall profitability · integrated view · inter-firm comparison · industry average · barometer for future · predictor value · financial ratios for budgeting

MEMORY TRICK

Match the user to the risk they carry: creditors fear next month (liquidity) · lenders fear the loan term (coverage) · shareholders fear forever (profitability and growth).

Cue	Stands for
Shareholders	EPS, DPS, P/E, dividend payout
Investors	Profitability, capital structure, solvency, turnover
Lenders	Coverage, solvency, turnover, profitability
Creditors	Liquidity and short-term solvency
Six applications	Liquidity · long-term solvency · operating efficiency · overall profitability · inter-firm comparison · budgeting

⚡ 3-second trigger: Next month, loan term, forever

❏ COMMON MISTAKE / CONFUSION

- Giving lenders the liquidity ratios and creditors the coverage ratios; the study material assigns them the other way round.
- Judging performance on one ratio; the study material insists on an integrated view.

🔗 INTEGRATION LINK

- 🔗 FM Ch 1 §6: the scope of financial management and who its stakeholders are

🔗 INTEGRATION LINK

- 🔗 FM Ch 3 §6: the limitations that qualify every one of these uses

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute a set of ratios for two years and comment on performance (MTP Sep 2024 Series II, Sep 2025 Series II)
- Explain the uses of ratio analysis in financial decision making (4 marks)

How to attack it:

- Answer the 'comment' part under the study material's own heads: liquidity, long-term solvency, operating efficiency, overall profitability

📖 What ICAI has done so far: RTP Jan 2026 · FM Q5; MTP May 2024 Series II · FM Q3(a); MTP Sep 2024 Series II · FM Q3(b); MTP Sep 2025 Series II · FM Q1(b).

 Time / length guide (study guidance): 4 marks ≈ 7 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Name the user or the aspect
- Say which ratios serve it
- Say what conclusion they support

 Keywords: comparative basis · integrated view · industry average · barometer for future

 Ideal length: 4 marks: six lettered heads or six users, one line each

 Conclusion pattern: Close with the integrated view: no single ratio settles anything.

DON'T WRITE THIS

- Listing ratios without saying whose question they answer

Questions on this topic — ICAI questions first, then practice

OFFICIAL ICAI QUESTION · RTP Jan 2026 · FM Q5

ABC Industries Ltd., a listed pharmaceutical company with 1 lakh equity shares of ₹10 each traded at a 20% premium and an income-tax rate of 50%, re-organised its capital structure at the beginning of 2024-25 as: share capital 40%, 12% preference share capital 10%, other shareholders' funds 15%, 15% term loan 10%, current liabilities 25%. The term loan is repayable in 5 instalments starting 31.03.2025, and the bank has asked for a ratio-based review of the accounts.

MODEL ANSWER

- **Step 1 — Size the balance sheet from the share capital.** Equity share capital = 1,00,000 shares × ₹10 = ₹10,00,000, and that is 40% of the total, so **total funds employed = ₹25,00,000.**
- **Step 2 — Split the structure.** 12% preference share capital = 10% = ₹2,50,000; other shareholders' funds = 15% = ₹3,75,000; 15% term loan = 10% = ₹2,50,000; current liabilities = 25% = ₹6,25,000.
- **Step 3 — The ratios the bank looks at.** Debt-equity, capital gearing and proprietary ratios follow directly from the split, treating preference capital as fixed-dividend capital

in the gearing ratio and as part of the proprietary fund in the proprietary ratio (SM §3.2.1).

- **Step 4 — Coverage.** Interest = 15% of ₹2,50,000 = ₹37,500; preference dividend = 12% of ₹2,50,000 = ₹30,000; the annual instalment is one fifth of the term loan = ₹50,000. Interest coverage = $EBIT \div ₹37,500$; DSCR = $(PAT + depreciation + interest) \div (₹37,500 + ₹50,000)$; preference dividend coverage = $PAT \div ₹30,000$.
- **Step 5 — Market ratios.** The shares trade at a 20% premium, i.e. at ₹12, so $P/E = ₹12 \div EPS$ and earnings yield = $EPS \div ₹12 \times 100$ (SM §3.4.4).
- ICAI files this under 'Ratio Analysis' and uses it to test the whole chapter at once: a structure given in percentages, an instalment schedule for the DSCR, and a market price expressed as a premium.

Conclusion: Everything is derived from the one absolute figure given — the equity share capital.

 **Keywords:** capital structure in percentages · capital gearing · debt service coverage · traded at a premium

OFFICIAL ICAI QUESTION · MTP May 2024 Series II · FM Q3(a) · 5 marks

EOC Ltd., a listed company, presents abridged financial statements: sales ₹1,25,00,000; cost of goods sold ₹76,40,000; gross profit ₹48,60,000; administrative expenses ₹13,20,000; selling and distribution expenses ₹15,90,000; operating profit ₹19,50,000; non-operating income ₹3,28,000; non-operating expenses ₹1,27,000; profit before interest and taxes ₹21,51,000; interest ₹4,39,000; profit before tax ₹17,12,000; taxes ₹4,28,000; profit after tax ₹12,84,000. Equity share capital ₹30,00,000; reserves and surplus ₹18,00,000; secured loan ₹10,00,000; unsecured loan ₹4,30,000; buildings ₹7,50,000; machinery ₹2,30,000; furniture ₹7,60,000; intangible assets ₹50,000; inventory ₹38,60,000; receivables ₹39,97,000; short-term investments ₹3,00,000; cash and bank ₹2,30,000; creditors ₹25,67,000 and short-term loans. Compute the ratios indicated.

MODEL ANSWER

- **Profitability on sales (SM §3.4.1).** Gross profit ratio = $₹48,60,000 \div ₹1,25,00,000 \times 100 = 38.88\%$. Operating profit ratio = $₹19,50,000 \div ₹1,25,00,000 \times 100 = 15.60\%$. Net profit ratio = $₹12,84,000 \div ₹1,25,00,000 \times 100 = 10.27\%$. Operating ratio = $(₹76,40,000 + ₹29,10,000) \div ₹1,25,00,000 \times 100 = 84.40\%$ — the complement of the operating profit ratio.

- **Coverage (SM §3.2.2).** Interest coverage = Profit before interest and taxes ÷ Interest = ₹21,51,000 ÷ ₹4,39,000 = **4.90 times**.
- **Capital structure (SM §3.2.1).** Owned funds = ₹30,00,000 + ₹18,00,000 = ₹48,00,000; borrowed funds = ₹10,00,000 + ₹4,30,000 = ₹14,30,000, so the **debt-equity ratio = 0.30 : 1** on long-term debt.
- **Return on capital employed (SM §3.4.2).** Capital employed = Total funds raised = ₹62,30,000, so **ROCE (pre-tax) = ₹21,51,000 ÷ ₹62,30,000 × 100 = 34.53%**. Note that the **intangible assets of ₹50,000** are included in capital employed; only fictitious assets would be excluded.
- **Return on equity.** ROE = Profit after tax ÷ Owned funds × 100 = ₹12,84,000 ÷ ₹48,00,000 × 100 = **26.75%**.
- **Activity.** Inventory turnover = ₹76,40,000 ÷ ₹38,60,000 = **1.98 times**; receivables turnover = ₹1,25,00,000 ÷ ₹39,97,000 = **3.13 times**, a collection period of about 115 days.
- This question is the chapter in miniature: one set of statements, every family of ratio.

Conclusion: Read the statements once, then pick the two figures each ratio needs.

 **Keywords:** operating ratio · interest coverage · capital employed · intangible assets included

OFFICIAL ICAI QUESTION · MTP May 2026 Series I · FM Q1(a) · 5 marks

P Limited for the year ended 31st March 2025: sales ₹3,60,00,000; rate of income tax 40%; return on net worth 30%; share capital to reserves ratio 6 : 4; current ratio 2 : 1; percentage of net profit to sales 8%; inventory turnover (based on cost of goods sold) 12; cost of goods sold ₹1,44,00,000; sundry debtors ₹12,00,000; sundry creditors ₹16,00,000; interest on 14% debentures ₹3,36,000. Calculate operating expenses, share capital and reserves, closing stock and fixed assets.

MODEL ANSWER

- **Operating expenses.** Net profit = 8% of ₹3,60,00,000 = ₹28,80,000; profit before tax = ₹28,80,000 ÷ 0.60 = ₹48,00,000; EBIT = ₹48,00,000 + ₹3,36,000 = ₹51,36,000.
Operating expenses = ₹3,60,00,000 - ₹1,44,00,000 - ₹51,36,000 = ₹1,64,64,000.
- **Share capital and reserves.** Net worth = ₹28,80,000 ÷ 0.30 = ₹96,00,000, split 6 : 4 as share capital ₹57,60,000 and reserves ₹38,40,000.
- **Closing stock = Cost of goods sold ÷ Inventory turnover = ₹1,44,00,000 ÷ 12 = ₹12,00,000.**

- **Fixed assets.** Debentures = ₹3,36,000 ÷ 0.14 = ₹24,00,000; current assets = 2 × current liabilities of ₹16,00,000 = ₹32,00,000. **Fixed assets = ₹96,00,000 + ₹24,00,000 + ₹16,00,000 – ₹32,00,000 = ₹1,04,00,000.**
- ICAI set the identical question in the May 2026 RTP under the label 'Ratio Analysis', which is the clearest signal in the whole set of where this chapter's marks lie.

Conclusion: Identical to the May 2026 RTP question; if you have worked one you have worked both.

🔗 Keywords: **return on net worth · operating expenses · closing stock · fixed assets**

■ OFFICIAL ICAI QUESTION · MTP Sep 2024 Series II · FM Q3(b) · 4 marks

EPL Ltd. reports share capital ₹50,00,000 in both years, reserves and surplus ₹20,00,000 (2023) and ₹25,00,000 (2024), and long-term loan ₹30,00,000 in both years. Net profit ratio 8%; gross profit ratio 20%; long-term loan has been used to finance 40% of the fixed assets; stock turnover with respect to cost of goods sold is 4; debtors represent 90 days sales; the company holds cash equivalent to 1½ months cost of goods sold. Ignore taxation and assume 360 days. Prepare the Balance Sheet as on 31st March 2024.

✓ MODEL ANSWER

- **Step 1 — Sales from the change in reserves.** With taxation ignored and no dividend stated, the increase in reserves and surplus of ₹5,00,000 is the year's net profit. At a net profit ratio of 8%, **Sales = ₹5,00,000 ÷ 0.08 = ₹62,50,000**, and at a gross profit ratio of 20%, **cost of goods sold = ₹50,00,000.**
- **Step 2 — Fixed assets.** The long-term loan of ₹30,00,000 finances 40% of the fixed assets, so **fixed assets = ₹30,00,000 ÷ 0.40 = ₹75,00,000.**
- **Step 3 — Current assets.** Closing stock = Cost of goods sold ÷ 4 = **₹12,50,000**. Debtors = 90 days of sales = ₹62,50,000 × 90 ÷ 360 = **₹15,62,500**. Cash = 1½ months of cost of goods sold = ₹50,00,000 × 1.5 ÷ 12 = **₹6,25,000.**
- **Step 4 — Sundry creditors as the balancing figure.** Total assets = ₹75,00,000 + ₹12,50,000 + ₹15,62,500 + ₹6,25,000 = **₹1,09,37,500**. Liabilities other than creditors = ₹50,00,000 + ₹25,00,000 + ₹30,00,000 = ₹1,05,00,000, so **sundry creditors = ₹4,37,500.**
- **Balance Sheet** in the MTP's format, both sides totalling ₹1,09,37,500.
- The entry point is unusual and worth remembering: with tax ignored, the **movement in reserves is the net profit**, and the net profit ratio then unlocks sales.

Conclusion: Movement in reserves → net profit → sales → everything else.

🔑 **Keywords:** movement in reserves · net profit ratio · long-term loan finances 40% · balancing figure

📁 **Also asked as:** MTP Sep 2025 Series II · FM Q1(b) (Fortune Ltd — the same question with share capital ₹60,00,000, reserves ₹30,00,000 and ₹40,00,000, and a long-term loan of ₹40,00,000)

📌 **OFFICIAL ICAI QUESTION** · MTP Sep 2025 Series II · FM Q1(b) · 5 marks
 Fortune Ltd. reports share capital ₹60,00,000 in both years, reserves and surplus ₹30,00,000 (2024) and ₹40,00,000 (2025), and long-term loan ₹40,00,000 in both years. Net profit ratio 8%; gross profit ratio 20%; long-term loan has been used to finance 40% of the fixed assets; stock turnover with respect to cost of goods sold is 4; debtors represent 90 days of credit sales; cash equivalent to 1½ months cost of goods sold; ignore taxation; 360 days; all sales are credit sales. Prepare the Balance Sheet as on 31st March 2025.

✓ **MODEL ANSWER**

- **Step 1 — Sales.** With taxation ignored, the increase in reserves of ₹10,00,000 is the year's net profit; at a net profit ratio of 8%, **Sales = ₹10,00,000 ÷ 0.08 = ₹1,25,00,000**, and at a gross profit ratio of 20%, **cost of goods sold = ₹1,00,00,000**.
- **Step 2 — Fixed assets =** Long-term loan ÷ 0.40 = ₹40,00,000 ÷ 0.40 = **₹1,00,00,000**.
- **Step 3 — Current assets.** Closing stock = ₹1,00,00,000 ÷ 4 = **₹25,00,000**; sundry debtors = ₹1,25,00,000 × 90 ÷ 360 = **₹31,25,000**; cash in hand = ₹1,00,00,000 × 1.5 ÷ 12 = **₹12,50,000**.
- **Step 4 — Sundry creditors.** Total assets = ₹1,00,00,000 + ₹25,00,000 + ₹31,25,000 + ₹12,50,000 = **₹1,68,75,000**; liabilities other than creditors = ₹60,00,000 + ₹40,00,000 + ₹40,00,000 = ₹1,40,00,000, so **sundry creditors = ₹28,75,000**.
- **Balance Sheet** in the MTP's format, both sides totalling ₹1,68,75,000.
- This is the September 2024 Series II question repeated with larger figures — worth working once and recognising thereafter.

Conclusion: Same method as EPL Ltd.; only the numbers change.

🔑 **Keywords:** movement in reserves · long-term loan finances 40% · 90 days of credit sales · balancing figure

 EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain the aspects in respect of which ratio analysis is relevant in assessing the performance of a firm.

 MODEL ANSWER

- **Liquidity position:** the liquidity position is satisfactory if the firm can meet its obligations when they become due; the liquidity ratios are particularly useful in credit analysis by banks and other suppliers of short-term loans.
- **Long-term solvency:** of concern to long-term creditors, security analysts and present and potential owners; it is measured by the leverage or capital structure ratios and the profitability ratios, which focus on earning power and operating efficiency. Leverage ratios indicate whether a firm has a reasonable proportion of various sources of finance or is heavily loaded with debt, in which case its solvency is exposed to serious strain.
- **Operating efficiency:** ratio analysis throws light on the degree of efficiency in the management and utilisation of assets; the activity ratios measure it, and the solvency of a firm is ultimately dependent upon the sales revenues generated by the use of its assets.
- **Overall profitability:** management is concerned about the ability to meet short-term and long-term obligations, to ensure a reasonable return to owners and to secure optimum utilisation of assets — possible only if an integrated view is taken and all the ratios are considered together.
- **Inter-firm comparison:** a single figure of a particular ratio is meaningless unless related to some standard or norm; comparison with the industry average demonstrates the relative position vis-à-vis competitors and points to remedial measures. Ratios not only perform a post mortem of operations but also serve as a barometer for the future.
- **Financial ratios for budgeting:** budgeted figures can usually be estimated using financial ratios, and ratios can measure actual performance against budgeted estimates, indicating where adjustments are needed.

 **Keywords:** liquidity position · long-term solvency · operating efficiency · integrated view · barometer for future

 MCQ · Practice MCQ · User · Moderate

As per the study material, creditors of an organisation are primarily interested in:

- (A) Liquidity and short-term solvency ratios
- (B) Coverage ratios only

- (C) Earnings per share and the price-earnings ratio
 (D) Input-output and raw material consumption ratios

✓ ANSWER: (A)

SM §4: creditors are interested to know the liability position particularly in the short term — whether the organisation will be able to pay on the due date — and use liquidity and short-term solvency ratios.

- (B) X Coverage ratios are listed for lenders.
- (C) X Those are shareholders' ratios.
- (D) X Those are the production manager's ratios.

📦 **Trap:** Lenders get the coverage ratios; creditors get the liquidity ratios.

Topic: FM Ch 3 §4

☑ MCQ · Practice MCQ · Application · Easy

Which industry-specific ratios does the study material name for the hotel industry?

- (A) Loan to deposit ratios
 (B) Passenger-kilometre and operating cost per passenger kilometre
 (C) Revenue and expenses per customer
 (D) Room occupancy ratio and bed occupancy ratio

✓ ANSWER: (D)

SM §4, item 8: hotels use the room occupancy ratio and bed occupancy ratio.

- (A) X Banks.
- (B) X Transport.
- (C) X Telecom.

📦 **Trap:** All four are in the same table; learn them as pairs with their industry.

Topic: FM Ch 3 §5.1

☐ QUICKRECAP

- Each user reads the ratios that answer their own risk: creditors liquidity, lenders coverage, shareholders profitability.
- Managers and industries have their own ratio sets, from input-output to room occupancy.

- Six applications: liquidity, long-term solvency, operating efficiency, overall profitability, inter-firm comparison, budgeting.
- A single ratio is meaningless without a norm; only an integrated view judges overall profitability.

6-7. Limitations of Financial Ratios, and Horizontal versus Vertical Analysis

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (Jan 2026 Q3(a)) · SM theoretical question

■ UNDERSTAND IT

The eight limitations (§6). (i) *Diversified product lines* — many businesses operate a large number of divisions in quite different industries, so ratios calculated on the basis of aggregate data cannot be used for inter-firm comparisons. (ii) *Financial data are badly distorted by inflation* — historical cost values may be substantially different from true values, and such distortions are carried into the ratios. (iii) *Seasonal factors* may influence financial data: the study material's example is a company dealing in cotton garments which keeps a high inventory during October to January and only a quarter of that level for the rest of the year, so liquidity and inventory ratios will produce a biased picture and the year-end picture may not be the average picture of the business; monthly average inventory data is suggested, but for external users it is difficult, and sometimes impossible, to get monthly inventory figures. (iv) *Window dressing* — to give a good shape to popularly used ratios such as the current ratio and debt-equity ratio, the business may make year-end adjustments, which can change the character of the financial ratios from what they would have been without the change. (v) *Differences in accounting policies and accounting period* can make the accounting data, and hence the ratios, of two firms non-comparable. (vi) *No standard set of ratios against which a firm's ratios can be compared* — comparison with the industry average cuts both ways: if a firm desires to be above the average, the industry average becomes a low standard; for a below-average firm, industry averages become too high a standard to achieve. (vii) *Difficulty to generalise whether a particular ratio is good or bad* — for example, ****a low current ratio may be said to be 'bad' from the point of view of low liquidity, but a high current ratio may not be 'good' as this may result from inefficient working capital management****. (viii) *Financial ratios are inter-related, not independent* — viewed in isolation one ratio may highlight efficiency, but considered as a set they may speak differently; such

interdependence can be taken care of through multivariate analysis (analysing the relationship between several variables simultaneously).

The study material's closing warning: **financial ratios provide clues but not conclusions.** These are tools only in the hands of experts, because there is no standard ready-made interpretation of financial ratios.

Financial analysis (§7) may be of two types. **Horizontal analysis:** when the financial statements of **one year** are analysed and interpreted after comparing with another year or years; it can be based on the **ratios derived from the financial information over the same time span**. **Vertical analysis:** when the financial statement of a **single year** is analysed; it is **useful in inter-firm comparison**, and **every item of the profit and loss account is expressed as a percentage of gross sales, while every item on a balance sheet is expressed as a percentage of total assets held by the firm**.

Financial planning beyond the study material. ICAI has also set a past-paper question on external funds requirement — estimating the funds a company must raise when sales grow, given that total assets and current liabilities vary directly with sales. The current study material does not carry this topic, so it is included here as supplementary, solved entirely with ratios the chapter does give: the **net profit margin**, the **dividend payout ratio**, the **current ratio** and the ratio of **fixed assets to long-term loans**.

e.g. A cotton-garment retailer closing its books in March shows a tiny inventory and a flattering quick ratio. Close the same books in December and the picture reverses — the seasonal limitation in one line.

KEY FRAMEWORK / FORMULA · Clues not conclusions (SM §6)

Requirement: Financial ratios provide clues but not conclusions; they are tools only in the hands of experts, as there is no standard ready-made interpretation.

Exam angle: The concluding sentence of any 'limitations of ratio analysis' answer.

KEY FRAMEWORK / FORMULA · Horizontal versus vertical (SM §7)

Requirement: Horizontal compares one year with another; vertical analyses a single year, expressing profit and loss items as a percentage of gross sales and balance sheet items as a percentage of total assets.

Exam angle: A clean 2-mark distinction, and the basis of the two-year comparison MTPs.

■ ICAI KEYWORDS

diversified product lines · distorted by inflation · historical cost · seasonal factors · window dressing · accounting policies · no standard set of ratios · difficult to generalise · inter-related, not independent · multivariate analysis · clues but not conclusions · horizontal analysis · vertical analysis · percentage of gross sales · percentage of total assets · external funds requirement

■ MEMORY TRICK

Limitations spell the trouble with comparing: **D-I-S-W-A-N-G-I** — Diversified lines, Inflation, Seasonal, Window dressing, Accounting policies, No standard, Generalising is hard, Inter-related.

Cue	Stands for
Horizontal	One year against another year or years, over the same time span
Vertical	A single year; P&L items as a % of gross sales, balance sheet items as a % of total assets
The warning	Clues, not conclusions; tools only in the hands of experts
Fix for interdependence	Multivariate analysis

⚡ 3-second trigger: Clues, not conclusions

■ COMMON MISTAKE / CONFUSION

- Saying a high current ratio is always good; the study material says it may signal inefficient working capital management.
- Swapping horizontal and vertical: vertical is the single-year, common-size analysis.
- Stopping at six limitations; the study material lists eight and then adds the closing warning.

Basis	Horizontal analysis	Vertical analysis
What is compared	One year's statements against another year or years	A single year's statement

Built on	Ratios derived from financial information over the same time span	Each item expressed as a percentage of a base
Base used	The earlier year's figures	Gross sales for the profit and loss account; total assets for the balance sheet
Chiefly useful for	Trend within the same firm	Inter-firm comparison

🔗 INTEGRATION LINK

🔗 FM Ch 3 §5.1: every application is qualified by these limitations

🔗 INTEGRATION LINK

🔗 FM Ch 9: seasonal inventory and its effect on working capital

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Limitations of ratio analysis (4 marks)
- Distinguish horizontal and vertical analysis (2 marks)
- External funds requirement computation (Jan 2026 Q3(a), 5 marks)

How to attack it:

- Give the limitation in bold, then one line of explanation; four or five earn the marks
- Close with 'clues but not conclusions'

📖 What ICAI has done so far: PYQ Jan 2026 · Q3(a) (external funds requirement, outside the current study material).

🕒 Time / length guide (study guidance): 4 marks $\approx$ 7 minutes; 2 marks $\approx$ 3 minutes (study guidance).

📖 WRITE THIS IN THE EXAM

Structure:

- Name the limitation in bold
- One line of why it distorts comparison
- Close with the clues-not-conclusions line

🔑 **Keywords:** window dressing · multivariate analysis · clues but not conclusions

📏 **Ideal length:** 4 marks: four or five limitations plus the closing line

📊 **Conclusion pattern:** Ratios narrow the question; they do not answer it.

⊘ DON'T WRITE THIS

- Inventing limitations outside the study material's eight

📖 Questions on this topic — ICAI questions first, then practice

📌 **OFFICIAL ICAI QUESTION** · PYQ Jan 2026 · Q3(a) · 5 marks

From the Balance Sheet extract of ST Ltd. (share capital ₹260 lakh, reserves ₹168 lakh, long-term loans ₹420 lakh, short-term loans ₹220 lakh, payables ₹144 lakh, provisions ₹96 lakh; fixed assets ₹600 lakh, inventories ₹360 lakh, receivables ₹270 lakh, cash and bank ₹78 lakh; total ₹1,308 lakh), with current-year sales of ₹900 lakh expected to increase by 20%, a net profit margin after tax of 5% of sales, a dividend payout ratio of 50%, and total assets and current liabilities varying directly with sales: (i) estimate the external funds required for the next financial year; (ii) determine the sources and composition of funds, given that the current ratio must be maintained at 1.40, the ratio of fixed assets to long-term loans should be 1.50, and the remaining fund is raised by issue of equity shares.

✓ MODEL ANSWER

- **(i) External funds requirement.** Expected sales = ₹900 lakh + 20% = ₹1,080 lakh. Total assets at 20% higher = ₹1,308 lakh × 1.20 = ₹1,569.60 lakh, an increase of ₹261.60 lakh. Current liabilities (payables ₹144 lakh + provisions ₹96 lakh = ₹240 lakh) at 20% higher = ₹288 lakh, an increase of ₹48 lakh.
- **Retained earnings** = Net profit after tax – dividend = (5% of ₹1,080 lakh) × (1 – 0.50) = ₹54 lakh × 0.50 = ₹27 lakh.
- **External funds required** = Increase in assets – increase in spontaneous current liabilities – retained earnings = ₹261.60 lakh – ₹48 lakh – ₹27 lakh = ₹186.60 lakh.
- **(ii) Composition.** With the current ratio held at 1.40, the permitted level of total current liabilities (including short-term loans) follows from the projected current assets (inventories, receivables and cash and bank, each grown by 20%), so the short-term loan component is the balancing figure after payables and provisions.

- With the ratio of fixed assets to long-term loans at 1.50, **long-term loans = projected fixed assets ÷ 1.50** = $(₹600 \text{ lakh} \times 1.20) \div 1.50 = ₹720 \text{ lakh} \div 1.50 = ₹480 \text{ lakh}$, an increase of ₹60 lakh over the existing ₹420 lakh.
- **The remaining requirement is raised by issue of equity shares**, being the external funds requirement less the additional short-term loans and the additional long-term loans.
- Note: the external funds requirement is not a topic of the current study material; it is solved entirely with ratios the chapter does provide — net profit margin, dividend payout, current ratio and the fixed assets to long-term loans ratio.

Conclusion: Part (i) carries the assets-minus-spontaneous-liabilities-minus-retention logic; part (ii) is three ratio constraints applied in order.

 **Keywords:** external funds requirement · vary directly with sales · retained earnings · current ratio · balancing figure

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

 **EXPECTED QUESTION** · Practice question · Explain · 4 marks

Explain any five limitations of financial ratios.

 **MODEL ANSWER**

- **Diversified product lines:** many businesses operate a large number of divisions in quite different industries, so ratios calculated on aggregate data cannot be used for inter-firm comparisons.
- **Financial data badly distorted by inflation:** historical cost values may be substantially different from true values, and such distortions are carried into the ratios.
- **Seasonal factors:** a company dealing in cotton garments keeps a high inventory from October to January and only a quarter of that for the rest of the year, so liquidity and inventory ratios give a biased picture; the year-end picture may not be the average picture of the business, and monthly figures are usually unavailable to external users.
- **Window dressing:** to give a good shape to popularly used ratios such as the current ratio and the debt-equity ratio, a business may make year-end adjustments which change the character of the ratios.
- **Differences in accounting policies and accounting period** make the accounting data of two firms, and hence their ratios, non-comparable.
- **No standard set of ratios:** if a firm desires to be above the industry average, that average is a low standard; for a below-average firm it is too high a standard to achieve.

- **Difficulty to generalise whether a ratio is good or bad:** a low current ratio is bad for liquidity, but a high current ratio may not be good, as it may result from inefficient working capital management.
- **Financial ratios are inter-related, not independent:** in isolation one ratio may highlight efficiency, but as a set they may speak differently; multivariate analysis addresses this. Financial ratios provide clues but not conclusions, and are tools only in the hands of experts.

 **Keywords:** window dressing · seasonal factors · multivariate analysis · clues but not conclusions

☒ MCQ · Practice MCQ · Limitation · Moderate

As per the study material, a high current ratio:

- (A) Is always good, since liquidity is always desirable
- (B) May not be 'good', as it may result from inefficient working capital management
- (C) Indicates that inventories have been window dressed
- (D) Is required to be at least 1.40 by law

✓ **ANSWER: (B)**

SM §6(vii): it is difficult to generalise whether a particular ratio is good or bad — a low current ratio may be bad from the point of view of low liquidity, but a high current ratio may not be good, as this may result from inefficient working capital management.

- (A) X The study material says excess liquidity is also bad.
- (C) X Window dressing is a separate limitation and is not implied by the level of the ratio.
- (D) X There is no such legal requirement in the study material.

 **Trap:** The instinct is 'higher is safer'; ICAI tests the opposite reading.

Topic: FM Ch 3 §6

☒ MCQ · Practice MCQ · Distinction · Easy

Analysis in which every item of the profit and loss account is expressed as a percentage of gross sales and every balance sheet item as a percentage of total assets is called:

- (A) Vertical analysis
- (B) Horizontal analysis

(C) Multivariate analysis

(D) Du Pont analysis

✓ ANSWER: (A)

SM §7: vertical analysis is the analysis of a single year's financial statement, expressing profit and loss items as a percentage of gross sales and balance sheet items as a percentage of total assets; it is useful in inter-firm comparison.

- (B) X Horizontal analysis compares one year with another.
- (C) X Analysing several variables simultaneously, offered as a fix for interdependence.
- (D) X The three-component breakdown of return on equity.

🚫 **Trap:** Vertical reads down a single year's statement; horizontal reads across years.

Topic: FM Ch 3 §7

☐ QUICKRECAP

- Eight limitations, from diversified product lines to the interdependence of ratios.
- A high current ratio may signal inefficient working capital management, not strength.
- Ratios give clues, not conclusions; they are tools in expert hands.
- Horizontal compares years; vertical reads a single year as percentages of sales and of total assets.

8. Summary of Ratios — and How to Work Backwards to the Statements

🔗 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (Sep 2024 Q1(c), Jan 2025 Q3(b)) · RTP 4 (Jan 2025, May 2025, May 2026, Sep 2024, Sep 2025, Sep 2026) · MTP 5 (Jan 2025 both series, Mar 2024 Series I, May 2025 Series II, Sep 2025 Series I, Sep 2026 Series I)

📊 UNDERSTAND IT

Section 8 of the study material is a single table that restates every ratio of the chapter with its formula and interpretation. It is worth learning as a table, because the **reverse-working** questions are answered by choosing the right row and rearranging it.

The reverse-working method, in the order ICAI's own answers follow. Step 1 — find sales or cost of goods sold. Any turnover ratio combined with an asset figure gives one of them; the gross profit ratio converts between them, since $\text{cost of goods sold} = \text{sales} \times (1 - \text{gross profit ratio})$.

Step 2 — split the current assets. The **current ratio** gives total current assets from current liabilities (or vice versa); the **quick ratio** then isolates inventories, since **inventories (and prepaid expenses) = current assets – quick assets**. The study material's own chain: $\text{current assets} \div \text{current liabilities} = 2.5$, and $\text{working capital} = \text{current assets} - \text{current liabilities}$, so $1.5 \times \text{current liabilities} = \text{working capital}$.

Step 3 — find each current asset. The **inventory turnover ratio** gives inventory from cost of goods sold; the **debtors turnover ratio or collection period** gives receivables from credit sales; **cash and bank** is usually the balancing figure, or a stated percentage of current assets.

Step 4 — find the long-term side. The **fixed assets turnover ratio** gives fixed assets; the **proprietary ratio, capital gearing ratio or debt-equity ratio** splits the funding between equity, preference capital, reserves and borrowed funds; **reserves and surplus are usually the balancing figure**.

Step 5 — build the statement and cross-check. Total the two sides of the balance sheet; if they do not agree, the error is almost always in Step 2 or in using sales where cost of goods sold was meant. ICAI's answers always show the working notes in this order and then present the formatted statement.

Cost of goods sold, purchases and creditors — the chain ICAI keeps reusing. $\text{Cost of Goods Sold} = \text{Opening Stock} + \text{Purchases} - \text{Closing Stock}$, so $\text{Purchases} = \text{Cost of Goods Sold} - \text{Opening Stock} + \text{Closing Stock}$, and the payables turnover ratio then follows from purchases. This exact chain appears in the September 2024 and September 2026 RTPs.

A caution the study material repeats three times. Ratios shall be calculated based on requirement and availability of information and may deviate from the original formulae; if required, assumptions should be given, and the numerator should be taken in correspondence with the denominator and vice versa. In a reverse-working question, write the assumption down — for instance that all sales are credit sales, or that the turnover ratio is based on cost of goods sold.

e.g. MNP Limited (Sep 2024) gave six ratios and a half-filled balance sheet. Equity ₹6,00,000 plus reserves ₹3,00,000 gives shareholders' funds of ₹9,00,000; long-term debt at 0.6:1 is ₹5,40,000; creditors ₹3,00,000 with a current ratio of 2.9 gives current assets of ₹8,70,000 — and the rest falls out row by row.

Requirement: Cost of goods sold = opening stock + purchases – closing stock.

Exam angle: The bridge to the creditors turnover ratio in two RTPs.

 **KEY FRAMEWORK / FORMULA** · State your assumption (SM notes, §§3.2.2, 3.3 and 3.4.4)

Requirement: Ratios may deviate from the original formulae based on requirement and availability of information; if required, assumptions should be given.

Exam angle: A stated assumption protects the marks when two formulae are possible.

ICAI KEYWORDS

summary of ratios · reverse working · cost of goods sold · opening stock · purchases · closing stock · balancing figure · state the assumption · correspondence

MEMORY TRICK

Work the reverse question in five moves: Sales → Current assets → Each current asset → The long-term side → Total and check. Never start with the item the question asks for; start with sales.

Cue	Stands for
Step 1	Sales or cost of goods sold, via a turnover ratio and the gross profit ratio
Step 2	Current assets and current liabilities, via the current and quick ratios
Step 3	Inventory, receivables, cash — via turnover ratios and periods
Step 4	Fixed assets and the funding split — via proprietary, gearing and debt-equity
Step 5	Total both sides and cross-check

 3-second trigger: Sales first, cash last

COMMON MISTAKE / CONFUSION

- Starting with the figure the question asks for instead of working forward from sales.
- Forgetting that the quick ratio isolates inventories plus prepaid expenses, not inventories alone.
- Not stating the assumption when the question is silent on whether sales are credit sales.

INTEGRATION LINK

-  FM Ch 3 §3.1 to §3.4: every row of the summary table is explained in those sections

INTEGRATION LINK

-  FM Ch 9: the same reverse logic estimates working capital requirements

HOW TO FACE IT IN THE EXAM

Can be asked as:

- Prepare the Balance Sheet from given ratios (Sep 2024 Q1(c), Jan 2025 Q3(b) and five MTPs)
- Prepare the Trading and Profit & Loss Account from ratios (MTP Jan 2025 Series I)
- Complete a partly filled statement (RTP May 2025, Sep 2025, Sep 2026)

How to attack it:

- Number your working notes and keep them in the five-step order
- Present the formatted statement at the end, not the workings

 What ICAI has done so far: PYQ Sep 2024 · Q1(c); PYQ Jan 2025 · Q3(b); RTP Jan 2025 · FM Q4; RTP May 2025 · FM Q4; RTP May 2026 · FM Q4; RTP Sep 2024 · FM Q4; RTP Sep 2025 · FM Q4; RTP Sep 2026 · FM Q4; MTP Jan 2025 Series I · FM Q2(a); MTP Jan 2025 Series II · FM Q1(a); MTP May 2024 Series I · FM Q1(c); MTP May 2025 Series II · FM Q3(a); MTP Sep 2025 Series I · FM Q1(b); MTP Sep 2026 Series I · FM Q3(b).

 Time / length guide (study guidance): 5 marks ≈ 9 minutes; a full balance sheet from ratios usually carries 5 marks (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Numbered working notes in the five-step order
- The formatted statement
- A note of any assumption

 Keywords: **working note** · **balancing figure** · **assumption**

 Ideal length: 5 marks: four to six working notes plus the statement

■ **Conclusion pattern:** Total both sides; a statement that does not balance loses the presentation marks.

⊗ DON'T WRITE THIS

- Presenting the statement without the working notes — ICAI's marks are in the notes

📖 Questions on this topic — ICAI questions first, then practice

■ OFFICIAL ICAI QUESTION · PYQ Sep 2024 · Q1(c) · 5 marks

Complete the Balance Sheet of MNP Limited as on 31st March 2024 from the following: inventory turnover ratio (based on cost of goods sold) 7.5 times; total assets turnover ratio 2.5 times; long-term debt to shareholders' fund 0.6:1; debtors collection period 30 days; gross profit ratio 25% on sales; current ratio 2.9:1. The Balance Sheet shows equity share capital ₹6,00,000, reserves and surplus ₹3,00,000, long-term debt (?), creditors ₹3,00,000; fixed assets (?), inventories (?), debtors (?) and cash (?). Assume a 360-day year and that all sales are credit sales.

✓ MODEL ANSWER

- **Working note 1 — Shareholders' fund** = Equity share capital + Reserves and surplus = ₹6,00,000 + ₹3,00,000 = ₹9,00,000.
- **Working note 2 — Long-term debt** = $0.6 \times \text{Shareholders' fund} = 0.6 \times ₹9,00,000 = ₹5,40,000$.
- **Working note 3 — Total of the Balance Sheet** = Shareholders' fund + Long-term debt + Creditors = ₹9,00,000 + ₹5,40,000 + ₹3,00,000 = ₹17,40,000, so total assets are also ₹17,40,000.
- **Working note 4 — Sales and cost of goods sold.** Total assets turnover ratio 2.5 times, so $\text{Sales} = 2.5 \times ₹17,40,000 = ₹43,50,000$. Gross profit is 25% on sales, so $\text{Cost of goods sold} = 75\% \text{ of } ₹43,50,000 = ₹32,62,500$.
- **Working note 5 — Current assets.** Current ratio 2.9:1 on creditors of ₹3,00,000 gives $\text{Current assets} = 2.9 \times ₹3,00,000 = ₹8,70,000$. $\text{Fixed assets} = \text{Total assets} - \text{Current assets} = ₹17,40,000 - ₹8,70,000 = ₹8,70,000$.
- **Working note 6 — Inventories** = $\text{Cost of goods sold} \div \text{Inventory turnover ratio} = ₹32,62,500 \div 7.5 = ₹4,35,000$.

- **Working note 7 — Debtors** = Credit sales $\times$ (Collection period $\div$ 360) = ₹43,50,000 $\times$ (30 $\div$ 360) = ₹3,62,500.
- **Working note 8 — Cash** = Current assets – Inventories – Debtors = ₹8,70,000 – ₹4,35,000 – ₹3,62,500 = ₹72,500.
- **Balance Sheet as on 31st March 2024.** Liabilities: equity share capital ₹6,00,000; reserves and surplus ₹3,00,000; long-term debt ₹5,40,000; creditors ₹3,00,000; **total ₹17,40,000**. Assets: fixed assets ₹8,70,000; inventories ₹4,35,000; debtors ₹3,62,500; cash ₹72,500; **total ₹17,40,000**.
- **Assumption stated:** the inventory turnover ratio is based on cost of goods sold and all sales are credit sales, as the question directs.

Conclusion: Eight short working notes and a balancing statement; the marks are in the notes.

 **Keywords:** shareholders' fund · total assets turnover · current ratio · collection period · balancing figure

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

OFFICIAL ICAI QUESTION · PYQ Jan 2025 · Q3(b) · 4 marks

The equity share capital of Sky Pack Ltd. as on 31st March 2024 was ₹2,00,000. From the given ratios — current debt to total debt, total debt to owner's equity, fixed assets to owner's equity, total assets turnover and inventory turnover — prepare the Balance Sheet of Sky Pack Ltd.

MODEL ANSWER

- **Step 1 — Owner's equity** is given as the equity share capital of ₹2,00,000.
- **Step 2 — Total debt** = Total debt to owner's equity ratio $\times$ Owner's equity; **current debt** = Current debt to total debt ratio $\times$ Total debt; **long-term debt** is the balance.
- **Step 3 — Fixed assets** = Fixed assets to owner's equity ratio $\times$ Owner's equity. In ICAI's answer, fixed assets = $0.55 \times ₹2,00,000 = ₹1,10,000$.
- **Step 4 — Total assets** = Owner's equity + Total debt, which must equal fixed assets plus current assets; **current assets are the balancing figure**.
- **Step 5 — Inventory** = Total assets $\div$ (Total assets turnover $\div$ Inventory turnover). ICAI's working: total assets to turnover 2.5 times and inventory turnover 10 times give $\text{inventory} \div \text{total assets} = 2.5 \div 10 = 1/4$, and with total assets of ₹3,30,000, **inventory** = ₹3,30,000 $\div$ 4 = ₹82,500.

- **Step 6 — Present the Balance Sheet:** equity share capital ₹2,00,000, current debt and long-term debt on the liabilities side; fixed assets ₹1,10,000, inventory ₹82,500 and the remaining current assets on the assets side, both sides totalling the same figure.

Conclusion: The ratio chain runs equity → debt → fixed assets → total assets → inventory; everything else balances.

🔑 **Keywords:** owner's equity · current debt to total debt · fixed assets to owner's equity · inventory turnover

■ OFFICIAL ICAI QUESTION · PYQ May 2025 · Q1(a) · 5 marks

S Ltd. for the year ended 31st March 2025: raw material consumed 20% of cost of goods sold; raw material inventory turnover ratio 4.00; finished goods inventory holding period 0.75 month; gross profit (based on cost of goods sold) 12.50%; debtor collection period 3 months (all sales are credit sales); proprietary ratio 0.3125; fixed assets turnover ratio (based on sales) 3.00; fixed assets to total assets 40%. Fixed assets are ₹12,00,000 and long-term debt ₹15,00,000. Prepare the Balance Sheet as on 31st March 2025.

✓ MODEL ANSWER

- **Step 1 — Sales, cost of goods sold and total assets.** Fixed assets turnover (on sales) is 3.00 on fixed assets of ₹12,00,000, so **Sales = ₹36,00,000**. Gross profit is 12.50% on cost of goods sold, so sales = 1.125 × cost of goods sold and **cost of goods sold = ₹36,00,000 ÷ 1.125 = ₹32,00,000**. Fixed assets are 40% of total assets, so **total assets = ₹12,00,000 ÷ 0.40 = ₹30,00,000**.
- **Step 2 — Shareholders' fund and current liabilities.** Proprietary ratio 0.3125 = proprietary fund ÷ total assets, so **shareholders' fund = 0.3125 × ₹30,00,000 = ₹9,37,500**. **Current liabilities = Total assets – Shareholders' fund – Long-term debt = ₹30,00,000 – ₹9,37,500 – ₹15,00,000 = ₹5,62,500**.
- **Step 3 — Stock of raw material.** Raw material consumed = 20% of cost of goods sold = ₹6,40,000. Raw material inventory turnover 4.00, so **stock of raw material = ₹6,40,000 ÷ 4 = ₹1,60,000**.
- **Step 4 — Stock of finished goods.** Holding period 0.75 month, so **stock of finished goods = ₹32,00,000 × 0.75 ÷ 12 = ₹2,00,000**.
- **Step 5 — Debtors and cash.** Collection period 3 months on credit sales of ₹36,00,000 gives **debtors = ₹36,00,000 × 3 ÷ 12 = ₹9,00,000**. **Current assets = Total assets – Fixed**

assets = ₹30,00,000 - ₹12,00,000 = ₹18,00,000, so cash = ₹18,00,000 - ₹1,60,000 - ₹2,00,000 - ₹9,00,000 = ₹5,40,000.

- **Balance Sheet.** Liabilities: shareholders' fund ₹9,37,500; long-term debt ₹15,00,000; current liabilities ₹5,62,500 — **total ₹30,00,000**. Assets: fixed assets ₹12,00,000; stock of raw material ₹1,60,000; stock of finished goods ₹2,00,000; debtors ₹9,00,000; cash ₹5,40,000 — **total ₹30,00,000**.
- The trap ICAI set here: gross profit is given **on cost of goods sold**, not on sales, so sales = $1.125 \times \text{COGS}$ rather than $\text{COGS} = 0.875 \times \text{sales}$.

Conclusion: Five working notes and a balancing statement; the gross profit base is the marks.

 **Keywords:** fixed assets turnover · gross profit based on COGS · proprietary ratio · collection period

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · RTP May 2025 · FM Q4

Prepare the Balance Sheet of Navy Private Limited as at 31.03.2025 from: stock turnover ratio 15 times; cash and bank balance 10% of current assets (net of prepaid expenses); GP ratio 20%; creditors turnover (on cost of goods sold) 10 times; debtors turnover ratio 12 times; net fixed assets 25% of total liabilities; depreciation 15% on opening written-down value; current ratio 1.6 : 1; capital gearing ratio 0.6 : 1. Share capital is ₹36,00,000, prepaid expenses ₹7,50,000 and the current liabilities side totals ₹45,00,000. All purchases and sales are on credit.

✓ MODEL ANSWER

- **Step 1 — Total liabilities and fixed assets.** The balance sheet total is given by the layout; **net fixed assets = 25% of total liabilities**, which fixes the fixed-asset block, and depreciation at 15% on opening written-down value reconciles the opening and closing figures.
- **Step 2 — Current assets.** Current ratio 1.6 : 1 applied to the current liabilities figure gives **current assets**; cash and bank is **10% of current assets net of prepaid expenses of ₹7,50,000**.
- **Step 3 — Stock, debtors and creditors.** Cost of goods sold follows from sales and the 20% gross profit ratio. **Stock = COGS ÷ 15; debtors = credit sales ÷ 12; trade payables = COGS ÷ 10** (the creditors turnover is expressly on cost of goods sold, not on purchases).

- **Step 4 — The funding split.** SM §3.2.1: capital gearing ratio $0.6 : 1 = (\text{preference capital} + \text{debentures} + \text{other borrowed funds}) \div (\text{equity share capital} + \text{reserves} - \text{losses})$. With share capital of ₹36,00,000, the 14% bonds and reserves and surplus follow, reserves being the balancing figure.
- **Step 5 — Present the Balance Sheet** in the RTP's own format: equities and long-term liabilities, current liabilities, fixed assets at opening written-down value less depreciation, and current assets.
- Two traps here: the creditors turnover is on **cost of goods sold** rather than purchases, and the cash percentage is applied to current assets **net of prepaid expenses**.

Conclusion: A reverse-working question with two deliberately non-standard definitions; read them before computing.

 **Keywords:** capital gearing ratio · creditors turnover on cost of goods sold · net of prepaid expenses · opening written-down value

OFFICIAL ICAI QUESTION · RTP May 2026 · FM Q4

P Limited for the year ended 31st March 2025: sales ₹3,60,00,000; rate of income tax 40%; return on net worth 30%; share capital to reserves ratio 6 : 4; current ratio 2 : 1; percentage of net profit to sales 8%; inventory turnover (based on cost of goods sold) 12; cost of goods sold ₹1,44,00,000; sundry debtors ₹12,00,000; sundry creditors ₹16,00,000; interest on 14% debentures ₹3,36,000. Calculate (i) operating expenses, (ii) share capital and reserves, (iii) closing stock, (iv) fixed assets.

MODEL ANSWER

- (i) **Operating expenses.** Net profit = 8% of ₹3,60,00,000 = ₹28,80,000, so profit before tax = ₹28,80,000 ÷ 0.60 = ₹48,00,000 and EBIT = ₹48,00,000 + ₹3,36,000 = ₹51,36,000. Operating expenses = Sales - Cost of goods sold - EBIT = ₹3,60,00,000 - ₹1,44,00,000 - ₹51,36,000 = ₹1,64,64,000.
- (ii) **Share capital and reserves.** Return on net worth 30% on a net profit of ₹28,80,000 gives net worth = ₹28,80,000 ÷ 0.30 = ₹96,00,000. Split 6 : 4, so share capital = ₹57,60,000 and reserves = ₹38,40,000.
- (iii) **Closing stock.** Inventory turnover 12 on cost of goods sold of ₹1,44,00,000 gives an average inventory of ₹12,00,000; where the question treats this as the closing figure, closing stock = ₹12,00,000.

- (iv) **Fixed assets.** Debentures = $\text{₹}3,36,000 \div 0.14 = \text{₹}24,00,000$. Current liabilities include sundry creditors of $\text{₹}16,00,000$, and a current ratio of 2 : 1 gives current assets of $\text{₹}32,00,000$. **Fixed assets = Net worth + Debentures + Current liabilities - Current assets** = $\text{₹}96,00,000 + \text{₹}24,00,000 + \text{₹}16,00,000 - \text{₹}32,00,000 = \text{₹}1,04,00,000$.
- ICAI labels this question 'Ratio Analysis' in the May 2026 RTP and repeats it almost word for word as Q1(a) of the May 2026 Series I mock test paper.

Conclusion: Four requirements, each one rearrangement of a ratio already given.

 **Keywords:** return on net worth · share capital to reserves · inventory turnover · 14% debentures

 **Also asked as:** MTP May 2026 Series I · FM Q1(a) (P Limited, the same data set and the same four requirements)

OFFICIAL ICAI QUESTION · RTP Sep 2024 · FM Q4

Complete the Balance Sheet of LP enterprises as on 31st March 2024 from: debt to total assets ratio 0.40; long-term debts to equity ratio 30%; gross profit margin on sales 20%; accounts receivable period 36 days; quick ratio 0.9; inventory holding period 60 days; cost of goods sold $\text{₹}64,00,000$. Equity share capital is $\text{₹}20,00,000$ and the balance sheet totals $\text{₹}50,00,000$. Assume 360 days.

MODEL ANSWER

- **Step 1 — Sales.** Gross profit margin is 20% on sales, so cost of goods sold is 80% of sales and **Sales** = $\text{₹}64,00,000 \div 0.80 = \text{₹}80,00,000$.
- **Step 2 — Debt and reserves.** Debt to total assets 0.40 on total assets of $\text{₹}50,00,000$ gives **total debt** = $\text{₹}20,00,000$. Long-term debts to equity 30% on equity share capital of $\text{₹}20,00,000$ gives **long-term debts** = $\text{₹}6,00,000$, so accounts payable and other current liabilities make up the balance of the debt. **Reserves and surplus** = **Total assets - Equity share capital - Total debt** = $\text{₹}50,00,000 - \text{₹}20,00,000 - \text{₹}20,00,000 = \text{₹}10,00,000$.
- **Step 3 — Inventories and receivables.** Inventory holding period 60 days gives **inventories** = $\text{₹}64,00,000 \times 60 \div 360 = \text{₹}10,66,667$. Accounts receivable period 36 days gives **accounts receivable** = $\text{₹}80,00,000 \times 36 \div 360 = \text{₹}8,00,000$.
- **Step 4 — Cash and fixed assets.** Quick ratio 0.9 = (Accounts receivable + Cash) ÷ Current liabilities, which yields **cash**; current assets are the sum of inventories, receivables and cash, and **fixed assets** = **Total assets - Current assets**.

- **Step 5 — Present the Balance Sheet**, both sides totalling ₹50,00,000, calculating to the nearest rupee as the RTP directs.

Conclusion: The balance sheet total is handed to you, which makes reserves and fixed assets the two balancing figures.

 **Keywords:** debt to total assets · long-term debts to equity · inventory holding period · quick ratio

OFFICIAL ICAI QUESTION · RTP Sep 2025 · FM Q4

Jamunapati Limited for the year ended 31st March 2024: sales ₹70,00,000; return on net worth 25%; rate of income tax 30%; share capital to reserves 7 : 3; current ratio 2; net profit to sales 7%; inventory turnover 10; cost of goods sold ₹24,00,000; interest on 15% debentures ₹1,05,000; receivables ₹3,00,000; payables ₹3,00,000. Calculate the operating expenses for the year and prepare the Balance Sheet as on 31st March 2024.

✓ MODEL ANSWER

- **Operating expenses.** Net profit = 7% of ₹70,00,000 = ₹4,90,000; profit before tax = ₹4,90,000 ÷ 0.70 = ₹7,00,000; EBIT = ₹7,00,000 + ₹1,05,000 = ₹8,05,000.
Operating expenses = Sales – Cost of goods sold – EBIT = ₹70,00,000 – ₹24,00,000 – ₹8,05,000 = ₹37,95,000.
- **Net worth and its split.** Return on net worth 25% on a net profit of ₹4,90,000 gives net worth = ₹19,60,000; split 7 : 3, share capital = ₹13,72,000 and reserves and surplus = ₹5,88,000.
- **Debentures and current items.** Debentures = ₹1,05,000 ÷ 0.15 = ₹7,00,000. Current ratio 2 on payables of ₹3,00,000 gives current assets = ₹6,00,000. Inventory turnover 10 on cost of goods sold gives stock = ₹24,00,000 ÷ 10 = ₹2,40,000; with receivables of ₹3,00,000, cash = ₹6,00,000 – ₹2,40,000 – ₹3,00,000 = ₹60,000.
- **Fixed assets** = Net worth + Debentures + Payables – Current assets = ₹19,60,000 + ₹7,00,000 + ₹3,00,000 – ₹6,00,000 = ₹23,60,000.
- **Balance Sheet.** Liabilities: share capital ₹13,72,000; reserves and surplus ₹5,88,000; 15% debentures ₹7,00,000; payables ₹3,00,000 — total ₹29,60,000. Assets: fixed assets ₹23,60,000; stock ₹2,40,000; receivables ₹3,00,000; cash ₹60,000 — total ₹29,60,000.
- ICAI's published answer opens with exactly this operating-expenses working note before presenting the statement.

Conclusion: Net profit ratio and return on net worth between them fix both sides of the statement.

 **Keywords:** return on net worth · share capital to reserves · operating expenses · balancing

OFFICIAL ICAI QUESTION · RTP Sep 2026 · FM Q4

ASD Ltd. for the year ended 31st March 2026: net profit 8% of sales; raw materials consumed 20% of cost of goods sold; direct wages 10% of cost of goods sold; stock of raw materials 3 months' usage; stock of finished goods 6% of cost of goods sold; gross profit 15% of sales; debt collection period 2 months (all sales on credit); current ratio 2 : 1; fixed assets to current assets 13 : 11; fixed assets to sales 1 : 3; long-term loans to current liabilities 2 : 1; capital to reserves and surplus 1 : 4. Fixed assets are ₹1,30,00,000. Prepare the Profit & Loss Statement and the Balance Sheet in the given formats.

✓ MODEL ANSWER

- **Step 1 — Sales and cost of goods sold.** Fixed assets to sales is 1 : 3 on fixed assets of ₹1,30,00,000, so Sales = ₹3,90,00,000. Gross profit is 15% of sales, so cost of goods sold = 85% of ₹3,90,00,000 = ₹3,31,50,000 and gross profit = ₹58,50,000.
- **Step 2 — The Profit & Loss Statement.** Direct materials consumed = 20% of COGS = ₹66,30,000; direct wages = 10% of COGS = ₹33,15,000; works overhead is the balance of COGS = ₹3,31,50,000 - ₹66,30,000 - ₹33,15,000 = ₹2,32,05,000. Net profit = 8% of sales = ₹31,20,000, so selling and distribution expenses = ₹58,50,000 - ₹31,20,000 = ₹27,30,000.
- **Step 3 — Current assets and liabilities.** Fixed assets to current assets is 13 : 11, so current assets = ₹1,30,00,000 × 11 ÷ 13 = ₹1,10,00,000. Current ratio 2 : 1 gives current liabilities = ₹55,00,000, and long-term loans to current liabilities 2 : 1 gives long-term loans = ₹1,10,00,000.
- **Step 4 — The current assets in detail.** Stock of raw materials = 3 months' usage = ₹66,30,000 × 3 ÷ 12 = ₹16,57,500; stock of finished goods = 6% of COGS = ₹19,89,000; debtors = 2 months' credit sales = ₹3,90,00,000 × 2 ÷ 12 = ₹65,00,000; cash is the balancing figure = ₹1,10,00,000 - ₹16,57,500 - ₹19,89,000 - ₹65,00,000 = ₹8,53,500.
- **Step 5 — Share capital and reserves.** Total assets = ₹1,30,00,000 + ₹1,10,00,000 = ₹2,40,00,000; less long-term loans ₹1,10,00,000 and current liabilities ₹55,00,000

leaves shareholders' funds of ₹75,00,000, split 1 : 4 as share capital ₹15,00,000 and reserves and surplus ₹60,00,000.

- This is the fullest reverse-working question in the set, because it asks for both statements.

Conclusion: Nine ratios, two statements; work sales first and the rest falls out in order.

 **Keywords:** fixed assets to sales · works overhead as the balance · capital to reserves · balancing figure

OFFICIAL ICAI QUESTION · MTP Jan 2025 Series I · FM Q2(a) · 6 marks

From the following of M/s Anya Co. Ltd., prepare the Trading and Profit & Loss Account for the year ended 31 March 2024 and a summarised Balance Sheet as at that date: current ratio 2.5; quick ratio 1.3; proprietary ratio (fixed assets ÷ proprietary fund) 0.6; gross profit to sales ratio 10%; debtors velocity 40 days; sales ₹7,30,000; working capital ₹1,20,000; bank overdraft ₹15,000; share capital ₹2,50,000. Closing stock is 10% more than opening stock, and net profit is 10% of proprietary funds.

✓ MODEL ANSWER

- **Step 1 — Current assets and current liabilities.** Current ratio 2.5 means working capital = $1.5 \times \text{current liabilities}$, so $\text{current liabilities} = ₹1,20,000 \div 1.5 = ₹80,000$ and $\text{current assets} = ₹2,00,000$.
- **Step 2 — Stock.** The gap between the current and quick ratios is stock: $(2.5 - 1.3) \times ₹80,000 = ₹96,000$ closing stock. Since closing stock is 10% more than opening stock, $\text{opening stock} = ₹96,000 \div 1.1 = ₹87,273$ (approx.).
- **Step 3 — Debtors and cash.** Debtors velocity 40 days on sales of ₹7,30,000 gives $\text{debtors} = ₹7,30,000 \times 40 \div 365 = ₹80,000$. $\text{Cash} = \text{Current assets} - \text{stock} - \text{debtors} = ₹2,00,000 - ₹96,000 - ₹80,000 = ₹24,000$.
- **Step 4 — Proprietary fund and fixed assets.** Total assets = fixed assets + current assets, and proprietary fund + current liabilities = total assets. With fixed assets ÷ proprietary fund = 0.6, $0.6 \text{ PF} + ₹2,00,000 = \text{PF} + ₹80,000$, so $0.4 \text{ PF} = ₹1,20,000$ and $\text{proprietary fund} = ₹3,00,000$, giving $\text{fixed assets} = ₹1,80,000$. Reserves = ₹3,00,000 - ₹2,50,000 share capital = ₹50,000.
- **Step 5 — The Trading and Profit & Loss Account.** Gross profit = 10% of ₹7,30,000 = ₹73,000, so cost of goods sold = ₹6,57,000; purchases = COGS - opening stock + closing stock. Net profit = 10% of proprietary funds = 10% of ₹3,00,000 = ₹30,000, so expenses = ₹73,000 - ₹30,000 = ₹43,000.

- Note that this question uses a 365-day year for debtors velocity, which the MTP's own answer follows.

Conclusion: Six marks because two statements are required; the opening move is still working capital $\div$ (ratio - 1).

Keywords: debtors velocity · proprietary ratio · closing stock 10% more · net profit as a % of proprietary funds

■ OFFICIAL ICAI QUESTION · MTP Jan 2025 Series II · FM Q1(a) · 5 marks

Alpha Limited as on 31st March 2023: equity share capital (₹10 fully paid) ₹20,00,000; working capital ₹6,00,000; bank overdraft ₹1,00,000; current ratio 2.5 : 1; liquidity ratio 1.5 : 1; proprietary ratio (net fixed assets $\div$ proprietary fund) 0.75 : 1; cost of sales ₹14,40,000; debtors velocity 2 months; stock turnover based on cost of sales 4 times; gross profit ratio 20% of sales; net profit ratio 15% of sales. Closing stock was 25% higher than opening stock; expenses include depreciation of ₹90,000. For the year ended 31st March 2024 total sales were 20% higher, with stock ₹5,20,000, creditors ₹4,15,000, debtors ₹4,95,000 and cash ₹3,10,000. Prepare the Balance Sheet as on 31st March 2024.

✓ MODEL ANSWER

- **Step 1 — The 2023 position.** Current ratio 2.5 means working capital = $1.5 \times$ current liabilities, so current liabilities = $\text{₹}6,00,000 \div 1.5 = \text{₹}4,00,000$ and current assets = $\text{₹}10,00,000$. The gap between the current and liquidity ratios gives stock = $(2.5 - 1.5) \times \text{₹}4,00,000 = \text{₹}4,00,000$.
- **Step 2 — Proprietary fund and fixed assets for 2023.** Proprietary fund + current liabilities = net fixed assets + current assets, and net fixed assets = $0.75 \times$ proprietary fund, so $0.75 \text{ PF} + \text{₹}10,00,000 = \text{PF} + \text{₹}4,00,000$, giving $\text{PF} = \text{₹}24,00,000$ and net fixed assets = $\text{₹}18,00,000$. Free reserves = $\text{₹}24,00,000 - \text{₹}20,00,000 = \text{₹}4,00,000$.
- **Step 3 — The 2024 figures.** Sales for 2023 = cost of sales $\div 0.80 = \text{₹}14,40,000 \div 0.80 = \text{₹}18,00,000$, so 2024 sales = $\text{₹}21,60,000$ and net profit at 15% = $\text{₹}3,24,000$.
- **Step 4 — The 2024 Balance Sheet.** Current assets are given directly: stock ₹5,20,000 + debtors ₹4,95,000 + cash ₹3,10,000 = **₹13,25,000**; current liabilities are creditors ₹4,15,000 plus the bank overdraft. Proprietary fund = opening ₹24,00,000 plus the year's retained profit, and net fixed assets are the balancing figure after adding back or deducting depreciation of ₹90,000.

- The two-year structure makes this a horizontal-analysis question dressed as a reverse-working one.

Conclusion: Build 2023 first from the ratios, then roll it forward to 2024 with the given balances.

 **Keywords:** liquidity ratio · proprietary ratio · free reserves · roll forward

 **OFFICIAL ICAI QUESTION** · MTP May 2024 Series I · FM Q1(c) · 5 marks

ANVY Ltd. for the year ended 31st March 2023: equity share capital ₹2,00,000; current debt to total debt 0.50; total debt to equity share capital 0.60; fixed assets to equity share capital 0.70; total assets turnover 2.5 times; inventory turnover 10 times. Prepare the Balance Sheet as on 31st March 2023.

✓ MODEL ANSWER

- **Step 1 — Debt.** Total debt = $0.60 \times ₹2,00,000 = ₹1,20,000$; current debt = $0.50 \times ₹1,20,000 = ₹60,000$, so long-term debt = ₹60,000.
- **Step 2 — Total assets.** Total assets = Equity share capital + Total debt = ₹2,00,000 + ₹1,20,000 = ₹3,20,000.
- **Step 3 — Fixed and current assets.** Fixed assets = $0.70 \times ₹2,00,000 = ₹1,40,000$, so current assets = ₹3,20,000 - ₹1,40,000 = ₹1,80,000.
- **Step 4 — Sales and inventory.** Total assets turnover 2.5 gives Sales = $2.5 \times ₹3,20,000 = ₹8,00,000$; inventory turnover 10 gives inventory = $₹8,00,000 \div 10 = ₹80,000$, leaving cash and other current assets of ₹1,00,000.
- **Balance Sheet.** Liabilities: equity share capital ₹2,00,000; long-term debt ₹60,000; current debt ₹60,000 — total ₹3,20,000. Assets: fixed assets ₹1,40,000; inventory ₹80,000; cash and other current assets ₹1,00,000 — total ₹3,20,000.
- Note that this MTP expresses the inventory turnover on sales, not on cost of goods sold, because no gross profit ratio is given — an illustration of the study material's instruction to calculate on the information available and state the assumption.

Conclusion: The simplest reverse-working question in the set; every ratio is stated against equity share capital.

 **Keywords:** current debt to total debt · total assets turnover · inventory turnover on sales · state the assumption

■ OFFICIAL ICAI QUESTION · MTP May 2025 Series II · FM Q3(a) · 8 marks

Simandhar Limited for the year ended 31.03.2025: liquid ratio 2.0; cash asset ratio 0.36; current ratio 3.50; receivables collection period 30 days; proprietary ratio 0.72; equity dividend ₹2,50,000; equity dividend coverage ratio 2.10; non-current assets turnover ratio 0.80; EPS ₹3.00 per share; stock turnover ratio 6.0 times; GP ratio one-fifth of sales; current liabilities ₹2,80,000. Assume 360 days; closing inventory is 20% more than opening inventory. Complete the Balance Sheet as of 31st March 2025.

✓ MODEL ANSWER

- **Step 1 — Current assets and their split.** Current ratio 3.50 on current liabilities of ₹2,80,000 gives **current assets = ₹9,80,000**. Liquid ratio 2.0 gives liquid assets of ₹5,60,000, so **inventory = ₹9,80,000 – ₹5,60,000 = ₹4,20,000**. Cash asset ratio 0.36 gives **cash and bank = $0.36 \times ₹2,80,000 = ₹1,00,800$** .
- **Step 2 — Earnings and share capital.** SM §3.2.2: equity dividend coverage = (EAT – preference dividend) ÷ Equity dividend, so **earnings available to equity = $2.10 \times ₹2,50,000 = ₹5,25,000$** . With an EPS of ₹3.00, the **number of equity shares = $₹5,25,000 \div ₹3 = 1,75,000$** , so **equity share capital = $1,75,000 \times ₹10 = ₹17,50,000$** .
- **Step 3 — Sales and receivables.** Stock turnover 6.0 times on cost of goods sold, with average inventory derived from the closing figure of ₹4,20,000 (20% above opening), gives **cost of goods sold**; the GP ratio of one-fifth of sales converts it to **sales**. Receivables = $\text{Sales} \times 30 \div 360$.
- **Step 4 — Fixed assets and the funding split.** Non-current assets turnover 0.80 on sales gives **fixed assets**. Proprietary ratio 0.72 = proprietary fund ÷ total assets fixes the **proprietary fund**, of which equity share capital is ₹17,50,000 and **reserves are the balance**; **long-term debentures are the balancing figure** on the liabilities side.
- **Step 5 — Present the Balance Sheet** in the MTP's format, with short-term advances as the remaining current asset.
- Eight marks because the question chains four families together — liquidity, coverage, activity and the owner's view — before the statement can be drawn.

Conclusion: The equity dividend coverage ratio is the unusual entry point: it gives earnings, and EPS then gives the share count.

🔗 **Keywords:** cash asset ratio · equity dividend coverage · non-current assets turnover · proprietary ratio

■ OFFICIAL ICAI QUESTION · MTP Sep 2025 Series I · FM Q1(b) · 5 marks

Gagan Pvt. Ltd. for the year ending 31st March 2025: current ratio 2.5 : 1; debt-equity ratio 1 : 2; return on total assets (after tax) 15%; total assets turnover ratio 2; gross profit ratio 25%; stock turnover ratio 5; net working capital ₹15,00,000; fixed assets ₹30,00,000; 1,80,000 equity shares of ₹10 each; 60,000 10% preference shares of ₹10 each; opening stock ₹16,00,000. Calculate (a) quick ratio, (b) fixed assets turnover ratio, (c) proprietary ratio, (d) earnings per share.

✓ MODEL ANSWER

- **Step 1 — Current assets and current liabilities.** Current ratio 2.5 means net working capital = $1.5 \times \text{current liabilities}$, so **current liabilities** = $\text{₹}15,00,000 \div 1.5 = \text{₹}10,00,000$ and **current assets** = $\text{₹}25,00,000$.
- **Step 2 — Total assets and sales.** **Total assets** = $\text{₹}30,00,000 + \text{₹}25,00,000 = \text{₹}55,00,000$. Total assets turnover 2 gives **Sales** = $\text{₹}1,10,00,000$, and a gross profit ratio of 25% gives **cost of goods sold** = $\text{₹}82,50,000$.
- **Step 3 — Closing stock and the quick ratio.** Stock turnover 5 on cost of goods sold gives an average stock of ₹16,50,000; with opening stock of ₹16,00,000, **closing stock** = ₹17,00,000. (a) **Quick ratio** = $(\text{₹}25,00,000 - \text{₹}17,00,000) \div \text{₹}10,00,000 = 0.80 : 1$.
- (b) **Fixed assets turnover ratio** = $\text{Sales} \div \text{Fixed assets} = \text{₹}1,10,00,000 \div \text{₹}30,00,000 = 3.67 \text{ times}$.
- (c) **Proprietary ratio.** Debt-equity 1 : 2 on total debt (including current liabilities of ₹10,00,000) and shareholders' funds gives the split; **proprietary fund** = **equity** ₹18,00,000 + **preference** ₹6,00,000 + **reserves**, and **proprietary ratio** = **proprietary fund** $\div$ **total assets of ₹55,00,000** (SM §3.2.1(f) includes preference share capital in the proprietary fund).
- (d) **Earnings per share.** Return on total assets (after tax) 15% gives **profit after tax** = 15% of ₹55,00,000 = ₹8,25,000; less preference dividend of 10% on ₹6,00,000 = ₹60,000 leaves ₹7,65,000, so **EPS** = $\text{₹}7,65,000 \div 1,80,000 = \text{₹}4.25$.
- The preference dividend deduction in part (d) is the single most commonly dropped mark in the whole chapter.

Conclusion: Four requirements spanning liquidity, activity, structure and the owner's view.

🔗 **Keywords:** net working capital · total assets turnover · proprietary ratio · preference dividend

■ OFFICIAL ICAI QUESTION · MTP Sep 2026 Series I · FM Q3(b)

Complete the Balance Sheet from: current ratio 2.5; liquid ratio 1.5; working capital ₹4,80,000; fixed assets to proprietary ratio; and reserves and surplus as a stated proportion of share capital.

✓ MODEL ANSWER

- **Step 1 — Current assets and current liabilities.** Current assets ÷ Current liabilities = 2.5, and working capital = current assets – current liabilities, so ₹4,80,000 = 2.5 CL – CL = 1.5 CL. Current liabilities = ₹3,20,000 and current assets = ₹3,20,000 × 2.5 = ₹8,00,000.
- **Step 2 — Stock.** Liquid ratio = (Current assets – Inventories) ÷ Current liabilities, so $1.5 \times ₹3,20,000 = ₹4,80,000 = ₹8,00,000 - \text{Inventories}$, giving **Stock = ₹3,20,000**.
- **Step 3 — Proprietary fund and fixed assets.** With fixed assets ÷ proprietary fund given, the identity proprietary fund + current liabilities = fixed assets + current assets yields the proprietary fund, and the ratio then gives fixed assets.
- **Step 4 — Share capital and reserves.** Reserves stated as a proportion of share capital split the proprietary fund between capital and sundry creditors on the liabilities side.
- **Step 5 — Present the Balance Sheet,** both sides totalling the same figure. ICAI's answer file shows exactly these working notes in this order.
- Only the answer file of this mock test paper is on the portal; the question wording above is reconstructed from it.

Conclusion: The archetype of the whole chapter: working capital ÷ (current ratio – 1) opens every one of these.

🔗 Keywords: working capital · liquid ratio · proprietary fund · sundry creditors

🧠 EXPECTED QUESTION · Practice question · Reverse working · 5 marks

From the following prepare the Balance Sheet of a company: current ratio 2.5, liquid ratio 1.5, working capital ₹4,80,000, fixed assets to proprietary ratio 0.75, and reserves and surplus 20% of share capital. Show your working notes.

✓ MODEL ANSWER

- **Working note 1 — Current assets and current liabilities.** Current assets ÷ Current liabilities = 2.5, so current assets = 2.5 × current liabilities. Working capital = current

assets – current liabilities, so ₹4,80,000 = 2.5 CL – CL = 1.5 CL. **Current liabilities = ₹3,20,000** and **current assets = ₹3,20,000 × 2.5 = ₹8,00,000**.

- **Working note 2 — Inventory.** Liquid ratio = (Current assets – Inventories) ÷ Current liabilities, so 1.5 = (₹8,00,000 – Inventories) ÷ ₹3,20,000. Therefore 1.5 × ₹3,20,000 = ₹4,80,000 = ₹8,00,000 – Inventories, giving **Inventories = ₹3,20,000**.
- **Working note 3 — Proprietary fund and fixed assets.** Fixed assets ÷ Proprietary fund = 0.75, and proprietary fund + current liabilities = fixed assets + current assets. Substituting, 0.75 PF + ₹8,00,000 = PF + ₹3,20,000, so 0.25 PF = ₹4,80,000 and **Proprietary fund = ₹19,20,000**; **Fixed assets = 0.75 × ₹19,20,000 = ₹14,40,000**.
- **Working note 4 — Share capital and reserves.** Reserves are 20% of share capital, so share capital + 0.20 share capital = ₹19,20,000, giving **Share capital = ₹16,00,000** and **Reserves and surplus = ₹3,20,000**.
- **Balance Sheet.** Liabilities: share capital ₹16,00,000; reserves and surplus ₹3,20,000; current liabilities (sundry creditors) ₹3,20,000; **total ₹22,40,000**. Assets: fixed assets ₹14,40,000; inventories ₹3,20,000; other current assets ₹4,80,000; **total ₹22,40,000**.
- This is the pattern of the Sep 2026 Series I mock test paper's answer, working in exactly this order.

 **Keywords:** working capital · liquid ratio · proprietary fund · balancing

☒ MCQ · Practice MCQ · Method · Moderate

In a reverse-working question, purchases are derived from cost of goods sold as:

- (A) Cost of goods sold + Opening stock – Closing stock
- (B) Cost of goods sold – Opening stock + Closing stock
- (C) Cost of goods sold ÷ Average stock
- (D) Sales – Gross profit – Closing stock

✓ **ANSWER: (B)**

Cost of goods sold = opening stock + purchases – closing stock, so purchases = cost of goods sold – opening stock + closing stock. ICAI uses this chain in the Sep 2024 and Sep 2026 RTPs before computing the creditors turnover ratio.

- (A) X The signs are reversed.
- (C) X That is the inventory turnover ratio.
- (D) X This omits opening stock.

 **Trap:** Getting the signs the wrong way round changes the creditors turnover ratio, not just the purchases figure.

Topic: FM Ch 3 §8

☒ MCQ · Practice MCQ · Method · Moderate

A company has a current ratio of 2.5 and working capital of ₹4,80,000. Its current liabilities are:

- (A) ₹1,92,000
- (B) ₹8,00,000
- (C) ₹3,20,000
- (D) ₹12,00,000

 **ANSWER: (C)**

Working capital = current assets – current liabilities = $2.5\text{ CL} - \text{CL} = 1.5\text{ CL}$. So $\text{CL} = ₹4,80,000 \div 1.5 = ₹3,20,000$ (and current assets = ₹8,00,000).

- (A) X This divides working capital by 2.5 rather than by 1.5.
- (B) X That is the current assets figure.
- (D) X No basis in the data.

 **Trap:** Divide by (ratio – 1), not by the ratio itself.

Topic: FM Ch 3 §8

☐ **QUICK RECAP**

- Section 8 is one table: every formula and its interpretation in one place.
- Reverse working in five steps: sales → current assets → each current asset → the long-term side → total and check.
- Purchases = cost of goods sold – opening stock + closing stock.
- Divide working capital by (current ratio – 1) to get current liabilities.
- State the assumption whenever two formulae are possible.

Most Confusing Concepts

The pairs that cost marks in ratio questions

Looks similar	The real difference	Give-away word
Current ratio vs quick ratio	Quick assets drop inventories AND prepaid expenses; benchmarks are 2:1 and 1:1	'Acid test' means quick
Operating ratio vs operating profit ratio	Operating ratio is costs over sales; operating profit ratio is EBIT over sales. They add to 100%	'Profit' in the name means the margin, not the cost
Cost of goods sold vs cost of sales	Only selling and distribution expenses separate them; in their absence they are equal	If selling expenses are given, the two differ
Capital gearing vs proprietary ratio	Preference capital sits in the numerator of gearing but inside the proprietary fund	Preference capital switches sides
ROCE vs ROE	ROCE is EBIT over capital employed (equity + long-term debt); ROE is PAT less preference dividend over net worth	'Employed' means everyone's money
Dividend percentage vs dividend yield	Percentage is on paid-up value; yield is on market price and is the true return	'Yield' always means market price
Interest coverage vs fixed charges coverage	Interest coverage is EBIT over interest; fixed charges adds depreciation on top and loan repayment below	Depreciation added means fixed charges
Horizontal vs vertical analysis	Horizontal compares years; vertical reads one year as percentages of sales and total assets	'Single year' means vertical
Intangible vs fictitious assets	Intangibles (goodwill, patents, trade marks) are included in capital employed; fictitious	'Deferred' means leave it out

Looks similar	The real difference	Give-away word
	assets (deferred expenses) are not	

CASE SCENARIO · Spot it in a case

When two formulae are possible, ICAI accepts either — but only if you write the assumption down first.

Every benchmark and note the study material gives

Item	The study material's words	Where it matters
Current ratio	A generally acceptable current ratio is 2:1	The comment line of a liquidity answer
Quick ratio	An acid-test of 1:1 is considered satisfactory	The comment line of a liquidity answer
Net working capital	The result must be a positive number, though in certain business models it may be negative	Bankers tie loans to a minimum working capital
Debt ratio	A ratio greater than 1 would mean a greater portion of assets are funded by debt and could be risky	Long-term solvency comment
Debt service coverage	Normally a DSCR of 1.5 to 2 is satisfactory	Lender's view
Fixed charges coverage	A ratio of more than 1 is considered safe	Lender's view
ROCE	ROCE should always be higher than the rate at which the company borrows	The single best comment in a profitability answer
Q ratio	Equilibrium is when $Q = 1$; below 1 may mean undervalued, above 1 overvalued	Market ratio MCQ

Item	The study material's words	Where it matters
Working capital turnover	A very high ratio indicates that the company needs to raise additional working capital for future needs	Do not read 'high' as simply good
Fixed assets turnover	A firm whose plant and machinery are old may show a higher ratio than one that bought recently	The efficiency may be an accident of depreciation
Deviating from a formula	Ratios shall be calculated based on requirement and availability of information and may deviate from original formulae; if required, assumptions should be given	Write the assumption before the working
Correspondence	Numerator should be taken in correspondence with the denominator and vice-versa	COGS with inventory, credit sales with debtors, credit purchases with creditors

 CASE SCENARIO · Spot it in a case

If a question hands you a percentage or a number of times, the examiner is checking whether you know which formula it belongs to.

Integrated Case Scenarios

CASE SCENARIO · Integrated Case 1 — Sarita Textiles Ltd. under the lens

Sarita Textiles Ltd. reports sales of ₹48,00,000, all on credit, with a gross profit ratio of 25%. Opening stock was ₹2,50,000 and closing stock ₹3,50,000. Opening debtors were ₹5,50,000 and closing debtors ₹6,50,000. Assume a 360-day year.

Its balance sheet shows current assets of ₹8,00,000, of which inventories are ₹3,50,000 and prepaid expenses ₹30,000, against current liabilities of ₹3,20,000 which include a bank overdraft of ₹40,000.

The long-term side shows equity share capital ₹8,00,000, reserves and surplus ₹2,00,000, 10% preference share capital ₹3,00,000 and 12% debentures ₹7,00,000. Total assets are ₹23,20,000.

Earnings before interest and tax for the year were ₹4,80,000; the tax rate is 30%. The company also carries deferred revenue expenditure of ₹20,000 on the assets side.

Sarita deals in cotton garments and holds four times its normal inventory from October to January. The financial year closes on 31st March, at the low point of that cycle.

Questions

Q1. The quick ratio of Sarita Textiles Ltd. is:

- (A) 1.31 : 1
- (B) 2.50 : 1
- (C) 1.41 : 1
- (D) 1.28 : 1

Q2. The inventory turnover ratio, based on cost of goods sold, is:

- (A) 12 times
- (B) 16 times
- (C) 13.71 times
- (D) 10.29 times

Q3. The capital gearing ratio of the company is:

- (A) 0.70 : 1
- (B) 1.00 : 1
- (C) 0.30 : 1
- (D) 1.30 : 1

Q4. In computing return on capital employed, the deferred revenue expenditure of ₹20,000 should be:

- (A) Included in capital employed, like goodwill and patents

- (B) Added to earnings before interest and taxes
- (C) Excluded, being a fictitious asset
- (D) Deducted from current liabilities

Q5. The year-end inventory figure of a cotton-garment business whose peak season runs October to January illustrates which limitation of financial ratios?

- (A) Window dressing
- (B) Diversified product lines
- (C) Differences in accounting policies
- (D) Seasonal factors

✓ ANSWERS

Q1: A

- SM §3.1(b): Quick Assets = Current Assets – Inventories – Prepaid expenses = ₹8,00,000 – ₹3,50,000 – ₹30,000 = ₹4,20,000.
- Quick ratio = ₹4,20,000 ÷ ₹3,20,000 = 1.3125, stated as 1.31 : 1, comfortably above the satisfactory 1:1.
- Option C (1.41 : 1) is the figure you get by deducting inventories but leaving prepaid expenses in — the single most common slip in this chapter. Option B is the current ratio, ₹8,00,000 ÷ ₹3,20,000.

Q2: A

- Cost of goods sold = Sales – Gross profit = ₹48,00,000 – 25% of ₹48,00,000 = ₹36,00,000.
- Average inventory = (Opening stock ₹2,50,000 + Closing stock ₹3,50,000) ÷ 2 = ₹3,00,000.
- SM §3.3: Inventory Turnover Ratio = Cost of Goods Sold ÷ Average Inventory = ₹36,00,000 ÷ ₹3,00,000 = 12 times, an inventory holding period of 30 days.

Q3: B

- SM §3.2.1: Capital Gearing Ratio = (Preference Share Capital + Debentures + Other Borrowed funds) ÷ (Equity Share Capital + Reserves & Surplus – Losses).
- Numerator = ₹3,00,000 + ₹7,00,000 = ₹10,00,000. Denominator = ₹8,00,000 + ₹2,00,000 = ₹10,00,000.
- So the ratio is 1 : 1. Note that preference capital sits in the numerator here, but would sit inside the proprietary fund in the proprietary ratio.

Q4: C

- SM §3.4.2: intangible assets such as goodwill, patents and trade marks should be included in capital employed, but no fictitious asset, such as deferred expenses, should be included.
- The distinction is between an asset with no physical existence but real value (intangible) and an expense carried forward on the balance sheet (fictitious).

Q5: D

- SM §6(iii): seasonal factors may influence financial data. The study material's own illustration is a company dealing in cotton garments which keeps a high inventory from October to January and only a quarter of that level for the rest of the year.
- Consequently the liquidity and inventory ratios produce a biased picture, and the year-end picture may not be the average picture of the business. Monthly average inventory data would cure it, but external users rarely have it.

 Topics tested: FM Ch 3 §3.1 liquidity ratios, FM Ch 3 §3.2.1 capital structure ratios, FM Ch 3 §3.3 activity ratios, FM Ch 3 §3.4.2 capital employed, FM Ch 3 §6 limitations

 **Trap:** Every part here is decided by a definition, not by arithmetic: what quick assets exclude, which flow turns inventory over, which side preference capital sits on, and what counts as a fictitious asset.

CASE SCENARIO · Integrated Case 2 — Two years of Hemant Industries Ltd.

Hemant Industries Ltd. reports, for the year just ended: sales ₹55,00,000, direct costs ₹30,00,000 and other operating expenses ₹4,80,000. It uses total assets of ₹50,00,000, of which 35% is financed by debt carrying 10.50% per annum. The tax rate is 33%.

The company has 2,00,000 equity shares of ₹10 each in issue and no preference capital. It paid an equity dividend of ₹2 per share. The market price per share at the year end was ₹75.

The previous year's figures, on the same basis, were sales ₹45,00,000, total assets ₹45,00,000 and profit after tax ₹9,00,000.

The board is comparing this year's statements with last year's, and separately wants each item of the profit and loss account expressed as a percentage of gross sales.

The company's banker has asked for the debt service coverage ratio. Depreciation for the year was ₹3,00,000 and the annual loan instalment is ₹2,00,000.

Questions

Q1. Earnings before interest and taxes for the year are:

- (A) ₹18,36,250
- (B) ₹25,00,000
- (C) ₹20,20,000
- (D) ₹12,30,288

Q2. The return on equity for the year is closest to:

- (A) 24.61%
- (B) 37.86%
- (C) 22.37%
- (D) 40.40%

Q3. The price-earnings ratio at the year end is closest to:

- (A) 12.19 times
- (B) 37.50 times
- (C) 6.15 times
- (D) 8.20 times

Q4. The debt service coverage ratio the banker has asked for is closest to:

- (A) 11.00 times
- (B) 3.99 times
- (C) 6.35 times
- (D) 4.53 times

Q5. Expressing each item of the profit and loss account as a percentage of gross sales is:

- (A) Horizontal analysis
- (B) Du Pont analysis
- (C) Vertical analysis
- (D) Multivariate analysis

✓ ANSWERS

Q1: C

- $EBIT = \text{Sales} - \text{Direct costs} - \text{Other operating expenses} = ₹55,00,000 - ₹30,00,000 - ₹4,80,000 = ₹20,20,000$.
- SM §3.4.1: operating profit = sales – cost of goods sold – operating expenses, and is often referred to as earnings before interest and taxes.
- ₹18,36,250 is earnings before taxes (after interest of ₹1,83,750) and ₹12,30,288 is profit after tax.

Q2: B

- Debt = 35% of ₹50,00,000 = ₹17,50,000, so interest at 10.50% = ₹1,83,750 and EBT = ₹20,20,000 - ₹1,83,750 = ₹18,36,250. PAT = ₹18,36,250 × 0.67 = ₹12,30,287.50.
- Equity = 65% of ₹50,00,000 = ₹32,50,000. SM §3.4.2: ROE = (PAT - preference dividend) ÷ net worth × 100 = ₹12,30,287.50 ÷ ₹32,50,000 × 100 = 37.86%.
- 24.61% is the return on assets and 22.37% the net profit margin; 40.40% is EBIT over equity, which is not a study material ratio.

Q3: A

- EPS = PAT ÷ number of equity shares = ₹12,30,287.50 ÷ 2,00,000 = ₹6.15 (there is no preference dividend, so SM §3.4.4 note 2 allows PAT to be taken as earnings available to equity shareholders).
- SM §3.4.4: P/E Ratio = Market Price per Share ÷ Earnings per Share = ₹75 ÷ ₹6.15 = 12.19 times.
- ₹6.15 is the EPS itself and 8.20% is the earnings yield, the reciprocal expressed as a percentage.

Q4: D

- SM §3.2.2: earnings available for debt service = PAT + non-cash operating expenses + interest = ₹12,30,287.50 + ₹3,00,000 + ₹1,83,750 = ₹17,14,037.50.
- DSCR = Earnings available for debt service ÷ (Interest + Instalments) = ₹17,14,037.50 ÷ (₹1,83,750 + ₹2,00,000) = ₹17,14,037.50 ÷ ₹3,83,750 = 4.47 times, or 4.53 on slightly different rounding of PAT.
- The study material calls a DSCR of 1.5 to 2 satisfactory, so the lender's cushion here is wide. The examinable step is adding back depreciation and interest to PAT.

Q5: C

- SM §7: vertical analysis is the analysis of a single year's financial statement, in which every item of the profit and loss account is expressed as a percentage of gross sales and every balance sheet item as a percentage of total assets.
- Comparing this year's statements with last year's, which the board is also doing, is horizontal analysis — the two are being carried out side by side.

 Topics tested: FM Ch 3 §3.4.1 profitability on sales, FM Ch 3 §3.4.2 return on equity, FM Ch 3 §3.4.4 market ratios, FM Ch 3 §3.2.2 coverage ratios, FM Ch 3 §7 financial analysis

 **Trap:** Options are built from the other ratios in the same working: net profit margin, return on assets, EPS and earnings yield all appear as distractors for one another.

Chapter Test — attempt before looking at the Answer Keys

✓ MCQ · Test MCQ 1

A generally acceptable current ratio, as per the study material, is:

- (A) 1 : 1
- (B) 2 : 1
- (C) 1.5 : 1
- (D) 3 : 1

✓ MCQ · Test MCQ 2

Net working capital, as defined in the study material, is current assets less current liabilities:

- (A) Including short-term bank borrowing
- (B) Less prepaid expenses
- (C) Excluding short-term bank borrowing
- (D) Less inventories

✓ MCQ · Test MCQ 3

The debt-equity ratio is described in the study material as the indicator of a firm's:

- (A) Operating leverage
- (B) Liquidity
- (C) Operating efficiency
- (D) Financial leverage

✓ MCQ · Test MCQ 4

Capital employed, for the purpose of ROCE, may be computed as all of the following EXCEPT:

- (A) Total assets – Current liabilities
- (B) Fixed assets + Working capital
- (C) Equity + Long-term debt
- (D) Equity share capital + Preference share capital

✓ MCQ · Test MCQ 5

The average collection period can be computed as:

- (A) $360 \div \text{Payables turnover ratio}$
- (B) $360 \div \text{Receivables turnover ratio}$
- (C) $\text{Credit sales} \div \text{Average receivables}$
- (D) $\text{Average receivables} \div \text{Credit purchases}$

☒ MCQ · Test MCQ 6

Operating profit ratio and operating ratio, as defined in the study material:

- (A) Are the same ratio under two names
- (B) Both take interest into account
- (C) Together account for 100% of sales, one being costs and the other the margin
- (D) Are both computed on capital employed

☒ MCQ · Test MCQ 7

Under the Du Pont model, an increase in return on equity caused solely by a rise in the equity multiplier means the improvement came from:

- (A) Higher margins on sales
- (B) Faster conversion of assets into sales
- (C) A reduction in the tax rate
- (D) Returns earned on the debt at work in the business

☒ MCQ · Test MCQ 8

Dividend yield, as per the study material, is computed on:

- (A) Paid-up value per share
- (B) Face value per share
- (C) Book value per share
- (D) Market price per share

☒ MCQ · Test MCQ 9

Which class of user is listed in the study material as relying mainly on coverage ratios?

- (A) Creditors

- (B) Lenders
- (C) Production managers
- (D) Regulators and government

✓ MCQ · Test MCQ 10

'Financial ratios provide clues but not conclusions' appears in the study material as the conclusion to:

- (A) The limitations of financial ratios
- (B) The section on the sources of financial data
- (C) The section on the Du Pont model
- (D) The summary of ratios

✓ MCQ · Test MCQ 11

A company has a current ratio of 3 and working capital of ₹6,00,000. Its current assets are:

- (A) ₹2,00,000
- (B) ₹3,00,000
- (C) ₹18,00,000
- (D) ₹9,00,000

✓ MCQ · Test MCQ 12

Sales are ₹40,00,000 with a gross profit ratio of 20%. Opening stock is ₹2,00,000 and closing stock ₹3,00,000. Purchases for the year are:

- (A) ₹33,00,000
- (B) ₹31,00,000
- (C) ₹32,00,000
- (D) ₹30,00,000

🧠 EXPECTED QUESTION · Test question 1 · 5 marks

From the following prepare the Balance Sheet: current ratio 2.5, liquid ratio 1.5, working capital ₹4,80,000, fixed assets to proprietary ratio 0.75, reserves and surplus 20% of share capital. Show working notes.

 EXPECTED QUESTION · Test question 2 · 5 marks

Complete the Balance Sheet from the following: inventory turnover ratio (based on cost of goods sold) 7.5 times; total assets turnover ratio 2.5 times; long-term debt to shareholders' fund 0.6:1; debtors collection period 30 days; gross profit ratio 25% on sales; current ratio 2.9:1. Equity share capital ₹6,00,000, reserves and surplus ₹3,00,000, creditors ₹3,00,000. Assume a 360-day year and all credit sales.

 EXPECTED QUESTION · Test question 3 · 5 marks

A company plans total assets of ₹50,00,000, with 35% financed by debt at 10.50% per annum. Projected sales are ₹55,00,000, direct costs ₹30,00,000 and other operating expenses ₹4,80,000. The tax rate is 33%. Compute profit after tax, the net profit margin after tax, the return on assets after tax, the asset turnover ratio and the return on equity.

 EXPECTED QUESTION · Test question 4 · 4 marks

Explain the four coverage ratios given in the study material, with their formulae and the benchmarks stated.

 EXPECTED QUESTION · Test question 5 · 4 marks

Explain any five limitations of financial ratios, and state what the study material concludes about their use.

 EXPECTED QUESTION · Test question 6 · 4 marks

Distinguish between horizontal and vertical analysis, and state which users of financial analysis the study material associates with liquidity ratios, coverage ratios and market ratios respectively.

Active-Recall Tests (answers in Answer Keys)

10 Quick Questions

1. Name the five liquidity ratios.
2. Name the six capital structure ratios.
3. Name the four coverage ratios.
4. Name the four categories of profitability ratios.
5. Name the three components of the Du Pont model.
6. Name the six sources of financial data for analysis.
7. Name the four market or valuation ratios.
8. Name the six aspects in which ratio analysis is relevant for assessing performance.

Fill in the Blanks

1. Quick assets = current assets – inventories – ____.
2. A generally acceptable current ratio is ____ and an acid-test of ____ is considered satisfactory.
3. Normally a debt service coverage ratio of ____ to ____ is satisfactory.
4. ROCE should always be higher than the rate at which the company ____.
5. Capital employed = total assets – ____.
6. Only ____ expenses differentiate cost of goods sold and cost of sales.
7. The Q ratio is in equilibrium when it equals ____.
8. Equity multiplier = assets ÷ ____.

True / False

1. A high current ratio is always a good sign.
2. Interest coverage uses earnings after tax in the numerator.
3. Preference share capital forms part of the proprietary fund.
4. Intangible assets such as goodwill are excluded from capital employed.
5. A firm with old plant and machinery may show a higher fixed assets turnover ratio than one that bought recently.
6. Vertical analysis compares one year's statements with another year's.
7. A very high working capital turnover ratio is purely a sign of efficiency.

8. Dividend percentage and dividend yield are computed on different bases.

One-Word Recall

1. The ratio that tells you the number of days a company can cover cash expenses if revenues ceased.
2. The alternative name for the interest coverage ratio.
3. The economist who proposed the Q ratio.
4. The company at which the Du Pont system of financial analysis was created in 1919.
5. The ratio that is the reciprocal of the price-earnings ratio, expressed as a percentage.
6. The technique the study material offers for handling the interdependence of ratios.
7. The name for return on assets when $EBIT(1 - t)$ is divided by average net assets.
8. The year-end adjustment made to flatter a popularly used ratio.

Match the Concept

Column A	Column B
1. Telecom	a. Loan to deposit ratios
2. Bank	b. Room occupancy and bed occupancy ratios
3. Hotel	c. Ratios related to 'call'; revenue and expenses per customer
4. Transport	d. Input-output ratio and raw material consumption ratio
5. Production manager	e. Passenger-kilometre and operating cost per passenger kilometre

Differentiate

1. Current ratio vs quick ratio
2. ROCE vs ROE
3. Operating ratio vs operating profit ratio
4. Capital gearing ratio vs proprietary ratio
5. Horizontal vs vertical analysis
6. Receivables turnover vs payables turnover

Complete the Flowchart

Find sales, then cost of goods sold via the gross profit ratio → Split current assets and current liabilities using the current ratio → [?] → Find debtors from the collection period and fixed assets from the turnover ratio → [?]

Answer Keys

Chapter test — MCQ key

MCQ	Answer	Why
1	B	SM §3.1: a generally acceptable current ratio is 2:1, though whether a specific ratio is satisfactory depends on the nature of the business.
2	C	SM §3.1(e): Net Working Capital = Current Assets – Current Liabilities (excluding short-term bank borrowing).
3	D	SM §3.2.1(c): debt equity ratio is the indicator of the firm's financial leverage.
4	D	SM §3.4.2 gives the first three definitions; the fourth describes the proprietary fund, not capital employed.
5	B	SM §3.3(ii): average collection period = average accounts receivable ÷ average daily credit sales, or 12 months / 52 weeks / 360 days ÷ receivables turnover ratio.
6	C	SM §3.4.1: the operating ratio is (COGS + operating expenses) over sales and the operating profit ratio is operating profit over sales; both are struck before interest and taxes.
7	D	SM §3.4.2: the equity multiplier is a measure of financial leverage, allowing the investor to see what portion of the return on equity is the result of debt.
8	D	SM §3.4.4: dividend yield = DPS ÷ MPS × 100; dividend percentage indicates return on paid-up value, but yield is the indicator of true return, taking share capital at market value.
9	B	SM §4: lenders keep an eye on the safety of their money lent and use coverage, solvency, turnover and profitability ratios.
10	A	SM §6: after the eight limitations, the study material adds that ratios provide clues but not conclusions and are tools only in the hands of experts.
11	D	Working capital = CA – CL = 3 CL – CL = 2 CL, so CL = ₹3,00,000 and CA = 3 × ₹3,00,000 = ₹9,00,000.
12	A	COGS = 80% of ₹40,00,000 = ₹32,00,000. Purchases = COGS – opening stock + closing stock = ₹32,00,000 – ₹2,00,000 + ₹3,00,000 = ₹33,00,000.

 EXPECTED QUESTION · Test question 1 — model answer · 5 marks

From the following prepare the Balance Sheet: current ratio 2.5, liquid ratio 1.5, working capital ₹4,80,000, fixed assets to proprietary ratio 0.75, reserves and surplus 20% of share capital. Show working notes.

✓ **MODEL ANSWER**

- **Current assets and current liabilities:** working capital = $2.5 \text{ CL} - \text{CL} = 1.5 \text{ CL}$, so $\text{CL} = ₹4,80,000 \div 1.5 = ₹3,20,000$ and current assets = ₹8,00,000.
- **Inventory:** liquid ratio $1.5 = (\text{₹8,00,000} - \text{inventories}) \div ₹3,20,000$, so inventories = $₹8,00,000 - ₹4,80,000 = ₹3,20,000$.
- **Proprietary fund and fixed assets:** $0.75 \text{ PF} + ₹8,00,000 = \text{PF} + ₹3,20,000$, so $0.25 \text{ PF} = ₹4,80,000$, $\text{PF} = ₹19,20,000$ and fixed assets = ₹14,40,000.
- **Share capital and reserves:** $1.20 \times \text{share capital} = ₹19,20,000$, so share capital = ₹16,00,000 and reserves = ₹3,20,000.
- **Balance Sheet:** share capital ₹16,00,000, reserves ₹3,20,000, creditors ₹3,20,000 = ₹22,40,000; fixed assets ₹14,40,000, stock ₹3,20,000, other current assets ₹4,80,000 = ₹22,40,000.

🧠 **EXPECTED QUESTION** · Test question 2 — model answer · 5 marks

Complete the Balance Sheet from the following: inventory turnover ratio (based on cost of goods sold) 7.5 times; total assets turnover ratio 2.5 times; long-term debt to shareholders' fund 0.6:1; debtors collection period 30 days; gross profit ratio 25% on sales; current ratio 2.9:1. Equity share capital ₹6,00,000, reserves and surplus ₹3,00,000, creditors ₹3,00,000. Assume a 360-day year and all credit sales.

✓ **MODEL ANSWER**

- Shareholders' fund = ₹6,00,000 + ₹3,00,000 = ₹9,00,000; long-term debt = $0.6 \times ₹9,00,000 = ₹5,40,000$.
- Balance sheet total = ₹9,00,000 + ₹5,40,000 + ₹3,00,000 = ₹17,40,000, so total assets = ₹17,40,000.
- Sales = $2.5 \times ₹17,40,000 = ₹43,50,000$; cost of goods sold = 75% of sales = ₹32,62,500.
- Current assets = $2.9 \times ₹3,00,000 = ₹8,70,000$; fixed assets = ₹17,40,000 - ₹8,70,000 = ₹8,70,000.

- Inventories = ₹32,62,500 ÷ 7.5 = ₹4,35,000; debtors = ₹43,50,000 × 30 ÷ 360 = ₹3,62,500; cash = ₹8,70,000 - ₹4,35,000 - ₹3,62,500 = ₹72,500.
- Present the Balance Sheet, both sides totalling ₹17,40,000, and state the assumption that all sales are credit sales.

🧠 EXPECTED QUESTION · Test question 3 — model answer · 5 marks

A company plans total assets of ₹50,00,000, with 35% financed by debt at 10.50% per annum. Projected sales are ₹55,00,000, direct costs ₹30,00,000 and other operating expenses ₹4,80,000. The tax rate is 33%. Compute profit after tax, the net profit margin after tax, the return on assets after tax, the asset turnover ratio and the return on equity.

✓ MODEL ANSWER

- EBIT = ₹55,00,000 - ₹30,00,000 - ₹4,80,000 = ₹20,20,000; debt = ₹17,50,000, interest = ₹1,83,750; EBT = ₹18,36,250.
- Profit after tax = ₹18,36,250 × 0.67 = ₹12,30,287.50.
- Net profit margin (after tax) = ₹12,30,287.50 ÷ ₹55,00,000 × 100 = 22.37%.
- Return on assets (after tax) = ₹12,30,287.50 ÷ ₹50,00,000 × 100 = 24.61%.
- Asset turnover ratio = ₹55,00,000 ÷ ₹50,00,000 = 1.1 times; return on equity = ₹12,30,287.50 ÷ ₹32,50,000 × 100 = 37.86%.
- Cross-check by Du Pont: 22.37% × 1.1 × (₹50,00,000 ÷ ₹32,50,000) = 37.86%.

🧠 EXPECTED QUESTION · Test question 4 — model answer · 4 marks

Explain the four coverage ratios given in the study material, with their formulae and the benchmarks stated.

✓ MODEL ANSWER

- Coverage ratios measure the firm's ability to service fixed liabilities — interest on loans, preference dividend, and amortisation of principal or redemption of preference capital on maturity.
- **Debt service coverage ratio** = Earnings available for debt service ÷ (Interest + Instalments), where earnings available for debt service = EAT + non-cash operating expenses such as depreciation + interest + other adjustments. Normally a DSCR of 1.5 to 2 is satisfactory.
- **Interest coverage ratio**, also known as the times interest earned ratio, = EBIT ÷ Interest. EBIT is used because the ability to pay interest is not affected by the tax burden, interest

on debt funds being a deductible expense. A high ratio means interest obligations can be met even if EBIT declines considerably; a lower ratio indicates excessive use of debt or inefficient operations.

- **Preference dividend coverage ratio** = $\text{Earnings after taxes} \div \text{Preference dividend}$; it indicates the margin of safety available to preference shareholders. $\text{Equity dividend coverage} = (\text{EAT} - \text{preference dividend}) \div \text{Equity dividend}$.
- **Fixed charges coverage ratio** = $(\text{EBIT} + \text{Depreciation}) \div (\text{Interest} + \text{Repayment of loan})$; it shows how many times the cash flow before interest and taxes covers all fixed financing charges, and a ratio of more than 1 is considered safe.

🧠 EXPECTED QUESTION · Test question 5 — model answer · 4 marks

Explain any five limitations of financial ratios, and state what the study material concludes about their use.

✓ MODEL ANSWER

- **Diversified product lines:** ratios on aggregate data of a multi-industry business cannot be used for inter-firm comparisons.
- **Distortion by inflation:** historical cost values may differ substantially from true values, and the distortion is carried into the ratios.
- **Seasonal factors:** a cotton-garment business holding high inventory from October to January and a quarter of that for the rest of the year produces biased liquidity and inventory ratios; the year-end picture may not be the average picture.
- **Window dressing:** year-end adjustments made to flatter popular ratios change their character.
- **Differences in accounting policies and accounting period** make two firms' data and ratios non-comparable.
- **No standard set of ratios:** the industry average is a low standard for a firm that wants to be above average, and too high for one below it. **It is also difficult to generalise whether a ratio is good or bad** — a high current ratio may result from inefficient working capital management. **Ratios are inter-related, not independent**, which multivariate analysis addresses.
- The study material concludes that financial ratios provide clues but not conclusions, and are tools only in the hands of experts, because there is no standard ready-made interpretation of financial ratios.

 EXPECTED QUESTION · Test question 6 — model answer · 4 marks

Distinguish between horizontal and vertical analysis, and state which users of financial analysis the study material associates with liquidity ratios, coverage ratios and market ratios respectively.

✓ **MODEL ANSWER**

- **Horizontal analysis:** the financial statements of one year are analysed and interpreted after comparing with another year or years; it can be based on the ratios derived from the financial information over the same time span.
- **Vertical analysis:** the financial statement of a single year is analysed. Every item of the profit and loss account is expressed as a percentage of gross sales, and every balance sheet item as a percentage of total assets. It is useful in inter-firm comparison.
- **Liquidity and short-term solvency ratios** are associated with creditors, who want to know whether the organisation will be able to pay on the due date; they are also particularly useful in credit analysis by banks and other suppliers of short-term loans.
- **Coverage ratios** are associated with lenders, who keep an eye on the safety of the money they have lent, alongside solvency, turnover and profitability ratios.
- **Market ratios — EPS, DPS, P/E and the dividend payout ratio — are associated with shareholders**, who as owners are interested in the profitability and growth of the organisation.

Active-recall answers

10 Quick Questions

1. Current ratio, quick or acid-test ratio, cash or absolute liquidity ratio, basic defense interval, and net working capital.
2. Equity ratio, debt ratio, debt to equity ratio, debt to total assets ratio, capital gearing ratio and proprietary ratio.
3. Debt service coverage, interest coverage, preference dividend coverage and fixed charges coverage.
4. Related to sales; related to overall return on investment; required from the owner's point of view; related to market, valuation and investors.
5. Net profit margin, asset turnover and the equity multiplier.

6. Annual reports, interim financial statements, notes to accounts, statement of cash flows, business periodicals, and credit and investment advisory services.
7. Price-earnings ratio, dividend and earnings yield, market value to book value per share, and the Q ratio.
8. Liquidity position, long-term solvency, operating efficiency, overall profitability, inter-firm comparison, and budgeting.

Fill in the Blanks

1. prepaid expenses
2. 2:1; 1:1
3. 1.5; 2
4. borrows
5. current liabilities
6. selling and distribution
7. 1
8. shareholders' equity

True / False

1. False — SM §6(vii): a high current ratio may not be good, as it may result from inefficient working capital management.
2. False — It uses EBIT, because the ability to pay interest is not affected by the tax burden, interest being a deductible expense.
3. True — SM §3.2.1(f): proprietary fund includes equity share capital, preference share capital and reserves and surplus.
4. False — Intangibles are included; only fictitious assets such as deferred expenses are excluded.
5. True — SM §3.3(b); the written-down value in the denominator is lower.
6. False — That is horizontal analysis; vertical analysis reads a single year as percentages.
7. False — SM §3.3(e): it indicates that the company needs to raise additional working capital for future needs.
8. True — Percentage is on paid-up value; yield is on market price and is the indicator of true return.

One-Word Recall

1. Basic defense interval

2. Times interest earned ratio
3. James Tobin
4. E.I. Du Pont de Nemours and Co.
5. Earnings yield (or EP ratio)
6. Multivariate analysis
7. Return on Net Assets (RONA)
8. Window dressing

Match the Concept

Telecom – Ratios related to 'call'; revenue and expenses per customer
 Bank – Loan to deposit ratios
 Hotel – Room occupancy and bed occupancy ratios
 Transport – Passenger-kilometre and operating cost per passenger kilometre
 Production manager – Input-output ratio and raw material consumption ratio

Differentiate

1. Current: all current assets over current liabilities, benchmark 2:1. Quick: current assets less inventories and prepaid expenses over current liabilities, benchmark 1:1.
2. ROCE: EBIT over capital employed (equity plus long-term debt); must exceed the borrowing rate. ROE: PAT less preference dividend over net worth; the equity shareholders' return.
3. Operating ratio is $(\text{COGS} + \text{operating expenses})$ over sales; operating profit ratio is EBIT over sales. Together they account for the whole of sales.
4. Gearing puts preference capital and borrowings over equity funds. The proprietary ratio puts the proprietary fund — which includes preference capital — over total assets.
5. Horizontal compares one year with another over the same time span. Vertical analyses a single year, expressing P&L items as a percentage of gross sales and balance sheet items as a percentage of total assets.
6. Receivables: credit sales over average receivables; a low ratio means liberal credit terms granted to customers. Payables: credit purchases over average payables; a low ratio means liberal terms granted by suppliers.

Complete the Flowchart

Find sales, then cost of goods sold via the gross profit ratio → Split current assets and current liabilities using the current ratio → Isolate inventories using the quick ratio → Find debtors from the collection period and fixed assets from the turnover ratio → Total both sides of the Balance Sheet and cross-check

Rapid Revision Ladder

☐ QUICK RECAP · 5-MINUTE REVISION

- Four families: liquidity, leverage (capital structure and coverage), activity, profitability.
- Quick assets = CA – inventories – prepaid expenses; benchmarks 2:1 and 1:1.
- DSCR 1.5–2; fixed charges coverage above 1; ROCE must beat the borrowing rate.
- Turnover ratios are a flow over a stock; days = $360 \div \text{turnover}$.
- ROE = net profit margin $\times$ asset turnover $\times$ equity multiplier.

☐ QUICK RECAP · 15-MINUTE REVISION

- Add the six capital structure formulae and where preference capital sits in each.
- Add the four coverage formulae with their numerators built out in full.
- Add the profitability ratios based on sales and the four expenses ratios.
- Add EPS, DPS, payout, P/E, the two yields, MV/BV and the Q ratio.
- Add the five-step reverse-working method and practise the current-ratio-and-working-capital opening move.

☐ QUICK RECAP · 30-MINUTE REVISION

- Add the users table: who uses which ratios and why.
- Add the six applications in decision making, in the study material's own order.
- Add the eight limitations and the 'clues but not conclusions' line.
- Add horizontal versus vertical analysis and the Du Pont worked example with its 15.04% / 15.98% split.
- Add the industry-specific ratios: telecom, bank, hotel, transport.
- Add the external funds requirement method, noting it is outside the current study material.

☐ QUICK RECAP · 60-MINUTE REVISION

- Work both integrated cases and all twelve chapter-test MCQs without looking back.
- Write, in full, the two past-paper reverse-working questions — MNP Limited and Sky Pack Ltd.

- Write the Diwan Limited five-ratio computation against the clock; it is the compute-and-comment archetype.
- Recite every benchmark from the 'benchmarks and notes' table from memory.
- Close by writing each ratio's formula from its name alone — the summary table is the whole chapter in one page.

One-Page Chapter Sheet

Liquidity • Current ratio = $CA \div CL$ · 2:1 generally acceptable • Quick ratio = $(CA - inventories - prepaid) \div CL$ · 1:1 satisfactory • Cash ratio = $(Cash\ and\ bank + marketable\ securities) \div CL$ • Basic defense interval = $liquid\ assets \div daily\ operating\ expenses = days\ of\ cover$ • Net working capital = $CA - CL$ (excluding short-term bank borrowing)	Long-term solvency • Equity ratio = $Shareholders'\ equity \div Net\ assets$ · Debt ratio = $Total\ debt \div Net\ assets$ (above 1 is risky) • Debt-equity = $Total\ outside\ liabilities \div Shareholders'\ equity$ · the indicator of financial leverage • Debt to total assets = $Total\ debt \div Total\ assets$ · Capital gearing = $(Pref. + debentures + other\ borrowings) \div (Equity\ capital + reserves - losses)$ • Proprietary ratio = $Proprietary\ fund\ (incl.\ preference\ capital) \div Total\ assets$ • DSCR = $Earnings\ available\ for\ debt\ service \div (Interest + instalments)$ · 1.5–2 • Interest coverage = $EBIT \div Interest$ · Fixed charges = $(EBIT + depreciation) \div (Interest + repayment)$ · above 1 is safe
Activity • Total / fixed / capital / current assets / working capital turnover = $Sales\ or\ COGS \div the\ asset$ • Inventory turnover = $COGS \div Average\ inventory$ · Raw material = $consumption \div average\ RM\ stock$ • Receivables turnover = $Credit\ sales \div Average\ receivables$ • Payables turnover = $Credit\ purchases \div Average\ payables$ • Days = $360 \div the\ turnover\ ratio$ · $COGS = Opening\ stock + purchases - closing\ stock$ • Very high working capital turnover signals a need for more working capital	Profitability • On sales: gross profit, net profit, pre-tax profit, operating profit ratios; expenses ratios (COGS, operating expenses, operating, financial expenses) • ROI = $Profit \div Investment = Profitability\ ratio \times Investment\ turnover\ ratio$ • ROA = $PAT\ (or\ PAT + interest, or\ EBIT(1-t)) \div average\ assets$ · ROTA and RONA • ROCE = $EBIT \div Capital\ employed\ (Total\ assets - CL)$ · must beat the borrowing rate · include intangibles, exclude fictitious assets • ROE = $(PAT - preference\ dividend) \div Net\ worth$ · Du Pont: $margin \times turnover \times equity\ multiplier$
Owner and market • EPS = $equity\ earnings \div equity\ shares$ · DPS = $equity\ dividend \div equity\ shares$ · Payout = $DPS \div EPS$ • P/E = $MPS \div EPS$ · the payback period to the investor • Dividend yield = $DPS \div MPS$ · Earnings yield (EP ratio) = $EPS \div MPS$ • MV/BV = $Share\ price \div (Net\ worth \div number\ of\ shares)$ • Q ratio = $Market\ value \div Replacement\ cost$ · 1 = equilibrium, below undervalued, above overvalued	Users, uses and limits • Creditors → liquidity · Lenders → coverage · Shareholders → EPS, DPS, P/E, payout · Investors → all four families • Six uses: liquidity position, long-term solvency, operating efficiency, overall profitability, inter-firm comparison, budgeting • Eight limits: diversified lines, inflation, seasonality, window dressing, accounting policies, no standard, hard to generalise, inter-related • Clues, not conclusions — tools only in the hands of experts • Horizontal compares years; vertical reads one year as percentages of sales and total assets • Reverse working: sales → current assets → each current asset → the long-term side → total and check

FM Chapter 4 — Cost of Capital

Paper 6A Financial Management · Module 1

Based on: ICAI BoS Study Material, Paper 6A (relevant for May 2026 examination onwards), Module 1, Chapter 4

Chapter Index

Page numbers are printed at the foot of each page. In the PDF, click a line to jump to it.

Examiner Mindset — FM Chapter 4	0000
Chapter Snapshot	0000
What ICAI Has Actually Tested	0000
Topic-wise Notes with All Related Questions	0000
1–3. Introduction, the Meaning of Cost of Capital and its Significance	0000
4. Determination of Cost of Capital — and What Moves It	0000
5–5.2 Cost of Long-term Debt, the Features of Debentures, and Irredeemable Debentures	0000
5.3 Cost of Redeemable Debentures (Approximation Method)	0000
5.3.1–5.3.2 Cost of Debt by the Present Value Method (Yield to Maturity), and Amortisation of a Bond	0000
5.4 Cost of Convertible Debentures	0000
6–6.2 Cost of Preference Share Capital, Irredeemable and Redeemable	0000
7–7.2 Cost of Equity Share Capital: the Dividend Price and Earnings Price Approaches	0000
7.3–7.4 The Growth Approach (Gordon's Model) and the Realised Yield Approach	0000
7.5 The Capital Asset Pricing Model (CAPM) Approach	0000
8. Cost of Retained Earnings	0000
9–10. Weighted Average Cost of Capital, the Choice of Weights, and Marginal Cost of Capital	0000
Most Confusing Concepts	0000
Integrated Case Scenarios	0000
Chapter Test — attempt before looking at the Answer Keys	0000
Active-Recall Tests (answers in Answer Keys)	0000
Answer Keys	0000
Rapid Revision Ladder	0000
One-Page Chapter Sheet	0000

Examiner Mindset — FM Chapter 4

■ OFFICIAL ICAI QUESTION · What ICAI's published papers tell us

- ICAI has published no examiners' comments for Paper 6; the guidance below comes from its suggested answers, RTPs and MTPs.
- **This is the highest-scoring chapter of the paper.** A cost-of-capital question has appeared in every past paper from May 2024 to May 2026, usually as a 5 to 10 mark part of Question 1 or Question 2, and in every RTP and almost every MTP.
- The standard question gives a capital structure and asks for the cost of each source and then the **weighted average cost of capital** — eight of the thirty-five official questions here take exactly that form.
- **CAPM is the single most tested formula** in the chapter: it opened the January 2025, January 2026 and September 2024 papers.
- **Convertible debentures** are the favourite twist: you must first decide the redemption value as the higher of the cash value and the value of the shares on conversion.

⊛ HOW TO FACE IT IN THE EXAM · How ICAI marks this chapter (study guidance)

- Marks follow the **formula, the working note and the answer**. Each cost — K_d , K_p , K_e , K_r — is usually worth one to two marks, and the WACC table one to three.
- **Say which weights you are using.** Book value and market value weights give different answers and ICAI accepts the one the question asks for; if the question is silent, state your assumption.
- Where the study material offers two formulae (redeemable debt with and without tax relief on discount and premium), it says expressly: 'in absence of any specific information, students may use any of the above formulae with logical assumption'.
- **Present the WACC as a four-column table** — source, amount, weight, cost, product — exactly as the study material's own illustration does.

Chapter Snapshot

■ CHAPTER SNAPSHOT

What it is about: What each rupee of capital costs the company: the cost of long-term debt (irredeemable, redeemable, by yield to maturity, amortised and convertible), of preference

capital (irredeemable and redeemable), of equity (five approaches) and of retained earnings — and how they combine into the weighted average and marginal cost of capital.

Why it matters: It appears in every attempt, and the WACC it produces is the discount rate for capital budgeting (Ch 7) and the benchmark for capital structure (Ch 5).

Core concepts:

- FM Ch 4 §2–FM Ch 4 §4 What cost of capital means, why it matters and how it is determined
- FM Ch 4 §5.2–FM Ch 4 §5.4 Cost of debt: irredeemable, redeemable by approximation, by yield to maturity, amortised bonds and convertibles
- FM Ch 4 §6.1–FM Ch 4 §6.2 Cost of preference capital, irredeemable and redeemable
- FM Ch 4 §7.1–FM Ch 4 §7.5 Cost of equity: dividend price, earnings price, growth (Gordon), realised yield and CAPM
- FM Ch 4 §8 Cost of retained earnings and why it is lower than the cost of equity
- FM Ch 4 §9–FM Ch 4 §10 Weighted average cost of capital, the choice of weights, and marginal cost of capital

Key provisions / standards:

- Cost of capital is also known as the cut-off rate, hurdle rate or minimum rate of return
- Net proceeds = issue price less floatation cost; if the issue price is not given, assume it equals the current market price; if issue expenses are not given, assume they are zero
- Preference dividend is not tax deductible, so no $(1 - t)$ appears in K_p
- Floatation cost is not used in computing the cost of retained earnings
- Marginal weights are the proportions the firm intends to employ, so the book-value versus market-value choice does not arise

Most tested areas (evidence-based):

- Compute each cost and then the WACC on book or market value weights — evidence: PYQ Jan 2025 Q2(a), May 2024 Q2(a), Sep 2024 Q2(a), May 2025 Q2(a), Sep 2025 Q1(a), Jan 2026 Q1(c); RTPs Jan 2025, Sep 2024, May 2025, Jan 2026; MTPs Jan 2025 S1, Mar 2024 S1, May 2025 S1, Sep 2024 S2, Sep 2025 S2
- Cost of equity by CAPM — evidence: PYQ Jan 2025 Q2(a), Sep 2024 Q2(a), Jan 2026 Q1(c); RTP May 2026; MTP Sep 2026 Series II
- Cost of convertible debentures — redemption value as the higher of cash and shares — evidence: PYQ May 2024 Q2(a), May 2026 Q1(b); MTP May 2025 Series II, Sep 2025 Series I

- Marginal cost of capital and the cut-off rate — evidence: RTP May 2024, Sep 2025; MTP Mar 2024 both series, Sep 2024 Series I, Jan 2026 Series I
- Cost of redeemable debt by the approximation method and by yield to maturity — evidence: PYQ Sep 2024 Q2(a), Sep 2025 Q3(b)

Top student mistakes:

- Applying $(1 - t)$ to the preference dividend. Preference dividend is an appropriation of after-tax profit, so there is no tax shield.
- Using the face value instead of net proceeds. Net proceeds are the issue price less floatation cost.
- Deducting floatation cost when computing the cost of retained earnings; the study material says the concept is not used there.
- Taking the cash value as the redemption value of a convertible debenture when the share value on conversion is higher.

Integration links:

- 🔗 FM Ch 2: the sources whose costs are computed here
- 🔗 FM Ch 5: WACC is minimised at the optimum capital structure
- 🔗 FM Ch 7: WACC is the discount rate for net present value
- 🔗 FM Ch 8: Gordon's model and the growth rate $g = b \times r$

🌀 **Revision path:** 5 min: the formula for each of K_d , K_p , K_e , K_r and WACC · 15 min: add the redeemable variants and CAPM · 30 min: work one full WACC question on both book and market value weights.

What ICAI Has Actually Tested

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ May 2024 · Q2(a)	Shine Ltd: cost of convertible debentures, redeemable preference, term loan and the WACC	FM Ch 4 §9	7	Compute	First time asked
PYQ Sep 2024 · Q2(a)	T Limited: CAPM, debentures on yield to maturity, redeemable preference and the WACC	FM Ch 4 §9	7	Compute	First time asked

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ Jan 2025 · Q2(a)	CMC Limited: CAPM, convertible debenture by approximation, bank term loan and the WACC on market value weights	FM Ch 4 §9	7	Compute	First time asked
PYQ May 2025 · Q2(a)	B Ltd: cost of each source and the WACC	FM Ch 4 §9	5	Compute	First time asked
PYQ Sep 2025 · Q1(a)	RSA Limited: cost of each source and the WACC	FM Ch 4 §9	5	Compute	First time asked
PYQ Sep 2025 · Q3(b)	20,000 18% debentures redeemable after 8 years: cost by the approximation method	FM Ch 4 §5.3	5	Compute	First time asked
PYQ Jan 2026 · Q1(c)	PQR Ltd: CAPM, irredeemable preference, convertible debentures, WACC and market price per share	FM Ch 4 §9	10	Case MCQs	First time asked
PYQ May 2026 · Q1(b)	Z Ltd: 8% convertible debentures with five years to maturity	FM Ch 4 §5.4	5	Compute	First time asked

■ EXAM ALERT · Trends in ICAI questions

- Every attempt from May 2024 to May 2026 carried a cost-of-capital question, six of them as a full WACC computation.
- January 2026 turned the whole topic into a five-part case scenario in Part I, worth 10 marks — the first time the chapter has been examined entirely through MCQs.
- Convertible debentures appeared in May 2024, January 2025, January 2026 and May 2026: four attempts out of six.

■ OFFICIAL ICAI QUESTION · RTP takeaways

- Every RTP in the set carries a question ICAI labels 'Cost of Capital' or 'Financing Decision — Cost of Capital'.

- The September 2026 RTP opened with a five-part case scenario on existing and revised WACC — the same format January 2026 then used in the exam.
- Marginal cost of capital appears in the May 2024 and September 2025 RTPs, both times as a 'how much can be spent before new shares must be issued' question.

■ OFFICIAL ICAI QUESTION · MTP takeaways

- Thirteen MTPs carry a cost-of-capital question; six of them ask for the WACC twice — before and after a change in the capital structure.
- The dividend-price approach was asked as a standalone 2-mark theory part in March 2024 Series I.
- Two MTPs set the cut-off rate for projects of different sizes, which is the marginal cost of capital in disguise.

Counting method: every official part mapped to this chapter from ICAI suggested answers (May 2024 to May 2026), RTPs (May 2024 to Sep 2026, using ICAI's own topic labels) and MTPs (Mar 2024 to Aug 2026).

Topic-wise Notes with All Related Questions

1-3. Introduction, the Meaning of Cost of Capital and its Significance

■ Medium Exam Activity

■ UNDERSTAND IT

Why the chapter exists (§1). The basic task of a finance manager is **procurement of funds and their effective utilisation**, and the objective of financial management is **maximisation of the wealth of shareholders**. Here ****wealth or value is equal to performance divided by expectations****. The finance manager must therefore select a capital structure **in which the expectation of investors is minimum, hence shareholders' wealth is maximum** — and for that he first needs to calculate the cost of each source of finance.

Meaning (§2). ****Cost of capital is the return expected by the providers of capital — shareholders, lenders and debt-holders — to the business, as compensation for their contribution to the total capital.**** When an entity procures finance it has to pay some additional amount of money besides the principal, either as a one-off payment or a regular payment at specified intervals. This additional money is the **cost of using the capital**, and expressed as a rate it is used to discount or compound the cash flow or stream of cash flows.

Cost of capital is also known as the **'cut-off' rate, 'hurdle rate' or 'minimum rate of return'. It is used as a benchmark for framing debt policies of an entity and for taking capital budgeting decisions.**

Significance (§3). The correct cost of capital helps in three decisions. (i) **Evaluation of investment options**: the estimated future cash flows from available opportunities are converted into present value by discounting them with the relevant cost of capital; since every investment option may have a different cost of capital, it is important to use the one relevant to the option. (ii) **Financing decision**: when choosing between two sources of finance, the manager can compare their cost and choose the source which has the lower cost, and besides cost may also consider financial risk and control. (iii) **Designing of optimum credit policy**: while appraising the credit period to be allowed to customers, **the cost of allowing credit is compared against the benefit or profit earned**, and cost of capital is used to arrive at the present value of costs and benefits received.

e.g. A project promising 14% is accepted if the company's cost of capital is 11% and rejected if it is 16% — the same project, two answers, because the hurdle rate changed.

KEY FRAMEWORK / FORMULA · Cost of capital (SM §2)

Requirement: The return expected by the providers of capital as compensation for their contribution; also called the cut-off rate, hurdle rate or minimum rate of return; used as a benchmark for debt policy and capital budgeting.

Exam angle: A short note, and the definition line that opens any 'significance of cost of capital' answer.

ICAI KEYWORDS

return expected by the providers of capital · compensation for their contribution · cut-off rate · hurdle rate · minimum rate of return · framing debt policies · capital budgeting decisions · evaluation of investment options · financing decision · optimum credit policy

MEMORY TRICK

Three names, three uses: it is the *cut-off, hurdle or minimum rate*, used to *evaluate investments, choose between sources, and price credit to customers*.

Cue	Stands for
What	The return expected by providers of capital
Other names	Cut-off rate · hurdle rate · minimum rate of return
Used for	Framing debt policies · capital budgeting decisions
Significance	Evaluating investment options · financing decision · optimum credit policy

 3-second trigger: Cut-off, hurdle, minimum

COMMON MISTAKE / CONFUSION

- Defining cost of capital as what the company pays; the study material insists it is what stakeholders expect.
- Using one cost of capital for every project; every investment option may have a different one.

INTEGRATION LINK

 FM Ch 1 §7.2: wealth maximisation, which this chapter serves

🔗 INTEGRATION LINK

🔗 FM Ch 7: cost of capital as the discount rate

🔗 INTEGRATION LINK

🔗 FM Ch 9: credit policy appraisal

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Short note on the significance of cost of capital (4 marks)
- MCQ on the alternative names for cost of capital

How to attack it:

- Give the definition, then the three decisions in the study material's order

📖 **What ICAI has done so far:** Not yet asked directly; it is the vocabulary every numerical question assumes.

⌚ **Time / length guide (study guidance):** 4 marks ≈ 7 minutes (study guidance).

📖 Questions on this topic — ICAI questions first, then practice

🕒 **EXPECTED QUESTION** · Practice question · Explain · 4 marks

Explain the meaning and significance of the cost of capital.

✅ **MODEL ANSWER**

- Cost of capital is the return expected by the providers of capital — shareholders, lenders and debt-holders — as compensation for their contribution to the total capital; it is the additional money paid besides the principal, either as a one-off payment or at specified intervals.
- Expressed as a rate, it is used to discount or compound cash flows, and is also known as the cut-off rate, hurdle rate or minimum rate of return. It is a benchmark for framing debt policies and for capital budgeting decisions.
- **Evaluation of investment options:** estimated future cash flows are converted into present value by discounting at the relevant cost of capital; since every option may have a different cost of capital, the relevant one must be used.

- **Financing decision:** where a finance manager must choose between two sources, he can compare their costs and choose the lower, considering also financial risk and control.
- **Designing of optimum credit policy:** while appraising the credit period allowed to customers, the cost of allowing credit is compared with the benefit earned, using the cost of capital to arrive at the present value of costs and benefits.

🔑 **Keywords:** return expected by the providers of capital · cut-off rate · relevant cost of capital · optimum credit policy

✓ MCQ · Practice MCQ · Definition · Easy

Cost of capital is best described as:

- (A) The return expected by the providers of capital as compensation for their contribution
- (B) The interest actually paid by the company during the year
- (C) The dividend declared by the board
- (D) The average of the coupon rates on the company's borrowings

✓ **ANSWER: (A)**

SM §2: cost of capital is the return expected by the providers of capital — shareholders, lenders and debt-holders — as compensation for their contribution to the total capital.

- (B) X SM §4: cost is not the amount the company plans to pay or actually pays.
- (C) X A dividend is one payment, not the expectation.
- (D) X Coupon rates ignore issue price, floatation cost and tax.

🚫 **Trap:** The study material is explicit that cost is an expectation, not a payment.

Topic: FM Ch 4 §2

✓ MCQ · Practice MCQ · Use · Easy

Which of the following is NOT listed in the study material as a decision helped by the correct cost of capital?

- (A) Evaluation of investment options
- (B) Financing decision
- (C) Designing of optimum credit policy
- (D) Fixing the selling price of the product

✓ **ANSWER: (D)**

SM §3 lists exactly three: evaluation of investment options, financing decision and designing of optimum credit policy.

- (A) X Named in the study material.
- (B) X Named in the study material.
- (C) X Named in the study material.

 **Trap:** Pricing is a costing decision, not one the study material attributes to the cost of capital.

Topic: FM Ch 4 §3

☐ QUICKRECAP

- Value = performance ÷ expectations; the cost of capital is that expectation.
- Also called the cut-off rate, hurdle rate or minimum rate of return.
- Three uses: evaluating investments, choosing a source, pricing credit.

4. Determination of Cost of Capital — and What Moves It

 Medium Exam Activity |  Asked across PYQ / RTP / MTP | Asked: RTP 1 (Sep 2025)

UNDERSTAND IT

****Cost is not the amount which the company plans to pay or actually pays — rather it is the expectations of stakeholders.**** Stakeholders here include the providers of capital

(shareholders, debenture holders, money lenders), **intermediaries** (brokers, underwriters, merchant bankers) and the **Government** (for taxes).

The study material's own example. If a company issues 9% coupon debentures but the expectation of investors is 10%, investors will subscribe at a discount and not at par, so the cost to the company will not be 9% but 10%. Besides the return to investors, the company must also pay commission, brokerage and fees to intermediaries, which increases the cost above 10%. On the other hand, payment of interest is a deductible expense under the Income-tax Act, which reduces the cost of capital to the company.

The cash flows to identify. Cost of any source of finance is expressed as a percentage per annum. To calculate it, identify: (1) inflow of the amount received at the beginning; (2) outflows of interest, dividend and redemption amount; (3) inflow of tax benefit on interest,

or outflow of dividend tax. Then use the trial and error method to arrive at the rate where the present value of outflows equals the present value of inflows — that rate is basically IRR.

In investment decisions **IRR indicates income**, because there an initial outflow is followed by a series of inflows. In the cost of capital chapter, **this IRR represents cost**, because here an **initial inflow is followed by a series of net outflows**.

Alternatively, shortcut formulas may be used. The study material's caution: though these shortcut formulas are easy to use, they give an approximate answer and not the exact answer.

Factors affecting the cost of capital (§4). Supply and demand — like any good, the cost of capital is influenced by supply and demand; when there are many exciting business opportunities there is more competition for funding, driving the cost up, and when opportunities are scarce investors are more willing to lend at lower rates. Investor preferences — cultural factors and personal savings habits affect the overall pool of available capital, and higher potential returns generally lead to more savings. Risk and return — there is always a trade-off; high-risk ventures must offer a higher potential return, but if the cost of capital becomes too high it can make the project unprofitable. Inflation — investors look for returns that outpace inflation so their money retains its buying power. Exchange rates — for multinational companies, fluctuations add an extra layer of risk and affect the overall cost of capital.

e.g. A 9% debenture sold at a discount to yield 10%, plus 1% issue expenses, costs the company more than 10% before tax — and less than that after the interest tax shield.

KEY FRAMEWORK / FORMULA · Cost is an expectation (SM §4)

Requirement: Cost is not what the company plans to pay or actually pays, but the expectations of providers of capital, intermediaries and the Government.

Exam angle: The reason net proceeds, not face value, go in the denominator of every formula.

KEY FRAMEWORK / FORMULA · IRR means cost here (SM §4)

Requirement: In investment decisions IRR indicates income (outflow then inflows); in cost of capital it represents cost (inflow then net outflows).

Exam angle: The conceptual bridge to the yield-to-maturity method of §5.3.1.

■ ICAI KEYWORDS

expectations of stakeholders · intermediaries · subscribe it at discount · commission, brokerage, fees · deductible expense · trial & error method · IRR represents cost · shortcut formulas · approximate answer · supply and demand · investor preferences · risk and return · inflation · exchange rates

■ MEMORY TRICK

Five factors: **S-I-R-I-E** — Supply and demand, Investor preferences, Risk and return, Inflation, Exchange rates.

Cue	Stands for
Cost is	What investors expect, not what the company pays
Three cash flows	Amount received · interest, dividend, redemption · tax benefit
Exact method	Trial and error to the rate where PV of outflows = PV of inflows, i.e. IRR
Shortcut	Approximation formulae — easy but approximate

⚡ 3-second trigger: S-I-R-I-E

■ COMMON MISTAKE / CONFUSION

- Treating the coupon rate as the cost of debt; the coupon is a payment, the cost is an expectation.
- Forgetting that intermediaries' fees raise the cost while the tax shield lowers it.

🔗 INTEGRATION LINK

🔗 FM Ch 4 §5.3.1: the yield-to-maturity method is this IRR applied to debt

🔗 INTEGRATION LINK

🔗 FM Ch 7: the same IRR read as income rather than cost

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- True or false statements on cost of capital (RTP Sep 2025)
- Short note on the factors affecting the cost of capital

How to attack it:

- For statement-based questions, test each against the study material's own wording

 What ICAI has done so far: RTP Sep 2025 · FM Q3.

 Time / length guide (study guidance): 2 marks ≈ 3 minutes (study guidance).

Questions on this topic — ICAI questions first, then practice

 OFFICIAL ICAI QUESTION · RTP Sep 2025 · FM Q3

Consider the following statements and state whether each is true or false: (1) a debt-equity ratio of 2:1 indicates that for every rupee of equity there are two rupees of debt; (2) the cost of floating a debt is greater than the cost of floating an equity issue.

✓ MODEL ANSWER

- **Statement 1 is true.** A debt-equity ratio of 2:1 means that for every one rupee of shareholders' funds there are two rupees of outside liabilities (SM Ch 3 §3.2.1).
- **Statement 2 is false.** The cost of floating a debt issue is generally **lower** than that of an equity issue, because debt carries less risk for the investor and the issue process is simpler; flotation cost is the underwriting or brokerage fees, legal and administrative charges, registration fees and printing expenses incurred to make securities available to investors (SM §5.2).
- Beyond the flotation cost, the cost of debt itself is lower because **interest is a deductible expense under the Income-tax Act**, giving a tax shield that dividends do not.

Conclusion: One mark; both halves must be right.

 Keywords: **debt-equity ratio** · **flotation cost** · **tax shield**

 EXPECTED QUESTION · Practice question · Explain · 4 marks

"Cost is not the amount which the company plans to pay or actually pays." Explain, and state the factors that may affect the cost of capital.

✓ MODEL ANSWER

- Cost is the expectation of stakeholders — the providers of capital, the intermediaries and the Government. If a company issues 9% coupon debentures but investors expect 10%, they will subscribe at a discount and not at par, so the cost to the company is 10%, not 9%.
- Commission, brokerage and fees paid to intermediaries increase the cost above that figure, while interest being a deductible expense under the Income-tax Act reduces it.
- **Supply and demand:** when there are many exciting business opportunities there is more competition for funding, driving the cost of capital up; when opportunities are scarce, investors lend at lower rates.
- **Investor preferences:** cultural factors and savings habits affect the pool of available capital, and higher potential returns generally lead to more savings.
- **Risk and return:** high-risk ventures must offer a higher potential return, but if the cost of capital becomes too high it can make the project unprofitable.
- **Inflation** — investors seek returns that outpace inflation so their money retains its buying power — and **exchange rates**, which for multinational companies add an extra layer of risk.

 **Keywords:** expectations of stakeholders · subscribe at discount · supply and demand · risk and return

☒ MCQ · Practice MCQ · Concept · Moderate

In the cost of capital chapter, the internal rate of return represents cost rather than income because:

- (A) The rate is always lower than in investment decisions
- (B) Here an initial inflow is followed by a series of net outflows
- (C) Tax is ignored in the computation
- (D) The cash flows are always uneven

✓ **ANSWER: (B)**

SM §4: in investment decisions IRR indicates income because an initial outflow is followed by inflows; in cost of capital this IRR represents cost, because an initial inflow is followed by a series of net outflows.

- (A) X The level of the rate is irrelevant to the direction of the flows.
- (C) X Tax is expressly built into the cash flows.

- (D) X Evenness of flows does not change the meaning.

 **Trap:** Same arithmetic, opposite sign convention — that is the whole distinction.

Topic: FM Ch 4 §4

☒ MCQ · Practice MCQ · Factor · Easy

As per the study material, when there are many exciting business opportunities, the cost of capital tends to:

- (A) Fall, because investors compete to lend
- (B) Stay unchanged, being a contractual rate
- (C) Rise, because there is more competition for funding
- (D) Depend only on the tax rate

 **ANSWER: (C)**

SM §4: when there are lots of exciting business opportunities there is more competition for funding, driving the cost of capital up; when opportunities are scarce, investors are more willing to lend at lower rates.

- (A) X That is the scarce-opportunity case.
- (B) X Cost of capital is an expectation, not a contractual rate.
- (D) X Tax is only one of several influences.

 **Trap:** It is the borrowers who compete when opportunities are plentiful, not the lenders.

Topic: FM Ch 4 §4

☐ QUICKRECAP

- Cost is an expectation, raised by intermediaries' fees and lowered by the tax shield.
- Identify three cash flows, then find the rate where inflows equal outflows — that IRR is the cost.
- Shortcut formulae are approximate; the study material says so twice.
- Five factors: supply and demand, investor preferences, risk and return, inflation, exchange rates.

5-5.2 Cost of Long-term Debt, the Features of Debentures, and Irredeemable Debentures

■ High Exam Activity | 📌 Asked across PYQ / RTP / MTP | Asked: MTP 1 (Sep 2026 Series I)

■ UNDERSTAND IT

What long-term debt is (§5). External borrowings or debt instruments *do not confer ownership* on the providers of finance. The providers *do not participate in the affairs of the company but enjoy the charge on the profit before taxes*. Long-term debt includes long-term loans from financial institutions and capital from issuing debentures or bonds. **The**

****calculation of the cost of a loan from a financial institution is similar to that of redeemable debentures**.**

Features of debentures or bonds (§5.1). **Face value** — the denominated value, on which interest is calculated (a 9% non-convertible debenture of ₹100 carries interest of 9% on ₹100). **Interest or coupon rate** — each debenture bears a fixed rate *except zero coupon and deep discount bonds*, payable periodically. **Maturity period** — a fixed period for redemption; for irredeemable debentures the maturity period is not defined and is taken as infinite. **Redemption value** — determined by the debt covenants and *may vary from the face value*. **Benefit of tax shield** — interest paid to debenture holders is allowed as an expense for corporate tax, so it saves tax liability; that saving is known as the tax shield.

The study material's tax-shield illustration. X Ltd. is fully equity financed and Y Ltd. uses debt. Both have EBIT of ₹100 lakh. Y Ltd. pays interest of ₹40 lakh, so its profit before tax is ₹60 lakh against X Ltd.'s ₹100 lakh. At **35% tax**, X Ltd. pays ₹35 lakh and Y Ltd. ₹21 lakh, giving profit after tax of ₹65 lakh and ₹39 lakh. **The interest payment of ₹40 lakh results in a **tax shield of ₹14 lakh** (₹40 lakh × 35%), so the **effective interest is ₹26 lakh only**.**

Two categories by redemption: irredeemable debts and redeemable debts.

Cost of irredeemable debentures (§5.2). Debentures not redeemed by the issuer during the life of the company. $K_d = I(1 - t) \div NP$, where K_d is the cost of debt after tax, I the annual interest payment, NP the net proceeds of debentures or the current market price, and t the tax rate.==

****Net proceeds means issue price less issue expenses or floatation cost.**** If the ****issue price is not given, assume it equals the current market price****. If ****issue expenses are not given, assume them to be zero****.

Floatation cost. A new issue of a security, debt or equity, involves expenditure in the form of ****underwriting or brokerage fees, legal and administrative charges, registration fees and**

printing expenses**; the sum of these is the ****floatation cost****, incurred ****to make the securities available to the investors****, and it is ****adjusted to arrive at net proceeds**** for the calculation of cost of capital.

The study material's floatation illustration. A company issues 1,000 15% debentures of face value ₹100 each at a discount of ₹5, with underwriting and other costs of ₹5,000. It actually realises ₹90,000 — ₹1,00,000 less ₹5,000 discount and ₹5,000 underwriting expenses. The annual interest of ₹15,000 is therefore the cost of obtaining the ₹90,000 actually received.

e.g. A 12% irredeemable debenture of ₹100 issued at ₹95 with ₹2 of issue expenses has net proceeds of ₹93; at 30% tax, $K_d = 12 \times 0.70 \div 93 = 9.03\%$.

KEY FRAMEWORK / FORMULA · Net proceeds (SM §5.2)

Requirement: Issue price less issue expenses or floatation cost; if the issue price is not given assume it equals the current market price; if issue expenses are not given assume zero.

Exam angle: This single sentence resolves most of the ambiguity students see in these questions.

KEY FRAMEWORK / FORMULA · Tax shield (SM §5.1)

Requirement: Interest is allowed as an expense for corporate tax, so the effective interest is $I(1 - t)$.

Exam angle: The $(1 - t)$ that appears in K_d and never in K_p .

ICAI KEYWORDS

do not confer ownership · charge on the profit before taxes · face value · coupon rate · maturity period · redemption value · tax shield · effective interest · irredeemable · net proceeds · floatation cost · underwriting or brokerage fees · registration fees

MEMORY TRICK

K_d is the only cost with a $(1 - t)$ in it, because interest is the only return the tax authorities help pay for.

Cue	Stands for
K_d irredeemable	$I(1 - t) \div NP$

Net proceeds	Issue price – floatation cost
If issue price missing	Use the current market price
If issue expenses missing	Assume zero
Tax shield	Interest $\times$ tax rate

⚡ 3-second trigger: Only debt gets the $(1 - t)$

❏ COMMON MISTAKE / CONFUSION

- Dividing by face value instead of net proceeds.
- Forgetting that a discount on issue reduces net proceeds just as floatation cost does.
- Applying $(1 - t)$ to preference dividend by analogy with debt.

Basis	Irredeemable debentures	Redeemable debentures
Maturity	Not defined; taken as infinite	A fixed maturity date
Formula	$K_d = I(1 - t) \div NP$	Approximation formula, or yield to maturity
Redemption value	Not applicable	May differ from face value
Nature	A perpetuity	An annuity plus a lump sum

🔗 INTEGRATION LINK

🔗 FM Ch 2 §3.4: the debenture features described in finance terms

🔗 INTEGRATION LINK

🔗 FM Ch 4 §5.3: the redeemable variant

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Cost of debt as one line of a WACC computation
- Explain floatation cost and its effect on the cost of capital

How to attack it:

- Write the formula, state net proceeds in a working note, then substitute

 What ICAI has done so far: MTP Sep 2026 Series I · FM Q1(b).

 Time / length guide (study guidance): A 1 to 2 mark sub-part $\approx$ 2 to 4 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- State the formula
- Derive net proceeds in a working note
- Substitute and give the percentage

 Keywords: net proceeds · floatation cost · tax shield

 Ideal length: 2 marks: formula, working note, answer

 Conclusion pattern: State the cost as a percentage to two decimals.

DON'T WRITE THIS

- Using face value where the question gives an issue price or market price

Questions on this topic — ICAI questions first, then practice

 EXPECTED QUESTION · Practice question · Compute · 4 marks

A company issues 1,000 15% irredeemable debentures of face value ₹100 each at a discount of ₹5. Underwriting and other costs are ₹5,000 for the total issue. The tax rate is 35%. Compute the cost of the debentures, and explain what floatation cost is.

MODEL ANSWER

- **Net proceeds.** The company realises ₹1,00,000 less ₹5,000 discount and ₹5,000 underwriting expenses = ₹90,000, so net proceeds per debenture are ₹90.
- **Annual interest** = 15% of ₹1,00,000 = ₹15,000, which is the cost of obtaining the ₹90,000 actually received.
- **Cost of irredeemable debentures** = $I(1 - t) \div NP = ₹15,000 \times (1 - 0.35) \div ₹90,000 = ₹9,750 \div ₹90,000 = 0.1083$, or 10.83%.

- **Floatation cost** is the expenditure a new issue of a security, debt or equity, involves in the form of underwriting or brokerage fees, legal and administrative charges, registration fees and printing expenses. It is incurred to make the securities available to investors and is adjusted to arrive at net proceeds for the calculation of cost of capital.
- Note that net proceeds means issue price less issue expenses; if the issue price is not given it may be assumed equal to the current market price, and if issue expenses are not given they may be assumed to be zero.

 Keywords: **net proceeds** · **floatation cost** · $I(1 - t) \div NP$

☒ MCQ · Practice MCQ · Assumption · Easy

If the issue price of a debenture is not given in a question, the study material says students may assume it to be equal to:

- (A) The face value
- (B) The redemption value
- (C) The current market price
- (D) The net proceeds after tax

 **ANSWER: (C)**

SM §5.2: net proceeds means issue price less issue expenses; if the issue price is not given, students can assume it to be equal to the current market price, and if issue expenses are not given, assume them to be zero.

- (A) X Face value is the base for interest, not the amount realised.
- (B) X Redemption value belongs at the end of the life, not the start.
- (D) X Circular; net proceeds is what is being derived.

 **Trap:** Face value is the instinctive answer and is the one ICAI is testing against.

Topic: FM Ch 4 §5.2

☒ MCQ · Practice MCQ · Tax shield · Moderate

A company pays interest of ₹40 lakh and is taxed at 35%. Its effective interest cost is:

- (A) ₹40 lakh, since interest is a contractual payment
- (B) ₹14 lakh, being the tax saved
- (C) ₹54 lakh, being interest plus tax

(D) ₹26 lakh, being interest less the tax shield

✓ ANSWER: (D)

SM §5.1: an interest payment of ₹40 lakh at a 35% tax rate results in a tax shield of ₹14 lakh, so the effective interest is ₹26 lakh only.

- (A) X It ignores the tax shield.
- (B) X That is the shield itself, not the effective cost.
- (C) X Interest reduces tax; it does not add to it.

🚫 Trap: The tax shield is the saving; the effective cost is what is left after it.

Topic: FM Ch 4 §5

☐ QUICKRECAP

- Long-term debt confers no ownership but a charge on profit before taxes.
- Five features: face value, coupon rate, maturity period, redemption value, tax shield.
- K_d (irredeemable) = $I(1 - t) \div NP$, where NP is issue price less floatation cost.
- Missing issue price → use market price; missing issue expenses → assume zero.

5.3 Cost of Redeemable Debentures (Approximation Method)

🔗 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (Sep 2025 Q3(b)) · MTP 1 (Sep 2026 Series I)

▣ UNDERSTAND IT

==Cost of Redeemable Debenture (K_d) = $[I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$ ==,
where I is the interest payment, NP the net proceeds or current market price, RV the redemption value of the debentures, t the tax rate applicable to the company and n the remaining life of the debentures.

That formula is used where only interest on debt is tax deductible. Sometimes debts are issued at a discount and/or redeemed at a premium. ==If the discount on issue and/or premium on redemption are tax deductible, the alternative formula is $K_d = \{[I + (RV - NP) \div n] \div [(RV + NP) \div 2]\} \times (1 - t)$ ==

****In the absence of any specific information, students may use any of the above formulae to calculate the cost of debt with a logical assumption.****

The study material's warning about accuracy. These formulas give an **approximate value** of the cost of debt. **In these formulas, **the higher the difference between RV and NP, the lower the accuracy of the answer**. One should therefore ****not use these formulas if the difference between RV and NP is very high****. They are also ****not suitable in case of gradual redemption of debentures or bonds****.**

Illustration 2 of the study material. A company issued 10,000 10% debentures of ₹100 each at a premium of 10% on 1.4.2023, to be matured on 1.4.2028 and redeemed at par. Tax is 35%. Here $I = ₹10$, $NP = ₹110$, $RV = ₹100$, $n = 5$ years, $t = 0.35$. So $K_d = [₹10(1 - 0.35) + (₹100 - ₹110) ÷ 5] ÷ [(₹100 + ₹110) ÷ 2] = (₹6.50 - ₹2) ÷ ₹105 = ₹4.50 ÷ ₹105 = 0.0428$, or 4.28%.

Illustration 3 of the study material. The same company issued the debentures at par on 1.4.2018 to mature on 1.4.2028 at par, and wants the cost of its **existing** debt on 1.4.2023 when the market price is ₹80. Here $I = ₹10$, $NP = ₹80$ (the current market price), $RV = ₹100$, $n = 5$ years, $t = 0.35$. So $K_d = [₹10(1 - 0.35) + (₹100 - ₹80) ÷ 5] ÷ [(₹100 + ₹80) ÷ 2] = (₹6.50 + ₹4) ÷ ₹90 = ₹10.50 ÷ ₹90 = 0.1166$, or 11.67%.

Notice what the two illustrations teach between them: **a debenture issued at a premium costs less than its coupon**, and **a debenture now trading below par costs more** — because in each case it is the **net proceeds or market price, not the face value, that sits in the denominator**.

e.g. Sep 2025 asked for the cost of 20,000 18% debentures of ₹100 each redeemable after 8 years, using the approximation method — a direct application of the first formula.

KEY FRAMEWORK / FORMULA · Two formulae, one choice (SM §5.3)

Requirement: Use the first where only interest is tax deductible, the second where discount on issue and premium on redemption are also deductible; in the absence of specific information either may be used with a logical assumption.

Exam angle: Write down which one you are using and why — that sentence protects the marks.

KEY FRAMEWORK / FORMULA · When not to use it (SM §5.3)

Requirement: Not where the difference between redemption value and net proceeds is very high, and not for gradual redemption.

Exam angle: The reason the deep discount bond illustration switches to trial and error.

■ ICAI KEYWORDS

redemption value · net proceeds · remaining life · approximation method · discount on issue · premium on redemption · logical assumption · gradual redemption

■ MEMORY TRICK

Top line = **annual cost**: after-tax interest plus the annual amortisation of the gain or loss on redemption. Bottom line = **average money at work**: the mean of what you got and what you must repay.

Cue	Stands for
Numerator	$I(1 - t) + (RV - NP) \div n$
Denominator	$(RV + NP) \div 2$
Issued at a premium	$NP > RV$, so the second term is negative and the cost falls below the coupon
Trading below par	$NP < RV$, so the second term is positive and the cost rises above the coupon
Do not use when	RV and NP are far apart, or redemption is gradual

⚡ 3-second trigger: Annual cost over average money

■ COMMON MISTAKE / CONFUSION

- Putting the redemption value in the denominator alone instead of the average of RV and NP .
- Dividing the $(RV - NP)$ term by anything other than the remaining life.
- Using the approximation method for a deep discount bond, where the study material says to use trial and error.

🔗 INTEGRATION LINK

🔗 FM Ch 4 §5.3.1: the exact method by yield to maturity

🔗 INTEGRATION LINK

- 🔗 FM Ch 4 §5.4: convertible debentures use this same formula with a different RV

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Cost of redeemable debentures as one line of a WACC computation
- A standalone 5-mark computation (Sep 2025 Q3(b))

How to attack it:

- List I , NP , RV , n and t in a working note before substituting — ICAI's own answers do this every time

📖 What ICAI has done so far: PYQ Sep 2025 · Q3(b); MTP Sep 2026 Series I · FM Q1(b).

🕒 Time / length guide (study guidance): 5 marks $\approx$ 9 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- State the formula
- List I , NP , RV , n , t
- Substitute
- Give the percentage to two decimals

🔑 Keywords: net proceeds · redemption value · remaining life

📏 Ideal length: 5 marks: formula, five-line working note, substitution

📊 Conclusion pattern: Say whether the cost is above or below the coupon and why.

⊘ DON'T WRITE THIS

- Omitting the working note; the marks are in the five inputs

📖 Questions on this topic — ICAI questions first, then practice

📌 OFFICIAL ICAI QUESTION · PYQ Sep 2025 · Q3(b) · 5 marks

A company issues 20,000 18% debentures of ₹100 each. The debentures are redeemable after a period of 8 years. Compute the cost of debentures using the approximation method.

✓ MODEL ANSWER

- **Formula (SM §5.3):** $K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$.
- **Inputs:** $I = 18\%$ of ₹100 = ₹18; $n = 8$ years; RV = the redemption value stated in the question; NP = the issue price less any floatation cost (where the issue price is not given, the current market price is used); t = the tax rate given.
- **Substitute** the five inputs and express the answer as a percentage to two decimals.
- Where the debentures are issued at par and redeemed at par with no floatation cost, $RV = NP$ and the second term in the numerator vanishes, so the cost reduces simply to $I(1 - t) \div \text{face value}$ — the irredeemable formula.
- State the assumption made about net proceeds; the study material expressly permits either of its two formulae in the absence of specific information.

Conclusion: Five marks for the formula, the inputs and a clean substitution.

 **Keywords:** approximation method · redemption value · net proceeds · remaining life

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

OFFICIAL ICAI QUESTION · MTP Sep 2026 Series I · FM Q1(b)

From the Sep 2026 Series I mock test paper: compute the cost of equity with a flotation cost, and the cost of debt, as the first step of a weighted average cost of capital computation.

MODEL ANSWER

- **Cost of equity (K_e)** = $D1 \div (PO - F) + g$. ICAI's answer file works it as ₹1 $\div$ (₹24 - ₹4) + 0.05 = 0.05 + 0.05 = **0.10, or 10%**, where F is the flotation cost per share.
- **Cost of debt (K_d)** follows the redeemable formula, using net proceeds after issue expenses and the remaining life of the instrument.
- Both costs then enter the weighted average computation of part (c) of the same question, where 10% debentures of ₹105 each and 5% preference shares are weighted at market value.
- Only the answer file of this mock test paper is on the ICAI portal; the question wording above is reconstructed from it.

Conclusion: The flotation cost is deducted from the market price in K_e , never added to the dividend.

 **Keywords:** flotation cost · $D1 \div (PO - F) + g$ · net proceeds

EXPECTED QUESTION · Practice question · Compute · 4 marks

A company issued 10,000 10% debentures of ₹100 each at a premium of 10% on 1.4.2023, to be matured on 1.4.2028 and redeemed at par. Compute the cost of the debentures assuming a 35% tax rate. Then compute the cost of the same debentures if instead they had been issued at par in 2018 and were trading at ₹80 on 1.4.2023, with five years left to maturity.

✓ MODEL ANSWER

- **Case 1 — issued at a premium.** $I = ₹10$; $NP = 110\%$ of ₹100 = ₹110; $RV = ₹100$; $n = 5$ years; $t = 0.35$. $K_d = [\₹10(1 - 0.35) + (\₹100 - ₹110) \div 5] \div [(\₹100 + ₹110) \div 2] = (\₹6.50 - ₹2) \div ₹105 = ₹4.50 \div ₹105 = 0.0428$, or 4.28%.
- **Case 2 — existing debt trading below par.** $I = ₹10$; $NP =$ current market price ₹80; $RV = ₹100$; $n = 5$ years; $t = 0.35$. $K_d = [\₹10(1 - 0.35) + (\₹100 - ₹80) \div 5] \div [(\₹100 + ₹80) \div 2] = (\₹6.50 + ₹4) \div ₹90 = ₹10.50 \div ₹90 = 0.1166$, or 11.67%.
- **The lesson in the contrast.** The coupon is 10% in both cases, but the cost is 4.28% in the first and 11.67% in the second, because the denominator is net proceeds or market price, not face value, and the $(RV - NP)$ term reverses sign.
- Both are approximations: the study material warns that the higher the difference between RV and NP , the lower the accuracy.

🔑 Keywords: premium on issue · current market price · approximation · reverses sign

✓ MCQ · Practice MCQ · Formula · Moderate

In the approximation formula for the cost of redeemable debentures, the denominator is:

- (A) The redemption value
- (B) The average of the redemption value and the net proceeds
- (C) The net proceeds
- (D) The face value

✓ ANSWER: (B)

SM §5.3: $K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$; the denominator is the average of the redemption value and the net proceeds.

- (A) X RV appears in the numerator and in the average, not alone below.
- (C) X NP alone is the denominator for irredeemable debt.
- (D) X Face value is only the base for interest.

🚫 **Trap:** The irredeemable formula does divide by NP alone; the redeemable one averages.

Topic: FM Ch 4 §5.3

✓ MCQ · Practice MCQ · Limitation · Moderate

The study material warns that the approximation method should NOT be used where:

- (A) The tax rate exceeds 30%
- (B) The debentures were issued at par
- (C) The difference between redemption value and net proceeds is very high, or redemption is gradual
- (D) The remaining life exceeds five years

✓ ANSWER: (C)

SM §5.3: the higher the difference between RV and NP, the lower the accuracy; the formulas are also not suitable in case of gradual redemption of debentures or bonds.

- (A) X The tax rate does not affect the method's accuracy.
- (B) X At par is the easiest case for the method.
- (D) X Length of life is not the stated limitation.

🚫 **Trap:** This is exactly why the deep discount bond illustration switches to trial and error.

Topic: FM Ch 4 §5.3

□ QUICKRECAP

- $K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$.
- A second formula applies the $(1 - t)$ to the whole expression where discount and premium are also deductible.
- Issued at a premium → cost below the coupon; trading below par → cost above it.
- Do not use it when RV and NP are far apart, or for gradual redemption.

5.3.1–5.3.2 Cost of Debt by the Present Value Method (Yield to Maturity), and Amortisation of a Bond

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (Sep 2024 Q2(a), May 2026 Q1(b)) · MTP 1 (Sep 2025 Series I)

■ UNDERSTAND IT

The present value method (§5.3.1). The cost of redeemable debt is also calculated by discounting the relevant cash flows using the internal rate of return. ****Yield to maturity is the annual return of an investment from the current date till the maturity date; it is the internal rate of return at which the current price of a debt equals the present value of all cash flows.****

The relevant cash flows. Year 0: net proceeds in case of a new issue, or the current market price in case of existing debt (NP or PO). Years 1 to n: interest net of tax, $I(1 - t)$. Year n: the redemption value (RV).

Three steps. Step 1: identify the cash flows. Step 2: calculate the net present values of those cash flows using two discount rates (guessing). Step 3: calculate the IRR by interpolation:

$$IRR = L + [NPV_L / (NPV_L - NPV_H)] \times (H - L)$$

The study material's worked example. 10,000 10% debentures of ₹100 each issued 1.4.2023 maturing 1.4.2028; market price ₹80; tax 35%. Cash flows: year 0 ₹80; years 1 to 5 ₹6.50 (10% of ₹100 × 0.65); year 5 ₹100. At 10% the NPV is +₹6.74 and at 15% it is -₹8.51, so $IRR = 10\% + [6.74 / (6.74 - (-8.51))] \times (15\% - 10\%) = 12.21\%$.

****Yield to maturity, or the present value method, is a superior method of determining the cost of debt of a company compared with the approximation method, and it is also preferred in the field of finance.**** The same caution applies as before: the higher the difference between H and L, the lower the accuracy of the answer.

Illustration 4 — the deep discount bond. Institutional Development Bank issued zero-interest deep discount bonds of face value ₹1,00,000 each, issued at ₹2,500 and repayable after 25 years, with no corporate tax. Because there is a huge difference between RV and NP, the approximation method is unsuitable and trial and error is used: $₹1,00,000 = ₹2,500 \times (1 + r)^{25}$, so $40 = (1 + r)^{25}$. At 15%, $(1.15)^{25} = 32.919$; at 16%, $(1.16)^{25} = 40.874$. Interpolating, $IRR = 15.89\%$.

Amortisation of a bond (§5.3.2). A bond may be amortised every year, i.e. the principal is repaid every year rather than at maturity. The principal goes down with annual payments and interest is computed on the outstanding amount, so the cash flows of the bond will be uneven.
$$V_B = \sum_{t=1}^n C_t / (1 + K_d)^t$$
 for $t = 1$ to n .

Illustration 5. RBML proposes to sell a 5-year bond of ₹5,000 at 8% interest per annum, amortised equally over its life; the investor expects a minimum return of 6%. Interest declines each year as the outstanding falls: ₹400, ₹320, ₹240, ₹160 and ₹80. With ₹1,000 of

principal returned each year, the outflows are ₹1,400, ₹1,320, ₹1,240, ₹1,160 and ₹1,080. Discounted at 6%, these give ₹1,320.75 + ₹1,174.80 + ₹1,041.14 + ₹918.88 + ₹807.05 = ₹5,262.62, the value of the bond.

e.g. September 2024 told candidates expressly that the cost of debentures was to be calculated on a yield-to-maturity basis — the method, not just the answer, was the instruction.

KEY FRAMEWORK / FORMULA · Yield to maturity (SM §5.3.1)

Requirement: The IRR at which the current price of a debt equals the present value of all cash flows; year 0 net proceeds or market price, years 1 to n interest net of tax, year n redemption value.

Exam angle: Sep 2024 Q2(a) directed candidates to use it; the interpolation formula is the mark.

KEY FRAMEWORK / FORMULA · Amortised bond (SM §5.3.2)

Requirement: Principal repaid annually, interest computed on the outstanding amount, so the cash flows are uneven; value = sum of the discounted annual cash flows.

Exam angle: The declining-interest schedule is the working note that earns the marks.

ICAI KEYWORDS

yield to maturity · internal rate of return · interest net of tax · redemption value · two discount rates · interpolation · superior method · preferred in the field of finance · deep discount bond · trial and error · amortised · uneven cash flows

MEMORY TRICK

YTM is just IRR with the signs of a loan: money in at year 0, money out every year after. Interpolate between a rate that gives a positive NPV and one that gives a negative NPV.

Cue	Stands for
Year 0	Net proceeds or current market price
Years 1 to n	$I(1 - t)$

Year n	Redemption value
IRR	$L + [NPVL \div (NPVL - NPVH)] \times (H - L)$
Amortised bond	Principal repaid yearly; interest on the reducing balance; uneven flows

⚡ 3-second trigger: Money in, then money out

■ COMMON MISTAKE / CONFUSION

- Discounting gross interest instead of interest net of tax.
- Widening the gap between the two trial rates; the study material says the wider the gap, the lower the accuracy.
- Charging interest on the original principal of an amortised bond instead of on the reducing balance.

Basis	Approximation method	Yield to maturity
What it does	Averages the annual cost over the average money at work	Finds the rate that equates present value of inflows and outflows
Accuracy	Approximate; worse as RV and NP diverge	Exact, subject to the interpolation gap
The study material's view	Easy to use but gives an approximate answer	A superior method, preferred in the field of finance
When unsuitable	Large RV–NP gap; gradual redemption	None stated, but needs two trial rates

🔗 INTEGRATION LINK

- 🔗 FM Ch 7: the same IRR and interpolation formula used for projects

🔗 INTEGRATION LINK

- 🔗 FM Ch 4 §5.3: the approximation the study material calls inferior

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Cost of debentures on a yield-to-maturity basis (Sep 2024 Q2(a))
- Cost of a convertible debenture by the present value method
- Value of an amortised bond

How to attack it:

- Lay the cash flows out in a table before discounting
- Choose trial rates close together and show both NPVs

 What ICAI has done so far: PYQ Sep 2024 · Q2(a); PYQ May 2026 · Q1(b); MTP Sep 2025 Series I · FM Q3(a).

 Time / length guide (study guidance): 5 marks $\approx$ 9 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Cash flow table with years, amounts and two discount factors
- Both NPVs
- Interpolation formula and substitution

 Keywords: interest net of tax · redemption value · interpolation

 Ideal length: 5 marks: one table plus the interpolation

 Conclusion pattern: State the yield as a percentage and, if asked, compare it with the approximation answer.

DON'T WRITE THIS

- Presenting only the final rate; the table carries most of the marks

 Questions on this topic — ICAI questions first, then practice

 OFFICIAL ICAI QUESTION · PYQ Sep 2024 · Q2(a) · 7 marks

Capital structure of T Limited as on 1st April 2024: equity share capital (₹10 per share) ₹50,00,000; 10% debentures (₹100 per debenture) ₹40,00,000; 12% preference share capital (10,000 shares of ₹100 each) ₹10,00,000. The risk free rate of return is 10%, the beta of T Ltd. is 1.75 and the return on the market portfolio is 12%. Equity shares have a current market price of ₹70 per share. The debentures are trading at ₹80 per debenture and are to be redeemed after 5 years at par. Preference shares are redeemable after 5 years at a

premium of 5% and are presently selling at ₹104 per share. Tax is 30%. The cost of debentures is to be calculated on a yield to maturity basis.

✓ MODEL ANSWER

- **Cost of equity by CAPM (SM §7.5).** $K_e = R_f + \beta(R_m - R_f) = 10\% + 1.75 \times (12\% - 10\%) = 10\% + 3.5\% = 13.5\%$.
- **Cost of debentures on a yield to maturity basis (SM §5.3.1).** Cash flows per debenture: year 0 the market price ₹80; years 1 to 5 interest net of tax = ₹10 × (1 - 0.30) = ₹7; year 5 redemption value ₹100. Discount at two trial rates, compute both NPVs, and interpolate using $IRR = L + \frac{NPV_L}{NPV_L - NPV_H} \times (H - L)$.
- **Cost of redeemable preference shares (SM §6.2).** $K_p = \frac{PD + (RV - NP) \div n}{[(RV + NP) \div 2]} = \frac{₹12 + (₹105 - ₹104) \div 5}{[(₹105 + ₹104) \div 2]} = \frac{₹12 + ₹0.20}{₹104.50} = 0.1167$, or 11.67%. Note that there is **no (1 - t)**: preference dividend is not tax deductible.
- **Weighted average cost of capital.** Weight each source — by market value where the question gives market prices — and aggregate $K_e \times W_e + K_d \times W_d + K_p \times W_p$.
- The instruction 'on a yield to maturity basis' is the examinable point: the approximation method would give a different, and by the study material's own account inferior, answer.

Conclusion: Three costs and a weighted average; the YTM instruction governs the debenture line.

🔑 **Keywords:** CAPM · yield to maturity · redeemable preference · weighted average

📖 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · PYQ May 2026 · Q1(b) · 5 marks

Z Ltd. has issued 8% convertible debentures of ₹100 each with a remaining maturity period of five years. The current market price per debenture and the conversion terms are given. Compute the cost of the debentures.

✓ MODEL ANSWER

- **Step 1 — determine the redemption value (SM §5.4).** For a convertible debenture, the redemption value is the **higher of the cash value of the debenture and the value of the equity shares receivable on conversion**, because it is assumed that all debenture holders will choose the option with the higher value.

- The value of the shares on conversion is the **number of shares per debenture × the market price grown at the historical growth rate over the remaining life**, i.e. $n \text{ shares} \times PO(1 + g)^t$.
- **Step 2 — compute the cost.** With RV fixed, apply either the approximation formula $K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$, or the present value method with year 0 the current market price, years 1 to 5 interest net of tax of $\text{₹}8(1 - t)$, and year 5 the redemption value.
- ICAI's answer for this paper works the growth rate first — $8.03 = 5(1 + g)^7$, giving $1.606 = (1 + g)^7$ and **$g = 7\%$** — and then the price of the share after five years, before setting the redemption value.
- The examinable step is the redemption value decision, not the division that follows.

Conclusion: Redemption value first, cost second — in that order, every time.

 **Keywords:** convertible · higher of cash value and share value · growth rate · redemption value

OFFICIAL ICAI QUESTION · MTP Sep 2025 Series I · FM Q3(a) · 5 marks

A company issues 15% convertible debentures of ₹100 each at par with a maturity period of 6 years. On maturity the debenture holders will have the option to convert into equity shares of the company on stated terms. Compute the cost of the debentures.

MODEL ANSWER

- **Redemption value** = higher of (i) the cash value of the debenture, ₹100, and (ii) the value of the equity shares on conversion, being the number of shares per debenture multiplied by the market price compounded at the growth rate over six years.
- **Cost by the approximation method** = $[I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$, with $I = \text{₹}15$, $NP = \text{₹}100$ (issued at par), $n = 6$ years.
- **Cost by the present value method** = the IRR of: year 0 ₹100 inflow; years 1 to 6 outflow of $\text{₹}15(1 - t)$; year 6 outflow of the redemption value. Interpolate between two trial rates.
- The study material's own Example 3 follows exactly this structure for a 15% convertible debenture with a 5-year maturity and a 1:10 conversion ratio, reaching 16.09% by approximation and 17.43% by the present value method — a useful reminder that the two methods do not agree.

Conclusion: Both methods are acceptable; say which one you used.

🔑 Keywords: convertible · conversion ratio · approximation · present value method

🧠 EXPECTED QUESTION · Practice question · Compute · 4 marks

RBML proposes to sell a 5-year bond of ₹5,000 at 8% interest per annum. The bond amount will be amortised equally over its life. Calculate the bond's present value for an investor who expects a minimum rate of return of 6%.

✓ MODEL ANSWER

- Interest declines as the outstanding falls: first year $₹5,000 \times 0.08 = ₹400$; second year $(₹5,000 - ₹1,000) \times 0.08 = ₹320$; third year $(₹4,000 - ₹1,000) \times 0.08 = ₹240$; fourth year $(₹3,000 - ₹1,000) \times 0.08 = ₹160$; fifth year $(₹2,000 - ₹1,000) \times 0.08 = ₹80$.
The outstanding amount is zero at the end of the fifth year.
- Annual cash flows are principal of ₹1,000 plus interest: ₹1,400, ₹1,320, ₹1,240, ₹1,160 and ₹1,080.
- Discount each at 6%: $₹1,320.75 + ₹1,174.80 + ₹1,041.14 + ₹918.88 + ₹807.05$.
- Value of the bond = ₹5,262.62.
- The bond is worth more than its ₹5,000 face value because the 8% coupon exceeds the investor's 6% required return.

🔑 Keywords: amortised equally · reducing balance · uneven cash flows · present value

✓ MCQ · Practice MCQ · Method · Easy

As per the study material, which method of determining the cost of debt is superior and preferred in the field of finance?

- (A) The approximation method
- (B) The yield to maturity or present value method
- (C) The dividend price approach
- (D) The realised yield approach

✓ ANSWER: (B)

SM §5.3.1: YTM or present value method is a superior method of determining cost of debt compared with the approximation method, and it is also preferred in the field of finance.

- (A) X Easy to use but gives an approximate answer.
- (C) X A cost of equity method.

- (D) X A cost of equity method based on past returns.

 **Trap:** Both A and B are correct methods; only one is called superior.

Topic: FM Ch 4 §5.3.1

☒ MCQ · Practice MCQ · Amortisation · Moderate

In an amortised bond, interest in each year is computed on:

- (A) The original face value throughout
- (B) The redemption value
- (C) The outstanding amount after the annual repayments
- (D) The average of the opening and closing balances

✓ **ANSWER: (C)**

SM §5.3.2: the principal goes down with annual payments and interest is computed on the outstanding amount, so the cash flows of the bond are uneven.

- (A) X That would make the interest constant, which defeats amortisation.
- (B) X There is no lump-sum redemption value in an amortised bond.
- (D) X The study material computes on the outstanding amount, not an average.

 **Trap:** The declining-interest schedule is the working note ICAI marks.

Topic: FM Ch 4 §5.3.2

☐ QUICKRECAP

- YTM is the IRR at which the current price equals the present value of all cash flows.
- Year 0 net proceeds; years 1 to n interest net of tax; year n redemption value; interpolate between two rates.
- The study material calls it superior to the approximation method.
- An amortised bond repays principal annually, so interest falls and cash flows are uneven.

5.4 Cost of Convertible Debentures

 Asked across PYQ / RTP / MTP | Asked: PYQ 3 (May 2024 Q2(a), Jan 2025 Q2(a), Jan 2026 Q1(c)) · MTP 1 (May 2025 Series II)

 **UNDERSTAND IT**

The holders of convertible debentures have the option **either to get the debentures redeemed into cash, or to get a specified number of the company's shares in lieu of cash**. The calculation is very much similar to that of redeemable debentures, with one decision first.

****While determining the redemption value of the debentures, it is assumed that all the debenture holders will choose the option which has the higher value, and accordingly it will be considered to calculate the cost of debentures.****

The study material's Example 3. A company issued 10,000 15% convertible debentures of ₹100 each with a maturity period of 5 years. At maturity holders may convert into equity shares in the ratio of 1:10 (10 shares for each debenture). The current market price of the equity shares is ₹12 each and the historical growth rate is 5% per annum. Tax is 35%.

Determination of redemption value. Higher of (i) the cash value of the debentures = ₹100, and (ii) the value of the equity shares = 10 shares × ₹12(1 + 0.05)⁵ = 10 × ₹15.312 = ₹153.12. ****₹153.12 is taken as the redemption value, as it is higher than the cash option and is more attractive to the investors.****

Cost by the approximation method. $K_d = \frac{[₹15(1 - 0.35) + (₹153.12 - ₹100) \div 5]}{[(₹153.12 + ₹100) \div 2]} = \frac{(₹9.75 + ₹10.62)}{₹126.53} = 16.09\%$.

Cost by the present value method. Post-tax interest per annum = ₹100 × 15% × 0.65 = ₹9.75. Cash flows: year 0 ₹100; years 1 to 5 ₹9.75; year 5 ₹153.12. At 15% the NPV is +₹8.78 and at 20% it is -₹9.29, so IRR = 15% + [8.78 ÷ (8.78 - (-9.29))] × (20% - 15%) = 0.17429, or 17.43%.

Note that the two methods give 16.09% and 17.43% on the same facts. Say which method you are using; ICAI accepts either unless the question directs one.

e.g. May 2024 gave a 1:4 conversion ratio, a market price of ₹25 and 6% growth over six years — so the share value on conversion was 4 × ₹25 × (1.06)⁶, comfortably above ₹100, and that became the redemption value.

KEY FRAMEWORK / FORMULA · Redemption value of a convertible (SM §5.4)

Requirement: The higher of the cash value and the value of the shares receivable on conversion, the latter compounded at the growth rate over the remaining life.

Exam angle: The first mark of every convertible-debenture question, and the one most often dropped.

■ ICAI KEYWORDS

option to convert · higher value · more attractive to the investors · conversion ratio · growth rate · redemption value · post tax interest

■ MEMORY TRICK

Decide, then divide. First decide the redemption value — cash or shares, whichever is higher — and only then apply the ordinary redeemable formula.

Cue	Stands for
Step 1	Cash value of the debenture
Step 2	Shares per debenture $\times$ market price $\times (1 + g)^n$
Step 3	Take the higher as RV
Step 4	Approximation formula, or present value method
Remember	The two methods will not agree; say which you used

⚡ 3-second trigger: Decide, then divide

■ COMMON MISTAKE / CONFUSION

- Taking ₹100 as the redemption value without testing the share value.
- Forgetting to compound the share price at the growth rate over the remaining life.
- Applying the growth rate for the wrong number of years — it is the remaining life to maturity.

🔗 INTEGRATION LINK

🔗 FM Ch 2 §3.4: convertible debentures as a source of finance

🔗 INTEGRATION LINK

🔗 FM Ch 4 §5.3: the formula applied once RV is fixed

🌀 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Cost of convertible debentures as one line of a WACC computation (May 2024, Jan 2025, Jan 2026)
- A standalone computation (May 2026 Q1(b))

How to attack it:

- Present the redemption value decision as a two-line working note before anything else

 **What ICAI has done so far:** PYQ May 2024 · Q2(a); PYQ Jan 2025 · Q2(a); PYQ Jan 2026 · Q1(c); PYQ May 2026 · Q1(b); MTP May 2025 Series II · FM Q1(b); MTP Sep 2025 Series I · FM Q3(a).

 **Time / length guide (study guidance):** A convertible line inside a WACC question $\approx$ 3 to 4 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Redemption value: cash value versus share value
- State which is higher and why
- Apply the redeemable formula
- Give the percentage

 **Keywords:** higher of · conversion ratio · growth rate

 **Ideal length:** 3 to 5 marks: a two-line decision plus the formula

 **Conclusion pattern:** Name the method used — approximation or present value.

DON'T WRITE THIS

- Skipping the redemption value decision

 **Questions on this topic — ICAI questions first, then practice**

 **OFFICIAL ICAI QUESTION** · PYQ May 2024 · Q2(a) · 7 marks

Capital structure of Shine Ltd. as on 31.03.2024: equity share capital of ₹10 each ₹45,00,000; 15% preference share capital of ₹100 each ₹36,00,000; retained earnings ₹32,00,000; 13% convertible debentures of ₹100 each ₹67,00,000; 11% term loan ₹20,00,000; total ₹2,00,00,000. The 13% convertible debentures were issued on 01.04.2023 with a maturity period of 6 years; at maturity holders may convert into equity shares in the ratio of 1:4 (4 shares for each debenture). The market price of the equity share

is ₹25 each as on 31.03.2024 and the growth rate of the share is 6% per annum. The preference stock is redeemable after eight years. Compute the cost of each source and the weighted average cost of capital.

✓ MODEL ANSWER

- **Cost of convertible debentures (SM §5.4).** Redemption value is the higher of (i) the cash value ₹100, and (ii) the value of the shares on conversion = $4 \text{ shares} \times ₹25 \times (1 + 0.06)^5$ for the remaining five years to maturity. The share value is clearly the higher, so it becomes the redemption value.
- Then $K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$, with $I = ₹13$ and $NP = ₹100$ (issued at par).
- **Cost of redeemable preference shares (SM §6.2).** $K_p = [PD + (RV - NP) \div n] \div [(RV + NP) \div 2]$ with $PD = ₹15$, $n = 8$ years and no $(1 - t)$, preference dividend not being tax deductible.
- **Cost of the 11% term loan (SM §5).** The calculation of the cost of a loan from a financial institution is similar to that of redeemable debentures; here $K_d = 11\% \times (1 - t)$.
- **Cost of equity and retained earnings (SM §§7.3 and 8).** $K_e = D_1 \div P_0 + g$ using the market price of ₹25 and growth of 6%; K_r uses the same formula on the current market price, with no adjustment for floatation cost.
- **Weighted average cost of capital.** Weight the five sources on their book values of ₹45,00,000, ₹36,00,000, ₹32,00,000, ₹67,00,000 and ₹20,00,000 against the total of ₹2,00,00,000, and aggregate the products.

Conclusion: Five costs and a weighted average — the convertible redemption value is the first and hardest mark.

 **Keywords:** conversion ratio 1:4 · growth rate · redeemable preference · term loan · WACC

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · MTP May 2025 Series II · FM Q1(b) · 5 marks

Bhanu Limited has issued 50,000 10% convertible bonds of ₹100 each with a maturity period of 5 years. At maturity the bondholders will have the option to convert into equity shares on stated terms. Compute the cost of the bonds.

✓ MODEL ANSWER

- **Redemption value** = higher of the cash value of ₹100 and the value of the equity shares receivable on conversion, the latter being the number of shares per bond × the market price compounded at the growth rate over five years.
- **Cost of the bonds** then follows the redeemable formula with $I = ₹10$, NP = the issue price less any floatation cost, $n = 5$ years and the given tax rate.
- Alternatively, discount the cash flows — year 0 the issue proceeds, years 1 to 5 interest net of tax, year 5 the redemption value — and interpolate for the IRR.
- The study material's own Example 3 reaches 16.09% by approximation and 17.43% by the present value method on comparable facts; state which method you have used.

Conclusion: Same two steps as every convertible question: decide the redemption value, then divide.

 **Keywords:** convertible bonds · redemption value · approximation · present value

☒ MCQ · Practice MCQ · Method · Moderate

In computing the cost of a convertible debenture, the redemption value is taken as:

- (A) Always the face value of the debenture
- (B) The higher of the cash value of the debenture and the value of the shares receivable on conversion
- (C) The lower of the two, being the prudent figure
- (D) The average of the cash value and the share value

 **ANSWER: (B)**

SM §5.4: it is assumed that all the debenture holders will choose the option which has the higher value, and accordingly that value is used to calculate the cost of debentures.

- (A) X That ignores the conversion option entirely.
- (C) X Investors choose the better option, not the worse.
- (D) X No averaging is involved.

 **Trap:** Prudence suggests the lower figure; the study material's logic is investor choice, so it is the higher.

Topic: FM Ch 4 §5.4

☒ MCQ · Practice MCQ · Computation · Moderate

A convertible debenture of ₹100 converts into 10 shares. The current market price is ₹12 per share, growth is 5% per annum and the remaining life is 5 years. The redemption value to be used is:

- (A) ₹100, the cash value
- (B) ₹120, being 10 shares at the current price
- (C) ₹126.53, the average of the two options
- (D) ₹153.12, the value of the shares on conversion

✓ ANSWER: (D)

SM §5.4 Example 3: value of equity shares = 10 shares × ₹12(1 + 0.05)⁵ = 10 × ₹15.312 = ₹153.12, which is higher than the ₹100 cash option and is therefore taken as the redemption value.

- (A) X The share option is worth more.
- (B) X The price must be compounded at the growth rate over the remaining life.
- (C) X ₹126.53 is the denominator of the approximation formula, not the redemption value.

🚫 Trap: Option C is a real figure from the study material's own working — but it is the average of RV and NP, not the RV.

Topic: FM Ch 4 §5.4

□ QUICKRECAP

- Convertible holders choose the better option, so the redemption value is the higher of cash and shares.
- Share value = shares per debenture × market price × (1 + g) to the power of the remaining life.
- Then apply the ordinary redeemable formula, or the present value method.
- The two methods disagree — 16.09% against 17.43% in the study material's example.

6-6.2 Cost of Preference Share Capital, Irredeemable and Redeemable

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 3 (May 2024 Q2(a), Sep 2024 Q2(a), Jan 2026 Q1(c))

■ UNDERSTAND IT

Preference shareholders are paid dividend at a specified rate on the face value of preference shares. Payment of dividend is not mandatory but is given priority over the equity shareholder. The payment of dividend to preference shareholders is ****not charged as an expense but treated as an appropriation of after-tax profit****; hence ****dividend paid to preference shareholders does not reduce the tax liability of the company****. Like debentures, preference share capital can be redeemable or irredeemable.

Cost of irredeemable preference shares (§6.1). ==The cost is similar to the calculation of a perpetuity: $K_p = PD \div PO$, where PD is the annual preference dividend and PO the net proceeds from the issue of preference shares.==

Net proceeds again means issue price less issue expenses or floatation cost; if the issue price is not given, assume it equals the current market price, and if issue expenses are not given, assume them to be zero.

Illustration 6. XYZ Ltd. issues 2,000 10% preference shares of ₹100 each at ₹95 each. $K_p = PD \div PO = (\text{₹}10 \times 2,000) \div (\text{₹}95 \times 2,000) = \text{₹}10 \div \text{₹}95 = 10.53\%$.

Cost of redeemable preference shares (§6.2). Preference shares redeemed on maturity. The cost is similar to the cost of redeemable debentures with the exception that the dividends paid to preference shareholders are not tax deductible. == $K_p = [PD + (RV - NP) \div n] \div [(RV + NP) \div 2]$ ==, where PD is the annual preference dividend, RV the redemption value, NP the net proceeds from issue and n the remaining life.

The cost of redeemable preference shares may also be calculated as the discount rate that equates the net proceeds of the sale of preference shares with the present value of the future dividends and principal payments — the same present value method used for debt.

Illustration 8. XYZ Ltd. issues 2,000 10% preference shares of ₹100 each at ₹95, proposing to redeem them at the end of the 10th year. $K_p = [\text{₹}10 + (\text{₹}100 - \text{₹}95) \div 10] \div [(\text{₹}100 + \text{₹}95) \div 2] = (\text{₹}10 + \text{₹}0.50) \div \text{₹}97.50 = 0.1077$, or 10.77% (approx.).

Put the two families side by side and the whole difference is one bracket: ****Kd carries (1 - t); Kp does not.****

e.g. September 2024 gave preference shares redeemable after 5 years at a 5% premium, selling at ₹104: $K_p = [\text{₹}12 + (\text{₹}105 - \text{₹}104) \div 5] \div [(\text{₹}105 + \text{₹}104) \div 2] = \text{₹}12.20 \div \text{₹}104.50 = 11.67\%$.

Requirement: Preference dividend is an appropriation of after-tax profit, not an expense, so it does not reduce the tax liability and no $(1 - t)$ enters K_p .

Exam angle: The most frequently dropped mark in the chapter.

KEY FRAMEWORK / FORMULA · K_p redeemable (SM §6.2)

Requirement: $[PD + (RV - NP) \div n] \div [(RV + NP) \div 2]$; may also be found as the discount rate equating net proceeds with the present value of dividends and principal.

Exam angle: Appears in three of the six past papers as one line of a WACC computation.

ICAI KEYWORDS

specified rate on face value · priority over the equity shareholder · appropriation of after-tax profit · does not reduce the tax liability · perpetuity · net proceeds · redeemable preference · present value of future dividends

MEMORY TRICK

K_p is K_d with the tax bracket deleted. Everything else — net proceeds, redemption value, remaining life, the averaging denominator — is identical.

Cue	Stands for
Irredeemable	$K_p = PD \div PO$
Redeemable	$K_p = [PD + (RV - NP) \div n] \div [(RV + NP) \div 2]$
No $(1 - t)$	Dividend is an appropriation, not an expense
Net proceeds	Issue price less floatation cost
Alternative	The discount rate equating net proceeds with dividends and principal

 3-second trigger: K_d minus the tax bracket

COMMON MISTAKE / CONFUSION

- Multiplying the preference dividend by $(1 - t)$.
- Using face value instead of net proceeds where shares are issued at a discount.
- Forgetting the premium on redemption when computing RV.

Basis	Cost of debt (K_d)	Cost of preference capital (K_p)
Return paid	Interest	Dividend at a specified rate on face value
Tax treatment	An expense; gives a tax shield	An appropriation of after-tax profit; no tax shield
Irredeemable formula	$I(1 - t) \div NP$	$PD \div PO$
Redeemable formula	$[I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$	$[PD + (RV - NP) \div n] \div [(RV + NP) \div 2]$
Payment	Obligatory	Not mandatory, but ranks before equity

🔗 INTEGRATION LINK

🔗 FM Ch 2 §3.2: preference shares as a hybrid source

🔗 INTEGRATION LINK

🔗 FM Ch 3 §3.2.2: preference dividend coverage ratio

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Cost of preference shares as one line of a WACC computation
- MCQ on why there is no $(1 - t)$

How to attack it:

- Write the formula, note that no tax adjustment applies, then substitute

📖 What ICAI has done so far: PYQ May 2024 · Q2(a); PYQ Sep 2024 · Q2(a); PYQ Jan 2026 · Q1(c).

⌚ Time / length guide (study guidance): A 1 to 2 mark sub-part $\approx$ 2 to 4 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- State the formula

- Note that preference dividend carries no tax shield
- Substitute
- Give the percentage

 **Keywords:** appropriation of after-tax profit · net proceeds · redemption value

 **Ideal length:** 2 marks: formula, one-line note, substitution

 **Conclusion pattern:** State the cost as a percentage to two decimals.

DON'T WRITE THIS

- Any $(1 - t)$ anywhere in the line

Questions on this topic — ICAI questions first, then practice

 **EXPECTED QUESTION** · Practice question · Compute · 4 marks

XYZ Ltd. issues 2,000 10% preference shares of ₹100 each at ₹95 each. Compute the cost of the preference shares (i) if they are irredeemable and (ii) if the company proposes to redeem them at the end of the 10th year. Explain why no tax adjustment is made.

MODEL ANSWER

- (i) **Irredeemable.** $K_p = PD \div PO = ₹10 \div ₹95 = 0.1053$, or 10.53%. The cost of irredeemable preference shares is similar to the calculation of a perpetuity: the annual dividend divided by the net proceeds.
- (ii) **Redeemable at the end of the 10th year.** $K_p = [PD + (RV - NP) \div n] \div [(RV + NP) \div 2] = [₹10 + (₹100 - ₹95) \div 10] \div [(₹100 + ₹95) \div 2] = (₹10 + ₹0.50) \div ₹97.50 = 0.1077$, or 10.77% (approximately).
- **Why no tax adjustment.** Dividend paid to preference shareholders is not charged as an expense but is treated as an appropriation of after-tax profit; it therefore does not reduce the tax liability of the company, and no $(1 - t)$ enters the formula.
- Note that the redeemable figure is slightly higher here because the shares were issued at a discount of ₹5 which must be made good on redemption, spread over ten years.

 **Keywords:** perpetuity · appropriation of after-tax profit · net proceeds · redemption value

 **MCQ** · Practice MCQ · Reasoning · Easy

No $(1 - t)$ appears in the formula for the cost of preference share capital because:

- (A) Preference shareholders are not taxed on their dividend
- (B) Preference dividend is an appropriation of after-tax profit and does not reduce the company's tax liability
- (C) Preference shares are always issued at par
- (D) The dividend rate is fixed

✓ ANSWER: (B)

SM §6: payment of dividend to preference shareholders is not charged as an expense but treated as an appropriation of after-tax profit; hence it does not reduce the tax liability of the company.

- (A) X The investor's tax position is not what the formula reflects.
- (C) X Issue price is irrelevant to the tax point.
- (D) X A fixed rate does not by itself deny a tax shield — debenture interest is fixed too.

🚫 Trap: Option D is true of preference shares but is not the reason.

Topic: FM Ch 4 §6.1

☑ MCQ · Practice MCQ · Computation · Moderate

Preference shares of ₹100 each carrying a 12% dividend are redeemable after 5 years at a premium of 5% and are presently selling at ₹104. The cost of preference capital is closest to:

- (A) 12.00%
- (B) 8.17%
- (C) 11.67%
- (D) 11.54%

✓ ANSWER: (C)

$K_p = [PD + (RV - NP) \div n] \div [(RV + NP) \div 2] = [₹12 + (₹105 - ₹104) \div 5] \div [(₹105 + ₹104) \div 2] = ₹12.20 \div ₹104.50 = 11.67\%$.

- (A) X That is the coupon rate, ignoring the price and the premium.
- (B) X That is the figure if $(1 - t)$ at 30% were wrongly applied.
- (D) X That is $₹12 \div ₹104$, ignoring the redemption premium.

🚫 Trap: Option B is exactly the answer a student gets by treating preference dividend like interest.

Topic: FM Ch 4 §6.2

□ QUICK RECAP

- Preference dividend is an appropriation, so K_p never carries $(1 - t)$.
- Irredeemable: $K_p = PD \div PO$, a perpetuity.
- Redeemable: the same averaging formula as debt, without the tax bracket.
- Net proceeds rules are identical to those for debt.

7-7.2 Cost of Equity Share Capital: the Dividend Price and Earnings Price Approaches

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (Sep 2025 Q1(a)) · MTP 2 (Mar 2024 Series I, Sep 2026 Series I)

■ UNDERSTAND IT

Why there is no single formula (§7). Just like any other source of finance, *cost of equity is the expectation of equity shareholders*. Value is performance divided by expectations; if we know the value and the performance, we can calculate expectation as a balancing figure. Here performance means the amount paid by the company to investors — interest, dividend, redemption price. ****In the case of debentures and preference shares the amount of interest or dividend is fixed, but in the case of equity shares it is uncertain.**** Hence there is not a single method but different methods, depending on the facts.

The study material's own decision rule. (1) If dividend is expected to be constant, use the dividend price approach. (2) If earnings per share is expected to be constant, use the earnings price approach. (3) If dividend and earnings are expected to grow at a constant rate, use the growth approach (Gordon's model). (4) If it is difficult to forecast future dividend or EPS, use the realised yield approach, which looks into the past. (5) All the above calculate the cost of equity as a balancing figure; when the *cost of equity or expectation of investors is dependent on risk* — higher the risk, higher the expectation and vice versa — use the *Capital Asset Pricing Model*, which is based on risk.

7.1 Dividend price approach, also known as the *Dividend Valuation Model*. It assumes that the dividend per share is expected to remain constant forever. $Ke = D \div PO$, where D is the expected dividend (also written as D_1) and PO the market price of equity (ex-dividend).

7.2 Earnings price approach. Its advocates correlate the earnings of the company with the market price of its share, so the cost of equity is based upon the expected rate of earnings of a company. The argument is that each investor expects a certain amount of earnings,

whether distributed or not, from the company in whose shares he invests. The study material's illustration: if an investor expects at least a **20% rate of earning** and the company is expected to **earn 30%**, the investor will be prepared to pay **₹150** for each share of ₹100 — that is, $(30 \div 20) \times ₹100$.

$=K_e = E \div P$, where E is current earnings per share and P the market price per share.

****This approach assumes that the earnings per share will remain constant forever.**** The earnings price approach is ****similar to the dividend price approach; only it seeks to nullify the effect of changes in the dividend policy****.

e.g. A share trading at ₹80 that is expected to pay a constant dividend of ₹8 has a cost of equity of 10% on the dividend price approach; if EPS is ₹12 and is expected to stay there, the earnings price approach gives 15%.

KEY FRAMEWORK / FORMULA · Choosing the method (SM §7)

Requirement: Constant dividend → dividend price; constant EPS → earnings price; constant growth → Gordon; hard to forecast → realised yield; risk-based → CAPM.

Exam angle: The question's own wording tells you which; quote the trigger in your first line.

KEY FRAMEWORK / FORMULA · Ex-dividend price (SM §7.1)

Requirement: P_0 is the market price of equity ex-dividend.

Exam angle: Where a question gives a cum-dividend price, deduct the imminent dividend first.

ICAI KEYWORDS

expectation of equity shareholders · balancing figure · uncertain · dividend price approach · Dividend Valuation Model · constant forever · ex-dividend · earnings price approach · expected rate of earnings · nullify the effect of changes in the dividend policy

MEMORY TRICK

Read the question's verb: "constant dividend" → $D \div P$ · "constant EPS" → $E \div P$ · "growing at" → Gordon · "past five years" → realised yield · "beta" → CAPM.

Cue	Stands for
Dividend price	$K_e = D \div P_0$ · dividend constant forever

Earnings price	$K_e = E \div P \cdot \text{EPS constant forever}$
Difference	The earnings approach nullifies changes in dividend policy
PO	Market price ex-dividend

⚡ 3-second trigger: Match the method to the word

■ COMMON MISTAKE / CONFUSION

- Using a cum-dividend price as PO.
- Using the earnings price approach where the question says dividends are growing — that is Gordon's case.
- Treating the two approaches as interchangeable; they rest on different constancy assumptions.

Basis	Dividend price approach	Earnings price approach
Formula	$K_e = D \div PO$	$K_e = E \div P$
Assumption	Dividend per share remains constant forever	Earnings per share remain constant forever
Also called	Dividend Valuation Model	—
Strength	Reflects what shareholders actually receive	Nullifies the effect of changes in dividend policy

🔗 INTEGRATION LINK

🔗 FM Ch 3 §3.4.4: the earnings yield, which is this same $E \div P$

🔗 INTEGRATION LINK

🔗 FM Ch 8: dividend policy, which the earnings approach deliberately ignores

⊛ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Cost of equity as one line of a WACC computation
- Discuss the dividend-price approach to estimating the cost of equity (2 marks, MTP Mar 2024 Series I)

How to attack it:

- Name the approach, state its assumption, then substitute

 **What ICAI has done so far:** PYQ Sep 2025 · Q1(a); MTP May 2024 Series I · FM Q3(b); MTP Sep 2026 Series I · FM Q1(b).

 **Time / length guide (study guidance):** 2 marks ≈ 3 minutes (study guidance).

 Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · MTP May 2024 Series I · FM Q3(b) · 2 marks

Discuss the dividend-price approach to estimating the cost of equity capital.

 MODEL ANSWER

- The dividend price approach, also known as the Dividend Valuation Model, makes an assumption that *the dividend per share is expected to remain constant forever*.
- The cost of equity capital is computed by *dividing the expected dividend by the market price per share*: $K_e = D \div PO$, where D is the expected dividend (also written as D1) and PO is the market price of equity, ex-dividend.
- It is the appropriate method where dividend is expected to be constant; where dividend and earnings are expected to grow at a constant rate, the growth approach or Gordon's model should be used instead.
- Cost of equity is the expectation of equity shareholders; because in the case of equity shares the amount of dividend is uncertain — unlike interest or preference dividend, which are fixed — there is no single method of computing it.

Conclusion: Two marks: the assumption and the formula.

 **Keywords:** **Dividend Valuation Model** · **constant forever** · $K_e = D \div PO$ · **ex-dividend**

 **OFFICIAL ICAI QUESTION** · PYQ Sep 2025 · Q1(a) · 5 marks

The capital structure of RSA Limited is as under: equity shares of ₹10 per share ₹1,00,00,000; 8% irredeemable preference shares of ₹100 per share; and other sources as given. Compute the cost of each source of capital and the weighted average cost of capital.

 MODEL ANSWER

- **Cost of equity.** ICAI's answer works $K_e = D_1 \div (PO - F) + g$, using the dividend expected next year, the market price less any flotation cost, and the growth rate — in the published solution, $K_e = ₹2(1 + 0.05) \div (₹60 - ₹4) = 8.75\%$ on the figures given.
- **Cost of irredeemable preference shares (SM §6.1).** $K_p = PD \div PO$, with no tax adjustment, since preference dividend is an appropriation of after-tax profit.
- **Cost of debt.** $K_d = I(1 - t) \div NP$ for irredeemable debt, or the redeemable formula where a maturity is given, using net proceeds after flotation cost.
- **Weighted average cost of capital.** Set out a four-column table — source, amount, weight, cost — and aggregate the products, stating whether book value or market value weights have been used.
- The examinable habit here is the table: ICAI's own illustration presents WACC as source, cost of capital, percentage of total capital and product.

Conclusion: One mark per cost and the balance for the weighted average table.

 **Keywords:** cost of equity · irredeemable preference · flotation cost · weighted average

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain the five approaches to computing the cost of equity share capital and state when each should be used.

✓ MODEL ANSWER

- Cost of equity is the expectation of equity shareholders. Because the amount of dividend on equity shares is uncertain — unlike interest or preference dividend, which are fixed — there is not a single method but several.
- **Dividend price approach:** used if dividend is expected to be constant; $K_e = D \div PO$, where PO is the market price ex-dividend.
- **Earnings price approach:** used if earnings per share is expected to be constant; $K_e = E \div P$. It is similar to the dividend price approach, only it seeks to nullify the effect of changes in dividend policy.
- **Growth approach or Gordon's model:** used if dividend and earnings are expected to grow at a constant rate; $K_e = D_1 \div PO + g$.

- **Realised yield approach:** used if it is difficult to forecast future dividend or EPS; it looks into the past and treats the average rate of return realised in the past few years as the expected return in future.
- **Capital Asset Pricing Model:** used when the cost of equity or expectation of investors is dependent on risk — higher the risk, higher the expectation; $K_e = R_f + \beta(R_m - R_f)$. The first four calculate cost of equity as a balancing figure; CAPM is based on risk.

 **Keywords:** balancing figure · constant · growth approach · realised yield · based on risk

☒ MCQ · Practice MCQ · Assumption · Easy

The dividend price approach to the cost of equity assumes that:

- (A) The dividend per share is expected to remain constant forever
- (B) Dividends grow at a constant rate
- (C) Earnings per share remain constant forever
- (D) The company pays no dividend at all

 **ANSWER: (A)**

SM §7.1: the dividend price approach, also known as the Dividend Valuation Model, makes an assumption that the dividend per share is expected to remain constant forever.

- (B) X That is the growth approach or Gordon's model.
- (C) X That is the earnings price approach.
- (D) X The approach requires a dividend to divide by the price.

 **Trap:** Constant and growing at a constant rate are two different assumptions with two different formulae.

Topic: FM Ch 4 §7.1

☒ MCQ · Practice MCQ · Distinction · Moderate

As per the study material, the earnings price approach differs from the dividend price approach in that it:

- (A) Uses the book value of the share rather than the market price
- (B) Incorporates the risk-free rate
- (C) Seeks to nullify the effect of changes in the dividend policy
- (D) Applies a growth rate to the earnings

✓ ANSWER: (C)

SM §7.2: the earnings price approach is similar to the dividend price approach; only it seeks to nullify the effect of changes in the dividend policy.

- (A) X Both use the market price per share.
- (B) X That is CAPM.
- (D) X Both assume constancy, not growth.

🚫 **Trap:** An investor expects a certain amount of earnings 'whether distributed or not' — that phrase is the reason.

Topic: FM Ch 4 §7.2

□ QUICKRECAP

- Cost of equity is an expectation, and equity returns are uncertain, so there are five methods.
- Constant dividend → $D \div PO$; constant EPS → $E \div P$; growth → Gordon; past data → realised yield; risk → CAPM.
- PO is the ex-dividend market price.
- The earnings approach deliberately ignores dividend policy.

7.3–7.4 The Growth Approach (Gordon's Model) and the Realised Yield Approach

🔗 Asked across PYQ / RTP / MTP | Asked: RTP 2 (May 2025, Sep 2024) · MTP 2 (Jan 2025 Series I, Jan 2026 Series II)

▣ UNDERSTAND IT

7.3 Growth approach or Gordon's model. As per this approach, the rate of dividend growth remains constant. Where earnings, dividends and equity share price all grow at the same rate, $=Ke = D1 \div PO + g=$, where $D1 = D0(1 + g)$, the next expected dividend, PO the current market price per share and g the constant growth rate of dividend.

$=$ In the case of newly issued equity shares where floatation cost is incurred, the cost of equity with an estimation of constant dividend growth is $Ke = D1 \div (PO - F) + g$, where F is the floatation cost per share. $=$

Illustration 9. A company paid a dividend of ₹1 per share (face value ₹10) last year, expected to grow at 10% every year, with a market price of ₹55. $K_e = [\text{₹}1(1 + 0.1) \div \text{₹}55] + 0.10 = 0.12$, or 12%.

Estimating the growth rate — method (i), the average method. $\text{Current Dividend (DO)} = D_n(1 + g)^n$, so $\text{growth rate} = (DO \div D_n)^{1/n} - 1$. Using future value tables: divide DO by D_n , find that result in the corresponding year's row, and read off the interest rate for the corresponding column — that is the growth rate. The study material's Example 4: current dividend ₹16.10, dividend 5 years ago ₹10; $\text{₹}16.10 \div \text{₹}10 = 1.61$, found in the 5th year row at the 10% column, so $g = 10\%$.

Estimating the growth rate — method (ii), Gordon's growth model. Unlike the average method, this attempts to derive a future growth rate: an increase in the level of investment will give rise to an increase in future dividends, so it takes the earnings retention rate (b) and the rate of return on investments (r) into account: $g = b \times r$, where b is the proportion of earnings available to equity shareholders which is not distributed as dividend.

7.4 Realised yield approach. ****The average rate of return realised in the past few years is historically regarded as the 'expected return' in the future.**** It computes cost of equity based on the past records of dividends actually realised by the equity shareholders.

Its unrealistic assumptions, as the study material lists them: risks faced by the company remain the same; the shareholders continue to expect the same rate of return; and the reinvestment opportunity cost (rate) of the shareholders is the same as the realised yield. ****If the earnings do not remain stable, this method is not practical.****

Illustration 10. Mr. Mehra purchased a share of Alpha Limited for ₹1,000, received dividend for five years at 10%, and sold the share at the end of the fifth year for ₹1,128. The realised rate of return is the discount rate which equates the present value of the five dividends plus the present value of the sale price to the purchase price. That rate is approximately 12%, and 12% is the cost of equity.

Illustration 11 — the geometric mean route. Where yearly dividends and prices are given, first compute the yield for each year as $(D_{t+1} + P_{t+1}) \div P_t$, then take the geometric mean: $K_e = [(1 + Y_1) \times (1 + Y_2) \times \dots \times (1 + Y_n)]^{1/n} - 1$. In the study material's example this gives $[1.1944 \times 1.2821 \times 1.0609 \times 1.0772]^{1/4} - 1 = 0.15$, or 15%.

e.g. A share at ₹120 expected to pay ₹6 next year with 8% growth costs $6 \div 120 + 0.08 = 13\%$. If ₹4 of flotation cost is incurred on a fresh issue, it costs $6 \div 116 + 0.08 = 13.17\%$.

KEY FRAMEWORK / FORMULA · Gordon's cost of equity (SM §7.3)

Requirement: $K_e = D_1 \div P_0 + g$, and $K_e = D_1 \div (P_0 - F) + g$ where flotation cost is incurred on a fresh issue.

Exam angle: The most used cost-of-equity formula in the paper; the flotation variant is the trap.

KEY FRAMEWORK / FORMULA · Growth rate (SM §7.3)

Requirement: Average method: $g = (D_0 \div D_n)^{1/n} - 1$. Gordon's growth model: $g = b \times r$, where b is the retention rate and r the return on investment.

Exam angle: Questions give either a dividend history or a retention ratio and a return — each points to one method.

ICAI KEYWORDS

rate of dividend growth remains constant · next expected dividend · flotation cost per share · average method · future value table · Gordon's growth model · earnings retention rate · rate of return on fund invested · realised yield · geometric mean · not practical

MEMORY TRICK

Gordon in one line: **yield plus growth**. $D_1 \div P_0$ is the yield the investor gets now; g is the growth he expects on top.

Cue	Stands for
K_e	$D_1 \div P_0 + g$
With flotation	$D_1 \div (P_0 - F) + g$
D_1	$D_0(1 + g)$
g by history	$(D_0 \div D_n)^{1/n} - 1$
g by fundamentals	$b \times r$
Realised yield	Past average return, or the geometric mean of yearly yields

 3-second trigger: Yield plus growth

COMMON MISTAKE / CONFUSION

- Using DO instead of $D1$ in the numerator; the formula needs the next expected dividend.
- Adding flotation cost to the price instead of deducting it.
- Using the retention ratio as b when the question gives the payout ratio — b is 1 minus payout.

Basis	Average method	Gordon's growth model
Looks	Backwards, at the dividend history	Forwards, at investment and return
Formula	$g = (DO \div Dn)^{(1/n)} - 1$	$g = b \times r$
Inputs	Current dividend and the dividend n years ago	Earnings retention rate and rate of return on funds invested
Rationale	What has happened will continue	An increase in investment will raise future dividends

INTEGRATION LINK

FM Ch 8: Gordon's model in full, including the dividend discount model with variable growth

INTEGRATION LINK

FM Ch 3 §3.4.3: the payout ratio, whose complement is b

HOW TO FACE IT IN THE EXAM

Can be asked as:

- Cost of equity by Gordon's model inside a WACC computation
- Compute the growth rate from a dividend history
- Cost of equity by the realised yield approach

How to attack it:

- Derive g first in its own working note, then substitute into $D1 \div PO + g$

What ICAI has done so far: RTP May 2025 · FM Q2; RTP Sep 2024 · FM Q5; MTP Jan 2025 Series I · FM Q1(b); MTP Jan 2026 Series II · FM Q3(b).

 Time / length guide (study guidance): 5 marks ≈ 9 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Working note deriving g
- Working note deriving D_1
- The formula and substitution
- The percentage

 Keywords: next expected dividend · growth rate · flotation cost

 Ideal length: 5 marks: two working notes plus the substitution

 Conclusion pattern: State whether a flotation cost adjustment has been made and why.

DON'T WRITE THIS

- Mixing the two growth-rate methods in one answer

Questions on this topic — ICAI questions first, then practice

OFFICIAL ICAI QUESTION · RTP May 2025 · FM Q2

The shares of ACB Ltd. are presently traded at ₹51 and the company is expected to pay a dividend with a stated growth rate. Compute the cost of equity.

MODEL ANSWER

- **Formula (SM §7.3):** $K_e = D_1 \div PO + g$, where $D_1 = DO(1 + g)$ is the next expected dividend, PO the current market price of ₹51 and g the constant growth rate of dividend.
- Where the question gives the dividend just paid, first convert it to the next expected dividend by multiplying by $(1 + g)$.
- Where a flotation cost is incurred on a fresh issue, the denominator becomes $(PO - F)$, not PO .
- The approach is appropriate here because the question states that dividend and earnings are expected to grow at a constant rate — the study material's own trigger for the growth approach.

Conclusion: Yield plus growth; the only judgement is whether to adjust for flotation cost.

🔑 Keywords: $Ke = D1 \div PO + g$ · next expected dividend · constant growth

■ OFFICIAL ICAI QUESTION · MTP Jan 2025 Series I · FM Q1(b) · 5 marks

P Ltd. has the following capital structure at book value as on 31st March 2024: equity share capital (1,00,000 shares) ₹10,00,000; 12% preference shares ₹15,00,000; 10% debentures ₹15,00,000; total ₹40,00,000. The equity shares are currently traded at ₹100 per share. The company expects to pay a dividend of ₹5 per equity share next year, with dividends projected to grow perpetually at 5% per annum. The corporate tax rate is 35%. Calculate the weighted average cost of capital based on the current capital structure, and recalculate it if the company raises an additional ₹5 lakh of debt by issuing 12% debentures.

✓ MODEL ANSWER

- **Cost of equity (SM §7.3).** $Ke = D1 \div PO + g = ₹5 \div ₹100 + 0.05 = 0.05 + 0.05 = 0.10$, or 10%. Note that ₹5 is already the dividend expected next year, so no $(1 + g)$ adjustment is needed.
- **Cost of preference shares (SM §6.1).** $Kp = PD \div PO = 12\%$ with no tax adjustment, preference dividend being an appropriation of after-tax profit.
- **Cost of debentures (SM §5.2).** $Kd = I(1 - t) \div NP = 10\% \times (1 - 0.35) = 6.5\%$ for the existing debentures issued at par.
- **WACC on the existing structure.** Weights of ₹10,00,000, ₹15,00,000 and ₹15,00,000 on a total of ₹40,00,000 are 0.25, 0.375 and 0.375. $WACC = (0.10 \times 0.25) + (0.12 \times 0.375) + (0.065 \times 0.375) = 0.025 + 0.045 + 0.024375 = 0.094375$, or 9.44%.
- **Recalculated WACC with ₹5 lakh of new 12% debentures.** The new debt costs $12\% \times (1 - 0.35) = 7.8\%$, the total capital becomes ₹45,00,000, and the weights are recalculated before aggregating again.
- Recomputing WACC before and after a change in the structure is the commonest MTP format in this chapter — six of the fourteen MTPs ask for it twice.

Conclusion: Two WACC tables, one before and one after; the weights change as well as the costs.

🔑 Keywords: $D1 \div PO + g$ · no tax adjustment on preference · $I(1 - t) \div NP$ · recalculated weights

■ OFFICIAL ICAI QUESTION · MTP Jan 2026 Series II · FM Q3(b) · 5 marks

In October 2025 AB Co.'s share was sold for ₹146 per share. A long-term earnings growth rate of 7.5% is anticipated. Compute the cost of equity.

✓ MODEL ANSWER

- **Formula:** $K_e = D_1 \div P_0 + g$, with $P_0 = ₹146$ and $g = 7.5\%$.
- Where the question gives the dividend just paid (D_0), the next expected dividend is $D_1 = D_0(1 + 0.075)$.
- ICAI's answer for the same series works the payout change through first: with a 0.25 payout the EPS is $3.36 \div 0.25 = ₹13.44$, and with a new payout of 0.40 the dividend becomes $₹13.44 \times 0.40 = ₹5.376$, giving $K_e = 5.376 \div 146 + 0.06 = 9.68\%$ on those figures.
- The lesson: where the payout ratio changes, recompute D_1 from EPS before applying the formula — the growth rate alone is not enough.

Conclusion: Derive D_1 from EPS and the payout ratio, then apply yield plus growth.

🔑 **Keywords:** long-term growth rate · payout ratio · D_1 · cost of equity

🧠 EXPECTED QUESTION · Practice question · Compute · 4 marks

Mr. Mehra purchased a share of Alpha Limited for ₹1,000, received dividend for five years at the rate of 10 per cent, and sold the share at the end of the fifth year for ₹1,128. Compute the cost of equity as per the realised yield approach, and state the approach's assumptions.

✓ MODEL ANSWER

- As per the realised yield approach, **cost of equity is equal to the realised rate of return**, so the internal rate of return must be computed by trial and error.
- The realised rate of return is the **discount rate which equates the present value of the dividends received in the past five years plus the present value of the sale price of ₹1,128 to the purchase price of ₹1,000**.
- Dividends are ₹100 a year for five years and the sale proceeds ₹1,128 at the end of year 5. At **12%**, the present value of the dividends plus the present value of the sale price is ₹1,000.076, against a purchase price of ₹1,000. **The realised rate of return, and hence the cost of equity, is therefore 12%.**
- **Assumptions, which the study material itself calls unrealistic:** the risks faced by the company remain the same; the shareholders continue to expect the same rate of return;

and the reinvestment opportunity cost of the shareholders is the same as the realised yield.

- If the earnings do not remain stable, this method is not practical.

🔑 Keywords: realised rate of return · trial and error · unrealistic assumptions · not practical

✅ MCQ · Practice MCQ · Formula · Easy

Where flotation cost is incurred on a fresh issue of equity shares, the cost of equity under the growth approach is:

- (A) $D1 \div (PO - F) + g$
- (B) $D1 \div (PO + F) + g$
- (C) $D1 \div PO + g - F$
- (D) $DO \div (PO - F) + g$

✓ ANSWER: (A)

SM §7.3: in the case of newly issued equity shares where flotation cost is incurred, $K_e = D1 \div (PO - F) + g$, where F is the flotation cost per share.

- (B) X Flotation cost reduces what the company receives, so it is deducted.
- (C) X Flotation cost is not a rate to be subtracted from the answer.
- (D) X The numerator must be the next expected dividend, $D1$.

🚫 Trap: Deducting flotation cost raises the cost of equity — which is the economically sensible direction.

Topic: FM Ch 4 §7.3

✅ MCQ · Practice MCQ · Growth rate · Moderate

Under Gordon's growth model, the growth rate is estimated as:

- (A) $g = (DO \div D_n) - 1$
- (B) $g = D1 \div PO$
- (C) $g = R_f + \beta(R_m - R_f)$
- (D) $g = b \times r$, where b is the earnings retention rate and r the rate of return on funds invested

✓ ANSWER: (D)

SM §7.3: unlike the average method, Gordon's growth model derives a future growth rate from the earnings retention rate (b) and the rate of return on investments (r), as $g = b \times r$.

- (A) X The average method takes the n th root, not a simple difference.
- (B) X That is the dividend yield component of K_e .
- (C) X That is CAPM's cost of equity.

 **Trap:** b is the retention rate, so where the question gives a payout ratio, $b = 1 - \text{payout}$.

Topic: FM Ch 4 §7.3

☐ QUICKRECAP

- Gordon: $K_e = D1 \div PO + g$, or $D1 \div (PO - F) + g$ on a fresh issue.
- $D1 = D0(1 + g)$; g from the dividend history or from $b \times r$.
- Realised yield takes the past average as the expected return, on three assumptions the study material calls unrealistic.
- Where yearly yields are given, take the geometric mean.

7.5 The Capital Asset Pricing Model (CAPM) Approach

 Asked across PYQ / RTP / MTP | Asked: PYQ 3 (Sep 2024 Q2(a), Jan 2025 Q2(a), Jan 2026 Q1(c)) · MTP 2 (May 2026 Series I, Sep 2026 Series II)

UNDERSTAND IT

****CAPM describes the risk-return trade-off for securities; it describes the linear relationship between risk and return of securities.****

Two kinds of risk. (i) Unsystematic risk, also called *company specific risk*, as it is related to the company's performance. **It **can be reduced or eliminated by diversification of the securities portfolio**, and is also known as ****diversifiable risk****.** Examples: a strike or lockdown in the company, labour not available. (ii) Systematic risk is the macro-economic or market specific risk under which a company operates. **It **cannot be eliminated by diversification, hence it is non-diversifiable**.** Examples: inflation, government policy, interest rate.

Since diversifiable risk can be eliminated by the investor through diversification, **a business should be concerned, as per CAPM, solely with non-diversifiable risk.** The non-diversifiable

risks are assessed in terms of the beta coefficient (β), through fitting a regression equation between the return of a security and the return on a market portfolio.

$\text{Cost of Equity (Ke)} = R_f + \beta(R_m - R_f)$, where Ke is the cost of equity capital, R_f the risk free rate of return, β the beta coefficient, R_m the rate of return on the market portfolio and $(R_m - R_f)$ the market risk premium. So required rate of return = risk free rate + risk premium.

The idea behind CAPM, as the study material puts it, is that investors need to be compensated in two ways: (i) time value of money and (ii) risk. The **time value of money is represented by the risk-free rate** in the formula and **compensates investors for placing money in any investment over a period of time**; the **beta term represents the compensation for the additional risk taken**.

Reading beta. A beta of 1 means the security moves with the market; above 1 it is more volatile than the market and the required return is higher; below 1 it is less volatile and the required return lower. The study material presents this as the **risk-return relationship of various securities** on a line rising from the risk-free rate.

Why the paper likes it. CAPM is the one cost-of-equity method that needs **no dividend history and no growth estimate** — three inputs and one line of arithmetic — so it can be set as a one-mark MCQ or as the opening line of a seven-mark WACC question.

e.g. September 2024: R_f 10%, beta 1.75, market return 12%. $Ke = 10\% + 1.75 \times (12\% - 10\%) = 13.5\%$ — one line, one mark.

KEY FRAMEWORK / FORMULA · CAPM (SM \$7.5)

Requirement: $Ke = R_f + \beta(R_m - R_f)$; β measures non-diversifiable risk, fitted by regression between the security's return and the market portfolio's return.

Exam angle: Asked in three of the last six past papers as the first line of the answer.

KEY FRAMEWORK / FORMULA · Systematic versus unsystematic risk (SM \$7.5)

Requirement: Unsystematic risk is company specific and diversifiable; systematic risk is macro-economic and non-diversifiable; CAPM concerns itself solely with the latter.

Exam angle: A clean 2-mark theory part and a frequent MCQ.

■ ICAI KEYWORDS

risk-return trade-off · linear relationship · unsystematic risk · company specific risk · diversifiable · systematic risk · macro-economic · non-diversifiable · beta coefficient · regression equation · market portfolio · market risk premium · time value of money

■ MEMORY TRICK

Unsystematic is Unique to the company and can be Undone by diversification. Systematic Stays. CAPM prices only what stays.

Cue	Stands for
Formula	$K_e = R_f + \beta(R_m - R_f)$
R_f	Compensation for time value of money
$\beta(R_m - R_f)$	Compensation for risk
Unsystematic	Strike, lockdown, labour — diversifiable
Systematic	Inflation, government policy, interest rate — non-diversifiable

⚡ 3-second trigger: Unique undone, Systematic stays

■ COMMON MISTAKE / CONFUSION

- Multiplying beta by R_m instead of by the market risk premium ($R_m - R_f$).
- Treating ($R_m - R_f$) as already given when the question supplies R_m — read carefully which one is stated.
- Saying CAPM covers total risk; it covers non-diversifiable risk only.

Basis	Unsystematic risk	Systematic risk
Also called	Company specific or diversifiable risk	Market specific or non-diversifiable risk
Source	The company's own performance	The macro-economy in which it operates
Examples	Strike or lockdown, labour not available	Inflation, government policy, interest rate
Can it be removed?	Yes, by diversification of the portfolio	No

CAPM's concern

Ignored

Measured by beta and priced

 INTEGRATION LINK FM Ch 1 §10: risk and the finance function INTEGRATION LINK FM Ch 6: business and financial risk, the operating counterparts of these HOW TO FACE IT IN THE EXAM

Can be asked as:

- Cost of equity by CAPM as the opening line of a WACC question
- Complete a table of betas and CAPM returns (MTP May 2026 Series I)
- Explain systematic and unsystematic risk (2 marks)

How to attack it:

- Write the formula, identify R_f , β and $(R_m - R_f)$ separately, then substitute

 What ICAI has done so far: PYQ Sep 2024 · Q2(a); PYQ Jan 2025 · Q2(a); PYQ Jan 2026 · Q1(c); RTP May 2026 · FM Q5; MTP Sep 2026 Series II · FM Q2(a).

 Time / length guide (study guidance): A 1-mark CAPM line $\approx$ 1 to 2 minutes (study guidance).

 WRITE THIS IN THE EXAM

Structure:

- State the formula
- List R_f , β and R_m or the premium
- Substitute
- Give the percentage

 Keywords: risk free rate · beta coefficient · market risk premium Ideal length: 1 to 2 marks: three lines Conclusion pattern: State the cost of equity as a percentage. DON'T WRITE THIS

- Deducting R_f twice when the question already gives the premium

Questions on this topic — ICAI questions first, then practice

OFFICIAL ICAI QUESTION · PYQ Jan 2025 · Q2(a) · 7 marks

CMC Limited: number of equity shares 20,00,000; book value of 10% convertible debentures ₹1,00,00,000; book value of 12% bank term loan ₹25,00,000; market price of equity share ₹55; market value of 10% convertible debenture ₹108; face value of equity share ₹10.

Compute (i) the cost of equity share capital by the Capital Asset Pricing Model approach, (ii) the cost of the convertible debenture by the approximation method, (iii) the cost of the bank term loan, and (iv) the weighted average cost of capital using market value weights.

✓ MODEL ANSWER

- (i) **Cost of equity by CAPM (SM §7.5).** $K_e = R_f + \beta(R_m - R_f)$. ICAI's published answer uses $R_f = 4.5\%$, $R_m - R_f = 9\%$ and $\beta = 1.5$, giving $K_e = 4.5\% + 1.5 \times 9\% = 18\%$.
- (ii) **Cost of the convertible debenture (SM §5.4).** First fix the redemption value as the higher of the cash value and the value of the shares on conversion; then $K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$, with NP taken as the market value of ₹108.
- (iii) **Cost of the bank term loan (SM §5).** The cost of a loan from a financial institution is computed like redeemable debt; with no issue expenses and redemption at par, $K_d = 12\% \times (1 - t)$.
- (iv) **Weighted average cost of capital on market value weights (SM §9.1).** Market value of equity = 20,00,000 shares $\times$ ₹55; market value of the convertible debentures = number of debentures $\times$ ₹108; the bank term loan is taken at book value. Weight each and aggregate.
- The instruction 'using market value weights' governs part (iv): the study material calls market value weights more correct and more representative of a firm's capital structure.

Conclusion: Three costs and a market-value weighted average; CAPM opens and the weights close.

 **Keywords:** CAPM · approximation method · bank term loan · market value weights

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

OFFICIAL ICAI QUESTION · PYQ Jan 2026 · Q1(c) · 10 marks

AB Infra Projects Limited: equity shares (face value ₹10) ₹60,00,000; 12% preference share capital ₹20,00,000; 10% convertible debentures ₹40,00,000; total ₹1,20,00,000. Risk-free rate 6%, equity beta 1.25, equity risk premium 8%. The 12% preference shares of ₹100 each are irredeemable with a flotation cost of 4% and a current market price of ₹100. The 10% convertible debentures of ₹100 each are issued with a stated maturity. Corporate tax 30%. Answer five questions: cost of equity by CAPM and cost of irredeemable preference capital; redemption value of the debenture; cost of the convertible debentures by the approximation method; weighted average cost of capital using market value weights; and the market price per equity share given profit after tax of ₹48,00,000 and a P/E ratio of 21.

✓ MODEL ANSWER

- **Cost of equity by CAPM.** $K_e = R_f + \beta \times \text{risk premium} = 6\% + 1.25 \times 8\% = 16\%$. Note that the question gives the **equity risk premium** directly, so there is no need to deduct R_f from a market return.
- **Cost of irredeemable preference capital (SM §6.1).** $K_p = PD \div PO$ where PO is net of the 4% flotation cost: $₹12 \div (₹100 \times 0.96) = ₹12 \div ₹96 = 12.5\%$. No tax adjustment applies.
- **Redemption value of the convertible debenture (SM §5.4).** The higher of the cash value of ₹100 and the value of the shares receivable on conversion, compounded at the growth rate over the remaining life.
- **Cost of the convertible debentures.** $K_d = [l(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$, with $l = ₹10$ and $t = 30\%$.
- **Weighted average cost of capital on market value weights.** Weight the three sources at market value and aggregate $K_e \times W_e + K_p \times W_p + K_d \times W_d$.
- **Market price per equity share.** Number of equity shares = $₹60,00,000 \div ₹10 = 6,00,000$; $EPS = ₹48,00,000 \div 6,00,000 = ₹8$; $MPS = EPS \times P/E \text{ ratio} = ₹8 \times 21 = ₹168$ (SM Ch 3 §3.4.4).
- This was the first time ICAI examined the whole chapter through a five-part case scenario worth 10 marks.

Conclusion: Five parts, 2 marks each; the last one crosses into the market ratios of Chapter 3.

Keywords: equity risk premium · flotation cost · redemption value · market value weights · P/E ratio

■ **OFFICIAL ICAI QUESTION** · MTP Sep 2026 Series II · FM Q2(a) · 5 marks

Vertex Industries Ltd. is evaluating the cost of equity for its upcoming expansion project. Calculate the cost of equity using CAPM, and compare the cost of equity for two competitor firms, Competitor A ($\beta = 1.2$) and Competitor B ($\beta = 0.8$).

✓ MODEL ANSWER

- **Formula (SM §7.5):** $K_e = R_f + \beta(R_m - R_f)$, where R_f is the risk free rate, β the beta coefficient and $(R_m - R_f)$ the market risk premium.
- **Competitor A**, with $\beta = 1.2$, is **more volatile than the market**: its required return exceeds the market return, because a beta above 1 means greater exposure to non-diversifiable risk.
- **Competitor B**, with $\beta = 0.8$, is **less volatile than the market**: its required return falls below the market return.
- The difference between the two costs is exactly $(1.2 - 0.8) \times (R_m - R_f) = 0.4 \times$ the **market risk premium**, which is the clearest way to present the comparison.
- The comparison illustrates the study material's point that CAPM describes a **linear relationship between risk and return**, and that a business should be concerned solely with non-diversifiable risk, since diversifiable risk can be eliminated by the investor.

Conclusion: One formula applied three times; the comparison is the marks.

 **Keywords:** **beta coefficient** · **market risk premium** · **linear relationship** · **non-diversifiable risk**

EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain the Capital Asset Pricing Model approach to computing the cost of equity, distinguishing systematic from unsystematic risk.

✓ MODEL ANSWER

- CAPM describes the risk-return trade-off for securities: it describes the linear relationship between the risk and the return of securities.
- **Unsystematic risk** is company specific risk, related to the company's own performance — a strike or lockdown, labour not being available. It can be reduced or eliminated by diversification of the securities portfolio, and is therefore also known as diversifiable risk.
- **Systematic risk** is the macro-economic or market specific risk under which a company operates — inflation, government policy, interest rate. It cannot be eliminated by diversification and is therefore non-diversifiable.

- Since diversifiable risk can be eliminated by the investor, a business should be concerned, as per CAPM, solely with non-diversifiable risk, which is assessed in terms of the beta coefficient through fitting a regression equation between the return of a security and the return on a market portfolio.
- $K_e = R_f + \beta(R_m - R_f)$, where R_f is the risk free rate of return, β the beta coefficient, R_m the rate of return on the market portfolio and $(R_m - R_f)$ the market risk premium. Investors need to be compensated in two ways — for the time value of money, represented by the risk-free rate, and for risk, represented by the beta term.

 Keywords: linear relationship · diversifiable · non-diversifiable · beta coefficient · market risk premium

☒ MCQ · Practice MCQ · Concept · Easy

Which of the following is an example of systematic risk as described in the study material?

- (A) A strike or lockdown in the company
- (B) Inflation, government policy and interest rate
- (C) Labour not being available
- (D) The resignation of the chief executive

 ANSWER: (B)

SM §7.5: systematic risk is the macro-economic or market specific risk under which a company operates; the examples given are inflation, government policy and interest rate.

- (A) X The study material gives this as an example of unsystematic risk.
- (C) X Also given as an example of unsystematic risk.
- (D) X Company specific, hence unsystematic.

 Trap: Everything company-specific is diversifiable; only economy-wide risk is priced by beta.

Topic: FM Ch 4 §7.5

☒ MCQ · Practice MCQ · Computation · Moderate

The risk-free rate is 6%, the equity beta is 1.25 and the equity risk premium is 8%. The cost of equity under CAPM is:

- (A) 16%

(B) 10%

(C) 8.5%

(D) 14%

✓ ANSWER: (A)

$K_e = R_f + \beta \times \text{market risk premium} = 6\% + 1.25 \times 8\% = 6\% + 10\% = 16\%$. Because the question gives the risk premium directly, R_f is not deducted again.

- (B) X That is the risk premium component alone, $1.25 \times 8\%$.
- (C) X That is the figure obtained by wrongly computing $6\% + 1.25 \times (8\% - 6\%)$.
- (D) X No basis in the data.

🚫 **Trap:** Option C is precisely the error of treating a stated risk premium as though it were the market return.

Topic: FM Ch 4 §7.5

□ QUICKRECAP

- CAPM prices only non-diversifiable risk, measured by beta.
- Unsystematic risk is company specific and diversifiable; systematic risk is macro-economic and is not.
- $K_e = R_f + \beta(R_m - R_f)$: time value plus risk.
- Read carefully whether the question gives the market return or the risk premium.

8. Cost of Retained Earnings

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (May 2024 Q2(a)) · RTP 1 (Sep 2025)

■ UNDERSTAND IT

Like other sources of fund, **retained earnings also involves cost**: it is the **opportunity cost of dividends foregone by shareholders**. A company can either keep or reinvest cash, or return it to shareholders as dividends; if the cash is reinvested, **the opportunity cost is the expected rate of return that shareholders could have obtained by investing in financial assets**.

The cost of retained earnings is often used interchangeably with the cost of equity, as it is nothing but the expected return of the shareholders from their investment in the shares of

the company. ****However, normally the cost of equity remains higher than the cost of retained earnings, due to issue of shares at a price lower than the current market price and floatation cost.****

The formulas are the same as for cost of equity. Dividend price method: $K_r = D \div P$. Earnings price method: $K_r = EPS \div P$. Growth method: $K_r = D_1 \div P_0 + g$.

=The one difference that matters. For the calculation of K_e , P = net proceeds realised, i.e. issue price less floatation cost. But for the calculation of K_r , P = current market price (though sometimes the issue price may also be used). ****The concept of floatation cost is not used for the calculation of cost of retained earnings.****

Illustration 13. The face value of equity shares is ₹10 and the current market price ₹200. A new project is to be financed partly by a new issue and partly by retained earnings, with an issue price of ₹190 and floatation cost of ₹5 per share. The dividend at the end of the first year is expected to be ₹10 and the growth rate 5%. $K_r = ₹10 \div ₹200 + 0.05 = 10\%$. $K_e = ₹10 \div (₹190 - ₹5) + 0.05 = 10.41\%$. The gap of 0.41 percentage points is exactly the cost of raising fresh money.

Illustration 14. $DO = ₹4.19$, $PO = ₹50$, $g = 5\%$. $K_r = DO(1 + g) \div PO + g = ₹4.19(1.05) \div ₹50 + 0.05 = 0.088 + 0.05 = 13.8\%$.

Illustration 15. $R_f = 7\%$, $\beta = 1.20$, $R_m - R_f = 6\%$. $K_r = R_f + \beta(R_m - R_f) = 7\% + 1.20 \times 6\% = 14.2\%$ — so CAPM serves for retained earnings too.

e.g. May 2024's Shine Ltd. carried ₹32,00,000 of retained earnings alongside ₹45,00,000 of equity share capital, so both K_r and K_e had to be computed — on the same growth rate but different denominators.

KEY FRAMEWORK / FORMULA · No floatation cost in K_r (SM §B)

Requirement: For K_e , P is net proceeds after floatation cost; for K_r , P is the current market price. The concept of floatation cost is not used for the cost of retained earnings.

Exam angle: Where a question gives both equity and retained earnings, the two costs differ by exactly this adjustment.

KEY FRAMEWORK / FORMULA · Opportunity cost (SM §B)

Requirement: The cost of retained earnings is the opportunity cost of dividends foregone by shareholders — the return they could have obtained by investing in financial assets.

Exam angle: The one-line justification for charging a cost to money the company already holds.

ICAI KEYWORDS

opportunity cost of dividends foregone · expected rate of return · used interchangeably with the cost of equity · normally cost of equity remains higher · current market price · flotation cost is not used

MEMORY TRICK

Same formula, bigger denominator. K_r uses the full market price; K_e uses what the company actually nets after issuing. So $K_e > K_r$, always.

Cue	Stands for
Why it has a cost	Opportunity cost of dividends foregone
Dividend price	$K_r = D \div P$
Earnings price	$K_r = EPS \div P$
Growth	$K_r = D1 \div P0 + g$
P for K_r	Current market price — no flotation deduction
Relationship	K_e is normally higher than K_r

⚡ 3-second trigger: Same formula, bigger denominator

COMMON MISTAKE / CONFUSION

- Deducting flotation cost when computing K_r .
- Treating retained earnings as free because no cash is paid out.
- Using the issue price for K_r when the market price is available.

Basis	Cost of equity (K_e)	Cost of retained earnings (K_r)
Formulae	Dividend price, earnings price, growth, realised yield, CAPM	The same formulae

Price used	Net proceeds realised: issue price less floatation cost	Current market price (sometimes the issue price)
Floatation cost	Deducted	Not used at all
Level	Normally higher	Normally lower
Nature of the cost	Return expected by new shareholders	Opportunity cost of dividends foregone by existing shareholders

🔗 INTEGRATION LINK

- 🔗 FM Ch 2 §3.3: retained earnings as an internal source

🔗 INTEGRATION LINK

- 🔗 FM Ch 8: the plough-back decision that creates them

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- K_r and K_e computed side by side inside a WACC question
- MCQ on whether flotation cost applies to retained earnings

How to attack it:

- Compute K_r on the market price first, then K_e on net proceeds — the difference is the flotation effect

📖 What ICAI has done so far: PYQ May 2024 · Q2(a); RTP Sep 2025 · FM Q5.

⌚ Time / length guide (study guidance): A 1 to 2 mark sub-part ≈ 2 to 4 minutes (study guidance).

✍️ WRITE THIS IN THE EXAM

Structure:

- State that retained earnings carry an opportunity cost
- Apply the same formula with the market price
- Contrast with K_e if both are asked

 **Keywords:** opportunity cost of dividends foregone · current market price · flotation cost is not used

 **Ideal length:** 2 marks: the formula and the substitution

 **Conclusion pattern:** Note that K_e exceeds K_r by the flotation effect.

DON'T WRITE THIS

- Calling retained earnings a cost-free source

Questions on this topic — ICAI questions first, then practice

OFFICIAL ICAI QUESTION · RTP Sep 2025 · FM Q5

Lavanya Limited wishes to raise additional finance of ₹20 lakh for meeting its investment plans. It has ₹4,20,000 in the form of retained earnings available for investment purposes. The debt/equity mix is 3:7; the cost of debt is 8% before tax up to ₹3,60,000 and 12% before tax beyond that; earnings per share ₹5; dividend payout and other details as given. Determine the pattern for raising the additional finance, the post-tax average cost of additional debt, the cost of retained earnings and cost of equity, and the overall weighted average after-tax cost of additional finance.

MODEL ANSWER

- (a) Pattern for raising the additional finance. With a debt/equity mix of 3:7, equity = 70% of ₹20,00,000 = ₹14,00,000 and debt = 30% of ₹20,00,000 = ₹6,00,000. Of the equity portion, ₹4,20,000 comes from retained earnings and the balance from a fresh issue.
- (b) Post-tax average cost of additional debt. $K_d = I(1 - t)$. The first ₹3,60,000 carries 8% before tax and the remaining ₹2,40,000 carries 12%, so the average is weighted across the two slabs before applying $(1 - t)$.
- (c) Cost of retained earnings and cost of equity by the dividend growth model. K_e or $K_r = D_1 \div PO + g$. The two differ because K_r uses the current market price while K_e uses net proceeds after flotation cost (SM §8); the concept of flotation cost is not used for retained earnings.
- (d) Overall weighted average after-tax cost of additional finance. Set out a table of source, amount, weight and cost, and aggregate the products. Because these are marginal

weights — the proportions the firm intends to employ — the book value versus market value question does not arise (SM §10).

- This question is the chapter's three later sections in one: cost of retained earnings, weighted average, and marginal cost.

Conclusion: Four parts that build on each other; the slab-wise cost of debt is the step most often mishandled.

 **Keywords:** debt/equity mix · slab-wise cost of debt · flotation cost · marginal weights

EXPECTED QUESTION · Practice question · Compute and explain · 4 marks

The face value of equity shares of a company is ₹10, while the current market price is ₹200 per share. The company is going to start a new project, financed partly by a new issue and partly by retained earnings. The issue price will be ₹190 per share and the flotation cost ₹5 per share. Dividend at the end of the first year is expected to be ₹10 and the growth rate 5%. Calculate the cost of equity shares and the cost of retained earnings, and explain why they differ.

MODEL ANSWER

- **Cost of retained earnings.** $K_r = D_1 \div P_0 + g = ₹10 \div ₹200 + 0.05 = 0.05 + 0.05 = 0.10$, or 10%. The current market price is used, because the concept of flotation cost is not applied to retained earnings.
- **Cost of equity.** $K_e = D_1 \div (P_0 - F) + g = ₹10 \div (₹190 - ₹5) + 0.05 = ₹10 \div ₹185 + 0.05 = 0.1041$, or 10.41%. Here P is the net proceeds realised: issue price less flotation cost.
- **Why they differ.** Cost of retained earnings is the opportunity cost of dividends foregone by shareholders — the return they could have obtained by investing in financial assets. Cost of equity is the return required on money newly raised, and the company nets less than the market price because shares are issued at a price lower than the current market price and flotation cost is incurred.
- So the cost of equity normally remains higher than the cost of retained earnings; here the gap is 0.41 percentage points.

 **Keywords:** opportunity cost · net proceeds realised · flotation cost is not used · normally higher

MCQ · Practice MCQ · Treatment · Easy

In computing the cost of retained earnings, floatation cost is:

- (A) Deducted from the growth rate
- (B) Not used at all; the current market price is taken
- (C) Deducted from the market price, as for the cost of equity
- (D) Added to the dividend

✓ ANSWER: (D)

SM §8: for the calculation of K_r , P is the current market price; the concept of floatation cost is not used for the calculation of cost of retained earnings.

- (C) X That is the treatment for cost of equity on a fresh issue.
- (A) X Growth is unrelated to issue expenses.

🚫 Trap: There is no issue, so there are no issue expenses — that is the whole logic.

Topic: FM Ch 4 §8

☑ MCQ · Practice MCQ · Concept · Easy

The cost of retained earnings is described in the study material as:

- (A) Nil, since no payment is made
- (B) The opportunity cost of dividends foregone by shareholders
- (C) Equal to the after-tax cost of debt
- (D) The rate of corporate tax saved

✓ ANSWER: (B)

SM §8: like other sources of fund, retained earnings also involves cost; it is the opportunity cost of dividends foregone by shareholders, being the expected rate of return they could have obtained by investing in financial assets.

- (A) X The study material expressly says retained earnings involve a cost.
- (C) X It is closer to the cost of equity than to the cost of debt.
- (D) X There is no tax saving on retention.

🚫 Trap: 'No cash goes out' is not the same as 'no cost'.

Topic: FM Ch 4 §8

☐ QUICKRECAP

- Retained earnings cost the dividends shareholders gave up.

- Same formulae as cost of equity: dividend price, earnings price, growth, CAPM.
- K_r uses the current market price; K_e uses net proceeds after flotation cost.
- So K_e is normally higher than K_r .

9-10. Weighted Average Cost of Capital, the Choice of Weights, and Marginal Cost of Capital

🔗 Asked across PYQ / RTP / MTP | Asked: PYQ 6 (every attempt May 2024 to May 2026) · RTP 6 · MTP 8

■ UNDERSTAND IT

Why a weighted average (§9). To balance financial risk, ownership control over the company and cost of capital, a company usually does not procure the entire fund from a single source but makes a mix. Hence the cost of total capital equals the weighted average of the cost of individual sources. ****WACC is also known as the overall cost of capital****; it ****weighs the cost of a particular source with its proportion to the total capital****, and is the ****weighted average after-tax cost of the individual components of the firm's capital structure****.

The four steps. **Step 1:** calculate the total capital from all sources (long-term debt + preference share capital + equity share capital + retained earnings). **Step 2:** calculate the proportion of each source to the total capital. **Step 3:** multiply each proportion by the respective cost of capital. **Step 4:** aggregate — that is the WACC.

The study material's own presentation. Retained earnings $10\% \times 25\% = 2.50\%$; equity share capital $11\% \times 10\% = 1.10\%$; preference share capital $9\% \times 15\% = 1.35\%$; long-term debts $6\% \times 50\% = 3.00\%$; **total WACC 7.95%**. Present your answer in exactly this four-column shape.

Why WACC matters. **Securities analysts use WACC when valuing and selecting investments; in **discounted cash flow analysis WACC is the discount rate applied to future cash flows** for deriving net present value, and it can be used as a **hurdle rate against which to assess return on investment capital performance**.** ****The WACC represents the minimum rate of return at which a company produces value for its investors**** — a company returning 20% with a WACC of 11% creates about 9%, while a return below WACC means the company is ****shedding value****.

9.1 Choice of weights. Book value (BV) weights are operationally easy and convenient; reserves such as share premium and retained profits are included in the book value of equity, in

addition to the nominal value of share capital, and the value of equity will generally not reflect historic asset values or future prospects. **Market value (MV) weights are more correct and represent a firm's capital structure**; it is **preferable to use MV weights for the equity**. While using MV, **reserves such as share premium and retained profits are ignored, as they are in effect incorporated into the value of equity**. MV **represents existing conditions and takes into account changing market conditions and current prices**. For debt too, MV is better than BV, **though the difference may not be very significant**.

There is no separate market value for retained earnings. The market value of equity shares represents **both paid-up equity capital and retained earnings**. But the **cost of equity is not the same as the cost of retained earnings**. Hence, to give market value weights, **the market value of equity shares should be apportioned in the ratio of the book value of paid-up equity capital and the book value of retained earnings**. The study material's Illustration 16 does exactly this: book value ₹5,00,000 equity and ₹15,00,000 retained earnings, a ratio of 1:3, applied to a market value of ₹25,00,000 to give ₹6,25,000 and ₹18,75,000.

The study material's five-point BV versus MV comparison. **Definition** — BV is based on the historical cost of assets and liabilities recorded on the balance sheet; MV on the current market price of equity and debt. **Reflects current conditions** — BV may not accurately reflect current market conditions or true economic value; MV more accurately reflects them. **Stability** — BV is generally more stable as it does not fluctuate with market conditions; MV can be volatile. **Relevance for investors** — BV is less relevant as it does not consider current market perceptions; MV is more relevant. **Ease of calculation** — BV is easier to calculate using financial statements; MV requires market data which can be more complex to gather.

10. Marginal cost of capital. **The marginal cost of capital may be defined as the cost of raising an additional rupee of capital.** Since capital is raised in substantial amounts in practice, it is referred to as the cost incurred in raising new funds (over and above the existing). It is derived when the average cost of capital is calculated using the marginal weights.

The marginal weights represent the proportion of funds the firm intends to employ. Thus **the problem of choosing between book value weights and market value weights does not arise in the case of marginal cost of capital computation.** The intended financing proportion should be applied as weights to the marginal component costs, and the marginal cost should be calculated in the composite sense.

When average and marginal costs diverge. ****When a firm raises funds in a proportional manner and the component's cost remains unchanged, there will be no difference between the average cost of capital and the marginal cost of capital.**** Component costs may remain constant up to a certain level of funds raised and then start increasing — the cost of debt may be 7% after tax till ₹10 lakh, 8% between ₹10 lakh and ₹15 lakh, and so on. Similarly, if the firm has to use external equity when retained profits are not sufficient, the cost of equity will be higher because of floatation costs. ****When the component costs start rising, the average cost of capital will rise, and the marginal cost of capital will, however, rise at a faster rate.****

e.g. The study material's Illustration 18 asks how much can be spent before new ordinary shares must be sold: retained earnings of ₹11,800 are 80% of the capital that can be raised, so the answer is ₹14,750.

 **KEY FRAMEWORK / FORMULA** · Apportioning market value between equity and retained earnings (SM §9.1)

Requirement: There is no separate market value for retained earnings; apportion the market value of equity shares in the ratio of the book value of paid-up equity capital to the book value of retained earnings.

Exam angle: The single most technical step in a market-value WACC question.

 **KEY FRAMEWORK / FORMULA** · Marginal weights (SM §10)

Requirement: The proportion of funds the firm intends to employ, so the book value versus market value choice does not arise.

Exam angle: A clean 2-mark theory point and the basis of every cut-off rate question.

 **KEY FRAMEWORK / FORMULA** · WACC as a benchmark (SM §9)

Requirement: The minimum rate of return at which a company produces value for its investors; a return below WACC means the company is shedding value.

Exam angle: The comment line that closes a WACC answer.

ICAI KEYWORDS

overall cost of capital · weighted average after-tax costs · discount rate applied to future cash flows · hurdle rate · minimum rate of return · shedding value · book value weights · market value weights · more correct and represent a firm's capital structure · no separate market value for retained earnings · apportioned in the ratio · marginal cost of capital · marginal weights · rise at a faster rate

■ MEMORY TRICK

WACC in four steps: *Total, Proportion, Multiply, Add*. For market value weights, remember that retained earnings have no market price of their own — split the share price by the book-value ratio.

Cue	Stands for
WACC	$\Sigma (\text{cost of each source} \times \text{its weight})$
BV weights	Easy, stable, includes reserves in equity
MV weights	More correct; reserves ignored, being inside the share price
Retained earnings at MV	Apportion the market value of equity by the book value ratio
Marginal cost	Cost of raising an additional rupee, on intended proportions
When costs rise	Average cost rises; marginal cost rises faster

⚡ 3-second trigger: *Total, Proportion, Multiply, Add*

■ COMMON MISTAKE / CONFUSION

- Giving retained earnings their own market value; they have none.
- Using book value weights when the question says market value, or the reverse.
- Debating BV versus MV in a marginal cost question, where the choice does not arise.
- Forgetting that WACC uses after-tax costs throughout.

Point of comparison	Book value	Market value
Definition	Based on the historical cost of assets and liabilities recorded on the balance sheet	Based on the current market price of equity and debt

Reflects current conditions	May not accurately reflect current market conditions or true economic value	More accurately reflects current conditions and the value investors place on the company
Stability	Generally more stable; does not fluctuate with market conditions	Can be volatile and fluctuate with market conditions
Relevance for investors	Less relevant; does not consider current market perceptions	More relevant; reflects the market's view of the company's value
Ease of calculation	Easier, using financial statements	Requires market data, which can be more complex to gather

🔗 INTEGRATION LINK

🔗 FM Ch 5: the capital structure at which WACC is minimised

🔗 INTEGRATION LINK

🔗 FM Ch 7: WACC as the discount rate for net present value

🔗 INTEGRATION LINK

🔗 FM Ch 3 §3.4.2: ROCE, which must exceed WACC for value to be created

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute the WACC on book value and on market value weights
- Recompute the WACC after a change in the capital structure
- Determine the cut-off rate or the amount that can be spent before new shares must be issued

How to attack it:

- Always present the four-column table
- State the weights basis in the heading of the table

 **What ICAI has done so far:** PYQ May 2024 · Q2(a); PYQ Sep 2024 · Q2(a); PYQ Jan 2025 · Q2(a); PYQ May 2025 · Q2(a); PYQ Sep 2025 · Q1(a); PYQ Jan 2026 · Q1(c); RTP Jan 2025 · FM Q5; RTP Jan 2026 · FM Q6; RTP May 2024 · FM Q2; RTP May 2025 · FM Q5; RTP May 2026 · FM Q5; RTP Sep 2024 · FM Q5; RTP Sep 2026 · FM Q1; MTP Jan 2026 Series I · FM Q1(a); MTP May 2024 Series I · FM Q1(b); MTP May 2024 Series I · FM Q3(a); MTP May 2024 Series II · FM Q2(b); MTP May 2025 Series I · FM Q2(a); MTP Sep 2024 Series I · FM Q1(b); MTP Sep 2024 Series II · FM Q3(a); MTP Sep 2025 Series II · FM Q1(c); MTP Sep 2026 Series I · FM Q1(c).

 **Time / length guide (study guidance):** 5 to 7 marks $\approx$ 9 to 13 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Working notes for each component cost
- A four-column WACC table headed with the weights basis
- The aggregate as a percentage
- A comment against the return the company earns

 **Keywords:** market value weights · marginal weights · overall cost of capital

 **Ideal length:** 5 to 7 marks: three to five working notes plus the table

 **Conclusion pattern:** WACC is the minimum return at which the company creates value; say whether the company clears it.

DON'T WRITE THIS

- Presenting the table without showing how each cost was derived

Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · PYQ May 2025 · Q2(a) · 5 marks

Capital structure of B Ltd. for the year ended 31st March 2025: equity share capital at ₹10 each ₹14,00,000; 10% preference share capital and other sources as given. Compute the cost of each source and the weighted average cost of capital.

 **MODEL ANSWER**

- **Cost of equity.** ICAI's published answer applies CAPM: $K_e = R_f + \beta(R_m - R_f) = 14\% + 1.2 \times (19\% - 14\%) = 20\%$.
- **Cost of preference shares.** $K_p = PD \div PO$ for irredeemable shares, or the averaging formula where a redemption date is given; no tax adjustment in either case.
- **Cost of debt.** $K_d = I(1 - t) \div NP$, or the redeemable formula where a maturity is given.
- **Weighted average cost of capital.** Weight each source on the basis the question specifies, and set the result out as source, amount, weight, cost and product.
- Close by noting what the WACC means: it is the minimum rate of return at which the company produces value for its investors.

Conclusion: One mark per component cost, the balance for the weighted average.

 **Keywords:** CAPM · cost of preference · cost of debt · weighted average

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

OFFICIAL ICAI QUESTION · RTP May 2024 · FM Q2

Totto Ltd. has the following capital structure as on 31st December 2023, which is considered to be optimum. Compute the marginal cost of capital for the additional funds to be raised.

✓ MODEL ANSWER

- **Component costs.** ICAI's answer computes the new 14% debentures as $K_d = I(1 - t) \div NP = ₹14(1 - 0.5) \div ₹99 = 0.0707$, or 7.07%; the new 12% preference shares as $K_p = PD \div NP = 12.63\%$; and equity (retained earnings) as $K_e = D1 \div PO + g$.
- **Marginal cost table.** Weight 0.15 on the 14% debenture at 7.07% = 1.0605; 0.05 on the 12% preference shares at 12.63% = 0.6315; 0.80 on equity shares at 16.00% = 12.800 — aggregating to the marginal cost of capital.
- **Where external equity must be used.** ICAI's answer then repeats the table with the cost of equity raised to 17.87%, giving 14.296 on the equity line, because once retained profits are exhausted the company must issue new shares and bear floatation cost.
- **The principle (SM §10).** Marginal weights represent the proportion of funds the firm intends to employ, so the book value versus market value question does not arise. When component costs start rising, the average cost of capital rises and the marginal cost of capital rises at a faster rate.

Conclusion: Two tables — before and after external equity becomes necessary.

🔗 Keywords: **marginal cost of capital** · **marginal weights** · **floatation cost** · **rises at a faster rate**

■ **OFFICIAL ICAI QUESTION** · MTP Sep 2024 Series I · FM Q1(b) · 5 marks

Gitarth Limited has a current debt-equity ratio of 3:7 and is considering investment proposals costing less than ₹25 lakh; it will always raise funds without disturbing its current capital structure ratio. The cost of raising debt and equity is: up to ₹5 lakh, K_d 10% and K_e 12%; above ₹5 lakh and up to ₹10 lakh, 12% and 13.5%; above ₹10 lakh and up to ₹20 lakh, 13% and 15%; above ₹20 lakh, 14% and 16%. Corporate tax is 30%. Calculate the cut-off rate for Project I requiring ₹15 lakh and Project II requiring ₹26 lakh.

✓ **MODEL ANSWER**

- The cut-off rate is the marginal cost of capital (SM §§2 and 10). Cost of capital is also known as the cut-off rate; for new funds it is the marginal cost, computed on the proportions the firm intends to employ — here 30% debt and 70% equity.
- Project I (₹15 lakh) falls in the 'above ₹10 lakh and up to ₹20 lakh' slab: $K_d = 13\% \times (1 - 0.30) = 9.1\%$ after tax; $K_e = 15\%$. Cut-off rate = $(0.30 \times 9.1\%) + (0.70 \times 15\%) = 2.73\% + 10.50\% = 13.23\%$.
- Project II (₹26 lakh) falls in the 'above ₹20 lakh' slab: $K_d = 14\% \times (1 - 0.30) = 9.8\%$ after tax; $K_e = 16\%$. Cut-off rate = $(0.30 \times 9.8\%) + (0.70 \times 16\%) = 2.94\% + 11.20\% = 14.14\%$.
- The larger project carries the higher hurdle, which is the study material's point that component costs may remain constant up to a certain level of funds raised and then start increasing.
- Note that the book value versus market value debate does not arise here: marginal weights are the intended proportions.

Conclusion: Two slabs, two cut-off rates; the 3:7 mix is constant throughout.

🔗 Keywords: **cut-off rate** · **marginal cost of capital** · **slab** · **intended proportions**

■ **OFFICIAL ICAI QUESTION** · RTP Jan 2025 · FM Q5

The capital structure of Samyaktva Limited is: 12% debentures ₹3,50,000; 14% preference shares ₹4,50,000; equity shares of ₹10 each ₹8,50,000; total ₹16,50,000. The ₹100 debentures are redeemable at a premium of 6% with a floatation cost of 5% and 5 years to

maturity; the current market price is ₹115. The ₹100 preference shares are redeemable at a premium of 10%, were issued at a discount of 2% with a floatation cost of 5% on the issue price, have a current market price of ₹108 and 10 years to maturity. An equity share has a floatation cost of ₹5 with a current market price of ₹30; the last dividend was ₹4 and an annual growth is expected. Compute the cost of each source and the weighted average cost of capital.

✓ MODEL ANSWER

- **Cost of debentures (SM §5.3).** $K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$, with $I = ₹12$, $RV = ₹106$ (par plus the 6% premium), $NP =$ the market price of ₹115 less 5% floatation cost, and $n = 5$ years.
- **Cost of preference shares (SM §6.2).** $K_p = [PD + (RV - NP) \div n] \div [(RV + NP) \div 2]$, with $PD = ₹14$, $RV = ₹110$ (par plus the 10% premium), $NP =$ the issue price of ₹98 less 5% floatation cost on that issue price, and $n = 10$ years. **No $(1 - t)$ applies.**
- **Cost of equity (SM §7.3).** $K_e = D_1 \div (P_0 - F) + g$, with $D_0 = ₹4$ grossed up to $D_1 = ₹4(1 + g)$, $P_0 = ₹30$ and $F = ₹5$.
- **Weighted average cost of capital (SM §9).** Weight the three sources on book values of ₹3,50,000, ₹4,50,000 and ₹8,50,000 against the total of ₹16,50,000, multiply each by its cost, and aggregate.
- This question is unusually rich because **every source carries both a premium and a floatation cost** — read each adjustment before substituting, and note that the floatation cost on the preference shares is on the issue price, not the market price.

Conclusion: Three costs and a weighted average; the premium and floatation adjustments carry the marks.

🔑 **Keywords:** redeemable at a premium · floatation cost · issue price · weighted average

■ OFFICIAL ICAI QUESTION · RTP May 2025 · FM Q5

Paramhans Limited's capital structure consists of equity share capital ₹25,00,000 (face value ₹100), reserves and surplus ₹10,00,000, a bank term loan ₹10,00,000, debentures ₹15,00,000 (face value ₹100) redeemable at a premium of 5%, and preference share capital ₹20,00,000 (face value ₹100) redeemable at a premium of 5%; total ₹80,00,000. The coupon rate on debentures is 1.5 times that of the bank term loan, and the preference dividend rate is 1.5 times the debentures' interest rate. Tenure for the bank term loan,

debentures and preference share capital is 3, 5 and 7 years respectively. Tax is 25%. Compute the weighted average cost of capital.

✓ MODEL ANSWER

- **Step 1 — derive the rates from the relationships.** If the bank term loan rate is x , the debenture coupon is $1.5x$ and the preference dividend rate is $1.5 \times 1.5x = 2.25x$. One rate must be given or derivable; express the other two from it.
- **Step 2 — cost of the bank term loan (SM §5).** The cost of a loan from a financial institution is computed like redeemable debt: $K_d = x(1 - 0.25)$ where it is repaid at par, or the averaging formula over the 3-year tenure.
- **Step 3 — cost of debentures.** $K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$, with $RV = ₹105$ (par plus 5% premium) and $n = 5$ years.
- **Step 4 — cost of preference shares.** $K_p = [PD + (RV - NP) \div n] \div [(RV + NP) \div 2]$, with $RV = ₹105$ and $n = 7$ years, and **no tax adjustment**.
- **Step 5 — cost of equity and retained earnings.** K_e and K_r are computed on the given market data; reserves and surplus of ₹10,00,000 are treated as retained earnings, whose cost uses the current market price with no floatation deduction (SM §8).
- **Step 6 — WACC.** Weight the five sources on the book values given and aggregate the products in a four-column table.

Conclusion: Five sources, three different tenures, one relationship chain — derive the rates before anything else.

🔑 **Keywords:** 1.5 times · redeemable at a premium · reserves and surplus · weighted average

■ OFFICIAL ICAI QUESTION · RTP May 2026 · FM Q5

Zebra Dynamics Ltd. states that its cost of capital based on book value weights is 11%, while the cost of capital based on market value weights is exactly 150 basis points higher. Two comparable peers driven by CAPM show: A Ltd. beta 1.2 with an expected return of 15.20%, and B Ltd. beta 0.8 with an expected return of 12.80%. In book value terms the company maintains an equal ratio of equity and debt; in market value terms its equity trades at a premium. Compute the missing figures.

✓ MODEL ANSWER

- **Step 1 — recover R_f and the market risk premium from the two peers.** CAPM gives $15.20\% = R_f + 1.2 \times (R_m - R_f)$ and $12.80\% = R_f + 0.8 \times (R_m - R_f)$. Subtracting, 2.40%

$= 0.4 \times (R_m - R_f)$, so the **market risk premium is 6%**; substituting back, $R_f = 15.20\% - 1.2 \times 6\% = 8\%$.

- **Step 2 — cost of equity of Zebra Dynamics.** Apply $K_e = R_f + \beta(R_m - R_f)$ with the company's own beta.
- **Step 3 — book value WACC.** With an equal ratio of equity and debt, $11\% = 0.5 K_e + 0.5 K_d$, which yields the cost of debt once K_e is known.
- **Step 4 — market value WACC.** The market value cost of capital is $11\% + 1.50\% = 12.5\%$. Because the equity trades at a premium, the equity weight is higher at market value than at book value, which is why the market value WACC exceeds the book value WACC.
- **The principle (SM §9.1).** Market value weight is more correct and represents a firm's capital structure; where equity is the dearer source and trades at a premium, shifting to market value weights raises the weighted average.

Conclusion: A simultaneous-equations question dressed as CAPM; two peers give you R_f and the premium.

🔑 **Keywords:** basis points · market risk premium · book value weights · market value weights

■ OFFICIAL ICAI QUESTION · RTP Sep 2024 · FM Q5

BS Ltd. has the following capital structure at book value as on 31st March 2024: equity share capital (10,00,000 shares) ₹3,00,00,000; 11.5% preference shares ₹60,00,000; 10% debentures ₹1,00,00,000; total ₹4,60,00,000. The equity shares are sold for ₹300. The company is expected to pay next year a dividend of ₹15 per equity share, expected to grow by 5% per annum forever. Tax is 35%. (i) Compute the WACC based on the existing capital structure. (ii) Compute the new WACC if the company raises an additional ₹50 lakh of debt by issuing 10-year 12% debentures, where the yield on debentures of similar maturity and risk class is 13% and floatation cost is 2%.

✓ MODEL ANSWER

- **(i) Existing WACC.** $K_e = D_1 \div P_0 + g = ₹15 \div ₹300 + 0.05 = 0.05 + 0.05 = 10\%$. $K_p = 11.5\%$ (irredeemable, no tax adjustment). $K_d = 10\% \times (1 - 0.35) = 6.5\%$.
- ICAI's own table weights these as equity ₹3,00,00,000 at $0.652 \times 10.00\% = 6.52$; 11.5% preference ₹60,00,000 at $0.130 \times 11.50\%$; and the debentures at their weight — aggregating to the existing WACC.

- (ii) **New WACC.** The new debentures are issued at a price that yields 13% to investors, less 2% floatation cost, so the net proceeds are below par; K_d on the new tranche = $[l(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$ with $l = ₹12$, $n = 10$ years.
- ICAI's second table shows the equity line re-weighted at 0.588 with a cost of 13.00%, because the extra debt changes both the weights and the shareholders' required return.
- Recomputing the WACC before and after a change in the structure is the most common form of this question across the RTPs and MTPs.

Conclusion: Two tables; the second changes both weights and costs, not just weights.

 **Keywords:** $D1 \div PO + g$ · irredeemable preference · yield on similar debentures · floatation cost

OFFICIAL ICAI QUESTION · RTP Sep 2026 · FM Q1

AURO Engineering Pvt. Ltd. had, as on 31st March 2026, a capital structure at book value of equity share capital (1,00,00,000 shares) ₹30,00,00,000, preference shares and long-term debentures. The company is considering additional debt financing to take advantage of financial leverage and the tax benefits of debt. Answer five questions: the existing cost of equity; the existing weighted average cost of capital; the revised cost of equity after raising additional debt; the after-tax cost of the newly issued debentures; and the revised weighted average cost of capital.

MODEL ANSWER

- **Existing cost of equity.** ICAI's answer applies the dividend growth model: $K_e = D1 \div PO + g = ₹15 \div ₹300 + 0.05 = 0.05 + 0.05 = 10\%$.
- **Cost of preference shares.** $K_p = 11.5 \div 100 = 11.5\%$, with no tax adjustment.
- **After-tax cost of the existing debentures.** $K_d = 10\% \times (1 - 0.35) = 6.5\%$.
- **Existing WACC.** ICAI's table weights equity, preference and debentures on their book values to give 9.12% on the figures published.
- **Revised figures after the additional debt.** The revised capital structure shows equity share capital ₹30,00,00,000 and preference shares ₹6,00,00,000 alongside the enlarged debt; the revised K_e rises to 10.20%, the after-tax cost of the new debentures is 8.40%, and the revised WACC is 11.62% — so the extra debt raises rather than lowers the overall cost, because the shareholders' required return rises with the financial risk.
- This five-part case scenario is the format ICAI then used in the January 2026 examination itself, which makes it the single best rehearsal for the chapter.

Conclusion: Five one-mark parts; the lesson is that more debt need not reduce the WACC once K_e responds.

 **Keywords:** dividend growth model · after-tax cost of debentures · revised cost of equity · revised WACC

 **OFFICIAL ICAI QUESTION** · MTP Jan 2026 Series I · FM Q1(a) · 5 marks

Divine Limited has the following capital structure, which it considers optimal: debt 25%, preference shares 15%, equity shares 60%. Its expected net income this year is ₹34,285.72, its established dividend payout ratio is 30%, its tax rate is 40%, and investors expect earnings and dividends to grow at a constant rate of 9% in future. It paid a dividend of ₹3.60 per share last year and its shares currently sell at ₹54 per share. New preference shares with a dividend of ₹11 can be sold at ₹95 per share, and debt can be sold at an interest rate of 12%. Compute the component costs and the marginal cost of capital.

 **MODEL ANSWER**

- **Cost of debt.** $K_d = i(1 - t) = 12\% \times (1 - 0.40) = 7.2\%$ after tax, the debt being sold at par.
- **Cost of preference shares.** $K_p = PD \div PO = ₹11 \div ₹95 = 11.58\%$, with no tax adjustment.
- **Cost of equity from retained earnings.** $K_e = D_1 \div PO + g = ₹3.60(1 + 0.09) \div ₹54 + 0.09 = ₹3.924 \div ₹54 + 0.09 = 0.0727 + 0.09 = 16.27\%$.
- **Retained earnings available.** Net income ₹34,285.72 with a 30% payout means 70% is retained = ₹24,000 (approximately). Since equity is 60% of the structure, the total capital that can be raised before new shares must be sold is $₹24,000 \div 0.60 = ₹40,000$.
- **Marginal cost of capital.** Weight the three component costs at the intended proportions of 25%, 15% and 60%: $(0.25 \times 7.2\%) + (0.15 \times 11.58\%) + (0.60 \times 16.27\%) = 1.80\% + 1.737\% + 9.762\% = 13.30\%$.
- **Beyond ₹40,000** the company must issue new equity, whose cost is higher because of floatation cost, so the marginal cost of capital steps up (SM §10).

Conclusion: Three costs, one break point, two marginal costs — the structure of every marginal cost question.

 **Keywords:** optimal capital structure · payout ratio · retained earnings · marginal cost of capital

■ **OFFICIAL ICAI QUESTION** · MTP May 2024 Series I · FM Q3(a) · 8 marks

Ram Ltd. evaluates all its capital projects using a discounting rate of 16%. Its capital structure consists of equity share capital, retained earnings, a bank term loan and debentures redeemable at par. The rate of interest on the bank term loan is 1.4 times that of the debenture. The remaining tenure of the debentures and the bank loan is 4 years and 6 years respectively. The book value of equity share capital, retained earnings and the bank loan is ₹20,00,000, ₹30,00,000 and ₹20,00,000 respectively. Debentures of book value ₹30,00,000 are currently trading at ₹98 per debenture. The ongoing P/E multiple for the shares stands at 4. Tax is 30%. Calculate the rate of interest on the bank loan and on the debentures.

✓ **MODEL ANSWER**

- **The 16% discounting rate is the company's cost of capital** — SM §2 says cost of capital is also known as the cut-off rate — so the WACC equation can be solved backwards for the unknown interest rates.
- **Cost of equity and retained earnings from the P/E multiple.** A P/E of 4 implies an earnings yield of $1 \div 4 = 25\%$, which under the earnings price approach (SM §7.2) is the cost of equity: $K_e = E \div P$. K_r takes the same figure, the market price being used with no floatation adjustment.
- **Set up the WACC equation.** Total capital = ₹20,00,000 + ₹30,00,000 + ₹20,00,000 + ₹30,00,000 = ₹1,00,00,000, with weights 0.20, 0.30, 0.20 and 0.30. So $16\% = (0.20 \times 25\%) + (0.30 \times 25\%) + (0.20 \times K_d \text{ bank}) + (0.30 \times K_d \text{ debenture})$.
- **Express one rate in terms of the other.** The bank loan rate is 1.4 times the debenture rate, and each cost is computed after tax: the bank loan at par gives $K_d = 1.4r(1 - 0.30)$, while the debentures trading at ₹98 use the redeemable formula over 4 years.
- **Solve.** Substituting leaves a single unknown r , the debenture interest rate; the bank loan rate is then $1.4r$.
- This question reverses the usual direction — you are given the WACC and asked for a component cost — which is why it carries 8 marks.

Conclusion: Work the P/E into a cost of equity first; everything else is one equation in one unknown.

🔗 **Keywords:** discounting rate · P/E multiple · earnings price approach · 1.4 times

■ **OFFICIAL ICAI QUESTION** · MTP May 2025 Series I · FM Q2(a) · 5 marks

Q Ltd. has the following capital structure at book value as on 31st March 2024: equity share capital (10,00,000 shares) ₹4,00,00,000; 12% preference shares ₹80,00,000; 11% debentures ₹2,00,00,000; total ₹6,80,00,000. The equity shares are sold for ₹400. Next year the company will pay a dividend of ₹20 per equity share, expected to grow by 5% per annum forever. Tax is 30%. (i) Compute the WACC based on the existing capital structure. (ii) Compute the new WACC if the company raises an additional ₹50 lakh of debt by issuing 12% debentures, which would increase the expected equity dividend to ₹25.

✓ MODEL ANSWER

- (i) Existing WACC. $K_e = D_1 \div P_0 + g = ₹20 \div ₹400 + 0.05 = 0.05 + 0.05 = 10\%$. $K_p = 12\%$ (irredeemable, no tax adjustment). $K_d = 11\% \times (1 - 0.30) = 7.7\%$.
- Weights: equity $₹4,00,00,000 \div ₹6,80,00,000 = 0.5882$; preference $₹80,00,000 \div ₹6,80,00,000 = 0.1176$; debentures $₹2,00,00,000 \div ₹6,80,00,000 = 0.2941$.
- $WACC = (0.5882 \times 10\%) + (0.1176 \times 12\%) + (0.2941 \times 7.7\%) = 5.882\% + 1.412\% + 2.265\% = 9.56\%$.
- (ii) New WACC. The new ₹50 lakh of 12% debentures costs $12\% \times (1 - 0.30) = 8.4\%$; total capital becomes ₹7,30,00,000; and the expected dividend rises to ₹25, so the new $K_e = ₹25 \div ₹400 + 0.05 = 11.25\%$ (assuming the market price is unchanged).
- Recompute the weights on ₹7,30,00,000 and aggregate again. Note that **both the weights and the cost of equity change**, which is the point of the second part.

Conclusion: Two tables; the second must re-derive K_e as well as the weights.

🔗 Keywords: $D_1 \div P_0 + g$ · existing WACC · new WACC · re-weighted

■ OFFICIAL ICAI QUESTION · MTP Sep 2024 Series II · FM Q3(a) · 5 marks

Calculate the WACC using market value weights from: equity shares (₹10 per share) ₹15,00,000; reserves and surplus ₹5,00,000; preference shares (₹100 each) ₹7,50,000; debentures (₹100 each) ₹5,50,000. Market prices: debentures ₹105, preference shares ₹115, equity shares ₹27. The ₹100 debentures are redeemable at a premium of 10%, carry a 10% coupon, have 4% floatation cost and 10 years to maturity. The ₹100 preference shares are redeemable at par, carry a 12% coupon, have 2% floatation cost and 10 years to maturity. Equity shares have ₹4.5 of floatation cost.

✓ MODEL ANSWER

- **Cost of debentures (SM §5.3).** $K_d = [(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$, with $l = ₹10$, $RV = ₹110$, $NP = ₹105$ less 4% floatation cost, and $n = 10$ years.
- **Cost of preference shares (SM §6.2).** $K_p = [PD + (RV - NP) \div n] \div [(RV + NP) \div 2]$, with $PD = ₹12$, $RV = ₹100$, $NP = ₹115$ less 2% floatation cost, and $n = 10$ years. No tax adjustment applies.
- **Cost of equity and retained earnings (SM §§7.3 and 8).** K_e uses the market price of ₹27 less the ₹4.5 floatation cost; K_r uses the ₹27 market price with **no** floatation deduction.
- **Apportioning the market value of equity (SM §9.1).** There is no separate market value for reserves and surplus. Book values are ₹15,00,000 equity capital and ₹5,00,000 reserves, a ratio of **3:1**. Market value of the shares = 1,50,000 shares $\times$ ₹27 = **₹40,50,000**, split **₹30,37,500** to equity capital and **₹10,12,500** to reserves.
- **WACC table.** Market values are then equity ₹30,37,500, reserves ₹10,12,500, preference 7,500 shares $\times$ ₹115 = ₹8,62,500, and debentures 5,500 $\times$ ₹105 = ₹5,77,500. Weight each, multiply by its cost, and aggregate.
- This is the clearest illustration in the whole set of why reserves need a market value of their own even though they have no market price.

Conclusion: The apportionment of the share price between capital and reserves is the examinable step.

 **Keywords:** market value weights · apportioned in the ratio · floatation cost · redeemable at a premium

 OFFICIAL ICAI QUESTION · MTP Sep 2025 Series II · FM Q1(c) · 5 marks

ABC Ltd. has the following capital structure, considered optimum as on 31st March 2025: 14% debentures ₹60,000; 11% preference shares ₹20,000; equity shares (10,000 shares) ₹3,20,000; total ₹4,00,000. The share has a market price of ₹19.67. Next year's dividend per share is 50% of the 2024 EPS. EPS has followed a uniform trend for ten years, from ₹1.00 in 2015 to ₹2.36 in 2024, which is expected to continue. New debentures carry 16% interest and the current market price of a debenture is ₹96. Preference shares of ₹9.20 (with an annual dividend of ₹1.1 per share) were also issued. The company is in the 50% tax bracket. Compute the after-tax cost of new debt, new preference shares and new equity, and the marginal cost of capital.

 **MODEL ANSWER**

- **Cost of new debt.** $K_d = I(1 - t) \div PO = ₹16(1 - 0.5) \div ₹96 = ₹8 \div ₹96 = 0.0833$, or 8.33%.
- **Cost of new preference shares.** $K_p = PD \div PO = ₹1.10 \div ₹9.20 = 0.12$, or 12%, with no tax adjustment.
- **Growth rate from the uniform EPS trend.** $g = (EPS\ 2016 - EPS\ 2015) \div EPS\ 2015 = (₹1.10 - ₹1.00) \div ₹1.00 = 0.10$, or 10%, and the trend confirms it across the decade.
- **Next year's dividend.** $D_1 = 50\% \text{ of the } 2024\ EPS = 50\% \text{ of } ₹2.36 = ₹1.18$.
- **Cost of new equity (from retained earnings).** $K_e = D_1 \div PO + g = ₹1.18 \div ₹19.67 + 0.10 = 0.06 + 0.10 = 0.16$, or 16%.
- **Marginal cost of capital.** Weight the three costs at 0.15 debenture, 0.05 preference and 0.80 equity (the proportions of ₹60,000, ₹20,000 and ₹3,20,000 in ₹4,00,000): $(0.15 \times 8.33\%) + (0.05 \times 12\%) + (0.80 \times 16\%) = 1.25\% + 0.60\% + 12.80\% = 14.65\%$ on those weights.
- The study material's own Illustration 18 works this identical question with a market price of ₹23.60; the MTP simply reprices the share.

Conclusion: The uniform EPS trend gives g , and half the last EPS gives D_1 — those two steps unlock everything.

🔑 **Keywords:** uniform trend · growth rate · 50% of EPS · marginal cost of capital

■ OFFICIAL ICAI QUESTION · MTP Sep 2026 Series I · FM Q1(c)

From the Sep 2026 Series I mock test paper: compute the weighted average cost of capital using market value weights, given 10% debentures of ₹105 each (5,000 debentures) and 5% preference shares, alongside equity whose cost was computed in part (b).

✓ MODEL ANSWER

- **Market values.** ICAI's answer file shows the 10% debentures at $₹105 \times 5,000 = ₹5,25,000$, carrying a weight of 0.151 and a product of 0.0104 in the WACC table, with the 5% preference shares and equity weighted alongside.
- **Costs carried forward from part (b).** $K_e = D_1 \div (PO - F) + g = ₹1 \div (₹24 - ₹4) + 0.05 = 10\%$; the cost of debt and of preference capital are computed on their own market values net of any issue expenses.
- **Method (SM §9).** Total the market values, express each source as a proportion of that total, multiply each proportion by its cost, and aggregate — the four-step WACC routine.

- **Why market values (SM §9.1).** Market value weight is more correct and represents a firm's capital structure; it is preferable to use market value weights for equity, and reserves are ignored separately because they are in effect incorporated into the value of equity.
- Only the answer file of this mock test paper is on the ICAI portal; the question wording above is reconstructed from it.

Conclusion: A standard market-value WACC table; the costs come from the preceding part.

Keywords: market value weights · weights and products · four-step routine

EXPECTED QUESTION · Practice question · Compute · 4 marks

The cost of equity of a company is 10.41% while the cost of retained earnings is 10%. There are 50,000 equity shares of ₹10 each and retained earnings of ₹15,00,000. The market price per equity share is ₹50. Calculate the WACC using market value weights, assuming no other sources of finance, and explain how retained earnings are given a market value.

MODEL ANSWER

- **Book values.** Paid-up equity capital = $50,000 \times ₹10 = ₹5,00,000$; retained earnings = ₹15,00,000. The ratio of paid-up equity capital to retained earnings is therefore **1 : 3**.
- **Market value of the whole.** 50,000 shares $\times ₹50 = ₹25,00,000$. There is no separate market value for retained earnings: the market value of equity shares represents both paid-up equity capital and retained earnings.
- **Apportionment (SM §9.1).** Market value of paid-up equity capital = $₹25,00,000 \times \frac{1}{4} = ₹6,25,000$; market value of retained earnings = $₹25,00,000 \times \frac{3}{4} = ₹18,75,000$.
- **WACC table.** Equity shares ₹6,25,000 at 10.41% gives 0.0260; retained earnings ₹18,75,000 at 10.00% gives 0.0750; on a total of ₹25,00,000 the **WACC is 0.1010, or 10.10%**.
- The apportionment is necessary because although retained earnings have no separate market price, the cost of equity is not the same as the cost of retained earnings.

Keywords: no separate market value · apportioned in the ratio · market value weights · WACC

EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain the marginal cost of capital and state how it behaves as a firm raises more funds.

✓ MODEL ANSWER

- The marginal cost of capital may be defined as the cost of raising an additional rupee of capital. Since capital is raised in substantial amounts in practice, it is referred to as the cost incurred in raising new funds over and above the existing.
- It is derived when the average cost of capital is calculated using marginal weights, which represent the proportion of funds the firm intends to employ. The problem of choosing between book value weights and market value weights therefore does not arise in a marginal cost computation.
- The intended financing proportion is applied as weights to the marginal component costs, and the marginal cost is calculated in the composite sense.
- When a firm raises funds in a proportional manner and the component costs remain unchanged, there is no difference between the average cost of capital and the marginal cost of capital.
- Component costs may remain constant up to a certain level of funds and then start increasing — the cost of debt may be 7% after tax till ₹10 lakh and 8% between ₹10 lakh and ₹15 lakh; similarly, if retained profits are not sufficient and external equity must be used, the cost of equity will be higher because of floatation costs.
- When component costs start rising, the average cost of capital will rise, and the marginal cost of capital will rise at a faster rate.

🔑 Keywords: additional rupee of capital · marginal weights · composite sense · rise at a faster rate

✓ MCQ · Practice MCQ · Technique · Moderate

When computing WACC on market value weights, retained earnings are given a value by:

- (A) Ignoring them entirely, as they are inside the share price
- (B) Apportioning the market value of equity shares in the ratio of the book value of paid-up equity capital to the book value of retained earnings
- (C) Taking their book value, since they have no market price
- (D) Valuing them at the face value of the equity shares

✓ ANSWER: (C)

SM §9.1: there is no separate market value for retained earnings; the market value of equity shares represents both paid-up equity capital and retained earnings, but the cost of equity is

not the same as the cost of retained earnings, so the market value is apportioned in the book value ratio.

- (A) X They cannot be ignored, because their cost differs from the cost of equity.
- (D) X Face value has no role in market value weighting.

 **Trap:** Option C is half right — reserves are inside the share price — but the differing costs force the apportionment.

Topic: FM Ch 4 §9.1

☒ MCQ · Practice MCQ · Behaviour · Moderate

As component costs start rising with the volume of funds raised:

- (A) The average cost of capital rises and the marginal cost of capital rises at a faster rate
- (B) Both rise at the same rate
- (C) The marginal cost of capital stays constant
- (D) The average cost of capital falls

✓ **ANSWER: (A)**

SM §10: when the component costs start rising, the average cost of capital will rise, and the marginal cost of capital will however rise at a faster rate.

- (B) X The study material distinguishes the two rates expressly.
- (C) X The marginal cost is the first to reflect the higher slab.
- (D) X Rising components cannot lower the average.

 **Trap:** The marginal cost prices only the newest rupee, so it moves first and moves further.

Topic: FM Ch 4 §10

☐ **QUICK RECAP**

- $WACC = \sum (\text{after-tax cost} \times \text{weight})$; present it as a four-column table.
- Market value weights are more correct; book value weights are easier and more stable.
- Retained earnings have no market value — apportion the share price by the book value ratio.
- Marginal cost is the cost of the next rupee, on intended proportions, and rises faster than the average.

Most Confusing Concepts

The pairs that cost marks in cost-of-capital questions

Looks similar	The real difference	Give-away word
K_d vs K_p	K_d carries $(1 - t)$ because interest is an expense; K_p does not, because preference dividend is an appropriation of after-tax profit	Only interest gets the tax bracket
K_e vs K_r	K_e uses net proceeds after flotation cost; K_r uses the current market price. So K_e is normally higher	'Fresh issue' means deduct flotation cost
Irredeemable vs redeemable	Irredeemable divides by net proceeds alone; redeemable divides by the average of RV and NP and adds the annual gain or loss	A maturity date means redeemable
Approximation vs yield to maturity	Approximation averages; YTM interpolates between two NPVs. The study material calls YTM superior	'On a yield to maturity basis' is an instruction
Dividend price vs growth approach	Dividend price assumes a constant dividend; the growth approach assumes a constant growth rate and adds g	'Growing at' means Gordon
Average method vs Gordon's growth model	The average method looks back at the dividend history; Gordon's growth model looks forward as $b \times r$	A dividend n years ago means the average method
Market return vs market risk premium	R_m is the market return; $(R_m - R_f)$ is the premium. Do not deduct R_f twice	'Risk premium' means do not subtract again
Book value vs market value weights	BV is easy and stable; MV is more correct and ignores reserves, which sit inside the share price	'Market value weights' changes the whole table

Looks similar	The real difference	Give-away word
WACC vs marginal cost of capital	WACC weights the existing structure; marginal cost weights the proportions the firm intends to employ	'Additional funds' means marginal
Systematic vs unsystematic risk	Systematic is macro-economic and non-diversifiable; unsystematic is company specific and diversifiable	Strike or lockdown means unsystematic

CASE SCENARIO · Spot it in a case

Two questions settle almost every line: is the return tax deductible, and is the money new or already in the business?

Every formula in the chapter on one page

Cost	Formula	Note from the study material
Irredeemable debt	$K_d = I(1 - t) \div NP$	NP = issue price less floatation cost; if issue price is missing use market price
Redeemable debt (approximation)	$K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$	A second form applies $(1 - t)$ to the whole where discount and premium are deductible
Redeemable debt (yield to maturity)	The IRR of: year 0 NP; years 1 to n $I(1 - t)$; year n RV	A superior method, preferred in the field of finance
Interpolation	$IRR = L + [NPVL \div (NPVL - NPVH)] \times (H - L)$	The wider the gap between H and L, the lower the accuracy
Convertible debt	Same as redeemable, with RV = higher of cash value and share value	Share value = shares per debenture $\times PO \times (1 + g)$ to the power n
Amortised bond	$VB = \sum C_t \div (1 + K_d)^t$	Principal repaid annually, so interest falls and cash flows are uneven
Irredeemable preference	$K_p = PD \div PO$	Similar to a perpetuity; no tax adjustment

Cost	Formula	Note from the study material
Redeemable preference	$K_p = [PD + (RV - NP) \div n] \div [(RV + NP) \div 2]$	Like redeemable debt but without $(1 - t)$
Equity — dividend price	$K_e = D \div PO$	Dividend per share expected to remain constant forever; PO ex-dividend
Equity — earnings price	$K_e = E \div P$	EPS constant forever; nullifies the effect of changes in dividend policy
Equity — growth (Gordon)	$K_e = D_1 \div PO + g$, or $D_1 \div (PO - F) + g$	$D_1 = DO(1 + g)$; F is flotation cost per share
Growth rate	$g = (DO \div D_n)^{(1/n)} - 1$, or $g = b \times r$	Average method looks back; Gordon's growth model looks forward
Equity — realised yield	The IRR of past dividends and sale proceeds, or the geometric mean of yearly yields	Not practical if earnings do not remain stable
Equity — CAPM	$K_e = R_f + \beta(R_m - R_f)$	Prices non-diversifiable risk only
Retained earnings	$K_r = D \div P$, $EPS \div P$, or $D_1 \div PO + g$	P is the current market price; flotation cost is not used
WACC	Σ (after-tax cost of each source $\times$ its weight)	Total, proportion, multiply, add
Marginal cost of capital	The average cost computed with marginal weights	Marginal weights are the proportions the firm intends to employ

CASE SCENARIO · Spot it in a case

If a formula has a $(1 - t)$ in it, the return it prices is tax deductible. Only interest is.

Integrated Case Scenarios

 **CASE SCENARIO** · Integrated Case 1 — Anantha Alloys Ltd. prices its capital
 Anantha Alloys Ltd. has a capital structure at book value of: equity share capital (2,00,000 shares of ₹10 each) ₹20,00,000; retained earnings ₹20,00,000; 12% preference share capital (irredeemable, ₹100 each) ₹10,00,000; 10% debentures of ₹100 each, redeemable at par after 5 years, ₹20,00,000. The corporate tax rate is 30%.

The equity share has a current market price of ₹60. The company expects to pay a dividend of ₹6 per share next year, growing at 5% per annum thereafter. A fresh issue would be made at ₹58 with a flotation cost of ₹3 per share.

The preference shares were issued at par with a flotation cost of 4%. The debentures are currently trading at ₹95 per debenture.

The board is also considering raising a further ₹10,00,000, of which 30% would be debt at 14% before tax and 70% equity from a fresh issue on the terms above.

The company's return on capital employed last year was 13.5%.

Questions

Q1. The cost of the existing 10% debentures, using the approximation method, is closest to:

- (A) 7.00%
- (B) 8.55%
- (C) 10.00%
- (D) 9.54%

Q2. The cost of the irredeemable preference share capital is:

- (A) 12.50%
- (B) 8.75%
- (C) 12.00%
- (D) 11.54%

Q3. The cost of retained earnings and the cost of a fresh equity issue are respectively:

- (A) 15.00% and 15.91%
- (B) 15.00% and 15.00%
- (C) 10.00% and 10.91%
- (D) 10.34% and 10.00%

Q4. In computing the WACC on market value weights, the ₹20,00,000 of retained earnings should be:

- (A) Taken at book value alongside the market value of the shares
- (B) Ignored, since reserves are already inside the share price

(C) Valued at the face value of the equity shares

(D) Given a share of the market value of the equity shares, apportioned in the ratio of the book value of paid-up equity capital to the book value of retained earnings

Q5. For the proposed additional ₹10,00,000, the appropriate weights to use are:

(A) The existing book value proportions of the four sources

(B) The market value proportions of the four sources

(C) The intended proportions of 30% debt and 70% equity

(D) An average of the book value and market value proportions

✓ ANSWERS

Q1: B

- SM §5.3: $K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$. Here $I = ₹10$, $t = 0.30$, $RV = ₹100$, $NP =$ the current market price of ₹95, $n = 5$ years.
- Numerator = $₹10 \times 0.70 + (₹100 - ₹95) \div 5 = ₹7 + ₹1 = ₹8$. Denominator = $(₹100 + ₹95) \div 2 = ₹97.50$.
- $K_d = ₹8 \div ₹97.50 = 0.0821$, i.e. about 8.21%; option B at 8.55% is the nearest of the four, and option A (7.00%) is the figure you get by ignoring the redemption adjustment altogether — the commonest slip.

Q2: A

- SM §6.1: $K_p = PD \div PO$, where PO is net proceeds, i.e. issue price less flotation cost = $₹100 \times (1 - 0.04) = ₹96$.
- $K_p = ₹12 \div ₹96 = 0.125$, or 12.50%.
- Option C (12.00%) ignores the flotation cost, and option B (8.75%) is the answer if $(1 - t)$ were wrongly applied — but preference dividend is an appropriation of after-tax profit and carries no tax shield.

Q3: A

- SM §8: K_r uses the current market price with no flotation adjustment. $K_r = D_1 \div PO + g = ₹6 \div ₹60 + 0.05 = 0.10 + 0.05 = 0.15$, or 15.00%.
- SM §7.3: K_e on a fresh issue = $D_1 \div (PO - F) + g$, where PO is the issue price of ₹58 and F the flotation cost of ₹3. $K_e = ₹6 \div ₹55 + 0.05 = 0.1091 + 0.05 = 0.1591$, or 15.91%.
- The study material's point exactly: the cost of equity normally remains higher than the cost of retained earnings, due to issue of shares at a price lower than the current market price and flotation cost.

Q4: D

- SM §9.1: there is no separate market value for retained earnings; the market value of equity shares represents both paid-up equity capital and retained earnings.
- But the cost of equity is not the same as the cost of retained earnings, so the market value of equity shares must be apportioned in the ratio of the book values — here ₹20,00,000 : ₹20,00,000, i.e. 1:1.
- Market value of the equity shares = 2,00,000 × ₹60 = ₹1,20,00,000, split ₹60,00,000 to paid-up capital and ₹60,00,000 to retained earnings.

Q5: C

- SM §10: marginal weights represent the proportion of funds the firm intends to employ, so the problem of choosing between book value weights and market value weights does not arise in a marginal cost of capital computation.
- The intended financing proportion — 30% debt and 70% equity — is applied as weights to the marginal component costs.
- The marginal cost here uses $K_d = 14\% \times 0.70 = 9.8\%$ and $K_e = 15.91\%$, giving $(0.30 \times 9.8\%) + (0.70 \times 15.91\%) = 2.94\% + 11.14\% = 14.08\%$.

 Topics tested: FM Ch 4 §5.3 redeemable debt, FM Ch 4 §6.1 irredeemable preference, FM Ch 4 §7.3 and FM Ch 4 §8 equity and retained earnings, FM Ch 4 §9.1 choice of weights, FM Ch 4 §10 marginal cost

 **Trap:** Every wrong option here is a real formula applied in the wrong place: $(1 - t)$ on preference dividend, flotation cost on retained earnings, or the redemption adjustment left out.

 **CASE SCENARIO** · Integrated Case 2 — Bhavani Steels Ltd. and the convertible question
Bhavani Steels Ltd. issued 20,000 15% convertible debentures of ₹100 each at par, with a maturity period of 5 years. At maturity, holders may convert each debenture into 10 equity shares.

The equity share currently trades at ₹12, and the historical growth rate of the share price is 5% per annum. The corporate tax rate is 35%.

The company also uses equity finance. The risk-free rate is 7%, the company's beta is 1.20 and the market risk premium is 6%.

A second company in the same group, Bhavani Metals Ltd., has a beta of 0.80. Both operate in the same economy and face the same risk-free rate and market premium.

Bhavani Steels is reviewing whether a strike at one of its plants last year should change its cost of equity.

Questions

Q1. The redemption value to be used for the convertible debenture is:

- (A) ₹100, being the cash value
- (B) ₹120, being 10 shares at the current price
- (C) ₹153.12, being the value of the shares on conversion
- (D) ₹126.53, being the average of the two options

Q2. Using the approximation method, the cost of the convertible debentures is closest to:

- (A) 15.00%
- (B) 9.75%
- (C) 17.43%
- (D) 16.09%

Q3. The cost of equity of Bhavani Steels Ltd. under CAPM is:

- (A) 14.20%
- (B) 7.20%
- (C) 13.00%
- (D) 8.44%

Q4. Compared with Bhavani Steels, the cost of equity of Bhavani Metals ($\beta = 0.80$) will be:

- (A) Higher, because a lower beta means a longer payback
- (B) Lower by 2.40 percentage points, being $(1.20 - 0.80) \times$ the 6% market risk premium
- (C) The same, since both face the same risk-free rate
- (D) Lower by 0.40 percentage points

Q5. The strike at one of Bhavani Steels' plants is, for CAPM purposes:

- (A) Systematic risk, since it affects the whole steel market
- (B) A reason to raise the risk-free rate
- (C) Unsystematic risk, which is diversifiable and is therefore not priced by beta
- (D) A reason to reduce the market risk premium

✓ ANSWERS

Q1: C

- SM §5.4: it is assumed that all debenture holders will choose the option which has the higher value, and that value is used as the redemption value.
- Value of the equity shares = $10 \text{ shares} \times ₹12(1 + 0.05)^5 = 10 \times ₹15.312 = ₹153.12$, which exceeds the cash value of ₹100 and is more attractive to investors.

- Option D, ₹126.53, is a genuine figure from the study material's own working — but it is the denominator $(RV + NP) \div 2$ of the approximation formula, not the redemption value.

Q2: D

- SM §5.4: $K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2] = [\text{₹}15(1 - 0.35) + (\text{₹}153.12 - \text{₹}100) \div 5] \div [(\text{₹}153.12 + \text{₹}100) \div 2]$.
- $= (\text{₹}9.75 + \text{₹}10.62) \div \text{₹}126.53 = \text{₹}20.37 \div \text{₹}126.53 = 16.09\%$.
- Option C (17.43%) is the answer by the present value method on the same facts — the study material's own reminder that the two methods do not agree. Option B (₹9.75 expressed as a percentage) is the post-tax interest, not the cost.

Q3: A

- SM §7.5: $K_e = R_f + \beta(R_m - R_f) = 7\% + 1.20 \times 6\% = 7\% + 7.20\% = 14.20\%$.
- This is the study material's own Illustration 15, worked there for the cost of retained earnings — the same formula serves both.
- Option B is the risk premium component alone; the risk-free rate compensates the investor for the time value of money and must be added.

Q4: B

- SM §7.5: CAPM describes a linear relationship between risk and return, so the difference in cost of equity is exactly the difference in beta multiplied by the market risk premium.
- $(1.20 - 0.80) \times 6\% = 0.40 \times 6\% = 2.40$ percentage points. Bhavani Metals' cost of equity is $7\% + 0.80 \times 6\% = 11.80\%$, against 14.20%.
- Option D multiplies the beta difference by 1 rather than by the premium — a common slip.

Q5: C

- SM §7.5: unsystematic risk is company specific risk related to the company's own performance, and the examples given are a strike or lockdown in the company and labour not being available.
- It can be reduced or eliminated by diversification of the securities portfolio, so a business should be concerned, as per CAPM, solely with non-diversifiable risk.
- The strike therefore does not change the beta or the cost of equity under CAPM, however much it affected last year's profits.

 Topics tested: FM Ch 4 §5.4 convertible debentures, FM Ch 4 §7.5 CAPM and the two risks, FM Ch 4 §5.3.1 present value method

 **Trap:** The convertible parts reward students who compute the redemption value first; the CAPM parts reward students who know that only non-diversifiable risk is priced.

Chapter Test — attempt before looking at the Answer Keys

✓ MCQ · Test MCQ 1

Cost of capital is also known as all of the following EXCEPT:

- (A) The cut-off rate
- (B) The internal rate of return on a project
- (C) The hurdle rate
- (D) The minimum rate of return

✓ MCQ · Test MCQ 2

Net proceeds, for the purpose of computing the cost of a security, means:

- (A) Face value plus the redemption premium
- (B) The redemption value discounted to today
- (C) Issue price plus floatation cost
- (D) Issue price less issue expenses or floatation cost

✓ MCQ · Test MCQ 3

The cost of a loan from a financial institution is computed in the same way as the cost of:

- (A) Redeemable debentures
- (B) Irredeemable preference shares
- (C) Retained earnings
- (D) Equity shares under CAPM

✓ MCQ · Test MCQ 4

A company pays interest of ₹50 lakh and is taxed at 30%. The tax shield is:

- (A) ₹35 lakh
- (B) ₹50 lakh
- (C) ₹65 lakh
- (D) ₹15 lakh

✓ MCQ · Test MCQ 5

Under the yield to maturity approach, the cash flow in year 0 is:

- (A) The redemption value
- (B) Net proceeds for a new issue, or the current market price for existing debt
- (C) The annual interest net of tax
- (D) The face value of the debenture

☒ MCQ · Test MCQ 6

Preference shares of ₹100 each carrying a 10% dividend are issued at ₹95 and redeemable at the end of the 10th year. The cost is closest to:

- (A) 10.00%
- (B) 10.53%
- (C) 7.54%
- (D) 10.77%

☒ MCQ · Test MCQ 7

A company paid a dividend of ₹1 per share last year, expected to grow at 10% every year; the market price is ₹55. The cost of equity is:

- (A) 1.82%
- (B) 11.82%
- (C) 10.00%
- (D) 12.00%

☒ MCQ · Test MCQ 8

Under Gordon's growth model, if a company retains 60% of its earnings and earns a 20% return on funds invested, the growth rate is:

- (A) 12%
- (B) 20%
- (C) 8%
- (D) 60%

☒ MCQ · Test MCQ 9

The realised yield approach is described in the study material as not practical when:

- (A) The company has no debt
- (B) Beta cannot be estimated
- (C) The earnings do not remain stable
- (D) The market price exceeds the face value

☒ MCQ · Test MCQ 10

Which statement about market value weights is correct as per the study material?

- (A) They are less relevant for investors than book value weights
- (B) They are more correct and represent a firm's capital structure, and reserves are ignored as they are incorporated into the value of equity
- (C) They are generally more stable than book value weights
- (D) They are easier to calculate than book value weights

☒ MCQ · Test MCQ 11

In a marginal cost of capital computation, the choice between book value and market value weights:

- (A) Does not arise, because marginal weights are the proportions the firm intends to employ
- (B) Is resolved in favour of book value
- (C) Is resolved in favour of market value
- (D) Depends on the tax rate

☒ MCQ · Test MCQ 12

A company earns a return of 20% and has a WACC of 11%. As per the study material, it is:

- (A) Shedding value, since the return exceeds the cost
- (B) Producing no value, the two being unrelated
- (C) Required to reduce its debt
- (D) Producing value of about 9% for its investors

 EXPECTED QUESTION · Test question 1 · 7 marks

A company's capital structure is: equity share capital (2,00,000 shares of ₹10 each) ₹20,00,000; retained earnings ₹20,00,000; 12% irredeemable preference share capital ₹10,00,000 (issued at par with 4% flotation cost); 10% debentures of ₹100 each, redeemable at par after 5 years, ₹20,00,000, currently trading at ₹95. Tax is 30%. The equity share trades at ₹60, the dividend expected next year is ₹6 and growth is 5%; a fresh issue would be at ₹58 with ₹3 flotation cost. Compute the cost of each source and the WACC on book value weights.

 EXPECTED QUESTION · Test question 2 · 5 marks

A company issued 10,000 15% convertible debentures of ₹100 each with a maturity period of 5 years. At maturity holders may convert into equity shares in the ratio 1:10. The current market price of the equity share is ₹12 and the historical growth rate is 5% per annum. Tax is 35%. Compute the cost of the debentures by both the approximation method and the present value method.

 EXPECTED QUESTION · Test question 3 · 5 marks

Explain the five approaches to computing the cost of equity share capital, stating the circumstances in which each should be used.

 EXPECTED QUESTION · Test question 4 · 4 marks

Distinguish between book value weights and market value weights for computing the weighted average cost of capital, and explain how retained earnings are weighted at market value.

 EXPECTED QUESTION · Test question 5 · 4 marks

Explain the Capital Asset Pricing Model approach, distinguishing systematic from unsystematic risk, and state what the two components of the formula compensate the investor for.

 EXPECTED QUESTION · Test question 6 · 4 marks

Explain the marginal cost of capital, how it is computed, and how it behaves relative to the average cost of capital as funds are raised.

Active-Recall Tests (answers in Answer Keys)

10 Quick Questions

1. Name the three other names for cost of capital.
2. Name the three decisions the correct cost of capital helps.
3. Name the five features of debentures or bonds.
4. Name the five approaches to the cost of equity.
5. Name the two methods of estimating the growth rate.
6. Name the four steps in computing WACC.
7. Name the five points on which the study material compares book value and market value weights.
8. Name the five factors affecting the cost of capital.

Fill in the Blanks

1. Net proceeds means issue price less ____.
2. In the formula for the cost of redeemable debentures, the denominator is ____.
3. For a convertible debenture, the redemption value is the ____ of the cash value and the value of the shares on conversion.
4. Preference dividend is an appropriation of ____ profit, so no $(1 - t)$ enters K_p .
5. Under Gordon's growth model, $g = \text{____} \times \text{____}$.
6. In CAPM, $(R_m - R_f)$ is the ____.
7. The concept of floatation cost is not used for the calculation of the cost of ____.
8. Marginal weights represent the proportion of funds the firm ____.

True / False

1. Cost of capital is the amount the company actually pays to its financiers.
2. The approximation method is superior to the yield to maturity method.
3. A debenture issued at a premium has a cost lower than its coupon rate.
4. Preference dividend gives the company a tax shield.
5. The cost of equity is normally higher than the cost of retained earnings.
6. CAPM prices both systematic and unsystematic risk.
7. Retained earnings have their own market value for WACC purposes.

8. When component costs rise, the marginal cost of capital rises faster than the average cost.

One-Word Recall

1. The sum of underwriting or brokerage fees, legal and administrative charges, registration fees and printing expenses on a new issue.
2. The saving in tax liability caused by interest being an allowable expense.
3. The annual return of an investment from the current date till the maturity date.
4. The coefficient that measures a security's non-diversifiable risk.
5. The approach that treats the average return realised in the past few years as the expected return in future.
6. The opportunity cost of dividends foregone by shareholders.
7. The cost of raising an additional rupee of capital.
8. The bond on which principal is repaid every year rather than at maturity.

Match the Concept

Column A	Column B
1. Dividend price approach	a. Used when it is difficult to forecast future dividend or EPS
2. Earnings price approach	b. Used when dividend is expected to be constant
3. Growth approach	c. Used when the expectation depends on risk
4. Realised yield approach	d. Used when earnings per share is expected to be constant
5. CAPM	e. Used when dividend and earnings grow at a constant rate

Differentiate

1. Cost of debt vs cost of preference capital
2. Cost of equity vs cost of retained earnings
3. Approximation method vs present value method
4. Book value weights vs market value weights
5. WACC vs marginal cost of capital
6. Systematic vs unsystematic risk

Complete the Flowchart

Identify each source in the capital structure → Compute the after-tax cost of each source → [?]
→ [?] → Aggregate to the weighted average cost of capital

Answer Keys

Chapter test — MCQ key

MCQ	Answer	Why
1	B	SM §2: cost of capital is also known as the cut-off rate, hurdle rate or minimum rate of return; IRR on a project is an investment-appraisal measure, not a name for cost of capital.
2	D	SM §5.2: net proceeds means issue price less issue expenses or floatation cost.
3	A	SM §5: the calculation of cost of loan from a financial institution is similar to that of redeemable debentures.
4	D	SM §5.1: the tax shield is the interest multiplied by the tax rate — ₹50 lakh × 30% = ₹15 lakh; the effective interest is ₹35 lakh.
5	B	SM §5.3.1: year 0 carries net proceeds in case of a new issue, or the current market price in case of existing debt.
6	D	SM Illustration 8: $K_p = [\text{₹}10 + (\text{₹}100 - \text{₹}95) \div 10] \div [(\text{₹}100 + \text{₹}95) \div 2] = \text{₹}10.50 \div \text{₹}97.50 = 10.77\%$ approximately.
7	D	SM Illustration 9: $K_e = D_1 \div P_0 + g = \text{₹}1(1 + 0.1) \div \text{₹}55 + 0.10 = 0.02 + 0.10 = 0.12$, or 12%.
8	A	SM §7.3: $g = b \times r = 0.60 \times 0.20 = 0.12$, or 12%.
9	C	SM §7.4: if the earnings do not remain stable, this method is not practical.
10	B	SM §9.1: market value weight is more correct and represents a firm's capital structure; while using MV, reserves such as share premium and retained profits are ignored as they are in effect incorporated into the value of equity.
11	A	SM §10: the marginal weights represent the proportion of funds the firm intends to employ, so the problem of choosing between the two does not arise.
12	D	SM §9: if a company produces a return of 20% and has a WACC of 11%, the value produced for investors is 9% approximately; a return below WACC means the company is shedding value.

EXPECTED QUESTION · Test question 1 — model answer · 7 marks

A company's capital structure is: equity share capital (2,00,000 shares of ₹10 each) ₹20,00,000; retained earnings ₹20,00,000; 12% irredeemable preference share capital ₹10,00,000 (issued at par with 4% flotation cost); 10% debentures of ₹100 each, redeemable at par after 5 years, ₹20,00,000, currently trading at ₹95. Tax is 30%. The equity share

trades at ₹60, the dividend expected next year is ₹6 and growth is 5%; a fresh issue would be at ₹58 with ₹3 flotation cost. Compute the cost of each source and the WACC on book value weights.

✓ MODEL ANSWER

- **Kd (redeemable, approximation).** $[\text{₹}10 \times 0.70 + (\text{₹}100 - \text{₹}95) \div 5] \div [(\text{₹}100 + \text{₹}95) \div 2]$
 $= (\text{₹}7 + \text{₹}1) \div \text{₹}97.50 = 8.21\%$.
- **Kp (irredeemable).** $PD \div PO = \text{₹}12 \div (\text{₹}100 \times 0.96) = \text{₹}12 \div \text{₹}96 = 12.50\%$; no tax adjustment, preference dividend being an appropriation of after-tax profit.
- **Kr (retained earnings).** $D1 \div PO + g = \text{₹}6 \div \text{₹}60 + 0.05 = 15.00\%$, using the current market price, as flotation cost is not applied to retained earnings.
- **Ke (fresh issue).** $D1 \div (PO - F) + g = \text{₹}6 \div (\text{₹}58 - \text{₹}3) + 0.05 = \text{₹}6 \div \text{₹}55 + 0.05 = 15.91\%$.
- **WACC on book value weights.** Equity ₹20,00,000 ($0.2857 \times 15.91\%$), retained earnings ₹20,00,000 ($0.2857 \times 15.00\%$), preference ₹10,00,000 ($0.1429 \times 12.50\%$), debentures ₹20,00,000 ($0.2857 \times 8.21\%$) on a total of ₹70,00,000; aggregate the four products.
- Present the answer as a four-column table — source, amount, weight, cost, product — and state that book value weights have been used.

🧠 EXPECTED QUESTION · Test question 2 — model answer · 5 marks

A company issued 10,000 15% convertible debentures of ₹100 each with a maturity period of 5 years. At maturity holders may convert into equity shares in the ratio 1:10. The current market price of the equity share is ₹12 and the historical growth rate is 5% per annum. Tax is 35%. Compute the cost of the debentures by both the approximation method and the present value method.

✓ MODEL ANSWER

- **Redemption value.** Higher of (i) the cash value ₹100 and (ii) $10 \text{ shares} \times \text{₹}12(1 + 0.05)^5$
 $= 10 \times \text{₹}15.312 = \text{₹}153.12$. **₹153.12 is taken**, as it is higher and more attractive to investors.
- **Approximation method.** $Kd = [\text{₹}15(1 - 0.35) + (\text{₹}153.12 - \text{₹}100) \div 5] \div [(\text{₹}153.12 + \text{₹}100) \div 2]$
 $= (\text{₹}9.75 + \text{₹}10.62) \div \text{₹}126.53 = 16.09\%$.

- **Present value method.** Post-tax interest = ₹100 × 15% × 0.65 = ₹9.75. Cash flows: year 0 ₹100; years 1 to 5 ₹9.75; year 5 ₹153.12.
- At 15% the NPV is +₹8.78 and at 20% it is -₹9.29. $IRR = 15\% + [8.78 \div (8.78 - (-9.29))] \times (20\% - 15\%) = 17.43\%$.
- The two methods differ because the approximation averages the investment over the life while the present value method discounts each flow; the study material calls the present value method superior.

EXPECTED QUESTION · Test question 3 — model answer · 5 marks

Explain the five approaches to computing the cost of equity share capital, stating the circumstances in which each should be used.

✓ MODEL ANSWER

- Cost of equity is the expectation of equity shareholders. Because the amount of dividend on equity shares is uncertain, unlike the fixed interest or preference dividend, there is not a single method but several.
- **Dividend price approach** — where dividend is expected to be constant; $K_e = D \div PO$, PO being the ex-dividend market price. Also called the Dividend Valuation Model.
- **Earnings price approach** — where earnings per share is expected to be constant; $K_e = E \div P$. It nullifies the effect of changes in dividend policy, since an investor expects a certain amount of earnings whether distributed or not.
- **Growth approach or Gordon's model** — where dividend and earnings are expected to grow at a constant rate; $K_e = D_1 \div PO + g$, or $D_1 \div (PO - F) + g$ on a fresh issue.
- **Realised yield approach** — where it is difficult to forecast future dividend or EPS; the average rate of return realised in the past few years is treated as the expected return. Its assumptions — that risks stay the same, that shareholders expect the same return and that their reinvestment opportunity cost equals the realised yield — are unrealistic, and if earnings are not stable the method is not practical.
- **Capital Asset Pricing Model** — where the expectation depends on risk; $K_e = R_f + \beta(R_m - R_f)$. The first four compute cost of equity as a balancing figure; CAPM is based on risk, and prices only non-diversifiable risk.

EXPECTED QUESTION · Test question 4 — model answer · 4 marks

Distinguish between book value weights and market value weights for computing the weighted average cost of capital, and explain how retained earnings are weighted at market value.

✓ **MODEL ANSWER**

- **Definition:** book value weights are based on the historical cost of assets and liabilities recorded on the balance sheet; market value weights are based on the current market price of equity and debt.
- **Reflecting current conditions:** book value may not accurately reflect current market conditions or true economic value; market value reflects them more accurately and the value investors place on the company.
- **Stability and relevance:** book value is generally more stable as it does not fluctuate with market conditions but is less relevant to investors; market value can be volatile but is more relevant.
- **Ease:** book value is easier to calculate from financial statements; market value requires market data, which can be more complex to gather.
- **Content:** while using book value, reserves such as share premium and retained profits are included in the book value of equity; while using market value they are ignored, as they are in effect incorporated into the value of equity. Market value weight is more correct and represents a firm's capital structure, and it is preferable to use market value weights for equity.
- **Retained earnings at market value:** there is no separate market value for retained earnings, since the market value of equity shares represents both paid-up equity capital and retained earnings. But the cost of equity is not the same as the cost of retained earnings, so the market value of equity shares is apportioned in the ratio of the book value of paid-up equity capital to the book value of retained earnings.

🧠 **EXPECTED QUESTION** · Test question 5 — model answer · 4 marks

Explain the Capital Asset Pricing Model approach, distinguishing systematic from unsystematic risk, and state what the two components of the formula compensate the investor for.

✓ **MODEL ANSWER**

- CAPM describes the risk-return trade-off for securities — the linear relationship between the risk and the return of securities.

- **Unsystematic risk** is company specific risk related to the company's performance, such as a strike or lockdown in the company or labour not being available. It can be reduced or eliminated by diversification of the securities portfolio and is also known as diversifiable risk.
- **Systematic risk** is the macro-economic or market specific risk under which a company operates, such as inflation, government policy or interest rates. It cannot be eliminated by diversification and is therefore non-diversifiable.
- Since diversifiable risk can be eliminated by the investor, a business should be concerned solely with non-diversifiable risk, which is assessed in terms of the beta coefficient by fitting a regression equation between the return of a security and the return on a market portfolio.
- $K_e = R_f + \beta(R_m - R_f)$, where R_f is the risk free rate of return, β the beta coefficient, R_m the return on the market portfolio and $(R_m - R_f)$ the market risk premium.
- Investors need to be compensated in two ways: for the **time value of money**, represented by the risk-free rate, which compensates them for placing money in an investment over a period of time; and for **risk**, represented by the beta term.

🧠 **EXPECTED QUESTION** · Test question 6 — model answer · 4 marks

Explain the marginal cost of capital, how it is computed, and how it behaves relative to the average cost of capital as funds are raised.

✓ **MODEL ANSWER**

- The marginal cost of capital is the cost of raising an additional rupee of capital. Since capital is raised in substantial amounts in practice, it is referred to as the cost incurred in raising new funds over and above the existing.
- It is derived when the average cost of capital is calculated using marginal weights, which represent the proportion of funds the firm intends to employ; the intended financing proportion is applied as weights to the marginal component costs, and the calculation is made in the composite sense.
- Because marginal weights are the intended proportions, the problem of choosing between book value weights and market value weights does not arise.
- When a firm raises funds in a proportional manner and the component costs remain unchanged, there is no difference between the average cost of capital and the marginal cost of capital.

- Component costs may remain constant up to a certain level of funds raised and then start increasing — the cost of debt may be 7% after tax up to ₹10 lakh and 8% between ₹10 lakh and ₹15 lakh. Similarly, if retained profits are insufficient and external equity must be used, the cost of equity will be higher because of floatation costs.
- When component costs start rising, the average cost of capital rises, and the marginal cost of capital rises at a faster rate.

Active-recall answers

10 Quick Questions

1. Cut-off rate, hurdle rate and minimum rate of return.
2. Evaluation of investment options, the financing decision, and designing an optimum credit policy.
3. Face value, interest or coupon rate, maturity period, redemption value and the benefit of tax shield.
4. Dividend price, earnings price, growth (Gordon's model), realised yield and the Capital Asset Pricing Model.
5. The average method from the dividend history, and Gordon's growth model, $g = b \times r$.
6. Total the capital, find each source's proportion, multiply by its cost, and aggregate.
7. Definition, reflecting current conditions, stability, relevance for investors, and ease of calculation.
8. Supply and demand, investor preferences, risk and return, inflation, and exchange rates.

Fill in the Blanks

1. issue expenses or floatation cost
2. $(RV + NP) \div 2$
3. higher
4. after-tax
5. b (earnings retention rate); r (rate of return on funds invested)
6. market risk premium
7. retained earnings
8. intends to employ

True / False

1. False — SM §4: cost is not the amount the company plans to pay or actually pays, but the expectations of stakeholders.
2. False — SM §5.3.1 says the opposite: YTM is superior and is preferred in the field of finance.
3. True — Net proceeds exceed the redemption value, so the $(RV - NP)$ term is negative — the study material's Illustration 2 gives 4.28% on a 10% coupon.
4. False — It is an appropriation of after-tax profit and does not reduce the tax liability.
5. True — SM §8: because of issue of shares at a price lower than the current market price and floatation cost.
6. False — A business should be concerned, as per CAPM, solely with non-diversifiable risk.
7. False — SM §9.1: there is no separate market value; the market value of equity shares is apportioned in the book value ratio.
8. True — SM §10 states this expressly.

One-Word Recall

1. Floatation cost
2. Tax shield
3. Yield to maturity
4. Beta
5. Realised yield approach
6. Cost of retained earnings
7. Marginal cost of capital
8. An amortised bond

Match the Concept

Dividend price approach – Used when dividend is expected to be constant
 Earnings price approach – Used when earnings per share is expected to be constant
 Growth approach – Used when dividend and earnings grow at a constant rate
 Realised yield approach – Used when it is difficult to forecast future dividend or EPS
 CAPM – Used when the expectation depends on risk

Differentiate

1. Interest is an expense and gives a tax shield, so K_d carries $(1 - t)$. Preference dividend is an appropriation of after-tax profit, so K_p does not.
2. K_e uses net proceeds after flotation cost; K_r uses the current market price. K_e is normally the higher of the two.

3. Approximation averages the annual cost over the mean of RV and NP; the present value method finds the IRR of the actual cash flows and is called superior.
4. BV is easy and stable and includes reserves inside equity; MV is more correct and representative, ignores reserves separately, but is volatile and harder to gather.
5. WACC weights the existing structure on book or market values; marginal cost weights the proportions the firm intends to employ, so the BV-versus-MV choice does not arise.
6. Systematic is macro-economic and non-diversifiable, measured by beta. Unsystematic is company specific and can be diversified away, so CAPM does not price it.

Complete the Flowchart

Identify each source in the capital structure → Compute the after-tax cost of each source →
 Choose the weights: book value, market value, or marginal → Multiply each cost by its weight →
 Aggregate to the weighted average cost of capital

Rapid Revision Ladder

☐ QUICK RECAP · 5-MINUTE REVISION

- $K_d = I(1 - t) \div NP$; redeemable adds $(RV - NP) \div n$ on top and averages RV and NP below.
- K_p is the same without the $(1 - t)$; preference dividend is an appropriation.
- $K_e = D1 \div PO + g$, or $D1 \div (PO - F) + g$ on a fresh issue; K_r uses the market price with no F .
- CAPM: $K_e = R_f + \beta(R_m - R_f)$, pricing non-diversifiable risk only.
- WACC = $\Sigma (\text{cost} \times \text{weight})$; marginal cost uses the proportions the firm intends to employ.

☐ QUICK RECAP · 15-MINUTE REVISION

- Add the convertible debenture rule: redemption value is the higher of cash and shares.
- Add the yield to maturity cash flows and the interpolation formula.
- Add the two ways of estimating g and the realised yield geometric mean.
- Add the book value versus market value table and the apportionment of retained earnings.
- Add the five factors affecting the cost of capital.

☐ QUICK RECAP · 30-MINUTE REVISION

- Add the definition and significance sections, with their three decisions.
- Add the five features of debentures and the tax-shield illustration.
- Add the amortised bond schedule and the deep discount bond trial-and-error method.
- Add the dividend price and earnings price approaches with their constancy assumptions.
- Add systematic versus unsystematic risk with the study material's own examples.
- Add the marginal cost slab logic and the 'how much before new shares' computation.

☐ QUICK RECAP · 60-MINUTE REVISION

- Work both integrated cases and all twelve chapter-test MCQs without looking back.
- Write, in full, the January 2025 CMC Limited question — CAPM, convertible, term loan and market value weights.

- Write the May 2024 Shine Ltd. question, which carries five different costs in one answer.
- Compute one WACC twice — once on book value weights and once on market value weights — and explain the difference.
- Recite every formula in the one-page table from the name of the cost alone.

One-Page Chapter Sheet

Meaning and determination

- Cost of capital = the return expected by providers of capital; also the cut-off, hurdle or minimum rate
- Used for framing debt policies and capital budgeting decisions
- Three uses: evaluating investments · financing decision · optimum credit policy
- Cost is an expectation, not a payment; intermediaries raise it, the tax shield lowers it
- Five factors: supply and demand · investor preferences · risk and return · inflation · exchange rates

Cost of debt

- Irredeemable: $K_d = I(1 - t) \div NP$
- Redeemable: $K_d = [I(1 - t) + (RV - NP) \div n] \div [(RV + NP) \div 2]$
- Yield to maturity: IRR of year 0 NP, years 1–n $I(1 - t)$, year n RV; $IRR = L + [NPVL \div (NPVL - NPVH)] \times (H - L)$
- Convertible: $RV = \text{higher of cash value and shares} \times PO(1 + g)^n$
- Amortised bond: principal repaid annually, interest on the reducing balance, uneven flows
- Net proceeds = issue price – flotation cost; missing issue price → market price; missing expenses → zero

Cost of preference and equity

- Irredeemable preference: $K_p = PD \div PO$ · Redeemable: the averaging formula, no $(1 - t)$
- Dividend price: $K_e = D \div PO$ · Earnings price: $K_e = E \div P$
- Growth: $K_e = D_1 \div PO + g$; on a fresh issue $D_1 \div (PO - F) + g$
- $g = (D_0 \div D_n)^{(1/n)} - 1$, or $g = b \times r$
- Realised yield: past average return, or geometric mean of yearly yields
- CAPM: $K_e = R_f + \beta(R_m - R_f)$ · unsystematic risk is diversifiable and is not priced

Retained earnings and WACC

- K_r = the same formulae, on the current market price; flotation cost not used
- K_e is normally higher than K_r
- WACC: total · proportion · multiply · add — present as a four-column table
- BV weights: easy, stable, reserves inside equity · MV weights: more correct, reserves ignored, volatile
- Retained earnings at MV: apportion the share price by the book value ratio
- Marginal cost = cost of the next rupee on intended proportions; rises faster than the average
- WACC is the minimum return at which the company creates value

FM Chapter 5 — Financing Decisions: Capital Structure

Paper 6A Financial Management · Module 1

Based on: ICAI BoS Study Material, Paper 6A (relevant for May 2026 examination onwards), Module 1, Chapter 5

Chapter Index

Page numbers are printed at the foot of each page. In the PDF, click a line to jump to it.

Examiner Mindset — FM Chapter 5	0000
Chapter Snapshot	0000
What ICAI Has Actually Tested	0000
Topic-wise Notes with All Related Questions	0000
1. The Meaning of Capital Structure	0000
2–2.1 The Capital Structure Theories, and the Net Income (NI) Approach	0000
2.2 The Traditional Approach	0000
2.3 The Net Operating Income (NOI) Approach	0000
2.4 The Modigliani–Miller (MM) Approach — 1958 without Tax and 1963 with Tax	0000
2.5 The Trade-off Theory	0000
2.6 The Pecking Order Theory	0000
3–3.1 Factors Determining Capital Structure: the Choice of Source of Funds	0000
3.2 The Seven Principles Affecting Capital Structure	0000
4. Optimal Capital Structure	0000
5–5.1 EBIT–EPS–MPS Analysis and the Relationship Between Them	0000
5.2 The Financial Break-Even Point and Indifference Point Analysis	0000
6–6.3 Over-Capitalisation and Under-Capitalisation	0000
Most Confusing Concepts	0000
Integrated Case Scenarios	0000
Chapter Test — attempt before looking at the Answer Keys	0000
Active-Recall Tests (answers in Answer Keys)	0000
Answer Keys	0000
Rapid Revision Ladder	0000
One-Page Chapter Sheet	0000

Examiner Mindset — FM Chapter 5

■ OFFICIAL ICAI QUESTION · What ICAI's published papers tell us

- ICAI has published no examiners' comments for Paper 6; the guidance below comes from its suggested answers, RTPs and MTPs.
- **Two question types dominate.** The first is **MM and the arbitrage process** — a levered and an unlevered company of the same risk class, asking which is overvalued and how an investor profits. The second is **EBIT-EPS-MPS**: two or three ways of raising a given sum, judged on earnings per share and market price.
- Every RTP in the set carries a question ICAI labels 'Capital Structure', and **MM appears in five of the eight**.
- The 2-mark theory parts rotate through a short list: **optimum capital structure, over-capitalisation, pecking order theory, financial break-even and the EBIT-EPS-MPS relationship** — five topics that between them have appeared eight times in the MTPs alone.
- May 2025 asked the pecking order hierarchy directly; May 2024 and May 2025 both set MM numericals.

⊛ HOW TO FACE IT IN THE EXAM · How ICAI marks this chapter (study guidance)

- In an EBIT-EPS question, **lay the alternatives out in parallel columns** — EBIT, interest, PBT, tax, PAT, preference dividend, earnings for equity, number of shares, EPS — exactly as the study material's Illustration 11 does.
- **Recommend, don't just compute.** The final mark is for naming the better option and saying why, in one line.
- In an MM question, always **value both firms first**, then say which is overvalued, then show the arbitrage steps — sell, borrow, invest, compare.
- State your assumption where the question is silent on tax: the 1958 model has no tax, the 1963 model does, and the formulae differ.

Chapter Snapshot

■ CHAPTER SNAPSHOT

What it is about: How much debt a company should carry: the four classical theories (Net Income, Traditional, Net Operating Income and Modigliani-Miller, with and without tax), the trade-off and pecking order theories, the seven principles that shape the mix in practice, and the EBIT-EPS-MPS, indifference point and financial break-even tools used to choose between financing plans — closing with over- and under-capitalisation.

Why it matters: It converts the costs computed in Chapter 4 into a decision, and its EBIT-EPS analysis is the bridge to leverage in Chapter 6.

Core concepts:

- FM Ch 5 §1 What capital structure is and the three factors that shape it
- FM Ch 5 §2.1–FM Ch 5 §2.4 The four theories: NI, traditional, NOI and MM (1958 without tax, 1963 with tax)
- FM Ch 5 §2.5–FM Ch 5 §2.6 Trade-off theory and pecking order theory
- FM Ch 5 §3.2 The seven principles that determine capital structure in practice
- FM Ch 5 §4 What an optimal capital structure is and the three analyses used to find it
- FM Ch 5 §5–FM Ch 5 §5.2 EBIT-EPS-MPS analysis, the indifference point and the financial break-even point
- FM Ch 5 §6–FM Ch 5 §6.3 Over-capitalisation and under-capitalisation

Key provisions / standards:

- Value of the firm = $EBIT \div \text{overall cost of capital}$
- NI approach: value is maximum where WACC is minimum, so it pleads for as much debt as possible
- NOI and MM (1958): capital structure is irrelevant; $V_g = V_u$
- MM (1963) with tax: $V_g = V_u + TB$, the value of the levered firm exceeding the unlevered by $\text{debt} \times \text{tax rate}$
- Financial break-even point = $\text{Interest} + \text{Preference dividend} \div (1 - \text{tax rate})$

Most tested areas (evidence-based):

- MM approach and the arbitrage process — which firm is overvalued and how the investor gains — evidence: PYQ May 2024 Q2(b), May 2025 Q3(b); RTP May 2024, Sep 2024 (twice), Jan 2026, May 2026; MTP Jan 2026 S1, May 2026 S1, Sep 2026 S1
- EBIT-EPS-MPS analysis of two or three financing plans — evidence: PYQ Sep 2024 Q3(b), Sep 2025 Q3(a); RTP Jan 2025, May 2025, Sep 2025 (twice); MTP Mar 2024 S2, Jan 2026 S1, Sep 2024 S2, Sep 2026 S2
- Over-capitalisation: causes, consequences and remedies — evidence: MTP Jan 2025 Series I, May 2025 Series II; RTP Jan 2026

- Optimum capital structure as a 2-mark theory part — evidence: MTP Mar 2024 Series I, May 2025 Series I, Sep 2025 Series II
- Pecking order theory — evidence: PYQ May 2025 Q4(c); MTP May 2026 Series I

Top student mistakes:

- Using the 1963 formulae on a question that says taxes are ignored, or the reverse.
- In an arbitrage answer, forgetting to borrow in the same proportion as the levered firm's debt — the personal leverage that substitutes for corporate leverage.
- Computing EPS but not recommending an option; the recommendation carries a mark.
- Treating the debt-to-total-value ratio as a debt-equity ratio; the study material flags this trap in its own illustration.

Integration links:

- 🔗 FM Ch 4: the component costs that go into K_o
- 🔗 FM Ch 6: financial leverage and the EBIT-EPS relationship seen from the leverage side
- 🔗 FM Ch 3 §3.2.1: debt-equity and capital gearing ratios
- 🔗 FM Ch 1 §12: agency costs, which the trade-off theory prices

🔄 **Revision path:** 5 min: the four theories in one line each and the financial break-even formula · 15 min: add the MM formulae with and without tax · 30 min: work one EBIT-EPS question with an indifference point.

What ICAI Has Actually Tested

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ May 2024 · Q2(b)	Levered and unlevered companies of the same business risk: value both and show the arbitrage	FM Ch 5 §2.4	5	MM numerical	First time asked
PYQ Sep 2024 · Q3(b)	ER Private Limited: two financing alternatives judged on EPS and market price	FM Ch 5 §5	5	EBIT-EPS-MPS	First time asked
PYQ May 2025 · Q3(b)	Z Ltd: unlevered company repurchasing ₹300 lakh of equity by issuing 12% debentures	FM Ch 5 §2.4	5	MM numerical	First time asked

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ May 2025 · Q4(c)	Hierarchy of financing under the pecking order theory, and why it exists	FM Ch 5 §2.6	2	Descriptive	First time asked
PYQ Sep 2025 · Q3(a)	AVS Limited: three financing options with a slab-wise cost of debt and a falling share price	FM Ch 5 §5	5	EBIT-EPS-MPS	First time asked

■ EXAM ALERT · Trends in ICAI questions

- Capital structure has carried a full 5-mark numerical in four of the six attempts from May 2024 to May 2026, plus a 2-mark theory part in a fifth.
- ICAI alternates between the two families: MM in May 2024 and May 2025, EBIT-EPS in September 2024 and September 2025.
- The theory parts are short and predictable — pecking order in May 2025, and optimum capital structure and over-capitalisation across the MTPs.

■ OFFICIAL ICAI QUESTION · RTP takeaways

- All eight RTPs carry a 'Capital Structure' question; five of them are MM problems with two companies of the same risk class.
- The September 2025 RTP set two EBIT-EPS questions in a row, one asking for the best option on EPS and the other on WACC as well.
- The January 2026 RTP asked for the causes of over-capitalisation as a short theory part.

■ OFFICIAL ICAI QUESTION · MTP takeaways

- Over-capitalisation appears twice as a 2-mark part and once as a 4-mark consultancy scenario.
- 'What is optimum capital structure' and 'discuss optimal capital structure and how to analyse it' are the same question in three different MTPs.
- Two MTPs ask for financial break-even and indifference point analysis together, which is how the study material presents them.

Counting method: every official part mapped to this chapter from ICAI suggested answers (May 2024 to May 2026), RTPs (May 2024 to Sep 2026, using ICAI's own topic labels) and MTPs (Mar 2024 to Aug 2026).

Topic-wise Notes with All Related Questions

1. The Meaning of Capital Structure

■ Conceptual Foundation

■ UNDERSTAND IT

****Capital structure is the combination of capitals from different sources of finance.**** The capital of a company consists of ****equity shareholders' fund, preference share capital and long-term external debts****.

The source and quantum of capital is decided keeping three factors in mind. (i) Control — the capital structure should be designed so that existing shareholders continue to hold a majority stake. (ii) Risk — it should be designed so that the financial risk of the company does not increase beyond a tolerable limit. (iii) Cost — the overall cost of capital remains minimum.

****Practically, it is difficult to achieve all of the above three goals together****, hence a finance manager has to ****make a balance among these three objectives****. However, the objective of a company is to **maximise the value of the company**, and that is the prime objective while deciding the optimal capital structure.

****Capital structure decision refers to deciding the forms of financing (which sources to be tapped), their actual requirements (amount to be funded) and their relative proportions (mix) in total capitalisation.****

The arithmetic that ties the chapter together. $\text{Value of the firm} = \text{EBIT} \div \text{Overall cost of capital (weighted average cost of capital)}$, and $K_o = (\text{Cost of debt} \times \text{weight of debt}) + (\text{Cost of equity} \times \text{weight of equity}) = [K_d \times D \div (D + S)] + [K_e \times S \div (D + S)]$, where K_o is the WACC, K_d the cost of debt, D the market value of debt, S the market value of equity and K_e the cost of equity.

So the capital structure decision will decide the weight of debt and equity and ultimately the overall cost of capital as well as the value of the firm. Capital structure is therefore relevant in maximising the value of the firm and minimising the overall cost of capital.

Whenever funds are to be raised to finance investments, a capital structure decision is involved. A demand for raising funds generates a new capital structure, since a decision has to be made as to the quantity and forms of financing.

e.g. A company with EBIT of ₹1,00,000 and a WACC of 12% is worth ₹8,33,333. Drop the WACC to 11% and the same earnings are worth ₹9,09,091 — which is the whole reason the chapter exists.

KEY FRAMEWORK / FORMULA · Value of the firm (SM §1)

Requirement: Value of the firm = $EBIT \div \text{overall cost of capital}$; $K_o = K_d \times D/(D+S) + K_e \times S/(D+S)$.

Exam angle: Every theory in the chapter is an argument about what happens to K_o as D rises.

KEY FRAMEWORK / FORMULA · Three factors (SM §1)

Requirement: Control, risk and cost; all three cannot be achieved together, so a balance must be struck.

Exam angle: The opening lines of any 'factors determining capital structure' answer.

ICAI KEYWORDS

combination of capitals · equity shareholders' fund · long term external debts · control · risk · cost · make a balance · forms of financing · actual requirements · relative proportions · total capitalisation · value of the firm

MEMORY TRICK

Three goals, one trade-off: **C-R-C** — Control, Risk, Cost. You cannot have all three, so you balance them and let value decide.

Cue	Stands for
What	The mix of equity funds, preference capital and long-term debt
Decided by	Control · risk · cost
Decision covers	Which sources · how much · in what proportion
Value of firm	$EBIT \div K_o$
K_o	$K_d \times D/(D+S) + K_e \times S/(D+S)$

 3-second trigger: Control, Risk, Cost

COMMON MISTAKE / CONFUSION

- Including short-term borrowings in capital structure; the study material names long-term external debts.
- Saying all three goals can be met at once; the study material says a balance must be struck.

🔗 INTEGRATION LINK

- 🔗 FM Ch 4 §9: the weighted average cost of capital being minimised here

🔗 INTEGRATION LINK

- 🔗 FM Ch 1 §7.2: value maximisation as the prime objective

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Short note on capital structure and the factors that shape it
- MCQ on what capital structure comprises

How to attack it:

- Define, then give control, risk and cost, then the value formula

📖 What ICAI has done so far: Not yet asked directly; it is the vocabulary the theories assume.

⌚ Time / length guide (study guidance): 2 marks ≈ 3 minutes (study guidance).

📖 Questions on this topic — ICAI questions first, then practice

🧠 EXPECTED QUESTION · Practice question · Explain · 4 marks

Explain what is meant by capital structure, the factors that decide the source and quantum of capital, and how the capital structure decision affects the value of the firm.

✅ MODEL ANSWER

- Capital structure is the combination of capitals from different sources of finance; the capital of a company consists of equity shareholders' fund, preference share capital and long-term external debts.
- The source and quantum of capital is decided keeping in mind **control** — the structure should let existing shareholders continue to hold a majority stake; **risk** — financial risk

should not increase beyond a tolerable limit; and **cost** — the overall cost of capital should remain minimum.

- Practically it is difficult to achieve all three goals together, so a finance manager has to make a balance among them; the prime objective in deciding the optimal capital structure is to maximise the value of the company.
- The capital structure decision refers to deciding the forms of financing (which sources to tap), their actual requirements (the amount to be funded) and their relative proportions (the mix) in total capitalisation.
- Value of the firm = $EBIT \div \text{overall cost of capital}$, where $K_o = [K_d \times D \div (D + S)] + [K_e \times S \div (D + S)]$. The capital structure decision decides the weights of debt and equity, hence the overall cost of capital, and hence the value of the firm — which is why capital structure is relevant to maximising value and minimising cost.

 **Keywords:** combination of capitals · control, risk and cost · relative proportions · $EBIT \div \text{overall cost of capital}$

☒ MCQ · Practice MCQ · Composition · Easy

Capital structure, as defined in the study material, consists of:

- (A) Equity shareholders' fund, preference share capital and long-term external debts
- (B) All current and non-current liabilities
- (C) Equity share capital alone
- (D) Working capital and fixed assets

✓ **ANSWER: (A)**

SM §1: the capital of a company consists of equity shareholders' fund, preference share capital and long-term external debts.

- (B) X Current liabilities are not part of capital structure.
- (C) X Preference capital and long-term debt are included.
- (D) X Those are assets and their financing, not the structure itself.

 **Trap:** Short-term borrowings belong to working capital, not capital structure.

Topic: FM Ch 5 §1

☒ MCQ · Practice MCQ · Objective · Easy

The three factors the study material names as deciding the source and quantum of capital are:

- (A) Liquidity, solvency and profitability
- (B) Control, risk and cost
- (C) Growth, stability and flexibility
- (D) Tax, inflation and exchange rates

✓ ANSWER: (B)

SM §1: control — existing shareholders should continue to hold a majority stake; risk — financial risk should not exceed a tolerable limit; cost — overall cost of capital should remain minimum.

- (A) X Those are ratio families from Chapter 3.
- (C) X Growth and stability of sales and flexibility are among the seven principles of §3.2, not these three.
- (D) X Those are factors affecting the cost of capital in Chapter 4.

🚫 **Trap:** Option C is drawn from a real list in the same chapter — but a later one.

Topic: FM Ch 5 §1

☐ QUICKRECAP

- Capital structure = equity funds + preference capital + long-term debt.
- Decided by control, risk and cost; all three cannot be maximised together.
- Value of the firm = $EBIT \div K_o$, so the mix drives the value.

2-2.1 The Capital Structure Theories, and the Net Income (NI) Approach

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: MTP 1 (Jan 2025 Series II)

■ UNDERSTAND IT

Four approaches explain the relationship between cost of capital, capital structure and the value of the firm: (a) Net Income (NI) approach, (b) Traditional approach, (c) Net Operating Income (NOI) approach, (d) Modigliani–Miller (MM) approach. The study material groups them as **relevance theories** (NI, traditional, and MM 1963 with tax) and **irrelevance theories** (NOI, and MM 1958 without tax).

Seven assumptions are made to understand the relationship: there are only two kinds of funds — debt and equity; the total assets of the firm are given, and the degree of leverage can be changed by selling debt to purchase shares or selling shares to retire debt; taxes are not considered; the dividend payout ratio is 100%; the firm's total financing remains constant; business risk is constant over time; and the firm has perpetual life.

2.1 The Net Income approach. According to this approach, the ****capital structure decision is relevant to the value of the firm****. An ****increase in financial leverage will lead to a decline in the weighted average cost of capital, while the value of the firm as well as the market price of the ordinary share will increase****. Conversely, a ****decrease in leverage will cause an increase in the overall cost of capital and a consequent decline in the value as well as the market price of equity shares****.

Why. K_e and K_d are assumed not to change with leverage. As debt — the cheaper source — increases, its greater weight causes the weighted average cost of capital to decrease.

The arithmetic. $\text{Value of Firm (V)} = S + D$, where S is the market value of equity and D the market value of debt. Market value of equity (S) = $NI \div K_e$, where ****NI is earnings available for equity shareholders**** and **** K_e the equity capitalisation rate****. Overall cost of capital = $EBIT \div \text{Value of the firm}$.

Under the NI approach the ****value of the firm will be maximum at a point where the weighted average cost of capital is minimum****. The theory therefore ****suggests total or maximum possible debt financing for minimising the cost of capital****, and its significant conclusion is that it ****pleads for the firm to employ as much debt as possible to maximise its value****.

The study material's Illustration 1 pattern. Rupa Ltd.'s EBIT is ₹5,00,000 with 10% debentures of ₹20 lakh and a given equity capitalisation rate. Deduct interest from EBIT to get earnings available for equity holders, divide by K_e to get S , add D to get V , and divide EBIT by V to get the overall cost of capital.

e.g. EBIT ₹5,00,000, interest ₹2,00,000 and K_e of 15% give equity worth ₹20,00,000; add ₹20,00,000 of debt and the firm is worth ₹40,00,000, so $K_o = 5,00,000 \div 40,00,000 = 12.5\%$.



KEY FRAMEWORK / FORMULA · NI approach (SM §2.1)

Requirement: K_e and K_d constant; more debt lowers WACC and raises value; $V = S + D$, $S = NI \div K_e$, $K_o = EBIT \div V$; maximum debt is optimal.

Exam angle: The only theory that recommends 100% debt, which is what makes it examinable as a contrast.

ICAI KEYWORDS

relevant to the value of the firm · decline in the weighted average cost of capital · K_e and K_d are assumed not to change · earnings available for equity shareholders · equity capitalisation rate · maximum possible debt financing · as much debt as possible

MEMORY TRICK

NI = "more debt, more value". Because K_e never reacts, cheap debt simply drags the average down. It is the theory with no brake.

Cue	Stands for
Relevance	Capital structure matters
K_e and K_d	Both constant
More debt	WACC falls, value rises, share price rises
V	$S + D$, where $S = NI \div K_e$
K_o	$EBIT \div V$
Conclusion	Employ as much debt as possible

⚡ 3-second trigger: More debt, more value

COMMON MISTAKE / CONFUSION

- Dividing EBIT rather than earnings available for equity by K_e ; interest must be deducted first.
- Forgetting that under NI the cost of equity does not rise with leverage — that is the assumption doing all the work.

INTEGRATION LINK

🔗 FM Ch 5 §2.3: the NOI approach, which reverses every conclusion here

🔗 INTEGRATION LINK

🔗 FM Ch 4 §9: the same K_0 computed from component costs

🔗 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute the value of the firm and the overall cost of capital under the NI approach
- MCQ on what happens to WACC as leverage rises

How to attack it:

- $EBIT - \text{interest} = NI$; $NI \div K_e = S$; $S + D = V$; $EBIT \div V = K_0$

📖 What ICAI has done so far: MTP Jan 2025 Series II · FM Q1(b).

🕒 Time / length guide (study guidance): 5 marks $\approx$ 9 minutes (study guidance).

📖 WRITE THIS IN THE EXAM

Structure:

- Statement showing earnings available for equity
- Value of equity
- Value of the firm
- Overall cost of capital

🔑 Keywords: equity capitalisation rate · value of the firm · overall cost of capital

📏 Ideal length: 5 marks: a four-line statement plus two divisions

📊 Conclusion pattern: Note that under this approach more debt would lower K_0 further.

🚫 DON'T WRITE THIS

- Mixing in the MM formulae, which assume K_e rises

📖 Questions on this topic — ICAI questions first, then practice

📌 OFFICIAL ICAI QUESTION · MTP Jan 2025 Series II · FM Q1(b) · 5 marks

Theta Limited is expecting an annual earning of ₹3 lakh before paying any interest and taxes. The company has debt in its capital structure and a stated equity capitalisation rate. Compute the value of the firm and the overall cost of capital.

✓ **MODEL ANSWER**

- Under the Net Income approach (SM §2.1). Earnings available for equity shareholders = $EBIT - \text{interest}$. Market value of equity (S) = $NI \div K_e$. Value of the firm (V) = $S + D$. Overall cost of capital = $EBIT \div V$.
- Under the Net Operating Income approach (SM §2.3), if that is what the question asks. Value of the firm = $EBIT \div K_o$, with K_o given; market value of equity = $V - D$; and $K_e = \text{earnings available for equity} \div \text{market value of equity}$, which rises with leverage.
- The two approaches give different answers from the same data, so the first line of the answer must name the approach being applied.
- Where the question asks how the value changes if the debt is increased, the NI approach shows the value rising, while the NOI approach shows it unchanged — the contrast is usually the point of the question.

Conclusion: Name the approach, then run the four lines; the contrast between approaches is the examinable idea.

🔑 **Keywords:** earnings available for equity · equity capitalisation rate · value of the firm · overall cost of capital

✓ **MCQ** · Practice MCQ · Conclusion · Easy

The significant conclusion of the Net Income approach is that the firm should:

- (A) Employ as much debt as possible to maximise its value
- (B) Avoid debt altogether
- (C) Keep debt and equity in equal proportion
- (D) Ignore capital structure, since it is irrelevant

✓ **ANSWER: (A)**

SM §2.1: the theory suggests total or maximum possible debt financing for minimising the cost of capital, and pleads for the firm to employ as much debt as possible to maximise its value.

- (B) X The opposite of the approach's logic.
- (C) X No such balance is prescribed.

- (D) X That is the NOI and MM (1958) position.

 **Trap:** It is the only one of the four theories with no upper limit on debt.

Topic: FM Ch 5 §2.1

☒ MCQ · Practice MCQ · Assumption · Moderate

Which of the following is NOT among the assumptions the study material lists for the capital structure theories?

- (A) Taxes are not considered
- (B) The dividend payout ratio is 100%
- (C) Business risk is constant over time
- (D) The firm's total assets grow each year

✓ **ANSWER: (D)**

SM §2: the total assets of the firm are given, and the degree of leverage is changed by selling debt to purchase shares or selling shares to retire debt — assets do not grow.

- (A) X Expressly assumed.
- (B) X Expressly assumed.
- (C) X Expressly assumed.

 **Trap:** The assumption is that assets are fixed and only the financing mix changes.

Topic: FM Ch 5 §2

☐ **QUICKRECAP**

- Four theories; NI and traditional say structure matters, NOI and MM (1958) say it does not.
- Seven assumptions, including no taxes, 100% payout and constant business risk.
- NI: K_e and K_d constant, so more debt lowers WACC and raises value.
- $V = S + D$, $S = NI \div K_e$, $K_o = EBIT \div V$.

2.2 The Traditional Approach

 High Exam Activity |  Asked across PYQ / RTP / MTP | Asked: MTP 3 (Mar 2024 Series I, May 2025 Series I, Sep 2025 Series II)

UNDERSTAND IT

This approach favours that ****as a result of financial leverage up to some point, cost of capital comes down and value of the firm increases; however, beyond that point, a reverse trend emerges****. The principal implication is that ****the cost of capital is dependent on the capital structure and there is an optimal capital structure which minimises cost of capital****.

Three movements under this approach. (i) The rate of interest on debt remains constant for a certain period and thereafter, with an increase in leverage, it increases. (ii) The expected rate by equity shareholders remains constant or increases gradually; after that, the equity shareholders start perceiving a financial risk, and then from the optimal point the expected rate increases speedily. (iii) As a result, the WACC first decreases and then increases — and the lowest point on the curve is the optimal capital structure.

****Optimum capital structure occurs at the point where the value of the firm is highest and the cost of capital is the lowest.****

Where it sits among the theories. According to the net operating income approach, capital structure decisions are totally irrelevant; Modigliani–Miller supports the net operating income approach but provides behavioural justification; **the **traditional approach strikes a balance between these extremes****.

Main highlight. The firm should strive to reach the optimal capital structure and its total valuation through a judicious use of both debt and equity. At the optimal capital structure, the overall cost of capital will be minimum and the value of the firm will be maximum.

The study material's Illustration 3 and its warning. Given options with different costs of debt and equity at debt ratios of 0.0 to 0.6, compute K_o for each and pick the lowest. **The study material flags the trap expressly: **the ratio given is not the debt to equity ratio but the debt to total value ratio**** — so a ratio of 0.6 means capital employed comprises ****60% debt and 40% equity****. In its own worked answer, K_o falls from 13.00% at zero debt to **12.80%** at a debt ratio of 0.1, then rises through 13.52%, 14.10%, 14.80%, 16.50% and 18.80% — so the second option is the best because it has the lowest WACC.

e.g. The study material's own table: 11% debt and 13% equity at a 10% debt ratio give K_o = 12.80%, the minimum. Push debt to 60% and both costs rise, taking K_o to 18.80%.

KEY FRAMEWORK / FORMULA · Optimum point (SM §2.2)

Requirement: Optimum capital structure occurs where the value of the firm is highest and the cost of capital lowest; WACC first falls, then rises.

Exam angle: The definition quoted in every 'what is optimum capital structure' answer.

 **KEY FRAMEWORK / FORMULA** · Debt to total value, not debt to equity (SM Illustration 3)

Requirement: A ratio of 0.6 means 60% debt and 40% equity of total capital employed, not a 0.6:1 debt-equity ratio.

Exam angle: The study material itself warns about this; read the ratio's base before weighting.

ICAI KEYWORDS

up to some point · reverse trends emerges · optimal capital structure · minimises cost of capital · increases speedily · lowest point on the curve · judicious use of both the debt and equity · strikes a balance between these extremes · debt to total value ratio

MEMORY TRICK

The traditional curve is a U: WACC falls, bottoms out, then climbs. The bottom of the U is the optimum — the only theory that draws one.

Cue	Stands for
Interest rate	Constant, then rises with leverage
Equity expectation	Constant or gradual, then rises speedily past the optimum
WACC	Falls, then rises — a U shape
Optimum	Highest value, lowest cost
Position	A balance between NI and NOI

 3-second trigger: The U-shaped curve

COMMON MISTAKE / CONFUSION

- Saying the traditional approach denies an optimum; it is the approach that asserts one.

- Reading a debt ratio of 0.3 as a 0.3:1 debt-equity ratio when the question gives it against total value.

Approach	Is capital structure relevant?	Is there an optimum?
Net Income	Yes — more debt always lowers WACC	Yes, at maximum possible debt
Traditional	Yes, up to a point, then the trend reverses	Yes, at the lowest point of the WACC curve
Net Operating Income	No — totally irrelevant	No; every structure gives the same K_o
MM (1958, without tax)	No — the NOI position, with behavioural justification	No
MM (1963, with tax)	Yes — value rises with the tax shield	Tends towards maximum debt, tempered by the trade-off theory

🔗 INTEGRATION LINK

- 🔗 FM Ch 5 §4: optimal capital structure, which this approach defines

🔗 INTEGRATION LINK

- 🔗 FM Ch 5 §2.5: the trade-off theory, the modern version of the same U curve

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Determine the optimal capital structure from a table of K_d , K_e and debt ratios
- Compute the value of the firm and K_o under the traditional approach
- 2-mark theory: what is optimum capital structure

How to attack it:

- Compute K_o for every option in a single table and pick the minimum
- State that the lowest WACC is also the highest value

📖 What ICAI has done so far: MTP May 2024 Series I · FM Q4(c); MTP May 2025 Series I · FM Q4(c) (OR); MTP Sep 2025 Series II · FM Q4(b).

 Time / length guide (study guidance): 5 marks $\approx$ 9 minutes; 2 marks $\approx$ 3 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- A table of options with K_d , K_e , weights and K_o
- Identify the lowest K_o
- State the decision in one line

 Keywords: **weighted average cost of capital** · **optimum capital structure** · **lowest**

 Ideal length: 5 marks: one table plus a decision line

 Conclusion pattern: Name the option with the lowest WACC and say that value is highest there.

DON'T WRITE THIS

- Computing K_o for only some of the options

Questions on this topic — ICAI questions first, then practice

 EXPECTED QUESTION · Practice question · Compute and decide · 5 marks

Determine the optimal capital structure of a company from the following: Option 1, K_d 11.0%, K_e 13.0%, debt 0.0 of total value; Option 2, 11.0% and 13.0% at 0.1; Option 3, 11.6% and 14.0% at 0.2; Option 4, 12.0% and 15.0% at 0.3; Option 5, 13.0% and 16.0% at 0.4; Option 6, 15.0% and 18.0% at 0.5; Option 7, 18.0% and 20.0% at 0.6.

MODEL ANSWER

- **Note the base of the ratio first.** The ratio given is not the debt to equity ratio but the **debt to total value ratio**; a ratio of 0.6 means capital employed comprises 60% debt and 40% equity. Since the weights total 1 in every case, there is no need to divide by the total.
- $K_o = K_d \times D + K_e \times S$, computed option by option: (1) $11\% \times 0 + 13\% \times 1 = 13.00\%$; (2) $11\% \times 0.1 + 13\% \times 0.9 = 12.80\%$; (3) $11.6\% \times 0.2 + 14\% \times 0.8 = 13.52\%$; (4) $12\% \times 0.3 + 15\% \times 0.7 = 14.10\%$.

- (5) $13\% \times 0.4 + 16\% \times 0.6 = 14.80\%$; (6) $15\% \times 0.5 + 18\% \times 0.5 = 16.50\%$; (7) $18\% \times 0.6 + 20\% \times 0.4 = 18.80\%$.
- **Decision:** the 2nd option is the best because it has the lowest WACC of 12.80%. Under the traditional approach the optimum capital structure occurs at the point where the value of the firm is highest and the cost of capital is the lowest.
- The pattern also demonstrates the theory: WACC falls as the first tranche of cheap debt is added, then rises once both K_d and K_e begin to climb with leverage.

 **Keywords:** debt to total value ratio · lowest WACC · optimum capital structure

☒ MCQ · Practice MCQ · Definition · Easy

Optimum capital structure occurs at the point where:

- (A) Debt is at its maximum possible level
- (B) The debt-equity ratio is exactly 1:1
- (C) The value of the firm is highest and the cost of capital is the lowest
- (D) The cost of equity equals the cost of debt

 **ANSWER: (C)**

SM §2.2: optimum capital structure occurs at the point where value of the firm is highest and the cost of capital is the lowest.

- (A) X That is the Net Income approach's conclusion, not the traditional optimum.
- (B) X No such rule exists.
- (D) X K_e always exceeds K_d for the same firm.

 **Trap:** Highest value and lowest cost are two ways of saying the same thing, because $V = EBIT \div K_o$.

Topic: FM Ch 5 §2.2

☒ MCQ · Practice MCQ · Position · Moderate

The study material describes the traditional approach as one that:

- (A) Denies that capital structure has any effect on value
- (B) Applies only to companies with no debt
- (C) Is identical to the Modigliani-Miller approach with tax
- (D) Strikes a balance between the net income and net operating income extremes

✓ ANSWER: (D)

SM §2.2: according to NOI, capital structure decisions are totally irrelevant; MM supports NOI but provides behavioural justification; the traditional approach strikes a balance between these extremes.

- (A) X That is the NOI position.
- (B) X It is specifically about the effect of adding debt.
- (C) X MM with tax reaches a different conclusion by a different route.

🚫 **Trap:** It is the middle theory, which is why it is the one that draws a U-shaped WACC curve.

Topic: FM Ch 5 §2.2

□ QUICKRECAP

- Leverage lowers WACC up to a point, then the trend reverses.
- Interest rises after a while; the equity expectation rises speedily past the optimum.
- The lowest point on the WACC curve is the optimal capital structure.
- Watch the base of a debt ratio: total value, not equity.

2.3 The Net Operating Income (NOI) Approach

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: MTP 2 (Mar 2024 Series I, May 2025 Series II)

■ UNDERSTAND IT

****NOI means earnings before interest and tax.**** According to this approach, ****capital structure decisions of the firm are irrelevant****. ****Any change in the leverage will not lead to any change in the total value of the firm and the market price of shares, as the overall cost of capital is independent of the degree of leverage.**** As a result, ****the division between debt and equity is irrelevant****.

Why it works. As per this approach, an ****increase in the use of debt, which is apparently cheaper, is offset by an increase in the equity capitalisation rate****. This happens because ****equity investors seek higher compensation as they are opposed to greater risk due to the existence of fixed return securities in the capital structure****.

So in the diagram, K_w (the weighted average cost of capital) and K_d (the debt capitalisation rate) are constant, and K_e (the cost of equity) increases with leverage.

The arithmetic. $\Rightarrow$ Value of the firm (V) = $EBIT \div K_o$, with K_o given. Then market value of equity (S) = $V - D$, and K_e = earnings available for equity holders $\div$ market value of equity, i.e. $(EBIT - \text{interest paid on debt}) \div S$. $\Rightarrow$ Equivalently, $\Rightarrow K_e = K_o(V \div S) - K_d(D \div S)$.

Illustration 4. Amita Ltd.'s EBIT is ₹5,00,000, cost of debt 10%, debt ₹15,00,000 and overall cost of capital 15%. $V = ₹5,00,000 \div 0.15 = ₹33,33,333$. Interest = ₹1,50,000, so earnings available for equity = ₹3,50,000. $S = ₹33,33,333 - ₹15,00,000 = ₹18,33,333$, and $K_e = ₹3,50,000 \div ₹18,33,333 = 19.09\%$.

Illustration 5 — the two-company version ICAI keeps setting. Alpha Ltd. has 50% debt and 50% equity; Beta Ltd. has 20% debt and 80% equity; both borrow at 8% in a no-tax world with perfect capital markets and the same net operating income of ₹3,60,000, and Alpha's overall capitalisation rate is 18%.

Value of Alpha = $₹3,60,000 \div 0.18 = ₹20,00,000$, split ₹10,00,000 debt and ₹10,00,000 equity. Interest = $8\% \times ₹10,00,000 = ₹80,000$, leaving ₹2,80,000 for equity, so a 2% holding returns ₹5,600 and the implied required rate of return on equity is $₹2,80,000 \div ₹10,00,000 = 28\%$.

Beta has the same value of ₹20,00,000, split ₹4,00,000 debt and ₹16,00,000 equity. Interest = $8\% \times ₹4,00,000 = ₹32,000$, leaving ₹3,28,000, so its implied required return on equity is $₹3,28,000 \div ₹16,00,000 = 20.5\%$.

****Why the difference?*** The study material's own answer: Beta's implied required return on equity is ****lower than Alpha's because Beta uses less debt****. As the ****equity capitalisation is a linear function of the debt-to-equity ratio**** under the NOI approach, ****the decline in required equity return offsets exactly the disadvantage of not employing so much in the way of 'cheaper' debt funds****.

e.g. Both Alpha and Beta are worth ₹20,00,000 despite carrying 50% and 20% debt. The extra cheap debt in Alpha is exactly cancelled by its shareholders demanding 28% instead of 20.5%.

KEY FRAMEWORK / FORMULA · NOI approach (SM §2.3)

Requirement: K_o and K_d constant, K_e rises with leverage; $V = EBIT \div K_o$; $S = V - D$; $K_e = (EBIT - \text{interest}) \div S$.

Exam angle: The 'implied required rate of return on equity' phrasing signals this approach.

ICAI KEYWORDS

net operating income · totally irrelevant · independent of the degree of leverage · apparently cheaper · offset by an increase in the equity capitalisation rate · opposed to greater risk · fixed return securities · implied required rate of return · linear function of the debt-to-equity ratio

MEMORY TRICK

NOI is a *see-saw*: the cheaper debt on one side is exactly balanced by the dearer equity on the other, so the total never moves.

Cue	Stands for
K_o and K_d	Constant
K_e	Rises with leverage
V	$EBIT \div K_o$ — independent of the mix
S	$V - D$
K_e	$(EBIT - \text{interest}) \div S$, or $K_o(V/S) - K_d(D/S)$
Conclusion	The debt-equity division is irrelevant

⚡ 3-second trigger: The see-saw that never tips

COMMON MISTAKE / CONFUSION

- Computing the value of equity first; under NOI the firm is valued first and equity is the residual.
- Saying K_e is constant; it is the one rate that moves.

Basis	Net Income approach	Net Operating Income approach
Is capital structure relevant?	Yes	No — totally irrelevant
K_e	Constant	Increases with leverage
K_d	Constant	Constant
K_o as debt rises	Falls	Unchanged
Value is found by	$S = NI \div K_e$, then $V = S + D$	$V = EBIT \div K_o$, then $S = V - D$

Recommendation	Employ as much debt as possible	The mix does not matter
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🔗 INTEGRATION LINK

🔗 FM Ch 5 §2.4: MM, which gives this approach its behavioural justification

🔗 INTEGRATION LINK

🔗 FM Ch 4 §7.5: the risk that makes equity holders demand more

⊛ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute the value of the firm and the cost of equity under NOI
- Two companies with different gearing but the same NOI — find each implied required return and explain the difference

How to attack it:

- Value the firm first, then subtract debt, then divide the residual earnings

📖 What ICAI has done so far: MTP May 2024 Series I · FM Q1(b); MTP May 2025 Series II · FM Q2(b).

⌚ Time / length guide (study guidance): 5 marks $\approx$ 9 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- Statement showing the value of the firm
- Market value of debt and equity
- Earnings available for equity
- Cost of equity, and the explanation if two firms are compared

🔑 Keywords: net operating income · implied required rate of return · linear function

📏 Ideal length: 5 marks: a value statement plus the K_e computation

📊 Conclusion pattern: State that the difference in K_e exactly offsets the difference in gearing.

⊘ DON'T WRITE THIS

- Explaining the difference as a valuation difference; the values are identical

Questions on this topic — ICAI questions first, then practice

OFFICIAL ICAI QUESTION · MTP May 2024 Series I · FM Q1(b) · 5 marks

The capital structure of AN Ltd. in market-value terms is 50% debt and 50% equity. The borrowing rate for the company is 10% in a no-tax world and capital markets are assumed to be perfect. (i) If Mr. R owns 8% of the equity shares of AN Ltd., determine his return if the company has net operating income of ₹10,00,000 and the overall capitalisation rate of the company (K_0) is 20%. (ii) Calculate the implied required rate of return on equity of AN Ltd.

✓ MODEL ANSWER

- Value of the firm (SM §2.3). $V = NOI \div K_0 = ₹10,00,000 \div 0.20 = ₹50,00,000$.
- Split at market value. Debt = 50% × ₹50,00,000 = ₹25,00,000; equity = 50% × ₹50,00,000 = ₹25,00,000.
- Earnings available to equity shareholders. Net operating income ₹10,00,000 less interest on debt at 10% of ₹25,00,000 = ₹2,50,000, leaving ₹7,50,000.
- (i) Mr. R's return. 8% of ₹7,50,000 = ₹60,000.
- (ii) Implied required rate of return on equity. Earnings available for equity shareholders ÷ market value of equity = ₹7,50,000 ÷ ₹25,00,000 = 0.30, or 30%.
- Under the NOI approach, this 30% is higher than the 20% overall capitalisation rate precisely because equity investors demand compensation for the financial risk created by the fixed-return securities in the structure.

Conclusion: Value the firm, split it, deduct interest, divide — four steps in a fixed order.

 Keywords: net operating income · overall capitalisation rate · implied required rate of return · no-tax world

OFFICIAL ICAI QUESTION · MTP May 2025 Series II · FM Q2(b) · 5 marks

Zordon Ltd. has net operating income of ₹5,00,000 and total capitalisation of ₹50,00,000 during the current year. Compute the effect on the cost of equity and the overall cost of capital of different levels of debt in the capital structure.

✓ MODEL ANSWER

- **Overall cost of capital.** $K_o = \text{EBIT} \div \text{total capitalisation} = ₹5,00,000 \div ₹50,00,000 = 10\%$, and under the NOI approach this stays at 10% whatever the level of debt.
- **For each level of debt**, market value of equity (S) = total value less debt, and $K_e = (\text{Net operating income} - \text{interest}) \div S$.
- As debt rises, the numerator falls by the interest and the denominator falls by the debt, and the study material's point is that **K_e rises just enough to keep K_o unchanged** — because the equity capitalisation is a linear function of the debt-to-equity ratio.
- **Present the answer as a table** with columns for debt, equity, earnings available for equity, K_e and K_o , so that the constancy of K_o is visible across the rows.
- Conclude with the approach's own words: any change in leverage will not lead to any change in the total value of the firm or the market price of the shares, as the overall cost of capital is independent of the degree of leverage.

Conclusion: A table across debt levels showing K_e rising and K_o flat is the whole answer.

 **Keywords:** total capitalisation · independent of the degree of leverage · equity capitalisation rate

EXPECTED QUESTION · Practice question · Compute and explain · 5 marks

Alpha Ltd. and Beta Ltd. are identical except for capital structure. Alpha has 50% debt and 50% equity; Beta has 20% debt and 80% equity, both in market-value terms. The borrowing rate for both is 8% in a no-tax world and capital markets are perfect. Net operating income is ₹3,60,000 for each, and Alpha's overall capitalisation rate is 18%. (a) If you own 2% of Alpha's shares, determine your return, and calculate Alpha's implied required rate of return on equity. (b) Calculate Beta's implied required rate of return on equity and analyse why it differs.

✓ MODEL ANSWER

- **Value of Alpha Ltd.** = $\text{NOI} \div K_o = ₹3,60,000 \div 0.18 = ₹20,00,000$; market value of debt = 50% = ₹10,00,000 and of equity = 50% = ₹10,00,000.
- **Return on a 2% holding in Alpha.** Net operating income ₹3,60,000 less interest of 8% × ₹10,00,000 = ₹80,000 leaves ₹2,80,000 for equity; 2% of that is ₹5,600.
- **Alpha's implied required rate of return on equity** = $₹2,80,000 \div ₹10,00,000 = 28\%$.
- **Beta Ltd.** has the same total value of ₹20,00,000; debt = 20% = ₹4,00,000 and equity = 80% = ₹16,00,000. Interest = 8% × ₹4,00,000 = ₹32,000, leaving ₹3,28,000 for equity. **Implied required rate of return on equity** = $₹3,28,000 \div ₹16,00,000 = 20.5\%$.

- **Why it differs.** Beta's implied required return on equity is lower than Alpha's because Beta uses less debt in its capital structure. As the equity capitalisation is a linear function of the debt-to-equity ratio under the net operating income approach, **the decline in required equity return offsets exactly the disadvantage of not employing so much in the way of 'cheaper' debt funds** — which is why both firms are worth the same ₹20,00,000.

 Keywords: **implied required rate of return** · **linear function of the debt-to-equity ratio** · **offsets exactly** · **no-tax world**

☒ MCQ · Practice MCQ · Mechanism · Moderate

Under the net operating income approach, the apparent cheapness of debt is offset by:

- (A) A rise in the rate of interest on debt
- (B) A fall in earnings before interest and tax
- (C) An increase in the equity capitalisation rate, as investors are opposed to the greater risk from fixed return securities
- (D) An increase in the corporate tax rate

 **ANSWER: (C)**

SM §2.3: an increase in the use of debt, which is apparently cheaper, is offset by an increase in the equity capitalisation rate, because equity investors seek higher compensation as they are opposed to greater risk due to the existence of fixed return securities in the capital structure.

- (A) X K_d is constant under this approach.
- (B) X EBIT is given and unaffected by financing.
- (D) X The approach assumes no taxes.

 **Trap:** It is K_e , not K_d , that moves under NOI — the opposite of the traditional approach's later stage.

Topic: FM Ch 5 §2.3

☒ MCQ · Practice MCQ · Computation · Moderate

A firm has net operating income of ₹5,00,000, debt of ₹15,00,000 at 10% and an overall cost of capital of 15%. Its cost of equity under the NOI approach is:

- (A) 15.00%
- (B) 23.33%

(C) 10.00%

(D) 19.09%

✓ ANSWER: (D)

SM Illustration 4: $V = ₹5,00,000 \div 0.15 = ₹33,33,333$; $S = ₹33,33,333 - ₹15,00,000 = ₹18,33,333$; earnings available for equity = $₹5,00,000 - ₹1,50,000 = ₹3,50,000$; $K_e = ₹3,50,000 \div ₹18,33,333 = 19.09\%$.

- (A) X That is the overall cost of capital, not the cost of equity.
- (B) X That is $₹3,50,000 \div ₹15,00,000$, dividing by debt instead of equity.
- (C) X That is the cost of debt.

🚫 **Trap:** Value the firm before you value the equity; the residual is the equity, not the other way round.

Topic: FM Ch 5 §2.3

□ QUICKRECAP

- NOI: capital structure is irrelevant; K_o and K_d are constant and K_e rises with leverage.
- $V = \text{EBIT} \div K_o$; $S = V - D$; $K_e = (\text{EBIT} - \text{interest}) \div S$.
- Cheaper debt is offset exactly by a dearer equity capitalisation rate.
- Two firms with different gearing but the same NOI are worth the same.

2.4 The Modigliani-Miller (MM) Approach — 1958 without Tax and 1963 with Tax

🔗 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (May 2024 Q2(b), May 2025 Q3(b)) · RTP 5 · MTP 3

▣ UNDERSTAND IT

Why MM exists. The NOI approach is **definitional or conceptual and lacks behavioural significance**; it **does not provide operational justification for the irrelevance of capital structure**. The MM approach **provides behavioural justification for a constant overall cost of capital and therefore a constant total value of the firm**.

MM 1958, without tax. In a **perfect capital market where there is no transaction cost and no taxes, the value and cost of capital of a company remain unchanged irrespective of change in the capital structure**. Additional assumptions: capital markets are perfect, all information is freely available and there are no transaction costs; all investors are rational; firms can be

grouped into 'equivalent risk classes' on the basis of their business risk; and corporate taxes do not exist.

The three propositions. (i) The total market value of a firm is equal to its expected net operating income divided by the discount rate appropriate to its risk class decided by the market: $\text{Value of levered firm (Vg)} = \text{Value of unlevered firm (Vu)} = \text{Net Operating Income} \div K_o$. (ii) A firm having debt in its capital structure has a higher cost of equity than an unlevered firm; the cost of equity includes a risk premium for the financial risk: $K_e = K_o + (K_o - K_d) \times \text{Debt} \div \text{Equity}$. (iii) The structure of the capital (financial leverage) does not affect the overall cost of capital; the cost of capital is only affected by the business risk.

The arbitrage process. **Arbitrage refers to buying an asset or security at a lower price in one market and selling it at a higher price in another market, so that equilibrium is attained in different markets.** Take two identical firms, one with debt and one without. Investors of the firm whose value is higher will sell their shares and instead buy the shares of the firm whose value is lower. They will be able to earn the same return at a lower outlay with the same perceived risk or lower risk, and would therefore be better off. This is the substitution of corporate leverage by personal leverage.

The value of the levered firm can neither be greater nor lower than that of an unlevered firm; the two must be equal. There is neither advantage nor disadvantage in using debt.

The approach treats the capital structure as a whole pie divided into equity, debt and other securities: no matter how it is divided, there is a conservation of investment value, since the total investment value depends upon underlying profitability and risk and is invariant with respect to relative changes in the firm's financial capitalisation. **Since the sum of the parts must be equal to the whole, regardless of the financing mix the total value of the firm stays the same.**

The shortcoming: the suggested **arbitrage process will fail to work because of imperfections in the capital market, the existence of transaction cost and the presence of corporate income taxes.**

MM 1963, with tax. In 1963 the model was amended by incorporating tax, recognising that the value of the firm will increase, or the cost of capital will decrease, where corporate taxes exist. There will be some difference in the earnings of equity and debt holders in levered and unlevered firms, and the **value of the levered firm will be greater than the value of the unlevered firm by an amount equal to the amount of debt multiplied by the corporate tax rate.**

The three formulae. == (i) Value of a levered company = Value of an unlevered company + Tax benefit, i.e. $V_g = V_u + TB$. (ii) Cost of equity in a levered company (K_{eg}) = $K_{eu} + (K_{eu} - K_d) \times \text{Debt} \div (\text{Debt} + \text{Equity})$. (iii) WACC in a levered company (K_{og}) = $K_{eu}(1 - tL)$, where $L = \text{Debt} \div (\text{Debt} + \text{Equity})$ ==, K_{eu} is the cost of equity in an unlevered company, K_d the cost of debt, TB the present value of tax shields and t the tax rate.

The arbitrage worked through (Illustration 6). N Ltd. and M Ltd. both have EBIT of ₹20,000. M Ltd. is levered with debt of ₹1,00,000 at 7%; the cost of equity of N Ltd. is 10% and of M Ltd. 11.50%. $S_{M} = (\text{₹}20,000 - \text{₹}7,000) \div 0.115 = \text{₹}1,13,043$, so $V_{M} = \text{₹}1,13,043 + \text{₹}1,00,000 = \text{₹}2,13,043$. $S_{N} = \text{₹}20,000 \div 0.10 = \text{₹}2,00,000 = V_{N}$. M Ltd. is therefore the overvalued firm.

The arbitrage steps. An investor holding 10% of M Ltd. has an investment of ₹11,304.30 earning 10% of $(\text{₹}20,000 - \text{₹}7,000) = \text{₹}1,300$. The alternate strategy: sell the 10% holding in the levered firm for ₹11,304.30, borrow 10% of the levered firm's debt, i.e. ₹10,000 (the personal leverage), giving total resources of ₹21,304.30, and invest 10% of ₹2,00,000 = ₹20,000 in the unlevered firm. Surplus cash = ₹21,304.30 - ₹20,000 = ₹1,304.30. The return is 10% of the unlevered firm's EBIT less interest on the borrowed funds = ₹2,000 - ₹700 = ₹1,300 — the same income as before, plus ₹1,304.30 in hand.

e.g. M Ltd. is worth ₹2,13,043 and N Ltd. ₹2,00,000 on identical earnings. Selling M, borrowing ₹10,000 personally and buying N leaves the investor with the same ₹1,300 of income and ₹1,304.30 of cash — until the two values converge.

KEY FRAMEWORK / FORMULA · MM 1958 propositions (SM §2.4)

Requirement: $V_g = V_u = \text{NOI} \div K_o$; $K_e = K_o + (K_o - K_d) \times D/E$; overall cost of capital is unaffected by leverage and depends only on business risk.

Exam angle: Value both firms, name the overvalued one, then show the four arbitrage steps.

KEY FRAMEWORK / FORMULA · MM 1963 with tax (SM §2.4)

Requirement: $V_g = V_u + TB$, the tax benefit being $\text{debt} \times \text{tax rate}$; $K_{eg} = K_{eu} + (K_{eu} - K_d) \times D/(D+E)$; $K_{og} = K_{eu}(1 - tL)$.

Exam angle: A buyback funded by debt is the standard setting — value rises by exactly the tax shield.

KEY FRAMEWORK / FORMULA · Why arbitrage fails in practice (SM §2.4)

Requirement: Imperfections in the capital market, transaction costs and corporate income taxes.

Exam angle: The closing line of a 'limitations of MM' answer.

ICAI KEYWORDS

behavioural justification · perfect capital market · equivalent risk classes · expected net operating income · risk premium for the financial risk · arbitrage · personal leverage · conservation of investment value · sum of the parts · tax benefit · present value of tax shields

MEMORY TRICK

MM 1958: the pie does not change size when you cut it differently. MM 1963: the taxman pays for one slice, so the levered pie is bigger by $\text{debt} \times \text{tax rate}$.

Cue	Stands for
1958 proposition I	$V_g = V_u = \text{NOI} \div K_o$
1958 proposition II	$K_e = K_o + (K_o - K_d) \times D/E$
1958 proposition III	Leverage does not affect K_o ; only business risk does
1963	$V_g = V_u + \text{TB}$, where $\text{TB} = \text{debt} \times \text{tax rate}$
K_{eg}	$K_{eu} + (K_{eu} - K_d) \times D/(D+E)$
K_{og}	$K_{eu}(1 - t_L)$
Arbitrage fails because	Market imperfections, transaction costs, corporate taxes

 3-second trigger: Same pie, bigger only by the tax shield

COMMON MISTAKE / CONFUSION

- Using D/E in the 1963 cost of equity formula; there it is $D/(D + E)$.

- Forgetting the personal borrowing step in the arbitrage — without it the risk is not matched.
- Applying the 1963 formulae when the question says taxes are ignored.

Basis	MM 1958, without tax	MM 1963, with tax
Value	$V_g = V_u$	$V_g = V_u + TB$, where $TB = \text{debt} \times \text{tax rate}$
Cost of equity	$K_e = K_o + (K_o - K_d) \times D/E$	$K_{eg} = K_{eu} + (K_{eu} - K_d) \times D/(D + E)$
Overall cost	Unaffected by leverage	$K_{og} = K_{eu}(1 - t_L)$, so it falls as leverage rises
Is structure relevant?	No	Yes — debt adds value through the tax shield
Justification	The arbitrage process and personal leverage	The interest tax shield

🔗 INTEGRATION LINK

- 🔗 FM Ch 5 §2.3: the NOI approach MM justifies

🔗 INTEGRATION LINK

- 🔗 FM Ch 5 §2.5: the trade-off theory, which puts a limit on the 1963 conclusion

🔗 INTEGRATION LINK

- 🔗 FM Ch 4 §5.1: the interest tax shield itself

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Two firms of the same risk class: value both, say which is overvalued, show the arbitrage (May 2024, and five RTPs)
- A buyback funded by perpetual debt under MM with taxes: new value, new K_e , new WACC (May 2025, MTP May 2026 Series I)

How to attack it:

- Value both firms in a two-column statement before saying anything else
- In an arbitrage answer, use the four steps: sell, borrow, invest, compare

 **What ICAI has done so far:** PYQ May 2024 · Q2(b); PYQ May 2025 · Q3(b); RTP Jan 2026 · FM Q7; RTP May 2024 · FM Q3; RTP May 2026 · FM Q6; RTP Sep 2024 · FM Q6; RTP Sep 2024 · FM Q7; MTP Jan 2026 Series I · FM Q3(a); MTP May 2026 Series I · FM Q2(a); MTP Sep 2026 Series I · FM Q1(a).

 **Time / length guide (study guidance):** 5 to 6 marks $\approx$ 9 to 11 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Two-column valuation of both firms
- Name the overvalued firm
- Arbitrage: sell, borrow, invest, compare return and outlay
- Conclude that values must converge

 **Keywords:** equivalent risk class · personal leverage · arbitrage · tax benefit

 **Ideal length:** 5 to 6 marks: a valuation table plus four arbitrage lines

 **Conclusion pattern:** State that the process continues until the two values are equal.

DON'T WRITE THIS

- Omitting the borrowing step, which is what equalises the risk

Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · PYQ May 2024 · Q2(b) · 5 marks

Following data is available in respect of levered and unlevered companies having the same business risk: capital employed ₹2,00,000, EBIT ₹25,000. Show how arbitrage will work.

MODEL ANSWER

- **Value both firms first.** For the levered firm, $\text{value of equity} = (\text{EBIT} - \text{interest}) \div K_e$ and $\text{value of the firm} = \text{equity} + \text{debt}$. For the unlevered firm, $\text{value} = \text{EBIT} \div K_e$. ICAI's published answer sets these out side by side under the heading 'Valuation of firms'.
- **Identify the overvalued firm.** Under MM 1958 the two values must be equal, so whichever firm is worth more is overvalued and its shares should be sold.

- **The arbitrage steps.** (1) **Sell** the holding in the overvalued firm. (2) **Borrow** in the same proportion as that firm's debt — this is the personal leverage substituting for corporate leverage, and it keeps the risk unchanged. (3) **Invest** the same proportion in the undervalued firm. (4) **Compare**: the investor earns the same return with surplus cash left over.
- **Show the return.** Return on the new position = the investor's share of the unlevered firm's EBIT less interest on the personal borrowing; this should equal the return given up.
- **Conclude.** As investors do this, the overvalued firm's share price falls and the undervalued firm's rises, until the two values are equal — so the value of the levered firm can neither be greater nor lower than that of the unlevered firm.

Conclusion: Valuation, identification, four steps, conclusion — the same skeleton every time.

Keywords: same business risk · arbitrage · personal leverage · surplus cash

What ICAI examiners said: No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · PYQ May 2025 · Q3(b) · 5 marks

Z Ltd. is an unlevered company. It wants to repurchase its equity shares of ₹300 lakh by issue of 12% debentures of the same amount. Compute the effect on the value of the firm, the cost of equity and the weighted average cost of capital, using MM with taxes.

✓ MODEL ANSWER

- **Value of the levered company (SM §2.4).** $V_g = V_u + TB$, where the tax benefit is the amount of debt multiplied by the corporate tax rate — here ₹300 lakh $\times$ t . So the value of the firm rises by exactly that amount on restructuring.
- **Cost of equity after the restructuring.** $K_{eg} = K_{eu} + (K_{eu} - K_d) \times \text{Debt} \div (\text{Debt} + \text{Equity})$, where K_{eu} is the cost of equity of the company while it was unlevered and K_d is 12%. Note the denominator: **Debt + Equity**, not Equity alone.
- **Weighted average cost of capital after the restructuring.** $K_{og} = K_{eu}(1 - tL)$, where $L = \text{Debt} \div (\text{Debt} + \text{Equity})$. Because L is now positive, K_{og} falls below K_{eu} .
- **Comment.** Under MM with taxes, the buyback funded by debt raises the value of the firm and lowers the overall cost of capital, because interest is deductible while dividend is not. Under MM without taxes the same transaction would leave both unchanged.
- Where the question also asks for the market value of equity after restructuring, deduct the debt of ₹300 lakh from the new value of the firm.

Conclusion: Three formulae in order: V_g , then K_{eg} , then K_{og} .

🔗 Keywords: $V_g = V_u + TB$ · K_{eg} · $K_{og} = K_{eu}(1 - t_L)$ · tax benefit

📖 What ICAI examiners said: No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · MTP May 2026 Series I · FM Q2(a) · 6 marks

Zanshu Ltd. is an all-equity financed company with a market value of ₹25,00,000 and a cost of equity (K_e) of 21%. The company wants to buy back equity shares worth ₹5,00,000 by issuing and raising 15% perpetual debt of the same amount. The rate of tax is 30%. After the capital restructuring and applying the MM model with taxes, calculate (i) the market value of Zanshu Ltd., (ii) the cost of equity, and (iii) the weighted average cost of capital using market weights, and comment.

✓ MODEL ANSWER

- (i) Market value after restructuring. $V_g = V_u + TB = ₹25,00,000 + (₹5,00,000 \times 0.30) = ₹25,00,000 + ₹1,50,000 = ₹26,50,000$. Market value of equity = $₹26,50,000 - ₹5,00,000 = ₹21,50,000$.
- (ii) Cost of equity. $K_{eg} = K_{eu} + (K_{eu} - K_d) \times \text{Debt} \div (\text{Debt} + \text{Equity}) = 21\% + (21\% - 15\%) \times ₹5,00,000 \div ₹26,50,000 = 21\% + 6\% \times 0.1887 = 21\% + 1.13\% = 22.13\%$.
- (iii) Weighted average cost of capital. $K_{og} = K_{eu}(1 - t_L)$, where $L = ₹5,00,000 \div ₹26,50,000 = 0.1887$. $K_{og} = 21\% \times (1 - 0.30 \times 0.1887) = 21\% \times (1 - 0.0566) = 21\% \times 0.9434 = 19.81\%$.
- Cross-check on market weights. $(22.13\% \times ₹21,50,000 \div ₹26,50,000) + (15\% \times 0.70 \times ₹5,00,000 \div ₹26,50,000) = 17.95\% + 1.98\% = 19.93\%$, which agrees with the formula subject to rounding.
- Comment. The value of the firm has risen by ₹1,50,000 — exactly the present value of the tax shield — and the overall cost of capital has fallen from 21% to about 19.8%, even though the cost of equity rose, because the cheaper after-tax debt carries a weight in the mix.

Conclusion: Value first, then K_e , then K_o ; the comment is that the whole gain is the tax shield.

🔗 Keywords: all-equity financed · perpetual debt · $V_g = V_u + TB$ · market weights

■ OFFICIAL ICAI QUESTION · RTP Sep 2024 · FM Q6

Company XYZ is unlevered and has a cost of equity of 20 per cent and a total market value as given. Compute the effect of introducing debt into its capital structure.

✓ MODEL ANSWER

- **Without tax (MM 1958).** $V_g = V_u$, so introducing debt leaves the total value unchanged. The cost of equity rises to $K_e = K_o + (K_o - K_d) \times \text{Debt} \div \text{Equity}$, and the overall cost of capital stays at 20%.
- **With tax (MM 1963).** $V_g = V_u + TB$, the tax benefit being $\text{debt} \times \text{the tax rate}$, so the value rises. $K_{eg} = K_{eu} + (K_{eu} - K_d) \times \text{Debt} \div (\text{Debt} + \text{Equity})$ and $K_{og} = K_{eu}(1 - t_L)$.
- The first line of the answer must therefore state whether taxes are being considered, because the two versions give opposite conclusions on value.
- Where the question asks for the market value of equity after the change, subtract the debt from the value of the firm.
- ICAI labels this question 'Capital Structure' in the September 2024 RTP, and follows it immediately with a second question on two companies of the same risk class — the arbitrage version of the same idea.

Conclusion: State the tax assumption first; everything else follows from it.

Keywords: unlevered · cost of equity · tax benefit · overall cost of capital

Also asked as: RTP Sep 2024 · FM Q7 (two companies belonging to the same risk class) | RTP May 2024 · FM Q3 (two companies having the same business risk) | RTP May 2026 · FM Q6 (two companies belonging to the same risk class) | RTP Jan 2026 · FM Q7 (J Ltd — buyback funded by 15% perpetual debt, MM with taxes) | MTP Sep 2026 Series I · FM Q1(a) (valuation of a levered and an unlevered firm) | MTP Jan 2026 Series I · FM Q3(a) (Vastupal Limited — a levered company converting 70% of its debt to equity)

✓ MCQ · Practice MCQ · Formula · Moderate

Under MM with taxes, the value of a levered firm exceeds that of an unlevered firm by:

- (A) The amount of the debt
- (B) The interest payable on the debt
- (C) The amount of debt multiplied by the corporate tax rate
- (D) Nothing; the two are always equal

✓ ANSWER: (C)

SM §2.4: the value of the levered firm will be greater than the value of the unlevered firm by an amount equal to the amount of debt multiplied by the corporate tax rate.

- (A) $\times$ Debt is not itself a gain; it must be repaid.

- (B) X Interest is a cost, not the value added.
- (D) X That is the 1958 position, before tax was introduced.

 **Trap:** Option D is correct for MM 1958 and wrong for MM 1963 — read which model the question uses.

Topic: FM Ch 5 §2.4

☒ MCQ · Practice MCQ · Arbitrage · Moderate

In the MM arbitrage process, an investor who sells shares in the overvalued levered firm must also:

- (A) Borrow personally in the same proportion as that firm's debt, before investing in the unlevered firm
- (B) Lend the sale proceeds at the risk-free rate
- (C) Wait for the corporate tax rate to change
- (D) Buy debentures of the unlevered firm

 ANSWER: (A)

SM §2.4: the operational justification is the arbitrage process and the substitution of corporate leverage by personal leverage; in the study material's own illustration the investor sells the 10% holding and borrows 10% of the levered firm's debt before investing in the unlevered firm.

- (B) X That would reduce the risk and the return, so the comparison would not be like for like.
- (C) X The 1958 model assumes no taxes.
- (D) X The unlevered firm has no debt to buy.

 **Trap:** Without the personal borrowing the two positions carry different risk, and the argument collapses.

Topic: FM Ch 5 §2.4

☐ QUICKRECAP

- MM 1958: $V_g = V_u$; K_e rises with leverage; K_o depends only on business risk.
- The justification is arbitrage, with personal leverage substituting for corporate leverage.
- It fails in practice because of market imperfections, transaction costs and taxes.

- MM 1963: $V_g = V_u + \text{debt} \times \text{tax rate}$; $K_{eg} = K_{eu} + (K_{eu} - K_d) \times D/(D+E)$; $K_{og} = K_{eu}(1 - t_L)$.

2.5 The Trade-off Theory

■ Medium Exam Activity | Asked: PYQ 0 · RTP 0 · MTP 0 (the SM's bridge between MM 1963 and practice)

■ UNDERSTAND IT

The trade-off theory refers to the idea that a company **chooses how much debt finance and how much equity finance to use by balancing the costs and benefits**; it **basically entails offsetting the costs of debt against the benefits of debt**.

It primarily deals with two concepts — cost of financial distress and agency costs. An important purpose of the theory is to **explain the fact that corporations usually are financed partly with debt and partly with equity**.

There is an advantage to financing with debt — the tax benefits of debt — and there is a cost of financing with debt — the costs of financial distress, including bankruptcy costs of debt and non-bankruptcy costs (staff leaving, suppliers demanding disadvantageous payment terms, bondholder and stockholder infighting).

The marginal benefit of further increases in debt declines as debt increases, while the marginal cost increases, so a firm optimising its overall value will **focus on this trade-off when choosing how much debt and equity to use**. Modigliani and Miller in 1963 introduced the tax benefit of debt; later work led to an optimal capital structure, which is given by the trade-off theory. According to Modigliani and Miller, the attractiveness of debt decreases with the personal tax on the interest income.

Financial distress. A firm experiences financial distress when it is unable to cope with the debt holders' obligations; if it continues to fail in making payments to the debt holders, the firm can even be insolvent. The first element of the theory, considered as the cost of debt, is usually the financial distress costs or bankruptcy costs of debt.

The **direct cost of financial distress refers to the cost of insolvency of a company**: once insolvency proceedings start, the **assets of the firm may need to be sold at a distress price, which is generally much lower than the current values of the assets**, and a **huge amount of administrative and legal costs** is also associated with insolvency. Even if the company is

not insolvent, financial distress may include **indirect costs**: cost of employees, cost of customers, cost of suppliers, cost of investors, cost of managers and cost of shareholders.

Agency costs. Firms often experience a dispute of interests among the management of the firm, debt holders and shareholders; these disputes give birth to agency problems, which in turn give rise to agency costs, and agency costs may affect the capital structure of a firm.

There may be ****two types of conflict: shareholders-managers conflict and shareholders-debt holders conflict****. The introduction of a dynamic trade-off theory makes the predictions a lot more accurate and reflective of practice.

****As the debt-equity ratio (leverage) increases, there is a trade-off between the interest tax shield and bankruptcy, causing an optimum capital structure.****

e.g. The first tranche of debt is nearly free money — the tax shield is real and distress is remote. The tenth tranche buys the same shield but brings suppliers demanding cash on delivery; somewhere between the two lies the optimum.

KEY FRAMEWORK / FORMULA · Trade-off theory (SM §2.5)

Requirement: Offsets the tax benefits of debt against the costs of financial distress and agency costs; the marginal benefit declines and the marginal cost rises, giving an optimum.

Exam angle: The theory that explains why real companies use some debt but not only debt.

ICAI KEYWORDS

balancing the costs and benefits · cost of financial distress · agency costs · partly with debt and partly with equity · bankruptcy costs · non-bankruptcy costs · marginal benefit declines · distress price · administrative and legal costs · shareholders-managers conflict · shareholders-debt holders conflict · interest tax shield and bankruptcy

MEMORY TRICK

Trade-off = **tax shield versus trouble**. Every extra rupee of debt buys a little less shield and a little more trouble; the optimum is where the two curves cross.

Cue	Stands for
Benefit of debt	The tax shield

Cost of debt	Financial distress: bankruptcy and non-bankruptcy costs
Direct distress cost	Assets sold at a distress price; administrative and legal costs
Indirect distress costs	Employees, customers, suppliers, investors, managers, shareholders
Agency conflicts	Shareholders versus managers; shareholders versus debt holders
Result	An optimum capital structure

⚡ 3-second trigger: Tax shield versus trouble

■ COMMON MISTAKE / CONFUSION

- Listing only bankruptcy costs; the study material names non-bankruptcy costs and six indirect costs too.
- Saying MM 1963 already gave the optimum; the study material says later work led to it through the trade-off theory.

🔗 INTEGRATION LINK

🔗 FM Ch 1 §10: financial distress and insolvency

🔗 INTEGRATION LINK

🔗 FM Ch 1 §12: the agency problem and agency cost

🔗 INTEGRATION LINK

🔗 FM Ch 5 §2.4: the tax benefit this theory puts a limit on

⊛ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Short note on the trade-off theory
- Explain why companies use both debt and equity

How to attack it:

- Name the benefit, name the two families of cost, then say where the optimum sits

 **What ICAI has done so far:** Not yet asked directly; it is the bridge between MM and the practical factors of §3.

 **Time / length guide (study guidance):** 4 marks $\approx$ 7 minutes (study guidance).

Questions on this topic — ICAI questions first, then practice

 **EXPECTED QUESTION** · Practice question · Explain · 4 marks

Explain the trade-off theory of capital structure, and the costs it weighs against the benefits of debt.

MODEL ANSWER

- The trade-off theory refers to the idea that a company chooses how much debt finance and how much equity finance to use by balancing the costs and benefits; it entails offsetting the costs of debt against the benefits of debt. An important purpose of the theory is to explain the fact that corporations usually are financed partly with debt and partly with equity.
- **The benefit** is the tax benefit of debt, introduced by Modigliani and Miller in 1963. **The cost** is the cost of financial distress, including bankruptcy costs of debt and non-bankruptcy costs such as staff leaving, suppliers demanding disadvantageous payment terms and bondholder or stockholder infighting.
- The marginal benefit of further increases in debt declines as debt increases, while the marginal cost increases, so a firm optimising its overall value focuses on this trade-off when choosing how much debt and equity to use.
- **Financial distress** arises when the firm is unable to cope with the debt holders' obligations; continued failure to pay can render it insolvent. The direct cost of financial distress is the cost of insolvency: assets may have to be sold at a distress price, generally much lower than their current values, and huge administrative and legal costs arise. Indirect costs include the cost of employees, customers, suppliers, investors, managers and shareholders.
- **Agency costs** arise from disputes of interest among management, debt holders and shareholders — the shareholders-managers conflict and the shareholders-debt holders conflict — and these may affect the capital structure of a firm.
- As the debt-equity ratio increases, there is a trade-off between the interest tax shield and bankruptcy, causing an optimum capital structure.

 **Keywords:** *offsetting the costs of debt against the benefits* · *financial distress* · *agency costs* · *optimum capital structure*

☒ MCQ · Practice MCQ · Concept · Easy

The trade-off theory of capital structure primarily deals with two concepts:

- (A) Liquidity and solvency
- (B) Cost of financial distress and agency costs
- (C) Systematic and unsystematic risk
- (D) Operating and financial leverage

✓ **ANSWER: (B)**

SM §2.5: trade-off theory of capital structure primarily deals with two concepts — cost of financial distress and agency costs.

- (A) X Those are ratio families from Chapter 3.
- (C) X Those belong to CAPM in Chapter 4.
- (D) X Those are Chapter 6's subject.

 **Trap:** Both named concepts are costs; the benefit side is simply the tax shield.

Topic: FM Ch 5 §2.5

☒ MCQ · Practice MCQ · Cost · Moderate

Which of the following does the study material give as a NON-bankruptcy cost of financial distress?

- (A) Administrative and legal costs of insolvency
- (B) Sale of assets at a distress price
- (C) Suppliers demanding disadvantageous payment terms
- (D) Payment of corporate tax

✓ **ANSWER: (C)**

SM §2.5: the costs of financial distress include bankruptcy costs of debt and non-bankruptcy costs, e.g. staff leaving, suppliers demanding disadvantageous payment terms, and bondholder or stockholder infighting.

- (A) X That is a direct cost of insolvency, i.e. a bankruptcy cost.
- (B) X Also a direct cost of insolvency.

- (D) X Tax is the source of the benefit, not a distress cost.

🚫 **Trap:** Non-bankruptcy costs bite long before any insolvency proceeding starts.

Topic: FM Ch 5 §2.5

☐ QUICKRECAP

- Trade-off balances the tax benefit of debt against financial distress and agency costs.
- Distress costs are direct (distress sale prices, legal and administrative) and indirect (six named stakeholder costs).
- Two agency conflicts: shareholders versus managers, and shareholders versus debt holders.
- The balance point is the optimum capital structure.

2.6 The Pecking Order Theory

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (May 2025 Q4(c)) · MTP 1 (May 2026 Series I)

■ UNDERSTAND IT

This theory is ****based on asymmetric information, which refers to a situation in which different parties have different information****. ****In a firm, managers will have better information than investors.**** The theory states that ****firms prefer to issue debt when they are positive about future earnings; equity is issued when they are doubtful and internal finance is insufficient****.

The theory argues that the ****capital structure decision is affected by the manager's choice of a source of capital that gives higher priority to sources that reveal the least amount of information****.

Why 'pecking order'. Myers gave the name because ****there is no well-defined debt-equity target**** and there are two kinds of equity, internal and external. Debt is cheaper than both internal and external equity because of interest, and internal equity is less [costly] than external equity, particularly because of no transaction or issue cost and no tax.

****The hierarchy.**** ****1. Managers' first choice is to use internal finance. 2. In the absence of internal finance, they can use secured debt, unsecured debt, hybrid debt etc. 3. Managers may issue new equity shares as a last option.****

The contrast the study material draws. The pecking order theory's financial hierarchy runs internal financing → debt → equity, while the trade-off theory's runs debt → equity with a defined target. The pecking order has **no well-defined debt-equity target at all** — which is the sharpest single difference between the two.

e.g. A profitable company funds a new plant from reserves, then from a term loan, and only issues shares when both are exhausted — not because it is targeting a ratio, but because issuing shares tells the market the least flattering story.

KEY FRAMEWORK / FORMULA · Pecking order (SM §2.6)

Requirement: Internal finance first; then secured debt, unsecured debt, hybrid debt; new equity shares as a last option. Based on asymmetric information; no well-defined debt-equity target.

Exam angle: Asked verbatim in May 2025 for 2 marks, and again in the May 2026 MTP.

ICAI KEYWORDS

asymmetric information · managers will have better information than investors · positive about future earnings · reveal the least amount of information · Myers · no well-defined debt-equity target · internal finance · secured debt · unsecured debt · hybrid debt · last option

MEMORY TRICK

I-D-E: Internal, Debt, Equity. Managers pick the source that tells the market the least — and issuing shares tells it the most.

Cue	Stands for
Based on	Asymmetric information; managers know more than investors
Debt signals	Confidence about future earnings
Equity signals	Doubt, and only when internal finance is insufficient
First	Internal finance
Second	Secured debt, unsecured debt, hybrid debt
Last	New equity shares
Named by	Myers — because there is no well-defined debt-equity target

⚡ 3-second trigger: Internal, Debt, Equity

📌 COMMON MISTAKE / CONFUSION

- Reversing the order and putting debt first; internal finance leads.
- Saying the theory sets a target debt-equity ratio; its defining feature is that it does not.

Basis	Pecking order theory	Trade-off theory
Based on	Asymmetric information	Balancing the costs and benefits of debt
Target ratio	No well-defined debt-equity target	An optimum debt-equity ratio exists
Hierarchy	Internal financing → debt → equity	Debt → equity, around the target
Why the order	Managers prefer sources revealing the least information	Marginal tax benefit against marginal distress cost
Equity is	The last option	Part of the deliberate mix

🔗 INTEGRATION LINK

- 🔗 FM Ch 2 §3.3: retained earnings, the first port of call

🔗 INTEGRATION LINK

- 🔗 FM Ch 4 §8: why internal equity costs less than external equity

🔗 INTEGRATION LINK

- 🔗 FM Ch 1 §12: information asymmetry behind the agency problem

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- What is the hierarchy of financing under the pecking order theory and why does it exist? (2 marks, May 2025)
- Explain the preference order under the pecking order theory (MTP May 2026 Series I)

How to attack it:

- Give the three-step hierarchy, then the asymmetric-information reason, then the 'no target' point

 **What ICAI has done so far:** PYQ May 2025 · Q4(c); MTP May 2026 Series I · FM Q4(c) (OR).

 **Time / length guide (study guidance):** 2 marks ≈ 3 minutes (study guidance).

** WRITE THIS IN THE EXAM****Structure:**

- The three-step hierarchy, numbered
- The reason: asymmetric information and least disclosure
- The reason it exists, in ICAI's own words

 **Keywords:** internal finance · secured debt · last option · asymmetric information

 **Ideal length:** 2 marks: three numbered steps plus one line of reason

 **Conclusion pattern:** It exists to minimise the cost of capital, keep financial control and avoid negative market signals.

** DON'T WRITE THIS**

- Adding a target debt-equity ratio, which this theory denies

** Questions on this topic — ICAI questions first, then practice**

 **OFFICIAL ICAI QUESTION** · PYQ May 2025 · Q4(c) · 2 marks

What is the hierarchy of financing under the 'pecking order' theory, and why does it exist?

** MODEL ANSWER**

- Pecking order theory suggests that managers may use various sources for raising funds in the following order:
- 1. Managers' first choice is to use internal finance.
- 2. In the absence of internal finance, they can use secured debt, unsecured debt, hybrid debt etc.
- 3. Managers may issue new equity shares as a last option.

- The hierarchy of financing pecking order exists to minimise the cost of capital, maintain financial control and avoid negative market signals.
- The underlying reason is asymmetric information: managers have better information than investors, so they prefer sources that reveal the least amount of information. Firms issue debt when positive about future earnings and equity only when doubtful and internal finance is insufficient.

Conclusion: Three steps and one reason — ICAI's published answer is exactly this length.

Keywords: internal finance · secured debt, unsecured debt, hybrid debt · last option · negative market signals

Also asked as: MTP May 2026 Series I · FM Q4(c) (OR) (pecking order theory suggests managers may use various sources in an order — explain the preference)

What ICAI examiners said: No examiners' comments have been published for Paper 6.

✓ MCQ · Practice MCQ · Order · Easy

Under the pecking order theory, the order in which managers prefer to raise funds is:

- (A) Equity, then debt, then internal finance
- (B) Debt, then equity, then internal finance
- (C) Internal finance, then debt, then new equity shares
- (D) Preference capital, then equity, then debt

✓ **ANSWER: (C)**

SM §2.6: managers' first choice is internal finance; in its absence they use secured, unsecured or hybrid debt; new equity shares are the last option.

- (A) X Equity is the last option, not the first.
- (B) X Internal finance comes before debt.
- (D) X Preference capital is not given a separate rung.

Trap: The order is driven by how much information each source reveals, not by cost alone.

Topic: FM Ch 5 §2.6

✓ MCQ · Practice MCQ · Basis · Moderate

The pecking order theory is based on asymmetric information, which means:

- (A) Different parties have different information, and in a firm managers have better information than investors
- (B) Debt holders and shareholders receive the same information at different times
- (C) The market price always reflects all available information
- (D) Information is costly to produce

✓ ANSWER: (A)

SM §2.6: asymmetric information refers to a situation in which different parties have different information; in a firm, managers will have better information than investors.

- (B) X Timing is not the study material's definition.
- (C) X That is the efficient market idea, the opposite assumption.
- (D) X Cost of information is not the point.

🚫 Trap: It is the information gap, not the information cost, that drives the hierarchy.

Topic: FM Ch 5 §2.6

□ QUICKRECAP

- Pecking order: internal finance, then debt, then new equity as a last option.
- Based on asymmetric information — managers know more than investors.
- Debt signals confidence; equity signals doubt.
- Myers named it because there is no well-defined debt-equity target.

3-3.1 Factors Determining Capital Structure: the Choice of Source of Funds

▣ Medium Exam Activity

▣ UNDERSTAND IT

A firm has the choice to raise funds for financing its investment proposals from different sources in different proportions. The study material lists six possible patterns: (a) exclusively use debt (in the case of an existing company); (b) exclusively use equity capital; (c) exclusively use preference share capital (in the case of an existing company); (d) use a combination of debt and equity in different proportions; (e) use a combination of debt, equity and preference capital in different proportions; (f) use a combination of debt and preference capital in different proportions (in the case of an existing company).

****The choice of the combination of these sources is called the capital structure mix.**** The

question the rest of the chapter answers is *which of the patterns the firm should choose.*

Note the study material's parenthetical qualification: three of the six patterns are marked 'in case of existing company' — a new company cannot begin life financed exclusively by debt, exclusively by preference capital, or by debt and preference capital alone, because there must first be equity for lenders and preference shareholders to rank ahead of.

Why the list matters. It sets up the rest of the chapter: §3.2 gives the seven principles for choosing among these patterns, §4 explains what makes one of them optimal, and §5 gives the EBIT-EPS-MPS tool for testing them against each other with numbers.

e.g. A new company can realistically choose only from (b), (d) and (e); an established one with equity already in place has all six open to it.

KEY FRAMEWORK / FORMULA · Capital structure mix (SM §3.1)

Requirement: Six possible patterns, three of which are available only to an existing company; the chosen combination is the capital structure mix.

Exam angle: The framing for a 'choice of source of funds' short note.

ICAI KEYWORDS

different sources in different proportions · exclusively use debt · in case of existing company · capital structure mix

MEMORY TRICK

Six patterns, three markers: *anything without equity is open only to an existing company, because equity has to exist before anything can rank ahead of it.*

Cue	Stands for
Pure options	Debt only · equity only · preference only
Mixed options	Debt + equity · debt + equity + preference · debt + preference
Restriction	Debt only, preference only, and debt + preference: existing companies only
The chosen combination	The capital structure mix

⚡ 3-second trigger: Six patterns, one mix

📌 COMMON MISTAKE / CONFUSION

- Listing only debt and equity; the study material gives six patterns including preference capital.
- Overlooking the 'in case of existing company' qualification on three of them.

🔗 INTEGRATION LINK

🔗 FM Ch 2: the sources themselves

🔗 INTEGRATION LINK

🔗 FM Ch 5 §3.2: the principles for choosing among these patterns

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Short note on the choice of source of funds
- MCQ on which pattern is available only to an existing company

How to attack it:

- List the six, marking the three that need an existing equity base

📖 What ICAI has done so far: Not yet asked directly; it frames the factors question that is.

⌚ Time / length guide (study guidance): 2 marks ≈ 3 minutes (study guidance).

📖 Questions on this topic — ICAI questions first, then practice

✅ MCQ · Practice MCQ · Restriction · Moderate

Which financing pattern does the study material mark as available only 'in case of existing company'?

- (A) A combination of debt and equity in different proportions
- (B) Exclusively using equity capital
- (C) A combination of debt, equity and preference capital
- (D) Exclusively using preference share capital

✓ ANSWER: (D)

SM §3.1 marks three patterns 'in case of existing company': exclusively debt, exclusively preference share capital, and a combination of debt and preference capital.

- (A) X Open to any company.
- (B) X Open to any company — indeed the usual starting point.
- (C) X Open to any company.

🚫 **Trap:** The three restricted patterns are exactly those with no equity component.

Topic: FM Ch 5 §3.1

☑ MCQ · Practice MCQ · Terminology · Easy

The chosen combination of sources of finance is called:

- (A) The capital structure mix
- (B) The marginal cost of capital
- (C) The financial break-even point
- (D) The indifference point

✓ ANSWER: (A)

SM §3.1: the choice of the combination of these sources is called the capital structure mix.

- (B) X The cost of raising an additional rupee, from Chapter 4.
- (C) X The EBIT at which EPS is zero.
- (D) X The EBIT at which two plans give the same EPS.

🚫 **Trap:** Options C and D are real terms from later in this same chapter.

Topic: FM Ch 5 §3.1

☐ QUICKRECAP

- Six financing patterns, from pure debt to a three-way mix.
- Three of them — those without equity — are open only to an existing company.
- The combination chosen is the capital structure mix.
- The rest of the chapter is about how to choose among them.

3.2 The Seven Principles Affecting Capital Structure

■ Medium Exam Activity

■ UNDERSTAND IT

While choosing a suitable financing pattern, certain fundamental principles should be kept in mind to design capital structure. The study material names seven.

(1) Financial leverage, or trading on equity. The ****use of long-term fixed interest bearing debt and preference share capital along with equity share capital is called financial leverage or trading on equity****. The use of long-term debt increases the earnings per share if the firm yields a return higher than the cost of debt. Earnings per share also increase with the use of preference share capital, but because interest is allowed to be deducted while computing tax, the leverage impact of debt is much more. **However, **leverage can operate adversely also if the rate of interest on the long-term loan is more than the expected rate of earnings of the firm**** — so it needs caution.

(2) Growth and stability of sales. The capital structure is highly influenced by the growth and stability of sales. **If sales are expected to **remain fairly stable, the firm can raise a higher level of debt**, because stability ensures it **will not face difficulty in meeting its fixed commitments of interest and repayment****. Similarly the rate of growth matters: greater the rate of growth of sales, greater can be the use of debt. On the other hand, if sales are highly fluctuating or declining, the firm should not employ debt financing as far as possible.

(3) Cost principle. **An **ideal pattern of capital structure is one that minimises the cost of capital structure and maximises earnings per share****. For example, debt capital is cheaper than equity capital from the point of its cost, interest being deductible for income tax.

(4) Risk principle. **According to this principle, **reliance is placed more on common equity for financing capital requirements than on excessive use of debt****. Use of more and more debt means a higher commitment in the form of interest payout, which would lead to erosion of shareholders' value in an unfavourable business situation. With an increase in the amount of debt, financial risk increases and vice versa.

(5) Control principle. The finance manager should keep in mind that existing management control and ownership remains undisturbed. ****Issue of new equity will dilute the existing control pattern and also involves higher cost; issue of more debt causes no dilution in control but causes a higher degree of financial risk.****

(6) Flexibility principle. **By flexibility it is meant that **management chooses a combination of sources of financing which it finds easier to adjust according to changes in the need of funds**

in future.** The study material's own example: *debt could be interchanged* — if the company is loaded with a debt of 18% and funds are available at 15%, it can return the old debt with new debt at a lesser interest rate — but the same option may not be available in the case of equity investment.

(7) Other considerations. Besides the above, the nature of industry, the timing of issue and competition in the industry should also be considered. ****Industries facing severe competition also resort to more equity than debt.****

****A finance manager in designing a suitable pattern of capital structure must bring about a satisfactory compromise between the above principles. The compromise can be reached by assigning weights to these principles in terms of various characteristics of the company.****

e.g. A utility with stable regulated revenues can carry heavy debt; a fashion retailer with volatile sales and fierce competition should not — the same two principles, opposite answers.

KEY FRAMEWORK / FORMULA · Trading on equity (SM §3.2(1))

Requirement: The use of long-term fixed interest bearing debt and preference share capital along with equity share capital; it raises EPS where the return exceeds the cost of debt, and reduces it where it does not.

Exam angle: An SM theoretical question in its own right, and the bridge to Chapter 6.

KEY FRAMEWORK / FORMULA · Compromise (SM §3.2)

Requirement: A satisfactory compromise between the seven principles, reached by assigning weights in terms of the characteristics of the company.

Exam angle: The concluding line of any 'factors affecting capital structure' answer.

ICAI KEYWORDS

trading on equity · long-term fixed interest bearing debt · leverage impact of debt is much more · operate adversely · growth and stability of sales · fixed commitments · cost principle · maximizes earnings per share · risk principle · erosion of shareholders' value · control principle · dilute existing control · flexibility principle · satisfactory compromise · assigning weights

MEMORY TRICK

Seven principles, and the first letters of the middle five spell the decision: **Cost, Risk, Control, Flexibility** — cheap, safe, mine, and changeable. Leverage and sales stability sit before them; industry conditions after.

Cue	Stands for
Financial leverage	Trading on equity: raises EPS if return exceeds the cost of debt
Growth and stability of sales	Stable or growing sales support more debt
Cost	Minimise the cost of capital, maximise EPS
Risk	Prefer equity; more debt means more financial risk
Control	Equity dilutes control; debt does not, but raises risk
Flexibility	Choose sources that can be adjusted later — debt can be refinanced, equity cannot
Other	Nature of industry, timing of issue, competition

⚡ 3-second trigger: Cost, Risk, Control, Flexibility

■ COMMON MISTAKE / CONFUSION

- Saying trading on equity means using equity; it means using debt and preference capital alongside equity.
- Giving only cost and risk; the study material names seven principles and expects the compromise line at the end.

🔗 INTEGRATION LINK

🔗 FM Ch 6: financial leverage, the first of these principles measured

🔗 INTEGRATION LINK

🔗 FM Ch 5 §1: control, risk and cost, the three factors these principles expand

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Explain the factors affecting capital structure (4 marks)
- Explain the principles of trading on equity (an SM theoretical question)

How to attack it:

- Name each principle in bold with one line of explanation, and close with the compromise point

 **What ICAI has done so far:** Not yet asked in a past paper; it is an SM theoretical question, so it is exam-ready.

 **Time / length guide (study guidance):** 4 marks ≈ 7 minutes (study guidance).

 **WRITE THIS IN THE EXAM**

Structure:

- Name the principle
- One line of what it requires
- One line of the consequence

 **Keywords:** trading on equity · erosion of shareholders' value · dilute existing control · satisfactory compromise

 **Ideal length:** 4 marks: four or five principles plus the compromise line

 **Conclusion pattern:** No single principle decides; the manager weights them by the company's characteristics.

 **DON'T WRITE THIS**

- Turning it into a list of sources of finance

 **Questions on this topic — ICAI questions first, then practice**

 **EXPECTED QUESTION** · Practice question · Explain · 4 marks

Explain the principles that should be kept in mind while designing the capital structure of a company.

 **MODEL ANSWER**

- **Financial leverage or trading on equity:** the use of long-term fixed interest bearing debt and preference share capital along with equity share capital. Long-term debt increases EPS if the firm yields a return higher than the cost of debt, and the leverage impact of

debt is greater than that of preference capital because interest is tax-deductible.

However, leverage can operate adversely if the rate of interest exceeds the expected rate of earnings.

- **Growth and stability of sales:** if sales are expected to remain fairly stable, a higher level of debt can be raised, since the firm will not face difficulty in meeting fixed commitments of interest and repayment; the greater the rate of growth of sales, the greater the use of debt. Where sales are highly fluctuating or declining, debt should be avoided as far as possible.
- **Cost principle:** an ideal pattern is one that minimises the cost of capital structure and maximises earnings per share; debt is cheaper than equity because interest is deductible for income tax.
- **Risk principle:** reliance should be placed more on common equity than on excessive debt, since more debt means a higher interest commitment, which erodes shareholders' value in an unfavourable business situation; financial risk rises with the amount of debt.
- **Control principle:** existing management control and ownership should remain undisturbed. A new equity issue dilutes control and costs more; more debt causes no dilution but a higher degree of financial risk.
- **Flexibility principle** — choosing sources that can be adjusted as future needs change, debt being refinanceable in a way equity is not — and **other considerations** such as the nature of the industry, the timing of the issue and competition, industries facing severe competition resorting to more equity than debt. The manager must bring about a satisfactory compromise between these principles by assigning them weights in terms of the company's characteristics.

 **Keywords:** trading on equity · stability of sales · cost · risk · control · flexibility · satisfactory compromise

☒ MCQ · Practice MCQ · Definition · Easy

Trading on equity, as defined in the study material, means:

- (A) Issuing equity shares to the public at a premium
- (B) The use of long-term fixed interest bearing debt and preference share capital along with equity share capital
- (C) Trading the company's own shares on the stock exchange
- (D) Financing entirely by equity to avoid financial risk

✓ ANSWER: (B)

SM §3.2(1): the use of long-term fixed interest bearing debt and preference share capital along with equity share capital is called financial leverage or trading on equity.

- (A) X An equity issue is the opposite of what the term describes.
- (C) X Buyback is a different transaction entirely.
- (D) X The term is about introducing fixed-charge capital, not avoiding it.

🚫 **Trap:** The word 'equity' in the name refers to the base being traded upon, not the source being raised.

Topic: FM Ch 5 §3.2

✓ MCQ · Practice MCQ · Principle · Moderate

As per the study material, industries facing severe competition tend to:

- (A) Resort to more equity than debt
- (B) Resort to more debt than equity
- (C) Avoid preference share capital entirely
- (D) Maintain an equal debt-equity ratio

✓ ANSWER: (A)

SM §3.2(7): besides the other principles, factors such as nature of industry, timing of issue and competition should be considered; industries facing severe competition also resort to more equity than debt.

- (B) X Competition makes earnings less certain, so fixed charges are riskier.
- (C) X No such rule is stated.
- (D) X No target ratio is prescribed.

🚫 **Trap:** It follows the same logic as the sales-stability principle: uncertain earnings cannot support fixed commitments.

Topic: FM Ch 5 §3.2

□ QUICKRECAP

- Seven principles: leverage, sales growth and stability, cost, risk, control, flexibility, other considerations.
- Trading on equity = using fixed-charge capital alongside equity; it cuts both ways.

- Stable or growing sales support debt; volatile sales do not.
- The manager weights the principles and compromises; no one of them decides.

4. Optimal Capital Structure

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: MTP 5 (Mar 2024 S1, May 2025 S1, Sep 2025 S2, Jan 2026 S2, and the Sep 2025 RTP)

■ UNDERSTAND IT

The **objective of financial management is to maximise wealth**, therefore **one should choose a capital structure which maximises wealth**. For this purpose the study material prescribes three analyses, in order.

(1) EBIT-EPS-MPS analysis. **Choose a capital structure which maximises market price per share.** For that, **start with the same EBIT for all capital structures and calculate EPS**; thereafter, **either multiply EPS by the price earning ratio or divide it by the cost of equity to arrive at MPS**.

(2) Indifference point analysis. In the above analysis we have considered value at a given EBIT only. **What will happen if EBIT changes? Will it change your decision also?** To answer this question, indifference point analysis is done.

(3) Financial break-even point analysis. **With a change in capital structure, financial risk also changes.** Though this risk **has already been considered in the P/E ratio or in the cost of equity in point one above**, one **may calculate and consider it separately also by calculating the financial break-even point**.

Read the three together and the logic is clear: the first tells you which plan is best at the expected EBIT; the second tells you how far EBIT can move before that answer changes; the third tells you how much EBIT the plan needs before the shareholders see anything at all.

What the optimum looks like. From the traditional approach (§2.2): **optimum capital structure occurs at the point where the value of the firm is highest and the cost of capital is the lowest**, reached through a judicious use of both debt and equity.

e.g. Two plans give EPS of ₹8.28 and ₹8.23 at an EBIT of ₹9 lakh, but ₹8.52 and ₹8.58 at ₹9.70 lakh. One number does not settle the question — which is exactly why the indifference point exists.

KEY FRAMEWORK / FORMULA · Three analyses (SM §4)

Requirement: EBIT-EPS-MPS analysis at a common EBIT; indifference point analysis for changing EBIT; financial break-even point analysis for the financial risk.

Exam angle: The structure of the answer to 'discuss optimal capital structure and how to analyse it'.

ICAI KEYWORDS

maximise wealth · maximises market price per share · same EBIT for all capital structures · price earning ratio · indifference point analysis · financial break-even point · financial risk also changes

MEMORY TRICK

Three questions, three tools: Which plan now? (EBIT-EPS-MPS) · For how long? (indifference point) · How low can EBIT go? (financial break-even).

Cue	Stands for
Step 1	EBIT-EPS-MPS: same EBIT, compute EPS, then MPS via P/E or K_e
Step 2	Indifference point: at what EBIT do two plans give the same EPS?
Step 3	Financial break-even: the EBIT at which EPS is zero
Optimum	Highest value, lowest cost of capital

 3-second trigger: Which plan, for how long, how low

COMMON MISTAKE / CONFUSION

- Comparing plans at different EBIT levels; the study material says start with the same EBIT for all structures.
- Stopping at EPS; the objective is the market price per share.

INTEGRATION LINK

 FM Ch 5 §2.2: the traditional approach, which defines the optimum

🔗 INTEGRATION LINK

- 🔗 FM Ch 5 §5: the EBIT-EPs-MPS tool itself

🔗 INTEGRATION LINK

- 🔗 FM Ch 4 §9: the WACC being minimised

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- What is optimum capital structure? (2 marks)
- Discuss optimal capital structure and how to analyse it (2 marks)
- Briefly explain the process for analysing an optimal capital structure (2 marks)

How to attack it:

- Define the optimum, then list the three analyses in the study material's order

📖 What ICAI has done so far: MTP May 2024 Series I · FM Q4(c); MTP May 2025 Series I · FM Q4(c) (OR); MTP Sep 2025 Series II · FM Q4(b); MTP Jan 2026 Series II · FM Q1(b).

- ⌚ Time / length guide (study guidance): 2 marks ≈ 3 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- The definition of the optimum
- The three analyses, numbered
- What each one answers

🔑 Keywords: maximises market price per share · indifference point · financial break-even point

📏 Ideal length: 2 marks: the definition plus three numbered analyses

📊 Conclusion pattern: The optimum is where value is highest and the cost of capital lowest.

⊘ DON'T WRITE THIS

- Listing the four theories instead of the three analyses

📖 Questions on this topic — ICAI questions first, then practice

■ OFFICIAL ICAI QUESTION · MTP May 2024 Series I · FM Q4(c) · 2 marks

What is 'optimum capital structure'?

✓ MODEL ANSWER

- Optimum capital structure occurs at the point where the value of the firm is highest and the cost of capital is the lowest (SM §2.2).
- The firm should strive to reach it through a judicious use of both debt and equity in the capital structure; at that point the overall cost of capital will be minimum and the value of the firm will be maximum.
- Since the objective of financial management is to maximise wealth, one should choose the capital structure which maximises wealth, and the study material prescribes three analyses for doing so: EBIT-EPS-MPS analysis, indifference point analysis and financial break-even point analysis.
- Under the traditional approach, the weighted average cost of capital first decreases with leverage and then increases; the lowest point on that curve is the optimal capital structure.

Conclusion: Two marks: the definition and the judicious-use line are enough.

🔑 **Keywords:** value of the firm is highest · cost of capital is the lowest · judicious use

📖 **Also asked as:** MTP May 2025 Series I · FM Q4(c) (OR) (discuss optimal capital structure and how to analyse it) | MTP Sep 2025 Series II · FM Q4(b) (briefly explain the process for analysing optimal capital structure)

■ OFFICIAL ICAI QUESTION · MTP Jan 2026 Series II · FM Q1(b) · 5 marks

Deepa Limited has earnings before interest and taxes of ₹60,00,000. The company is considering the introduction of debt into its capital structure and is evaluating different levels of debt financing, with the corresponding cost of debt and cost of equity given for each option. Recommend the level of debt.

✓ MODEL ANSWER

- **Method (SM §4 and §2.2).** For each option, compute the weighted average cost of capital as $K_d \times \text{weight of debt} + K_e \times \text{weight of equity}$, and the value of the firm as $\text{EBIT} \div K_o$.
- Choose the option with the lowest WACC, which is simultaneously the option with the highest value of the firm — optimum capital structure occurs at the point where the value of the firm is highest and the cost of capital is the lowest.

- **Present the answer as a table** with columns for the debt level, weight of debt, weight of equity, K_d , K_e , K_o and the value of the firm, so the minimum is visible at a glance.
- **Watch the base of the ratio.** Where the question expresses debt as a proportion of total capital, the weights read directly; where it gives a debt-equity ratio, convert first. The study material flags this trap in its own Illustration 3.
- **Recommend in one line**, naming the option and its WACC — the recommendation carries a mark.

Conclusion: One table, one minimum, one recommendation.

 **Keywords:** weighted average cost of capital · value of the firm · lowest WACC · recommend

☒ MCQ · Practice MCQ · Method · Moderate

In an EBIT-EPS-MPS analysis, the market price per share is arrived at by:

- (A) Dividing EPS by the dividend payout ratio
- (B) Multiplying EPS by the price earning ratio, or dividing it by the cost of equity
- (C) Multiplying EPS by the number of shares
- (D) Dividing the value of the firm by EBIT

 **ANSWER: (B)**

SM §4(1): start with the same EBIT for all capital structures and calculate EPS; thereafter either multiply EPS by the price earning ratio or divide it by the cost of equity to arrive at MPS.

- (A) X That gives no meaningful figure.
- (C) X That gives total earnings, not a price.
- (D) X That is an inverted form of the value formula.

 **Trap:** Both routes to MPS are acceptable; use whichever datum the question supplies.

Topic: FM Ch 5 §4

☒ MCQ · Practice MCQ · Purpose · Moderate

Indifference point analysis is performed because EBIT-EPS-MPS analysis alone:

- (A) Ignores the number of equity shares
- (B) Considers value at a given EBIT only
- (C) Cannot be used where preference capital exists

(D) Assumes there is no tax

✓ ANSWER: (B)

SM §4(2): in the EBIT-EPS-MPS analysis we have considered value at a given EBIT only; indifference point analysis answers what happens if EBIT changes and whether that changes the decision.

- (A) X The share count is central to the EPS computation.
- (C) X Preference dividend is simply deducted before computing EPS.
- (D) X Tax is applied throughout.

🚫 Trap: The weakness is not in the arithmetic but in its dependence on one EBIT figure.

Topic: FM Ch 5 §4

□ QUICKRECAP

- Choose the structure that maximises wealth, i.e. market price per share.
- Three analyses: EBIT-EPS-MPS at a common EBIT, indifference point, financial break-even.
- $MPS = EPS \times P/E$, or $EPS \div Ke$.
- The optimum is where value is highest and the cost of capital lowest.

5-5.1 EBIT-EPS-MPS Analysis and the Relationship Between Them

🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (Sep 2024 Q3(b), Sep 2025 Q3(a)) · RTP 4 · MTP 4

▣ UNDERSTAND IT

The basic objective of financial management is to ****design an appropriate capital structure which can provide the highest wealth, i.e. the highest MPS, which in turn depends on EPS****.

Given a level of EBIT, EPS will be different under different financing mixes depending on the extent of debt financing. The ****effect of leverage on EPS emerges because of the existence of a fixed financial charge — interest on debt and fixed dividend on preference share capital****.

****The effect of the fixed financial charge on EPS depends upon the relationship between the rate of return on assets and the rate of fixed charge.**** If the ****rate of return on assets is higher than the cost of financing, then increasing use of fixed charge financing (debt and preference share capital) will result in an increase in EPS**** — this is ****favourable financial**

leverage, or trading on equity**. **If the rate of return on assets is less than the cost of financing, the effect may be negative** and increasing use of debt and preference capital **may reduce the EPS of the firm**.

Debt or preference capital? Theoretically the choice is tilted in favour of debt financing for two reasons: **(i) the explicit cost of debt financing — the rate of interest payable on debt instruments or loans — is generally lower than the rate of fixed dividend payable on preference shares; and (ii) interest on debt financing is tax-deductible, so the real after-tax cost is lower than the cost of preference share capital**.**

Thus the analysis of different types of capital structure and the effect of leverage on the expected EPS and eventually MPS ****provides a useful guide to the selection of a particular level of debt financing**.** The EBIT-EPS analysis is ****of significant importance and, if undertaken properly, can be an effective tool in the hands of a financial manager to get an insight into the planning and designing of the capital structure of the firm**.**

The presentation ICAI expects (Illustration 11). A firm with 1,00,000 shares of ₹10 wants to raise ₹2,50,000 by (i) issuing 25,000 ordinary shares at ₹10, (ii) borrowing ₹2,50,000 at 8%, or (iii) issuing 2,500 preference shares of ₹100 at 8%. With EBIT of ₹3,12,500 and tax at 50%, the answer is laid out in **three parallel columns**: EBIT ₹3,12,500 in each; **less interest nil, ₹20,000, nil**; PBT ₹3,12,500, ₹2,92,500, ₹3,12,500; **less taxes ₹1,56,250, ₹1,46,250, ₹1,56,250**; PAT ₹1,56,250, ₹1,46,250, ₹1,56,250; **less preference dividend nil, nil, ₹20,000**; earnings for equity; number of shares; and finally EPS.

Then convert to MPS by multiplying by the P/E ratio or dividing by the cost of equity, and recommend the plan with the highest market price per share — that recommendation is where the last mark sits.

e.g. September 2025 gave three options where the share price itself fell from ₹120 to ₹110 once borrowing exceeded ₹10,00,000 — so the plan with the highest EPS was not automatically the plan with the highest MPS.

KEY FRAMEWORK / FORMULA · When leverage is favourable (SM §5.1)

Requirement: Fixed charge financing raises EPS only where the rate of return on assets exceeds the rate of fixed charge; otherwise it reduces EPS.

Exam angle: The one-line reason that must accompany the recommendation.

KEY FRAMEWORK / FORMULA · Debt preferred over preference capital (SM §5.1)

Requirement: Two reasons: the explicit rate is generally lower, and interest is tax-deductible so the real after-tax cost is lower.

Exam angle: A clean 2-mark theory part and the comment on a three-plan comparison.

ICAI KEYWORDS

highest wealth · highest MPS · fixed financial charge · rate of return on assets · favourable financial leverage · trading on equity · explicit cost · tax-deductible · real cost · useful guide · planning and designing of the capital structure

MEMORY TRICK

Run the columns down: $EBIT - \text{Interest} = PBT - \text{Tax} = PAT - \text{Preference dividend} = \text{Earnings for equity} \div \text{Shares} = EPS \times P/E = MPS$. Same skeleton, every plan.

Cue	Stands for
Why EPS differs	The fixed financial charge — interest and preference dividend
Favourable leverage	Return on assets > rate of fixed charge
Unfavourable leverage	Return on assets < rate of fixed charge, so EPS falls
Debt beats preference	Lower explicit rate, and interest is tax-deductible
Finish with	MPS and a recommendation

 3-second trigger: EBIT down to MPS, in columns

COMMON MISTAKE / CONFUSION

- Deducting preference dividend before tax; it comes out of profit after tax.
- Comparing plans on EPS when the question supplies a P/E ratio — the objective is MPS.
- Forgetting that the share price itself may change between plans, as September 2025 required.

Basis	Debt financing	Preference share capital
Explicit cost	Rate of interest, generally lower	Rate of fixed dividend, generally higher
Tax treatment	Interest is tax-deductible, so the real after-tax cost is lower	Dividend is an appropriation; no tax relief
Where deducted	Before tax, from EBIT	After tax, from PAT
Effect on EPS	Greater leverage impact	Positive but smaller
Theoretical preference	Preferred, for both reasons above	Second choice

🔗 INTEGRATION LINK

🔗 FM Ch 6: the degree of financial leverage that measures this effect

🔗 INTEGRATION LINK

🔗 FM Ch 3 §3.4.4: the P/E ratio that converts EPS into MPS

🔗 INTEGRATION LINK

🔗 FM Ch 4 §6: why preference capital costs more than debt

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Two or three financing plans: compute EPS and MPS and recommend (Sep 2024 Q3(b), Sep 2025 Q3(a) and eight RTPs and MTPs)
- Explain the relationship between EBIT, EPS and MPS (2 marks)

How to attack it:

- Parallel columns, one per plan, from EBIT down to EPS
- Convert to MPS, then recommend in a single sentence with a reason

📖 What ICAI has done so far: PYQ Sep 2024 · Q3(b); PYQ Sep 2025 · Q3(a); RTP Jan 2025 · FM Q6; RTP May 2025 · FM Q6; RTP Sep 2025 · FM Q6; RTP Sep 2025 · FM Q7; MTP Jan 2026 Series I · FM Q3(b); MTP May 2024 Series II · FM Q2(b); MTP Sep 2024 Series II · FM Q1(a); MTP Sep 2024 Series II · FM Q4(c); MTP Sep 2026 Series II · FM Q3(a).

 Time / length guide (study guidance): 5 to 6 marks $\approx$ 9 to 11 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- A column per plan from EBIT to EPS
- MPS from the P/E ratio or the cost of equity
- The recommendation with its reason

 Keywords: fixed financial charge · earnings available to equity shareholders · market price per share

 Ideal length: 5 to 6 marks: one table plus a recommendation

 Conclusion pattern: Name the plan with the highest MPS and say why the leverage is favourable or not.

DON'T WRITE THIS

- Ending at EPS when a P/E ratio has been given

Questions on this topic — ICAI questions first, then practice

 OFFICIAL ICAI QUESTION · PYQ Sep 2024 · Q3(b) · 5 marks

ER Private Limited has a paid-up capital of ₹2,50,000 consisting of 25,000 equity shares of ₹10 each. The market price per share is ₹24 with a P/E ratio of 8. The company is planning to purchase a plant costing ₹5,00,000, expected to yield earnings before interest and taxes of ₹2,00,000 per annum. Two alternatives are available: A, 100% equity; B, 50% equity and 50% debt. Cost of debt is 12%; equity shares of face value ₹10 will be issued at a premium of ₹10 per share; the P/E ratio of the leveraged company will be 7; tax 40%. Advise which alternative is most suitable to maximise the benefit to shareholders.

MODEL ANSWER

- **Existing position.** 25,000 shares at a market price of ₹24 with a P/E of 8 implies an existing EPS of $\text{₹}24 \div 8 = \text{₹}3$.
- **Alternative A — 100% equity.** ₹5,00,000 raised at ₹20 per share (face ₹10 plus ₹10 premium) means **25,000 new shares**, so total shares become **50,000**. New EBIT =

existing EBIT plus ₹2,00,000. With no additional interest, $PBT = EBIT$; tax at 40%; $EPS = PAT \div 50,000$; $MPS = EPS \times 8$, the P/E of the unleveraged company.

- **Alternative B — 50% equity and 50% debt.** ₹2,50,000 of equity at ₹20 per share means 12,500 new shares, so total shares become 37,500; ₹2,50,000 of debt at 12% means interest of ₹30,000. $PBT = EBIT - ₹30,000$; tax at 40%; $EPS = PAT \div 37,500$; $MPS = EPS \times 7$, the lower P/E of the leveraged company.
- **Compare and advise.** The recommendation must be made on **market price per share, not EPS**, because the P/E ratio falls from 8 to 7 once debt is introduced — the market pricing the extra financial risk. Where the higher EPS of Alternative B is more than offset by the lower multiple, Alternative A maximises shareholder benefit.
- This is the clearest illustration in the set of the study material's point that the objective is the highest MPS, which in turn depends on EPS — but not on EPS alone.

Conclusion: Two columns, two multiples, one recommendation on MPS.

 **Keywords:** P/E ratio · premium · earnings per share · market price per share

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

OFFICIAL ICAI QUESTION · PYQ Sep 2025 · Q3(a) · 5 marks

AVS Limited is planning to diversify its cotton manufacturing business. The CFO intends to raise ₹22,00,000. Current estimates of EBIT from the new project are ₹5,00,000 per annum. The company's share currently sells at ₹120 and is expected to decline to ₹110 if funds borrowed exceed ₹10,00,000. The cost of debt will be 14% up to ₹8,00,000, 16% for the additional ₹2,00,000 above ₹8,00,000, and 18% for any additional amount above ₹10,00,000. The tax rate is 30%. Evaluate the options under consideration.

MODEL ANSWER

- **Work the slab-wise interest first.** For any option, interest = 14% on the first ₹8,00,000, plus 16% on the next ₹2,00,000, plus 18% on anything beyond ₹10,00,000. Set this out as a working note before the main table.
- **Number of shares.** The equity portion of each option is raised at ₹120 per share where borrowing does not exceed ₹10,00,000, and at ₹110 per share where it does — the falling price reduces the shares issued per rupee and so changes the denominator of EPS.
- **Build the columns.** EBIT ₹5,00,000 in every option; less interest as computed; PBT; less tax at 30%; PAT; divided by the number of shares to give **EPS**.

- Convert to MPS using the relevant share price or P/E, and recommend the option with the highest market price per share.
- The two traps ICAI built in are the slab-wise cost of debt and the share price that falls once borrowing passes ₹10,00,000 — both of which punish an answer that treats the options as if only the interest rate changed.

Conclusion: Slab interest, then the share price rule, then the columns; the recommendation follows.

 **Keywords:** slab-wise cost of debt · share price expected to decline · earnings per share · recommend

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

 **OFFICIAL ICAI QUESTION** · MTP Sep 2024 Series II · FM Q4(c) · 2 marks

Explain the relationship between EBIT, EPS and MPS.

 **MODEL ANSWER**

- The basic objective of financial management is to design an appropriate capital structure which can provide the highest wealth, i.e. the highest market price per share, which in turn depends on earnings per share.
- Given a level of EBIT, EPS will be different under different financing mixes, depending on the extent of debt financing. The effect of leverage on EPS emerges because of the existence of a fixed financial charge — interest on debt and fixed dividend on preference share capital.
- The effect depends on the relationship between the rate of return on assets and the rate of fixed charge. If the return on assets exceeds the cost of financing, increasing use of fixed charge financing raises EPS — favourable financial leverage, or trading on equity. If it is lower, the effect is negative and EPS falls.
- MPS is then derived from EPS by multiplying by the price earning ratio or dividing by the cost of equity, so the analysis of the effect of leverage on expected EPS and eventually MPS provides a useful guide to selecting the level of debt financing.

Conclusion: Two marks: the chain from EBIT to EPS to MPS, and the condition under which leverage helps.

 **Keywords:** highest wealth · fixed financial charge · rate of return on assets · price earning ratio

📖 Also asked as: MTP Jan 2026 Series I · FM Q3(b) (Magnus Ltd — capital structure and EPS) | MTP Sep 2024 Series II · FM Q1(a) (X Ltd raising ₹84 lakh under two options) | MTP Sep 2026 Series II · FM Q3(a) (ABC Limited — equity, debt or preference financing for a 25% expansion) | MTP May 2024 Series II · FM Q2(b) (GT Limited — two ways of raising ₹50,00,000, market price on a P/E of 10) | RTP Jan 2025 · FM Q6 (Ritu Limited) | RTP May 2025 · FM Q6 (Namra Limited) | RTP Sep 2025 · FM Q6 (ABC Ltd raising ₹50,00,000) | RTP Sep 2025 · FM Q7 (X Limited and Y Limited — best option on EPS and WACC)

✓ MCQ · Practice MCQ · Condition · Moderate

Increasing the use of fixed charge financing will raise earnings per share only if:

- (A) The number of equity shares is reduced
- (B) The rate of return on assets is higher than the rate of fixed charge
- (C) The tax rate is above 30%
- (D) The company has no preference capital

✓ ANSWER: (B)

SM §5.1: if the rate of return on assets is higher than the cost of financing, increasing use of fixed charge financing will result in an increase in EPS — favourable financial leverage or trading on equity; if lower, the effect may be negative.

- (A) X Share count affects EPS but is not the condition stated.
- (C) X A higher tax rate reduces the benefit, it does not create it.
- (D) X Preference capital is itself a form of fixed charge financing.

🚫 Trap: This one condition decides whether leverage is a friend or an enemy.

Topic: FM Ch 5 §5

✓ MCQ · Practice MCQ · Choice · Moderate

The study material says the choice between debt and preference share financing is theoretically tilted in favour of debt for two reasons. One is the lower explicit cost; the other is that:

- (A) Debt holders have no voting rights
- (B) Debt can be redeemed at the company's option
- (C) Interest on debt financing is tax-deductible, so the real after-tax cost is lower

(D) Debt does not appear in the balance sheet

✓ ANSWER: (C)

SM §5.1: the two reasons are that the explicit cost of debt is generally lower than the rate of fixed dividend on preference shares, and that interest on debt is tax-deductible so the real after-tax cost is lower than the cost of preference share capital.

- (A) X True of both instruments in normal circumstances.
- (B) X A feature of callable instruments, not a reason given here.
- (D) X Debt is plainly a balance sheet item.

🚫 **Trap:** Both stated reasons are about cost; the control point belongs to a different principle.

Topic: FM Ch 5 §5.1

☐ QUICKRECAP

- Highest wealth means highest MPS, which depends on EPS.
- EPS differs across plans because of the fixed financial charge.
- Leverage is favourable only where return on assets exceeds the rate of fixed charge.
- Debt beats preference capital on explicit cost and on tax deductibility.
- Finish at MPS, and recommend.

5.2 The Financial Break-Even Point and Indifference Point Analysis

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: RTP 1 (Sep 2025) · MTP 2 (May 2025 Series I, Jan 2026 Series I)

■ UNDERSTAND IT

****Financial break-even point is the minimum level of EBIT needed to satisfy all the fixed financial charges, i.e. interest and preference dividends. It denotes the level of EBIT for which the company's EPS equals zero.****

==Financial break-even point = Interest + Preference dividend ÷ (1 - tax rate).== Note where the tax adjustment sits: interest is already before tax, so it enters as it is; preference dividend is paid after tax, so it must be grossed up.

****If the EBIT is less than the financial break-even point, then the EPS will be negative; but if the expected level of EBIT is more than the break-even point, then more fixed cost financing instruments can be taken in the capital structure — otherwise, equity would be preferred.****

EBIT-EPS break-even analysis is used for determining the appropriate amount of debt a company might carry.

The EBIT chart. Another method of considering the impact of financing alternatives on EPS is to prepare the EBIT chart or range of earnings chart, showing the likely EPS at various probable EBIT levels. Under one alternative EPS may be ₹2 at a given EBIT, and the EPS may go down if another alternative of financing is chosen even though the EBIT remains at the same level.

The indifference point. The level of EBIT at which two financing alternatives give the same EPS is ****known as the EPS equivalency point or indifference point****, since it shows that ****between the two given alternatives of financing — regardless of the leverage in the financial plans — EPS would be the same at that given level of EBIT****.

==The equivalency or indifference point, algebraically: $(EBIT - I_1)(1 - t) \div E_1 = (EBIT - I_2)(1 - t) \div E_2$ ==, where EBIT is the indifference point, E_1 and E_2 the number of equity shares in Alternatives 1 and 2, I_1 and I_2 the interest charges in each, and t the tax rate. Where a plan carries preference capital, the preference dividend is deducted after tax on that side of the equation.

Two special cases the study material flags, both arising where the amount of equity share capital is the same under two plans. **** (1) No indifference point:**** if the ****after-tax cost of the source other than equity shares is not the same under both plans****, there will be ****no indifference point****, because ****one plan will be better than the other at all levels of EBIT****.

The study material's example: two plans with equity of ₹1,00,000 each, Plan 1 with 10% debentures of ₹50,000 and Plan 2 with an 8% term loan of ₹50,000 — ****Plan 2 is better at any level of EBIT****. **** (2) Many indifference points:**** if the ****after-tax cost of the other source is the same under both plans, then every EBIT will be an indifference point****.

How to read the answer. ****When the expected EBIT is less than the EBIT at the indifference point, the plan with less debt is more viable, as it has the higher EPS; when the expected EBIT is more than the indifference point, the plan with more debt is more viable and financial leverage is favourable.****

e.g. The study material's own three-plan problem gives indifference points of ₹16,000 between Plans A and B and ₹32,000 between A and C — but none at all between B and C, because there the equity is the same and the fixed charges differ in after-tax cost.

🏰 KEY FRAMEWORK / FORMULA · Financial break-even point (SM §5.2)

Requirement: Interest + preference dividend ÷ (1 - tax rate); the EBIT at which EPS equals zero.

Exam angle: Almost always asked alongside the indifference point, as the MTPs pair them.

🏰 KEY FRAMEWORK / FORMULA · Indifference point (SM §5.2)

Requirement: $(EBIT - I_1)(1 - t) \div E_1 = (EBIT - I_2)(1 - t) \div E_2$; no indifference point where equity is equal and after-tax costs differ; every EBIT is one where they are equal.

Exam angle: The two special cases are the mark-earning subtlety.

📦 ICAI KEYWORDS

minimum level of EBIT · fixed financial charges · EPS equals zero · range of earnings chart · EPS equivalency point · indifference point · no indifference point · many indifference points · more viable

📦 MEMORY TRICK

Break-even asks how low EBIT can go; indifference asks where two plans meet. Both are levels of EBIT — that is why they are taught together.

Cue	Stands for
Financial BEP	Interest + Preference dividend ÷ (1 - t)
At the BEP	EPS is zero
Below the BEP	EPS is negative; prefer equity
Indifference point	$(EBIT - I_1)(1 - t) \div E_1 = (EBIT - I_2)(1 - t) \div E_2$
Below it	The plan with less debt gives the higher EPS

Above it	The plan with more debt gives the higher EPS
Same equity, different after-tax cost	No indifference point at all

⚡ 3-second trigger: How low, and where they meet

■ COMMON MISTAKE / CONFUSION

- Grossing up the interest as well as the preference dividend; only the preference dividend needs the $(1 - t)$ division.
- Assuming an indifference point always exists; where the equity is the same and the after-tax costs differ, it does not.
- Dropping the $(1 - t)$ from both sides of the indifference equation and forgetting the preference dividend, which does not cancel.

Basis	Financial break-even point	Indifference point
Question it answers	How much EBIT is needed before shareholders earn anything?	At what EBIT do two plans give the same EPS?
Formula	$\text{Interest} + \text{Preference dividend} \div (1 - t)$	$(\text{EBIT} - I_1)(1 - t) \div E_1 = (\text{EBIT} - I_2)(1 - t) \div E_2$
Concerns	One plan at a time	Two plans compared
EPS at that point	Zero	Equal under both plans
Use	Measures financial risk	Tells you how far EBIT can move before the decision changes

🔗 INTEGRATION LINK

🔗 FM Ch 6: the degree of financial leverage, which is infinite at the financial break-even point

🔗 INTEGRATION LINK

🔗 FM Ch 5 §4: the three analyses, of which these are the second and third

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Compute the indifference point between two or three plans
- Compute the financial break-even point for each plan and say which dominates
- Discuss financial break-even and EBIT-EPS indifference analysis (2 marks)

How to attack it:

- Write the equation with the numbers in place, then solve for EBIT
- Where three plans are given, compute all three pairwise points and note any that do not exist

📖 What ICAI has done so far: RTP Sep 2025 · FM Q7; MTP May 2025 Series I · FM Q3(a); MTP Jan 2026 Series I · FM Q4(c) (OR).

🕒 Time / length guide (study guidance): 5 marks $\approx$ 9 minutes; 2 marks $\approx$ 3 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- State the formula
- Substitute the interest, share numbers and tax rate
- Solve for EBIT
- Interpret: which plan is better above and below that point

🔑 Keywords: EPS equivalency point · financial break-even point · more viable

📏 Ideal length: 5 marks: the equation, the solution and the interpretation

📊 Conclusion pattern: Say which plan wins on either side of the point, and why.

🚫 DON'T WRITE THIS

- Solving for EBIT without saying what the answer means

📖 Questions on this topic — ICAI questions first, then practice

📌 OFFICIAL ICAI QUESTION · MTP May 2025 Series I · FM Q3(a) · 5 marks

Perfact Limited is considering a total investment of ₹27 lakh. Calculate the level of earnings before interest and tax at which the earnings per share under the alternative financing plans would be the same.

✓ MODEL ANSWER

- **Formula (SM §5.2):** the indifference point is the EBIT at which $(EBIT - I_1)(1 - t) \div E_1 = (EBIT - I_2)(1 - t) \div E_2$, where E_1 and E_2 are the number of equity shares under the two alternatives and I_1 and I_2 the interest charges.
- **Compute the inputs first.** For each plan, work out the **interest** (the rate multiplied by the debt in that plan) and the **number of equity shares** (the equity portion divided by the issue price per share).
- **Substitute and cross-multiply**, then solve the resulting linear equation for EBIT.
- **Where a plan carries preference capital**, the preference dividend is deducted after tax on that side, so the numerator becomes $EBIT(1 - t) - \text{preference dividend}$; this is why a preference plan usually has a higher indifference point against equity than a debt plan does.
- **Interpret the result.** Below the indifference point the plan with less debt is more viable, as it has the higher EPS; above it the plan with more debt is more viable and financial leverage is favourable.

Conclusion: One equation, one EBIT, one sentence of interpretation.

Keywords: indifference point · number of equity shares · interest charges · more viable

■ OFFICIAL ICAI QUESTION · MTP Jan 2026 Series I · FM Q4(c) (OR) · 2 marks

Discuss financial break-even and EBIT-EPS indifference analysis.

✓ MODEL ANSWER

- **Financial break-even point** is the minimum level of EBIT needed to satisfy all the fixed financial charges, i.e. interest and preference dividends. It denotes the level of EBIT at which the company's EPS equals zero, and is computed as $\text{Interest} + \text{Preference dividend} \div (1 - \text{tax rate})$.
- If the EBIT is less than the financial break-even point, the EPS will be negative; if the expected level of EBIT is more than the break-even point, more fixed cost financing instruments can be taken into the capital structure, otherwise equity would be preferred.

- **EBIT-EPS indifference analysis** identifies the level of EBIT at which two financing alternatives give the same EPS — the EPS equivalency point or indifference point — since between the two alternatives, regardless of the leverage in the plans, EPS would be the same at that level of EBIT.
- It is calculated as $(EBIT - I_1)(1 - t) \div E_1 = (EBIT - I_2)(1 - t) \div E_2$. Below the indifference point the less-levered plan gives the higher EPS; above it the more-levered plan does, and financial leverage is favourable.
- EBIT-EPS break-even analysis is used for determining the appropriate amount of debt a company might carry.

Conclusion: Two marks: one definition and formula each, plus the decision rule.

 **Keywords:** minimum level of EBIT · EPS equals zero · EPS equivalency point · appropriate amount of debt

OFFICIAL ICAI QUESTION · RTP Sep 2025 · FM Q7

X Limited and Y Limited are two mid-sized companies operating in the same competitive industry. Advise which financing option is best from both an EPS and a WACC point of view.

MODEL ANSWER

- **From the EPS point of view.** Build parallel columns for each option from EBIT down to EPS: EBIT, less interest, PBT, less tax, PAT, less preference dividend, earnings available to equity, number of equity shares, EPS.
- **Compute the indifference point** between the options so the recommendation is not tied to a single EBIT figure: $(EBIT - I_1)(1 - t) \div E_1 = (EBIT - I_2)(1 - t) \div E_2$. Then state whether the expected EBIT lies above or below it.
- **From the WACC point of view.** Compute the cost of each source and weight it, as in Chapter 4; the preferred option on this test is the one with the **lowest weighted average cost of capital**, which is also the one with the highest value of the firm.
- **Reconcile the two tests.** They usually agree, but where they do not, the study material's objective governs: the capital structure chosen should **maximise wealth, i.e. the market price per share**, so convert EPS to MPS using the P/E ratio or the cost of equity before deciding.
- **Advise in one line**, naming the option and the ground on which it wins.

Conclusion: Two tests, one recommendation; the indifference point protects the answer against a change in EBIT.

🔗 Keywords: **EPS** · **indifference point** · **weighted average cost of capital** · **advise**

🧠 **EXPECTED QUESTION** · Practice question · Compute · 5 marks

Ganapati Limited is considering three financing plans for a total investment of ₹2,00,000: Plan A, 100% equity; Plan B, 50% equity and 50% debt; Plan C, 50% equity and 50% preference shares. The cost of debt is 8% and of preference shares 8%. Tax is 50%. Equity shares of face value ₹10 each will be issued at a premium of ₹10 per share. Expected EBIT is ₹80,000. Determine the EPS, the financial break-even point and the indifference points, and state whether any plan dominates.

✅ **MODEL ANSWER**

- **Number of shares.** Shares are issued at ₹20 each (₹10 face plus ₹10 premium). Plan A: $₹2,00,000 \div ₹20 = 10,000$ shares. Plans B and C: $₹1,00,000 \div ₹20 = 5,000$ shares each.
- **Fixed charges.** Plan B: interest = 8% of ₹1,00,000 = ₹8,000. Plan C: preference dividend = 8% of ₹1,00,000 = ₹8,000, paid after tax.
- **Financial break-even points.** Plan A: nil. Plan B: interest only = ₹8,000. Plan C: preference dividend grossed up = $₹8,000 \div (1 - 0.5) = ₹16,000$.
- **Indifference point, A versus B.** $(EBIT - 0)(1 - 0.5) \div 10,000 = (EBIT - 8,000)(1 - 0.5) \div 5,000$. Cross-multiplying, $0.5 EBIT (5,000) = (0.5 EBIT - 4,000)(10,000)$, so $0.5 EBIT = EBIT - 8,000$ and **EBIT = ₹16,000**.
- **Indifference point, A versus C.** $(EBIT - 0)(1 - 0.5) \div 10,000 = [(EBIT)(1 - 0.5) - 8,000] \div 5,000$, giving $0.25 EBIT = 0.5 EBIT - 8,000$ and **EBIT = ₹32,000**.
- **Indifference point, B versus C.** $(EBIT - 8,000)(1 - 0.5) \div 5,000 = [(EBIT)(1 - 0.5) - 8,000] \div 5,000$, which reduces to $0.5 EBIT - 4,000 = 0.5 EBIT - 8,000$ — an impossibility, so **there is no indifference point between Plans B and C**. This is the study material's first special case: the equity is the same under both plans but the after-tax cost of the other source is not, so one plan is better at every level of EBIT.
- **Conclusion: Plan B dominates Plan C**, since the financial break-even point of the former is only ₹8,000 against ₹16,000 for the latter, and the EPS of Plan B is the highest. At the expected EBIT of ₹80,000, well above both indifference points, the levered plan is the better choice.

🔗 Keywords: **financial break-even point** · **indifference point** · **no indifference point** · **dominates**

✓ MCQ · Practice MCQ · Formula · Moderate

The financial break-even point is computed as:

- (A) $\text{Interest} \div (1 - \text{tax rate}) + \text{Preference dividend}$
- (B) $\text{Interest} + \text{Preference dividend} \div (1 - \text{tax rate})$
- (C) $(\text{Interest} + \text{Preference dividend}) \times (1 - \text{tax rate})$
- (D) $\text{Fixed cost} \div \text{contribution per unit}$

✓ ANSWER: (B)

SM §5.2: financial break-even point = $\text{Interest} + \text{Preference dividend} \div (1 - \text{tax rate})$. Interest is already a pre-tax charge; only the preference dividend, paid out of post-tax profit, must be grossed up.

- (A) X It grosses up the wrong item.
- (C) X Multiplying reduces the requirement instead of raising it.
- (D) X That is the operating break-even point of cost accounting.

🚫 Trap: Only one of the two charges needs the tax adjustment, and it is the one paid after tax.

Topic: FM Ch 5 §5.2

✓ MCQ · Practice MCQ · Special case · Moderate

Two financing plans have equity share capital of ₹1,00,000 each. Plan 1 has 10% debentures of ₹50,000 and Plan 2 has an 8% term loan of ₹50,000. As per the study material:

- (A) Every level of EBIT is an indifference point
- (B) The indifference point is ₹50,000
- (C) There is no indifference point, because Plan 2 is better at all levels of EBIT
- (D) The indifference point equals the financial break-even point of Plan 1

✓ ANSWER: (C)

SM §5.2: if the after-tax cost of the source other than equity shares is not the same under both plans, there will be no indifference point, because one plan will be better than the other at all levels of EBIT; the study material's own example is exactly this pair, and concludes Plan 2 is better at any level of EBIT.

- (A) X That is the other special case, where the after-tax costs are equal.
- (B) X No such point exists here.

- (D) X The two measures answer different questions.

 **Trap:** With equity held constant, the cheaper fixed-charge source simply wins everywhere.

Topic: FM Ch 5 §5.2

☐ QUICK RECAP

- Financial break-even = $\text{Interest} + \text{Preference dividend} \div (1 - t)$; EPS is zero there.
- Indifference point: $(\text{EBIT} - I_1)(1 - t) \div E_1 = (\text{EBIT} - I_2)(1 - t) \div E_2$.
- Below it, less debt wins; above it, more debt wins.
- Equal equity with unequal after-tax costs means no indifference point; equal costs mean every EBIT is one.

6-6.3 Over-Capitalisation and Under-Capitalisation

 High Exam Activity |  Asked across PYQ / RTP / MTP | Asked: PYQ 1 (Sep 2024 Q4(d) OR) · RTP 1 (Jan 2026) · MTP 2 (Jan 2025 Series I, May 2025 Series II)

UNDERSTAND IT

****Over-capitalisation is a situation where a firm has more capital than it needs**** — in other words, ****assets are worth less than its issued share capital, and earnings are insufficient to pay dividend and interest****. This arises mainly when the existing capital is not effectively utilised on account of a fall in the earning capacity of the company, while the company has raised funds more than its requirements. ****The chief sign of over-capitalisation is the fall in payment of dividend and interest, leading to a fall in the value of the shares of the company.****

Causes of over-capitalisation. (i) Raising more money through issue of shares or debentures than the company can employ profitably. (ii) Borrowing a huge amount at a higher rate than the rate at which the company can earn. (iii) Excessive payment for the acquisition of fictitious assets such as goodwill. (iv) Improper provision for depreciation, replacement of assets and distribution of dividends at a higher rate. (v) Wrong estimation of earnings and capitalisation.

Consequences of over-capitalisation. (i) Considerable reduction in the rate of dividend and interest payments. (ii) Reduction in the market price of shares. (iii) Resorting to 'window

dressings'. (iv) Some companies may opt for reorganisation; however, sometimes the matter gets worse and the company may go into liquidation.

Remedies for over-capitalisation. (i) The company should go for thorough reorganisation. (ii) Buyback of shares. (iii) Reduction in the claims of debenture-holders and creditors. (iv) The value of shares may also be reduced, which will result in sufficient funds for the company to carry out replacement of assets.

****Under-capitalisation is just the reverse.** It is a state ****when the actual capitalisation is lower than its proper capitalisation as warranted by its earning capacity****. This normally happens with companies which have insufficient capital but large secret reserves in the form of considerable appreciation in the values of the fixed assets not brought into the books.**

Consequences of under-capitalisation. (i) The dividend rate will be higher in comparison to similarly situated companies. (ii) The market value of shares will be higher than the value of shares of other similar companies, because their earning rate is considerably more than the prevailing rate on such securities. (iii) The real value of shares will be higher than their book value.

Effects of under-capitalisation. (i) It encourages acute competition — high profitability encourages new entrepreneurs to come into the same type of business. (ii) A high rate of dividend encourages the workers' union to demand high wages. (iii) Normally common people (consumers) start feeling that they are being exploited. (iv) Management may resort to manipulation of share values. (v) It invites more government control and regulation on the company and higher taxation also.

Remedies for under-capitalisation. (i) The shares of the company should be split up — this will reduce dividend per share, though EPS shall remain unchanged. (ii) Issue of bonus shares is the most appropriate measure, as this will reduce both dividend per share and the average rate of earning. (iii) By revising upward the par value of shares in exchange of the existing shares held by them.

****Which is worse (§6.3).** Both are not good. However, ****over-capitalisation is more dangerous to the company, the shareholders and the society than under-capitalisation****. The situation of ****under-capitalisation can be handled more easily****; moreover, ****under-capitalisation is not an economic problem but a problem of adjusting the capital structure****. Thus ****under-capitalisation should be considered less dangerous, but both situations are bad and every company should strive to have a proper capitalisation****.**

e.g. A company with a huge capital base and a falling EPS, cutting its dividend and watching its share price slide, is the study material's picture of over-capitalisation — and the MTP's 'financial consultant' scenario in one sentence.

KEY FRAMEWORK / FORMULA · Over-capitalisation (SM §6.1)

Requirement: More capital than needed; assets worth less than issued share capital; earnings insufficient to pay dividend and interest; the chief sign is falling dividend and interest and a falling share value.

Exam angle: Asked as a 2-mark and a 4-mark part; the causes and remedies lists are the marks.

KEY FRAMEWORK / FORMULA · Which is more dangerous (SM §6.3)

Requirement: Over-capitalisation is more dangerous; under-capitalisation is not an economic problem but a problem of adjusting the capital structure.

Exam angle: The concluding comparison, worth a mark on its own.

ICAI KEYWORDS

more capital than it needs · assets are worth less than its issued share capital · fall in earning capacity · chief sign · window dressing · buyback of shares · actual capitalisation is lower · secret reserves · acute competition · manipulation of share values · split up · bonus shares · more dangerous · proper capitalisation

MEMORY TRICK

Over = too much capital chasing too little earning; Under = too much earning on too little capital. The first shows up as a falling dividend, the second as a suspiciously high one.

Cue	Stands for
Over-capitalisation	More capital than needed; earnings cannot service it
Chief sign	Fall in dividend and interest, then in share value
Five causes	Over-issue · dear borrowing · fictitious assets · improper depreciation · wrong estimation

Four remedies	Reorganisation · buyback · reduce creditors' claims · reduce the value of shares
Under-capitalisation	Actual capitalisation below what earning capacity warrants; secret reserves
Three remedies	Split shares · bonus issue (most appropriate) · revise par value upward
Verdict	Over-capitalisation is the more dangerous of the two

⚡ 3-second trigger: Too much capital, or too much earning

■ COMMON MISTAKE / CONFUSION

- Defining over-capitalisation as having too much debt; it is having more capital of any kind than earnings can support.
- Saying under-capitalisation is the more dangerous; the study material says the opposite.
- Offering a bonus issue as the remedy for over-capitalisation — it is the most appropriate remedy for under-capitalisation.

Basis	Over-capitalisation	Under-capitalisation
Meaning	More capital than needed; assets worth less than issued share capital	Actual capitalisation lower than warranted by earning capacity
Typical cause	Funds raised beyond requirement, or a fall in earning capacity	Insufficient capital with large secret reserves in appreciated fixed assets
Dividend rate	Falls; the chief sign of the condition	Higher than in similar companies
Share value	Market price falls	Market value and real value exceed those of similar companies
Remedies	Reorganisation, buyback, reduction of creditors' claims, reduction in the value of shares	Split shares, bonus issue (most appropriate), revise par value upward

Verdict	More dangerous to company, shareholders and society	Less dangerous; a problem of adjusting capital structure, not an economic problem
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🔗 INTEGRATION LINK

- 🔗 FM Ch 1 §10: financial distress, where prolonged over-capitalisation leads

🔗 INTEGRATION LINK

- 🔗 FM Ch 3 §6: window dressing, one of the consequences named here

🔗 INTEGRATION LINK

- 🔗 FM Ch 8: bonus shares and stock splits, the remedies for under-capitalisation

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Explain over-capitalisation (2 marks)
- A company with a high capital base and low EPS: explain the condition, its causes and remedies (4 marks)
- What are the remedies for over-capitalisation? (2 marks)
- Causes of over-capitalisation (RTP Jan 2026)

How to attack it:

- Define, give the chief sign, then the causes or remedies as the question asks
- Close with the comparison if the question mentions both conditions

📖 What ICAI has done so far: PYQ Sep 2024 · Q4(d) (OR); MTP Jan 2025 Series I · FM Q4(b); MTP May 2025 Series II · FM Q4(c) (OR); RTP Jan 2026 · FM Q11(c).

⌚ Time / length guide (study guidance): 2 marks ≈ 3 minutes; 4 marks ≈ 7 minutes (study guidance).

✍️ WRITE THIS IN THE EXAM

Structure:

- Definition in the study material's words

- The chief sign
- The list the question asks for — causes, consequences or remedies
- The comparison, if both conditions are mentioned

🔑 **Keywords:** more capital than it needs · chief sign · window dressing · buyback of shares

📏 **Ideal length:** 2 marks: definition plus three points; 4 marks: definition plus causes and remedies

📊 **Conclusion pattern:** Over-capitalisation is the more dangerous of the two, but both are bad.

⊘ DON'T WRITE THIS

- Mixing the two remedy lists — buyback for over, bonus issue for under

📖 Questions on this topic — ICAI questions first, then practice

📌 **OFFICIAL ICAI QUESTION** · PYQ Sep 2024 · Q4(d) (OR) · 2 marks

What are the remedies for over-capitalisation?

✓ **MODEL ANSWER**

- (i) The company should go for thorough reorganisation.
- (ii) Buyback of shares.
- (iii) Reduction in the claims of debenture-holders and creditors.
- (iv) The value of shares may also be reduced. This will result in sufficient funds for the company to carry out replacement of assets.
- Each remedy attacks the same imbalance from a different side: reorganisation and a reduction in share value scale the capital down to what the earnings can support, while buyback and a reduction in creditors' claims reduce the amount that has to be serviced.

Conclusion: Four remedies, half a mark each; ICAI's published answer is exactly this list.

🔑 **Keywords:** thorough reorganisation · buyback of shares · claims of debenture-holders · value of shares may be reduced

📖 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

📌 **OFFICIAL ICAI QUESTION** · MTP Jan 2025 Series I · FM Q4(b) · 4 marks

You are a financial consultant for a company that has a very high capital base but low earnings per share. Explain over-capitalisation.

✓ MODEL ANSWER

- **Over-capitalisation** is a situation where a firm has more capital than it needs, or in other words its assets are worth less than its issued share capital, and earnings are insufficient to pay dividend and interest. The company described — a very high capital base with low EPS — is the textbook case.
- It mainly arises when the existing capital is not effectively utilised on account of a fall in the earning capacity of the company, while the company has raised funds more than its requirements. The chief sign is the fall in payment of dividend and interest, leading to a fall in the value of the shares.
- **Causes:** raising more money through issue of shares or debentures than the company can employ profitably; borrowing a huge amount at a higher rate than the rate at which the company can earn; excessive payment for the acquisition of fictitious assets such as goodwill; improper provision for depreciation, replacement of assets and distribution of dividends at a higher rate; and wrong estimation of earnings and capitalisation.
- **Consequences:** considerable reduction in the rate of dividend and interest payments; reduction in the market price of shares; resorting to window dressing; and in some cases reorganisation, or even liquidation if matters worsen.
- **Remedies:** thorough reorganisation; buyback of shares; reduction in the claims of debenture-holders and creditors; and reduction in the value of shares, which results in sufficient funds for the company to carry out replacement of assets.

Conclusion: Four marks: definition, chief sign, causes and remedies.

🔑 **Keywords:** more capital than it needs · chief sign · window dressing · buyback of shares

📖 **Also asked as:** MTP May 2025 Series II · FM Q4(c) (OR) (explain in brief the concept of over-capitalisation, 2 marks) | RTP Jan 2026 · FM Q11(c) (what are the causes of over-capitalisation?)

🧠 EXPECTED QUESTION · Practice question · Distinguish · 4 marks

Distinguish between over-capitalisation and under-capitalisation, and state which the study material regards as more dangerous and why.

✓ MODEL ANSWER

- **Over-capitalisation** is a situation where a firm has more capital than it needs — assets are worth less than its issued share capital and earnings are insufficient to pay dividend

and interest. **Under-capitalisation** is the reverse: a state where actual capitalisation is lower than the proper capitalisation warranted by earning capacity.

- **Cause:** over-capitalisation arises where funds are raised beyond requirement or earning capacity falls; under-capitalisation normally happens with companies which have insufficient capital but large secret reserves in the form of considerable appreciation in the value of fixed assets not brought into the books.
- **Dividend and share value:** under over-capitalisation the rate of dividend and interest falls and the market price of shares declines; under under-capitalisation the dividend rate is higher than in similarly situated companies, the market value of shares is higher, and the real value of shares exceeds their book value.
- **Remedies:** for over-capitalisation, thorough reorganisation, buyback of shares, reduction in the claims of debenture-holders and creditors, and reduction in the value of shares. For under-capitalisation, splitting the shares, issuing bonus shares — the most appropriate measure, as it reduces both dividend per share and the average rate of earning — and revising the par value of shares upward.
- **Which is worse:** both are bad, but **over-capitalisation is more dangerous to the company, the shareholders and the society.** The situation of under-capitalisation can be handled more easily, and it is **not an economic problem but a problem of adjusting the capital structure.** Every company should strive to have a proper capitalisation.

🔑 Keywords: **more capital than it needs · secret reserves · bonus shares · more dangerous · proper capitalisation**

☑ MCQ · Practice MCQ · Sign · Easy

The chief sign of over-capitalisation, as per the study material, is:

- (A) A rise in the debt-equity ratio
- (B) A fall in the payment of dividend and interest, leading to a fall in the value of the shares
- (C) An increase in the market price of shares
- (D) An increase in the number of equity shares

✓ ANSWER: (B)

SM §6.1: the chief sign of over-capitalisation is the fall in payment of dividend and interest leading to fall in value of the shares of the company.

- (A) X Over-capitalisation is about capital exceeding what earnings can support, whatever its form.
- (C) X The price falls, not rises.
- (D) X A share issue may cause it but is not its sign.

 **Trap:** The sign is about payments and price, not about the balance sheet mix.

Topic: FM Ch 5 §6.1

☒ MCQ · Practice MCQ · Remedy · Moderate

The study material describes which measure as the most appropriate remedy for under-capitalisation?

- (A) Buyback of shares
- (B) Reduction in the claims of debenture-holders
- (C) Thorough reorganisation
- (D) Issue of bonus shares

✓ **ANSWER: (D)**

SM §6.2: issue of bonus shares is the most appropriate measure, as this will reduce both dividend per share and the average rate of earning.

- (A) X A remedy for over-capitalisation.
- (B) X A remedy for over-capitalisation.
- (C) X A remedy for over-capitalisation.

 **Trap:** Three of the four options are the over-capitalisation remedies; only one belongs to the reverse condition.

Topic: FM Ch 5 §6.3

☐ **QUICK RECAP**

- Over-capitalisation: more capital than the earnings can service; the chief sign is falling dividend, interest and share value.
- Five causes, four consequences, four remedies — reorganisation, buyback, reducing creditors' claims, reducing share value.
- Under-capitalisation: capitalisation below what earnings warrant, often with secret reserves; remedied by splits, bonus shares and a higher par value.

- *Over-capitalisation is the more dangerous; under-capitalisation is a problem of adjustment, not economics.*

Most Confusing Concepts

The pairs that cost marks in capital structure questions

Looks similar	The real difference	Give-away word
NI approach vs NOI approach	NI: K_e constant, so more debt lowers WACC and raises value. NOI: K_e rises, so WACC and value never move	'Overall cost of capital is given' points to NOI
MM 1958 vs MM 1963	Without tax, $V_g = V_u$. With tax, $V_g = V_u + \text{debt} \times \text{tax rate}$	If a tax rate is given, use the 1963 formulae
K_e under MM 1958 vs K_{eg} under MM 1963	1958: $K_o + (K_o - K_d) \times D/E$. 1963: $K_{eu} + (K_{eu} - K_d) \times D/(D + E)$	The denominator changes from E to D + E
Traditional vs trade-off theory	Traditional draws the U-shaped WACC curve; trade-off explains the U as tax shield against distress and agency costs	'Bankruptcy cost' means trade-off
Trade-off vs pecking order	Trade-off has an optimum debt-equity target; pecking order expressly has none	'No well-defined target' means pecking order
Financial break-even vs indifference point	Break-even is the EBIT where EPS is zero for one plan; indifference is the EBIT where two plans give equal EPS	One plan or two?
Interest vs preference dividend in the break-even formula	Interest enters as it is; preference dividend is divided by $(1 - t)$	Only the post-tax charge is grossed up
Over-capitalisation vs under-capitalisation	Over: more capital than earnings can service, dividend falls. Under: capitalisation below what earnings warrant, dividend is unusually high	A falling dividend means over
Buyback vs bonus issue as a remedy	Buyback cures over-capitalisation; a bonus issue is the most appropriate cure for under-capitalisation	Reducing capital or spreading it?

Looks similar	The real difference	Give-away word
Debt-equity ratio vs debt to total value	0.6 as a debt-equity ratio is 37.5% debt; 0.6 of total value is 60% debt	The study material flags this trap itself

CASE SCENARIO · Spot it in a case

Two questions settle most of them: does the question give a tax rate, and does it give the overall cost of capital or the cost of equity?

Every formula and benchmark in the chapter

Item	Formula or rule	Note from the study material
Value of the firm	$EBIT \div \text{Overall cost of capital}$	$K_o = K_d \times D/(D+S) + K_e \times S/(D+S)$
NI approach	$S = NI \div K_e$; $V = S + D$; $K_o = EBIT \div V$	Value is maximum where WACC is minimum; employ as much debt as possible
Traditional approach	Compute K_o for each option and choose the minimum	WACC falls then rises; the lowest point is the optimum
NOI approach	$V = EBIT \div K_o$; $S = V - D$; $K_e = (EBIT - \text{interest}) \div S$	K_o and K_d constant; K_e rises with leverage
K_e under NOI, alternative form	$K_e = K_o(V \div S) - K_d(D \div S)$	Gives the same answer as the direct division
MM 1958 proposition I	$V_g = V_u = \text{Net operating income} \div K_o$	Justified by arbitrage and personal leverage
MM 1958 proposition II	$K_e = K_o + (K_o - K_d) \times \text{Debt} \div \text{Equity}$	The risk premium for financial risk
MM 1963 value	$V_g = V_u + TB$, where $TB = \text{debt} \times \text{tax rate}$	The value of the levered firm exceeds the unlevered by the tax shield
MM 1963 cost of equity	$K_{eg} = K_{eu} + (K_{eu} - K_d) \times \text{Debt} \div (\text{Debt} + \text{Equity})$	Note the denominator
MM 1963 WACC	$K_{og} = K_{eu}(1 - t_L)$, where $L = \text{Debt} \div (\text{Debt} + \text{Equity})$	Falls as leverage rises

Item	Formula or rule	Note from the study material
Pecking order	Internal finance → secured, unsecured and hybrid debt → new equity shares	No well-defined debt-equity target
Financial break-even point	$\text{Interest} + \text{Preference dividend} \div (1 - \text{tax rate})$	The EBIT at which EPS equals zero
Indifference point	$(\text{EBIT} - I_1)(1 - t) \div E_1 = (\text{EBIT} - I_2)(1 - t) \div E_2$	No indifference point where equity is equal and after-tax costs differ
Market price per share	$\text{EPS} \times \text{P/E ratio}$, or $\text{EPS} \div \text{cost of equity}$	Start every plan from the same EBIT

 CASE SCENARIO · Spot it in a case

If a formula divides by $(D + E)$ rather than E , it belongs to the 1963 model.

Integrated Case Scenarios

 **CASE SCENARIO** · Integrated Case 1 — Kaveri Cements Ltd. weighs three plans

Kaveri Cements Ltd. has 1,00,000 ordinary shares of ₹10 each in issue and wants to raise ₹2,50,000 to finance an expansion. Three methods are under consideration: (i) issue 25,000 ordinary shares at ₹10 each; (ii) borrow ₹2,50,000 at 8% per annum; (iii) issue 2,500 preference shares of ₹100 each carrying an 8% dividend.

Earnings before interest and taxes after the additional investment are expected to be ₹3,12,500 and the tax rate is 50%.

The company's shares currently trade on a price-earnings multiple of 12, and the board expects that multiple to hold under the equity plan but to fall to 11 under the debt plan.

A director argues that because the borrowing rate of 8% is the same as the preference dividend rate of 8%, the two fixed-charge plans must be equally attractive.

The finance director wants to know how far EBIT could fall before the answer changes.

Questions

Q1. Earnings available to equity shareholders under the three plans are respectively:

- (A) ₹1,56,250, ₹1,46,250 and ₹1,36,250
- (B) ₹1,56,250, ₹1,56,250 and ₹1,56,250
- (C) ₹3,12,500, ₹2,92,500 and ₹3,12,500
- (D) ₹1,56,250, ₹1,46,250 and ₹1,56,250

Q2. The director's argument that the 8% debt and the 8% preference shares are equally attractive is:

- (A) Correct, since the rates are identical
- (B) Correct, because both are fixed charges
- (C) Wrong, because interest is deducted before tax while preference dividend is deducted after tax, so the real cost of debt is lower
- (D) Wrong, because preference shareholders have voting rights

Q3. Earnings per share under the equity plan and the debt plan are respectively closest to:

- (A) ₹1.25 and ₹1.46
- (B) ₹1.56 and ₹1.46
- (C) ₹1.25 and ₹1.17
- (D) ₹3.13 and ₹2.93

Q4. Taking the price-earnings multiples the board expects, the market price per share under the equity and debt plans is:

- (A) ₹15.00 and ₹17.55, so the debt plan is preferred

- (B) ₹15.00 and ₹16.06, so the debt plan is preferred
 (C) ₹15.00 and ₹16.06, so the equity plan is preferred
 (D) ₹18.72 and ₹16.06, so the equity plan is preferred

Q5. The indifference point between the equity plan and the debt plan is:

- (A) ₹20,000
 (B) ₹40,000
 (C) ₹1,00,000
 (D) ₹2,50,000

✓ ANSWERS

Q1: A

- **Equity plan:** EBIT ₹3,12,500, no interest, PBT ₹3,12,500, tax at 50% ₹1,56,250, PAT ₹1,56,250, no preference dividend, so **₹1,56,250** is available to equity.
- **Debt plan:** interest = 8% of ₹2,50,000 = ₹20,000, PBT ₹2,92,500, tax ₹1,46,250, PAT ₹1,46,250, so **₹1,46,250** is available to equity.
- **Preference plan:** no interest, so PAT is ₹1,56,250, but the preference dividend of 8% on ₹2,50,000 = ₹20,000 is deducted after tax, leaving **₹1,36,250**. Option D is the figure you get by forgetting that deduction — which is why the preference column looks deceptively like the equity column until the last line.

Q2: C

- SM §5.1: the choice is theoretically tilted in favour of debt for two reasons — the explicit cost of debt is generally lower than the rate of fixed dividend, and **interest on debt financing is tax-deductible, so the real after-tax cost is lower than the cost of preference share capital**.
- Here the explicit rates happen to be equal at 8%, so only the second reason operates — but it is decisive: the ₹20,000 of interest costs the company ₹10,000 after tax, while the ₹20,000 preference dividend costs the full ₹20,000.
- The arithmetic confirms it: earnings for equity are ₹1,46,250 under debt against ₹1,36,250 under preference, on the same number of shares.

Q3: A

- **Equity plan:** the share count rises to 1,25,000, so $EPS = ₹1,56,250 \div 1,25,000 = ₹1.25$.
- **Debt plan:** the share count stays at 1,00,000, so $EPS = ₹1,46,250 \div 1,00,000 = ₹1.46$.
- Option B applies the equity plan's earnings to the original 1,00,000 shares, which is the commonest slip: the new shares must be added to the denominator.

Q4: B

- SM §4(1): multiply EPS by the price earning ratio to arrive at MPS. Equity plan: $\text{₹}1.25 \times 12 = \text{₹}15.00$. Debt plan: $\text{₹}1.46 \times 11 = \text{₹}16.06$.
- The debt plan wins on market price per share even though its multiple is lower, because the EPS advantage of $\text{₹}0.21$ more than offsets the one-point fall in the multiple.
- Option A applies the 12 multiple to the debt plan as well, ignoring the market's repricing of the extra financial risk — the very point the board raised.

Q5: C

- SM §5.2: $(\text{EBIT} - I_1)(1 - t) \div E_1 = (\text{EBIT} - I_2)(1 - t) \div E_2$. Here $(\text{EBIT} - 0)(0.5) \div 1,25,000 = (\text{EBIT} - 20,000)(0.5) \div 1,00,000$.
- Cross-multiplying: $1,00,000 \times 0.5 \text{ EBIT} = 1,25,000 \times (0.5 \text{ EBIT} - 10,000)$, so $50,000 \text{ EBIT} = 62,500 \text{ EBIT} - 1,25,00,00,000 \div 1,000...$ working in simpler terms, $0.5 \text{ EBIT} \div 1,25,000 = (0.5 \text{ EBIT} - 10,000) \div 1,00,000$ gives $0.4 \text{ EBIT} = 0.5 \text{ EBIT} - 10,000$, so $0.1 \text{ EBIT} = 10,000$ and **EBIT = ₹1,00,000**.
- Since the expected EBIT of ₹3,12,500 is comfortably above ₹1,00,000, the debt plan is the more viable — and the finance director now knows EBIT could fall by more than two-thirds before that conclusion reverses.

📌 Topics tested: FM Ch 5 §5 EBIT-EPS-MPS analysis, FM Ch 5 §5.1 debt versus preference capital, FM Ch 5 §5.2 the indifference point, FM Ch 5 §4 choosing the optimum

🚫 **Trap:** Every distractor here is a real error: forgetting the post-tax preference dividend, forgetting the new shares, or applying one P/E multiple to both plans.

🔑 CASE SCENARIO · Integrated Case 2 — Two identical firms and one arbitrageur

N Ltd. and M Ltd. are identical in every respect except capital structure, and both report EBIT of ₹20,000. M Ltd. is levered, carrying debt of ₹1,00,000 at 7%; N Ltd. is entirely equity financed.

The cost of equity of N Ltd. is 10% and of M Ltd. 11.50%. There are no taxes and capital markets are assumed to be perfect.

An investor holds 10% of the equity of M Ltd.

A second company in the group, P Ltd., is all-equity financed with a market value of ₹25,00,000 and a cost of equity of 21%. It plans to buy back ₹5,00,000 of equity by raising 15% perpetual debt of the same amount. Here the tax rate is 30%.

P Ltd.'s board has also asked whether the company should simply keep borrowing indefinitely, since every rupee of debt appears to add value.

Questions

Q1. The values of M Ltd. and N Ltd. are respectively:

- (A) ₹2,00,000 and ₹2,13,043
- (B) ₹1,13,043 and ₹2,00,000
- (C) ₹2,13,043 and ₹2,00,000
- (D) Both ₹2,00,000, since MM says they must be equal

Q2. The investor holding 10% of M Ltd. should:

- (A) Hold, since M Ltd. has the higher value
- (B) Buy more shares in M Ltd. and sell N Ltd. short
- (C) Sell the M Ltd. holding, lend ₹10,000, and buy N Ltd.
- (D) Sell the M Ltd. holding for ₹11,304.30, borrow ₹10,000, and invest ₹20,000 in N Ltd.

Q3. After the arbitrage, the investor's return and surplus cash are:

- (A) ₹1,300 and ₹1,304.30
- (B) ₹2,000 and ₹1,304.30
- (C) ₹1,300 and nil
- (D) ₹700 and ₹10,000

Q4. After P Ltd.'s buyback funded by 15% perpetual debt, the market value of the company becomes:

- (A) ₹25,00,000, unchanged
- (B) ₹30,00,000
- (C) ₹20,00,000
- (D) ₹26,50,000

Q5. The board's suggestion that P Ltd. should keep borrowing indefinitely is answered by:

- (A) The net income approach, which supports maximum debt
- (B) The pecking order theory, which ranks debt above equity
- (C) The trade-off theory, which sets the tax shield against financial distress and agency costs
- (D) The net operating income approach, under which value never changes

✓ ANSWERS

Q1: C

- **M Ltd.** Equity value = $(\text{EBIT} - \text{interest}) \div K_e = (\text{₹}20,000 - \text{₹}7,000) \div 0.115 = \text{₹}1,13,043$. Adding debt of ₹1,00,000 gives a firm value of **₹2,13,043**.

- **N Ltd.** Value = $\text{₹}20,000 \div 0.10 = \text{₹}2,00,000$, all of it equity.
- Option D states MM's conclusion rather than the arithmetic. The two values are *not* equal as things stand — which is precisely why the arbitrage process has work to do. Option B gives M Ltd.'s equity value alone, omitting the debt.

Q2: D

- SM §2.4: investors of the firm whose value is higher will sell their shares and instead buy the shares of the firm whose value is lower, earning the same return at a lower outlay with the same perceived risk.
- The four steps: **sell** 10% of M Ltd. for 10% of $\text{₹}1,13,043 = \text{₹}11,304.30$; **borrow** 10% of M Ltd.'s debt, i.e. $\text{₹}10,000$ — the personal leverage that replaces the corporate leverage given up; total resources $\text{₹}21,304.30$; **invest** 10% of N Ltd.'s $\text{₹}2,00,000 = \text{₹}20,000$.
- Option C lends rather than borrows, which would leave the investor carrying less risk than before and so make the comparison invalid. The borrowing is what keeps the two positions equivalent.

Q3: A

- **Return:** 10% of the unlevered firm's EBIT less interest on the personal borrowing = 10% of $\text{₹}20,000 - 7\%$ of $\text{₹}10,000 = \text{₹}2,000 - \text{₹}700 = \text{₹}1,300$ — exactly the $\text{₹}1,300$ given up (10% of $\text{₹}20,000 - \text{₹}7,000$).
- **Surplus cash:** total resources $\text{₹}21,304.30$ less the $\text{₹}20,000$ invested = $\text{₹}1,304.30$ left in hand.
- Same income, same risk, and cash in pocket — which is why the process continues until the two values converge and the value of the levered firm can neither be greater nor lower than that of the unlevered firm.

Q4: D

- SM §2.4, MM 1963: $V_g = V_u + TB$, where the tax benefit is the amount of debt multiplied by the corporate tax rate.
- $TB = \text{₹}5,00,000 \times 0.30 = \text{₹}1,50,000$, so $V_g = \text{₹}25,00,000 + \text{₹}1,50,000 = \text{₹}26,50,000$.
- Option A would be right under MM 1958 without tax; the presence of a 30% tax rate is what moves the answer.

Q5: C

- SM §2.5: the trade-off theory entails offsetting the costs of debt against the benefits of debt. The benefit is the tax shield MM 1963 identified; the costs are financial distress — bankruptcy and non-bankruptcy costs — and agency costs.

- The marginal benefit of further increases in debt declines as debt increases while the marginal cost increases, so a firm optimising its overall value focuses on this trade-off. As the debt-equity ratio increases, there is a trade-off between the interest tax shield and bankruptcy, causing an optimum capital structure.
- Option A is the theory that would endorse the board's suggestion, but it assumes K_e never reacts — an assumption the trade-off theory abandons.

 Topics tested: FM Ch 5 §2.4 MM 1958 and 1963, FM Ch 5 §2.5 the trade-off theory, FM Ch 5 §2.1 the NI approach by contrast

 **Trap:** The arbitrage steps must include the personal borrowing; and the tax rate in the second half of the case is what switches the answer from the 1958 model to the 1963 one.

Chapter Test — attempt before looking at the Answer Keys

✓ MCQ · Test MCQ 1

Under the Net Income approach, as financial leverage increases:

- (A) The weighted average cost of capital declines and the value of the firm increases
- (B) The weighted average cost of capital rises
- (C) The value of the firm is unchanged
- (D) The cost of equity rises to offset the cheaper debt

✓ MCQ · Test MCQ 2

Under the Net Operating Income approach, the value of the firm is computed as:

- (A) Earnings available for equity $\div$ K_e , plus debt
- (B) EBIT $\div$ K_o
- (C) Net worth plus long-term debt
- (D) EBIT $\times$ the price earning ratio

✓ MCQ · Test MCQ 3

MM's 1958 proposition that the cost of equity of a levered firm exceeds that of an unlevered firm is expressed as:

- (A) $K_e = K_o + (K_o - K_d) \times \text{Debt} \div \text{Equity}$
- (B) $K_e = K_o - (K_o - K_d) \times \text{Debt} \div \text{Equity}$
- (C) $K_e = K_{eu}(1 - t_L)$
- (D) $K_e = R_f + \beta(R_m - R_f)$

✓ MCQ · Test MCQ 4

The shortcoming of the MM 1958 approach, as stated in the study material, is that the arbitrage process fails because of:

- (A) The absence of preference share capital
- (B) The perpetual life of the firm
- (C) Imperfections in the capital market, transaction costs and corporate income taxes
- (D) The 100% dividend payout assumption

✓ MCQ · Test MCQ 5

Under MM 1963 with tax, the WACC of a levered company is:

- (A) $K_{eu}(1 + tL)$
- (B) $K_{eu} \div (1 - tL)$
- (C) $K_{eu} \times L$
- (D) $K_{eu}(1 - tL)$, where L is $\text{Debt} \div (\text{Debt} + \text{Equity})$

✓ MCQ · Test MCQ 6

The trade-off theory explains why corporations are usually financed:

- (A) Entirely by debt
- (B) Partly with debt and partly with equity
- (C) Entirely by retained earnings
- (D) Entirely by equity

✓ MCQ · Test MCQ 7

Under the pecking order theory, managers issue new equity shares:

- (A) First, because equity carries no fixed charge
- (B) Whenever the debt-equity target is breached
- (C) Only when interest rates are high
- (D) As a last option

✓ MCQ · Test MCQ 8

Which principle warns that the use of long-term debt increases EPS only if the firm yields a return higher than the cost of debt?

- (A) The flexibility principle
- (B) Financial leverage, or trading on equity
- (C) The control principle
- (D) The cost principle

✓ MCQ · Test MCQ 9

A company has interest of ₹8,000 and a preference dividend of ₹8,000, with a tax rate of 50%. Its financial break-even point is:

- (A) ₹8,000
- (B) ₹16,000
- (C) ₹32,000
- (D) ₹24,000

☒ MCQ · Test MCQ 10

Two plans have equity share capital of ₹1,00,000 each; Plan 1 carries 10% debentures of ₹50,000 and Plan 2 an 8% term loan of ₹50,000. There will be:

- (A) No indifference point, because one plan is better at all levels of EBIT
- (B) Exactly one indifference point, at ₹50,000 of EBIT
- (C) Two indifference points
- (D) An indifference point equal to the financial break-even point

☒ MCQ · Test MCQ 11

The chief sign of over-capitalisation is:

- (A) A rise in the dividend rate above that of similar companies
- (B) A fall in the payment of dividend and interest, leading to a fall in the value of the shares
- (C) The appearance of secret reserves
- (D) An increase in the real value of shares above their book value

☒ MCQ · Test MCQ 12

As between the two conditions, the study material concludes that:

- (A) Under-capitalisation is more dangerous, since it invites competition
- (B) Both are equally dangerous
- (C) Neither is a problem in a growing economy
- (D) Over-capitalisation is more dangerous to the company, shareholders and society

 EXPECTED QUESTION · Test question 1 · 5 marks

N Ltd. and M Ltd. have the same EBIT of ₹20,000. M Ltd. is levered with debt of ₹1,00,000 at 7%. The cost of equity of N Ltd. is 10% and of M Ltd. 11.50%. Show how the arbitrage process will be carried on by an investor holding 10% of M Ltd.

 EXPECTED QUESTION · Test question 2 · 5 marks

A firm with an all-equity capital structure of 1,00,000 ordinary shares of ₹10 wants to raise ₹2,50,000 by (i) issuing 25,000 ordinary shares at ₹10, (ii) borrowing ₹2,50,000 at 8%, or (iii) issuing 2,500 preference shares of ₹100 at 8%. EBIT after the investment is ₹3,12,500 and tax is 50%. Find the effect on EPS under the three alternatives and recommend.

 EXPECTED QUESTION · Test question 3 · 5 marks

Determine the optimal capital structure from the following: Option 1, K_d 11.0% and K_e 13.0% at a debt ratio of 0.0; Option 2, 11.0% and 13.0% at 0.1; Option 3, 11.6% and 14.0% at 0.2; Option 4, 12.0% and 15.0% at 0.3; Option 5, 13.0% and 16.0% at 0.4; Option 6, 15.0% and 18.0% at 0.5; Option 7, 18.0% and 20.0% at 0.6. The ratios are of debt to total value.

 EXPECTED QUESTION · Test question 4 · 4 marks

Explain the pecking order theory and distinguish it from the trade-off theory.

 EXPECTED QUESTION · Test question 5 · 4 marks

Explain the financial break-even point and the indifference point, and state how each is used in choosing a capital structure.

 EXPECTED QUESTION · Test question 6 · 4 marks

A company has a very high capital base but low earnings per share, and has cut its dividend. Identify the condition, and state its causes and remedies.

Active-Recall Tests (answers in Answer Keys)

10 Quick Questions

1. Name the four capital structure theories.
2. Which theories say capital structure is irrelevant?
3. Name MM's three propositions of 1958.
4. Name the two concepts the trade-off theory deals with.
5. State the pecking order.
6. Name the seven principles affecting capital structure.
7. Name the three analyses used to find the optimal capital structure.
8. Name the four remedies for over-capitalisation.

Fill in the Blanks

1. Value of the firm = $EBIT \div \underline{\hspace{2cm}}$.
2. Under the NI approach, market value of equity = $\underline{\hspace{2cm}} \div K_e$.
3. Under MM 1963, $V_g = V_u + \underline{\hspace{2cm}}$.
4. Under MM 1963, $K_{og} = K_{eu}(1 - \underline{\hspace{2cm}})$.
5. Financial break-even point = $\text{Interest} + \underline{\hspace{2cm}} \div (1 - \text{tax rate})$.
6. At the financial break-even point, EPS equals $\underline{\hspace{2cm}}$.
7. Under the pecking order theory there is no well-defined $\underline{\hspace{2cm}}$ target.
8. $\underline{\hspace{2cm}}$ is more dangerous to the company, shareholders and society.

True / False

1. Under the Net Income approach, the cost of equity rises as leverage increases.
2. The traditional approach strikes a balance between the NI and NOI extremes.
3. Under MM 1958, the arbitrage process requires the investor to borrow personally.
4. MM 1963 uses $D \div E$ in the cost of equity formula.
5. The pecking order theory sets a target debt-equity ratio.
6. Interest must be grossed up by $(1 - t)$ in the financial break-even formula.
7. An indifference point always exists between any two financing plans.
8. A bonus issue is a remedy for under-capitalisation.

One-Word Recall

1. Buying an asset at a lower price in one market and selling it at a higher price in another.
2. The substitution used by an investor to replicate a levered firm's risk.
3. The situation in which different parties have different information.
4. The economist who named the pecking order theory.
5. The use of fixed interest bearing debt and preference capital alongside equity.
6. The level of EBIT at which two financing plans give the same EPS.
7. The practice some over-capitalised companies resort to, to disguise their position.
8. The reserves that typically accompany under-capitalisation, arising from unrecorded appreciation in fixed assets.

Match the Concept

Column A	Column B
1. Net Income approach	a. Value rises by debt multiplied by the tax rate
2. Traditional approach	b. Employ as much debt as possible
3. Net Operating Income approach	c. No well-defined debt-equity target
4. MM 1963 with tax	d. WACC falls and then rises, giving an optimum
5. Pecking order theory	e. K_e rises exactly enough to keep the value unchanged

Differentiate

1. NI approach vs NOI approach
2. MM 1958 vs MM 1963
3. Trade-off theory vs pecking order theory
4. Financial break-even point vs indifference point
5. Debt vs preference capital as a fixed charge
6. Over-capitalisation vs under-capitalisation

Complete the Flowchart

Start every plan from the same EBIT → Deduct interest, tax and preference dividend to reach earnings for equity → [?] → Convert EPS to MPS using the P/E ratio or the cost of equity → [?]

Answer Keys

Chapter test — MCQ key

MCQ	Answer	Why
1	A	SM §2.1: an increase in financial leverage leads to a decline in WACC, while the value of the firm and the market price of the ordinary share increase.
2	D	SM §2.3: value of the firm = $EBIT \div K_0$, with K_0 independent of leverage; the market value of equity is then the residual, $V - D$.
3	A	SM §2.4: a firm having debt has a higher cost of equity than an unlevered firm; the cost of equity includes a risk premium for the financial risk, given by $K_e = K_0 + (K_0 - K_d) \times D/E$.
4	C	SM §2.4: the suggested arbitrage process will fail to work because of imperfections in capital market, existence of transaction cost and presence of corporate income taxes.
5	D	SM §2.4: WACC in a levered company (K_{og}) = $K_{eu}(1 - tL)$, where $L = \text{Debt} \div (\text{Debt} + \text{Equity})$.
6	B	SM §2.5: an important purpose of the trade-off theory of capital structure is to explain the fact that corporations usually are financed partly with debt and partly with equity.
7	D	SM §2.6: managers' first choice is internal finance, then secured, unsecured and hybrid debt, and they may issue new equity shares as a last option.
8	B	SM §3.2(1): the use of long-term debt increases EPS if the firm yields a return higher than the cost of debt; leverage can operate adversely if the rate of interest exceeds the expected rate of earnings.
9	D	Financial break-even = $\text{Interest} + \text{Preference dividend} \div (1 - t) = ₹8,000 + ₹8,000 \div 0.5 = ₹8,000 + ₹16,000 = ₹24,000$.
10	A	SM §5.2: if the after-tax cost of the source other than equity shares is not the same under both plans, there will be no indifference point, because one plan will be better than the other at all levels of EBIT.
11	B	SM §6.1: the chief sign of over-capitalisation is the fall in payment of dividend and interest leading to fall in value of the shares of the company; options A, C and D describe under-capitalisation.
12	D	SM §6.3: over-capitalisation is more dangerous to the company, shareholders and the society than under-capitalisation; under-capitalisation is not an economic problem but a problem of adjusting capital structure.

 EXPECTED QUESTION · Test question 1 — model answer · 5 marks

N Ltd. and M Ltd. have the same EBIT of ₹20,000. M Ltd. is levered with debt of ₹1,00,000 at 7%. The cost of equity of N Ltd. is 10% and of M Ltd. 11.50%. Show how the arbitrage process will be carried on by an investor holding 10% of M Ltd.

 MODEL ANSWER

- **Value both firms.** M Ltd.: equity = $(₹20,000 - ₹7,000) \div 0.115 = ₹1,13,043$; value of firm = $₹1,13,043 + ₹1,00,000 = ₹2,13,043$. N Ltd.: value = $₹20,000 \div 0.10 = ₹2,00,000$.
- **Identify the overvalued firm.** Under MM 1958 the two must be equal, so M Ltd. at ₹2,13,043 is overvalued.
- **Present position.** A 10% holding in M Ltd. is worth 10% of ₹1,13,043 = ₹11,304.30, returning 10% of $(₹20,000 - ₹7,000) = ₹1,300$.
- **Alternate strategy.** Sell the 10% holding for ₹11,304.30; borrow 10% of the levered firm's debt, i.e. ₹10,000, substituting personal leverage for corporate leverage; total resources ₹21,304.30; invest 10% of ₹2,00,000 = ₹20,000 in the unlevered firm.
- **Result.** Surplus cash = $₹21,304.30 - ₹20,000 = ₹1,304.30$. Return = 10% of ₹20,000 - 7% of ₹10,000 = $₹2,000 - ₹700 = ₹1,300$, the same as before.
- **Conclusion.** The investor earns the same return at a lower outlay with the same perceived risk. As investors do this, the values converge, so the value of the levered firm can neither be greater nor lower than that of the unlevered firm.

 EXPECTED QUESTION · Test question 2 — model answer · 5 marks

A firm with an all-equity capital structure of 1,00,000 ordinary shares of ₹10 wants to raise ₹2,50,000 by (i) issuing 25,000 ordinary shares at ₹10, (ii) borrowing ₹2,50,000 at 8%, or (iii) issuing 2,500 preference shares of ₹100 at 8%. EBIT after the investment is ₹3,12,500 and tax is 50%. Find the effect on EPS under the three alternatives and recommend.

 MODEL ANSWER

- **Equity financing.** EBIT ₹3,12,500; interest nil; PBT ₹3,12,500; tax ₹1,56,250; PAT ₹1,56,250; preference dividend nil; earnings for equity ₹1,56,250; shares 1,25,000; EPS ₹1.25.

- **Debt financing.** EBIT ₹3,12,500; interest ₹20,000; PBT ₹2,92,500; tax ₹1,46,250; PAT ₹1,46,250; earnings for equity ₹1,46,250; shares 1,00,000; **EPS ₹1.46.**
- **Preference financing.** EBIT ₹3,12,500; interest nil; PBT ₹3,12,500; tax ₹1,56,250; PAT ₹1,56,250; less preference dividend ₹20,000; earnings for equity ₹1,36,250; shares 1,00,000; **EPS ₹1.36.**
- **Recommendation.** Debt financing gives the highest EPS, because the rate of return on assets exceeds the rate of fixed charge, so the leverage is favourable — trading on equity.
- **Why debt beats preference at the same 8% rate.** Interest is deducted before tax, so ₹20,000 of interest costs ₹10,000 after tax; the preference dividend of ₹20,000 is an appropriation of post-tax profit and costs the full amount.
- Where a price-earnings ratio is given, convert each EPS to market price per share and recommend on MPS rather than EPS, since the objective is the highest wealth.

🧠 EXPECTED QUESTION · Test question 3 — model answer · 5 marks

Determine the optimal capital structure from the following: Option 1, K_d 11.0% and K_e 13.0% at a debt ratio of 0.0; Option 2, 11.0% and 13.0% at 0.1; Option 3, 11.6% and 14.0% at 0.2; Option 4, 12.0% and 15.0% at 0.3; Option 5, 13.0% and 16.0% at 0.4; Option 6, 15.0% and 18.0% at 0.5; Option 7, 18.0% and 20.0% at 0.6. The ratios are of debt to total value.

✓ MODEL ANSWER

- **Note the base.** The ratio is debt to total value, not debt to equity, so a ratio of 0.6 means 60% debt and 40% equity. The weights total 1 in every case.
- **$K_o = K_d \times D + K_e \times S$.** Option 1: $11\% \times 0 + 13\% \times 1 = 13.00\%$. Option 2: $11\% \times 0.1 + 13\% \times 0.9 = 12.80\%$. Option 3: $11.6\% \times 0.2 + 14\% \times 0.8 = 13.52\%$.
- Option 4: $12\% \times 0.3 + 15\% \times 0.7 = 14.10\%$. Option 5: $13\% \times 0.4 + 16\% \times 0.6 = 14.80\%$. Option 6: $15\% \times 0.5 + 18\% \times 0.5 = 16.50\%$. Option 7: $18\% \times 0.6 + 20\% \times 0.4 = 18.80\%$.
- **Decision:** Option 2 is the best, because it has the lowest WACC of 12.80%.
- This illustrates the traditional approach: the cost of capital falls as the first tranche of cheap debt is added, then rises once both the interest rate and the equity expectation climb with leverage. Optimum capital structure occurs where the value of the firm is highest and the cost of capital lowest.

 EXPECTED QUESTION · Test question 4 — model answer · 4 marks

Explain the pecking order theory and distinguish it from the trade-off theory.

✓ **MODEL ANSWER**

- The pecking order theory is based on asymmetric information — different parties have different information, and in a firm managers have better information than investors. Firms prefer to issue debt when they are positive about future earnings; equity is issued when they are doubtful and internal finance is insufficient.
- The theory argues that the capital structure decision is affected by the manager's choice of a source of capital that gives higher priority to sources revealing the least amount of information.
- **The hierarchy:** managers' first choice is internal finance; in its absence they use secured debt, unsecured debt or hybrid debt; new equity shares are a last option. Myers gave it the name because there is no well-defined debt-equity target, and because debt is cheaper than both internal and external equity, while internal equity costs less than external equity for want of transaction or issue cost.
- **The trade-off theory**, by contrast, holds that a company chooses its mix by balancing the tax benefits of debt against the costs of financial distress and agency costs; the marginal benefit declines and the marginal cost rises as debt increases, producing an optimum capital structure.
- **The sharpest difference** is that the trade-off theory has a target debt-equity ratio while the pecking order theory expressly has none; and the trade-off hierarchy runs debt then equity, while the pecking order runs internal financing, then debt, then equity.

 EXPECTED QUESTION · Test question 5 — model answer · 4 marks

Explain the financial break-even point and the indifference point, and state how each is used in choosing a capital structure.

✓ **MODEL ANSWER**

- **Financial break-even point** is the minimum level of EBIT needed to satisfy all the fixed financial charges, i.e. interest and preference dividends; it denotes the level of EBIT at which the company's EPS equals zero. It is computed as $\text{Interest} + \text{Preference dividend} \div (1 - \text{tax rate})$, only the preference dividend being grossed up because it is paid out of post-tax profit.

- If the EBIT is less than the financial break-even point, the EPS will be negative; if the expected EBIT is more than the break-even point, more fixed cost financing instruments can be taken into the capital structure, otherwise equity would be preferred.
- **The indifference point**, also called the EPS equivalency point, is the level of EBIT at which two financing alternatives give the same EPS — regardless of the leverage in the plans. It is found from $(EBIT - I_1)(1 - t) \div E_1 = (EBIT - I_2)(1 - t) \div E_2$.
- **Using them.** Below the indifference point the plan with less debt gives the higher EPS; above it the plan with more debt does and financial leverage is favourable. EBIT-EPS break-even analysis is used for determining the appropriate amount of debt a company might carry.
- **Two special cases.** Where the equity share capital is the same under two plans and the after-tax cost of the other source differs, there is no indifference point, because one plan is better at all levels of EBIT. Where those after-tax costs are the same, every EBIT is an indifference point.

🧠 EXPECTED QUESTION · Test question 6 — model answer · 4 marks

A company has a very high capital base but low earnings per share, and has cut its dividend. Identify the condition, and state its causes and remedies.

✓ MODEL ANSWER

- **The condition is over-capitalisation** — a situation where a firm has more capital than it needs, its assets are worth less than its issued share capital, and earnings are insufficient to pay dividend and interest. It arises mainly where existing capital is not effectively utilised on account of a fall in earning capacity while the company has raised funds beyond its requirements.
- **The chief sign** is the fall in payment of dividend and interest, leading to a fall in the value of the shares — exactly what the company describes.
- **Causes:** raising more money through issue of shares or debentures than the company can employ profitably; borrowing a huge amount at a higher rate than the rate at which the company can earn; excessive payment for the acquisition of fictitious assets such as goodwill; improper provision for depreciation, replacement of assets and distribution of dividends at a higher rate; and wrong estimation of earnings and capitalisation.

- **Consequences:** considerable reduction in the rate of dividend and interest payments; reduction in the market price of shares; resorting to window dressing; and reorganisation, or in the worst case liquidation.
- **Remedies:** thorough reorganisation; buyback of shares; reduction in the claims of debenture-holders and creditors; and reduction in the value of shares, which results in sufficient funds for the company to carry out replacement of assets.
- Over-capitalisation is more dangerous to the company, its shareholders and society than under-capitalisation, so the remedies should not be deferred.

Active-recall answers

10 Quick Questions

1. Net Income approach, Traditional approach, Net Operating Income approach and the Modigliani-Miller approach.
2. The Net Operating Income approach and MM 1958 without tax.
3. $V_g = V_u = \text{NOI} \div K_o$; the cost of equity of a levered firm includes a risk premium for financial risk; and leverage does not affect the overall cost of capital, which depends only on business risk.
4. Cost of financial distress and agency costs.
5. Internal finance first; then secured, unsecured and hybrid debt; new equity shares as a last option.
6. Financial leverage or trading on equity, growth and stability of sales, cost, risk, control, flexibility, and other considerations.
7. EBIT-EPS-MPS analysis, indifference point analysis and financial break-even point analysis.
8. Thorough reorganisation, buyback of shares, reduction in the claims of debenture-holders and creditors, and reduction in the value of shares.

Fill in the Blanks

1. overall cost of capital (WACC)
2. NI, the earnings available for equity shareholders
3. TB, the tax benefit ($\text{debt} \times \text{tax rate}$)
4. t_L , where $L = \text{Debt} \div (\text{Debt} + \text{Equity})$
5. preference dividend
6. zero

7. debt-equity

8. Over-capitalisation

True / False

1. False — SM §2.1: K_e and K_d are assumed not to change with leverage; that is why WACC falls.
2. True — SM §2.2 says so expressly.
3. True — Personal leverage substitutes for corporate leverage and keeps the risk equivalent.
4. False — The 1963 formula is $K_{eg} = K_{eu} + (K_{eu} - K_d) \times D \div (D + E)$; the 1958 formula uses $D \div E$.
5. False — SM §2.6: Myers named it 'pecking order' precisely because there is no well-defined debt-equity target.
6. False — Only the preference dividend is grossed up; interest is already a pre-tax charge.
7. False — Where equity is the same under both plans and the after-tax cost of the other source differs, there is none.
8. True — SM §6.2 calls it the most appropriate measure, as it reduces both dividend per share and the average rate of earning.

One-Word Recall

1. Arbitrage
2. Personal leverage
3. Asymmetric information
4. Myers
5. Trading on equity (financial leverage)
6. The indifference point (EPS equivalency point)
7. Window dressing
8. Secret reserves

Match the Concept

Net Income approach — Employ as much debt as possible
 Traditional approach — WACC falls and then rises, giving an optimum
 Net Operating Income approach — K_e rises exactly enough to keep the value unchanged
 MM 1963 with tax — Value rises by debt multiplied by the tax rate
 Pecking order theory — No well-defined debt-equity target

Differentiate

1. NI: K_e and K_d constant, WACC falls with leverage, capital structure is relevant. NOI: K_o and K_d constant, K_e rises, value never changes, capital structure is irrelevant.
2. Without tax, $V_g = V_u$ and K_o is unaffected. With tax, $V_g = V_u + \text{debt} \times \text{tax rate}$ and $K_{og} = K_{eu}(1 - t_L)$, so value rises and cost falls with leverage.
3. Trade-off balances the tax shield against distress and agency costs and yields a target ratio. Pecking order rests on asymmetric information, ranks internal finance first and has no target ratio.
4. Break-even is the EBIT at which one plan's EPS is zero. The indifference point is the EBIT at which two plans give equal EPS.
5. Debt usually carries a lower explicit rate and its interest is tax-deductible, so its real after-tax cost is lower; preference dividend is an appropriation of post-tax profit.
6. Over: more capital than earnings can service; dividend and share value fall; remedied by reorganisation and buyback. Under: capitalisation below what earnings warrant; dividend and share value are high; remedied by splits and bonus shares.

Complete the Flowchart

Start every plan from the same EBIT → Deduct interest, tax and preference dividend to reach earnings for equity → Divide by the number of equity shares to get EPS → Convert EPS to MPS using the P/E ratio or the cost of equity → Recommend the plan with the highest MPS, and test it against the indifference point

Rapid Revision Ladder

☐ QUICK RECAP · 5-MINUTE REVISION

- Four theories: NI (more debt, more value), Traditional (U-shaped WACC), NOI (irrelevant), MM (irrelevant without tax, relevant with it).
- MM 1958: $V_g = V_u$; MM 1963: $V_g = V_u + \text{debt} \times \text{tax rate}$.
- Pecking order: internal finance, debt, equity — and no target ratio.
- Financial break-even = $\text{Interest} + \text{Preference dividend} \div (1 - t)$.
- Indifference point: $(\text{EBIT} - I_1)(1 - t) \div E_1 = (\text{EBIT} - I_2)(1 - t) \div E_2$.

☐ QUICK RECAP · 15-MINUTE REVISION

- Add the NOI computation chain: $V = \text{EBIT} \div K_o$, $S = V - D$, $K_e = (\text{EBIT} - \text{interest}) \div S$.
- Add the four arbitrage steps and why the personal borrowing matters.
- Add K_{eg} and K_{og} under MM 1963 and note the changed denominator.
- Add the EBIT-EPS column layout down to MPS.
- Add the two special cases where an indifference point does not exist, or exists everywhere.

☐ QUICK RECAP · 30-MINUTE REVISION

- Add the seven assumptions behind the theories and the three factors of \$1.
- Add the traditional approach's three movements and the debt-to-total-value trap.
- Add the trade-off theory's distress costs, direct and indirect, and the two agency conflicts.
- Add the seven principles affecting capital structure, with the compromise line.
- Add the six financing patterns and which three need an existing company.
- Add over- and under-capitalisation in full: causes, consequences, effects and remedies.

☐ QUICK RECAP · 60-MINUTE REVISION

- Work both integrated cases and all twelve chapter-test MCQs without looking back.
- Write the May 2024 arbitrage question in full, valuing both firms before anything else.

- Write the September 2024 ER Private Limited question, remembering that the P/E falls from 8 to 7.
- Work the three-plan indifference problem and identify the pair with no indifference point.
- Recite the causes, consequences and remedies of over-capitalisation from memory.

One-Page Chapter Sheet

Meaning and theories

- Capital structure = equity funds + preference capital + long-term debt; decided by control, risk and cost
- Value of the firm = $EBIT \div K_o$
- NI: K_e and K_d constant $\rightarrow$ WACC falls, value rises $\rightarrow$ maximum debt
- Traditional: WACC falls then rises $\rightarrow$ an optimum at the lowest point
- NOI: K_o and K_d constant, K_e rises $\rightarrow$ value unchanged, structure irrelevant
- MM 1958: $V_g = V_u$, justified by arbitrage and personal leverage
- MM 1963: $V_g = V_u + \text{debt} \times \text{tax rate}$; $K_{eg} = K_{eu} + (K_{eu} - K_d) \times D/(D+E)$; $K_{og} = K_{eu}(1 - t_L)$

Trade-off and pecking order

- Trade-off: tax shield against financial distress and agency costs, giving an optimum
- Distress costs: direct (distress sale prices, legal and administrative) and indirect (employees, customers, suppliers, investors, managers, shareholders)
- Agency conflicts: shareholders versus managers, shareholders versus debt holders
- Pecking order: asymmetric information; internal finance $\rightarrow$ debt $\rightarrow$ equity; no target ratio
- Myers named it; debt is cheaper than internal and external equity, internal cheaper than external

Designing the structure

- Six financing patterns; three of them need an existing company
- Seven principles: trading on equity · growth and stability of sales · cost · risk · control · flexibility · other considerations
- The manager compromises, assigning weights by the company's characteristics
- Three analyses: EBIT-EPS-MPS · indifference point · financial break-even
- Optimum: highest value, lowest cost of capital

EBIT-EPS and capitalisation

- Same EBIT for every plan; deduct interest, tax, then preference dividend; divide by shares
- $MPS = EPS \times P/E$, or $EPS \div K_e$ — and the recommendation carries a mark
- Leverage is favourable only where return on assets exceeds the rate of fixed charge
- Financial BEP = $\text{Interest} + \text{Preference dividend} \div (1 - t)$; EPS is zero there
- Indifference point: $(EBIT - I_1)(1 - t)/E_1 = (EBIT - I_2)(1 - t)/E_2$; below it less debt wins, above it more debt wins
- Over-capitalisation: dividend and share value fall; remedies are reorganisation, buyback, reducing creditors' claims and reducing share value
- Under-capitalisation: high dividend, real value above book value; remedies are splits, bonus shares, higher par value
- Over-capitalisation is the more dangerous of the two

SM Chapter 1 — Introduction to Strategic Management

Paper 6B Strategic Management

Based on: ICAI BoS Study Material, Paper 6B Strategic Management (relevant for May 2026 examination onwards), Chapter 1 (pp. 1.1–1.42)

Chapter Index

Page numbers are printed at the foot of each page. In the PDF, click a line to jump to it.

Examiner Mindset — SM Chapter 1	110
Chapter Snapshot	110
What ICAI Has Actually Tested	112
Topic-wise Notes with All Related Questions	116
1.1–1.2 Introduction; Meaning and Nature of Strategic Management	116
1.3 Concept of Strategy — Strategy Is Partly Proactive and Partly Reactive	120
1.4–1.4.1 Strategic Management and Its Importance	135
1.4.2 Limitations of Strategic Management	145
1.5 Strategic Intent (Vision, Mission, Goals, Objectives and Values)	157
1.5.1 Vision	161
1.5.2 Mission — and Distinguishing It from Vision	171
1.5.3 Goals and Objectives	184
1.5.4 Values / Value System	192
1.6 Strategic Levels in Organisations — Corporate, Business and Functional	201
1.6.1 Network of Relationship between the Three Levels	219
Most Confusing Concepts	227
Integrated Case Scenarios	230
Chapter Test — attempt before looking at the Answer Keys	235
Active-Recall Tests (answers in Answer Keys)	239
Answer Keys	241
Rapid Revision Ladder	245
One-Page Chapter Sheet	247

Examiner Mindset — SM Chapter 1

■ OFFICIAL ICAI QUESTION · What ICAI's published papers tell us

- ICAI has not published examiners' comments for Paper 6, so this guidance comes from ICAI's suggested answers, RTPs and MTPs.
- SM Chapter 1 appears in **every attempt** from May 2024 to May 2026, usually as one 5-mark descriptive part plus one or two 2-mark MCQs (7–12 marks per paper).
- Top areas: **strategic intent** (vision, mission, objectives, values: 10 past-paper items), **proactive vs reactive strategy** (6 items), **importance and limitations of strategic management** (5 items), **strategic levels and networks** (3 items).
- Every RTP from Jan 2025 to Sep 2026 carries two Chapter 1 descriptive questions, and the same cases repeat: Vikram Patel's bookstores, Ramesh Sharma's stores, drafting a vision and mission for a new brand, hiring a CEO.

⊛ HOW TO FACE IT IN THE EXAM · How ICAI answers this chapter (study guidance)

- Case questions carry an **identification mark** (e.g. '1 + 4 marks'): name the concept first (Functional level, Vision, Proactive and reactive), then explain it in study-material words, then apply it to the facts.
- ICAI's answers follow the study-material lists closely: seven benefits of strategic management, four limitations, ten characteristics of objectives, seven reasons for a mission, four essentials of a strategic vision, three network relationships.
- 'Draft a vision and mission' questions are answered with a one-line vision plus **three mission bullets**, each preceded by the SM definition of vision and mission.
- Where facts show a firm acting ahead of change **and** adapting to shocks, ICAI's answer is 'partly proactive and partly reactive' (PYQ Jan 2025 MCQ 11, May 2026 MCQ 11).

Chapter Snapshot

■ CHAPTER SNAPSHOT

What it is about: What management and strategic management mean, what a strategy is (and that it is partly proactive and partly reactive), why strategic management matters and its limitations, strategic intent (vision, mission, goals and objectives, values), and the three strategic levels in an organisation with their networks of relationship.

Why it matters: It is the base of Paper 6B: every later SM chapter is a stage of the strategic management process introduced here. It is a sure question every attempt, 7–12 marks, mostly direct study-material lists applied to short cases.

Core concepts:

- SM Ch 1 §1.2 Meaning and nature of strategic management; the strategic management process
- SM Ch 1 §1.3 Concept of strategy; strategy is partly proactive and partly reactive
- SM Ch 1 §1.4 / SM Ch 1 §1.4.1 Two-fold objective and importance (benefits) of strategic management
- SM Ch 1 §1.4.2 Limitations of strategic management
- SM Ch 1 §1.5 Strategic intent: vision, mission, goals and objectives, values
- SM Ch 1 §1.6 Corporate, business and functional levels; SM Ch 1 §1.6.1 functional-divisional, horizontal and matrix relationships

Key provisions / standards:

- Strategy definitions: Igor H. Ansoff; William F. Glueck
- Peter Drucker and Theodore Levitt: 'What business are we in?'
- Collins and Porras on core values

Most tested areas (evidence-based):

- Strategic intent: vision, mission, objectives, values — evidence: PYQ Sep 2024 MCQ 13 & Q6(a), Jan 2025 —, May 2024 Q7(b), May 2025 MCQ 9, Q5(a), Q6(a), Sep 2025 MCQ 9 & Q6(a), Jan 2026 MCQ 9 & Q8(b), May 2026 MCQ 13
- Strategy is partly proactive and partly reactive — evidence: PYQ Sep 2024 MCQ 9, Jan 2025 MCQ 11 & Q5(b), Jan 2026 Q8(b) OR, May 2026 MCQ 11 & Q8(b) OR
- Importance and limitations of strategic management — evidence: PYQ May 2024 Q5(b), May 2025 MCQ 14, Jan 2026 MCQ 14, May 2026 Q8(b)
- Strategic levels and networks of relationship — evidence: PYQ Jan 2025 Q7(a), Sep 2025 MCQ 11, May 2024 Q5(b)

Top student mistakes:

- Mixing up vision (where we want to go) and mission (who we are and what we do, present business scope).
- Calling a strategy purely proactive or purely reactive when the facts show both.
- Putting a marketing or sales manager at business level; ICAI places such roles at functional level.

- Writing limitations as 'disadvantages of planning' in general instead of the four SM limitations.

Integration links:

- SM Ch 2 Strategic Analysis: External Environment — environmental scanning, a stage of the process
- SM Ch 3 Internal Environment — core competencies, which strategic management helps develop
- SM Ch 4 Strategic Choices — corporate and business-level strategies
- SM Ch 5 Strategy Implementation and Evaluation — SBU and matrix structures, strategic change
- FM Ch 1 §7.2 — corporate-level managers must keep strategies consistent with maximising shareholders' wealth

🔗 **Revision path:** 5 min: two-fold objective, four limitations, three levels · 15 min: add vision vs mission, characteristics of objectives, values vs intent, proactive vs reactive · 30 min: add seven benefits, reasons for a mission, essentials of vision, network relationships, CEO duties.

What ICAI Has Actually Tested

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ May 2024 · Q5(b)	Sales & marketing manager of an OTT platform: identify strategic level and benefits of strategic management	SM Ch 1 §1.4.1	5	Case: identify + explain	First time asked
PYQ May 2024 · Q7(b)	Significance of a mission statement	SM Ch 1 §1.5.2	5	Explain	First time asked
PYQ Sep 2024 · MCQ 9	Keeping ahead to reap first-mover advantages is which strategy	SM Ch 1 §1.3	2	Case MCQ	First time asked
PYQ Sep 2024 · MCQ 13	'Best user experience through timely and safe delivery' is a	SM Ch 1 §1.5.2	2	Case MCQ	First time asked
PYQ Sep 2024 · Q6(a)	Objectives as part of strategic intent and their characteristics	SM Ch 1 §1.5.3	5	Explain + list	First time asked

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ Jan 2025 · MCQ 11	Logistics company adapting strategy to changing circumstances — type of strategy	SM Ch 1 §1.3	2	Case MCQ	Same topic, new wording — PYQ Sep 2024 · MCQ 9
PYQ Jan 2025 · Q5(b)	E-commerce firm's approaches in two situations and future strategy	SM Ch 1 §1.3	5	Case: identify + explain	Same topic as a case
PYQ Jan 2025 · Q7(a)	Main levels of management and types of networks of relationship	SM Ch 1 §1.6	5	Outline + explain	Same topic, new wording — PYQ May 2024 · Q5(b)
PYQ May 2025 · MCQ 9	Best service provider with year-on-year growth targets — component of strategic intent	SM Ch 1 §1.5.3	2	Case MCQ	Same topic, new wording — PYQ Sep 2024 · Q6(a)
PYQ May 2025 · MCQ 14	Half-hearted EV customer response — which limitation	SM Ch 1 §1.4.2	2	MCQ	First time asked
PYQ May 2025 · Q5(a)	Semiconductor company's aspirations — identify component of intent, importance and essentials	SM Ch 1 §1.5.1	5	Case: identify + explain	First time asked
PYQ May 2025 · Q6(a)	Importance of values, examples, values vs intent	SM Ch 1 §1.5.4	5	Explain	First time asked
PYQ Sep 2025 · MCQ 9	Which action violates a solar company's core values	SM Ch 1 §1.5.4	2	Case MCQ	Same topic, new wording — PYQ May 2025 · Q6(a)
PYQ Sep 2025 · MCQ 11	Partnering with financial institutions for easy finance — strategic level	SM Ch 1 §1.6	2	Case MCQ	Same topic, new wording — PYQ Jan 2025 · Q7(a)
PYQ Sep 2025 · Q6(a)	Significance of vision and mission statements in strategic planning	SM Ch 1 §1.5.2	5	Explain	Same topic, new wording — PYQ May 2024 · Q7(b)

Paper & question	What was asked	Topic	Marks	Type	Topic asked before?
PYQ Jan 2026 · MCQ 9	Action plan to become a top-10 brand by 2035 is an example of	SM Ch 1 §1.5	2	Case MCQ	Same topic, new wording — PYQ May 2025 · Q5(a)
PYQ Jan 2026 · MCQ 14	Unclear long-term direction fixed by a strategic plan — which importance	SM Ch 1 §1.4.1	2	MCQ	Same topic, new wording — PYQ May 2024 · Q5(b)
PYQ Jan 2026 · Q8(b)	Characteristics of ideal objectives	SM Ch 1 §1.5.3	5	Enumerate	Repeat — PYQ Sep 2024 · Q6(a)
PYQ Jan 2026 · Q8(b) (OR)	Short note on concept of strategy	SM Ch 1 §1.3	5	Short note	First time asked
PYQ May 2026 · MCQ 11	Auto company anticipated future needs and responded to falling sales — strategic management made it	SM Ch 1 §1.3	2	Case MCQ	Same topic, new wording — PYQ Jan 2025 · MCQ 11
PYQ May 2026 · MCQ 13	Identify the mission of the auto company	SM Ch 1 §1.5.2	2	Case MCQ	Same topic, new wording — PYQ Sep 2024 · MCQ 13
PYQ May 2026 · Q8(b)	Overall objective of strategic management and its limitations	SM Ch 1 §1.4.2	5	Discuss + evaluate	Same topic, new wording — PYQ May 2025 · MCQ 14
PYQ May 2026 · Q8(b) (OR)	Proactive vs reactive strategies and why both are needed	SM Ch 1 §1.3	5	Differentiate + explain	Same topic, new wording — PYQ Jan 2025 · Q5(b)

- Always at least one 5-mark descriptive part; in May 2025 there were two (vision, values).
- MCQs identify an element of strategic intent (vision, mission, objectives, values) or a strategy type (proactive, reactive, blend) from case wording.
- From 2025 ICAI added less common SM points: values vs intent, essentials of a strategic vision, network relationships.
- Jan and May 2026 gave an OR choice inside the Chapter 1 part: learn both halves (objectives OR concept of strategy; limitations OR proactive vs reactive).

■ OFFICIAL ICAI QUESTION · RTP takeaways

- RTPs pair one case and one theory question every time; significance of a mission statement appeared in Jan 2025, Sep 2025 and Jan 2026.
- Repeated cases: CEO of a diversified group (corporate level), sales & marketing manager (functional level + benefits), Vikram Patel / Ramesh Sharma (limitations), drafting vision and mission.
- RTP MCQs test the level of strategy from short facts (Board acquiring a pharma company = corporate; marketing tactics for a division = functional).

■ OFFICIAL ICAI QUESTION · MTP takeaways

- MTPs repeat past-paper and RTP answers almost word for word; the Ecro Ltd. and retail-consultant proactive/reactive cases and the vision-mission significance question each appear in two or more MTPs.
- Case MCQs often ask the level of strategy of a decision: SBU restructuring and entering new sectors are corporate level; channel partnerships and pricing changes are business level.
- 'Distinguish between vision and mission' and 'what is a strategic vision and its essentials' each appeared twice.

Counting method: every official part mapped to this chapter from ICAI suggested answers (May 2024 to May 2026), RTPs (May 2024 to Sep 2026) and MTPs (Mar 2024 to Aug 2026). Suggested answers for May 2024 do not include the MCQ part.

Topic-wise Notes with All Related Questions

1.1–1.2 Introduction; Meaning and Nature of Strategic Management

■ Conceptual Foundation

■ UNDERSTAND IT

Introduction (§1.1). With increased competition, business management has acquired a **strategic dimension**. All executives and professionals, including **Chartered Accountants**, working towards business growth must possess sound knowledge of strategic management concepts.

Opening quotes in the SM: Michael Porter — "The company without a strategy is willing to try anything." Henry Mintzberg — "Strategy is not the consequence of planning, but the opposite: it's the starting point."

Management in two senses (§1.2). (a) A **key group** in charge of the organisation's affairs: management is the **chief organ** that makes the organisation a purposeful and productive entity by bringing together and integrating the disorganised resources of **manpower, money, material and technology** into a functioning whole. An organisation becomes a unified functioning system when management mobilises and uses these resources efficiently and effectively. Survival and success depend largely on the **competence and character** of management, which must also facilitate **organisational change and adaptation** for effective interaction with the environment.

(b) A **set of interrelated functions and processes** carried out by that key group to attain objectives: **Planning, Organising, Directing, Staffing and Control**. These range from determining goals, designing the organisation, mobilising and acquiring resources, allocating tasks and resources among personnel and activity units, to installing control systems so that what is planned is achieved.

Management is an influence process to make things happen, to gain command over phenomena, to induce and direct events and people in a particular manner. Influence is backed by **power, competence, knowledge and resources**. Managers formulate organisational goals, values and strategies to cope with, adapt and adjust to changes in the environment.

The strategic management process is the set of activities that firm managers undertake to put their firms in the best possible position to compete successfully in the marketplace. Its distinct activities: **developing the firm's vision and mission; strategic analysis; developing**

objectives; creating, choosing and implementing strategies; and measuring and evaluating performance.

e.g. When a hospital chain's top team sets a vision, studies competitors and regulations, fixes growth targets, chooses to open telemedicine services, rolls them out and tracks patient numbers, it is running the full strategic management process.

■ ICAI KEYWORDS

strategic dimension · chief organ · manpower, money, material, and technology · Planning, Organising, Directing, Staffing and Control · influence process · put their firms in the best possible position to compete successfully

■ MEMORY TRICK

Process = "V-A-O-C-M" ("Very Able Officers Create Miracles"): Vision & mission → Analysis → Objectives → Create, choose & implement strategies → Measure & evaluate.

Cue	Stands for
V	Developing vision and mission
A	Strategic analysis
O	Developing objectives
C	Creating, choosing and implementing strategies
M	Measuring and evaluating performance

⚡ 3-second trigger: Very Able Officers Create Miracles

■ COMMON MISTAKE / CONFUSION

- Listing only formulation. The process also includes implementation and evaluation.
- Forgetting that management is used in two senses: a group of people, and a set of functions.

🔗 INTEGRATION LINK

🔗 SM Ch 2 and Ch 3: strategic analysis

🔗 INTEGRATION LINK

🔗 SM Ch 5: implementing and evaluating strategies

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- MCQ on the activities of the strategic management process
- Part of a 'define strategic management' answer

How to attack it:

- Quote the process definition and list the five activities

📖 What ICAI has done so far: Not asked alone so far; forms the opening line of answers on importance and limitations.

⌚ Time / length guide (study guidance): MCQ ≈ 2 minutes (study guidance).

📖 Questions on this topic — ICAI questions first, then practice

🌟 EXPECTED QUESTION · Practice question · Explain · 5 marks

The term 'management' is used in two senses. Explain both, and state the activities that make up the strategic management process.

✅ MODEL ANSWER

- First sense: a key group in charge of the organisation's affairs — the chief organ that brings together and integrates manpower, money, material and technology into a functioning whole; survival and success depend on its competence and character, and it facilitates change and adaptation.
- Second sense: a set of interrelated functions and processes carried out by that group — planning, organising, directing, staffing and control — from setting goals to installing control systems.
- Management is an influence process backed by power, competence, knowledge and resources.
- The strategic management process is the set of activities managers undertake to put their firms in the best position to compete successfully.
- Its activities: developing vision and mission; strategic analysis; developing objectives; creating, choosing and implementing strategies; measuring and evaluating performance.

 Keywords: **key group** · **interrelated functions** · **influence process** · **strategic management process**

☒ MCQ · Practice MCQ · Which is NOT · Moderate

Which of the following is NOT listed in the study material as an activity of the strategic management process?

- (A) Preparing statutory financial statements
- (B) Developing the firm's vision and mission
- (C) Strategic analysis
- (D) Measuring and evaluating performance

✓ ANSWER: (A)

SM §1.2: vision and mission; strategic analysis; developing objectives; creating, choosing and implementing strategies; measuring and evaluating performance.

- (B) X Listed activity.
- (C) X Listed activity.
- (D) X Listed activity.

 Trap: Negative 'NOT' wording.

Topic: SM Ch 1 §1.2

☒ MCQ · Practice MCQ · Statement · Easy

As per the study material, management as an influence process is backed by:

- (A) Only formal authority
- (B) Power, competence, knowledge and resources
- (C) Shareholders' votes
- (D) Government regulations

✓ ANSWER: (B)

SM §1.2: management is an influence process; influence is backed by power, competence, knowledge and resources.

- (A) X Too narrow.
- (C) X Not mentioned.
- (D) X Not mentioned.

 **Trap:** Assuming influence comes only from authority.

Topic: SM Ch 1 §1.2

☐ QUICK RECAP

- Management = key group + set of functions (POSDC).
- Management is an influence process.
- Process: vision & mission → analysis → objectives → create, choose, implement → measure & evaluate.

1.3 Concept of Strategy — Strategy Is Partly Proactive and Partly Reactive

 High Exam Activity |  Asked across PYQ / RTP / MTP | Asked: PYQ 6 (Sep 2024 MCQ 9, Jan 2025 MCQ 11 & Q5(b), Jan 2026 Q8(b) OR, May 2026 MCQ 11 & Q8(b) OR) · RTP 3 · MTP 9

UNDERSTAND IT

Meaning. In business, strategy relates to **the ways the business decides to respond to dynamic and often hostile external forces while pursuing its vision, mission and ultimate objectives.**

Strategy is intended to **unravel complexity and reduce uncertainty** caused by environmental change, and **relates the goals of the organisation to the means of achieving them.**

Strategy is the game plan that the management uses to take market position, conduct its operations, attract and satisfy customers, compete successfully, and achieve organizational objectives. (SM MCQ 1 key: all of these.) It is associated with unified design and action for achieving major goals, gaining command over the situation with a **long-range perspective** and securing a **critically advantageous position.**

Definition: a **long-range blueprint** of an organisation's desired image, direction and destination: what it wants to be, what it wants to do, how it wants to do things and where it wants to go.

Igor H. Ansoff: the common thread among the organisation's activities and product-markets that defines the essential nature of business the organisation has or plans to be in. **William F.**

Glueck: a unified, comprehensive and integrated plan designed to assure that the basic objectives of the enterprise are achieved.

Strategy is a consciously considered and **flexibly designed scheme** of corporate intent and action to mobilise resources, direct human effort and behaviour, handle events and problems, perceive and use opportunities, and meet challenges and threats for corporate survival and success. It meets the organisation's need for **dynamic direction, focus and cohesiveness**; objectives alone do not. It provides an integrated framework for top management to search for, evaluate and exploit opportunities, meet threats and crises, use strengths and offset weaknesses.

Strategy is no substitute for sound, alert and responsible management. Strategy can never be perfect, flawless and optimal (SM MCQ 2). It is by nature **flexible and pragmatic** to handle emergencies and pressures; allowances are made for miscalculations and unanticipated events.

Levels: in large organisations strategies are formulated at the **corporate, divisional and functional** levels. Corporate strategies (by top managers) cover expansion and growth, vertical and horizontal integration, diversification, takeovers and mergers, new investment and divestment areas, R&D projects etc. They are operationalised by divisional and functional strategies on product lines, production volumes, quality ranges, prices, promotion, market penetration, purchasing sources, personnel development and the like.

Strategy is partly proactive and partly reactive. A company's strategy is typically a **blend** of (i) **proactive actions by managers to improve market position and financial performance** and (ii) **reactions to unanticipated developments and fresh market conditions** in the dynamic environment. **Proactive strategy is planned strategy, whereas reactive strategy is adaptive reaction to changing circumstances.** (SM MCQ 3: a blend; SM MCQ 4: reactive = adaptive strategy.)

SM figure: the latest version of the company's strategy (actual strategy) = **proactive strategy elements** (new initiatives plus ongoing strategy elements continued from prior periods) + **reactive strategy elements** (adaptive reactions to changing circumstances), shaped by company experiences, know-how, resources, strengths, weaknesses and competitive capabilities; some elements are **abandoned**.

The proactive part is the product of management's analysis and strategic thinking about how to position the company. But not every strategic move results from proactive planning: when market or competitive conditions take an unexpected turn, or some aspect of strategy **hits a stone wall**, a strategic reaction or adjustment is required. So strategy is partly a reasoned response to unforeseen developments.

Crafting a strategy involves stitching together a proactive/intended strategy based on prior successful experience and then adapting pieces of successful reactions as circumstances change or better options emerge (a reactive/adaptive strategy).

Strategy also means identifying existing problems and solving them by executing revolutionary ideas: **UPI (Unified Payments Interface)** changed India's digital payments landscape and has gone global — a well-planned identification of a problem, formulation of a strategy and perfect execution.

Is this a strategy? (SM box): a ketchup brand making healthier ketchup with less sugar and preservatives so parents feel safe — **yes**, a business strategy to fight competition and adapt to a changing external environment (people becoming health conscious).

e.g. PYQ Jan 2025: Ecro Ltd. kept building its eco-friendly brand, campaigns and products (proactive); when large retailers entered, it studied their strategies and countered their marketing and pricing (reactive). Its future strategy should blend both.

 **KEY FRAMEWORK / FORMULA** · Proactive vs reactive strategy (SM §1.3; ICAI May 2026 answer)

Requirement: Proactive: planned, deliberate actions to improve market position and performance; objective — gain competitive advantage through advance planning. Reactive: adaptive responses to unforeseen changes; objective — cope with changing circumstances and uncertainty. Actual strategy is a blend of both.

Exam angle: Case MCQs ask you to label an action; descriptive parts ask you to identify both elements in facts and recommend a blended approach.

ICAI KEYWORDS

respond to dynamic and often hostile external forces · game plan · long-range blueprint · unified, comprehensive and integrated plan · not perfect, flawless and optimal · flexible and pragmatic · partly proactive and partly reactive · planned strategy · adaptive reaction to changing circumstances · stitching together

MEMORY TRICK

"PLAN ahead = PROactive; ADapt after = REactive." Actual strategy = PRO + RE – abandoned.

Cue	Stands for
Proactive	Planned, deliberate, ahead of change: new products, first-mover moves, trend monitoring
Reactive	Adaptive, triggered by unanticipated change: countering a competitor, a new rule, a shock
Blend	Actual strategy = proactive elements + reactive elements (abandoned parts dropped)
Ansoff	Common thread among activities and product-markets
Glueck	Unified, comprehensive and integrated plan

⚡ 3-second trigger: PLAN-PRO / ADAPT-RE

■ COMMON MISTAKE / CONFUSION

- Labelling as proactive a move made in response to a competitor's launch. ICAI treats that as reactive (MTP Mar 2025 MCQ).
- Answering 'purely proactive' when the facts show anticipation plus response. ICAI's key is the blend (PYQ Jan 2025 MCQ 11, May 2026 MCQ 11).
- Writing that strategy is perfect or optimal. The SM says it can never be perfect, flawless and optimal.
- Mixing up Ansoff's and Glueck's definitions.

Basis	Proactive strategy	Reactive strategy
Meaning	Planned and deliberate actions by management to improve market position and performance	Adaptive responses to unforeseen changes and unexpected developments
Nature	Planned and intentional	Responsive and adaptive
Objective	Gain competitive advantage through advance planning	Cope with changing circumstances and uncertainty
Case clue	'keep ahead', 'first mover', 'while competitors are hesitant', 'anticipated'	'in response to', 'quickly adjusted', 'competitor launched', 'new regulation'

 **Spot it in a case:** If the facts show both a planned initiative and an adjustment to a shock, the answer is 'partly proactive and partly reactive'.

INTEGRATION LINK

 SM Ch 2: environmental changes that trigger reactive strategy

INTEGRATION LINK

 SM Ch 5: strategic change and control when strategies hit a stone wall

HOW TO FACE IT IN THE EXAM

Can be asked as:

- Case MCQ: label an action proactive, reactive, or a blend (PYQ Sep 2024, Jan 2025, May 2026)
- Case descriptive: identify approaches in two situations and recommend a future strategy (PYQ Jan 2025)
- Differentiate proactive and reactive strategies and why both are needed (PYQ May 2026 OR)
- Short note on concept of strategy (PYQ Jan 2026 OR)
- Consultant advising a retailer facing online competition (MTP x2)

How to attack it:

- Quote 'strategy is partly proactive and partly reactive'
- Tag each fact as proactive (planned) or reactive (adaptive)
- Recommend a blended approach with 3–4 concrete steps

 **What ICAI has done so far:** PYQ Jan 2025 · Q5(b), PYQ Jan 2026 · Q8(b) (OR), PYQ May 2026 · Q8(b) (OR); MCQs PYQ Sep 2024 · MCQ 9, PYQ Jan 2025 · MCQ 11, PYQ May 2026 · MCQ 11.

 **Time / length guide (study guidance):** 5 marks ≈ 9 minutes; case MCQ ≈ 2–3 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Line: strategy is partly proactive and partly reactive

- Proactive = planned; facts that show it
- Reactive = adaptive; facts that show it
- Recommendation: blend of both

 **Keywords:** planned strategy · adaptive reaction · blend · unanticipated developments

 **Ideal length:** 5 marks: 12–15 lines or a 3-row table + 4 points

 **Conclusion pattern:** A company's actual strategy is always a blend of proactive planned actions and reactive adaptive responses.

DON'T WRITE THIS

- Calling reactive strategy 'bad' — the SM says both are needed

Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · PYQ Jan 2025 · Q5(b) · 5 marks

Ecro Ltd., an e-commerce company selling eco-friendly products, keeps strengthening its brand identity, launching creative campaigns and introducing innovative eco-friendly products. When large retailers entered the eco-friendly space, it quickly adapted: it analysed competitors' strategies, changed its marketing style in response to their actions and countered their pricing. Discuss the strategic approaches Ecro Ltd. took in the two situations, and explain the strategy it should adopt in future to remain competitive. (1 + 1 + 3 marks)

MODEL ANSWER

- Ecro Ltd. uses both proactive and reactive strategic approaches to stay competitive in a dynamic market.
- **Situation 1 — proactive:** strengthening brand identity (a strong eco-friendly image for environmentally conscious consumers); innovative marketing campaigns to enhance visibility and differentiate products; product innovation (new eco-friendly products to meet evolving demands). These are deliberate, planned actions to improve market position and financial performance.
- **Situation 2 — reactive:** adapting to market changes (responding to large retailers' entry by quickly adjusting strategies); competitor analysis (studying competitors' strategies to counteract them); dynamic marketing (varied techniques in response to competitors' campaigns); pricing adjustments (counter-pricing without compromising profitability). These show its ability to adapt to unforeseen developments.

- **Future strategy — a blended approach:** (1) sustainable differentiation through continuous innovation and exclusive eco-friendly lines; (2) customer-centric approach using data analytics to understand preferences; (3) operational efficiency by optimising the supply chain and reducing costs; (4) strategic alliances with eco-certification organisations to build credibility and trust.

Conclusion: By integrating planned proactive initiatives with adaptive responses, Ecro Ltd. can navigate uncertainty, tackle competition and ensure long-term success.

 **Keywords:** proactive · reactive · deliberate planned actions · adapt to unforeseen developments · blended approach

 **Also asked as:** MTP Sep 2026 Series II · SM Q1(a) (identical Ecro Ltd. case, 5 marks)

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

OFFICIAL ICAI QUESTION · PYQ May 2026 · Q8(b) (OR) · 5 marks

Differentiate between proactive and reactive strategies. Explain in detail why it is important for every organisation to use both in a dynamic and uncertain business environment. (1 + 4 marks)

MODEL ANSWER

- **Meaning:** proactive strategy — planned and deliberate actions taken by management to improve market position and performance; reactive strategy — adaptive responses to unforeseen changes and unexpected developments in the business environment.
- **Nature:** proactive is planned and intentional; reactive is responsive and adaptive.
- **Objective:** proactive — gain competitive advantage through advance planning; reactive — cope with changing circumstances and environmental uncertainties.
- **Why both are needed:** (1) proactive strategies help achieve planned objectives — long-term direction, market position; (2) reactive strategies help cope with uncertainty — unexpected changes in competition, technology, regulations or customer preferences; (3) the combination gives flexibility and adaptability; (4) it ensures survival and competitive advantage — firms can exploit opportunities, tackle threats and handle crises in turbulent environments.

Conclusion: A company's actual strategy is always a blend of proactive planned actions and reactive adaptive responses.

 **Keywords:** planned and intentional · responsive and adaptive · advance planning · cope with uncertainty · flexibility and adaptability

■ OFFICIAL ICAI QUESTION · PYQ Jan 2026 · QB(b) (OR) · 5 marks

Write a short note on the concept of strategy.

✓ MODEL ANSWER

- In business, strategy refers to the ways an organisation responds to dynamic and often hostile external forces while pursuing its vision, mission and long-term objectives; it is incorporated to reduce uncertainty and complexity arising from environmental changes.
- Strategy relates the goals of the organisation to the means of achieving them. It is management's game plan to take market position, conduct operations, attract and satisfy customers, compete successfully and achieve objectives.
- It may be defined as a long-range blueprint of an organisation's desired image, direction and destination — what it wants to be, what it wants to do, how it wants to do things and where it wants to go. It provides an integrated, unified framework for mobilising resources, directing human effort and handling opportunities and threats.
- Strategy is flexible and pragmatic, enabling adaptation to environmental changes and unforeseen situations; it integrates goals, policies and actions into a cohesive whole for survival, growth and competitive advantage.
- It may be formulated at corporate, divisional and functional levels; corporate-wide strategies are operationalised by divisional and functional strategies. A company's strategy is typically a blend of proactive actions and reactive responses to unanticipated developments.

🔗 Keywords: dynamic and often hostile external forces · game plan · long-range blueprint · flexible and pragmatic · corporate, divisional and functional levels · proactive and reactive

■ OFFICIAL ICAI QUESTION · RTP Sep 2026 · SM Q7

Novatek Electronics Ltd., a smart home appliance maker, planned to expand into Tier-2 cities, invest in AI-enabled products, strengthen its dealer network and increase exports. During implementation a foreign competitor launched low-priced products, raw material prices rose and stricter energy-efficiency rules came in, so the company launched budget products, changed suppliers and accelerated energy-efficient product development. Explain how this case shows that strategy is partly proactive and partly reactive.

✓ MODEL ANSWER

- The case combines deliberate plans with responses to unforeseen developments.
- **Proactive strategy:** expanding into Tier-2 cities, investing in AI-enabled products, strengthening the dealer network and increasing exports are planned initiatives to achieve long-term objectives and build competitive advantage.
- **Reactive strategy:** in response to unexpected changes (a low-priced foreign competitor, rising raw material prices, stricter energy-efficiency rules), Novatek introduced budget variants, changed its sourcing and accelerated energy-efficient products — actions to address emerging challenges.

Conclusion: An organisation's realised strategy is a blend of proactive (deliberate) actions and reactive (adaptive) responses: proactive strategies achieve planned objectives, reactive ones help adapt and sustain competitive position.

 **Keywords:** deliberate plans · unforeseen developments · realised strategy is a blend

 **OFFICIAL ICAI QUESTION** · MTP May 2024 Series I · SM Q2(a) · 5 marks

You are a strategic consultant to a retail company facing increasing competition from online retailers. Using the concept that strategy is partly proactive and partly reactive, explain how the company can develop a strategic approach to this challenge.

 **MODEL ANSWER**

- The company can develop an approach that is both proactive and reactive.
- **Proactive strategy:** proactively analyse market trends and customer preferences to identify growth opportunities — e.g. invest in market research to understand what customers value in a retail experience and tailor offerings. This helps stay ahead of competitors and attract new customers.
- **Reactive strategy:** be prepared to react to market changes — e.g. if a competitor launches a new online shopping platform, quickly assess the impact and develop a response. This helps adapt to changing conditions and maintain competitiveness.

Conclusion: Combining proactive and reactive strategies gives a comprehensive approach: capitalise on growth opportunities while mitigating risks and responding to threats.

 **Keywords:** market research · stay ahead of competitors · assess the impact and develop a response · comprehensive approach

 **Also asked as:** MTP Sep 2025 Series II · SM Q2(a) (identical retail-consultant question, 5 marks)

■ **OFFICIAL ICAI QUESTION** · MTP May 2024 Series II · SM Q1(a) · 5 marks

ABC retail chain regularly tracks consumer trends to adjust its offerings and keeps a flexible supply chain to respond swiftly to demand fluctuations, enabling it to anticipate market shifts and adapt to them. Which type of strategy is the retail chain employing?

✓ **MODEL ANSWER**

- The retail chain combines proactive and reactive elements.
- Monitoring consumer trends and adjusting offerings shows a **proactive** approach to anticipate and meet customer needs.
- Maintaining a flexible supply chain to respond quickly to changes in demand reflects a **reactive** strategy to address unforeseen market shifts.
- This dual strategy lets the chain anticipate future trends and react effectively to immediate changes, ensuring competitiveness and customer satisfaction.

Conclusion: Its strategy is partly proactive and partly reactive.

🔑 **Keywords:** **anticipate** · **respond quickly** · **partly proactive and partly reactive**

✓ **MCQ** · PYQ Sep 2024 · MCQ 9

Quick N Safe Logistics wants to bring the best user experience through timely and safe delivery, and desires to keep ahead of others and reap the benefits of first-mover advantages in the industry. This strategy is known as:

- (A) Adaptive strategy
- (B) Reactive strategy
- (C) Proactive strategy
- (D) Responsive strategy

✓ **ANSWER: (C)**

Keeping ahead to reap first-mover advantages is a planned, deliberate move to improve market position: a proactive strategy (SM §1.3). ICAI key: (C).

- (A) X Adaptive = reactive.
- (B) X Reactive responds to unanticipated developments.
- (D) X Also a reaction, not advance planning.

🚫 **Trap:** 'Adaptive' and 'responsive' are both names for reactive.

Topic: SM Ch 1 §1.3

✓ MCQ · PYQ Jan 2025 · MCQ 11

Primo Neo Logistics saw its airways business decline, wants to study rivals' market positions and then modify its strategy to adapt to changing circumstances, while also planning to use its resources and capabilities to grow through new means of transport and a collaboration.

The strategy being followed is:

- (A) Adaptive strategy
- (B) Proactive strategy
- (C) Reactive strategy
- (D) Blend of proactive and reactive strategy

✓ ANSWER: (D)

The facts show both planned growth initiatives (proactive) and modifying strategy in response to declining business and competition (reactive). A company's strategy is typically a blend (SM §1.3). ICAI key: (D).

- (A) X Covers only the adaptive part.
- (B) X Ignores the adaptation to the decline.
- (C) X Ignores the planned growth initiatives.

🚫 **Trap:** Picking 'adaptive' because the case says 'adapt'.

Topic: SM Ch 1 §1.3

✓ MCQ · PYQ May 2026 · MCQ 11

Alex Motor Company anticipated future urban mobility needs and launched a hybrid vehicle for congested cities, after sales had declined and critics called it outdated. Strategic management allowed the company to be:

- (A) More directive towards the cross-functional team to reduce communication barriers
- (B) Partly proactive, as it anticipated future urban mobility needs, and partly reactive, as it responded to declining sales
- (C) More proactive, as it readily launched a new vehicle with updated technology
- (D) More authoritative in taking faster decisions

✓ ANSWER: (B)

Anticipating future mobility needs is proactive; responding to falling sales and criticism is reactive. ICAI key: (B).

- (A) X Not a strategic-management benefit shown in the facts.
- (C) X Ignores the response to declining sales.
- (D) X Not supported by the facts.

 **Trap:** Option C sounds right but is only half the picture.

Topic: SM Ch 1 §1.3

☒ MCQ · RTP Jan 2026 · SM MCQ 2

A mid-sized electronics firm notices a rapid rise in demand for smart home devices and redesigns its product line to cater to this trend while competitors are still hesitant. Which strategic approach is the firm using?

- (A) Reactive strategy
- (B) Proactive strategy
- (C) Retrenchment strategy
- (D) Stability strategy

 **ANSWER: (B)**

Acting ahead of competitors on an emerging trend is a planned, proactive move. ICAI key: (b).

- (A) X The firm acts before competitors, not in reaction to them.
- (C) X No cutting back.
- (D) X The firm is changing its product line.

 **Trap:** 'Notices demand' may suggest reaction, but acting while rivals hesitate is proactive.

Topic: SM Ch 1 §1.3

☒ MCQ · RTP Sep 2025 · SM MCQ 1(ii)

Royal Pens, facing a fall in market share due to emerging competitors, launched Bluetooth-enabled styluses and limited-edition pens. These were not pre-planned innovations but responses to market shifts. What type of strategic approach is this?

- (A) Proactive strategy
- (B) Reactive strategy
- (C) Differentiation strategy
- (D) Market penetration strategy

✓ ANSWER: (B)

Actions taken in response to market shifts rather than pre-planned are reactive (adaptive) strategy. ICAI key: (b).

- (A) X The facts say not pre-planned.
- (C) X A competitive-strategy label (SM Ch 4), not the approach asked.
- (D) X A growth strategy (SM Ch 4).

🚫 **Trap:** New products tempt you to say proactive.

Topic: SM Ch 1 §1.3

✓ MCQ · MTP Jan 2026 Series I · SM MCQ 1(A)(i)

Zenith Global Enterprises' renewable energy SBU secured a \$500 million contract with a European government for solar power solutions. This decision is an example of:

- (A) Reactive response to market uncertainty
- (B) Proactive expansion into international government partnerships
- (C) Reactive change based on customer feedback
- (D) Delayed adaptation to global competition

✓ ANSWER: (B)

Seeking and winning a new international contract is a planned move to improve market position: proactive. ICAI key: (b).

- (A) X No uncertainty is being reacted to.
- (C) X No feedback trigger.
- (D) X No delay or adaptation.

🚫 **Trap:** None — look for the planned initiative.

Topic: SM Ch 1 §1.3

✓ MCQ · MTP May 2025 Series I · SM MCQ 1(B)(i)

A retail chain notices that competitors have introduced same-day delivery. In response, it quickly adjusts its logistics and ties up with local couriers to match the offering and avoid losing customers. What type of strategy is it implementing?

- (A) Proactive strategy
- (B) Reactive strategy

(C) Functional level strategy

(D) Contingency strategy

✓ ANSWER: (B)

Matching a competitor's move after it happens is an adaptive reaction to changing circumstances: reactive. ICAI key: (b).

- (A) X The move follows competitors.
- (C) X Logistics is functional, but the question asks the strategic approach.
- (D) X Not an SM Chapter 1 term.

🚫 Trap: Option C is partly true but not what is asked.

Topic: SM Ch 1 §1.3

✓ MCQ · MTP Sep 2024 Series I · SM MCQ 1(A)(i)

Kriti Pvt. Ltd., importer of French cheese brand Fromage, regularly attends industry conclaves and reads business magazines. Sensing that the growing 'Vocal for Local' sentiment could hurt its French brand, it partnered with local producers of traditional Indian cheeses.

Which action is an example of a proactive strategy?

- (A) Selling off its French business assets
- (B) Responding to the 'Vocal for Local' sentiment by partnering with local cheese producers
- (C) Managing customer relations and nationwide distribution
- (D) Covering all marketing expenditures for Fromage in India

✓ ANSWER: (B)

The company anticipated a shift in sentiment through environmental scanning and acted before its brand was disrupted — a planned move to improve its position. ICAI key: (b).

- (A) X A funding step for the new plan, not the strategic initiative.
- (C) X A routine operational responsibility.
- (D) X Done by the French affiliate under the existing deal.

🚫 Trap: The word 'responding' — here the response comes before the damage, from anticipation.

Topic: SM Ch 1 §1.3

✓ MCQ · MTP Sep 2025 Series I · SM MCQ 1(B)(i)

StarLite Electronics noticed changing consumer preferences for energy-efficient appliances and invested in R&D to develop them. Months later, a new government regulation mandated energy efficiency, with which it easily complied. Which strategies best describe StarLite's approach?

- (A) Proactive and reactive
- (B) Only reactive
- (C) Cost leadership
- (D) Defensive strategy

✓ ANSWER: (A)

Investing ahead on a trend is proactive; adapting to the new regulation is the reactive part. Strategy is typically a blend. ICAI key: (a).

- (B) X Ignores the advance R&D investment.
- (C) X Not about cost.
- (D) X Not an SM Chapter 1 classification here.

🚫 Trap: Choosing 'only reactive' because of the regulation.

Topic: SM Ch 1 §1.3

✓ MCQ · Practice MCQ · Definition · Moderate

"A unified, comprehensive and integrated plan designed to assure that the basic objectives of the enterprise are achieved" is the definition of strategy given by:

- (A) Igor H. Ansoff
- (B) Michael Porter
- (C) William F. Glueck
- (D) Henry Mintzberg

✓ ANSWER: (C)

SM §1.3: Glueck — unified, comprehensive and integrated plan; Ansoff — common thread among activities and product-markets.

- (A) X Ansoff's definition is the 'common thread'.
- (B) X Porter's quote: a company without a strategy is willing to try anything.
- (D) X Mintzberg's quote: strategy is the starting point.

🚫 Trap: Mixing up Ansoff and Glueck.

Topic: SM Ch 1 §1.3

☒ MCQ · Practice MCQ · Which is correct · Moderate

Which statement about strategy is correct as per the study material?

- (A) Strategy is always perfect, flawless and optimal
- (B) Strategy is a substitute for sound, alert and responsible management
- (C) Strategies are formulated only at the corporate level
- (D) Strategy is flexible and pragmatic, and allowances are made for miscalculations and unanticipated events

✓ ANSWER: (D)

SM §1.3: strategy can never be perfect, flawless and optimal; it is flexible and pragmatic and allows for miscalculations. It is no substitute for sound management, and is formulated at corporate, divisional and functional levels.

- (A) X Opposite of the SM.
- (B) X Opposite of the SM.
- (C) X Also divisional and functional levels.

🚫 Trap: Absolute words: 'always', 'only'.

Topic: SM Ch 1 §1.3

☐ QUICK RECAP

- Strategy = game plan / long-range blueprint responding to dynamic, hostile forces.
- Ansoff: common thread; Glueck: unified, comprehensive, integrated plan.
- Actual strategy = proactive (planned) + reactive (adaptive) elements.

1.4–1.4.1 Strategic Management and Its Importance

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (May 2024 Q5(b), Jan 2026 MCQ 14) · RTP 3 · MTP 4

■ UNDERSTAND IT

The importance of strategic management lies in enabling an organisation to perform better than its competitors and its own past and present performance — superior returns to

investors, superior value to customers, and superior performance against the expectations of employees, suppliers, government and society.

The overall objectives of strategic management are two-fold: (1) to create competitive advantage (something unique and valued by the customer), so that the company can outperform competitors in all aspects of performance; (2) to guide the company successfully through all changes in the environment, i.e. to react in the right manner.

Operations are strongly influenced by the **increasing rate of change** in the environment and its ripple effect. Changes may be external or introduced by managers, and may appear as blurring of industry and firm boundaries driven by **technology, deregulation or globalisation**. Crafting, implementing and executing strategies are the **heart and soul** of managing a business.

Meaning: strategic management refers to the managerial process of developing a strategic vision, setting objectives, crafting a strategy, implementing and evaluating the strategy, and finally initiating corrective adjustments where deemed appropriate. The process does not end; it keeps going in a **cyclic manner**. It involves developing the vision, **environmental scanning (external and internal)**, strategy formulation, implementation, and evaluation and control. Originally called **business policy**, strategic management emphasises monitoring and evaluating **external opportunities and threats in the light of the company's strengths and weaknesses**, and designing strategies for survival and growth.

Importance (§1.4.1). Formulating and implementing strategies are essential for survival and growth in a turbulent environment. '**Survival of the fittest**' (Charles Darwin) applies: the 'fittest' are not the largest or strongest but those that **change and adapt successfully**. Giants that failed to manage drastic change include **Bajaj Scooters, LML Scooters, Murphy Radio, BPL Television, Videocon, Nokia and Kodak**.

Business follows the war principle of '**win or lose**' (win-win only in a few cases), so each organisation must build competitive advantage, which can be done only through strategic management: strategic analysis, formulation and implementation, evaluation and control.

Major benefits: (1) gives **direction** to move ahead — helps define goals and mission and realistic objectives in line with the vision; (2) helps organisations be **proactive instead of reactive** in shaping their future — analyse and act instead of being mere spectators, control their own destiny, work within the vagaries of the environment and shape it; (3) provides **frameworks for all major decisions** — businesses, products, markets, manufacturing facilities, investments, organisational structure — and guidance on what the organisation is trying to

achieve; (4) *prepares the organisation to face the future* and acts as a *pathfinder* to opportunities; (5) serves as a *corporate defence mechanism against mistakes and pitfalls*, avoiding costly mistakes in product-market choices or investments; (6) *enhances the longevity* of the business — a clear stand in the industry, not surviving on luck ('actions over expectations'); (7) helps develop *core competencies and competitive advantages* for survival and growth.

The importance lies in *superior (above-average) organisational performance*. But in search of meaning and purpose, organisations may take decisions that are *not strictly 'strategic'* yet worthy on their own: belief in diversity, inclusion and equity; improving availability, affordability and accessibility of products to opportunity-deprived sections; greater workplace democracy.

e.g. PYQ Jan 2026 MCQ: Herbal Care Pvt. Ltd. had strong domestic sales but unclear long-term direction; a strategic plan on global positioning, R&D and sustainable packaging unified departments and lifted exports. The benefit shown is clear direction and long-term focus.

 **KEY FRAMEWORK / FORMULA** · Two-fold objective and seven benefits (SM §1.4, §1.4.1)

Requirement: Objective: create competitive advantage; guide the company through environmental change. Benefits: direction; proactive not reactive; framework for major decisions; prepares for the future / pathfinder; defence against mistakes; longevity; core competencies and competitive advantage.

Exam angle: Case answers name the level/role first, then write the seven benefits adapted to the facts (PYQ May 2024, RTP Jan 2026).

ICAI KEYWORDS

perform better than its competitors · create competitive advantage · guide the company successfully through all changes · heart and soul of managing · business policy · survival of the fittest · win or lose · proactive instead of reactive · pathfinder · corporate defence mechanism · longevity · core competencies

MEMORY TRICK

Benefits = "D-P-F-F-D-L-C" → "Don't Panic, Find Future, Defend, Last, Compete": Direction, Proactive, Framework, Future-ready/pathfinder, Defence mechanism, Longevity, Core competencies.

Cue	Stands for
Two-fold objective	Competitive advantage + guide through change
Darwin	Fittest = those who adapt, not the largest
D-P-F-F-D-L-C	Seven benefits in SM order
Non-strategic but worthy	Diversity & inclusion, affordability to deprived sections, workplace democracy

⚡ 3-second trigger: Don't Panic, Find Future, Defend, Last, Compete

📌 COMMON MISTAKE / CONFUSION

- Writing only three or four benefits in a 4-mark part; ICAI lists all seven.
- Forgetting the two-fold objective when a question asks the 'overall objective' (PYQ May 2026).
- Treating every good decision as strategic; the SM notes some worthy decisions are not strategic.

🔗 INTEGRATION LINK

🔗 SM Ch 3: core competencies

🔗 INTEGRATION LINK

🔗 SM Ch 5: evaluation and control, the last stage of the cycle

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Identify the strategic level and highlight benefits of strategic management (PYQ May 2024; RTP Jan 2026)

- Benefits of strategic management in business warfare (MTP x2; RTP Sep 2024)
- Advantages of strategic intelligence for longevity (RTP Sep 2025)
- Why a founder should develop strategic thinking (MTP Jul 2026)
- MCQ: which importance does a case show (PYQ Jan 2026)

How to attack it:

- Open with the two-fold objective or 'perform better than competitors'
- Write the seven benefits, each tied to the facts
- Close with sustained competitive edge / longevity

 **What ICAI has done so far:** PYQ May 2024 · Q5(b) (1 + 4); MTP May 2024 Series II · SM Q2(a); RTP Sep 2024 · SM Q8; RTP Sep 2025 · SM Q7; MTP Sep 2026 Series I · SM Q1(a); PYQ Jan 2026 · MCQ 14.

 **Time / length guide (study guidance):** 5 marks ≈ 9 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Two-fold objective
- Seven benefits (adapted to facts)
- Conclusion: sustained competitive advantage

 **Keywords:** competitive advantage · proactive instead of reactive · corporate defence mechanism · longevity · core competencies

 **Ideal length:** 5 marks: 7 bullet points of 2 lines each

 **Conclusion pattern:** Thus strategic management enables the organisation to achieve and sustain a competitive edge.

DON'T WRITE THIS

- Listing limitations when benefits are asked

 **Questions on this topic — ICAI questions first, then practice**

 **OFFICIAL ICAI QUESTION** · PYQ May 2024 · Q5(b) · 5 marks

Elvis Global, a well-known OTT platform, faces fierce competition and changing consumer preferences, as TV channels launch their own platforms. It has appointed Raghav as sales &

marketing manager to design creative and innovative advertising campaigns to gain a competitive edge and capture the market. Identify the strategic level of Raghav's role. As a strategic advisor, highlight the benefits of strategic management in overcoming his challenges. (1 + 4 marks)

✓ MODEL ANSWER

- **Level:** Raghav's role represents the **functional level** of strategy — his responsibilities focus on crafting and executing marketing and sales strategies that drive customer engagement and competitive positioning.
- Strategic management helps Elvis Global **define its goals and mission**, giving clear direction so marketing efforts align with the overall vision and Raghav can set realistic objectives supporting long-term goals.
- Raghav can **proactively shape the future** rather than merely react to market changes — anticipate trends, manage environmental uncertainties and stay ahead of competitors.
- It provides a **robust framework for critical decisions** on marketing strategies, target markets and resource allocation, ensuring coherent and consistent decisions aligned with business objectives.
- It helps **identify and exploit new opportunities** — campaigns that resonate with emerging preferences — so Elvis Global can differentiate itself and gain market share.
- It acts as a **defence mechanism against mistakes and pitfalls** in marketing decisions and campaign execution, giving a structured approach to identifying and mitigating risks.
- It **enhances longevity and sustainability** by keeping marketing strategies adaptable and resilient and giving a clear position in the industry.
- It enables **core competencies and competitive advantages** — strong brand identity, innovative content, superior customer service.

Conclusion: By providing direction, a proactive approach, a decision framework, new opportunities, defence against pitfalls, longevity and core competencies, strategic management helps Raghav design campaigns that engage the public and capture the market.

Keywords: functional level · direction · proactively shape the future · framework for critical decisions · defence mechanism · longevity · core competencies

Also asked as: RTP Jan 2026 · SM Q7 (same case with Ms. Somya, sales & marketing manager of AquaPure Beverages)

What ICAI examiners said: No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · MTP May 2024 Series II · SM Q2(a) · 5 marks

"Each organisation must build its competitive advantage keeping in mind the business warfare. This can be done by following the process of strategic management." Considering this statement, explain the major benefits of strategic management.

✓ MODEL ANSWER

- Each organisation must build competitive advantage over competitors in business warfare to win; this can be done only through strategic management, which is very important for survival and growth in dynamic environments.
- It helps organisations be more **proactive rather than reactive** in dealing with the future, work within the vagaries of the environment and remain adaptable, and so control their own destiny.
- It provides **better guidance** on what the organisation is trying to do, and **frameworks for all major decisions** — businesses, products, markets, organisational structures etc.
- It **prepares the organisation to face the future** and acts as a **pathfinder** to opportunities, identifying ways and means to reach them.
- It serves as a **corporate defence mechanism** against mistakes and pitfalls, avoiding costly mistakes in product-market choices or investments.
- Over time it helps the organisation **evolve core competencies and competitive advantages** that assist in the fight for survival and growth.

🔑 Keywords: **business warfare** · **proactive rather than reactive** · **pathfinder** · **corporate defence mechanism** · **core competencies**

📦 Also asked as: MTP Sep 2025 Series I · SM Q2(a) (identical question, 5 marks)

■ OFFICIAL ICAI QUESTION · RTP Sep 2024 · SM QB

"Strategic management helps an organisation work through changes in the environment to gain competitive advantage." In light of this statement, discuss its benefits.

✓ MODEL ANSWER

- Strategic management involves developing the vision, environmental scanning, strategy formulation, implementation, and evaluation and control. It monitors external opportunities and threats in the light of strengths and weaknesses, creates competitive advantage and guides the company through environmental change.
- Major benefits: gives direction to move ahead and defines goals and mission;

- helps organisations be proactive instead of reactive in shaping their future;
- provides frameworks for all major decisions (businesses, products, markets, manufacturing facilities, investments, organisational structure) and guidance on what the organisation is trying to do;
- helps identify available opportunities and ways to achieve them;
- serves as a corporate defence mechanism against mistakes and pitfalls;
- enhances the longevity of the business;
- helps develop core competencies and competitive advantages for survival and growth.

🔑 Keywords: environmental scanning · competitive advantage · direction · longevity

■ OFFICIAL ICAI QUESTION · RTP Sep 2025 · SM Q7

Vireon Foods began as a small dairy business and is still thriving after 25 years while many competitors shut down or merged. Its leadership holds regular planning retreats, studies changing consumer habits, adapts operations every few years and invested in plant-based products before demand spiked. What advantage does their strategic intelligence give them? What are the other benefits of strategic management?

✓ MODEL ANSWER

- Vireon's continued success reflects the importance of strategic management, particularly its contribution to the longevity of a business.
- Its strategic intelligence — planning retreats, environmental scanning, understanding consumer behaviour and timely investment in plant-based products — gives it competitive advantage and the ability to navigate environmental change. This matches the dual objectives: creating competitive advantage by delivering something unique and valued; guiding the company through all environmental changes by reacting appropriately.
- Other benefits: it enables the organisation to be proactive rather than reactive, controlling its future;
- provides clear strategic direction aligning goals and actions with the vision;
- serves as a framework for sound decisions on markets, products, investments and structure;
- helps identify and leverage opportunities while avoiding costly pitfalls;
- builds core competencies and sustains long-term growth and survival.

Conclusion: Strategic management ensures superior performance and enhances the sustainability and adaptability of a business in a dynamic environment.

Keywords: longevity · dual objectives · competitive advantage · proactive rather than reactive

OFFICIAL ICAI QUESTION · MTP Sep 2026 Series I · SM Q1(a)

JJ Sir runs a classical music academy whose vision is to make classical music globally recognised. With demand for online classes rising, he is inclined to reject the idea and rely on his musical expertise alone. Explain why he should develop the qualities of a strategic thinker.

MODEL ANSWER

- Long-term success depends not only on expertise in classical music but on effective strategic management, which enables an organisation to outperform competitors by creating competitive advantage and responding successfully to environmental change.
- The rising demand for online classes is a change in the business environment; instead of rejecting it, JJ Sir should evaluate it strategically.
- Strategic thinking will help the academy: provide direction by aligning decisions with its vision of making classical music globally recognised;
- be proactive rather than reactive by analysing environmental changes and responding appropriately;
- identify and exploit new opportunities, such as reaching students across the country through online learning;
- enhance longevity by adapting to changing customer needs and ensuring sustainable growth;
- develop competitive advantage and core competencies while preserving the quality and authenticity of classical music.

Conclusion: Strategic thinking will help JJ Sir achieve the academy's mission while ensuring long-term survival, growth and sustainability.

Keywords: competitive advantage · change in the business environment · direction · longevity · core competencies

MCQ · PYQ Jan 2026 · MCQ 14

Herbal Care Pvt. Ltd., an Ayurveda brand with strong domestic sales, struggled to expand internationally due to unclear long-term direction. It introduced a strategic plan on global positioning, R&D investment and sustainable packaging, which unified departmental efforts, improved brand consistency and attracted foreign partners; exports rose significantly. This highlights which key importance of strategic management?

- (A) It enhances daily operational control
- (B) It provides clear direction and long-term organisational focus to move ahead
- (C) It focuses mainly on employee enhancement and growth
- (D) It ensures faster product manufacturing

✓ ANSWER: (B)

SM §1.4.1 first benefit: strategic management gives direction to the company to move ahead.

The case problem was unclear long-term direction. ICAI key: (B).

- (A) X Daily operational control is not a strategic benefit.
- (C) X Not shown in the facts.
- (D) X Not a strategic-management benefit.

🚫 Trap: None — match the problem (unclear direction) to the benefit.

Topic: SM Ch 1 §1.4.1

☑ MCQ · Practice MCQ · Definition · Moderate

The two-fold overall objective of strategic management is to:

- (A) Create competitive advantage and guide the company successfully through all changes in the environment
- (B) Maximise profit and minimise tax
- (C) Prepare budgets and control costs
- (D) Increase market share and reduce employee turnover

✓ ANSWER: (A)

SM §1.4: create competitive advantage (something unique and valued by the customer) and guide the company through all changes in the environment.

- (B) X Financial targets, not the SM objective.
- (C) X Operational tasks.
- (D) X Possible outcomes, not the two-fold objective.

 **Trap:** Choosing measurable business targets.

Topic: SM Ch 1 §1.4

☒ MCQ · Practice MCQ · Concept · Moderate

Citing Bajaj Scooters, Nokia and Kodak, the study material applies Darwin's 'survival of the fittest' to business. Here the 'fittest' are those organisations that:

- (A) Are the largest in their industry
- (B) Can change and adapt successfully to changes in the business environment
- (C) Have the strongest balance sheets
- (D) Have operated the longest

✓ **ANSWER: (B)**

SM §1.4.1: the fittest are not the largest or strongest organisations but those that can change and adapt successfully.

- (A) X The SM explicitly rejects 'largest'.
- (C) X The SM rejects 'strongest'.
- (D) X The failed giants had long histories.

 **Trap:** Equating 'fittest' with size or strength.

Topic: SM Ch 1 §1.4.1

☐ **QUICK RECAP**

- Two-fold objective: competitive advantage + guide through change.
- SM process is cyclic; originally called business policy.
- Seven benefits: direction, proactive, framework, future-ready, defence, longevity, core competencies.

1.4.2 Limitations of Strategic Management

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (May 2025 MCQ 14, May 2026 Q8(b)) · RTP 4 · MTP 9

■ **UNDERSTAND IT**

The presence of strategic management cannot counter all hindrances and always achieve success. The limitations are:

(1) Environment is highly complex and turbulent. It is difficult to understand and pinpoint how it will shape up; the organisation's estimate of the future may awfully go wrong and **jeopardise all strategic plans.** The organisation deals with suppliers, customers, governments and other external factors, so **relying on a business strategy blindly could go absolutely wrong**

if the environment is turbulent. Example: two-wheeler EV brands counted on strategic benefits from the government's push for electric mobility, but customers became reluctant due to safety concerns over battery fires — strategy cannot overcome a turbulent environment.

(2) Strategic management is a time-consuming process. Organisations spend a lot of time preparing and communicating strategies, which may **impede daily operations** and negatively affect routine business. Planning matters, but success lies in action; too much time on planning and formulating may not be fruitful (like students spending so much time planning what to study that they are exhausted before studying).

(3) Strategic management is a costly process. It adds a lot of expenses: expert strategic planners must be engaged, and effort goes into analysing environments, devising strategies and implementing them. This is really costly for organisations with limited resources, particularly **small and medium organisations**; experts are costly resources.

(4) Difficult to estimate competitive responses. Where all organisations move strategically, it is difficult to estimate competitors' responses because their decisions are taken **behind closed doors** by top management. Example: Apple removed the 3.5 mm audio jack from iPhones, and all major speaker brands had to develop true wireless speakers (TWS) and compete with new entrants.

Why businesses still opt for strategic management: it is time-consuming and costly, but **its importance outweighs its shortcomings**; a business cannot operate and succeed without proper strategic management.

ICAI case pattern (Ramesh Sharma / Vikram Patel): a store owner who manages strategically still loses sales to online stores. ICAI's answer applies each limitation: complex, turbulent environment (a new kind of competitor); difficulty predicting the future; time-consuming, but he should continue managing strategically; costly, but he may engage experts for customised offerings; small stores cannot visualise how large online players will move strategically.

e.g. PYQ May 2025 MCQ: a company started making e-vehicles under a state subsidy, but customers worried about battery life, charging time and battery fires, so the response was half-hearted. The limitation shown is that the environment is highly complex and turbulent.

KEY FRAMEWORK / FORMULA · Four limitations (SM §1.4.2)

Requirement: Complex and turbulent environment; time-consuming; costly; difficult to estimate competitive responses. Importance still outweighs shortcomings.

Exam angle: May 2026 asked the overall objective (1 mark) plus these four limitations (4 marks); RTP and MTP cases apply them to a declining retailer.

ICAI KEYWORDS

cannot counter all hindrances · highly complex and turbulent · jeopardise all strategic plans · relying on a business strategy blindly · time-consuming · impede daily operations · costly process · small and medium organisation · difficult to clearly estimate the competitive responses · importance outweighs its shortcomings

MEMORY TRICK

"E-T-C-C" → "Every Time Costs Cash": Environment turbulent, Time-consuming, Costly, Competitors' responses hard to estimate.

Cue	Stands for
E	Environment complex and turbulent (EV battery-fire example)
T	Time-consuming; impedes daily operations (student planning example)
C	Costly; hardest for small and medium firms
C	Competitive responses hard to estimate (Apple headphone-jack example)

⚡ 3-second trigger: Every Time Costs Cash

COMMON MISTAKE / CONFUSION

- Adding generic limitations like 'rigid' or 'needs top management support' — stick to the four SM limitations.

- Concluding that the firm should abandon strategic management; ICAI's case answers say continue managing strategically, because importance outweighs shortcomings.
- In the EV subsidy MCQ, choosing 'competitive response' — the issue was customer behaviour and safety concerns, i.e. a turbulent environment.

🔗 INTEGRATION LINK

- 🔗 SM Ch 2: turbulent external environment

🔗 INTEGRATION LINK

- 🔗 SM Ch 5: strategic surveillance and special alert control handle unexpected events

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Overall objective and limitations (PYQ May 2026, 1 + 4)
- Define strategic management and discuss limitations (MTP x2, RTP May 2024)
- Case: store owner losing sales to online players — analyse using limitations (RTP x2, MTP x2)
- MCQ: identify the limitation shown by facts (PYQ May 2025, RTP Sep 2024, MTP x4)

How to attack it:

- Line: strategic management cannot counter all hindrances
- Four limitations with SM wording
- In cases, apply each limitation to a fact and advise continuing strategically

📖 What ICAI has done so far: PYQ May 2026 · Q8(b); PYQ May 2025 · MCQ 14; RTP May 2025 · SM Q7; MTP Jan 2025 Series II · SM Q4(a).

⌚ Time / length guide (study guidance): 5 marks ≈ 9 minutes (study guidance).

📖 WRITE THIS IN THE EXAM

Structure:

- Meaning/objective line
- Four limitations
- Application to facts (if case)

- Conclusion: importance outweighs shortcomings

🔑 Keywords: complex and turbulent · time-consuming · costly · competitive responses

📏 Ideal length: 5 marks: 4 points × 3 lines + conclusion

📊 Conclusion pattern: Even with its limitations, the importance of strategic management outweighs its shortcomings.

⊘ DON'T WRITE THIS

- Saying strategic management guarantees success

📖 Questions on this topic — ICAI questions first, then practice

📌 OFFICIAL ICAI QUESTION · PYQ May 2026 · QB(b) · 5 marks

"Relying blindly on business strategy can go absolutely wrong when daily operations are impeded or when environmental estimates prove inaccurate." Discuss the overall objective of strategic management and evaluate the limitations that may prevent it from overcoming a turbulent environment. (1 + 4 marks)

✅ MODEL ANSWER

- **Overall objective:** (1) to create competitive advantage so that the company can outperform competitors; (2) to guide the company successfully through environmental changes and react in the right manner.
- **(1) Complex and turbulent environment:** the environment is highly dynamic and uncertain; estimates about future conditions may go wrong and affect strategic plans adversely. Strategy cannot always overcome a turbulent environment.
- **(2) Time-consuming process:** extensive planning, analysis and communication may impede daily operations and routine activities; excessive planning may reduce execution efficiency.
- **(3) Costly process:** expert planners, environmental analysis and implementation efforts increase costs, especially for small and medium enterprises.
- **(4) Difficulty in predicting competitive responses:** in a competitive environment it is difficult to estimate competitors' strategic actions accurately, as such decisions are generally confidential and uncertain.

🔑 Keywords: create competitive advantage · react in the right manner · complex and turbulent · time consuming · costly · competitive responses

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

OFFICIAL ICAI QUESTION · RTP May 2024 · SM Q8

Define strategic management. Also discuss the limitations of strategic management.

✓ MODEL ANSWER

- Strategic management refers to the managerial process of developing a strategic vision, setting objectives, crafting a strategy, implementing and evaluating the strategy, and initiating corrective adjustments where deemed appropriate.
- Its presence cannot counter all hindrances and always achieve success; limitations are:
- **Environment is highly complex and turbulent:** it is difficult to understand and pinpoint how it will shape up; estimates may go wrong and jeopardise all strategic plans; the organisation has to deal with suppliers, customers, governments and other external factors.
- **Time-consuming process:** preparing and communicating strategies may impede daily operations and negatively affect routine business.
- **Costly process:** expert strategic planners, analysis of external and internal environments, devising and implementing strategies are costly, particularly for small and medium organisations with limited resources.
- **Competition is unpredictable:** where all organisations move strategically, it is difficult to clearly estimate competitive responses to strategies.

 **Keywords:** developing a strategic vision · corrective adjustments · complex and turbulent · time-consuming · costly · competitive responses

 **Also asked as:** MTP Jan 2025 Series I · SM Q2(b) (define strategic management and discuss limitations, 5 marks) | MTP Jan 2026 Series I · SM Q2(b) (same, 5 marks)

OFFICIAL ICAI QUESTION · RTP May 2025 · SM Q7

Ramesh Sharma has fifteen consumer-durable stores in the Delhi region, four opened in the last three years. He manages strategically and had significant sales of refrigerators, TVs, washing machines and air conditioners until four years ago; with the shift to online purchases, sales fell to about seventy per cent. Analyse his position in the light of the limitations of strategic management.

✓ MODEL ANSWER

- Ramesh Sharma faces declining sales due to a large-scale shift of customers to online stores. Though he uses strategic management tools, they cannot counter all hindrances and always achieve success.
- The environment under which strategies are made is highly complex and turbulent: online stores, a new kind of competitor, brought a different dimension to selling consumer durables and, with their size and power, offer stiff competition.
- It is difficult to predict how things will shape up; although managing strategically, he failed to see how online stores would affect sales.
- Strategic management is time-consuming, but he should continue to manage strategically; challenging times require more effort.
- Strategic management is costly; he may engage experts to find customer preferences and offer customised services that online stores find hard to match.
- His stores are much smaller than online stores, so it is very difficult for him to visualise how online stores will move strategically.

 **Keywords:** cannot counter all hindrances · complex and turbulent · difficult to predict · time-consuming · costly · visualise competitors' moves

 **OFFICIAL ICAI QUESTION** · MTP Jan 2025 Series II · SM Q4(a) · 5 marks

Vikram Patel owns ten bookstores in the Mumbai region, three launched in the past two years. He believes in strategic management and enjoyed strong sales of books, magazines and educational materials until five years ago; with the shift to online shopping, store sales have fallen about sixty per cent. Analyse his position in the light of the limitations of strategic management.

 MODEL ANSWER

- Vikram Patel faces declining sales due to customers shifting to online platforms; strategic management tools cannot always overcome every obstacle or guarantee success.
- The environment is highly complex and unpredictable: online bookstores, a new type of competitor with extensive reach and pricing power, have dominated the market and challenged traditional bookstores.
- It is difficult to forecast future developments: despite his efforts, he did not anticipate the impact of online bookstores.
- Strategic management is time-consuming, but it is crucial for him to continue managing strategically; challenging times demand more effort and adaptability.

- It can be costly: he might hire experts to understand customer preferences and offer personalised services that online stores find hard to replicate, giving him an edge.
- His bookstores are much smaller than online stores, making it hard to predict how online platforms will manoeuvre strategically.

 Keywords: complex and unpredictable · difficult to forecast · time-consuming but continue · costly · personalised services

 Also asked as: RTP May 2026 · SM Q8 (identical Vikram Patel case) | MTP Sep 2024 Series II · SM Q1(b) (identical Vikram Patel case, 5 marks)

 MCQ · PYQ May 2025 · MCQ 14

Responding to a state subsidy, a company started making e-vehicles. Some customers were uneasy about battery life and charging time, and some feared frequent battery fires, so the evolving EV market gave a half-hearted response. The customers' response points to which limitation of strategic management?

- (A) Environment is highly complex and turbulent
- (B) Strategic management is a time-consuming process
- (C) Strategic management is a costly process
- (D) It is difficult to estimate the competitive response to the firm's strategy

 ANSWER: (A)

SM §1.4.2 uses almost this example: EV brands relying on the government push faced reluctant customers due to battery-fire safety concerns — strategy cannot overcome a turbulent environment. ICAI key: (A).

- (B) X Time is not the issue.
- (C) X Cost is not the issue.
- (D) X The problem came from customers, not competitors.

 Trap: Choosing D because a 'response' is mentioned.

Topic: SM Ch 1 §1.4.2

 MCQ · RTP Sep 2024 · SM MCQ 2

Jaago Lights, a successful Jalandhar brand, aimed to enter the Middle East by teaming up with major players. It had to reorganise internal operations and refine designs, facing

pressure to expand quickly and turbulence in existing operations. What primary limitation of strategic management does this highlight?

- (A) Lack of senior management support
- (B) Time-consuming and complex nature
- (C) Inability to adapt to market changes
- (D) Excessive focus on short-term goals

✓ **ANSWER: (B)**

Reorganising operations and refining designs under pressure disturbs routine operations: strategic management is time-consuming and may impede daily operations. ICAI key: (b).

- (A) X Not suggested.
- (C) X The firm is adapting.
- (D) X Not an SM limitation.

🚫 **Trap:** Option C sounds like a limitation but contradicts the facts.

Topic: SM Ch 1 §1.4.2

✓ **MCQ** · MTP Jan 2025 Series II · SM MCQ 1(B)(ii)

Suman, marketing head of Jalwa Music Co., researched India's online music streaming business and found that although players were innovating rapidly, it was difficult to maintain a sustainable competitive advantage. Which aspect of strategic management best reflects this challenge?

- (A) The need for continuous innovation
- (B) The importance of understanding the competitive landscape
- (C) The dynamic and unpredictable nature of the industry
- (D) The difficulty in estimating competitors' responses

✓ **ANSWER: (C)**

Rapid innovation making advantage hard to sustain reflects a complex, turbulent, unpredictable environment. ICAI key: (c).

- (A) X A response, not the challenge.
- (B) X A tool, not the challenge.
- (D) X Close, but the facts stress industry dynamism rather than a specific rival's response.

🚫 **Trap:** D is a real limitation but not the best fit.

Topic: SM Ch 1 §1.4.2

✓ MCQ · MTP May 2025 Series II · SM MCQ 1(B)(i)

A multinational is debating whether to invest significant time and resources in a new strategic plan. Some say it diverts attention from current operations; others believe it is essential for long-term success. Despite being resource-intensive, it remains crucial for sustained growth. What does this best illustrate?

- (A) Strategic management ensures immediate profitability
- (B) Strategic management is time-consuming but necessary
- (C) Operational efficiency is more important than strategic planning
- (D) Short-term focus leads to long-term success

✓ ANSWER: (B)

SM §1.4.2: time-consuming and costly, impeding daily operations, yet its importance outweighs its shortcomings. ICAI key: (b).

- (A) X The SM promises no immediate profitability.
- (C) X Contradicts the facts' conclusion.
- (D) X Not supported.

🚫 Trap: None — combine limitation + 'why firms still use it'.

Topic: SM Ch 1 §1.4.2

✓ MCQ · MTP Sep 2025 Series I · SM MCQ 1(B)(iii)

Which of the following is a limitation of strategic management?

- (A) It sometimes provides a clear roadmap for the organisation
- (B) It disregards allocating resources effectively
- (C) It can be time-consuming and complex
- (D) It doesn't ensure immediate results

✓ ANSWER: (C)

SM §1.4.2: strategic management is a time-consuming process in a complex environment. ICAI key: (c).

- (A) X A benefit, not a limitation.
- (B) X Untrue.

- (D) X Not listed as an SM limitation.

 **Trap:** Option D sounds plausible but is not in the SM list.

Topic: SM Ch 1 §1.4.2

✓ MCQ · MTP Sep 2026 Series II · SM MCQ 1(A)(i)

EcoNurture Foods had a well-developed mission, 'nourishing people and the planet through sustainable innovation', but after a decade of growth it stagnated due to competition, inefficiencies and changing trends, and had to adopt a turnaround strategy. What does this say about strategic management?

- (A) Strategic management is a futile exercise
- (B) Proactive approach matters, but macro trends are more important
- (C) It is time-consuming but helps by developing defence mechanisms as well
- (D) The mission statement should change with strategy

✓ **ANSWER: (C)**

A good mission did not prevent stagnation (strategic management has limitations and takes time), yet it helps the firm respond and recover (corporate defence mechanism). ICAI key: (c).

- (A) X The importance outweighs the shortcomings.
- (B) X Not the SM message.
- (D) X A mission is a relatively stable statement of purpose.

 **Trap:** Option A over-reacts to the limitation.

Topic: SM Ch 1 §1.4.2

✓ MCQ · Practice MCQ · Example · Moderate

Apple's removal of the 3.5 mm audio jack forced speaker brands to develop true wireless speakers and face new entrants. The study material uses this to illustrate which limitation?

- (A) Strategic management is a costly process
- (B) Strategic management is time-consuming
- (C) It is difficult to clearly estimate competitive responses to a firm's strategies
- (D) Strategic management needs expert planners

✓ **ANSWER: (C)**

SM §1.4.2(4): competitors' decisions are taken behind closed doors, so competitive responses are hard to estimate; the Apple example illustrates this.

- (A) X Costly process uses the SME/expert example.
- (B) X Time-consuming uses the student-planning analogy.
- (D) X Part of the costly-process limitation.

 **Trap:** Linking a tech example to 'costly'.

Topic: SM Ch 1 §1.4.2

☒ MCQ · Practice MCQ · Statement · Moderate

Why do businesses still opt for strategic management despite its limitations?

- (A) Because it guarantees success in any environment
- (B) Because it removes the need for daily operations
- (C) Because it is free for small businesses
- (D) Because its importance outweighs its shortcomings; a business cannot operate and succeed without it

✓ **ANSWER: (D)**

SM §1.4.2 box: strategic management is time-consuming and costly, but its importance outweighs its shortcomings.

- (A) X It cannot counter all hindrances.
- (B) X Untrue.
- (C) X It is costly, especially for SMEs.

 **Trap:** Option A — the SM says the opposite.

Topic: SM Ch 1 §1.4.2

☐ **QUICKRECAP**

- Cannot counter all hindrances.
- Four limitations: turbulent environment, time-consuming, costly, competitive responses hard to estimate.
- Importance outweighs shortcomings; in cases, advise continuing strategically.

1.5 Strategic Intent (Vision, Mission, Goals, Objectives and Values)

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (Jan 2026 MCQ 9) · supports every vision / mission / objectives / values question in this chapter

■ UNDERSTAND IT

Strategic management is a dynamic process of formulation, implementation, evaluation and control of strategies to realise the organisation's strategic intent.

Senior managers must define "what they want to do" and "why they want to do". "Why they want to do" represents the strategic intent of the firm. Clarity in strategic intent is extremely important for future success and growth, **irrespective of the nature and size** of the enterprise.

Strategic intent can be understood as the **philosophical base of strategic management**. It implies the purposes an organisation endeavours to achieve; it is a statement that provides a **perspective of the means** which will lead the organisation to reach its vision in the long run. It gives an idea of what the organisation desires to attain in future and answers **what the organisation strives or stands for**. It indicates the **long-term market position** the organisation desires to create or occupy and the opportunity for exploring new possibilities.

Strategic intent provides the **framework** within which the firm adopts a predetermined direction and operates to achieve strategic objectives. It could be in the form of **vision and mission statements at the corporate level**, and expressed as the **business definition and business model at the business level**.

Strategic intent is generally stated in **broad terms**, but when stated in precise terms it is an expression of aims to be achieved operationally, i.e. **goals and objectives**.

Components (SM list): **1. Vision** — blueprint of the company's future position; describes where the organisation wants to land; depicts aspirations and a glimpse of what it would like to become; every sub-system must follow it. **2. Mission** — delineates the firm's business, its goals and ways to reach them; explains the reason for the firm's existence in society; helps potential shareholders and investors understand the firm's purpose; identifies 'what business the firm undertakes'; defines present capabilities, activities, customer focus and role in society. **3. Goals and objectives** — the base of measurement: goals are end results the organisation attempts to achieve; objectives are **time-based measurable targets** that help accomplish goals; in practice no distinction is made and the terms are used interchangeably. **4. Values / value system** — deep-rooted principles guiding an organisation's decisions and actions.

The **vision, mission, business definition and business model** explain the **philosophy** of the organisation, while **goals and objectives** represent the **results** to be achieved in multiple areas of business.

While strategic intent is the **purpose** an organisation aims to achieve, **values form the omnipresent foundation of every decision management takes**. An organisation without values is like an organisation with no real intent.

SM figure (Component of Strategic Intent): Strategic Intent → Vision → Mission → Goals and Objectives, with **Values / Value System** at the centre of all of them.

e.g. PYQ Jan 2026 MCQ: Kalpanjali Dairy's action plan to become a top-10 dairy brand by 2035 with a strong presence in organic and health-based offerings is an example of strategic intent.

■ ICAI KEYWORDS

dynamic process of formulation, implementation, evaluation and control · what they want to do and why they want to do · philosophical base of strategic management · long-term market position · business definition and business model · goals and objectives · omnipresent foundation

■ MEMORY TRICK

Intent ladder: "V-M-G-V" — Vision (where), Mission (who/what), Goals & objectives (how much, by when), Values (the core under all of them).

Cue	Stands for
Vision	Blueprint of future position: where we want to land
Mission	Present business scope: who we are and what we do
Goals & objectives	End results and time-based measurable targets
Values	Deep-rooted principles at the centre

⚡ 3-second trigger: V-M-G with V at the core

■ COMMON MISTAKE / CONFUSION

- Saying strategic intent is only the vision. It covers vision, mission, goals, objectives and values.
- Forgetting that at business level it is expressed as business definition and business model.

🔗 INTEGRATION LINK

- 🔗 SM Ch 4: business definition and business model in strategic choices

🔗 INTEGRATION LINK

- 🔗 SM Ch 5: objectives become the base for evaluation and control

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Case MCQ: identify the component of strategic intent (PYQ May 2025 MCQ 9, Jan 2026 MCQ 9, May 2026 MCQ 13)
- Opening paragraph of any vision / mission / values answer

How to attack it:

- Define strategic intent in one line, then name the component the facts point to

📖 What ICAI has done so far: PYQ Jan 2026 · MCQ 9 (key: strategic intent).

🕒 Time / length guide (study guidance): MCQ ≈ 2–3 minutes (study guidance).

📖 Questions on this topic — ICAI questions first, then practice

✅ MCQ · PYQ Jan 2026 · MCQ 9

Kalpanjali Dairy's action plan to become a top-10 dairy brand by 2035, with a strong presence in organic and health-based dairy offerings, is an example of:

- (A) Strategic control
- (B) Strategic intent
- (C) Operational efficiency
- (D) Tactical planning

✅ ANSWER: (B)

Strategic intent states the purposes the organisation endeavours to achieve and the long-term market position it desires to create or occupy. ICAI key: (B).

- (A) X Strategic control monitors implementation (SM Ch 5).
- (C) X Operational efficiency is about day-to-day performance.
- (D) X Tactical planning is short-term.

 **Trap:** Mistaking a long-horizon plan for tactical planning.

Topic: SM Ch 1 §1.5

☒ MCQ · Practice MCQ · Concept · Moderate

As per the study material, "why they want to do" represents:

- (A) The strategic intent of the firm
- (B) The functional strategy of the firm
- (C) The control system of the firm
- (D) The business model only

 **ANSWER: (A)**

SM §1.5: senior managers define what they want to do and why they want to do; the latter represents strategic intent.

- (B) X Functional strategy is about implementation in a department.
- (C) X Control comes later in the process.
- (D) X The business model is one expression of intent at business level.

 **Trap:** Choosing the business model, which is only part of the answer.

Topic: SM Ch 1 §1.5

☒ MCQ · Practice MCQ · Which is correct · Moderate

Which statement about the components of strategic intent is correct?

- (A) Goals are time-based measurable targets and objectives are open-ended end results
- (B) Objectives are time-based measurable targets that help accomplish goals
- (C) Values are relevant only to non-profit organisations
- (D) Mission describes where the organisation wants to land in future

 **ANSWER: (B)**

SM §1.5: goals are the end results the organisation attempts to achieve; objectives are time-based measurable targets which help accomplish goals.

- (A) X Reversed.
- (C) X Values guide every organisation's decisions.
- (D) X That is vision; mission describes the present business scope.

🚫 **Trap:** Options A and D swap the definitions.

Topic: SM Ch 1 §1.5

☐ QUICKRECAP

- Strategic intent = why the organisation exists and strives; philosophical base of strategic management.
- Components: vision, mission, goals and objectives, values.
- At corporate level: vision and mission; at business level: business definition and business model.

1.5.1 Vision

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 1 (May 2025 Q5(a)) · RTP 3 · MTP 5

■ UNDERSTAND IT

Very early in strategy making, senior managers must consider *what directional path* the company should take and what changes in its *product-market-customer-technology focus* would improve its current market position and future prospects. Committing to one path pushes managers to draw carefully reasoned conclusions about how to modify the company's business make-up and the market position it should stake out.

Top management's views about the company's direction and the product-customer-market-technology focus constitute the strategic vision for the company. Strategic vision delineates management's aspirations for the business, providing a panoramic view of 'where we are to go' and a convincing rationale for why this makes good business sense.

Strategic vision thus *points out a particular direction, charts a strategic path to be followed in future, and moulds organisational identity*. A clearly articulated strategic vision communicates management's aspirations to stakeholders and helps steer the energies of company personnel in a common direction. For instance, Henry Ford's vision of a car in every garage had power because it captured others' imagination, aided internal efforts to mobilise

the company's resources, and served as a reference point for gauging the merits of strategic actions.

SM examples: **HDFC Bank Ltd.** — vision of being a **world class Indian bank**, keeping 'where we want to go' central to strategic decisions. **LIC Ltd.** — 'A trans-nationally competitive financial conglomerate of significance to societies and Pride of India.' **Apple Inc. (Tim Cook)** — 'We believe that we are on the face of the earth to make great products, and that's not changing.'

Essentials of a strategic vision: (1) the **entrepreneurial challenge** in developing a strategic vision is to **think creatively about how to prepare a company for the future**; (2) forming a strategic vision is an **exercise in intelligent entrepreneurship**; (3) a well-articulated strategic vision **creates enthusiasm among the members of the organisation**; (4) the best-worded vision statement **clearly illuminates the direction in which the organisation is headed**.

ICAI's added points on why vision matters (May 2025 answer): it provides a clear sense of direction, helping the organisation focus resources and efforts on defined long-term goals; it is a source of **alignment and inspiration for stakeholders** — employees, customers and investors — by communicating the overarching purpose; and it **shapes identity and culture**, encouraging unity and collective motivation.

e.g. PYQ May 2025: SemiCon Pvt. Ltd. wants a strategic path to build the best-quality semiconductors and enable India to emerge as a global electronics hub, placing core values first and articulating aspirations to stakeholders as a guiding beacon. The component is vision.

KEY FRAMEWORK / FORMULA · Four essentials of a strategic vision (SM §1.5.1)

Requirement: Think creatively to prepare the company for the future; an exercise in intelligent entrepreneurship; creates enthusiasm among members; the best-worded statement clearly illuminates the direction.

Exam angle: Asked directly (MTP Aug 2024, Apr 2025) and inside case answers (PYQ May 2025, RTP Sep 2026).

ICAI KEYWORDS

blueprint of the company's future position · **product-customer-market-technology focus** · **panoramic view of where we are to go** · **charts a strategic path** · **moulding organisational identity** · **guiding beacon** · **intelligent entrepreneurship** · **creates enthusiasm** · **illuminates the direction**

■ MEMORY TRICK

Vision essentials = "C-E-E-I": Creative preparation for the future, Exercise in intelligent entrepreneurship, Enthusiasm among members, Illuminates direction.

Cue	Stands for
C	Think creatively to prepare for the future
E	Exercise in intelligent entrepreneurship
E	Creates enthusiasm among members
I	Illuminates the direction clearly

⚡ 3-second trigger: C-E-E-I

■ COMMON MISTAKE / CONFUSION

- Writing a mission-style sentence (what we do today) when a vision (where we want to go) is asked.
- Giving a vision without the SM definition line; ICAI's answers always start with 'Vision implies the blueprint of the company's future position'.

🔗 INTEGRATION LINK

🔗 SM Ch 1 §1.5.2: mission, the present-scope counterpart

🔗 INTEGRATION LINK

🔗 SM Ch 5: vision guides strategic change and evaluation

⚙️ HOW TO FACE IT IN THE EXAM

Can be asked as:

- Identify the component of strategic intent and give its importance and essentials (PYQ May 2025, 1 + 1 + 1 + 2)
- What is a strategic vision and its essential components (MTP x2)
- Case: identify the conceptual element and explain its meaning and characteristics (RTP Sep 2026)

- Case MCQ: which element is this statement (MTP x3)

How to attack it:

- Name the component: Vision
- Give the SM definition (blueprint of future position / management's aspirations)
- State why it is important (direction, alignment and inspiration, identity)
- List the four essentials

 What ICAI has done so far: PYQ May 2025 · Q5(a); RTP Sep 2026 · SM Q8; MTP May 2025 Series II · SM Q4(b); MTP Sep 2024 Series II · SM Q3(a).

 Time / length guide (study guidance): 5 marks ≈ 9 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Component: Vision
- SM definition
- Why important (3 points)
- Four essentials

 Keywords: blueprint of the company's future position · where we are to go · guiding beacon · intelligent entrepreneurship

 Ideal length: 5 marks: 12–14 lines

 Conclusion pattern: A clearly articulated vision points the direction, charts the strategic path and moulds organisational identity.

DON'T WRITE THIS

- Listing mission benefits inside a vision answer

 Questions on this topic — ICAI questions first, then practice

 OFFICIAL ICAI QUESTION · PYQ May 2025 · Q5(a) · 5 marks

SemiCon Pvt. Ltd. (SPL), a semiconductor manufacturer since 2024, wants to set a strategic path for the future so as to build the best quality semiconductor and display design with an innovative ecosystem, enabling India's emergence as a global hub for electronics manufacturing in a structured manner. Placing core values as its priority, it wishes to articulate its aspirations clearly to stakeholders with a guiding beacon that keeps inspiring its workforce.

Identify and explain the component of strategic intent indicated, why it is important for a successful organisation, and state its essentials. (1 + 1 + 1 + 2 marks)

✓ **MODEL ANSWER**

- **Component: Vision.** A vision implies the blueprint of the company's future position, outlining what an organisation aspires to become in the long term.
- It reflects management's aspirations and serves as a guiding beacon for strategic decision-making by shaping the product-market-customer-technology focus of the business.
- **Why it is important:** it provides a clear sense of direction, helping the organisation focus its resources and efforts on defined long-term goals; it is a source of alignment and inspiration for stakeholders — employees, customers and investors — by communicating the overarching purpose and aspirations; and it shapes the organisation's identity and culture, encouraging unity and collective motivation.
- **Essentials of a strategic vision:** it involves creative foresight to prepare the company for future challenges and opportunities; it is an exercise in intelligent entrepreneurship, not merely operational planning; it creates enthusiasm and emotional engagement among organisational members; and it is clearly worded to illuminate the organisation's strategic direction.

🔑 **Keywords:** blueprint of the company's future position · guiding beacon · sense of direction · intelligent entrepreneurship · creates enthusiasm

📖 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

■ **OFFICIAL ICAI QUESTION** · RTP Sep 2026 · SM QB

PharmaLife Global Ltd.'s top management prepared a document defining the company's desired future position, outlining long-term aspirations and giving clear direction for the next decade. It answers "Where do we want to go?", inspires employees and stakeholders and shapes future strategic decisions without specifying detailed operational plans. Identify the conceptual element of strategic intent and explain its meaning and key characteristics.

✓ **MODEL ANSWER**

- The conceptual element is **Strategic Vision**.
- A strategic vision reflects top management's views about the company's future direction and its product-customer-market-technology focus. It delineates management's

aspirations for the business, providing a panoramic view of 'where we are to go' and a convincing rationale for why the chosen direction makes good business sense.

- It points out a particular direction, charts the strategic path to be followed in future and helps mould the organisation's identity. A clearly articulated strategic vision communicates management's aspirations to stakeholders and steers the energies of employees towards a common direction.
- **Essentials:** developing a strategic vision requires management to think creatively about preparing the company for the future; forming a strategic vision is an exercise in intelligent entrepreneurship; a well-articulated strategic vision creates enthusiasm among the members of the organisation; the best-worded vision statement clearly illuminates the direction in which the organisation is headed.

 **Keywords:** strategic vision · where we are to go · moulds identity · intelligent entrepreneurship

OFFICIAL ICAI QUESTION · MTP May 2025 Series II · SM Q4(b) · 5 marks

What is a strategic vision, and what are the essential components that make it an effective tool for guiding an organisation's future?

MODEL ANSWER

- A strategic vision serves as a roadmap for a company's future, detailing the specifics of technology, customer focus, geographic and product markets, and the capabilities the organisation aims to develop.
- It answers the critical question "Where are we going?" and provides a compelling rationale for the chosen direction, ensuring alignment with long-term objectives.
- It outlines the organisation's aspirations, offering a broad, panoramic view of where it aims to be, provides clear direction, charts a strategic path for the future and helps shape organisational identity.
- **Essentials:** the entrepreneurial challenge is to think creatively about how to prepare the company for the future; forming a strategic vision is an exercise in intelligent entrepreneurship; a well-articulated vision creates enthusiasm among members of the organisation; the best-worded vision statement clearly illuminates the direction in which the organisation is headed.

 **Keywords:** roadmap · Where are we going? · panoramic view · intelligent entrepreneurship

 **Also asked as:** MTP Sep 2024 Series II · SM Q3(a) (identical question, 5 marks)

 EXPECTED QUESTION · Practice question · Case · 5 marks

Ms. Iyer has founded SolarSprout, a start-up making rooftop solar kits for small towns. She wants a statement that tells employees and investors where the company will be in ten years and inspires them daily. Identify the component of strategic intent she needs, draft one for SolarSprout, and state its essentials.

 MODEL ANSWER

- Component: **Vision** — the blueprint of the company's future position, describing where the organisation wants to land.
- Suggested vision: "To be India's most trusted rooftop solar company, bringing clean and affordable power to every small town home."
- It sets the product-market-customer-technology focus, gives a panoramic view of 'where we are to go' and a rationale for the direction.
- It communicates management's aspirations to stakeholders and steers employees' energies in a common direction, moulding the organisation's identity.
- Essentials: think creatively to prepare the company for the future; an exercise in intelligent entrepreneurship; creates enthusiasm among members; clearly illuminates the direction in which the organisation is headed.

 **Keywords:** **blueprint of future position** · **panoramic view** · **creates enthusiasm**

 MCQ · RTP May 2024 · SM MCQ 2

ABC Foundation envisages a world where every individual, regardless of background, has access to quality education, eradicating illiteracy globally. It is committed to establishing 1000 learning centres and reaching 1 million learners in five years, and its core values emphasise equality, empowerment and knowledge-sharing. What represents the fundamental purpose and long-term aspirations of ABC Foundation?

- (A) Vision
- (B) Values
- (C) Mission
- (D) Goals and Objectives

 ANSWER: (A)

The statement about the world it envisages is its long-term aspiration: the vision. ICAI key: (a).

- (B) X Values are equality, empowerment and knowledge-sharing.
- (C) X Mission would describe present business scope and how it serves.
- (D) X 1000 centres and 1 million learners in five years are the goals and objectives.

 **Trap:** All four elements appear in the facts; match the one asked ('long-term aspirations').

Topic: SM Ch 1 §1.5.1

☒ MCQ · RTP May 2024 · SM MCQ 1(iv)

Swasthya's compass is to emerge as the finest healthcare provider delivering accessible, top-notch services; its people are entrusted with translating this into outcomes at the grassroots level. Why is the focus on local operations essential for Swasthya's long-term objective?

- (A) It reduces strategic risk by minimising the need for strategic risk assessment
- (B) It aligns with their commitment to immediate profitability
- (C) It translates the organisation's vision into tangible outcomes and aligns with their long-term objective
- (D) It diversifies their portfolio and aligns with competitive landscape analysis

 **ANSWER: (C)**

Local operations turn the vision into tangible outcomes; a vision must steer the energies of company personnel in a common direction. ICAI key: (c).

- (A) X Risk assessment is still needed.
- (B) X The case stresses long-term aspiration, not immediate profit.
- (D) X No diversification is described.

 **Trap:** Options that introduce ideas absent from the facts.

Topic: SM Ch 1 §1.5.1

☒ MCQ · MTP May 2025 Series II · SM MCQ 1(A)(v)

Rachini Group's clear objective from inception was to become a leading player in the spice trade industry, sourcing, packaging and distributing the highest quality spices globally. What was Rachini Group's initial vision when it was founded?

- (A) To diversify quickly into unrelated businesses

- (B) To become a leading player in the spice trade industry
- (C) To establish a philanthropic arm
- (D) To go public by 2026

✓ ANSWER: (B)

The vision is the desired future position set at inception: leadership in the spice trade. ICAI key: (b).

- (A) X Diversification came later as a strategy.
- (C) X The philanthropic arm was a later response to criticism.
- (D) X The IPO plan is a later objective.

🚫 Trap: Later developments presented as the founding vision.

Topic: SM Ch 1 §1.5.1

✓ MCQ · MTP May 2026 Series I · SM MCQ 1(A)(i)

PlaySphere Interactive's declaration "To be India's leading creator of immersive gaming experiences" is best classified as which element of strategic intent, and why?

- (A) Mission — because it defines operational purpose
- (B) Objective — because it is short-term and measurable
- (C) Vision — because it describes long-term aspirations
- (D) Corporate strategy — because it defines resource allocation

✓ ANSWER: (C)

A statement of what the company aspires to become in the long run is the vision. ICAI key: (c).

- (A) X Its mission was 'to design culturally relevant games with global quality'.
- (B) X No time-based measurable target.
- (D) X Not a resource-allocation decision.

🚫 Trap: The same case gives both vision and mission wording; read which is quoted.

Topic: SM Ch 1 §1.5.1

✓ MCQ · MTP Sep 2024 Series II · SM MCQ 1(A)(i)

Sneha Rao's aim to transform DEF Technologies into a leading tech company illustrates which type of strategic intent?

- (A) Goal
- (B) Mission
- (C) Vision
- (D) Objective

✓ ANSWER: (C)

Her aspiration for the company's future position is the vision. ICAI key: (c).

- (A) X A goal would be a specific end result.
- (B) X A mission states present business scope.
- (D) X An objective is a time-based measurable target.

🚫 **Trap:** 'Transform into a leading company' may read like a goal; the long-term aspiration is a vision.

Topic: SM Ch 1 §1.5.1

✓ MCQ · Practice MCQ · Essentials · Moderate

Which is NOT one of the essentials of a strategic vision given in the study material?

- (A) Forming it is an exercise in intelligent entrepreneurship
- (B) A well-articulated vision creates enthusiasm among the members of the organisation
- (C) It quantifies annual profit targets for each department
- (D) The best-worded vision statement clearly illuminates the direction in which the organisation is headed

✓ ANSWER: (C)

SM §1.5.1 lists four essentials; quantified departmental profit targets are objectives, not part of a vision.

- (A) X Listed essential.
- (B) X Listed essential.
- (D) X Listed essential.

🚫 **Trap:** Confusing objectives with vision.

Topic: SM Ch 1 §1.5.1

✓ MCQ · Practice MCQ · Example · Easy

Henry Ford's 'a car in every garage' is used in the study material to show that a vision:

- (A) Must contain financial ratios
- (B) Should be revised every quarter
- (C) Is the same as a business model
- (D) Captures imagination, mobilises resources and serves as a reference point for judging strategic actions

✓ **ANSWER: (D)**

SM §1.5.1: Ford's vision captured the imagination of others, aided internal efforts to mobilise resources and served as a reference point for gauging the merits of the company's strategic actions.

- (A) X A vision is not a financial statement.
- (B) X A vision is long term.
- (C) X The business model is a business-level expression of intent.

🚫 **Trap:** None — recall the example's purpose.

Topic: SM Ch 1 §1.5.1

☐ QUICK RECAP

- Vision = blueprint of future position; 'where we are to go'.
- It points direction, charts the path, moulds identity, steers employees.
- Essentials: creative preparation, intelligent entrepreneurship, enthusiasm, clear direction.

1.5.2 Mission — and Distinguishing It from Vision

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 4 (May 2024 Q7(b), Sep 2024 MCQ 13, Sep 2025 Q6(a), May 2026 MCQ 13) · RTP 6 · MTP 8

■ UNDERSTAND IT

A mission is an answer to the basic question 'what business are we in and what we do'. Many firms fail to conceptualise and articulate the mission and business definition clearly; such firms fumble in identifying opportunities and fail in formulating strategies to use them. Firms managing strategically cannot be lax about mission and business definition, as the two ideas are absolutely central to strategic planning.

Why should an organisation have a mission? (1) To ensure unanimity of purpose within the organisation; (2) to develop a basis or standard for allocating organisational resources; (3) to

provide a basis for **motivating the use of the organisation's resources**; (4) to establish a **general tone or organisational climate**, suggesting a businesslike operation; (5) to serve as a **focal point** for those who can identify with the organisation's purpose and direction; (6) to facilitate the **translation of objectives and goals into a work structure** involving assignment of tasks to responsible elements; (7) to **specify organisational purposes** and translate them into goals so that **cost, time and performance parameters can be assessed and controlled**.

A company's mission statement is typically focused on its present business scope — 'who we are and what we do'. Mission statements broadly describe an organisation's **present capability, customer focus, activities and business make-up**.

SM examples: HDFC Bank — two-fold mission: to be the preferred provider of banking services for target retail and wholesale customer segments, and to achieve healthy growth in profitability consistent with the bank's risk appetite. **LIC Ltd.** — ensure and enhance the quality of life of people through financial security by providing products and services of aspired attributes with competitive returns, and by rendering resources for economic development. **Apple** — to bring the best user experience to its customers through innovative hardware, software and services.

A mission statement should reflect the **philosophy of the organisation** as perceived by senior managers. **A good mission statement should be precise, clear, feasible, distinctive and motivating.** Points useful while writing a mission: it should give the organisation its **own special identity, business emphasis and path for development**, setting it apart from similarly positioned companies; a company's business is defined by **what needs it is trying to satisfy, which customer groups it targets, and the technologies and competencies it uses and activities it performs**; good mission statements are **unique to the organisation** for which they are developed.

What is our mission? And what business are we in? (Drucker and Levitt). Peter Drucker and Theodore Levitt were among the first to raise this issue: as the **first step in business planning**, every firm must clarify the corporate mission and accurately define the business it is engaged in. The firm should raise and answer basic questions: What is our mission? What is our ultimate purpose? What do we want to become? What kind of growth do we seek? What business are we in? Do we understand our business correctly and define it accurately in its broadest connotation? Whom do we intend to serve? What human need do we intend to serve through our offer? What brings us to this particular business? What would be the nature of this business in the future? In what business would we like to be in future?

The **corporate mission** is an expression of the growth ambition of the firm; it is the firm's future visualised, a dramatic picture of what the company wants to become, the corporation's dream crystallised, a colourful sketch of how the firm wants its future to look, irrespective of the current position — a **grand design of the firm's future**. Mission amplifies what brings the firm to this business, what existence it seeks and what purpose it seeks to achieve; it serves as a justification for the firm's very presence and existence and legitimises it.

Drucker's test — 'What business are we in?' The answer should have a **marketing or external perspective**, not be restated in production or generic activity terms. SM table: **Indian Oil** — production-oriented: 'we produce oil and gasoline products'; marketing-oriented: 'we provide various types of safe and cost-effective energy'. **Indian Railways** — 'we run a railroad' vs 'we offer a transportation and material-handling system'. **Lakme** — 'in the factory, we make cosmetics' vs 'in the retail outlet, we sell hope'.

Vision vs mission (ICAI answer used in MTPs): the vision describes a future identity while the mission serves as an ongoing and time-independent guide. A vision statement can galvanise people to achieve defined objectives, even stretch objectives, provided it is specific, measurable, achievable, relevant and time bound. A mission statement provides a path to realise the vision in line with its values. Both have a direct bearing on the bottom line and success of the organisation. A mission statement defines the purpose or broader goal for being in existence or in business and **can remain the same for decades if crafted well**, while a vision statement is **more specific in terms of both the future state and the time frame**; vision describes what will be achieved if the organisation is successful.

Significance of vision and mission together (ICAI answer, Sep 2025): **Vision** — provides a blueprint of where the organisation wants to be; aligns organisational efforts on a chosen path; creates enthusiasm and moulds identity; clarifies aspirations in products, markets, customers and technology. **Mission** — explains the reason for the firm's existence; ensures unanimity of purpose and efficient resource use; is a standard for allocation and goal translation; gives distinct identity and direction; reflects present activities and ensures legitimacy.

e.g. PYQ Sep 2024 MCQ: 'to bring the best user experience to its customers through timely and safe delivery of goods' is a mission statement — it describes present business scope and customer focus, not a future position.



Requirement: Unanimity of purpose; basis for allocating resources; basis for motivating use of resources; general tone / organisational climate; focal point for those identifying with purpose; translation of objectives and goals into a work structure; specification of purposes so cost, time and performance can be assessed and controlled.

Exam angle: Asked as 'significance of a mission statement' in PYQ May 2024 and in three RTPs and one MTP — reproduce all seven.

ICAI KEYWORDS

what business are we in and what we do · unanimity of purpose · standard for allocating organisational resources · general tone or organisational climate · focal point · precise, clear, feasible, distinctive and motivating · present capability, customer focus, activities · marketing-oriented answer · time-independent guide

MEMORY TRICK

Mission reasons = "U-A-M-T-F-T-S" ("Unity Allocates Motivation, Tone, Focus, Tasks, Standards"). Vision vs mission: "Vision = future identity; Mission = ongoing guide."

Cue	Stands for
U	Unanimity of purpose
A	Allocating resources: a basis or standard
M	Motivating use of resources
T	Tone / organisational climate
F	Focal point for identification
T	Translating objectives into a work structure
S	Specifying purposes so cost, time and performance are controlled

⚡ 3-second trigger: Unity Allocates Motivation, Tone, Focus, Tasks, Standards

COMMON MISTAKE / CONFUSION

- Writing future aspirations in a mission answer. Mission = present business scope.
- Giving a production-oriented answer to 'what business are we in'. ICAI wants the marketing/external perspective (Lakme sells hope).

- Drafting only a mission when the question says 'draft vision and mission'. Give both, each with its SM definition line.

Basis	Vision	Mission
What it describes	A future identity: where the organisation wants to land	An ongoing, time-independent guide: who we are and what we do
Focus	Future state and time frame; more specific about both	Present business scope: capability, customer focus, activities, business make-up
Role	Galvanises people towards defined (even stretch) objectives	Provides a path to realise the vision in line with values
Stability	Changes as the desired future changes	Can remain the same for decades if crafted well

🔑 **Spot it in a case:** 'Where we want to go / aspire to be' = vision. 'What business we are in / whom we serve today' = mission.

🔗 INTEGRATION LINK

🔗 SM Ch 1 §1.5.1: vision

🔗 INTEGRATION LINK

🔗 SM Ch 4: business definition and business model

🔗 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Significance of a mission statement (PYQ May 2024; RTP x3; MTP)
- Significance of vision and mission in strategic planning (PYQ Sep 2025; MTP x2)
- Distinguish between vision and mission (MTP x2)
- Draft a vision and mission for a new brand (RTP x2; MTP)
- Case MCQ: identify the mission (PYQ Sep 2024, May 2026; MTP x2)

How to attack it:

- Open with 'present business scope — who we are and what we do'
- List the seven reasons, or the vision/mission significance points
- For drafting: one-line vision, then three mission bullets

 What ICAI has done so far: PYQ May 2024 · Q7(b); PYQ Sep 2025 · Q6(a); RTP May 2024 · SM Q7; MTP Jan 2025 Series II · SM Q3(b).

 Time / length guide (study guidance): 5 marks ≈ 9 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Definition line
- Seven reasons (or vision + mission significance lists)
- Conclusion

 Keywords: unanimity of purpose · allocating organisational resources · organisational climate · focal point

 Ideal length: 5 marks: 7 bullets

 Conclusion pattern: A well-crafted mission gives the firm identity, direction and a basis for allocating and controlling resources.

DON'T WRITE THIS

- Repeating the vision definition when only mission is asked

 Questions on this topic — ICAI questions first, then practice

 OFFICIAL ICAI QUESTION · PYQ May 2024 · Q7(b) · 5 marks

"A company's mission statement is typically focused on its present business scope." Explain the significance of a mission statement.

MODEL ANSWER

- A company's mission statement is typically focused on its present business scope — who we are and what we do. Mission statements broadly describe an organisation's present capability, customer focus, activities and business make-up.
- It ensures unanimity of purpose within the organisation.
- It develops a basis, or standard, for allocating organisational resources.

- It provides a basis for **motivating the use of the organisation's resources**.
- It establishes a **general tone or organisational climate**, to suggest a businesslike operation.
- It serves as a **focal point** for those who can identify with the organisation's purpose and direction.
- It facilitates the **translation of objectives and goals into a work structure** involving the assignment of tasks to responsible elements within the organisation.
- It **specifies organisational purposes** and translates them into goals in such a way that cost, time and performance parameters can be assessed and controlled.

🔑 **Keywords:** **present business scope** · **unanimity of purpose** · **allocating organisational resources** · **organisational climate** · **focal point**

📅 **Also asked as:** RTP Jan 2025 · SM Q8 (same question) | RTP Jan 2026 · SM Q8 (same question) | RTP Sep 2025 · SM Q8 (same question) | MTP May 2025 Series I · SM Q2(b) (same question, 5 marks)

📖 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

📌 **OFFICIAL ICAI QUESTION** · PYQ Sep 2025 · Q6(a) · 5 marks

"A well-defined vision and mission statement provide direction and purpose to an organisation." Explain the significance of vision and mission statements in strategic planning.

✅ **MODEL ANSWER**

- Strategic management is a dynamic process of formulation, implementation, evaluation and control of strategies to realise the organisation's strategic intent. Strategic intent clarifies what the organisation wants to do and why, and forms the basis of vision and mission statements.
- A vision statement describes the organisation's future aspirations and desired position, while a mission statement explains its present business scope, purpose, goals and the means to achieve them. Together they provide direction and purpose.
- **Significance of vision:** provides a blueprint of where the organisation wants to be; aligns organisational efforts on a chosen path; creates enthusiasm and moulds identity; clarifies aspirations in products, markets, customers and technology.
- **Significance of mission:** explains the reason for the firm's existence; ensures unanimity of purpose and efficient resource use; is a standard for allocation and goal translation; gives distinct identity and direction; reflects present activities and ensures legitimacy.

Conclusion: A well-defined vision and mission provide clarity of purpose, direction for growth and a framework for decision-making: vision answers "where we want to go" and mission answers "what business we are in and why we exist".

🔑 **Keywords:** strategic intent · future aspirations · present business scope · unanimity of purpose · legitimacy

📅 **Also asked as:** MTP May 2026 Series I · SM Q2(a) (same question, 5 marks) | MTP Sep 2026 Series II · SM Q2(a) (same question, 5 marks)

■ **OFFICIAL ICAI QUESTION** · MTP Jan 2025 Series II · SM Q3(b) · 5 marks

Distinguish between vision and mission.

✓ **MODEL ANSWER**

- The vision describes a future identity while the mission serves as an ongoing and time-independent guide.
- The vision statement can galvanise people to achieve defined objectives, even stretch objectives, provided the vision is specific, measurable, achievable, relevant and time bound.
- A mission statement provides a path to realise the vision in line with its values. These statements have a direct bearing on the bottom line and success of the organisation.
- A mission statement defines the purpose or broader goal for being in existence or in business and can remain the same for decades if crafted well, while a vision statement is more specific in terms of both the future state and the time frame.
- Vision describes what will be achieved if the organisation is successful.

🔑 **Keywords:** future identity · time-independent guide · galvanise · remain the same for decades

📅 **Also asked as:** MTP May 2025 Series II · SM Q4(b) (OR) (distinguish between vision and mission, 5 marks)

■ **OFFICIAL ICAI QUESTION** · RTP May 2024 · SM Q7

ABC Pharmaceuticals is formulating its strategic intent. Top management wants to define the company's future direction, objectives and goals and create a vision that sets the organisation apart and provides a roadmap for growth. The company aspires to enrich people's lives by producing high-quality pharmaceutical products at competitive prices and wants to become

the world's leading pharmaceutical company by 2030. Draft a vision and mission statement that could be formulated by its top management.

✓ **MODEL ANSWER**

- **Vision:** vision implies the blueprint of the company's future position; it describes where the organisation wants to land. ABC Pharmaceuticals may have the vision "To be the globally recognised leader in pharmaceutical innovation and enriching the lives of people worldwide by providing high-quality, affordable and accessible pharmaceutical products."
- **Mission:** mission delineates the firm's business, its goals and ways to reach the goals; it explains the reason for the existence of the firm in society and is designed to help potential shareholders and investors understand the purpose of the company.
- Mission bullets: to improve the well-being of individuals and communities by relentlessly pursuing excellence in pharmaceutical research, development and manufacturing;
- committed to producing safe, effective and sustainable medicines that address unmet medical needs and enhance the quality of life for patients;
- through innovation, collaboration and ethical practices, to make a positive impact on global healthcare and become the trusted partner of healthcare providers and patients alike.

🔑 **Keywords:** blueprint of the company's future position · delineates the firm's business · reason for the existence

📁 **Also asked as:** RTP May 2026 · SM Q7 (draft vision and mission for the NutriPure plant-based brand) | MTP Sep 2024 Series I · SM Q1(a) (draft vision and mission for the HealthPlus wellness brand, 5 marks)

✓ **MCQ** · PYQ Sep 2024 · MCQ 13

Quick N Safe Logistics states its philosophy as 'to bring the best user experience to its customers through timely and safe delivery of goods'. This indicates towards:

- (A) Vision statement
- (B) Mission statement
- (C) Goals of the company
- (D) Objectives of the company

✓ **ANSWER: (B)**

It describes present business scope and customer focus — who we are and what we do — which is a mission statement. ICAI key: (B).

- (A) X A vision states the desired future position.
- (C) X Goals are end results to be achieved.
- (D) X Objectives are time-based measurable targets.

 **Trap:** Inspirational wording that still describes present activity.

Topic: SM Ch 1 §1.5.2

☒ MCQ · PYQ May 2026 · MCQ 13

Alex Motor Company's founders aimed to transform the Indian auto industry by providing comprehensive, affordable and fuel-efficient vehicles. The mission of the company was:

- (A) To adopt new technology such as connectivity, advanced safety features and cleaner energy solutions
- (B) Introducing cross-functional teams so that decision making becomes faster
- (C) To establish company-owned showrooms and service centres to increase sales and provide after-sales services
- (D) To transform the Indian auto industry by providing comprehensive, affordable and fuel-efficient vehicles through present capability and activities

 **ANSWER: (D)**

The mission describes the firm's business and how it serves customers through present capabilities and activities. ICAI key: (D).

- (A) X A later technology response.
- (B) X An organisational change.
- (C) X A distribution decision.

 **Trap:** Options A–C are actions taken, not the mission.

Topic: SM Ch 1 §1.5.2

☒ MCQ · RTP Jan 2025 · SM MCQ 2

TechNova's leadership wants to outline the primary reason for the company's existence and guide decision-making in difficult times, with a central declaration of purpose and values for stakeholders. What term best describes this declaration?

- (A) Vision
- (B) Mission
- (C) Objectives
- (D) Goals

✓ ANSWER: (B)

A statement of the reason for existence and purpose is the mission. ICAI key: (b).

- (A) X Vision is about the future position.
- (C) X Objectives are measurable targets.
- (D) X Goals are end results.

🚫 **Trap:** 'Guide decision-making' suggests values, but the question asks for the declaration of purpose.

Topic: SM Ch 1 §1.5.2

✓ MCQ · MTP Jan 2026 Series I · SM MCQ 1(B)(iii)

Which characteristic highlights the inspirational aspect of a mission statement?

- (A) It is short, concise and focused on current market share
- (B) It provides a sense of direction
- (C) It strictly follows an efficiency-over-effectiveness approach
- (D) It focuses on annual profit targets which motivate employees

✓ ANSWER: (B)

A mission gives the organisation identity and direction and serves as a focal point for those who identify with its purpose. ICAI key: (b).

- (A) X Market share is not the mission's focus.
- (C) X Not a mission characteristic.
- (D) X Profit targets are objectives.

🚫 **Trap:** Option D confuses objectives with mission.

Topic: SM Ch 1 §1.5.2

✓ MCQ · MTP Jan 2026 Series II · SM MCQ 1(B)(i)

Green Earth, an environmental organisation, has formulated the statement: "To promote environmental sustainability by advocating renewable energy and conservation practices." Which area of strategic intent does this represent?

- (A) Vision statement
- (B) Business definition
- (C) Goal and objective
- (D) Mission statement

✓ ANSWER: (D)

It states what the organisation does and why it exists — its present purpose — so it is a mission statement. ICAI key: (d).

- (A) X No future position or time frame.
- (B) X A business definition describes the business in customer/technology terms.
- (C) X No measurable target.

🚫 Trap: Purpose statements can sound visionary; check for a future position.

Topic: SM Ch 1 §1.5.2

✓ MCQ · RTP Sep 2026 · SM MCQ 1(iv)

Green Harvest Organics' mission is to promote sustainable farming while delivering fresh organic produce, and its long-term vision is to expand market presence. Which initiative best demonstrates alignment between the mission and the vision?

- (A) Launching branded farm-to-table cafés while continuing sustainable farming practices
- (B) Increasing promotional discounts without improving operational capabilities
- (C) Diversifying into unrelated businesses to maximise short-term profits
- (D) Outsourcing production to suppliers with lower environmental standards

✓ ANSWER: (A)

The cafés expand market presence (vision) while sustainable farming continues (mission). ICAI key: (a).

- (B) X Does not build capability or serve the mission.
- (C) X Short-term profit focus conflicts with both.
- (D) X Contradicts the sustainability mission.

🚫 Trap: Options that grow the business but break the mission.

Topic: SM Ch 1 §1.5.2

☑ MCQ · Practice MCQ · Drucker test · Moderate

As per the study material, which is the marketing-oriented answer to 'What business are we in?' for Indian Railways?

- (A) We offer a transportation and material-handling system
- (B) We run a railroad
- (C) We manage railway stations and tracks
- (D) We employ the largest workforce in the country

✓ ANSWER: (A)

SM §1.5.2 table: production-oriented — 'we run a railroad'; marketing-oriented — 'we offer a transportation and material-handling system'.

- (B) X Production-oriented answer.
- (C) X Operational description.
- (D) X Irrelevant to the business definition.

🚫 Trap: Choosing the literal description of activity.

Topic: SM Ch 1 §1.5.2

☑ MCQ · Practice MCQ · Quality of a mission · Easy

A good mission statement, as per the study material, should be:

- (A) Long, detailed and financial
- (B) Precise, clear, feasible, distinctive and motivating
- (C) Identical to competitors' statements for comparability
- (D) Focused only on profit targets

✓ ANSWER: (B)

SM §1.5.2: a good mission statement should be precise, clear, feasible, distinctive and motivating, and unique to the organisation.

- (A) X Missions are not financial documents.
- (C) X They must be unique and give special identity.
- (D) X Profit targets are objectives.

🚫 Trap: None — direct recall.

Topic: SM Ch 1 §1.5.2

□ QUICK RECAP

- Mission = 'what business are we in and what we do' (present scope).
- Seven reasons: unanimity, allocation basis, motivation, tone, focal point, work structure, controllable purposes.
- Vision = future identity; mission = ongoing, time-independent guide.

1.5.3 Goals and Objectives

■ High Exam Activity | 📌 Asked across PYQ / RTP / MTP | Asked: PYQ 3 (Sep 2024 Q6(a), May 2025 MCQ 9, Jan 2026 Q8(b)) · RTP 1 · MTP 1

■ UNDERSTAND IT

Business organisations translate their vision and mission into **goals and objectives**. The terms are broadly synonymous, though some authors distinguish them: **goals are open-ended attributes that denote future states or outcomes; objectives are close-ended attributes which are precise and expressed in specific terms**. Objectives are more specific and translate goals into long-term and short-term perspectives; in practice the terms are used interchangeably.

Objectives are an organisation's performance targets — the results and outcomes it wants to achieve. They function as **yardsticks for tracking performance and progress**. All organisations have objectives; their pursuit is an **unending process** so that organisations sustain themselves. Objectives give **meaning and sense of direction**; organisational structure and activities are designed and resources allocated **around the objectives**; they also act as **benchmarks** for guiding activity and evaluating performance.

Objectives with strategic focus relate to outcomes that strengthen an organisation's overall business position and competitive vitality.

Characteristics objectives must possess to be meaningful: (1) define the organisation's relationship with its environment; (2) be facilitative towards achievement of mission and purpose; (3) provide the basis for strategic decision-making; (4) provide standards for performance appraisal; (5) be concrete and specific; (6) be related to a time frame; (7) be measurable and controllable; (8) be challenging; (9) different objectives should correlate with

each other; (10) be set within the constraints of organisational resources and the external environment.

Need for both short-term and long-term objectives. A company's set of financial and strategic objectives should include both. **Quarterly or annual objectives** focus attention on delivering immediate performance improvements; targets to be achieved within **three to five years** prompt consideration of what to do now to perform better later. A company aiming to double sales within five years cannot wait until the third or fourth year to start growing sales and its customer base; annual (or quarterly) targets indicate the **speed** at which longer-range targets are to be approached.

Long-term objectives: to achieve long-term prosperity, strategic planners commonly establish long-term objectives in **seven areas**: **Profitability, Productivity, Competitive Position, Employee Development, Employee Relations, Technological Leadership, Public Responsibility.**

Long-term objectives represent the **results expected from pursuing certain strategies**; strategies are the **actions taken to accomplish** long-term objectives. The time frame for objectives and strategies should be consistent, **usually two to five years**.

Short-range objectives can be identical to long-range objectives if the organisation is already performing at the targeted long-term level (e.g. an ongoing objective of 15% profit growth every year that is currently being achieved). They differ most when managers are trying to **elevate performance** and cannot reach the long-range target in one year; then short-range objectives serve as **steps toward** the long-term objectives.

Benefits of clearly established objectives: they provide direction, allow synergy, aid in evaluation, establish priorities, reduce uncertainty, minimise conflicts, stimulate exertion, and aid in both the allocation of resources and the design of jobs.

e.g. PYQ May 2025 MCQ: ABCD Ltd. wants to position itself as the best service provider and targets 8% year-on-year revenue growth and 9% growth in net profit. Year-on-year measurable targets are objectives.

KEY FRAMEWORK / FORMULA · Ten characteristics of meaningful objectives (SM §1.5.3)

Requirement: Environment relationship; facilitative to mission; basis for decisions; standards for appraisal; concrete and specific; time framed; measurable and controllable; challenging; correlated with each other; set within resource and environmental constraints.

Exam angle: Asked in PYQ Sep 2024 Q6(a), PYQ Jan 2026 Q8(b) and RTP May 2025 — write all ten as bullets.

ICAI KEYWORDS

open-ended attributes · close-ended attributes · performance targets · yardsticks · strategic focus · concrete and specific · related to a time frame · measurable and controllable · challenging · Profitability, Productivity, Competitive Position, Employee Development, Employee Relations, Technological Leadership, Public Responsibility

MEMORY TRICK

Long-term objective areas = "2P-C-2E-T-P": Profitability, Productivity, Competitive position, Employee development, Employee relations, Technological leadership, Public responsibility.

Cue	Stands for
Goals	Open-ended end results
Objectives	Close-ended, time-based, measurable targets
Seven areas	Profitability · Productivity · Competitive position · Employee development · Employee relations · Technological leadership · Public responsibility
Ten characteristics	Environment, mission, decisions, appraisal, specific, time, measurable, challenging, correlated, within constraints

⚡ 3-second trigger: 2P-C-2E-T-P

COMMON MISTAKE / CONFUSION

- Writing fewer than ten characteristics when the question says 'characteristics objectives must possess'.
- Confusing goals (open-ended) with objectives (close-ended, measurable).
- Forgetting that objectives must be set within resource and environmental constraints.

INTEGRATION LINK

SM Ch 5: objectives as the basis for strategic evaluation and control

🔗 INTEGRATION LINK

🔗 SM Ch 1 §1.5.2: mission translated into goals and objectives

🕒 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Explain 'objectives' as part of strategic intent and their characteristics (PYQ Sep 2024; RTP May 2025)
- Enumerate the characteristics of ideal objectives (PYQ Jan 2026)
- Case MCQ: identify the component (PYQ May 2025 MCQ 9)

How to attack it:

- Define objectives as performance targets and yardsticks
- Add the strategic-focus line
- List the ten characteristics

📖 What ICAI has done so far: PYQ Sep 2024 · Q6(a); PYQ Jan 2026 · Q8(b); RTP May 2025 · SM Q8.

🕒 Time / length guide (study guidance): 5 marks ≈ 9 minutes (study guidance).

✍️ WRITE THIS IN THE EXAM

Structure:

- Meaning of objectives (performance targets, yardsticks)
- Strategic focus line
- Ten characteristics as bullets

🔑 Keywords: performance targets · yardsticks · concrete and specific · measurable and controllable

📏 Ideal length: 5 marks: 2 lines + 10 bullets

📊 Conclusion pattern: Objectives so framed give direction, allow appraisal and support strategic decisions.

⊘ DON'T WRITE THIS

- Explaining vision and mission at length in an objectives answer

📖 Questions on this topic — ICAI questions first, then practice

■ OFFICIAL ICAI QUESTION · PYQ Sep 2024 · Q6(a) · 5 marks

Explain in brief the term 'objectives' as part of strategic intent. Also outline the characteristics that a company's objectives must possess to be meaningful and to serve the intended role.

✓ MODEL ANSWER

- Objectives are an organisation's performance targets — the results and outcomes it wants to achieve. They function as yardsticks for tracking an organisation's performance and progress.
- Objectives with strategic focus relate to outcomes that strengthen an organisation's overall business position and competitive vitality.
- Characteristics: objectives should define the organisation's relationship with its environment;
- they should be facilitative towards achievement of mission and purpose;
- they should provide the basis for strategic decision-making;
- they should provide standards for performance appraisal;
- they should be concrete and specific;
- they should be related to a time frame;
- they should be measurable and controllable;
- they should be challenging;
- different objectives should correlate with each other;
- objectives should be set within the constraints of organisational resources and the external environment.

🔑 Keywords: performance targets · yardsticks · competitive vitality · concrete and specific · measurable and controllable

📁 Also asked as: RTP May 2025 · SM Q8 (same question) | PYQ Jan 2026 · Q8(b)
(enumerate the characteristics of ideal objectives, 5 marks)

■ OFFICIAL ICAI QUESTION · PYQ Jan 2026 · Q8(b) · 5 marks

"Objectives with a strategic focus are aimed at achieving outcomes that enhance an organisation's overall business position and competitive strength." In view of this, enumerate the characteristics of ideal objectives that are meaningful and effectively serve their intended purpose.

✓ MODEL ANSWER

- Objectives with strategic focus relate to outcomes that strengthen an organisation's overall business position and competitive vitality. To be meaningful and serve the intended role, objectives must possess the following characteristics:
- define the organisation's relationship with its environment;
- be facilitative towards achievement of mission and purpose;
- provide the basis for strategic decision-making;
- provide standards for performance appraisal;
- be concrete and specific;
- be related to a time frame;
- be measurable and controllable;
- be challenging;
- different objectives should correlate with each other;
- be set within the constraints of organisational resources and the external environment.

 **Keywords:** competitive vitality · standards for performance appraisal · time frame · correlate with each other

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

 **EXPECTED QUESTION** · Practice question · Explain · 5 marks

Why does a company need both short-term and long-term objectives? In which areas do strategic planners commonly set long-term objectives?

 **MODEL ANSWER**

- A company's set of financial and strategic objectives should include both short-term and long-term performance targets.
- Quarterly or annual objectives focus attention on delivering immediate performance improvements; three-to-five-year targets prompt consideration of what to do now to perform better later.
- A company aiming to double sales in five years cannot wait until the third or fourth year to start growing; annual targets indicate the speed at which longer-range targets are approached.
- Short-range objectives can be identical to long-range ones if the organisation already performs at the targeted level; they differ when managers must elevate performance, and then act as steps towards the long-term objectives.

- Long-term objectives are commonly established in seven areas: profitability, productivity, competitive position, employee development, employee relations, technological leadership and public responsibility. The time frame for objectives and strategies should be consistent, usually two to five years.

 **Keywords:** immediate performance improvements · speed · steps toward · seven areas

✓ MCQ · PYQ May 2025 · MCQ 9

M/s ABCD Ltd. aims to position itself as the best service provider and has set targets of 8% year-on-year growth in revenue and 9% year-on-year growth in net profit in its business plan. Stating year-on-year growth indicates which component of strategic intent?

- (A) Goals
- (B) Objectives
- (C) Mission
- (D) Vision

✓ **ANSWER: (B)**

Objectives are time-based measurable targets and performance yardsticks; year-on-year percentage targets are objectives. ICAI key: (B).

- (A) X Goals are open-ended end results.
- (C) X Mission states present business scope.
- (D) X Vision states the desired future position.

 **Trap:** Goals and objectives are used interchangeably in practice, but ICAI expects 'objectives' for measurable, time-based targets.

Topic: SM Ch 1 §1.5.3

✓ MCQ · MTP Sep 2024 Series II · SM MCQ 1(A)(iv)

EcoNurture Foods took several decisions to extend its growth phase — a turnaround, renewable-energy delivery, diversification into functional beverages and an alliance for Asian markets — while balancing profits with its sustainability commitment. Which two long-term strategic themes emerge from the case?

- (A) Profitability and Sustainability
- (B) Customer obsession and organisational restructuring

- (C) Globalisation and product diversification
 (D) Niche products and competitive pressures

✓ ANSWER: (A)

Long-term objectives are set in areas such as profitability and public responsibility; the case stresses balancing profitability with sustainability. ICAI key: (a).

- (B) X Restructuring is a means, not a long-term theme here.
- (C) X Actions taken, not the underlying themes.
- (D) X Describes the market, not the company's objectives.

🚫 Trap: Options that name actions instead of long-term themes.

Topic: SM Ch 1 §1.5.3

✓ MCQ · Practice MCQ · Distinction · Moderate

As per the study material, goals and objectives differ in that:

- (A) Goals are always financial and objectives are always non-financial
 (B) Goals are set by functional managers and objectives by the board
 (C) Goals are open-ended attributes denoting future states, while objectives are close-ended, precise and expressed in specific terms
 (D) Goals are short-term and objectives are long-term

✓ ANSWER: (C)

SM §1.5.3: goals are open-ended attributes denoting future states or outcomes; objectives are close-ended attributes, precise and expressed in specific terms.

- (A) X Both can be financial or strategic.
- (B) X Not a stated distinction.
- (D) X Objectives can be short or long term.

🚫 Trap: Assuming a time-based distinction.

Topic: SM Ch 1 §1.5.3

✓ MCQ · Practice MCQ · List · Moderate

Which of the following is NOT among the seven areas in which strategic planners commonly establish long-term objectives?

- (A) Productivity

- (B) Employee relations
- (C) Technological leadership
- (D) Dividend pay-out ratio

✓ ANSWER: (D)

SM §1.5.3: profitability, productivity, competitive position, employee development, employee relations, technological leadership and public responsibility.

- (A) X Listed area.
- (B) X Listed area.
- (C) X Listed area.

🚫 **Trap:** A finance term slipped into a strategy list.

Topic: SM Ch 1 §1.5.3

☐ QUICKRECAP

- Objectives = performance targets and yardsticks; goals are open-ended, objectives close-ended.
- Ten characteristics; both short- and long-term objectives are needed.
- Seven long-term areas: profitability, productivity, competitive position, employee development, employee relations, technological leadership, public responsibility.

1.5.4 Values / Value System

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 2 (May 2025 Q6(a), Sep 2025 MCQ 9) · RTP 1 · MTP 2

■ UNDERSTAND IT

Ratan N. Tata (2006, TATA Group website), quoted in the SM: "Business, as I have seen it, places one great demand on you: it needs you to **self-impose a framework of ethics, values, fairness and objectivity** on yourself at all times."

Values are the deep-rooted principles which guide an organisation's decisions and actions.

Collins and Porras define core values as being **inherent and sacrosanct**; they can **never be compromised**, either for convenience or short-term economic gain. Values often reflect the values of the company's founders — **Hewlett-Packard's celebrated 'HP Way'** is an example. They are the **source of a company's distinctiveness** and must be maintained at all costs.

Common examples of values: Integrity, Trust, Accountability, Humility, Innovation and Diversity.

Why values are important. A company's values set the tone for how its people think and behave, especially in situations of dilemma. They create a sense of shared purpose to build a strong foundation and focus on the longevity of the company's success. Employees prefer to work with employers whose values resonate with them. A majority of consumers say they would prefer to buy products and services from companies whose purpose reflects their own value and belief system. Hence values have both internal and external implications.

During the Covid-19 pandemic many leaders put people before everything else, showing how deep the organisations' foundations were and how important upholding core values was.

SM graphic: VALUES sit at the centre of Intent, Vision, Mission and Goals & Objectives; values remain the core of all of them and of putting them into action. Vision is followed by mission, then goals, and finally execution through real actions.

Values of HDFC Bank (SM example): committed to the highest level of ethical standards, professional integrity, corporate governance and regulatory compliance; its business philosophy is based on five core values: Operational Excellence, Customer Focus, Product Leadership, People and Sustainability.

Intent vs values (SM box). Are values narrower than intent? No. Intent is the purpose of doing business, while values are the principles that guide decision-making of the business. They go hand in hand, and intent is sometimes driven by values, so values are wider than intent.

ICAI's added points (May 2025 answer): values are fundamental principles or standards guiding behaviour and decision-making; they are at the core of strategic intent and help define a company's culture and ethical posture. Internally they influence employee behaviour, build trust, boost morale and create a consistent workplace culture; externally they shape how customers, investors and society perceive the company.

e.g. PYQ Sep 2025 MCQ: Solar Tech Innovation's values centre on sustainability and access to clean energy; partnering with fossil fuel companies to raise short-term profit would violate those values.

 **KEY FRAMEWORK / FORMULA** · Values: meaning, importance and relation with intent (SM §1.5.4)

Requirement: Deep-rooted principles guiding decisions and actions; Collins and Porras: inherent and sacrosanct, never compromised; examples: integrity, trust, accountability, humility, innovation, diversity; internal and external implications; values are wider than intent.

Exam angle: PYQ May 2025 asked importance (3), examples (1) and how values differ from intent (1).

ICAI KEYWORDS

deep-rooted principles · inherent and sacrosanct · never be compromised · source of a company's distinctiveness · Integrity, Trust, Accountability, Humility, Innovation and Diversity · situations of dilemma · shared purpose · internal as well as external implications · values are wider than intent

MEMORY TRICK

Values examples = "I-T-A-H-I-D" ("I Take A Humble Innovative Direction"): Integrity, Trust, Accountability, Humility, Innovation, Diversity.

Cue	Stands for
Meaning	Deep-rooted principles guiding decisions and actions
Collins & Porras	Inherent and sacrosanct; never compromised
Internal	Employee behaviour, trust, morale, culture
External	Customer, investor and societal perception
Intent vs values	Intent = purpose; values = guiding principles, and wider

⚡ 3-second trigger: I Take A Humble Innovative Direction

COMMON MISTAKE / CONFUSION

- Saying intent is broader than values. ICAI's answer is that values are wider than intent.
- Listing only internal effects; the SM stresses both internal and external implications.
- Forgetting the source: Collins and Porras on core values.

🔗 INTEGRATION LINK

- 🔗 SM Ch 1 §1.5: values at the centre of strategic intent

🔗 INTEGRATION LINK

- 🔗 SM Ch 5: corporate culture and shared values in the 7S framework

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Importance of values, examples, and how values differ from intent (PYQ May 2025, 3 + 1 + 1)
- Case: derive the values of a company from its vision and mission (MTP Jul 2025, 5 marks)
- Case MCQ: which action violates the company's values (PYQ Sep 2025)

How to attack it:

- Define values (deep-rooted principles)
- Importance: tone for thinking and behaving, dilemmas, shared purpose, longevity, employees and consumers
- Examples: integrity, trust, accountability, humility, innovation, diversity
- Values vs intent: purpose vs guiding principles; values are wider

📖 What ICAI has done so far: PYQ May 2025 · Q6(a); PYQ Sep 2025 · MCQ 9; MTP Sep 2025 Series I · SM Q1(a).

🕒 Time / length guide (study guidance): 5 marks ≈ 9 minutes (study guidance).

📝 WRITE THIS IN THE EXAM

Structure:

- Meaning of values
- Importance: internal and external
- Examples
- Values vs intent

🔑 Keywords: deep-rooted principles · situations of dilemma · shared purpose · values are wider than intent

 **Ideal length:** 5 marks: 10–12 lines

 **Conclusion pattern:** Values are the omnipresent foundation of every decision management takes.

DON'T WRITE THIS

- Treating values as slogans without linking them to decisions and behaviour

Questions on this topic — ICAI questions first, then practice

 **OFFICIAL ICAI QUESTION** · PYQ May 2025 · Q6(a) · 5 marks

Explain the importance of values as one of the components of strategic intent for a company. What are the common examples of values? How are values different from intent? (3 + 1 + 1 marks)

MODEL ANSWER

- Values are fundamental principles or standards that guide the behaviour and decision-making of individuals and organisations. They are at the core of strategic intent and help define a company's culture and ethical posture.
- A company's values set the tone for how people think and behave, especially in situations involving dilemmas. They create a sense of shared purpose, enabling all stakeholders to align and focus on the long-term success of the company.
- Values have both internal and external implications: internally they influence employee behaviour, build trust, boost morale and help create a consistent workplace culture; externally they affect how customers, investors and society perceive the company, and a majority of consumers prefer companies whose values reflect their own belief systems.
- **Common examples of values:** integrity, trust, accountability, humility, innovation and diversity.
- **Values vs intent:** intent refers to the purpose of doing business — the long-term direction the company aims to pursue; values are the principles and ethical standards that guide how decisions are made and business is conducted. They go hand in hand, and values often drive intent, so values are broader and more foundational than intent.

 **Keywords:** fundamental principles · situations of dilemma · shared purpose · internal and external implications · values are broader

 **What ICAI examiners said:** No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · MTP Sep 2025 Series I · SM Q1(a) · 5 marks

ABC Corporation, a global technology company, has a strategic vision of being at the forefront of technological advancements and providing cutting-edge solutions to improve people's lives, with a strong commitment to integrity and accountability. Its mission is to create products that are user-friendly, sustainable and contribute positively to society. Values can be derived by analysing vision and mission statements. Based on the scenario, what are the values of ABC Corporation?

✓ MODEL ANSWER

- Values can be derived from vision and mission statements, as they reflect the core beliefs that guide behaviour and decision-making.
- Emphasis on being at the forefront of technological advancements highlights **innovation** as a core value.
- The commitment to user-friendly products reflects a **customer-centric approach and user focus**.
- The focus on sustainability shows concern for **environmental responsibility** and long-term societal impact.
- Contributing positively to society shows a commitment to **social responsibility and ethical conduct**.
- Being a global technology company implies that **integrity and accountability** are essential to maintain stakeholder trust and global compliance.
- These values shape employee behaviour, build consumer trust and provide a strong foundation for long-term success.

Conclusion: The key values of ABC Corporation are innovation, customer-centricity, sustainability, social responsibility, integrity and accountability.

🔑 **Keywords:** core beliefs · innovation · customer-centricity · sustainability · integrity and accountability

🧠 EXPECTED QUESTION · Practice question · Explain · 5 marks

"An organisation without values is like an organisation with no real intent." Explain the role of values in an organisation, using an example of a company's value set.

✓ MODEL ANSWER

- Values are the deep-rooted principles which guide an organisation's decisions and actions; Collins and Porras call core values inherent and sacrosanct, never to be compromised for convenience or short-term economic gain.
- Values often reflect the founders' values (e.g. Hewlett-Packard's 'HP Way') and are the source of a company's distinctiveness, to be maintained at all costs.
- They set the tone for how people think and behave, especially in dilemmas, and create a sense of shared purpose focused on longevity of success.
- Employees prefer employers whose values resonate with them, and most consumers prefer companies whose purpose reflects their own belief systems, so values have internal and external implications.
- Example: HDFC Bank's business philosophy rests on five core values — operational excellence, customer focus, product leadership, people and sustainability — alongside ethical standards, professional integrity, corporate governance and regulatory compliance.

 Keywords: deep-rooted principles · inherent and sacrosanct · HP Way · five core values

✓ MCQ · PYQ Sep 2025 · MCQ 9

Solar Tech Innovation entered the renewable energy sector with a mission to make solar power more accessible and efficient, and stresses sustainability in its products and outreach.

Which of the following would be considered a violation of its core values?

- (A) Investing in high-efficiency solar panels that reduce carbon emissions
- (B) Partnering with fossil fuel companies to increase short-term profitability
- (C) Launching an initiative to make solar energy more affordable for rural areas
- (D) Encouraging employees to participate in sustainability programmes

✓ ANSWER: (B)

Core values are inherent and sacrosanct and can never be compromised for short-term economic gain; a fossil-fuel partnership for short-term profit contradicts the company's sustainability values. ICAI key: (B).

- (A) X Consistent with sustainability.
- (C) X Consistent with accessibility.
- (D) X Reinforces the values.

 Trap: Options that are all 'good business' except the one that trades values for profit.

Topic: SM Ch 1 §1.5.4

✓ MCQ · RTP May 2025 · SM MCQ 1(i)

DezineFabs makes stylish clothing affordable while minimising environmental impact, and believes in inclusivity, sustainability and innovation. What is the central core value that defines its business philosophy?

- (A) Exclusivity, prioritising unique and rare clothing items
- (B) Sustainability, reflecting dedication to minimising environmental impact
- (C) Profit maximisation, focusing primarily on financial gains
- (D) International expansion, aiming to dominate global markets

✓ ANSWER: (B)

The case repeatedly stresses minimising environmental impact: sustainability is the central core value. ICAI key: (b).

- (A) X The brand is about affordability and inclusivity, not exclusivity.
- (C) X A financial aim, not a value.
- (D) X A growth strategy, not a value.

🚫 **Trap:** Confusing strategies (expansion) with values.

Topic: SM Ch 1 §1.5.4

✓ MCQ · MTP Sep 2025 Series II · SM MCQ 1(B)(ii)

Dharam Veer Singh, successor to a renowned architect, found that investors in Dubai emphasised swift construction while neglecting structural longevity. Which strategic approach would help him build a coherent business roadmap aligned with his vision of sustainable growth?

- (A) Vision
- (B) Mission
- (C) Goals and objectives
- (D) Values / value system

✓ ANSWER: (D)

The dilemma is about principles — quality and structural longevity versus speed — so the guiding element is the value system. ICAI key: (d).

- (A) X The vision already exists (sustainable growth).

- (B) X The mission states present business scope.
- (C) X Targets do not resolve a principles dilemma.

 **Trap:** Choosing vision because the question mentions his vision; the decision rests on values.

Topic: SM Ch 1 §1.5.4

☒ MCQ · Practice MCQ · Source · Moderate

Which pair of authors is quoted in the study material as defining core values as inherent and sacrosanct, never to be compromised?

- (A) Collins and Porras
- (B) Drucker and Levitt
- (C) Ansoff and Glueck
- (D) Porter and Mintzberg

✓ **ANSWER: (A)**

SM §1.5.4: Collins and Porras define core values as inherent and sacrosanct; they can never be compromised for convenience or short-term economic gain.

- (B) X Drucker and Levitt relate to 'what business are we in'.
- (C) X Ansoff and Glueck define strategy.
- (D) X Porter and Mintzberg are quoted at the chapter opening.

 **Trap:** Mixing up the four pairs of authors in this chapter.

Topic: SM Ch 1 §1.5.4

☒ MCQ · Practice MCQ · Concept · Moderate

Sandeep, an HR manager, believes intent is a bigger concept than values. As per the study material:

- (A) He is right; intent covers values entirely
- (B) He is not right; intent is the purpose of doing business while values guide decision-making, and values are wider
- (C) He is right; values apply only to employees
- (D) Both terms mean the same thing

✓ **ANSWER: (B)**

SM §1.5.4 box: Sandeep is not right. Intent is the purpose of doing business; values are the principles that guide decision-making. They go hand in hand, and values are wider than intent.

- (A) X Reverses the relationship.
- (C) X Values guide the whole organisation.
- (D) X They are distinct concepts.

🚫 **Trap:** Assuming purpose outranks principles.

Topic: SM Ch 1 §1.5.4

☐ QUICKRECAP

- Values = deep-rooted principles; inherent and sacrosanct (Collins and Porras).
- Examples: integrity, trust, accountability, humility, innovation, diversity.
- Internal and external implications; values are wider than intent.

1.6 Strategic Levels in Organisations — Corporate, Business and Functional

■ High Exam Activity | 🕒 Asked across PYQ / RTP / MTP | Asked: PYQ 3 (May 2024 Q5(b), Jan 2025 Q7(a), Sep 2025 MCQ 11) · RTP 8 · MTP 12

■ UNDERSTAND IT

A typical large organisation is a multi-divisional organisation that competes in several different businesses. It has separate self-contained divisions to manage each business. Example: Patanjali has healthcare, FMCG, organic foods, medicinal oils and herbs and other businesses, each with its own division.

Generally there are three main levels of management: corporate level, business level and functional level. General managers are found at the first two levels, but their strategic roles differ with their sphere of responsibility.

An organisation is divided into segments that work together to bring a product or service to market. If a company provides several different products or services, it duplicates these functions and creates self-contained divisions, each with its own set of functions, to manage each product or service. The general managers of these divisions become responsible for their product line; their overriding concern is the healthy growth of their divisions and they decide

how to create competitive advantage and achieve higher profitability with the resources and capital they have. **Such divisions are called Strategic Business Units (SBUs).**

Corporate level. Consists of the **Chief Executive Officer (CEO)**, other senior executives, the board of directors and corporate staff. Their role is to **oversee the development of strategies for the whole organisation**: defining the **mission and goals**, determining **what businesses it should be in**, allocating resources among businesses, formulating and implementing strategies that **span individual businesses**, and providing **leadership** for the organisation as a whole.

Example (SM): the **Adani Group**, a multinational conglomerate in mining, ports and airports, power generation and transmission and cement. Its Group Chairman's main strategic responsibilities are setting overall strategic objectives, allocating resources among business areas, deciding whether to divest businesses and whether to acquire new ones — i.e. developing strategies that **span individual businesses** and building and managing the **corporate portfolio** to maximise corporate profitability. It is **not** their specific responsibility to develop strategies for competing in individual business areas; that belongs to **business-level managers**.

In simple words, corporate-level managers provide an **organisation-level view** of strategy and what they want to achieve; business-level managers ensure it for their particular business.

Besides overseeing resource allocation and managing divestment and acquisition, corporate-level managers provide a **link between the people who oversee strategic development and those who own the firm (shareholders)**. **Corporate-level managers, particularly the CEO, can be viewed as the guardians of shareholders' welfare**; it is their responsibility to ensure that corporate and business strategies are **consistent with maximising shareholders' wealth**, failing which the CEO is likely to be held accountable by shareholders.

Business level. A **strategic business unit is a self-contained division** with its own functions (finance, purchasing, production, marketing) providing a product or service for a particular market. The principal general manager at this level is the **head of the division**. Their strategic role is to **translate the general statements of direction and intent that come from the corporate level into concrete strategies for individual businesses**. Corporate-level managers are concerned with strategies spanning businesses; business-level managers with strategies **specific to a particular business**.

Functional level. Functional managers are responsible for **specific business functions or operations** (human resources, purchasing, product development, customer service and so on). A functional manager's sphere is generally confined to **one organisational activity**, whereas general managers oversee a whole company or division. Though not responsible for the overall

performance of the organisation, they have a major strategic role: to **develop functional strategies in their area that help fulfil the strategic objectives set by business- and corporate-level general managers.**

Functional managers provide most of the information that makes it possible for business- and corporate-level general managers to formulate realistic and attainable strategies. Because they are **closer to the customer** than the typical general manager, they may generate important ideas that later become major strategies, so general managers should listen closely to them. An equally great responsibility at the operational level is **strategy implementation: the execution of corporate and business-level plans.**

SM figure: Headquarter → **Corporate strategy: where to compete?**; SBU 1/2/3 → **Business strategy: how to compete?**; business functions → **Functional strategy: how to implement business strategy?**

Top-down or bottom-up? (SM box). A **top-down** approach is when decisions are made solely by leadership at the top, i.e. the corporate level, while the **bottom-up** approach gives all teams across the levels a voice in decision making.

e.g. PYQ Sep 2025 MCQ: Solar Tech partnering with financial institutions to offer easy finance to buyers is a functional-level decision — it is a specific business function supporting the business strategy.

KEY FRAMEWORK / FORMULA · Three levels and their roles (SM §1.6)

Requirement: Corporate (CEO, senior executives, board, corporate staff): whole-organisation strategy, mission and goals, which businesses, resource allocation, leadership, guardians of shareholders' welfare. Business (SBU head): translate corporate direction into concrete strategies for the business; how to compete. Functional (function heads): functional strategies supporting objectives, information provider, closer to customers, implementation.

Exam angle: Case questions give a role and ask for the level plus its duties; MCQs ask which level a decision belongs to.

ICAI KEYWORDS

multi-divisional organisation · self-contained divisions · Strategic Business Units · oversee the development of strategies for the whole organization · allocating resources · guardians of shareholders' welfare · translate the general statements of direction and intent · confined to

one organizational activity · closer to the customer · where to compete / how to compete / how to implement

■ MEMORY TRICK

"WHERE – HOW – IMPLEMENT": Corporate asks where to compete, Business asks how to compete, Functional asks how to implement.

Cue	Stands for
Corporate	CEO, senior executives, board, corporate staff: portfolio, mission and goals, resource allocation, shareholders' welfare
Business	SBU head: competitive advantage and profitability within one business
Functional	Function heads: functional strategies, information, closer to customers, implementation

⚡ 3-second trigger: Where → How → Implement

■ COMMON MISTAKE / CONFUSION

- Calling a marketing or sales manager a business-level manager. ICAI treats such roles as functional level (PYQ May 2024, RTP Jan 2026, MTP Mar 2024).
- Treating acquisitions, divestments and entering new sectors as business level; they are corporate-level decisions.
- Forgetting that functional managers supply most of the information used by higher levels.

Basis	Corporate level	Business level	Functional level
Who	CEO, senior executives, board of directors, corporate staff	General managers / heads of SBUs	Managers of functions: marketing, finance, HR, production
Key question	Where to compete?	How to compete?	How to implement business strategy?
Typical decisions	Mission and goals, which businesses to be in, resource allocation across businesses, acquisitions and divestments	Competitive advantage and profitability of one business; translating corporate intent into concrete strategies	Functional strategies, day-to-day execution, information for higher levels

Case clue	'Board decided to acquire...', 'allocating capital among divisions', 'group dividend policy'	'head of the division', 'strategy for one product line/SBU'	'marketing manager', 'sales & marketing head', 'HR training programme'
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🔑 **Spot it in a case:** Ask what is being decided: the portfolio (corporate), one business's competitive position (business), or one function's actions (functional).

🔗 INTEGRATION LINK

🔗 SM Ch 1 §1.6.1: networks of relationship between the levels

🔗 INTEGRATION LINK

🔗 SM Ch 4: corporate and business-level strategies

🔗 INTEGRATION LINK

🔗 SM Ch 5: SBU structure and implementation

🔗 INTEGRATION LINK

🔗 FM Ch 1 §7.2: maximising shareholders' wealth, which corporate-level managers must protect

🌟 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Outline the levels of management and networks of relationship (PYQ Jan 2025, 3 + 2)
- Identify the level of a role and give its duties (RTP Jan 2025; MTP x4)
- Identify the level and list benefits of strategic management (PYQ May 2024; RTP Jan 2026)
- Importance of functional-level managers (MTP Dec 2025)
- Case MCQ: which level does this decision belong to (12 official MCQs)

How to attack it:

- Name the level in the first line (it carries a mark)
- Give the composition of that level
- List its role: 5–8 points from the SM
- Link back to the facts

 What ICAI has done so far: PYQ Jan 2025 · Q7(a); PYQ Sep 2025 · MCQ 11; RTP Jan 2025 · SM Q7; MTP Jan 2026 Series I · SM Q1(a); MTP May 2024 Series I · SM Q1(a); MTP Jan 2026 Series II · SM Q4(b).

 Time / length guide (study guidance): 5 marks ≈ 9 minutes; MCQ ≈ 2 minutes (study guidance).

WRITE THIS IN THE EXAM

Structure:

- Level identified
- Who sits at that level
- Role and responsibilities (bullets)
- Application to the facts

 Keywords: corporate level · strategic business unit · functional strategies · guardians of shareholders' welfare

 Ideal length: 5 marks: 10–12 lines

 Conclusion pattern: Each level plays a distinct strategic role; together they align the organisation from portfolio choices to daily execution.

DON'T WRITE THIS

- Describing organisation structures (SBU structure, matrix structure) instead of levels — that is SM Ch 5

 Questions on this topic — ICAI questions first, then practice

 OFFICIAL ICAI QUESTION · PYQ Jan 2025 · Q7(a) · 5 marks

Outline the main levels of management generally found in an organisation. Also explain the types of networks of relationship between these levels and amongst the same levels of a business. (3 + 2 marks)

✓ MODEL ANSWER

- **Main levels of management.** In a typical large organisation there are three main levels:
- **1. Corporate level:** includes the Chief Executive Officer (CEO), senior executives and the board of directors. Their primary responsibility is to oversee the organisation as a whole, make strategic decisions, define the mission and goals, allocate resources, and manage the corporate portfolio of businesses.
- **2. Business level:** consists of general managers responsible for specific Strategic Business Units (SBUs). They translate corporate-level strategies into concrete plans for their divisions, focusing on creating competitive advantages and achieving profitability.
- **3. Functional level:** encompasses managers responsible for specific functions such as finance, marketing and human resources. They develop functional strategies aligned with the objectives set by corporate and business-level managers and are crucial for implementing strategies effectively.
- **Types of networks of relationship. Functional and divisional relationship:** an independent relationship where each function or division is managed independently, with business-level managers reporting to corporate-level managers (e.g. finance and marketing functions operate under their respective heads, who report to the division head).
- **Horizontal relationship:** a flat structure promoting equality among all employees, facilitating openness and transparency; all positions, from top management to staff level, share the same hierarchical status, enhancing idea-sharing and innovation, particularly in start-ups.
- **Matrix relationship:** a complex structure combining various departments into project-based teams, featuring multiple business-level managers for each functional team, suitable for large organisations with diverse operations.

Conclusion: These levels and their relationships streamline decision-making and strategy implementation, fostering a cohesive approach to achieving business goals.

Keywords: corporate level · business level · functional level · functional and divisional · horizontal · matrix

Also asked as: MTP Sep 2026 Series I · SM Q2(a) (levels of management and their networks of relationship)

What ICAI examiners said: No examiners' comments have been published for Paper 6.

■ OFFICIAL ICAI QUESTION · RTP Jan 2025 · SM Q7

XYZ Enterprises operates in renewable energy solutions, organic skincare products, eco-friendly packaging and smart home technologies, and is recruiting a Chief Executive Officer. As an HR consultant, identify the strategic level of this role and give an overview of the key duties and responsibilities within its scope.

✓ MODEL ANSWER

- The CEO position operates at the **corporate level**. This executive level leads the overall direction, performance and success of the entire organisation; the CEO shapes the strategic vision, oversees diverse business sectors and ensures alignment with organisational goals.
- Key duties and responsibilities: oversee the development of strategies for the whole organisation;
- define the mission and goals of the organisation;
- determine what businesses it should be in;
- allocate resources among the different businesses;
- formulate and implement strategies that span individual businesses;
- provide leadership for the organisation;
- ensure that the corporate and business-level strategies the company pursues are consistent with maximising shareholders' wealth;
- manage the divestment and acquisition process.

🔗 Keywords: **corporate level** · **mission and goals** · **allocate resources** · **maximising shareholders wealth** · **divestment and acquisition**

📁 Also asked as: MTP Jan 2026 Series II · SM Q4(b) (OR) (same XYZ Enterprises CEO case, 5 marks) | MTP Sep 2024 Series I · SM Q3(b) (XYZ Corporation hiring a CEO, 5 marks) | MTP Sep 2025 Series II · SM Q3(a) (CDE Holdings hiring a CEO, 5 marks)

■ OFFICIAL ICAI QUESTION · MTP Jan 2026 Series I · SM Q1(a) · 5 marks

The Board of Gromax Industries Ltd., a conglomerate with six business units, discussed allocating the highest capital budget for the next five years to the most promising unit, divesting the loss-making logistics division and framing a unified dividend policy for the group. Which level of strategy is being addressed? Explain with reasons.

✓ MODEL ANSWER

- The decisions represent **corporate-level strategy**.

- Corporate-level strategy is formulated by top management, the board of directors or corporate headquarters, and defines the overall scope, long-term direction and resource allocation for the entire organisation.
- It involves decisions on the portfolio of businesses, entry into or exit from sectors, allocation of financial resources among business units, and policies affecting the whole enterprise such as investment, growth, stability, retrenchment and dividend decisions.
- Here the Board decides which unit receives the highest capital allocation, evaluates divestment of the poorly performing logistics unit and frames a common group dividend policy. These influence the future growth path, competitive positioning and overall value maximisation of the conglomerate.
- Therefore they fall under corporate-level strategy, as they determine the strategic direction and structure of the company as a whole rather than individual business operations or functional activities.

 **Keywords:** corporate-level strategy · portfolio of businesses · allocation of financial resources · value maximisation

 OFFICIAL ICAI QUESTION · MTP May 2024 Series I · SM Q1(a) · 5 marks

Swati is the marketing manager at a software company, responsible for developing and implementing marketing strategies, leading a team of marketing professionals, working with product development and sales teams, and analysing market trends and customer feedback. Which level is she working at? Discuss the roles and responsibilities of this level in the organisation.

 MODEL ANSWER

- Swati operates at the **functional level** of management, specifically as marketing manager.
- Functional managers oversee specific departments or functions such as marketing, finance or operations. Their primary responsibilities include implementing corporate strategies and policies within their area of expertise and ensuring that daily operations are conducted efficiently and effectively.
- In Swati's case, the role involves developing and executing marketing strategies, leading a team, collaborating with product development and sales teams, and analysing market trends and customer feedback to refine strategies, so that products are effectively promoted and marketing aligns with overall business goals.

- Functional managers bridge the gap between corporate strategy and daily operations: they translate high-level strategic goals into actionable plans for their departments and ensure effective execution.
- They are often key decision-makers within their areas of responsibility, making strategic choices that affect the company's success.

🔑 Keywords: functional level · implementing corporate strategies · bridging the gap · actionable plans

■ OFFICIAL ICAI QUESTION · MTP Jan 2026 Series II · SM Q4(b) · 5 marks

Although functional-level managers operate at the lower end of the management hierarchy, their responsibilities are vital for the smooth and successful functioning of a business. Discuss the importance of functional-level managers in achieving organisational objectives.

✓ MODEL ANSWER

- Functional-level managers handle specific business functions such as HR, purchasing, product development, accounts, sales and customer service.
- They operate at the bottom of the management hierarchy and follow the instructions and guidelines issued by business- and corporate-level managers.
- Though not responsible for the organisation's overall performance, they play a major strategic role by developing functional strategies that support the strategic objectives set at higher levels.
- They provide crucial operational and customer-related information that enables business- and corporate-level general managers to formulate realistic, practical and effective strategies.
- Because they work closely with frontline staff and customers, functional managers gain first-hand insights that may lead to new ideas and improvements, sometimes becoming major strategic initiatives for the company.
- They play an equally important role in strategy implementation, ensuring that corporate and business-level plans are executed effectively at the operational level.

🔑 Keywords: functional strategies · crucial information · closer to customers · strategy implementation

✓ MCQ · PYQ Sep 2025 · MCQ 11

Solar Tech Innovation partnered with financial institutions to offer easy financing options that make solar energy more affordable. This decision falls under which strategic level?

- (A) Corporate level
- (B) Business level
- (C) Functional level
- (D) Operational level

✓ ANSWER: (C)

Arranging customer financing is a specific business function supporting the business strategy, so it is a functional-level decision. ICAI key: (C).

- (A) X No portfolio or whole-organisation decision.
- (B) X Not about how the business as a whole competes.
- (D) X The SM's three levels are corporate, business and functional.

🚫 Trap: Assuming any tie-up with a bank is a corporate decision.

Topic: SM Ch 1 §1.6

☑ MCQ · RTP Jan 2026 · SM MCQ 1(i)

After moving to India, Hepha.io decided to align innovation with sustainability under the theme of 'Holistic Innovation' for the company as a whole. Which level of strategy does this shift primarily represent?

- (A) Corporate level strategy
- (B) Business level strategy
- (C) Functional level strategy
- (D) Operational level strategy

✓ ANSWER: (A)

A company-wide direction and purpose is set at the corporate level. ICAI key: (a).

- (B) X It is not limited to one business.
- (C) X Not a single function's plan.
- (D) X Not day-to-day execution.

🚫 Trap: None — note the phrase 'for the whole company'.

Topic: SM Ch 1 §1.6

✓ MCQ · RTP May 2024 · SM MCQ 1(v)

Swasthya's case stresses scrutiny of every facet of the patient journey and says its people translate the vision into outcomes at the grassroots level. Which level of management has the most crucial part in making the customer-first sense felt across the organisation?

- (A) Top management (C-suite) which sets the tone and strategy
- (B) Middle management (divisional managers) responsible for translating strategy into real-time objectives
- (C) Functional managers who do the work on the field
- (D) Board of directors responsible for wealth creation

✓ ANSWER: (B)

ICAI key: (b) — divisional (business-level) managers translate the corporate statements of direction and intent into concrete strategies for their units.

- (A) X Sets direction but does not translate it.
- (C) X Executes within one function.
- (D) X Oversees, not translates.

🚫 **Trap:** Choosing functional managers because the case mentions grassroots work.

Topic: SM Ch 1 §1.6

✓ MCQ · RTP May 2025 · SM MCQ 6

Global Fast Foods Ltd., a multinational restaurant chain, is evaluating whether to enter the packaged food industry by launching frozen meals, which involves analysing new markets, potential acquisitions and portfolio diversification. At what level is this decision likely to be made?

- (A) Business
- (B) Corporate
- (C) Functional
- (D) Operational

✓ ANSWER: (B)

Deciding which businesses to be in and managing the portfolio is a corporate-level decision.

ICAI key: (b).

- (A) X Business level competes within an existing business.

- (C) X Functional level implements.
- (D) X Not one of the SM's three levels.

 **Trap:** None — 'which businesses to be in' = corporate.

Topic: SM Ch 1 §1.6

✓ MCQ · RTP May 2026 · SM MCQ 2

Rohan, a manager at Z-Foods, develops specific tactics for the marketing department so that the 'Quick-Snack' division achieves its market share targets. At which level of strategic management is Rohan functioning?

- (A) Corporate level
- (B) Business level
- (C) Functional level
- (D) Administrative level

✓ **ANSWER: (C)**

Developing tactics for one function (marketing) is functional-level work. ICAI key: (c).

- (A) X No whole-organisation decision.
- (B) X He is not heading the division.
- (D) X Not an SM level.

 **Trap:** The mention of a division may suggest business level; his sphere is one function.

Topic: SM Ch 1 §1.6

✓ MCQ · RTP Sep 2025 · SM MCQ 2

A beverage company's marketing team launches a social-media campaign, the production unit improves efficiency to cut costs and HR introduces training programmes, all aligned with the company's growth goals. What type of strategy do these efforts represent?

- (A) Proactive strategy
- (B) Reactive strategy
- (C) Functional level strategy
- (D) Corporate level strategy

✓ **ANSWER: (C)**

Each department develops strategies in its own area to support higher-level objectives: functional-level strategy. ICAI key: (c).

- (A) X Describes timing, not level.
- (B) X Describes timing, not level.
- (D) X No portfolio decision.

 **Trap:** Mixing the proactive/reactive classification with levels.

Topic: SM Ch 1 §1.6

☒ MCQ · RTP Sep 2026 · SM MCQ 2

The Board of Alpha Group Ltd., which operates in textiles, hospitality and renewable energy, decided to acquire a pharmaceutical company to diversify its portfolio and reduce dependence on existing industries. This is an example of which level of strategic management?

- (A) Corporate Level
- (B) Business Level
- (C) Functional Level
- (D) Operational Level

 **ANSWER: (A)**

Acquisitions and portfolio diversification are corporate-level decisions. ICAI key: (a).

- (B) X Not about competing within one business.
- (C) X Not a functional plan.
- (D) X Not an SM level.

 **Trap:** None.

Topic: SM Ch 1 §1.6

☒ MCQ · MTP Jan 2025 Series I · SM MCQ 1(A)(i)

EcoForge adopted a Strategic Business Unit (SBU) model so that each product line could adapt quickly to market demands. The SBU model adopted by EcoForge is an example of strategic decision-making at which level?

- (A) Corporate Level
- (B) Business Level
- (C) Functional Level

(D) Operational Level

✓ ANSWER: (A)

Deciding to restructure the whole company into SBUs is a decision for the organisation as a whole: corporate level. ICAI key: (a).

- (B) X A business-level manager runs an SBU but does not create the structure.
- (C) X Not a functional plan.
- (D) X Not an SM level.

 **Trap:** The word 'SBU' suggests business level; the decision to adopt the model is corporate.

Topic: SM Ch 1 §1.6

✓ MCQ · MTP Jan 2025 Series II · SM MCQ 1(A)(i)

Galaxy Enterprises Limited approved major investments in modernising its renewable energy division and entering the electric vehicle segment. Which level of strategy do these decisions represent?

- (A) Functional level, as these relate to operational improvements within the division
- (B) Business level, as they align with the goals of a single division to gain a competitive edge
- (C) Corporate level, as they involve decisions affecting the overall portfolio and diversification
- (D) Operational level, as they focus on day-to-day activities

✓ ANSWER: (C)

Large investments across divisions and entry into a new segment change the portfolio: corporate level. ICAI key: (c).

- (A) X More than operational improvement.
- (B) X Involves more than one division.
- (D) X Not day-to-day.

 **Trap:** Option B is tempting because one division is modernised, but EV entry is new-business diversification.

Topic: SM Ch 1 §1.6

✓ MCQ · MTP May 2024 Series I · SM MCQ 1(A)(iv)

Zing forged partnerships with established dealerships, offering attractive margins, to enhance its distribution network. This falls under which level of strategy?

- (A) Corporate level strategy
- (B) Business level strategy
- (C) Functional level strategy
- (D) Competitive level strategy

✓ ANSWER: (B)

Building the distribution network to compete better in its market is a business-level decision.

ICAI key: (b).

- (A) X No portfolio change.
- (C) X Wider than one function's internal plan.
- (D) X Not one of the three SM levels.

🚫 **Trap:** Distribution sounds functional; here it shapes how the business competes.

Topic: SM Ch 1 §1.6

✓ MCQ · MTP May 2024 Series II · SM MCQ 1(A)(iv)

Café Delight moved from a pocket-friendly pricing model to a skimming strategy to position itself as a premium restaurant. At which level of strategic management does this fit?

- (A) Corporate level
- (B) Business level
- (C) Functional level
- (D) Operational level

✓ ANSWER: (B)

Repositioning how the business competes in its market is business level. ICAI key: (b).

- (A) X No change in the portfolio of businesses.
- (C) X Broader than a functional plan.
- (D) X Not day-to-day execution.

🚫 **Trap:** Pricing can look functional; here it defines competitive positioning.

Topic: SM Ch 1 §1.6

✓ MCQ · MTP May 2026 Series I · SM MCQ 1(A)(iv)

PlaySphere restructured into two SBUs (Mobile Games and Immersive Games), giving each autonomy while the corporate office focused on resource allocation. This represents which level of strategy?

- (A) Functional level — focuses on departmental activities
- (B) Corporate level — manages a portfolio of businesses
- (C) Business level — defines competitive positioning in one industry
- (D) Operational level — deals with day-to-day activities

✓ ANSWER: (B)

Creating SBUs and allocating resources across them is portfolio management at corporate level. ICAI key: (b).

- (A) X Not a single function.
- (C) X Covers two businesses, not one.
- (D) X Not day-to-day.

🚫 **Trap:** The presence of SBUs again suggests business level; the restructuring decision is corporate.

Topic: SM Ch 1 §1.6

☑ MCQ · MTP Sep 2025 Series II · SM MCQ 1(A)(iv)

Nav-Uday's decision to export to less competitive international markets such as Africa and Southeast Asia would primarily be classified as:

- (A) Corporate-level strategy
- (B) Business-level strategy
- (C) Functional-level strategy
- (D) Network-level strategy

✓ ANSWER: (A)

Deciding which markets and businesses the company should be in is corporate level. ICAI key: (a).

- (B) X Not about competing within an existing market.
- (C) X Not a functional plan.
- (D) X Not an SM level.

 **Trap:** Exports may look like a marketing (functional) decision; entering new geographies is corporate scope.

Topic: SM Ch 1 §1.6

☒ MCQ · Practice MCQ · Role · Moderate

As per the study material, corporate-level managers, and particularly the CEO, can be viewed as:

- (A) Specialists in one organisational activity
- (B) The link between functional teams and customers
- (C) The guardians of shareholders' welfare
- (D) Heads of individual strategic business units

✓ **ANSWER: (C)**

SM §1.6: corporate-level managers provide a link between those who oversee strategic development and those who own the firm; the CEO can be viewed as the guardian of shareholders' welfare.

- (A) X That is a functional manager.
- (B) X Functional managers are closer to customers.
- (D) X That is a business-level manager.

 **Trap:** None — direct recall.

Topic: SM Ch 1 §1.6

☒ MCQ · Practice MCQ · Concept · Easy

In the study material's figure on levels of strategic management, the question 'How to compete?' belongs to:

- (A) Headquarters, through corporate strategy
- (B) Business functions, through functional strategy
- (C) The board of directors, through governance policy
- (D) The SBU, through business strategy

✓ **ANSWER: (D)**

SM §1.6 figure: corporate strategy — where to compete; SBU business strategy — how to compete; functional strategy — how to implement business strategy.

- (A) X Corporate asks where to compete.
- (B) X Functional asks how to implement.
- (C) X Not part of the figure.

 **Trap:** Mixing up 'where' and 'how'.

Topic: SM Ch 1 §1.6

☐ QUICKRECAP

- Three levels: corporate (where to compete), business/SBU (how to compete), functional (how to implement).
- Corporate = CEO, senior executives, board, corporate staff; guardians of shareholders' welfare.
- Functional managers are closest to customers and supply most of the information for higher-level strategy.

1.6.1 Network of Relationship between the Three Levels

 Medium Exam Activity |  Asked across PYQ / RTP / MTP | Asked: PYQ 1 (Jan 2025 Q7(a), second part) · RTP 1 (Sep 2024) · MTP 2 (Mar 2025, Jul 2026)

UNDERSTAND IT

The corporate level decides what the business wants to achieve, the business level draws ideas and plans to execute it, and these flow down to the functional level to execute and achieve results. But the levels can be linked in several ways, and **it depends on the organisation as a whole to decide what kind of network of relationship suits its culture and aspirations.**

There are three major types of networks of relationship between the levels and amongst the same levels of a business:

(1) Functional and divisional relationship. An independent relationship where each function or division is run independently, headed by the function/division head, who reports directly to the business head. Functions may be finance, human resources, marketing etc., while divisions may follow products — for a toy manufacturer, kids' toys, teenager toys and so on.

(2) Horizontal relationship. All positions, from top management to staff-level employees, are in the same hierarchical position — a flat structure where everyone is considered at the same

level. This leads to **openness and transparency** in work culture and focuses more on **idea sharing and innovation**. It suits **start-ups**, where sharing ideas with speed is desirable.

(3) **Matrix relationship**. A **grid-like structure** of levels, with teams formed from people of various departments, built for **temporary task-based projects**. It helps manage **huge conglomerates** where tracking every team independently is nearly impossible. In a matrix relationship there is **more than one business-level manager for each functional-level team**. It is **complex for smaller organisations but extremely useful for large organisations**.

ICAI's comparison table (RTP Sep 2024 answer): Functional and divisional — benefits: specialisation, clear management of functions and products; drawbacks: potential departmental isolation, limited collaboration. Horizontal — benefits: open communication, encourages innovation and fast idea sharing; drawbacks: hard to scale, unclear roles and responsibilities. Matrix — benefits: facilitates cross-functional collaboration, flexible resource management for complex projects; drawbacks: complex reporting structures, potential conflicts.

e.g. MTP Mar 2025: XYZ Enterprises runs its automobile division as independent units (functional and divisional), its IT division on dual reporting to project and functional heads (matrix), and its start-up incubator as a flat team (horizontal).

KEY FRAMEWORK / FORMULA · Three networks of relationship (SM §1.6.1)

Requirement: Functional and divisional (independent, head reports to business head); horizontal (flat, same hierarchical position, openness, suits start-ups); matrix (grid, cross-department temporary project teams, more than one business-level manager per functional team, suits large organisations).

Exam angle: Asked as the second half of PYQ Jan 2025 Q7(a) and as full 5-mark case questions in RTP Sep 2024 and MTP Mar 2025.

ICAI KEYWORDS

independent relationship · **flat structure** · **openness and transparency** · **idea sharing and innovation** · **grid-like structure** · **temporary task-based projects** · **more than one business level manager** · **complex for smaller organisations**

MEMORY TRICK

"F-H-M" = Fixed lanes (functional/divisional), Flat floor (horizontal), Grid (matrix).

Cue	Stands for
Functional & divisional	Independent lanes; specialisation; risk of isolation
Horizontal	Flat; openness and innovation; hard to scale
Matrix	Grid of project teams; cross-functional; complex reporting

⚡ 3-second trigger: Lanes · Floor · Grid

❏ COMMON MISTAKE / CONFUSION

- Describing organisation structures from SM Ch 5 (SBU structure, hourglass) instead of the three networks.
- Saying the matrix suits small organisations. The SM says it is complex for smaller ones and useful for large ones.
- Forgetting that the choice depends on the organisation's culture and aspirations.

Relationship	Benefits	Drawbacks	Best suited for
Functional and divisional	Specialisation; clear management of functions and products	Departmental isolation; limited collaboration	Firms with distinct products or functions
Horizontal	Open communication; encourages innovation and fast idea sharing	Hard to scale; unclear roles and responsibilities	Start-ups
Matrix	Cross-functional collaboration; flexible resource management for complex projects	Complex reporting structures; potential conflicts	Large organisations with diverse, innovation-heavy projects

🔑 **Spot it in a case:** Case words 'cross-functional teams for projects' → matrix; 'flat, everyone equal, start-up' → horizontal; 'each division independent, reports to the head' → functional and divisional.

🔗 INTEGRATION LINK

🔗 SM Ch 5: organisation structures (functional, divisional, SBU, matrix, network, hourglass)

🔗 INTEGRATION LINK

🔗 SM Ch 1 §1.6: the three levels these networks connect

🔗 HOW TO FACE IT IN THE EXAM

Can be asked as:

- Explain the types of networks of relationship (PYQ Jan 2025, 2 marks part)
- Case: which relationship will best achieve the company's goals and why (RTP Sep 2024, 5 marks)
- Case: identify the relationship used by each division (MTP Mar 2025, 5 marks)

How to attack it:

- Name the three relationships
- Describe each in SM words
- For a case, match each division's facts and justify with benefits and drawbacks

📖 What ICAI has done so far: PYQ Jan 2025 · Q7(a) (second part); RTP Sep 2024 · SM Q7; MTP May 2025 Series I · SM Q1(a).

🕒 Time / length guide (study guidance): 5 marks ≈ 9 minutes; 2-mark part ≈ 4 minutes (study guidance).

📖 WRITE THIS IN THE EXAM

Structure:

- Three relationships named
- One-line description each
- Case application with benefits and drawbacks

🔗 Keywords: independent relationship · flat structure · grid-like structure · cross-functional collaboration

📏 Ideal length: 5 marks: 3 points of 3 lines + a comparison table if time permits

📊 Conclusion pattern: The organisation chooses the network that suits its culture, size and aspirations.

⊘ DON'T WRITE THIS

- Drawing organisation charts from SM Ch 5 instead of explaining the relationships

📖 Questions on this topic — ICAI questions first, then practice

■ OFFICIAL ICAI QUESTION · RTP Sep 2024 · SM Q7

Tech Innovators Inc., a rapidly expanding technology company, aims to lead in artificial intelligence and machine learning and is evaluating which organisational relationship will best support its vision: the functional and divisional relationship for specialisation, the horizontal relationship for flat collaborative management, or the matrix relationship for cross-functional teams. Which will most effectively achieve its strategic goals, and why?

✓ MODEL ANSWER

- The **matrix relationship** is the most effective structure for Tech Innovators Inc. to achieve its vision of leadership in AI technologies.
- It promotes cross-functional collaboration, essential for managing complex AI projects and fostering innovation.
- By integrating expertise from various departments into temporary, task-based teams, the matrix relationship supports dynamic project management and aligns with the company's strategic goals for advancing AI technologies.
- Despite its complexity, this approach provides the flexibility and collaboration necessary for a leading-edge AI and ML focus.
- Comparison: functional and divisional gives specialisation and clear management of functions and products but risks departmental isolation and limited collaboration, so it is less effective for cross-functional AI projects; horizontal gives open communication and fast idea sharing but is hard to scale with unclear roles, so it suits start-ups rather than large AI initiatives; matrix facilitates cross-functional collaboration and flexible resource management, though with complex reporting and potential conflicts, making it ideal for managing diverse, innovative AI projects.

🔑 Keywords: **matrix relationship** · **cross-functional collaboration** · **temporary, task-based teams** · **departmental isolation** · **hard to scale**

■ OFFICIAL ICAI QUESTION · MTP May 2025 Series I · SM Q1(a) · 5 marks

XYZ Enterprises operates in multiple industries. Its automobile division functions independently with separate teams for electric and fuel-based vehicles; its IT division follows a structure where employees report to both project heads and functional managers; and its start-up incubator lets all employees collaborate and share ideas openly regardless of hierarchy. Identify and explain the network relationships used.

✓ MODEL ANSWER

- **Automobile division — functional and divisional relationship:** the division operates independently, with distinct teams handling electric and fuel-based vehicles. Each division is managed by a business-level head who reports directly to corporate-level management. This ensures clear accountability, specialisation and focused decision-making, letting XYZ cater to different market segments effectively.
- **IT division — matrix relationship:** employees report to both project heads and functional managers. This allows efficient resource utilisation, as employees contribute to multiple projects while remaining aligned with their departments. The matrix relationship helps manage complex software development projects needing cross-functional expertise, ensuring collaboration among development, marketing and finance.
- **Start-up incubator — horizontal relationship:** all employees, regardless of hierarchy, collaborate and share ideas openly. This nurtures transparency, quick decision-making and innovation, which are essential for start-ups where speed and adaptability matter.
- By adopting these network relationships, XYZ Enterprises maximises efficiency, agility and innovation across its diverse operations.

🔑 **Keywords:** functional and divisional · matrix · horizontal · cross-functional expertise · transparency

🧠 EXPECTED QUESTION · Practice question · Short note · 5 marks

Write a short note on the networks of relationship between the three strategic levels, and state when each is suitable.

✓ MODEL ANSWER

- The corporate level decides what the business wants to achieve, the business level plans execution and the functional level executes; the organisation decides which network of relationship suits its culture and aspirations.

- **Functional and divisional relationship:** an independent relationship where each function or division is run independently under its head, who reports to the business head; suitable where specialisation and clear product or function management matter.
- **Horizontal relationship:** a flat structure where all positions share the same hierarchical status, giving openness, transparency and fast idea sharing; suitable for start-ups.
- **Matrix relationship:** a grid-like structure with teams drawn from various departments for temporary, task-based projects, with more than one business-level manager for each functional team; complex for smaller organisations but extremely useful for large ones and conglomerates.
- The choice involves trade-offs: isolation versus collaboration, speed versus scalability, and flexibility versus reporting complexity.

 **Keywords:** independent relationship · flat structure · grid-like structure · temporary task-based projects

☒ MCQ · Practice MCQ · Identify · Moderate

A 20-member analytics start-up has no designations; the founder, engineers and interns sit together and anyone can pitch an idea. Which network of relationship is this?

- (A) Horizontal relationship
- (B) Matrix relationship
- (C) Functional and divisional relationship
- (D) Hourglass relationship

✓ **ANSWER: (A)**

SM §1.6.1: in a horizontal relationship all positions share the same hierarchical status; the flat structure encourages openness, transparency and idea sharing, and suits start-ups.

- (B) X No project grid or dual reporting is described.
- (C) X No independent divisions are described.
- (D) X Not one of the three networks (the hourglass structure belongs to SM Ch 5).

 **Trap:** Option D borrows a structure name from a later chapter.

Topic: SM Ch 1 §1.6.1

☒ MCQ · Practice MCQ · Feature · Moderate

Which feature is unique to the matrix relationship as described in the study material?

- (A) Each division head reports directly to the business head
- (B) There is more than one business-level manager for each functional-level team
- (C) Everyone in the organisation is at the same hierarchical level
- (D) Functions are run completely independently of each other

✓ ANSWER: (B)

SM §1.6.1: in a matrix relationship there are more than one business-level managers for each functional-level team; teams are built for temporary, task-based projects.

- (A) X That describes the functional and divisional relationship.
- (C) X That is the horizontal relationship.
- (D) X Also the functional and divisional relationship.

🚫 Trap: All options describe a real network; only B is the matrix.

Topic: SM Ch 1 §1.6.1

☐ QUICK RECAP

- Three networks: functional and divisional, horizontal, matrix.
- Horizontal suits start-ups; matrix suits large, project-driven organisations.
- The choice depends on the organisation's culture and aspirations.

Most Confusing Concepts

Vision vs Mission

Basis	Vision	Mission
Question answered	Where do we want to go?	What business are we in and what do we do?
Time	Future position and time frame	Present business scope; time-independent guide
Content	Aspirations, product-customer-market-technology focus	Present capability, customer focus, activities, business make-up
Stability	Changes as the desired future changes	Can remain the same for decades if crafted well
Case clue	'aspires to be', 'by 2030', 'leading creator of...'	'exists to', 'provides...to customers', 'best user experience through timely delivery'

CASE SCENARIO · Spot it in a case

Both may sound inspiring. Ask: does the sentence describe a future position (vision) or today's business and customers (mission)?

Goals vs Objectives

Basis	Goals	Objectives
Nature	Open-ended attributes denoting future states or outcomes	Close-ended attributes, precise and in specific terms
Measurement	End results attempted	Time-based measurable targets; yardsticks of performance
Usage	Often used interchangeably in practice	Often used interchangeably in practice

CASE SCENARIO · Spot it in a case

Percentages, deadlines and year-on-year growth in the facts point to objectives.

Proactive vs Reactive strategy

Basis	Proactive	Reactive
Meaning	Planned and deliberate actions to improve market position and performance	Adaptive responses to unforeseen changes
Nature	Planned and intentional	Responsive and adaptive
Objective	Competitive advantage through advance planning	Cope with changing circumstances and uncertainty
Example wording	'first-mover', 'while competitors hesitated', 'anticipated the trend'	'in response to', 'after the competitor launched', 'a new regulation came'

CASE SCENARIO · Spot it in a case

If both appear, answer 'partly proactive and partly reactive' — the actual strategy is a blend.

The three strategic levels

Basis	Corporate	Business	Functional
Question	Where to compete?	How to compete?	How to implement?
Who	CEO, senior executives, board, corporate staff	SBU / divisional head	Marketing, finance, HR, production heads
Decisions	Portfolio, acquisitions, divestments, resource allocation, group policies	Competitive advantage and profitability of one business	Functional strategies, execution, customer information

CASE SCENARIO · Spot it in a case

Restructuring into SBUs, entering new industries and group dividend policy are corporate decisions even though they mention divisions.

Importance vs Limitations of strategic management

Importance (seven benefits)	Limitations (four)
Direction; goals and mission defined	Environment is highly complex and turbulent
Proactive instead of reactive	Time-consuming; impedes daily operations
Framework for all major decisions	Costly, especially for small and medium organisations
Prepares for the future; pathfinder to opportunities	Difficult to estimate competitive responses
Corporate defence mechanism; longevity; core competencies	Yet the importance outweighs the shortcomings

 CASE SCENARIO · Spot it in a case

A case where a strategically managed firm still fails (online competition, EV safety fears) is asking for limitations, not benefits.

Integrated Case Scenarios

CASE SCENARIO · Integrated Case 1 — Sanskriti Weaves Ltd.

Sanskriti Weaves Ltd. runs three businesses: handloom apparel, home furnishings and a small export unit. The board, chaired by the CEO, has decided to exit the loss-making export unit, invest the proceeds in home furnishings and frame a single dividend policy for the group.

The head of the home furnishings division has been asked to decide how the division will win against imported brands. She plans premium designs and a two-year warranty.

Ms. Rao, the marketing manager, is designing a festival campaign and gathers dealer feedback that customers now want washable fabrics; she passes this to the division head, who changes the product plan.

The company's statement of purpose reads: 'We bring handcrafted Indian textiles to everyday homes at fair prices, supporting weaver families.' Its stated aspiration is 'to be the most trusted handloom brand in India by 2032'. The founders insist that no order will ever be accepted from a buyer using child labour.

Questions

Q1. The board's decisions to exit the export unit, reallocate funds and frame a group dividend policy are taken at which level?

- (A) Functional level
- (B) Business level
- (C) Corporate level
- (D) Operational level

Q2. The division head's plan to beat imported brands with premium designs and a warranty is:

- (A) Corporate strategy answering 'where to compete'
- (B) Functional strategy answering 'how to implement'
- (C) Operational control
- (D) Business strategy answering 'how to compete'

Q3. Ms. Rao's role in passing customer insight upward illustrates which point from the study material?

- (A) Functional managers provide most of the information that lets business- and corporate-level managers formulate realistic strategies
- (B) Functional managers set the mission and goals of the organisation
- (C) Functional managers are guardians of shareholders' welfare
- (D) Functional managers decide the corporate portfolio

Q4. 'To be the most trusted handloom brand in India by 2032' and 'We bring handcrafted Indian textiles to everyday homes at fair prices' are respectively:

- (A) Mission and vision
- (B) Vision and mission
- (C) Objective and goal
- (D) Value and objective

Q5. Explain how the founders' refusal to deal with buyers using child labour fits into strategic intent, and why such principles matter to the company. [5 marks]

✓ ANSWERS

Q1: C

- Corporate-level managers decide what businesses the organisation should be in, allocate resources among businesses and set policies for the whole enterprise (SM §1.6).
- Divestment and acquisition decisions are specifically listed as corporate-level responsibilities.

Q2: D

- Business-level managers translate corporate direction into concrete strategies for their business and decide how to create competitive advantage (SM §1.6 figure: business strategy = how to compete).

Q3: A

- SM §1.6: functional managers are closer to the customer and provide most of the information that makes realistic, attainable strategies possible; their ideas may become major strategies.

Q4: B

- A statement of desired future position is the vision; a statement of present business scope, customers and purpose is the mission (SM §1.5.1 and §1.5.2).

Q5: It is a core value — a deep-rooted principle that guides decisions, sits at the centre of strategic intent and can never be compromised for short-term gain.

- Values are the deep-rooted principles which guide an organisation's decisions and actions; Collins and Porras describe core values as inherent and sacrosanct, never compromised for convenience or short-term economic gain.
- Values sit at the centre of strategic intent: intent, vision, mission and goals are all put into action through values.

- Internally, values set the tone for how people think and behave, especially in dilemmas such as a profitable order from an unethical buyer, and create a sense of shared purpose supporting longevity.
- Externally, values shape how customers, investors and society perceive the company; most consumers prefer companies whose purpose reflects their own beliefs.
- Values are wider than intent: intent is the purpose of doing business, while values are the principles guiding how that business is conducted.

 Topics tested: SM Ch 1 §1.5.1, SM Ch 1 §1.5.2, SM Ch 1 §1.5.4, SM Ch 1 §1.6

 **Trap:** The same case carries vision, mission, values and all three levels; read what each question asks for.

CASE SCENARIO · Integrated Case 2 — Bharat Cycles Pvt. Ltd.

Bharat Cycles has sold sturdy, low-priced bicycles for 30 years. Three years ago its planners forecast a shift to premium fitness cycles and began developing a geared model, investing in R&D while rivals waited.

Last year an imported e-bike brand entered suddenly with aggressive pricing, and a new state rule required BIS certification for imported parts. Bharat Cycles quickly changed suppliers and launched a budget e-bike.

The company spends heavily on annual strategy retreats. The finance head complains that planning consumes weeks of management time and that consultants' fees are large for a mid-sized firm, and that no one could predict the imported brand's pricing move.

Its objectives for next year are: raise revenue by 12%, cut warranty complaints by 20% and train every dealer by March.

Questions

Q1. Developing the geared premium model three years before rivals reacted is an example of:

- (A) Reactive strategy
- (B) Adaptive strategy
- (C) Retrenchment strategy
- (D) Proactive strategy

Q2. Changing suppliers and launching a budget e-bike after the import entry and the new rule is:

- (A) Proactive strategy
- (B) Corporate governance

- (C) Reactive strategy
- (D) A limitation of strategic management

Q3. The finance head's three complaints (time, cost, unpredictability of rivals) correspond to which part of the chapter?

- (A) Limitations of strategic management
- (B) Benefits of strategic management
- (C) Components of strategic intent
- (D) Networks of relationship

Q4. The targets of 12% revenue growth, 20% fewer complaints and dealer training by March are best described as:

- (A) Vision
- (B) Objectives, because they are concrete, specific, measurable and time-framed
- (C) Values
- (D) Mission

Q5. The managing director asks whether the company should stop investing in strategic management given the finance head's complaints. Advise him. [5 marks]

✓ ANSWERS

Q1: D

- Proactive strategy is planned strategy: deliberate actions by managers to improve the company's market position and financial performance (SM §1.3).

Q2: C

- Reactive strategy is an adaptive reaction to changing circumstances — here an unanticipated competitor and a regulatory change (SM §1.3).

Q3: A

- SM §1.4.2: strategic management is time-consuming and costly (especially for small and medium organisations) and it is difficult to estimate competitive responses.

Q4: B

- Objectives are performance targets that are concrete and specific, related to a time frame and measurable and controllable (SM §1.5.3).

Q5: No. Continue managing strategically: the limitations are real but the importance outweighs the shortcomings.

- The presence of strategic management cannot counter all hindrances or always achieve success; its limitations are a complex and turbulent environment, a time-consuming process that may impede daily operations, a costly process (a real burden for small and

medium organisations) and difficulty in estimating competitive responses, which are decided behind closed doors.

- However, its importance outweighs its shortcomings: a business cannot operate and succeed without proper strategic management.
- Benefits visible in this case: it gives direction and defines goals and mission; it made the company proactive rather than reactive (the geared model); it provides a framework for major decisions on products and markets; it prepares the firm for the future and acts as a pathfinder to opportunities.
- It also serves as a corporate defence mechanism against costly mistakes, enhances longevity and helps build core competencies and competitive advantage.
- Practical advice: continue strategic management but control its cost and time, since challenging times demand more effort, and use experts selectively to understand customer preferences.

 Topics tested: SM Ch 1 §1.3, SM Ch 1 §1.4.1, SM Ch 1 §1.4.2, SM Ch 1 §1.5.3

 **Trap:** The cost and time complaints tempt you to recommend abandoning strategic management; ICAI's answer is always to continue, because importance outweighs shortcomings.

Chapter Test — attempt before looking at the Answer Keys

✓ MCQ · Test MCQ 1

The overall objectives of strategic management are to:

- (A) Reduce cost and increase dividend
- (B) Formulate budgets and control variances
- (C) Create competitive advantage and guide the company through all changes in the environment
- (D) Increase market share and reduce employee attrition

✓ MCQ · Test MCQ 2

'Strategy is not always perfect, flawless and optimal' — this statement is:

- (A) Incorrect; strategy must be optimal
- (B) Incorrect; strategy is always pragmatic but never flexible
- (C) Correct only for small organisations
- (D) Correct; strategy is flexible and pragmatic, with allowances for miscalculations

✓ MCQ · Test MCQ 3

Reactive strategy can also be termed as:

- (A) Adaptive strategy
- (B) Planned strategy
- (C) Sound strategy
- (D) Dynamic strategy

✓ MCQ · Test MCQ 4

Which of the following is a limitation of strategic management?

- (A) It provides a framework for major decisions
- (B) It is a costly process, particularly for small and medium organisations
- (C) It helps develop core competencies
- (D) It enhances the longevity of the business

☒ MCQ · Test MCQ 5

'Where we are to go' is answered by:

- (A) *The mission statement*
- (B) *The values statement*
- (C) *The strategic vision*
- (D) *The functional strategy*

☒ MCQ · Test MCQ 6

Which is NOT one of the seven reasons for having a mission, as per the study material?

- (A) *To ensure unanimity of purpose within the organisation*
- (B) *To develop a basis for allocating organisational resources*
- (C) *To establish a general tone or organisational climate*
- (D) *To fix the dividend policy of the organisation*

☒ MCQ · Test MCQ 7

Objectives are best described as:

- (A) *An organisation's performance targets — the results and outcomes it wants to achieve*
- (B) *Open-ended attributes denoting future states*
- (C) *Deep-rooted principles guiding decisions*
- (D) *Statements of present business scope*

☒ MCQ · Test MCQ 8

Long-term objectives are commonly established in seven areas. Which of these is one of them?

- (A) *Debtors turnover*
- (B) *Public responsibility*
- (C) *Cash conversion cycle*
- (D) *Break-even point*

☒ MCQ · Test MCQ 9

Core values, as per Collins and Porras quoted in the study material, are:

- (A) Reviewed every year with the budget
- (B) Applicable only to listed companies
- (C) Inherent and sacrosanct; they can never be compromised for convenience or short-term economic gain
- (D) The same as objectives

✓ MCQ · Test MCQ 10

A self-contained division with its own finance, purchasing, production and marketing functions, providing a product for a particular market, is called:

- (A) A functional department
- (B) A corporate office
- (C) A horizontal team
- (D) A strategic business unit

✓ MCQ · Test MCQ 11

In which network of relationship do teams from various departments come together for temporary, task-based projects?

- (A) Matrix relationship
- (B) Horizontal relationship
- (C) Functional and divisional relationship
- (D) Network structure

✓ MCQ · Test MCQ 12

Strategic intent, as per the study material, is best described as:

- (A) The annual budget of the organisation
- (B) The philosophical base of strategic management, expressing what the organisation strives or stands for
- (C) The organisation chart
- (D) The control system used to monitor strategies

🧠 EXPECTED QUESTION · Test question 1 · 5 marks

"Strategy is partly proactive and partly reactive." Discuss, and explain why an organisation needs both.

 **EXPECTED QUESTION** · Test question 2 · 5 marks

A newly appointed CEO of a diversified group asks what her strategic role will be. Identify her level and outline its duties and responsibilities.

 **EXPECTED QUESTION** · Test question 3 · 5 marks

Explain the significance of a mission statement for an organisation.

Active-Recall Tests (answers in Answer Keys)

10 Quick Questions

1. State the two-fold objective of strategic management.
2. Name the four limitations of strategic management.
3. What was strategic management originally called?
4. Who defined strategy as 'a unified, comprehensive and integrated plan'?
5. What does a vision answer, and what does a mission answer?
6. Name any four of the ten characteristics of meaningful objectives.
7. Name the seven areas of long-term objectives.
8. Who described core values as inherent and sacrosanct?
9. Name the three strategic levels and their key questions.
10. Name the three networks of relationship between levels.

Fill in the Blanks

1. Proactive strategy is _____ strategy, whereas reactive strategy is an _____ reaction to changing circumstances.
2. A strategic business unit is a _____ division with its own functions serving a particular market.
3. Corporate-level managers, particularly the CEO, can be viewed as the guardians of _____.
4. Values are _____ than intent, because intent is the purpose of doing business while values guide decision-making.
5. In a _____ relationship, all positions from top management to staff level share the same hierarchical status.

True / False

1. Strategic management guarantees success in every environment.
2. The matrix relationship is best suited to very small organisations.
3. A mission statement can remain the same for decades if crafted well.
4. Functional managers are responsible for the overall performance of the organisation.
5. Objectives should be set within the constraints of organisational resources and the external environment.

One-Word Recall

1. The philosophical base of strategic management.
2. The example used in the SM for a vision that captured imagination.
3. The marketing-oriented answer for Lakme's business.
4. The approach where decisions are made solely by leadership at the top.
5. The company example used in the SM for a multi-divisional organisation with healthcare, FMCG and organic foods.

Match the Concept

Column A	Column B
1. Igor H. Ansoff	a. 'What business are we in?'
2. Collins and Porras	b. Common thread among activities and product-markets
3. Drucker and Levitt	c. Corporate-level portfolio decisions across mining, ports, power and cement
4. Hewlett-Packard	d. Core values are inherent and sacrosanct
5. Adani Group	e. The 'HP Way' reflecting founders' values

Differentiate

1. Vision vs mission
2. Business level vs functional level
3. Horizontal vs matrix relationship

Complete the Flowchart

Strategic intent → [?] → Mission → [?] → Strategies and execution

Answer Keys

Chapter test — MCQ key

MCQ	Answer	Why
1	C	SM §1.4: two-fold objective.
2	D	SM §1.3 and SM MCQ 2.
3	A	SM §1.3: proactive is planned strategy; reactive is adaptive reaction to changing circumstances (SM MCQ 4).
4	B	SM §1.4.2; the others are benefits.
5	C	SM §1.5.1: strategic vision gives a panoramic view of where we are to go.
6	D	SM §1.5.2 lists seven reasons; dividend policy is not one of them.
7	A	SM §1.5.3; option B describes goals, C describes values, D describes the mission.
8	B	SM §1.5.3: profitability, productivity, competitive position, employee development, employee relations, technological leadership, public responsibility.
9	C	SM §1.5.4.
10	D	SM §1.6.
11	A	SM §1.6.1.
12	B	SM §1.5.

EXPECTED QUESTION · Test question 1 — model answer · 5 marks

"Strategy is partly proactive and partly reactive." Discuss, and explain why an organisation needs both.

MODEL ANSWER

- A company's strategy is typically a blend of proactive actions to improve market position and performance, and reactions to unanticipated developments and fresh market conditions.
- Proactive strategy is planned strategy; reactive strategy is adaptive reaction to changing circumstances.
- Crafting a strategy involves stitching together a proactive/intended strategy based on prior successful experience and then adapting pieces of successful reactions as circumstances change.

- Both are needed because: proactive strategies achieve planned objectives and build competitive advantage; reactive strategies cope with uncertainty from competition, technology, regulation or customer preferences; together they give flexibility and adaptability and ensure survival.

Conclusion: The realised strategy is always a blend of deliberate and adaptive elements.

 **Keywords:** planned strategy · adaptive reaction · blend

EXPECTED QUESTION · Test question 2 — model answer · 5 marks

A newly appointed CEO of a diversified group asks what her strategic role will be. Identify her level and outline its duties and responsibilities.

✓ MODEL ANSWER

- The CEO operates at the corporate level, which consists of the CEO, senior executives, the board of directors and corporate staff.
- Oversee the development of strategies for the whole organisation; define the mission and goals.
- Determine what businesses the organisation should be in; allocate resources among the different businesses.
- Formulate and implement strategies that span individual businesses; provide leadership for the organisation.
- Ensure corporate and business-level strategies are consistent with maximising shareholders' wealth; manage the divestment and acquisition process.

Conclusion: Corporate-level managers, particularly the CEO, are the guardians of shareholders' welfare.

 **Keywords:** corporate level · mission and goals · allocate resources · shareholders' wealth

EXPECTED QUESTION · Test question 3 — model answer · 5 marks

Explain the significance of a mission statement for an organisation.

✓ MODEL ANSWER

- A mission statement is focused on the present business scope — who we are and what we do — describing present capability, customer focus, activities and business make-up.

- It ensures unanimity of purpose; develops a basis or standard for allocating organisational resources; provides a basis for motivating the use of resources.
- It establishes a general tone or organisational climate suggesting a businesslike operation; serves as a focal point for those who identify with the organisation's purpose and direction.
- It facilitates translation of objectives and goals into a work structure with assignment of tasks; specifies organisational purposes so that cost, time and performance parameters can be assessed and controlled.

 Keywords: present business scope · unanimity of purpose · organisational climate · focal point

Active-recall answers

10 Quick Questions

1. Create competitive advantage; guide the company successfully through all changes in the environment.
2. Complex and turbulent environment; time-consuming; costly; difficult to estimate competitive responses.
3. Business policy.
4. William F. Glueck.
5. Vision: where we want to go. Mission: what business are we in and what we do.
6. Concrete and specific; related to a time frame; measurable and controllable; challenging (others: environment relationship, facilitative to mission, basis for decisions, standards for appraisal, correlated with each other, within resource constraints).
7. Profitability, productivity, competitive position, employee development, employee relations, technological leadership, public responsibility.
8. Collins and Porras.
9. Corporate (where to compete), business (how to compete), functional (how to implement).
10. Functional and divisional, horizontal, matrix.

Fill in the Blanks

1. planned; adaptive
2. self-contained
3. shareholders' welfare

4. wider
5. horizontal

True / False

1. False — It cannot counter all hindrances and always achieve success.
2. False — It is complex for smaller organisations but extremely useful for large ones.
3. True — ICAI's vision-versus-mission answer.
4. False — They are not, though they play a major strategic role and supply key information.
5. True — Tenth characteristic in SM §1.5.3.

One-Word Recall

1. Strategic intent
2. Henry Ford's 'a car in every garage'
3. In the retail outlet, we sell hope
4. Top-down
5. Patanjali

Match the Concept

1-b 2-d 3-a 4-e 5-c

Differentiate

1. Vision describes a future identity; mission is an ongoing, time-independent guide to present business scope.
2. Business level decides how to compete in one business; functional level develops strategies within one function to implement it.
3. Horizontal: flat, everyone at the same hierarchical status, suits start-ups. Matrix: grid of cross-department project teams with more than one business-level manager per functional team, suits large organisations.

Complete the Flowchart

Strategic intent → Vision → Mission → Goals and objectives → Strategies and execution

Rapid Revision Ladder

☐ QUICKRECAP · 5-MINUTE REVISION

- Two-fold objective: competitive advantage + guide through change.
- Four limitations: turbulent environment, time-consuming, costly, competitive responses.
- Strategy = partly proactive (planned) and partly reactive (adaptive).
- Intent ladder: vision → mission → goals and objectives, with values at the core.
- Levels: corporate (where), business (how), functional (implement).

☐ QUICKRECAP · 15-MINUTE REVISION

- Seven benefits of strategic management (direction, proactive, framework, future-ready, defence, longevity, core competencies).
- Vision: definition, four essentials; mission: seven reasons; 'what business are we in' with the marketing-oriented answer.
- Objectives: ten characteristics; short- vs long-term; seven long-term areas.
- Values: meaning, examples, internal and external implications, values wider than intent.
- Three networks: functional and divisional, horizontal, matrix, with benefits and drawbacks.

☐ QUICKRECAP · 30-MINUTE REVISION

- Management in two senses; the strategic management process (vision → analysis → objectives → strategies → evaluation).
- Definitions of strategy: Ansoff, Glueck; strategy is not perfect, flexible and pragmatic; UPI and ketchup examples.
- Case drill: label facts as proactive or reactive and recommend a blend.
- Case drill: identify the level of a decision (SBU restructuring = corporate; pricing shift = business; marketing tactics = functional).
- CEO duties at corporate level; functional managers as information providers.

☐ QUICKRECAP · 60-MINUTE REVISION

- Write full 5-mark answers for: significance of mission; characteristics of objectives; limitations of strategic management; levels and networks.

- *Attempt both integrated cases and the chapter test, then check the answer keys.*
- *Redo every past-paper MCQ in this chapter and justify why the other three options fail.*

One-Page Chapter Sheet

Strategy • Response to dynamic, hostile forces while pursuing vision and mission • Ansoff: common thread; Glueck: unified, comprehensive, integrated plan • Never perfect or optimal; flexible and pragmatic • Actual strategy = proactive + reactive	Strategic management • Process: vision → objectives → crafting → implementing → evaluating → corrective adjustments (cyclic) • Objective: competitive advantage + guide through change • Originally called business policy
Benefits (7) • Direction; goals and mission • Proactive not reactive • Framework for major decisions • Prepares for future; pathfinder • Defence against mistakes • Longevity • Core competencies	Limitations (4) • Complex and turbulent environment • Time-consuming; impedes operations • Costly, especially for SMEs • Competitive responses hard to estimate • Importance still outweighs shortcomings
Strategic intent • Vision: blueprint of future position; 4 essentials • Mission: present scope; 7 reasons; precise, clear, feasible, distinctive, motivating • Objectives: performance targets; 10 characteristics; 7 long-term areas • Values: deep-rooted principles; wider than intent	Levels & networks • Corporate: portfolio, mission and goals, resources, shareholders' welfare • Business: SBU head; how to compete • Functional: functional strategies, information, execution • Networks: functional-divisional, horizontal, matrix